

Corporate & Other Laws

Concept-First Notes + Exam Q&A + MCQ Bank + Mock Test — CA Intermediate

One complete file: concepts, worked Q&A, revision cheat-sheet, MCQs & a full mock test

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Corporate & Other Laws — Quick-Revision Cheat-Sheet

Last-mile scan sheet (CA Inter, Companies Act 2013 unless noted). **Verify any AY-specific / monetary tax-linked thresholds against current ICAI study material** — some limits shift with amendments/notifications. "days" = calendar days unless "clear days" stated.

1. Preliminary & Incorporation (Ch. I–II)

Item	Sec	Key point / limit
Small company	2(85)	Paid-up ≤ ₹4 cr and turnover ≤ ₹40 cr (not public/holding/subsidiary/Sec 8/governed by special Act)
OPC	2(62), 3	1 member + 1 nominee; only natural resident person
Members min	3	Public 7, Private 2, OPC 1
Members max	2(68)	Private 200 (excl. present/past employee-members)
Reservation of name	4	Valid 20 days from approval (new co.) / 60 days (change)
Registered office	12	Have RO within 30 days of incorporation; verify (INC-22) within 30 days; change intimated 30 days
Commencement of business	10A	Declaration (INC-20A) within 180 days ; subscribers pay + verify RO — else struck off
Effect of registration	9	Body corporate, perpetual succession, common seal (optional), can hold property
Sec 8 (charitable)	8	Licence; profits applied to objects, no dividend; alteration needs CG

Lifting corporate veil — fraud, enemy character, tax evasion, sham. **Doctrine of ultra vires** (Ashbury) — void, not ratifiable.

2. Prospectus & Allotment (Ch. III)

Item	Sec	Point
Public offer / prospectus	23,26	Contents u/s 26; registered with ROC before issue
Misstatement	34/35	Civil (35) + criminal (34) liability; 447 fraud
Private placement	42	Offer to ≤ 200 persons/FY (per kind of security, excl QIB & ESOP); allot within 60 days of money receipt else refund in 15 days (else 12% interest); no public advt
Return of allotment	39	File within 30 days (PAS-3)
Min subscription	39	If not received, refund within period; allotment void
Global depository receipts	41	By special resolution

3. Share Capital & Debentures (Ch. IV)

Item	Sec	Limit / time
Certificate issue	56	Allotment 2 months ; transfer 1 month ; debentures 6 months
Transfer instrument	56	Lodge SH-4 within 60 days of execution
Further issue / Rights	62	Offer letter open 15–30 days ; renounceable
ESOP / preferential	62	Special resolution
Variation of class rights	48	Consent $\frac{3}{4}$ of class / special res.; dissent 10% → Tribunal in 21 days
Reduction of capital	66	Special res + Tribunal confirmation
Buy-back	68	≤ 25% paid-up + free reserves; debt-equity ≤ 2:1; cooling 1 yr ; ≤10% by board res., >10% special res.
Bonus shares	63	Out of free reserves/SP/CRR; not in lieu of dividend; can't reissue forfeited
Sweat equity	54	special res.; no 1-yr wait (that condition omitted w.e.f. 7 May 2018)
Prohibition on preference share	55	Redeemable ≤ 20 yrs (infra 30 yrs)
Debenture Redemption Reserve	71	Out of profits; no voting rights on debentures

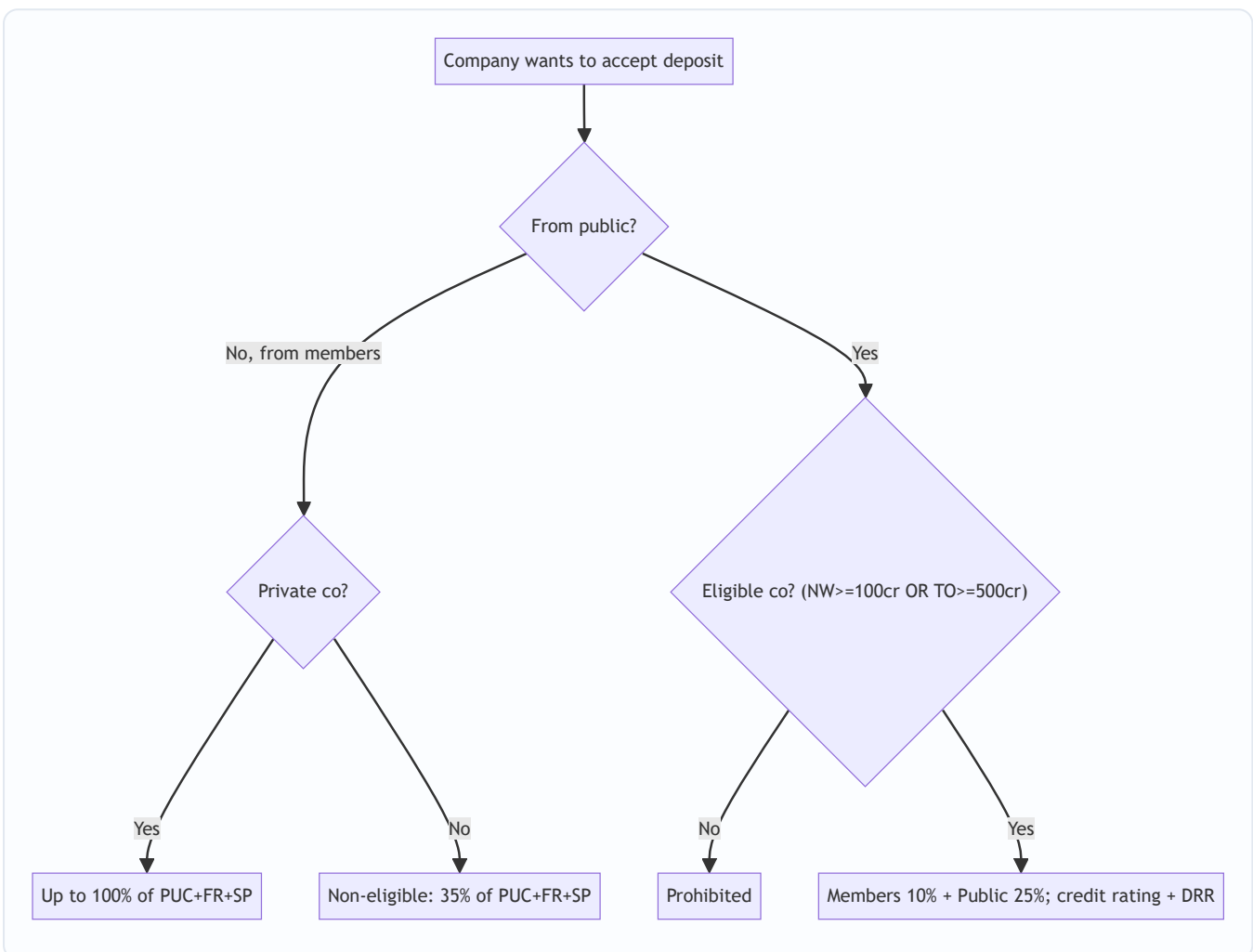
Capital: **Nominal / Issued / Subscribed / Called-up / Paid-up**. CRR (Sec 69) on buy-back = nominal value bought back.

4. Deposits (Ch. V, Sec 73–76)

- **Eligible company**: net worth ≥ ₹100 cr **or** turnover ≥ ₹500 cr + special res + SEBI/RBI compliance.

- **Deposit Repayment Reserve:** deposit **20%** of deposits maturing next FY into scheduled bank, **on/before 30 April**.
- **Deposit Repayment Reserve is NOT to be used** for any purpose other than repayment.

Depositor type	Limit (% of paid-up + free reserves + securities premium)
Non-eligible co. — from members	$\leq 35\%$
Eligible co. — from members	$\leq 10\%$
Eligible co. — from public	$\leq 25\%$
Private co. — from members	up to 100% (certain start-ups/conditions: no limit)



Tenure: **6 months to 36 months** (short-term for liquidity $\leq 10\%$ may be ≥ 3 months). Not secured by company's own shares.

5. Registration of Charges (Ch. VI, Sec 77–87)

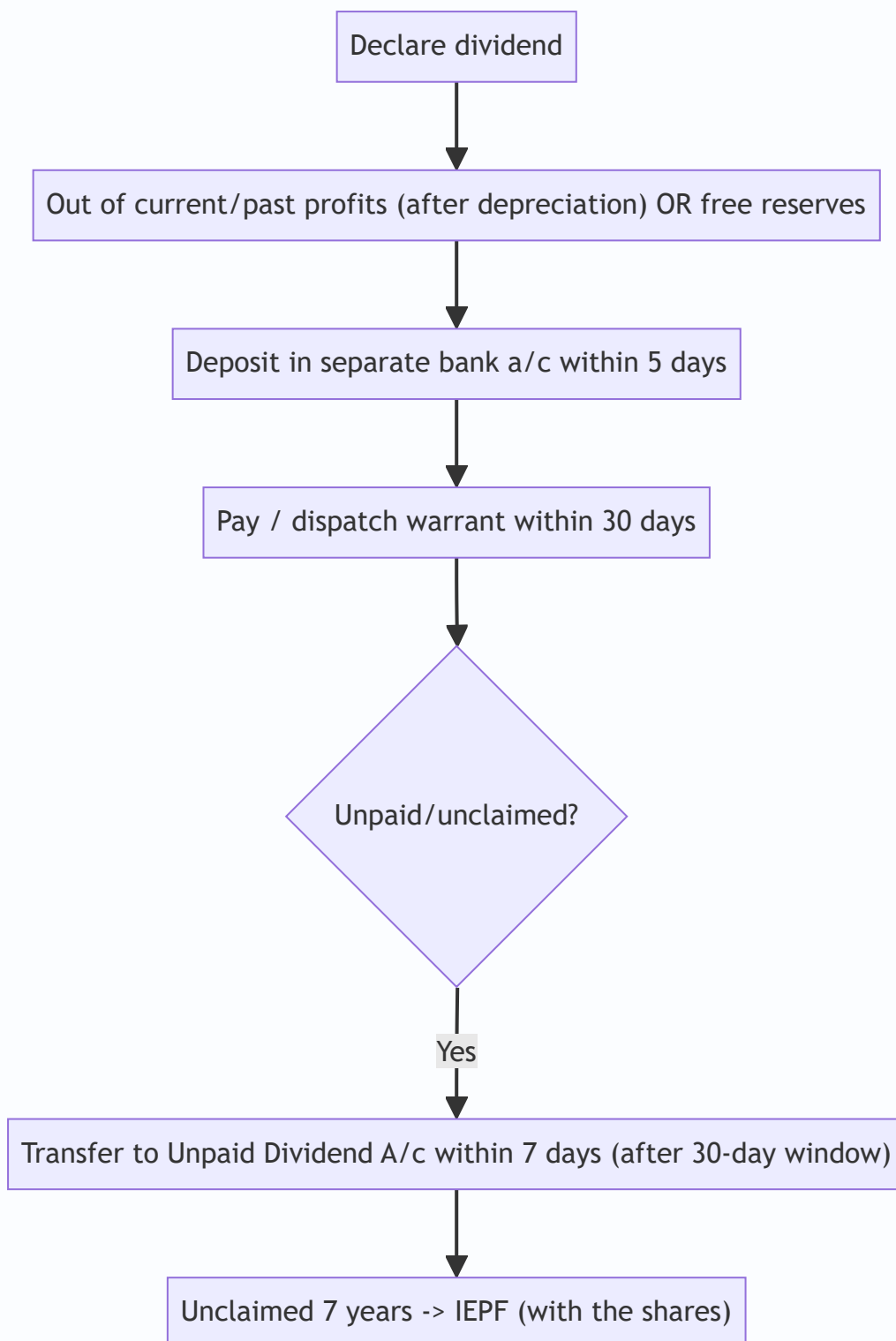
Item	Sec	Time limit
Register charge (created on/after 02.11.2018)	77	30 days ; Registrar may allow +60 days (add'l fee); further +60 days (ad valorem)
Created before 02.11.2018	77	30 days; condonation up to 300 days then 6 months of Amdt Act
Satisfaction of charge	82	Intimate within 30 days (Registrar may condone 300 days)
Register of charges (with co.)	85	CHG-7, permanent
Effect of non-registration	77	Charge void against liquidator/creditors; money still repayable

6. Management & Administration (Ch. VII)

Item	Sec	Limit / time
Annual Return	92	MGT-7; file within 60 days of AGM
AGM — first	96	Within 9 months of close of 1st FY
AGM — subsequent	96	Within 6 months of FY close; gap ≤ 15 months ; business hrs 9–6, not national holiday, at RO/city
EGM	100	By Board; on requisition (members holding ≥10% paid-up voting)
Notice of meeting	101	21 clear days (shorter with 95% consent)
Quorum	103	Public: 5 (≤1000 members), 15, 30; Private: 2
Proxy	105	Deposit 48 hrs before; proxy no speaking, votes only on poll; 1 person ≤ 50 members/5%
Resolutions filed	117	MGT-14 within 30 days
Minutes	118	Prepare/sign within 30 days
Beneficial interest declaration	89	Within 30 days
Significant Beneficial Owner	90	SBO ≥ 10%; BEN-1 to co. within 30 days
Register of members	88	Maintain from date of registration

Special resolution = ≥ $\frac{3}{4}$ votes. **Ordinary** = > 50%. Postal ballot (110) for items notified.

7. Dividend (Ch. VIII, Sec 123–127)



Item	Sec	Point
Interim dividend	123(3)	By Board; from surplus/current-yr profit
Rate cap on reserves	123 (Rules)	Draw from reserves $\leq$ avg of last 3 yrs' rates (loss year rule)
No dividend	123	If default in deposits repayment (subsists)
Unpaid Dividend A/c	124	Non-payment interest 18% p.a.
IEPF	125	Unclaimed 7 consecutive years $\rightarrow$ shares + dividend to IEPF

8. Accounts (Ch. IX) & Audit (Ch. X)

Item	Sec	Point / time
Books of account	128	At RO; preserve 8 years ; can keep electronic
Financial statements	129	True & fair; Sch III; consolidated if subsidiary
Filing of FS	137	File within 30 days of AGM (AOC-4); if no AGM, within 30 days of due date
Board's Report	134	Directors' Responsibility Statement
CSR	135	NW $\geq$ ₹500 cr or TO $\geq$ ₹1000 cr or net profit $\geq$ ₹5 cr $\rightarrow$ spend 2% of avg net profit (3 yrs); unspent transfer rules
Internal audit	138	Prescribed classes
First auditor	139(6)	By Board within 30 days ; else members in EGM within 90 days
Subsequent auditor	139	AGM appoints for 5 yrs ; ratification removed
Rotation	139(2)	Listed + prescribed: individual 1 term (5 yrs) , firm 2 terms (10 yrs) ; cooling 5 yrs
Removal of auditor	140	Special res + CG (CLB) prior approval ; resignation ADT-3 within 30 days
Auditor's powers/duties	143	Access to books; report on fraud ($\geq$ ₹1 cr $\rightarrow$ CG within prescribed)
Non-audit services barred	144	Accounting, internal audit, actuarial, investment banking, mgmt services etc.
Auditor eligibility	141	Disqualifications: business interest, indebtedness $>$ ₹5 lakh, relative holds security $>$ ₹1 lakh
Cost audit	148	CG may direct

CARO / fraud reporting — auditor duty; penalties u/s 147.

9. Directors & Board (context — key numbers)

Item	Sec	Limit
Min/Max directors	149	Public 3, Private 2, OPC 1; max 15 (more by special res.)
Resident director	149(3)	≥ 1 stayed ≥ 182 days in India
Woman director	149(1)	Listed + prescribed public cos
First Board meeting	173	Within 30 days of incorporation
Board meetings	173	Min 4/year ; gap ≤ 120 days (OPC/small/dormant: 1 each half-year, gap ≥ 90 days)
Retire by rotation	152	Public: ≥ ⅓ rotational; ⅓ retire each AGM
DIN / max directorships	165	≤ 20 companies (≤ 10 public)
Disqualification	164	Non-filing FS/AR 3 yrs; unpaid deposit/dividend 1 yr
Loan to directors	185	Prohibited (exceptions: MD/WTD scheme, ordinary course @ rate ≥ Govt bond)
Loans & investments	186	≤ 60% (paid-up+FR+SP) or 100% FR+SP; layers ≤ 2
Related Party Txn	188	Board/OR; interested member not vote
Disclosure of interest	184	MBP-1 at first BM / on change

10. LLP Act 2008

Item	Point
Nature	Body corporate, separate legal entity, perpetual succession; partners' liability limited
Partners	Min 2 , no max; min 2 designated partners , ≥ 1 resident in India (182 days)
Incorporation	FiLLiP; name reserved; LLP agreement (Sec 23) — if silent, First Schedule governs
Liability	Partner not liable for another's wrongful act/omission; LLP liable, partner personally for own fraud
Annual filings	Form 11 (Annual Return) within 60 days of FY close; Form 8 (Statement of Account & Solvency) within 30 days of end of 6 months of FY → by 30 Oct
Audit	Required if turnover > ₹40 lakh or contribution > ₹25 lakh
Conversion	Firm/Pvt co/unlisted public co → LLP (Sch II/III/IV)
Contribution	Tangible/intangible; form/valuation in agreement

11. General Clauses Act 1897

Sec	Rule
3(35)	" Month " = British calendar month
3(66)	" Year " = British calendar year (Jan–Dec)
6	Effect of repeal — no revival, saves rights/liabilities/penalties accrued
6A	Repeal of Act making textual amendment doesn't revive
9	" From " excludes first day; " to " includes last day
10	If prescribed period's last day is a holiday , act valid on next working day (not for limitation acts already covered)
13	Gender & number — masculine incl. feminine; singular incl. plural
16	Power to appoint incl. power to suspend / dismiss
21	Power to make orders/rules incl. power to add, amend, vary, rescind
27	Service by post deemed effected when correctly addressed, prepaid, posted (unless contrary proved)

12. Interpretation of Statutes

Primary rules: Literal/Grammatical → **Golden rule** (avoid absurdity) → **Mischief rule** (Heydon's case: 4 points — old law, mischief, remedy, reason) → **Harmonious construction** → **Beneficial construction**.

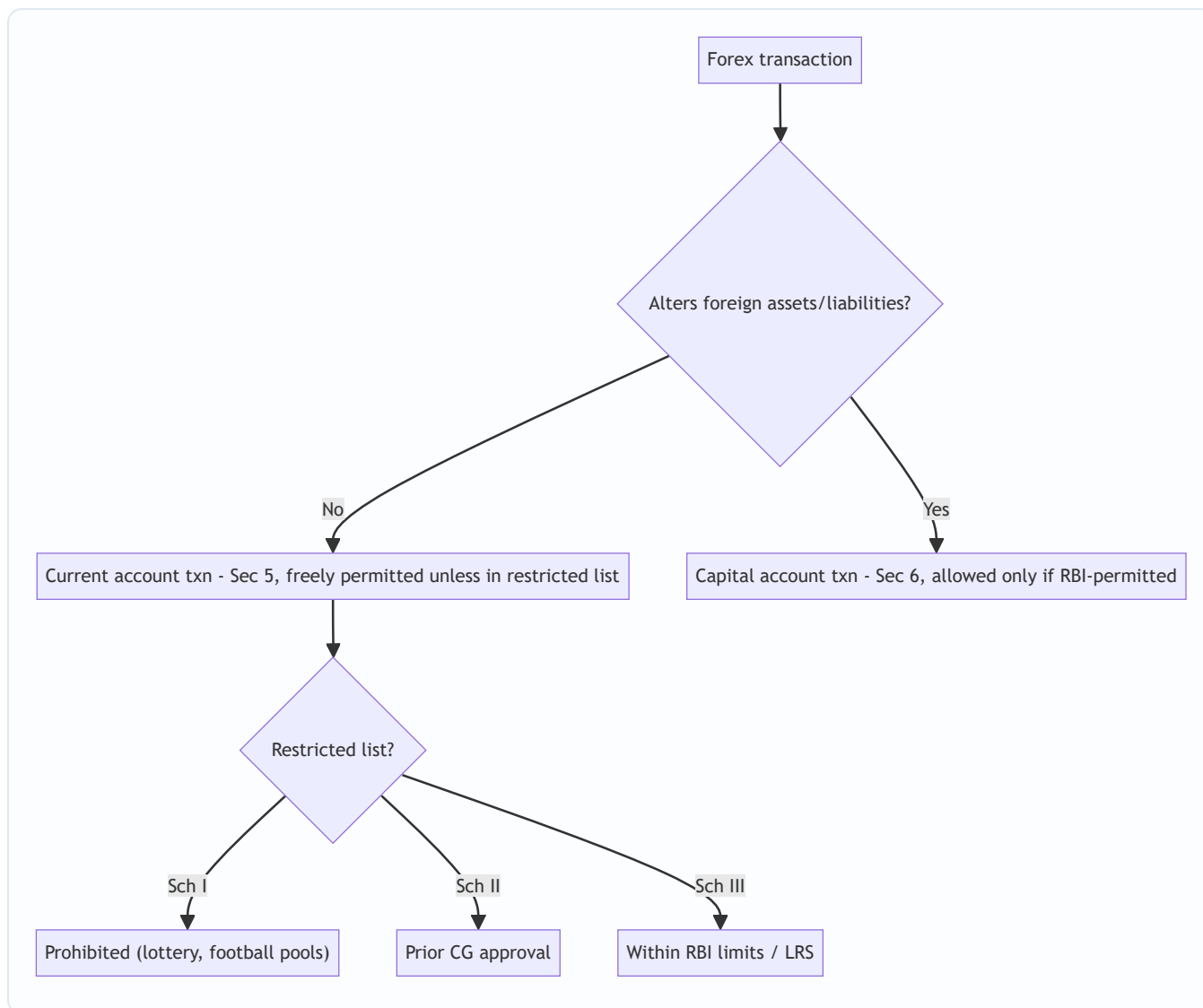
Aids — *Internal*: long/short title, preamble, headings, marginal notes, definitions, proviso, illustrations, explanation, schedules, punctuation. *External*: dictionaries, historical/parliamentary background, statement of objects, foreign decisions, later social/scientific.

Maxim	Meaning
Noscitur a sociis	Word takes meaning from surrounding words
Ejusdem generis	General words after specific → limited to same genus
Reddendo singula singulis	Refer each phrase to its appropriate subject
Expressio unius est exclusio alterius	Express mention of one excludes others
Contemporanea expositio	Old statute read as understood when passed
Ut res magis valeat quam pereat	Prefer construction that makes statute effective
Generalia specialibus non derogant	Special provision prevails over general

Mandatory ("shall") vs *Directory* ("may") — depends on intent, consequence of non-compliance.

13. FEMA 1999

Sec	Point
Object	Facilitate external trade + orderly forex market (regulatory, not draconian like FERA)
2(v)	Person Resident in India — resided > 182 days in preceding FY (excl. those leaving for employment/business abroad; incl. those coming for such)
2	Current account txn vs Capital account txn (alters assets/liabilities outside/in India)
3	No dealing in forex except through authorised person
5	Current account transactions — freely permitted unless restricted (CAT Rules 2000: Sch I prohibited, Sch II CG approval, Sch III RBI limits)
6	Capital account transactions — permissible as specified by RBI
7	Export — declare full value; realise/repatriate
13	Penalty — up to 3× amount involved (if quantifiable) or ₹2 lakh ; continuing ₹5,000/day
15	Compounding of contravention (before Adjudicating Officer / RBI)
46/47	CG rules / RBI regulations



Authorised person = authorised dealer/money-changer/offshore banking unit. **FDI vs FPI vs ECB** governed by RBI regs.

Rapid time-limit recall (days)

5 (dividend a/c) · 7 (unpaid div transfer) · 15–30 (rights) · 20 (name) · 21 (clear notice) · 30 (RO, allotment return, MGT-14, minutes, charge, first BM, FS filing, first auditor by Board) · 48 hrs (proxy) · 60 (transfer lodge, private placement, annual return) · 90 (first auditor by members) · 120 (BM gap) · 180 (commencement 10A / resident director days 182) · 300 (charge condonation) · IEPF 7 yrs · books 8 yrs.

Chapter 01 — Companies Act 2013: Preliminary & Key Definitions

"A company is not a thing you can touch. It is a legal fiction — an artificial person the law agrees to pretend exists. Every definition in this chapter is the law drawing the exact outline of that fiction, because the moment you invent an invisible person who can own property and owe money, clever people will try to abuse the gap between the fiction and reality."

1. The Problem — Why We Needed to Invent the "Company" at All

Imagine there is **no** company law. You and four friends want to build a railway. It needs crores of rupees, thousands of investors, and it will run for 100 years. Try to do this with only the ordinary law of partnership and contract, and you hit four brick walls:

Problem 1 — The business dies when a person dies. A partnership is just an *agreement between specific humans*. Legally, the firm **is** the partners. So the day one partner dies, retires, or goes insane, that partnership legally dissolves. A railway that must run for a century cannot re-form its legal existence every time a shareholder dies. Investors will not commit money to something that evaporates on a funeral.

Problem 2 — Unlimited, ruinous personal liability. In a partnership every partner is **jointly and severally liable** for the *whole* debt. If the firm owes ₹10 crore and cannot pay, creditors can seize *your house, your car, your savings* — not just the money you put in. Worse, they can chase *any one* partner for the *entire* amount. No sane small investor will buy ₹5,000 of railway shares if it means their entire net worth is on the hook for the railway's ₹500-crore debts. Without a liability cap, **mass public investment is impossible**.

Problem 3 — You cannot pool money from thousands of strangers. A partnership works between a handful of people who trust each other and all manage the business. It collapses at scale. You cannot have 40,000 shareholders each being a "partner" who can bind the firm and is personally liable for everything.

Problem 4 — Whose name owns the assets? If the firm *is* the humans, then the land, the trains, the tracks are owned by *the individuals jointly*. Every time ownership changes, title has to be re-registered to a new set of humans. Contracts are with *individuals*, so they must be re-signed. It is legally unworkable.

The deeper abuse the law also had to prevent: once you *do* invent a limited-liability artificial person, the opposite danger appears — **fraudsters hiding behind the fiction**. A cheat can set up "XYZ Ltd", take deposits from the public, siphon the money to himself, then let the company "fail" and say "*Sorry, the company owes you, not me, and the company has no money.*" So the same law that grants the shield must also define **when the shield can be ripped away**.

Every definition and doctrine in this chapter exists to solve one of these five problems: **death, ruin, scale, ownership, and the fraud that limited liability invites**.

A sixth, quieter problem — information asymmetry. Even honest strangers will not invest unless they can *find out* whom they are dealing with. In a partnership, the terms are private; nobody outside knows who the partners are or what the firm owes. The company solves this by being **a public creature**: it exists only on a **register kept by the Registrar of Companies (ROC)**, and it must file its constitution, its officers, its charges, and its accounts. So the definitions in this chapter are not just about *creating* the fiction — they are about

making it checkable. Whenever you wonder "why is this defined so precisely?", one honest answer is: *so an outsider can verify it before parting with money.*

Why not just use a trust or a co-operative? A trust holds property for beneficiaries but is not itself a person that can freely trade, sue, and take public capital; a co-operative serves its members on mutual principles, not open profit-seeking with tradeable shares. The company is the *only* form that simultaneously offers a separate person, transferable ownership, capped liability, and a public register — which is exactly why large commerce gravitates to it.

2. The Core Idea — The Artificial Person With a Ring-Fence Around It

The law's solution is one radical move: **create a new legal person.**

When a company is incorporated (registered), the law says: "*A brand-new person now exists — separate from every human who created it or owns it. It has its own name, its own PAN, can own property in its own name, can sue and be sued in its own name, can enter contracts, and — crucially — it lives until the law formally kills it, regardless of what happens to its members.*"

This single fiction dissolves all four practical problems at once:

- Because the person is **separate**, it owns its own assets — ownership problem solved.
- Because the person is **immortal until wound up** (perpetual succession), the death of members is irrelevant — the death problem solved.
- Because the *company* owes the debts (not the members), and members only promised to pay for their shares, member liability is capped at the unpaid value of their shares — **limited liability** — the ruin problem solved.
- Because the shares are transferable and the person is separate, thousands of strangers can invest small sums freely — the scale problem solved.

But the fifth problem — **fraudsters abusing the shield** — cannot be solved by the fiction itself. It is solved by a *counter-doctrine*: **lifting / piercing the corporate veil**. The "veil" is the imaginary curtain between the company and its members. Normally the court respects it. But when the fiction is being used *as a cloak for fraud, evasion, or sham*, the court will **look behind the curtain**, identify the real humans, and hold *them* liable.

So the whole architecture is a **shield plus an exception to the shield**:

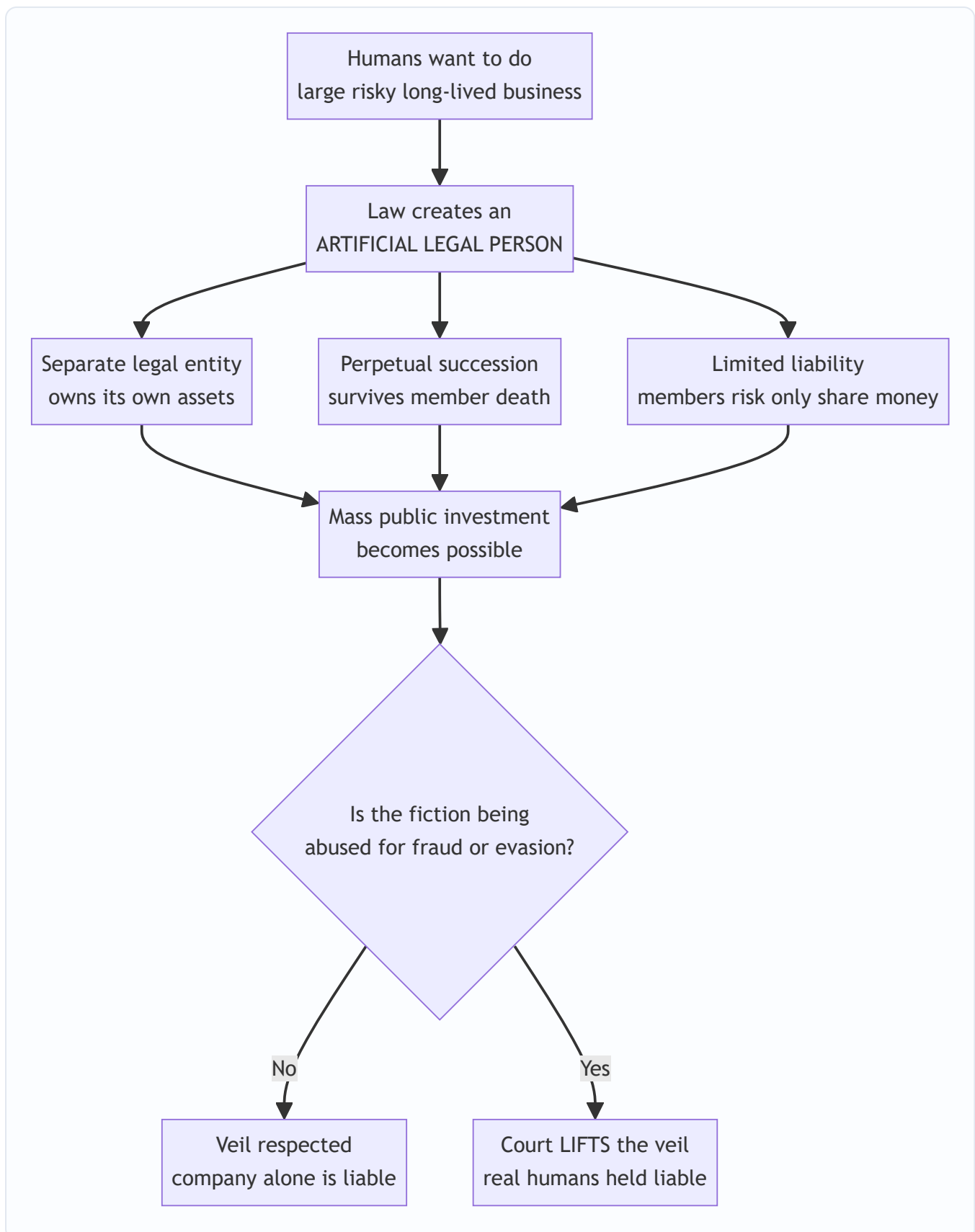


Figure 1 — The company is a shield the law grants, plus a court's power to withdraw the shield when it is abused.

A subtlety students miss — "artificial person" does NOT mean "citizen". A company is a *legal person* (it can own, contract, sue) but it is **not a natural person or a citizen**. It therefore *cannot* claim rights that the Constitution reserves to *citizens* (e.g., certain fundamental rights under Article 19 such as freedom of

speech/trade **as a citizen**), though it *can* claim rights available to any "person" (e.g., equality under Article 14, protection of property). It has **no body, no mind, and no soul** — so it cannot marry, take an oath in person, or go to jail; it acts only **through human agents** (Board, officers, members in meeting). This is why the law must always answer a second question after "is the company liable?" — namely, "**which human's act or intent is attributed to the company?**" That attribution question is the seed of the *alter ego* and *directing mind* doctrines you meet later.

The company as a "nexus of contracts". A useful first-principles lens: the company sits at the centre of a web of relationships — with members (via the constitution), directors (fiduciary duties), creditors (debt), employees (employment), and the State (regulation). The definitions in this chapter fix *who stands where* in that web, so that rights and duties attach to the right party. Get the category wrong and every downstream duty attaches wrongly.

3. Why It's Built This Way — The Logic of Each Safeguard

Before the section numbers, understand *why the machinery has the exact shape it has*. Each design choice is a plugged loophole.

- **Why "separate legal entity" is the foundation stone.** Everything else is a consequence. If the company were *not* a separate person, it could not own assets, could not survive members, and members could not have limited liability. This principle was cemented in **Salomon v. Salomon & Co. Ltd (1897)** — the House of Lords held that even a "one-man company" is legally distinct from that man, so his personal guarantee ranked ahead of unsecured creditors. The company, once validly incorporated, is a real legal person even if one human controls it entirely.
- **Why limited liability is capped at the *unpaid* amount, not zero.** The law does not let members walk away scot-free. If you agreed to buy shares of face value ₹10 and paid only ₹6, you still owe ₹4 — the company (or its liquidator) can call it. This protects **creditors**: the promised capital is a fund creditors can rely on. Limited liability limits your downside to *your promise*, not below it.
- **Why there are TWO ways to limit liability — by shares and by guarantee.** A trading company raises a permanent capital fund, so members' liability is naturally measured by their *shares* (limited by shares). But a club, trade association, or charity has little share capital and only needs a *backstop* if it winds up — so members instead promise a fixed sum payable **only on winding up** (limited by guarantee). The guarantee amount **cannot be called while the company is a going concern** — that is the whole point; it is a winding-up fund, not working capital. A company can even be *limited by guarantee and have share capital*, in which case a member is liable both for unpaid share money *and* the guarantee. And a company can be **unlimited** (Sec 2(92)) — members bear full liability, the trade-off being far lighter regulation and freedom to return capital. This spectrum (unlimited → guarantee → shares) is the *why* behind Section 2 having separate definitions for each.
- **Why the law forces sub-categories (private, public, OPC, small).** A one-size company law would either over-regulate the corner shop or under-regulate the listed giant. The abuse to prevent is **mismatched regulation** — crushing a small business with disclosure rules meant for a company holding public money, or letting a company with 40,000 public investors escape scrutiny meant for a family firm. So the Act **scales the compliance burden to the public interest at stake**. More public money and more outside stakeholders → more rules.

- **Why holding/subsidiary/associate must be *defined precisely*.** Once a company can *own shares in another company*, fraudsters build **pyramids of companies** to hide control, shift losses into a subsidiary, dodge consolidation, or claim two "separate" companies are unrelated when one secretly controls the other. Precise definitions (based on **share capital, voting power, and board control**) force the true web of control into the open through consolidated accounts.
- **Why "listed" is its own category.** A listed company has taken money from the **anonymous investing public** via a stock exchange. The public cannot individually negotiate protections, so the law (and SEBI) must impose them. Listing status is the trigger for the heaviest disclosure and governance load.
- **Why veil-lifting is deliberately *narrow* and mostly judge-made.** If courts pierced the veil casually, limited liability would be worthless and investment would dry up (back to Problem 2). So piercing is an **exception**, used only for fraud, evasion of law/obligation, sham, or specific statutory commands — never merely because it would be convenient for a creditor.
- **Why definitions use "means", "includes", and "means and includes" — and why it matters.** This is a first-principles drafting point the examiner loves. A definition that says "**means**" is **exhaustive** — nothing outside the words counts (e.g., Sec 2(20) "company" *means*). A definition that says "**includes**" is **extensive/illustrative** — it *adds* to the ordinary meaning without limiting it (so the term is broader than the list). "**Means and includes**" is exhaustive *for the listed items* — the drafter has both defined and enumerated. Reading a definition correctly is the exam skill: whether a borderline body falls inside a term often turns entirely on this one word. (This connects to Interpretation of Statutes in the Other Laws part.)
- **Why the Act layers "company" inside "body corporate" inside "person".** The law needs *concentric* categories so a rule can be aimed at exactly the right width — some rules bite only "companies incorporated under the Act", some bite any "body corporate" (catching foreign companies and LLPs), and some bite any "person". Getting the width right is a deliberate design lever, not sloppiness.

4. Full Technical Content — Section by Section, Each With Its "Why"

The Act is the **Companies Act, 2013** (India). Definitions live in **Section 2**. *Always confirm exact sub-clause numbers and current thresholds against the latest ICAI study material / bare Act, as amendments (esp. 2015, 2017, 2019, 2020, 2021) and rules revise limits.*

4.1 What a "company" is — Section 2(20)

Section 2(20): "company" means a company incorporated under this Act or under any previous company law.

Why so circular? Because the point is that a company is a **creature of statute** — it exists *only* because a law says it does and it was registered under that law. You cannot "become a company" by agreement, as you can a partnership. This ties company existence to the **register kept by the Registrar of Companies (ROC)**, which is what makes the public able to *check* who they are dealing with.

The characteristics that flow from incorporation (know these cold):

Characteristic	What it means	Problem it solves
Separate legal entity	Company is a person distinct from members	Ownership, and shielding members
Limited liability	Members liable only up to unpaid share value (or guarantee)	Ruinous personal liability
Perpetual succession	Company lives regardless of member death/exit until wound up	Business dying with a person
Common seal (now optional)	Historically the company's "signature"	Acting as a person in contracts
Separate property	Company owns assets in its own name; members have no insurable/ownership interest in company assets	Re-registering title on every change
Capacity to sue and be sued	In its own name	Enforcing/being held to obligations
Transferability of shares	Especially in public companies	Free flow of investment

Landmark hooks for memory: - *Salomon v. Salomon (1897)* — separate entity, even a one-man company. - *Lee v. Lee's Air Farming (1961)* — Lee could be **both** the controlling shareholder **and** an *employee* of his own company; when he died flying its plane, his widow claimed workers' compensation *from the company*. Company and man are different persons, so an employment contract between them is real. - *Macaura v. Northern Assurance (1925)* — Macaura owned all the shares of a timber company but insured the timber in his **own** name. Timber burned; insurer refused. Held: the *company* owned the timber, **not** Macaura, so he had **no insurable interest**. Separate property, ruthlessly applied.

Finer distinctions the exam probes:

- **"Common seal is now optional" — since when and so what?** The **Companies (Amendment) Act, 2015** made the common seal **optional**. If a company *chooses* to have one, documents can be executed under seal; if it does **not**, documents may be signed by **two directors, or one director and the company secretary** (or one director where there is only one). Trap: a question may assume a seal is *mandatory* — it is not.
- **Members vs shareholders — not always identical.** A **member** is one whose name is entered in the **register of members** (Sec 2(55)). A subscriber to the memorandum becomes a member on incorporation *even before shares are allotted or a certificate issued*. A person holding a **share warrant** (bearer) historically was a *shareholder* but **not** a member. So "member" is a register concept; "shareholder" is an ownership concept — usually the same person, but the exam can split them.
- **The company's nationality, residence, and domicile.** A company **has** a nationality, residence, and domicile (fixed by place of incorporation and registered office) — but it is **not a citizen** (see §2). This matters for tax residence and for the *Daimler* enemy-character point.
- **"Perpetual succession" precisely stated.** Members may come and go, be born or die, become insolvent or insane — the company's *legal identity* is unaffected. The stock aphorism: "*Members may come and members may go, but the company goes on forever*" — **until** it is wound up or struck off. It is **not unconditional immortality** (see Trap 12).

4.2 Private vs Public company — Sections 2(68) and 2(71)

Section 2(68) — Private company. A company which, by its **articles**: 1. **Restricts the right to transfer its shares** — *why?* A private company is a closed circle (often family/friends); it does not want outsiders forcing their way in, and it does not take public money, so shares are not freely tradeable. Note: the articles **restrict** (regulate), they do not **prohibit** transfer — a member can still transfer, subject to conditions (e.g., pre-emption / board approval). 2. **Limits the number of members to 200** (excluding present and past employees who are members) — *why 200?* It is the line between a "private, closed" body and one large enough that it is effectively raising money from the public. Joint holders count as one member. 3. **Prohibits any invitation to the public** to subscribe for securities — *why?* This is the core distinction: a private company must **not** tap the public. The moment you solicit the public, you must accept public-company scrutiny. *Minimum members = 2.*

Section 2(71) — Public company. A company which is **not** a private company, **and** (per the section's structure) a company that is a **subsidiary of a public company is deemed public** even if its articles say "private" — *why this deeming?* To stop the **pyramid trick**: making a subsidiary "private" on paper to escape rules, while a public company (and thus public money) sits above it controlling it. Substance over form. *Minimum members = 7; no upper limit; minimum directors = 3 (private = 2, OPC = 1).*

The three private-company restrictions dissected (why each is drafted as it is):

- The **200-member cap counts holders, not holdings**. **Joint holders** of one or more shares are treated as **a single member**. **Present and past employees** who became members *while in employment* and *continued* after leaving are **excluded** from the count. So a company can have far more than 200 *humans* on its register and still be private if enough of them are excluded categories or joint holders. *Exam favourite: given a messy shareholder list, compute the effective member count.*
- The cap is **200, not 50**. Fifty was the 1956 Act figure. Under the 2013 Act it is **200**.
- "Invitation to the public" is read **widely** — even a *private placement dressed up* can be caught. The prohibition protects the whole logic of the private/public divide.

Deemed public company — the exact mechanics. A private company that is a **subsidiary of a public company** is treated as a **public company for the purposes of the Act**, *even if its articles retain the three private-company restrictions*. Practically it must then meet public-company requirements (e.g., minimum 3 directors, no bar on being under public-company obligations), because public money/control sits above it. This is **substance over form** in statutory form.

Consequences that flow from the classification (why the label is worth fighting over): Private companies enjoy numerous **exemptions/relaxations** — e.g., fewer directors (2 vs 3), can commence business more simply, various procedural relaxations, and (for eligible ones) small-company reliefs. Public companies face stricter norms on acceptance of deposits, related-party transactions, managerial remuneration, and (if listed) SEBI's LODR. So misclassifying a company mis-assigns its *entire* compliance regime.

Note on paid-up capital. The 2013 Act originally prescribed a *minimum paid-up capital* (₹1 lakh private / ₹5 lakh public). The **Companies (Amendment) Act, 2015 removed** the minimum paid-up capital requirement. *Confirm in current material — many old questions still quote the old figures as a trap.*

4.3 One Person Company (OPC) — Sections 2(62) and 3

The problem OPC solves: A **sole** entrepreneur previously had a cruel choice — run a proprietorship (simple, but **unlimited personal liability**) or find a second person just to satisfy the "minimum 2 members" rule for a private company (artificial, often a sham nominee). Neither is honest. OPC (a J.J. Irani Committee recommendation) gives a **single** person the **limited-liability shield** without needing a fake second member.

Section 2(62): OPC = a company which has only one person as a member.

Key built-in safeguards (each solving a specific worry):

Feature	Rule	Why
Nominee	The sole member must name a nominee in the memorandum who becomes member on his death/incapacity	Perpetual succession needs a successor — with one member, death would otherwise kill the company
Who can form	Only a natural person who is an Indian citizen and resident in India; and can form only one OPC and be nominee in only one	Prevents shell-company chains and misuse by non-persons
Conversion trigger	Historically OPC had to convert to private/public if paid-up capital exceeded ₹50 lakh or average annual turnover exceeded ₹2 crore (over 3 years). <i>The 2021 rules removed these thresholds, allowing OPCs to grow and convert voluntarily — confirm current rule.</i>	Originally to push large businesses out of the "one-man" form; later liberalised to encourage entrepreneurship
Restrictions	OPC cannot carry on Non-Banking Financial Investment activities / invest in securities of other bodies corporate; a minor cannot be member or nominee	OPC is for a genuine solo operating business, not a holding/finance vehicle

Section 3 (formation) tells you how many people form each type: Public = 7 or more, Private = 2 or more, OPC = 1. **Memory hook: 7-2-1** (public–private–OPC).

OPC is legally a species of private company. Section 3(1)(c) creates OPC *as a private company*. So an OPC is a **private company with a single member** — it inherits private-company treatment except where the Act specifically relaxes it. This has practical bite: an OPC gets *additional* relaxations layered on top of private-company ones (e.g., **may dispense with AGMs**; simplified financials — cash-flow statement not required; board meetings — one director OPC can pass resolutions by entry in the minutes book). *Confirm exact reliefs in current material.*

The nominee mechanics (finer points): - The nominee's **written consent** is filed with the ROC at incorporation. - The nominee can **withdraw** consent; the member must then nominate another. - The member can **change** the nominee at any time. - On the member's death or incapacity to contract, the **nominee becomes the member** — securing perpetual succession *despite* there being only one member. The new member must in turn nominate someone.

Residency test — watch the exact number. "Resident in India" for OPC eligibility has been defined by reference to a **stay of a specified number of days in the previous financial year** — historically **182 days**, later reduced (the 2021 rules revised the period, and NRIs/Indian citizens were permitted to form OPCs). *This day-count is a classic amendment trap — verify the current figure and who is now eligible.*

4.4 Small company — Section 2(85)

The problem: A tiny company should not drown in the same compliance as a mid-size one. "Private company" alone is too broad — a ₹90-crore private company is not "small". So the Act carves a **sub-set of private companies** that get *relaxations* (fewer board meetings, no cash-flow statement, lighter penalties, simplified annual return).

Section 2(85): a small company is a company (not public) whose: - **paid-up share capital** does **not** exceed a prescribed limit, **and** - **turnover** does **not** exceed a prescribed limit.

Both conditions must be met (it is an **AND**). The figures have been raised repeatedly. Originally ₹50 lakh capital / ₹2 crore turnover; the widely-cited revised limits are **paid-up capital ≤ ₹4 crore and turnover ≤ ₹40 crore**. *Confirm the exact current limits in ICAI material — this is a favourite exam-update trap.*

Who can NEVER be a small company (the exclusions — and their logic): - a **public company** — by definition too open; - a **holding or subsidiary** company — it is part of a larger group, so not truly "small"; - a company registered under **Section 8** (non-profit) — different regime; - a company governed by a **special Act** (e.g., banks, insurers).

Why the exclusions? Each is a way someone might *look* small on its own numbers while actually being embedded in something large or public — the relaxations would then be abused.

Small-company status is DYNAMIC, not permanent. Because it depends on the *previous year's* capital and turnover, a company can **become** a small company one year and **cease** to be one the next as it grows (or shrinks). There is **no separate registration** as a "small company" — the status is simply a fact tested each year. *Exam angle:* "Company X was small last year; this year turnover crossed the limit — is it still small?" Answer: it **ceases** to enjoy the reliefs once either threshold is breached.

The relaxations a small company enjoys (know at least four): - **Fewer board meetings** — a small company may hold only **two board meetings a year** (one per half-year, with a minimum gap), instead of four. - **Cash-flow statement not required** as part of financial statements. - **Abridged / simplified annual return**, which may be **signed by the company secretary, or where there is none, by a director** (no mandatory PCS certification in the same way as larger companies). - **Lower / lesser penalties** for certain defaults (the Act provides reduced penalties for small companies and OPCs). - **Rotation of auditors** (Sec 139(2)) does **not** apply to small companies. *Confirm the current list against ICAI material — reliefs have been expanded over time.*

Distinguish the four "smaller-entity" concepts (examiners deliberately blur them): **OPC** (one member), **small company** (private + within capital/turnover limits), **dormant company** (Sec 455 — inactive/formed for a future project, no significant accounting transactions), and **Section 8** (non-profit). They overlap partly (an OPC that is small gets both sets of reliefs) but are defined by **different tests** — membership, size, activity, and object respectively.

4.5 Holding, subsidiary, and associate — Sections 2(46), 2(87), 2(6)

These three define **control relationships between companies**. The abuse to prevent: **hiding true control and shifting profits/losses across a corporate pyramid** so outsiders can't see who really runs and who really owns what.

Section 2(87) — Subsidiary company. Company B is a subsidiary of Company A (the holding company) if A: - **controls the composition of B's Board of Directors** (i.e., A can appoint/remove a majority of B's

directors), **OR** - **exercises or controls more than one-half of the total voting power** of B, either alone or with subsidiaries.

Why "OR" and why both a board test and a voting test? Because control can be exercised **two ways** — by owning the *votes* or by controlling the *board*. A cheat who owns only 40% but has a contractual right to name most directors still *controls* B. Covering both closes the gap.

Precision points on Sec 2(87) that decide marginal questions: - The voting-power test is "**more than one-half of the total voting power**" — read it as **> 50%**, *not* "**≥ 50%**". A flat **50–50** holding is **not** a subsidiary on the voting test (though board control could still make it one). Trap: "A holds exactly 50% of B's equity" → **not** a subsidiary via votes. - It is **voting power**, not merely **paid-up equity share capital** — because preference shares can carry votes in some situations and the real question is *who can out-vote whom*. Read the question for *voting* rights, not just shareholding percentage. - "**Composition of the Board**" is controlled when A can, *without anyone else's consent*, **appoint or remove all or a majority** of B's directors. Owning the *power to appoint the majority* is control even with a minority stake. - "**Total share capital**" — the 2017 amendment aligned the test around **total voting power** (earlier drafting/rules referenced "total share capital" including certain preference capital). *Verify the exact current wording — this has been amended.* - **Indirect control counts** — A controls B "either on its own or together with one or more of its subsidiary companies." So if A controls C, and A + C together control >50% of D, then **D is A's subsidiary** through the chain.

Layering restriction: The Act (via rules under Section 2(87) proviso) restricts the **number of layers of subsidiaries** (generally **not more than two layers**, with exceptions). *Why?* Endless subsidiary-of-subsubsidiary chains are exactly how money and control are hidden. *Confirm the current layer limit and exemptions* (e.g., acquisition of a foreign company with its own multi-layer structure is generally not counted, and certain classes are exempt).

Section 2(46) — Holding company. The mirror image: A is the holding company of B if B is its subsidiary. (Definition simply says a company of which other companies are subsidiaries.) Note the 2017 amendment clarified "company" here includes any **body corporate**.

Section 2(6) — Associate company. A company in which another company has a "**significant influence**" — meaning control of **at least 20% of total voting power**, *or* control of business decisions under an agreement — **but which is NOT a subsidiary** and is not a joint venture. *Why 20%?* Below control (>50%) but enough to *materially influence* — the accounting world's threshold for "you influence this company, so you must disclose it." A joint venture is also treated as an associate for this purpose.

Associate — the finer edges: - "Significant influence" = **≥ 20% of total voting power** *or* control of/participation in **business decisions under an agreement** — the *agreement* limb catches influence that does **not** show up as 20% shareholding. So a company holding only 15% but with a management/shareholders' agreement giving it a veto over key decisions can still be an associate. - The **2017 amendment** clarified that "significant influence" is measured on **total voting power** (not "total share capital"), and expressly stated a **joint venture** is an associate. *Verify wording.* - An associate is deliberately **not** a subsidiary — so it is **not** consolidated line-by-line but is brought into consolidated accounts by the **equity method** (Accounts chapter). The definition's job is to force *disclosure of influence*, one rung below control.

The clean ladder of control (memorise the numbers):

Relationship	Test	Threshold
Associate	Significant influence	≥ 20% voting power (but ≤ 50%, not control of board)
Subsidiary / Holding	Control	> 50% voting power OR control of Board composition

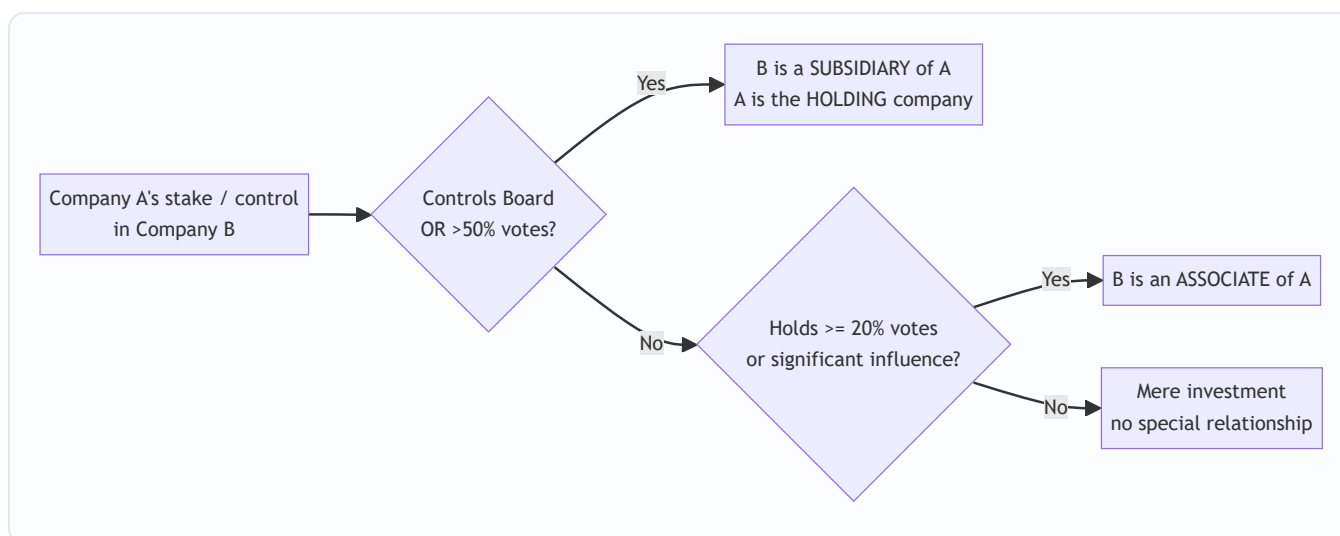


Figure 2 — The control ladder: cross 20% and you "influence"; cross 50% or control the board and you "own".

Chains and indirect control — worked mini-illustration. Suppose **A holds 60% of B**, and **B holds 55% of C**. Then B is A's subsidiary, and C is B's subsidiary — therefore, by Sec 2(87)'s "together with subsidiaries" logic, **C is also A's subsidiary**, and A is the **ultimate holding company**. Now if A *directly* holds 25% of D as well, D is A's **associate** (influence, not control) *unless* A + its subsidiaries together cross 50% of D, which would flip D into a subsidiary. Always add up **direct + indirect** control before answering.

4.6 Listed company — Section 2(52)

Section 2(52): a listed company means a company which has *any of its securities* listed on a recognised stock exchange.

Why a separate label? Because listing = the company sold securities to the **anonymous public** through an exchange. That public needs the strongest protection, so listing is the trigger for SEBI (LODR) regulations, extra disclosures, independent directors, audit committees, etc. **Note (2020 amendment):** the definition was refined so that companies which list *only certain classes of securities* (e.g., only debt/NCDs on certain terms) may be **excluded** from being "listed" for some purposes — *confirm current carve-outs*. The logic: full listed-company burden should fall where **public equity** is truly in play.

Precision points: - The trigger is "**any of its securities**" — not necessarily *equity*. A company with only its **debentures/NCDs** listed can fall within "listed" (subject to the 2020 carve-outs). *So a "listed company" is not automatically a "listed equity company"*. - A **private company can, in a narrow sense, have listed securities** (e.g., listed debt) and thus attract certain listed-company obligations — which is exactly why the 2020 carve-out was introduced, to avoid over-burdening companies whose *equity* is not public. *Verify the exact classes excluded*. - "Recognised stock exchange" points to the **Securities Contracts (Regulation) Act, 1956** — a definitional hand-off to securities law.

4.7 Other key definitions worth exact recall

Section	Term	One-line essence	Why it exists
2(11)	Body corporate	Any incorporated body, incl. foreign companies & LLPs; excludes co-operative societies & specified bodies	Broader than "company"; used so rules catch all corporate forms
2(20)	Company	Incorporated under this/previous Act	Creature of statute
2(45)	Government company	≥ 51% paid-up capital held by Central/State Govt (alone or together)	Public money = special audit (CAG)
2(42)	Foreign company	Incorporated outside India but has a place of business/operations in India (incl. electronic mode)	Bring foreign firms operating here under Indian disclosure
2(85)	Small company	Private + capital & turnover under limits	Proportionate lighter compliance
2(62)	OPC	One member	Limited liability for a solo founder
2(30)	Debenture	Instrument evidencing a debt (incl. bonds)	Defines the borrowing instrument
2(84)	Share	Share in the share capital of a company	The unit of ownership
2(55)	Member	Subscriber to MOA, or one whose name is in the register of members / beneficial owner in depository	Fixes <i>who</i> has membership rights
2(60)	Officer in default	Specific officers liable for a default	Pins criminal/civil liability on a human
2(88)	Sweat equity	Shares issued to employees/directors for know-how / value addition	Reward without cash outflow
2(31)	Deposit	Receipt of money by deposit/loan (with exclusions)	Protects public money lent to companies
2(76)	Related party	Defined web of connected persons/entities	Controls conflicted transactions
Sec 8	Non-profit company	Formed to promote commerce, art, science, charity etc.; profits applied to objects, no dividend	Charitable objects without the "Ltd"/"Pvt Ltd" tag

Government company — two traps. (i) The 51% may be held by Central Govt, **any State Govt(s), or partly Central + partly State** — a mix still counts. (ii) A **subsidiary of a Government company** is *itself* a Government company. It is **not** an "agent of the Government" and its employees are **not** government servants — it remains a *separate legal person* (State-owned ≠ State).

Section 8 (non-profit) — key features. Formed to **promote** commerce, art, science, sports, education, research, social welfare, religion, charity, environment protection, etc.; **applies profits/income only to promoting its objects; prohibits dividend** to members. In return it gets to **drop "Limited"/"Private Limited"** from its name and enjoys certain exemptions. It is licensed by the Central Government; the licence can be **revoked** for breach, and a Section 8 company **cannot** be a "small company" and has restrictions on alteration of objects.

4.8 Lifting / Piercing the Corporate Veil — the counter-doctrine

Recall the fifth problem: limited liability **invites** fraud. The veil is the separation between company and members. Courts (and the statute) **lift** it — treat the company and the humans as one — in these situations:

A. Judicial (judge-made) grounds — the court looks behind the curtain when:

1. **Fraud or improper conduct / to defeat the law.** The classic: *Gilford Motor Co. v. Horne* (1933) — Horne signed a non-compete, then formed a company to solicit his old employer's customers, arguing "the company is competing, not me." Court saw the company as a **sham/cloak** and enforced the covenant against it. *Jones v. Lipman* (1962) — Lipman contracted to sell land, then transferred it to a company he controlled to escape the sale. Court pierced the veil and ordered specific performance.
2. **Enemy character in wartime.** *Daimler Co. v. Continental Tyre* (1916) — a company registered in England but controlled by German nationals during WWI was treated as an **enemy**; the court looked at *who really controlled it*.
3. **Evasion of tax or a legal obligation.** Where a company is a device to dodge tax (*Sir Dinshaw Maneckjee Petit* — a man formed companies purely to receive his own income and reduce tax; veil lifted). Also *CIT v. Meenakshi Mills* line of reasoning in the revenue context.
4. **Sham / façade / mere agent.** Where the company is really just the **alter ego or agent** of the members with no independent business.
5. **Protecting public interest / preventing injustice.**
6. **Determining the true character / single economic entity** where justice requires treating a group as one (used cautiously; e.g., *State of U.P. v. Renusagar Power Co.* — parent and subsidiary treated as one for a specific statutory purpose).

A key modern caution — evasion vs concealment (the *Prest* refinement). English law (*Prest v. Petrodel*, 2013) clarified that the veil is truly *pierced* only to defeat an **evasion** of an *existing* legal obligation using the company as a device; where the issue is merely **concealment** (finding out who is really behind the company) courts use *ordinary* legal tools (agency, trust, attribution) *without* piercing. Indian courts increasingly reason similarly. The exam point: **piercing is a last resort**, invoked only when no ordinary doctrine achieves justice and the company is a *device to evade*.

B. Statutory grounds — the Act itself lifts the veil:

Situation	Section (confirm)	Who becomes personally liable
Fraudulent conduct of business during winding up / otherwise	Sec 339 (fraudulent trading)	Persons who ran the business with intent to defraud creditors — personally, without limit
Misrepresentation in prospectus	Sec 34 / 35	Directors, promoters, experts — for loss to investors
Failure to return application money / mis-statement	Sec 26, 35	Persons responsible
Officer in default provisions	Sec 2(60) & various	The specific human "officer in default"
Misstatement / fraud generally	Sec 447	Persons guilty of fraud — punishment + liability
Ultra vires / improper acts	various	Directors personally

Why the statute keeps some grounds explicit rather than leaving all to judges? For **certainty** — creditors and investors need to know in advance that fraud will not hide behind the shield, and courts need a firm hook.

Consequence of lifting — what actually happens. Lifting the veil does **not** dissolve the company or make members owners of its assets generally. It is **issue-specific**: for *that* transaction or *that* liability, the court disregards the separateness and attributes the act/liability to the humans (or treats two companies as one). Outside that issue, the company remains a separate person. *This narrowness is the whole point.*

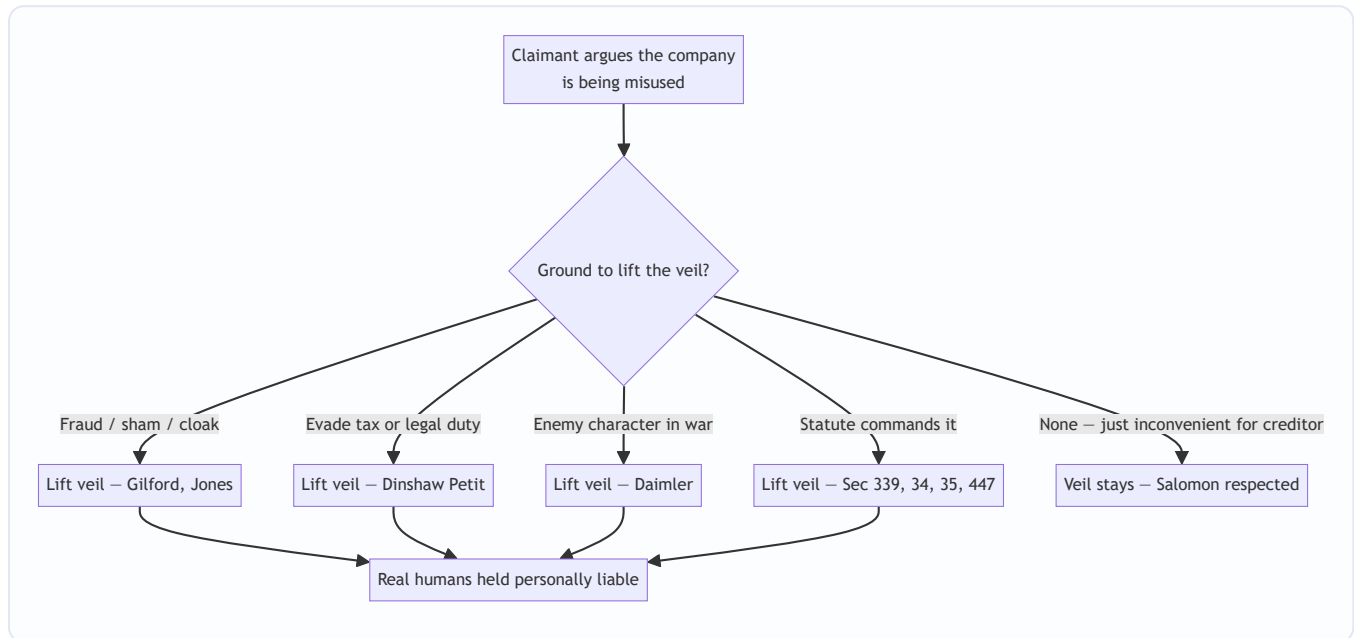


Figure 3 — Veil-lifting decision tree: the shield is withdrawn only for fraud, evasion, enemy character, or a statutory command — never mere convenience.

5. Applied Scenarios (exam-style, reasoned to the outcome)

Scenario 1 — The uninsured sawmill (separate property). *Facts:* R owns 100% of the shares of Timber Pvt Ltd, which owns a stock of logs. R insures the logs in **his own name**. A fire destroys them. The insurer refuses to pay. *Reasoning:* The logs belong to **Timber Pvt Ltd**, a separate legal person (Sec 2(20)). A shareholder — even a 100% shareholder — has **no ownership or insurable interest** in the company's assets (*Macaura v. Northern Assurance*). R insured property he did not legally own. *Outcome:* Insurer is **not liable**; R cannot recover. The correct step would have been for **the company** to take the policy.

Scenario 2 — The "private" subsidiary of a public parent. *Facts:* Alpha Ltd (a public company) holds 90% of Beta's shares. Beta's articles restrict share transfer, cap members at 200, and ban public invitations — so Beta calls itself a private company and claims private-company relaxations. *Reasoning:* Under Sec 2(71), a company that is a **subsidiary of a public company is deemed to be a public company**, whatever its articles say. Beta is >50% controlled by Alpha, so Beta is Alpha's subsidiary (Sec 2(87)), hence **deemed public**. *Outcome:* Beta must comply as a **public company**; it **cannot** claim private-company or small-company relaxations. (Substance over form defeats the pyramid trick.)

Scenario 3 — The non-compete dodged through a new company. *Facts:* H sold his business and signed a covenant not to solicit its customers for 3 years. Six months later he forms "H Solutions Pvt Ltd", of which he is the sole controller, and *the company* starts soliciting those very customers. H argues, "I am not competing — a separate legal person is." *Reasoning:* The company is a **mere cloak / sham** created to evade a legal

obligation (*Gilford Motor v. Horne*). Courts lift the veil where the corporate form is a device to defeat the law. *Outcome*: The court **lifts the veil**, treats the company as H himself, and **enforces the covenant** (injunction) against both H and H Solutions Pvt Ltd.

Scenario 4 — Is it "small"? *Facts*: Gamma Pvt Ltd has paid-up capital ₹3 crore and turnover ₹50 crore. Delta Pvt Ltd has capital ₹1 crore, turnover ₹20 crore, but is a subsidiary of Omega Ltd. *Reasoning*: Small company (Sec 2(85)) needs **both** capital **and** turnover under the limits ($\approx ₹4 \text{ cr} / ₹40 \text{ cr}$ — *confirm current*). Gamma fails the **turnover** test ($₹50 \text{ cr} > ₹40 \text{ cr}$) → **not small**. Delta meets the numbers but is a **subsidiary**, which is an **express exclusion** → **not small**. *Outcome*: Neither qualifies as a small company. (Remember: numbers are AND, and holding/subsidiary is auto-excluded.)

Scenario 5 — The lone founder wanting a shield. *Facts*: S, an Indian resident citizen, wants limited liability but has no partner and no wish to invent a fake second member. *Reasoning*: An **OPC** (Sec 2(62), Sec 3) lets a single natural person incorporate with limited liability. S must **nominate** a person (for perpetual succession) and can form only **one** OPC. Minimum directors = 1. *Outcome*: S incorporates an OPC, names a nominee in the memorandum, and gets the shield honestly.

Scenario 6 — Counting members of a private company (the exclusion trick). *Facts*: Zeta Pvt Ltd's register shows 205 names. Of these, **8 are jointly-held pairs** (i.e., 8 pairs of two persons each = 16 names but 8 holdings held jointly), and **12 are present or past employees** who acquired shares while employed and continue to hold them. Zeta fears it has breached the 200-member cap for a private company. *Reasoning*: Sec 2(68): (a) **joint holders count as ONE member**. The 8 joint pairs occupy 16 names but count as 8 members — a reduction of 8. (b) **Present and past employee-members are EXCLUDED** from the 200 count — remove 12. *Working (self-verified)*: Start 205 names. Joint holders: 16 names collapse to 8 members → $205 - 8 = 197$ members. Exclude 12 employee-members → $197 - 12 = 185$ counted members. Since $185 \leq 200$, Zeta is **within the limit** and remains a valid private company. *Outcome*: No breach. *Reconciliation*: even with 205 humans on the register, the *legal member count for the cap* is 185. (Trap the examiner sets: counting raw names.)

Scenario 7 — Exactly 50% is NOT control (the subsidiary threshold). *Facts*: P Ltd holds **50%** of the equity voting shares of Q Ltd; the remaining 50% is held by an unrelated investor. P Ltd has **no** right to appoint a majority of Q's Board. Is Q a subsidiary of P? Separately, R Ltd holds **26%** of Q under a shareholders' agreement giving R a veto over Q's key business decisions. *Reasoning*: Sec 2(87) subsidiary test on votes is **"more than one-half"** — i.e., $> 50\%$. P holds *exactly* 50%, which is **not** more than half, and P does not control the Board → **Q is NOT P's subsidiary**. For R: 26% exceeds the **20%** significant-influence threshold *and* there is an agreement to control business decisions → **Q is an ASSOCIATE of R** (Sec 2(6)), provided Q is not R's subsidiary (it is not). *Cross-check*: Total voting power adds up ($50 + 26 + \text{others}$), and no single party crosses 50%, so **Q has no holding company** — consistent with "no one controls it." *Outcome*: Q is nobody's subsidiary; Q is R's associate. (Twin trap: treating 50% as control, and forgetting the *agreement* limb makes even a sub-20%/low stake an associate.)

Scenario 8 — Indirect control through a chain (add direct + indirect). *Facts*: A Ltd holds **70%** of B Ltd. B Ltd holds **60%** of C Ltd. A Ltd *also* directly holds **15%** of C Ltd. Is C a subsidiary of A? *Reasoning*: B is A's subsidiary ($70\% > 50\%$). C is B's subsidiary ($60\% > 50\%$). Under Sec 2(87), A controls voting power in C **"together with its subsidiary"** B. Even ignoring A's direct 15%, A *controls* B which controls 60% of C, so **C is A's subsidiary through the chain**. (A's direct 15% + control of B's 60% only reinforces it.) *Self-verify with the layering rule*: $A \rightarrow B \rightarrow C$ is **two layers** of subsidiaries below A, which is generally *within* the permitted limit (*confirm current layer cap*). *Outcome*: **C is a subsidiary of A**, and A is the **ultimate holding company** of both

B and C. Consolidated accounts of A must include B and C. (Trap: judging C only by A's *direct* 15% and wrongly calling it a mere associate.)

Scenario 9 — Salomon holds: one-man company, honest use, veil stays. *Facts:* M owns 99.9% of NovaTech Pvt Ltd and runs it single-handedly. NovaTech, having genuinely traded, becomes insolvent owing ₹80 lakh to trade creditors. There is **no fraud** — just business failure. Creditors demand M pay personally, arguing "he is the company." *Reasoning:* *Salomon v. Salomon* — a validly incorporated company is a **separate person even if one human owns and runs it entirely**. Mere control, or the company's inability to pay, is **not** a ground to lift the veil (Trap 8). No fraud, sham, evasion, or statutory trigger is present. *Outcome:* Creditors **cannot** reach M personally; their claim is against NovaTech's assets only. M's downside is limited to his unpaid share money (here, nil if fully paid). *Contrast Scenario 3:* there, the company was a **cloak to evade an existing obligation** — here it is a genuine business that failed. That single difference flips the result.

6. Procedure / Compliance Summary — Choosing and Forming the Right Type

While detailed incorporation is Chapter 2, the *definitional choices* made at formation are here:

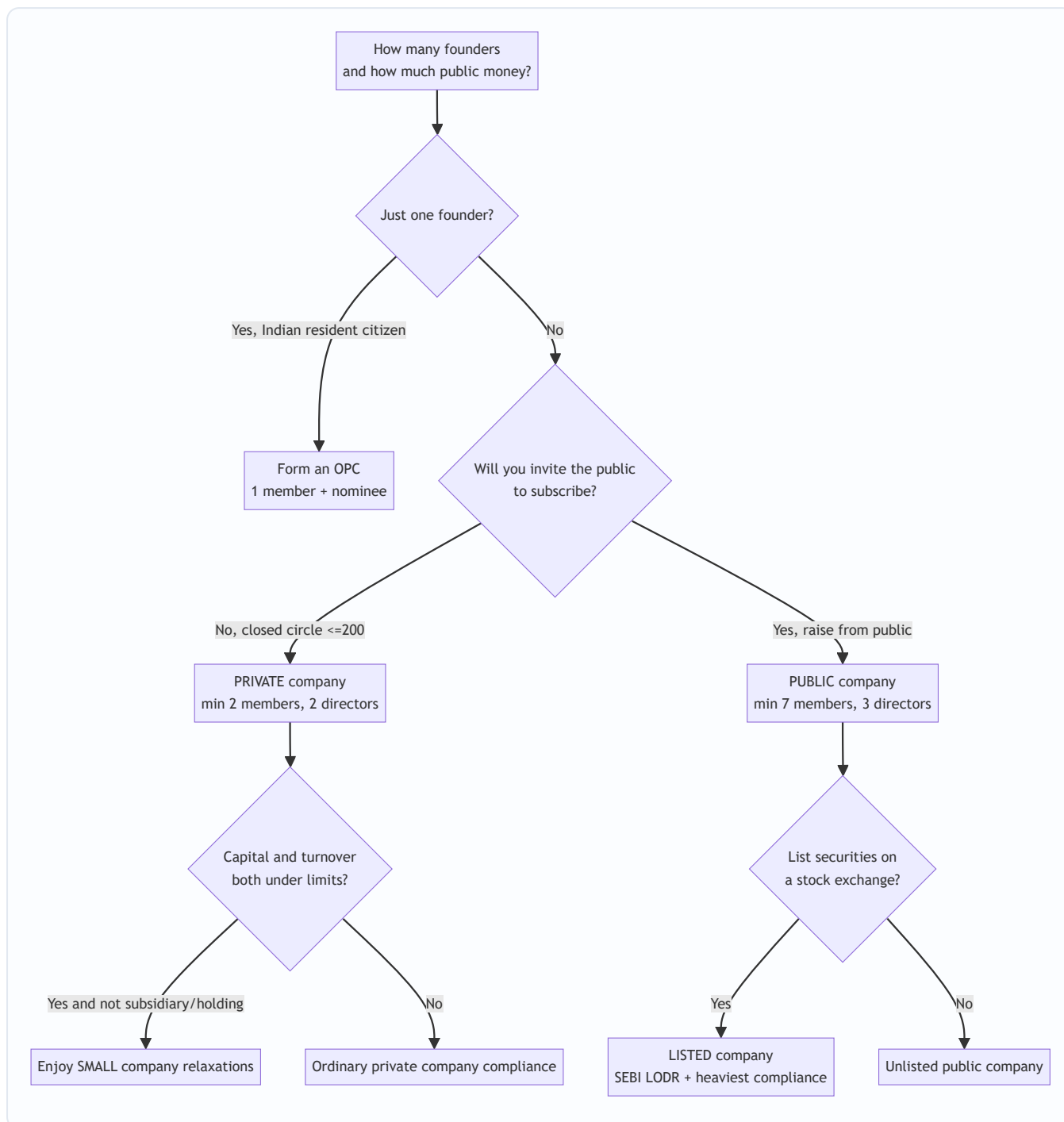
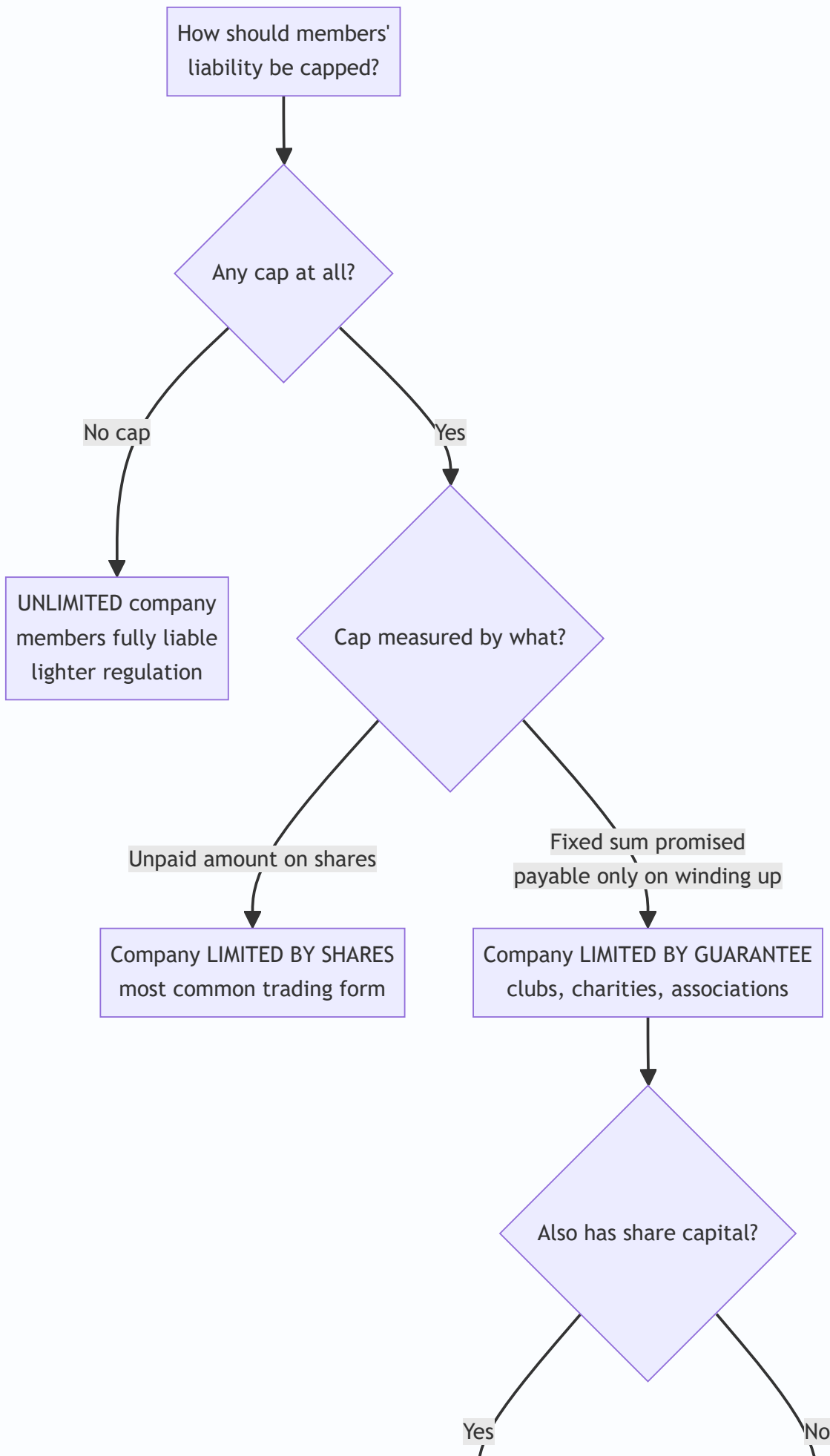


Figure 4 — Formation decision tree: the founder count and the appetite for public money drive the legal category, which drives the compliance load.

A second axis runs across that tree — **how members' liability is limited** — which is chosen at drafting of the memorandum, independent of private/public:



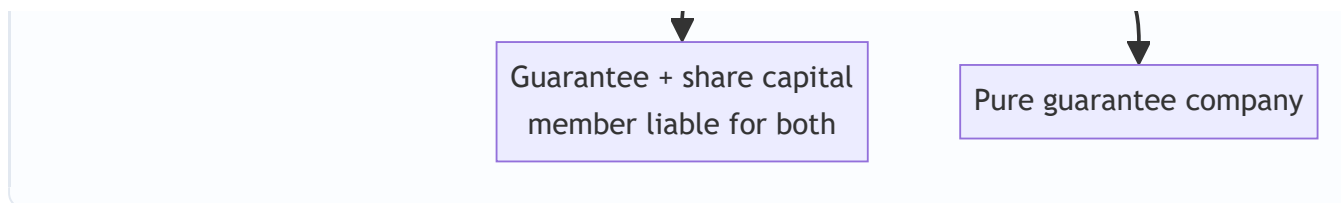


Figure 5 — The liability axis: unlimited, limited by shares, or limited by guarantee with or without share capital.

Formation minimums at a glance:

Type	Min members	Max members	Min directors	Public invitation?
OPC	1	1	1	No
Private	2	200	2	No
Public	7	No limit	3	Yes

Key forms/registers (indicative — detailed in Ch. 2): SPICe+ (INC-32) for incorporation, INC-33/34 (e-MOA/e-AOA), AGILE-PRO (for GSTIN/EPFO/ESIC/bank account), and the ROC register that makes company status publicly verifiable. *Confirm current form names.*

Consequences of the classification on ongoing compliance (why the choice is not cosmetic):

Dimension	Private (esp. small)	Public / Listed
Min directors	2 (OPC 1)	3 (listed: often more + independent directors)
Board meetings/yr	4 (small: 2)	4 (listed: with committees)
Cash-flow statement	Not required if small	Required
Public deposits	Tighter limits/from members	Broader regime under Sec 73–76
SEBI LODR	No	Listed: Yes
Auditor rotation (Sec 139(2))	Not for small/OPC	Applies to prescribed public cos

Confirm all specifics against current ICAI material.

7. Connections — How This Chapter Wires Into the Rest of the Law

- **Chapter 2 (Incorporation, MOA/AOA):** The definitions here decide *which* incorporation route, capital clause, and object clause you use. "Separate legal entity" is *born* at incorporation (Sec 9).
- **Prospectus & Public Deposits:** "Public company" and "listed company" status are the triggers for prospectus rules (Sec 23–42) and deposit rules — because those chapters are about **public money**, the very thing these categories track.
- **Accounts & Audit:** Holding/subsidiary/associate (Sec 2(6), 2(46), 2(87)) drive **consolidated financial statements** (Sec 129) — the whole point of defining control is to force the group's true picture into the accounts. Small-company/OPC status drives *reliefs* (no cash-flow statement, fewer meetings, no auditor rotation).
- **Directors:** Minimum director counts (1/2/3) and "officer in default" (Sec 2(60)) connect to Board composition and personal liability.

- **Related-party & conflicted transactions:** Sec 2(76) "related party" and the holding/subsidiary/associate web feed Sec 188 (related-party transactions) and loan-to-director rules.
 - **Winding up / IBC:** Veil-lifting for **fraudulent trading (Sec 339)** connects to insolvency; the shield's limits matter most when the company is dying.
 - **SEBI Act & LODR:** "Listed company" hands off to the securities-law regime; "recognised stock exchange" hands off to the SCRA 1956.
 - **Other Laws (Interpretation of Statutes):** Reading definitions ("means" vs "includes", inclusive vs exhaustive) is itself an examinable skill in the Other Laws part — and this chapter is where you first apply it.
-

8. Traps & Examiner Tricks

1. **Minimum paid-up capital is GONE.** The 2015 amendment removed the ₹1 lakh/₹5 lakh minimums. Questions quoting them as *current* are testing whether you know the amendment. There is **no** minimum paid-up capital now.
2. **Small company numbers are "AND", exclusions are automatic.** Both capital **and** turnover must be under the limits. A holding **or** subsidiary company, a Section 8 company, and a company under a special Act can **never** be small — regardless of their numbers.
3. **Subsidiary-of-public is deemed public.** Even with private-company articles, a subsidiary of a public company is public (Sec 2(71)). Classic trap.
4. **Member count: "200" vs "50".** Under the 2013 Act a private company limit is **200** (it was 50 under the 1956 Act). Old figure = trap. Also: **past/present employee-members are excluded** from the count, and **joint holders count as one**.
5. **Associate vs Subsidiary threshold.** Associate = $\geq 20\%$ voting power (significant influence, *or* control of business decisions by agreement). Subsidiary = $> 50\%$ or **board control**. Do not confuse "significant influence" (20%) with "control" (50%).
6. **Macaura trap.** A 100% shareholder still does **not** own the company's assets and has **no** insurable interest in them.
7. **Salomon holds even for one-man companies.** A validly incorporated company is separate even if one person owns and runs everything. Do **not** lift the veil merely because one person controls the company — you need fraud/evasion/sham/statute.
8. **Veil-lifting is narrow.** Mere inconvenience to a creditor, or the company simply being unable to pay, is **not** a ground. Look for **fraud, sham, evasion, enemy character, or an express statutory provision**.
9. **"Body corporate" $\neq$ "company".** Body corporate (Sec 2(11)) is broader — includes foreign companies and LLPs — but **excludes** co-operative societies and certain notified bodies. A question may hinge on this width.
10. **OPC restrictions.** Only a **natural person, Indian citizen and resident**; can form **one** OPC and be nominee in **one**; **cannot** do NBFI/invest-in-securities activity; a **minor** cannot be member/nominee. The old ₹50 lakh/₹2 crore mandatory-conversion thresholds were **relaxed** in 2021 — check current position and the revised **residency day-count**.
11. **Listed definition carve-out (2020).** Some companies listing only specified securities (e.g., only certain debt) may be excluded from "listed" for certain purposes. "Listed" $\neq$ "listed equity". Watch the update.

12. **Perpetual succession ≠ immortality.** The company survives *members'* deaths, but it **can** be wound up / struck off — it lives *until the law ends it*, not forever unconditionally.
13. **"More than half" vs "at least half".** Subsidiary voting test is **> 50%**; **exactly 50%** is NOT a subsidiary on votes. Similarly Government company is **≥ 51%** (not "more than half loosely").
14. **Voting power ≠ shareholding %.** Sec 2(87)/2(6) turn on **voting power**, which can diverge from equity percentage where preference or differential-rights shares vote. Read for *votes*, not just holding.
15. **Common seal is optional (2015).** Do not assume a document needs a seal; two directors (or a director + CS) can execute.
16. **Member ≠ shareholder always.** Subscribers to the MOA are members on incorporation before allotment; register-of-members entry is what makes a "member".
17. **Government company is still a separate person.** Its employees are **not** government servants; State ownership does not make it "the State" for every purpose.
18. **OPC is a private company.** It gets private-company treatment *plus* extra OPC reliefs — do not treat it as a wholly separate species with no private-company rules.
19. **Guarantee amount cannot be called while a going concern.** In a company limited by guarantee, the guaranteed sum is payable **only on winding up** — a question implying it funds day-to-day operations is wrong.

9. First-Principles Recap

Strip everything away and rebuild it from zero:

1. Big, long-lived, risky business needs **money from many strangers**. Strangers won't invest if the venture **dies with a person, ruins them personally**, or is a **black box they cannot check**.
2. The law's fix: **invent an artificial legal person** — separate, immortal-until-wound-up, owning its own assets, and **registered publicly** so outsiders can verify it. From this one fiction fall **separate entity, perpetual succession, separate property, capacity to sue, and (via a promise-cap) limited liability**. (*Salomon, Lee, Macaura.*)
3. That person is **not a citizen and has no mind of its own** — so the law must always answer "**whose act/intent is attributed to it?**", and it must choose **how liability is capped** (unlimited → guarantee → shares).
4. The fiction must be **regulated in proportion to the public interest at stake** — hence the categories. One founder → **OPC** (a private company for a solo owner). Closed circle, no public money → **private**; if tiny → **small** (relaxations). Public money → **public**; if traded on an exchange → **listed** (heaviest load).
5. Once companies can **own other companies**, control hides in **pyramids** — so the law defines control precisely: **≥20% = associate (influence)**, **>50% or board control = subsidiary/holding**, counts **direct + indirect** control, **limits layers**, and forces the true group into **consolidated accounts**.
6. The shield **invites fraud**, so the law keeps a **counter-power: lift the veil** for fraud, sham/cloak, evasion of law/tax, enemy character, or where a **statute** (Sec 339, 34, 35, 447) commands — and hold the **real humans** liable. But this power is **narrow and issue-specific**, or the shield (and investment) would be worthless.

If you can regenerate the categories and the veil doctrine from "*we invented a public, checkable person, and we must both trust and police that fiction,*" you never need to memorise them.

10. Quick-Revision Sheet

Core sections

Section	Term	Key number / rule
2(20)	Company	Incorporated under this/previous Act
2(68)	Private company	Restricts transfer; max 200 members; no public invitation; min 2
2(71)	Public company	Not private; subsidiary of public = deemed public ; min 7 ; min 3 directors
2(62)	OPC	One member + nominee; natural Indian resident citizen; one OPC only; min 1 director ; is a <i>private company</i>
2(85)	Small company	Private + capital $\leq$ ₹4 cr and turnover $\leq$ ₹40 cr (<i>confirm</i>); excludes public/holding/subsidiary/Sec 8/special-Act; status is <i>dynamic</i>
2(87)	Subsidiary	Control of Board OR >50% voting power (direct + indirect); layers limited (≈ 2)
2(46)	Holding	Company whose subsidiaries exist (incl. body corporate)
2(6)	Associate	Significant influence = $\geq 20\%$ voting power <i>or</i> control of decisions by agreement (not subsidiary); JV included
2(52)	Listed	Any securities listed on recognised stock exchange (some 2020 carve-outs; "listed" $\neq$ "listed equity")
2(11)	Body corporate	Incl. foreign cos & LLPs; excl. co-op societies, specified bodies
2(45)	Government company	$\geq 51\%$ Govt paid-up capital (Central/State/both); subsidiary of Govt co is also a Govt co
2(42)	Foreign company	Incorporated outside India + place of business/operations (incl. electronic mode) in India
2(55)	Member	Subscriber to MOA / name in register / beneficial owner in depository
2(60)	Officer in default	Human on whom default liability is pinned
Sec 8	Non-profit	Charitable objects; no dividend; may drop "Ltd"; cannot be "small"
Sec 3	Formation	Public 7 / Private 2 / OPC 1 (memory: 7-2-1)
Sec 9	Effect of incorporation	Separate legal person, perpetual succession, common seal (optional), capacity to sue

Formation minimums (7-2-1): Public 7 members / 3 directors • Private 2 / 2 • OPC 1 / 1. Max members: Private 200, OPC 1, Public unlimited.

Control ladder: $\geq 20\%$ (or agreement) = **Associate** (influence) $\rightarrow$ $> 50\%$ or board control = **Subsidiary/Holding** (control). Count **direct + indirect**; exactly 50% $\neq$ subsidiary on votes.

Liability axis: Unlimited (Sec 2(92)) $\rightarrow$ Limited by guarantee (winding-up backstop, not working capital) $\rightarrow$ Limited by shares (unpaid amount). Guarantee $\pm$ share capital possible.

Characteristics of a company: Separate legal entity • Limited liability • Perpetual succession • Separate property • Common seal (optional) • Capacity to sue & be sued • Transferable shares • Artificial person, *not* a citizen, acts through agents.

Veil-lifting grounds: Fraud/sham/cloak (*Gilford, Jones*) • Tax/obligation evasion (*Dinshaw Petit*) • Enemy character (*Daimler*) • Single economic entity where justice requires (*Renusagar*) • Statute (Sec **339** fraudulent trading; Sec **34/35** prospectus; Sec **447** fraud). **Not** lifted for mere creditor inconvenience; **issue-specific** and **narrow** (evasion, not mere concealment — *Prest*).

Landmark cases: *Salomon* (separate entity, even one-man co) • *Lee* (member can also be employee) • *Macaura* (no insurable interest in company property) • *Gilford / Jones* (sham to evade obligation) • *Daimler* (enemy character) • *Dinshaw Petit* (tax evasion) • *Prest v. Petrodel* (evasion vs concealment).

Amendment flags to verify in current ICAI material / bare Act: no minimum paid-up capital (2015) • common seal optional (2015) • small-company limits (₹4 cr / ₹40 cr) • OPC conversion thresholds removed + residency day-count revised (2021) • subsidiary "total voting power" wording & layer limit (2017) • associate "voting power"/JV (2017) • listed-company carve-outs (2020).

End of Chapter 01. Next: Chapter 02 — Incorporation of a Company, MOA & AOA — where this artificial person is actually born.

Q&A — Companies Act 2013 — Preliminary & Key Definitions

Coverage: Sec 2(20), 2(68), 2(71), 2(62)/3 (OPC), 2(85) (small), 2(46)/2(87)/2(6) (holding-subsidary-associate), 2(52) (listed), veil-lifting (judicial + statutory Sec 339, 34, 35). All section references are to the **Companies Act, 2013** unless stated. Where a rule flows from the Companies (Incorporation) Rules, 2014 or SEBI, it is flagged as such.

SECTION A — Concept-Check (short answer)

A1. Define "company" under Sec 2(20). *Answer:* Under **Sec 2(20)**, a "company" means a company **incorporated under this Act or under any previous company law**. The definition is registration-based — a body becomes a company only on incorporation and grant of the certificate under **Sec 7(2)**. It does not, by itself, describe the features (that comes from case law — *Salomon v Salomon*).

A2. What are the two defining consequences of incorporation? *Answer:* (i) **Separate legal personality** — the company is an artificial person distinct from members (*Salomon v Salomon & Co Ltd*, affirmed for Indian law); (ii) **Limited liability** — in a company limited by shares, a member's liability is capped at the unpaid amount on his shares (**Sec 2(22)** read with the concept of ring-fencing). Together these create the "corporate veil."

A3. Distinguish "private company" (Sec 2(68)) from "public company" (Sec 2(71)). *Answer:* A **private company (Sec 2(68))** restricts the right to transfer shares, limits members to **200** (excluding present/past employee-members and joint holders counted as one), and **prohibits any invitation to the public** to subscribe to securities; minimum paid-up capital as prescribed (currently no minimum since 2015 amendment). A **public company (Sec 2(71))** is one that is **not a private company** and has a minimum paid-up capital as prescribed; a subsidiary of a public company is deemed public even if its articles say otherwise.

A4. What is a One Person Company (OPC)? — Sec 2(62). *Answer:* Under **Sec 2(62)**, an OPC is a company which has **only one person as a member**. It is a species of private company (**Sec 3(1)(c)**). The sole member must nominate a person (with consent) to become member on his death/incapacity — memorandum names the nominee.

A5. State the thresholds for a "small company" — Sec 2(85). *Answer:* Under **Sec 2(85)** (as amended), a small company is a company (other than a public company) whose **paid-up capital does not exceed the prescribed limit** and **turnover does not exceed the prescribed limit**. Current prescribed limits (Companies (Specification of Definitions Details) Rules): paid-up capital **not exceeding ₹4 crore** and turnover **not exceeding ₹40 crore**. Excluded: holding/subsidiary companies, Sec 8 companies, and companies governed by a special Act.

A6. When is a company a "subsidiary"? — Sec 2(87). *Answer:* Under **Sec 2(87)**, Company H is the holding company of S if H (i) **controls the composition of the Board** of S, or (ii) **exercises/controls more than one-half of the total voting power** either on its own or with subsidiaries. Layers of subsidiaries beyond the prescribed number are restricted (Rule permits two layers, with exceptions).

A7. What is an "associate company"? — Sec 2(6). *Answer:* Under **Sec 2(6)**, an associate company (in relation to another company) is one in which that other company has **significant influence** (control of **at least 20%** of total voting power, or control/participation in business decisions under an agreement) but which is **not a subsidiary**, and includes a **joint venture** company. "Significant influence" is defined in the explanation to Sec 2(6).

A8. Define "listed company" — Sec 2(52). *Answer:* Under **Sec 2(52)**, a listed company means a company which has **any of its securities listed on any recognised stock exchange**. Proviso (added by 2020 amendment) allows certain classes of companies with only specified securities listed to be exempted by rules — flag: exact carve-outs are in the rules read with SEBI.

SECTION B — Applied / Scenario Problems (Facts → Law → Conclusion)

B1. *A, a sole trader, incorporates ABC Pvt Ltd and is its principal shareholder. He insures the company's timber stock in his own name. Fire destroys the stock; insurer refuses, saying A has no insurable interest. Advise.*

- **Facts:** Owner-manager insured company property in personal name.
- **Law:** By **Sec 2(20)/Sec 9**, on incorporation the company is a separate legal person owning its own assets; the member has no direct proprietary interest in company assets (*Macaura v Northern Assurance Co*).
- **Analysis:** The timber belongs to ABC Pvt Ltd, not A. A has an interest as shareholder/creditor but **no insurable interest** in the specific asset.
- **Conclusion:** The insurer is correct; A cannot recover. The policy should have been in the company's name.

B2. *XYZ Ltd is a public company. It holds 55% of the equity voting shares of PQR Pvt Ltd, whose articles restrict transfer and cap members at 200. Is PQR a private or public company?*

- **Law: Sec 2(87)** — control of >50% voting power makes PQR a subsidiary of XYZ. **Proviso to Sec 2(71)** — a subsidiary of a public company is **deemed to be a public company** even if it continues as a private company in its articles.
- **Conclusion:** PQR is **deemed a public company** and must comply with public-company provisions, despite its private-company articles.

B3. *An OPC's paid-up capital is ₹60 lakh and its average annual turnover for the relevant period exceeds ₹2 crore. The member asks whether any conversion obligation arises.*

- **Law:** Post the 2021 amendment to the Companies (Incorporation) Rules, the **earlier mandatory-conversion thresholds (₹50 lakh capital / ₹2 crore turnover) were omitted**; OPCs may now grow and convert **voluntarily** at any time (**Sec 18** read with Rules).
- **Conclusion:** No automatic/mandatory conversion is triggered under the current rules. (Flag: earlier study material citing mandatory conversion at these figures is outdated.) The member may convert voluntarily to a private/public company.

B4. *Directors of Insolvent Traders Ltd continue accepting customer advances knowing the company cannot deliver, with intent to defraud creditors. On winding up, creditors seek personal recovery.*

- **Law: Sec 339 (fraudulent conduct of business)** — if in the course of winding up it appears the business was carried on with **intent to defraud creditors**, the Tribunal may hold persons who were knowingly parties **personally liable without limitation** for the company's debts. Reinforced by **Sec 447** (fraud) penal consequences.

- **Analysis:** This is **statutory lifting of the veil**; limited liability is displaced for the culpable directors.
- **Conclusion:** The directors knowingly party to the fraud can be made **personally liable** for the debts.

B5. A prospectus of MNO Ltd includes a materially false statement about profits. B subscribes relying on it and suffers loss. What are B's remedies against the company and directors?

- **Law:** **Sec 34** imposes **criminal liability for mis-statements** in a prospectus (attracting **Sec 447**). **Sec 35** imposes **civil liability to compensate** every person who subscribes relying on a mis-statement — directors, promoters and persons authorising the prospectus are liable, subject to statutory defences (e.g., withdrawal of consent, reasonable belief for expert statements).
- **Conclusion:** B may claim **compensation under Sec 35** for the loss; the company/officers also face **criminal liability under Sec 34**. Directors escape only by proving a Sec 35 defence.

SECTION C — Descriptive (past-paper style) with model answers

C1. "The company is at law a different person altogether from the subscribers." Explain the doctrine of separate legal personality and its consequences. (5–6 marks)

Model answer: The principle originates in **Salomon v Salomon & Co Ltd** and is embodied in the scheme of the Companies Act, 2013. On incorporation under **Sec 7**, and by virtue of **Sec 9**, a company becomes a **body corporate** — an **artificial legal person** capable of holding property, suing and being sued in its own name, and having **perpetual succession** and a **common seal** (now optional). Consequences: (i) company property is not members' property (*Macaura*); (ii) members enjoy **limited liability**; (iii) the company has perpetual existence unaffected by death/insolvency of members; (iv) it can contract with its own members. The corporate personality thus "ring-fences" the business from its owners — the central design of company law.

C2. Discuss the circumstances in which the corporate veil may be lifted. (6–8 marks)

Model answer: Lifting the veil means disregarding separate personality to reach the members/controllers. Two heads:

(a) Statutory lifting — e.g. **Sec 339** (fraudulent trading — personal liability), **Sec 34 and 35** (mis-statement in prospectus — criminal and civil liability), **Sec 7(7)** (incorporation by furnishing false information), **Sec 251** (fraudulent application for removal of name), reduction of membership below statutory minimum (historically Sec 45 of the 1956 Act; under the 2013 Act the strict personal-liability rule is not re-enacted — flag this change).

(b) Judicial lifting — courts pierce the veil where the company is used for **fraud or improper conduct** (*Gilford Motor Co v Horne* — company as a sham to evade a covenant), to determine **enemy character** in wartime (*Daimler Co v Continental Tyre*), to prevent **evasion of tax or legal obligations** (*Vodafone*, *Bacha F. Guzdar* context), or where the company is a mere **agent/façade/alter ego** of its controllers.

Conclusion: The veil is respected as the norm; it is lifted only on established statutory or judicial grounds.

C3. State the essential features that distinguish a private company from a public company under the Companies Act, 2013. (5 marks)

Model answer: Under **Sec 2(68)** a private company: (i) restricts transfer of shares by its articles; (ii) limits members to **200** (excluding present/former employee-members; joint holders treated as one); (iii) prohibits invitation to the public to subscribe to securities. Under **Sec 2(71)** a public company is one that is **not private** and, if a subsidiary of a public company, is deemed public. Practical distinctions: minimum members

— **2** (private) vs **7** (public); minimum directors — **2** vs **3** (**Sec 149**); a private company may commence with a single member as an **OPC** (Sec 2(62)). Both need minimum capital only as prescribed (no statutory minimum since 2015).

SECTION D — MCQs / Case Scenarios (with reasoning)

D1. Maximum number of members in a private company (excluding employee-members) is: A) 50 B) 100 C) 200 D) Unlimited **Answer: C.** *Sec 2(68) caps members at 200.*

D2. A company incorporated with a single member is a: A) Small company B) OPC C) Dormant company D) Associate **Answer: B.** *Sec 2(62) — OPC has only one member; it is a private company under Sec 3(1)(c).*

D3. H Ltd controls the composition of S Ltd's Board. S Ltd is: A) Associate of H B) Subsidiary of H C) Holding of H D) Unrelated **Answer: B.** *Sec 2(87)(i) — control of Board composition makes S a subsidiary.*

D4. "Significant influence" for an associate company means control of at least ___ of total voting power: A) 10% B) 20% C) 26% D) 51% **Answer: B.** *Sec 2(6) explanation — 20% of total voting power (or control of business decisions under agreement).*

D5. Personal liability of directors for carrying on business to defraud creditors, on winding up, arises under: A) Sec 34 B) Sec 35 C) Sec 339 D) Sec 447 **Answer: C.** *Sec 339 — fraudulent conduct of business; unlimited personal liability.*

D6. A company is a "listed company" under Sec 2(52) when: A) Capital exceeds ₹5 cr B) Any of its securities is listed on a recognised stock exchange C) It has >200 members D) It is a public company **Answer: B.** *Sec 2(52) — listing of any securities on a recognised stock exchange.*

D7. Present small-company thresholds (paid-up capital / turnover) are: A) ₹50 lakh / ₹2 cr B) ₹2 cr / ₹20 cr C) ₹4 cr / ₹40 cr D) ₹10 cr / ₹100 cr **Answer: C.** *Sec 2(85) read with the Definitions Rules (current limits: ₹4 cr / ₹40 cr).*

D8. Case scenario: L Ltd owns 22% voting power in M Ltd and participates in M's key business decisions but does not control the Board. M Ltd is L's: A) Subsidiary B) Holding C) Associate D) Small company **Answer: C.** *Sec 2(6) — ≥20% voting power / significant influence, and not a subsidiary, makes M an associate.*

Mermaid — Classification decision flow



Syntax error in text
mermaid version 10.9.6

Traps & Examiner Tricks (quick-fire)

1. **Sec 2(20) defines only "incorporated under the Act"** — features (limited liability etc.) come from case law, not the definition. Don't attribute *Salomon* consequences to the text of 2(20).

2. **200-member cap excludes employee-members** (present and past) and counts **joint holders as one** — a common mis-count.
 3. **No minimum paid-up capital** since the 2015 amendment for both private and public companies — reject any "₹1 lakh / ₹5 lakh" answer.
 4. **A private subsidiary of a public company is DEEMED public** (proviso to Sec 2(71)) — even if its own articles keep private restrictions.
 5. **OPC mandatory-conversion thresholds were REMOVED** (2021 Rules) — conversion is now voluntary; old ₹50 lakh/₹2 crore triggers are outdated.
 6. **Small company cannot be a public company, holding/subsidiary, Sec 8, or special-Act company** — exclusions are absolute regardless of size.
 7. **Subsidiary test is control of BOARD composition OR >½ voting power** (Sec 2(87)) — either limb suffices; not both, and it is *voting power*, not mere equity holding.
 8. **Associate needs "significant influence" (≥20%)** and must **NOT be a subsidiary** — a JV company is expressly an associate (Sec 2(6)).
 9. **Sec 34 = criminal; Sec 35 = civil** for prospectus mis-statements — do not swap them.
 10. **Sec 339 personal liability arises only in winding up** and needs **intent to defraud** — negligence alone is insufficient.
 11. **"Listed company" hinges on listing of any securities** (Sec 2(52)), not on being public or on capital size — an unlisted public company exists.
 12. **Corporate veil is the rule, lifting the exception** — list the *specific* statutory section or the named case; vague "for fraud" answers lose marks.
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First-Principles Recap

The Act solves four owner problems — **death** (perpetual succession), **ruin** (limited liability), **scale** (transferable shares, pooled capital) and **ownership vs management** (Board governance) — by creating an **artificial person** (Sec 2(20)/Sec 9) that **ring-fences** the business. Because that ring-fence can be abused for **fraud**, the law keeps a lever — **veil-lifting** (judicial + statutory Sec 339/34/35) — to reach the humans behind it. Every definition (2(68), 2(71), 2(62), 2(85), 2(87), 2(6), 2(52)) is just a way of **classifying** these artificial persons so the right compliance load attaches.

Quick-Revision Sheet

Concept	Section	Key number / test
Company	2(20)	Incorporated under the Act
Private company	2(68)	Members $\leq$ 200; transfer restricted; no public invite
Public company	2(71)	Not private; subsidiary of public = deemed public
OPC	2(62)/3(1)(c)	One member; nominee required
Small company	2(85)	Cap $\leq$ ₹4 cr AND turnover $\leq$ ₹40 cr; exclusions apply
Holding/Subsidiary	2(46)/2(87)	Board control OR $> \frac{1}{2}$ voting power
Associate	2(6)	Significant influence $\geq$ 20%; JV included
Listed company	2(52)	Any securities listed on recognised exchange
Fraudulent trading	339	Winding up + intent to defraud $\rightarrow$ personal liability
Prospectus mis-statement	34 / 35	Criminal / Civil liability
Min members	—	1 (OPC) / 2 (private) / 7 (public)
Min directors	149	1 (OPC) / 2 (private) / 3 (public)

Note on uncertainty: Monetary thresholds (small company, definitions rules) and the OPC/listing carve-outs are set by **subordinate rules/SEBI** and are periodically amended; always verify against the latest Rules for the applicable exam attempt.

Chapter 02 — Incorporation of a Company

Guiding law of these notes: never memorise a section until you have felt the wound it was written to close. A company is an artificial person. It can own property, sue, be sued, borrow crores, and vanish overnight leaving creditors staring at empty offices. The entire law of incorporation exists to answer one dangerous question: *if we are going to let people create an immortal, faceless, limited-liability person out of thin air, how do we stop that person from becoming a weapon?*

1. The Problem — What goes wrong when a "company" can be born in secret

Imagine there were no incorporation law. Anyone could stand up tomorrow, call themselves "Reliance Global Traders Ltd", collect deposits from the public, sign contracts, and — when things went bad — simply disappear. There would be:

- **No public record.** A supplier extending 90 days credit has no way to check whether the "company" even exists, who owns it, where it is registered, or what it is allowed to do.
- **No accountability trail.** When the entity collapses, whom do you sue? Who were the real humans behind it? Where did the money go?
- **No fixed constitution.** The people running it could claim today they are a shoe business and tomorrow a chit-fund, changing their object whenever convenient, so no investor could ever pin down what their money would be used for.
- **Unlimited fraud by "limited liability".** Limited liability is a gift from society — it says "if the business fails, your personal house is safe." That gift is easily abused: promoters could pile up debts, shield themselves, and walk away rich while creditors starve.
- **The "one-way mirror" problem.** Outsiders dealing with the entity cannot see inside it. They don't know which director is authorised to sign, whether a board meeting really happened, whether the loan was properly approved. Either outsiders bear that risk (and stop dealing) or insiders bear it (and are trapped by their own paperwork). Somebody has to lose.
- **The capital-illusion problem.** A group may advertise a grand "authorised capital of ₹10 crore" while not a single rupee has actually reached the bank account. A creditor who extends credit trusting that figure is trusting an illusion. So the law must force a moment where the newborn *proves* the subscription money is real — this later crystallises as Sec 10A.
- **The phoenix problem.** A dishonest group runs a company into the ground, sheds its debts, and rises again as a *new* company with the same people and the same business — leaving each successive set of creditors stranded. Separate personality, meant as a shield, becomes an escape hatch. Veil-lifting and fraud-in-incorporation provisions exist precisely to singe the phoenix.

Add these to the earlier abuses and you have the complete rap-sheet this chapter answers.

Every single rule in this chapter is a scar from one of these abuses. Incorporation is not bureaucracy for its own sake — it is the **price of admission** for the extraordinary privileges of separate personality and limited liability. The State says: *you may create this artificial immortal person, but only through a public, recorded,*

verified birth, with a written constitution, identifiable promoters, and clear rules about who the outside world can trust.

Why this matters more than it looks. Notice that two very different groups need protection, and they pull in opposite directions:

- **Insiders** (members, especially minority members) need protection *from the managers* — that their money is spent only on the stated objects, that the constitution is not rewritten against them overnight.
- **Outsiders** (creditors, suppliers, lenders, employees) need protection *from the company* — that the entity is real, reachable, has genuine capital, and that the person who signed actually had authority.

A well-designed incorporation regime cannot maximise protection for both at once; every doctrine in this chapter is a *negotiated allocation of risk* between these two camps. When you read a rule, always ask: *whose risk did this shift, and to whom?* That single question unlocks almost every exam problem, because the examiner is nearly always testing whether you can identify which camp the law is protecting in a given fact pattern.

2. The Core Idea — Incorporation as a *public, documented birth in exchange for privilege*

The protective principle is a **bargain**:

Society grants a company two magical powers — **separate legal personality** (it is a person distinct from its members) and **limited liability** (members risk only what they agreed to invest). In return, the company must be **born on a public register**, carry a **written and published constitution** limiting what it may do, and expose enough **identity and authority information** that the outside world can deal with it safely.

From this one bargain, everything flows:

1. **Public birth (registration with the Registrar of Companies).** A neutral State officer verifies documents and issues a birth certificate — the *Certificate of Incorporation* — which becomes the entity's legal DNA.
2. **A written constitution (MOA + AOA).** The **Memorandum of Association (MOA)** is the company's charter facing *outward* — its name, home State, objects, and liability. The **Articles of Association (AOA)** are the rulebook facing *inward* — how the company governs itself. Because these are public, the world can read the limits before dealing.
3. **Doctrines that split risk fairly between insider and outsider.** *Ultra vires* protects members and creditors from managers exceeding the objects. *Constructive notice* protects the company by deeming outsiders to have read the public documents. *Indoor management (Turquand's rule)* protects outsiders from hidden internal irregularities they could not have discovered.

Hold these three pillars in your head. The rest of the chapter is just detail hanging off them.

Do not conflate the two privileges. *Separate legal personality* and *limited liability* are **different gifts** and can exist apart. Personality means the company is a distinct legal person that owns its own assets and bears its own debts. Limited liability means the *members'* exposure is capped at their unpaid share value (or guarantee sum). Proof they are separable: an **unlimited company** has *full* separate personality yet its members carry *no* liability cap at all. So "the company is separate" does **not** automatically mean "the

members are protected" — the **liability clause of the MOA** decides that second question independently. The examiner exploits this by giving an *unlimited* company and asking whether members are shielded (they are not) while separateness still holds (it does). Tag the two privileges apart from the first day and you will never be trapped by this.

A cleaner mental model — the three questions every rule answers. If the whole chapter is a bargain, then every rule is one of only three moves in that bargain. Tag each rule you learn with one tag:

The question	Whose protection	The rules that answer it
<i>Is this entity real and identifiable?</i>	Outsiders	Registration (Sec 7), certificate (Sec 9), promoter identity (2(69)), registered office (Sec 12), Sec 10A capital reality
<i>What is it allowed to do, and can I trust the change?</i>	Insiders / investors	Objects clause, ultra vires, hard MOA alteration (Sec 13), entrenchment (Sec 5)
<i>Can I trust the person in front of me who claims to bind it?</i>	Outsiders	Constructive notice, indoor management (Turquand), veil-lifting, statutory contract (Sec 10)

If you can drop any rule from this chapter into one of these three rows, you already understand it. The section number is just an address.

3. Why it's built this way — the logic behind each safeguard

Before the section numbers, let us reason out *why each protective device exists*, so the numbers stick.

The deepest why of all — why does society grant artificial personhood at all? Not out of generosity, but because it *unlocks capital*. Three problems make large enterprise impossible without it: (i) **risk** — no rational person stakes their entire personal fortune on a venture that could fail, so *limited liability* caps the downside and coaxes ordinary savings into industry; (ii) **continuity** — projects outlast individuals, so *perpetual succession* lets an enterprise survive the death or exit of any founder; (iii) **liquidity** — investors want to exit without dismantling the business, so *transferable shares* let ownership change hands while the enterprise runs on. Separate personality is the legal container that makes all three possible at once. Every safeguard in this chapter is the *price* charged for that container — the State hands over the capital-raising machine, but bolts on registration, a constitution, and the trust-doctrines so the machine cannot be turned into a fraud engine. Read this way, the chapter is not "a list of company-law rules"; it is *the terms of a licence to raise money from strangers*.

Why require promoters to be named and accountable? Someone conceives the company, arranges its formation, and often profits from selling assets to it. If that person could hide, they could rig the founding deal — e.g., buy land for ₹10 lakh and secretly resell it to the new company for ₹50 lakh. So the law defines the **promoter** and imposes a **fiduciary duty**: full disclosure of any profit, no secret gains. Accountability begins before the company even breathes.

Why a Memorandum with an objects clause? An investor hands money to a company on the faith that it will be used for a *stated purpose*. If managers could spend it on anything, the investor's bet is meaningless. The **objects clause** freezes the purpose in a public document. The doctrine of **ultra vires** then makes any act *beyond* those objects void — not merely voidable — precisely because we want investors to be able to rely on the limit absolutely.

Why Articles at all, and why can outsiders be bound by them? Internal governance rules (who signs, quorum, borrowing limits) must be knowable. Making the AOA public lets counterparties check authority. The flip side — **constructive notice** — deems everyone to have read them, otherwise the public-document system is pointless.

Why then soften constructive notice with the indoor management rule? Because pure constructive notice would be *cruel and impractical*. The public documents show that "the board may authorise a loan," but an outsider can never see whether the board *actually met and voted*. Making outsiders verify internal compliance would freeze commerce. So **Turquand's rule** says: outsiders may assume internal procedures were duly followed. Insider irregularities are the company's problem, not the counterparty's — unless the outsider knew, or the situation was suspicious (forgery, etc.). This is the law balancing the one-way mirror fairly.

Why a formal registration certificate that is "conclusive"? If the validity of a company's birth could be reopened years later ("actually the paperwork was defective"), every contract it ever signed would be under a cloud. So once the Registrar issues the certificate, it is **conclusive evidence** of due incorporation. Certainty for the whole marketplace beats perfect purity of paperwork.

Why distinguish a public company from a private company at all? The deepest divide in the Act is between companies that may tap the *general public* for money and those that stay close-held. Everything harsher — more members to form (7 vs 2), stricter disclosure, no right to restrict share transfer — attaches to the public company *because it puts the savings of strangers at risk*. The private company [Sec 2(68)] earns lighter treatment by *promising restraint*: it restricts the right to transfer shares, caps members at 200, and prohibits any invitation to the public to subscribe. The moment a company breaks those promises, it forfeits the concessions. So the public/private line is not a formality — it is the law calibrating protection to the width of the public's exposure. *This is why nearly every rule in the chapter has a "public vs private" fork; the examiner tests whether you know which side you are on.*

Why let founders "entrench" some articles beyond a special resolution? Ordinarily majority rules. But a pure majority-rule constitution lets a 51% bloc strip a vulnerable minority (say, an investor who negotiated a veto) the day after signing. Entrenchment lets the constitution bind even the future majority, so bargained-for rights survive. The law tolerates this dilution of majority rule *because the alternative — no enforceable minority protection — would deter the very investment incorporation is meant to attract.*

Why cap the size of an unregistered profit-association? If a large group could carry on business for gain *without* incorporating, it would enjoy the scale of a company while dodging the public register, the constitution and the disclosure that protect everyone dealing with it — exactly the abuses of Section 1, re-entering by the back door. So the law says: below a threshold, trade informally as a partnership; *above* it, you have grown large enough that society insists on the full incorporation bargain. That threshold is the illegal-association rule (Sec 464) — the *entry* counterpart to the minimum-members rule.

Why do a company's past debts survive every conversion and re-registration? Because a creditor extended credit to a *particular* legal person on the strength of its then-liabilities and structure. If merely changing the corporate clothing (private↔public, guarantee↔shares, unlimited↔limited) could erase those debts, incorporation would become a laundering machine for obligations — the very fraud limited liability is policed against. Hence the golden thread (Sec 18(3)): the entity may re-dress, but it carries its history with it. Certainty for creditors again beats convenience for the company.

Why insist on a registered office within a fixed number of days? An artificial person with no address is unreachable — a summons cannot be served, an inspector cannot visit, a creditor cannot find it. The

registered office is the company's *legal home*: the single place where communications are validly served and the statutory registers are kept. That is why Sec 12 demands verification of a real office within 30 days. An entity you cannot find is an entity you cannot hold accountable, so the address is not a formality — it is the physical anchor of the whole accountability trail.

Why put both a professional's and a founder's signature on the birth file? The Registrar cannot personally investigate every applicant. So the Act deputises two independent gatekeepers: a *professional* (CA/CS/CWA/advocate) certifies that the Act's requirements are met, and each *subscriber/first director* personally declares that they carry no disqualifying conviction or fraud. A false birth then needs at least two liars — one expert and one founder — each staking their own liability. Fraud is deterred by *multiplying* the number of people who must lie to achieve it.

Why give every director a DIN and every filing a digital signature? Because the accountability trail is worthless if the humans behind the company cannot be uniquely pinned down. A Director Identification Number is a permanent, unique tag that follows a person across every company he ever touches, so a disqualified or serial-fraud director cannot quietly reappear under a slightly different spelling of his name. The digital signature binds *that specific person to that specific filing*.

Now, with the *why* in hand, the sections become obvious rather than arbitrary.

4. Full Technical Content — section by section, each with its reason

Statute base: **Companies Act 2013** and the **Companies (Incorporation) Rules, 2014**. Where a precise number or limit is one commonly mis-stated, I flag "*confirm in ICAI material / bare Act*."

4.1 Promoters — Section 2(69)

Definition [Sec 2(69)]. A *promoter* is a person: (a) **named as such** in the prospectus or in the annual return (Sec 92); **or** (b) who has **control over the affairs** of the company, directly or indirectly, as shareholder, director or otherwise; **or** (c) in accordance with whose **advice, directions or instructions** the Board is accustomed to act.

Why three limbs? Limb (a) catches the openly named promoter; limb (b) catches the person controlling from the shadows; limb (c) catches the puppet-master behind nominee directors. The definition is drawn wide precisely so a real controller cannot escape duty by staying unnamed. *Carve-out*: a person acting **merely in a professional capacity** (lawyer, CA, banker advising on formation) is **not** a promoter — otherwise no professional would help form a company.

Finer distinction the exam tests — who is NOT a promoter. The professional carve-out is narrow: it protects the professional *only while acting in that professional character*. The moment the CA/advocate takes shares to control the venture, or negotiates the founding purchase for a slice of the profit, he crosses into limb (b) and becomes a promoter with full fiduciary duty. *Trap*: the label ("I was only the auditor") does not save you; the **substance of the role** decides. Equally, a person who merely lends money for formation, or a director appointed *after* incorporation who took no part in floating the company, is **not** a promoter — promotion is a pre-birth activity.

When does promotion begin and end? It **begins** the moment a person conceives the idea and starts the steps to give the company reality (finding subscribers, negotiating the founding contracts, drafting the

MOA). It **ends** when the Board takes over management of the newly-born company — typically once directors are in place and running affairs. This matters because a promoter's fiduciary duty and secret-profit liability attach only to the *promotion period*; a later ordinary transaction is judged by ordinary rules.

Legal position & duties. A promoter is **neither an agent nor a trustee** of the company (the company doesn't exist yet), but stands in a **fiduciary relationship** to it. Consequences: - Must **not make secret profit**; any profit must be **disclosed** to an independent Board or the members and, if undisclosed, is **recoverable** and the contract may be rescinded. - Must make **full disclosure** of interest in transactions with the company. - Liable for **misstatements in the prospectus** (Sec 34/35) and may be liable in criminal fraud (Sec 447) for founding frauds.

The two classic secret-profit patterns (examiner favourite). 1. **Promoter sells his OWN asset to the company without disclosure.** He bought land for ₹10 lakh before promotion, then sells it to the company for ₹50 lakh. The ₹40 lakh is a **secret profit if not disclosed** — the company can either **rescind** the sale and take its money back, or (if it prefers to keep the land) **recover the undisclosed profit**. It cannot generally do both. 2. **Promoter, while already a promoter, buys an asset and flips it to the company.** Here he holds a fiduciary position *at the time of purchase*, so the profit belongs to the company outright — even full disclosure does not let him keep a profit made *out of* the fiduciary relationship without genuine, informed consent. *The saving grace for the promoter:* disclosure to an **independent Board** or to the **whole body of members/shareholders** legitimises the profit. A disclosure to a Board he himself controls is **no disclosure at all** (the classic *Erlanger v New Sombrero Phosphate* point — disclosure must be to an independent organ).

The company's remedies against a defaulting promoter — the toolkit (and its limits). When a promoter breaches his fiduciary duty (secret profit, non-disclosure, misrepresentation), the company may choose among: 1. **Rescission of the contract** — undo the transaction and restore both sides to their original positions. *But rescission is barred* if: (a) the company, with full knowledge, **affirmed** the contract; (b) **restitution is impossible** (the asset has been consumed, resold, or altered so the parties cannot be restored); (c) an **innocent third party** has acquired rights for value; or (d) there has been undue **lapse of time / laches**. Miss these bars and a "rescission" answer is wrong. 2. **Recovery of the secret profit** (account of profits) — keep the contract but make the promoter **disgorge** the undisclosed gain. Used where rescission is barred or the company prefers to retain the asset. 3. **Damages for breach of fiduciary duty / misrepresentation** — where the company suffered loss beyond the mere profit (e.g., it overpaid and the asset is worth less than paid). *Note:* the company generally cannot both rescind *and* recover the profit *and* claim damages — it elects the remedy that makes it whole without double recovery.

First-principles why: the remedies mirror the wrong. A *secret gain* is met by *disgorgement*; a *tainted bargain* is met by *rescission*; a *loss* is met by *damages*. The bars on rescission exist because equity will not unwind a deal it cannot cleanly reverse or that would injure an innocent third party — the promoter's misconduct does not entitle the company to harm outsiders.

Remuneration of promoters. A promoter has **no automatic right** to recover promotion expenses or claim payment from the company — the company was not a party to any agreement before it existed. In practice he is paid by (a) a lump sum or commission provided for in the articles, (b) sale of his property to the company at a *disclosed* profit, or (c) an option/allotment of shares. *Trap:* a bare clause in the articles is **not a contract** the promoter can sue on (Sec 10 binds members *inter se*, not outsiders — see 4.3); he depends on the company actually honouring it.

Pre-incorporation (preliminary) contracts. A company cannot be bound by contracts made *before* it existed — it had no legal capacity to authorise them. So: - The company is **not bound**, and **cannot sue or**

be sued on such a contract, and **cannot ratify** it (there was no principal at the time). *Memory hook: you cannot ratify on behalf of a person who was not yet born.* - The **promoter is personally liable** on the contract (*Kelner v Baxter* — agents for a non-existent principal are personally bound). - **Rescue route:** under the **Specific Relief Act 1963 (Secs 15(h) and 19(e))**, if the contract was for the *purposes of the company* and the company *adopts/warrants* it after incorporation, the other party can enforce it against the company. So the modern practical answer is: the company can take the benefit by adoption, but it is not automatic ratification.

Two conditions the Specific Relief rescue quietly requires (fine distinction): for the counterparty to enforce against the company, (i) the contract must have been entered into by the promoter **for the purposes of the company**, and (ii) the company must **accept/warrant/adopt** it after incorporation. Miss either and the promoter alone remains liable. *Also note the asymmetry:* Sec 15(h) lets the **other party** enforce against the company, and Sec 19(e) lets the **company** enforce against the other party — but *only if it has adopted the contract and communicated that acceptance*. The company cannot cherry-pick the benefit while denying the burden.

A razor-fine distinction the examiner loves — how the promoter signed [*Kelner v Baxter vs Newborne v Sensolid*]. **Personal liability of the promoter is not automatic; it turns on the capacity in which he signed*:** - In *Kelner v Baxter*, **the promoter signed as agent***, "on behalf of" the unborn company. **Since the named principal did not exist, the agent was held** personally liable — **an agent for a non-existent principal steps into the contract himself.** - In *Newborne v Sensolid*, **the document was signed in the company's own name** (the promoter merely authenticating it), **purporting that the company itself contracted.** **Because the company did not exist, there was no contract at all — and the promoter, who had not contracted in his own name, was** not personally liable either, so neither party could enforce.

The lesson: signing "for and on behalf of X Ltd" (agent form) tends to bind the promoter personally; signing as though "X Ltd" itself is the contracting party (company form) may leave a void with *no one* bound. These are English common-law positions; in India the Specific Relief adoption route can override the harsher outcome once a company is later formed and adopts the deal — *so state both the common-law position and the Specific Relief overlay.*

Promoter remuneration — the edge cases. Because the company cannot contract before birth, a promoter's reward is always precarious. Watch three traps: (i) a promise of remuneration in a *pre-incorporation* agreement cannot be enforced against the company — it was not a party; (ii) a bare *article* fixing his fee is **not** an enforceable contract (Sec 10 binds members inter se, not a member acting in an outsider capacity — *Eley*); (iii) if the company *does* pay, the payment and any profit must still satisfy the *disclosure* rule, or it becomes a recoverable secret profit. A prudent promoter therefore secures a **fresh, post-incorporation contract** expressly ratifying his reward.

4.2 The Memorandum of Association (MOA) — Sections 2(56), 4, 13

What it is. The MOA is the company's **charter** — its supreme, outward-facing document defining its relationship with the outside world. *Why supreme?* Because it declares the very identity and boundaries of the artificial person; nothing the company does inside can exceed it.

Clauses of the MOA [Sec 4] — the mnemonic "N-S-O-L-C-S" (Name, Situation, Object, Liability, Capital, Subscription):

#	Clause	What it fixes	Why it exists
1	Name clause	The company's name, ending "Limited" / "Private Limited" (or licensed exception)	Public identity; the suffix warns the world that liability is limited
2	Situation / Registered office clause	The State in which the registered office is situated	Fixes jurisdiction — which High Court, which RoC — and a place to serve legal notice
3	Object clause	What the company may do	The heart of <i>ultra vires</i> ; lets investors know the purpose of their money
4	Liability clause	Whether members' liability is limited by shares, by guarantee, or unlimited	Warns creditors how far members' pockets go
5	Capital clause	Authorised (nominal) share capital and its division	Caps how many shares can be issued; basis for stamp/fee
6	Subscription (Association) clause	Subscribers agree to take at least one share and form the company	The founding act — proof real people chose to associate

Finer point on the Situation clause: the MOA fixes only the **State**, not the exact address. The precise address of the registered office is a **Sec 12** matter, notified in **INC-22**. *Why the split?* Moving office *within* a State does not disturb jurisdiction and should be easy; moving to *another* State changes the High Court and RoC and therefore needs the heavy Sec 13 procedure. Keep "State = MOA/Sec 13" and "address = Sec 12/INC-22" separate — the examiner mixes them.

Finer point on the Subscription clause: each subscriber must sign and **take at least one share** and write the number of shares taken against his name. For a company **limited by guarantee**, the equivalent is the guarantee clause, where each member undertakes to contribute a fixed sum to the assets *on winding up* — not now. That guarantee sum, not share capital, is the ceiling of his liability.

Name-clause safeguards [Sec 4(2)–(4)]: a name must **not be identical or too nearly resemble** an existing company/trademark, must **not be undesirable** in the Central Government's opinion, and must **not use restricted words** (e.g., "National", "Bank", "Stock Exchange", "Insurance", "Small Company") without approval — *why?* to prevent passing-off and public deception. A proposed name can be **reserved** via **RUN / SPICe+** and is valid for **20 days** (for a new company) from the date of approval — *confirm current limit in ICAI material*. For an **existing company** changing its name, a reserved name is valid **60 days** — *confirm current figure*.

What if the RoC registers a name that later turns out to be too similar to an existing one? Sec 16 gives a **rectification of name** remedy: the Central Government may direct a change (the company must comply within a set period), and a proprietor of a registered trademark may apply within a limited window (historically 3 years — *confirm current period*). So a wrong name is not fatal to incorporation; it is *curable* by direction. This dovetails with certificate-conclusiveness: the birth stands, only the label is corrected.

When a reserved name is obtained by false information [Sec 4(5)(ii)]. If a name reservation was secured by *wrong or false information*: (i) *before incorporation* — the reservation is **cancelled** and the applicant faces a penalty; (ii) *after incorporation* — the Central Government may, after hearing the company, direct it to change its name within a set period, strike it off, or take other action. *Why the graduated remedy?* A name is a public identity; a lie to obtain it poisons the identity itself, so the response scales with how far the company has already relied on the tainted name.

What counts as "identical or too nearly resembling" — the availability test. In deciding whether a proposed name clashes with an existing one, differences usually **ignored** include: change of tense/number/case, addition or removal of merely descriptive words (e.g., "Products", "Industries", "Enterprises"), punctuation, spacing, the words "the" and "and", and phonetically identical spellings. So "Sunrise Foods Limited" and "Sun-Rise Food Private Limited" are treated as the *same* name. *Why so strict?* Because the whole point of the name clause is to stop *confusion* in the market, and near-identity confuses just as effectively as exact identity. *Confirm the current list of ignored differences in the Companies (Incorporation) Rules.*

Object clause under the 2013 Act. The old split into "main / ancillary / other objects" is gone. Now the MOA states **the objects for which the company is proposed to be incorporated and matters considered necessary in furtherance thereof.** *Why simplified?* Because the old "other objects" list was abused to smuggle in unrelated businesses. *Fine distinction:* powers *reasonably incidental or ancillary* to the stated objects are **implied** even if not written — a manufacturing company may borrow, hire staff, and buy raw material without a separate clause, because those are the necessary means to the stated end. What is *not* implied is a *new line of business*.

Doctrine of Ultra Vires — the reason the object clause has teeth. "*Ultra*" = beyond; "*vires*" = powers. An act **outside the objects clause** is **ultra vires the company** and **void** — it cannot be ratified even by *unanimous* shareholders, because ratification cannot cure something the company never had capacity to do. Leading case: **Ashbury Railway Carriage & Iron Co. v Riche (1875)** — a contract to finance railway construction was outside the objects (making railway carriages) and was held void even though every shareholder approved. Consequences of ultra vires: - The act/contract is **void ab initio**; neither side can enforce it. - **Injunction:** any member can restrain the company from an ultra vires act (*Attorney-General v Great Eastern Railway* recognised the doctrine but confined it to genuine excess). - **Directors personally liable** to restore company funds spent ultra vires (breach of duty). - **Property acquired** ultra vires is still the company's property; and money/property traceable can be recovered.

Why an ultra vires act simply cannot be cured — the deepest point. An ultra vires act is void because the company **never had the capacity** to do it, and you cannot ratify, affirm, or estop your way into a capacity you were never given. Hence: - **Unanimous shareholder ratification fails** — even 100% of members cannot vote the company a power its own charter withheld. - **Estoppel fails** — the company cannot be "estopped" by its own conduct into being bound by a void act; nor can an outsider claim the company held out the transaction as valid, because *no one* had power to make it valid. - **Lapse of time / performance fails** — part-performance, delay, or the other side having acted on it do **not** breathe life into a void act; contrast this with a *voidable* act, which affirmation or delay can validate.

Contrast that with the merely-irregular act: an act *within* the company's powers but done in breach of an internal procedure is only **voidable/ratifiable** — there ratification, estoppel and Turquand all operate. The whole trap is that "ultra vires" sounds like one idea but hides this fault-line between *no capacity* (incurable) and *defective exercise of an existing capacity* (curable).

Breach of warranty of authority — the outsider's fallback. If a director/agent purports to bind the company to something the company *cannot* do (ultra vires) or that he had *no authority* to do, and the innocent outsider suffers loss, the outsider may sue **that agent personally** for **breach of warranty of authority** — the agent impliedly *warranted* he had the authority he claimed. *Why?* The loss should fall on the person who misrepresented his authority, not on the innocent counterparty — a neat allocation of risk consistent with the whole chapter's logic.

Ultra vires borrowing — a sharper sub-rule. If a company *borrow*s money for an ultra vires purpose, the loan is void and the lender cannot sue *on the loan as a debt*. But equity does not leave the lender wholly stranded: (a) **tracing** — if the borrowed money is still identifiable or was used to buy identifiable assets, the lender can trace and recover it; (b) **subrogation** — if the borrowed money was used to pay off the company's *lawful* (intra vires) debts, the lender steps into the shoes of the paid-off creditor to that extent. *Why?* The company should not be *enriched* by keeping money it had no capacity to borrow. This is a favourite twist: the loan is "void" yet the lender recovers — because recovery rests on tracing/subrogation, not on the void contract.

The reasonably-incidental line — where implied powers stop. A company has, by implication, every power *reasonably incidental* to its stated objects, but nothing more. Two recurring examples decide most problems: - **Borrowing, hiring staff, buying raw material** — implied for any trading/manufacturing company as the necessary *means* to the stated end. *Not* ultra vires even if unwritten. - **Gifts, gratuities, political or charitable donations, pensions to ex-employees** — valid *only if* they can fairly be said to advance the company's business (e.g., staff goodwill that improves the business), and ultra vires if purely gratuitous with no business nexus. The judicial test: *is the payment reasonably incidental to carrying on the company's business, and made bona fide for its benefit?* A donation with a genuine business rationale (retaining goodwill, complying with a statute) survives; a naked gift of the company's money does not.

Charitable-donation trap: students often write "a company can never donate — ultra vires." Wrong. A donation *connected to the business* — or now expressly mandated CSR spending under **Sec 135** for qualifying companies — is intra vires. The doctrine strikes only *purposeless* or *unconnected* expenditure. *Confirm the CSR linkage and thresholds in ICAI material.*

The three-layer ultra vires test — visualised.

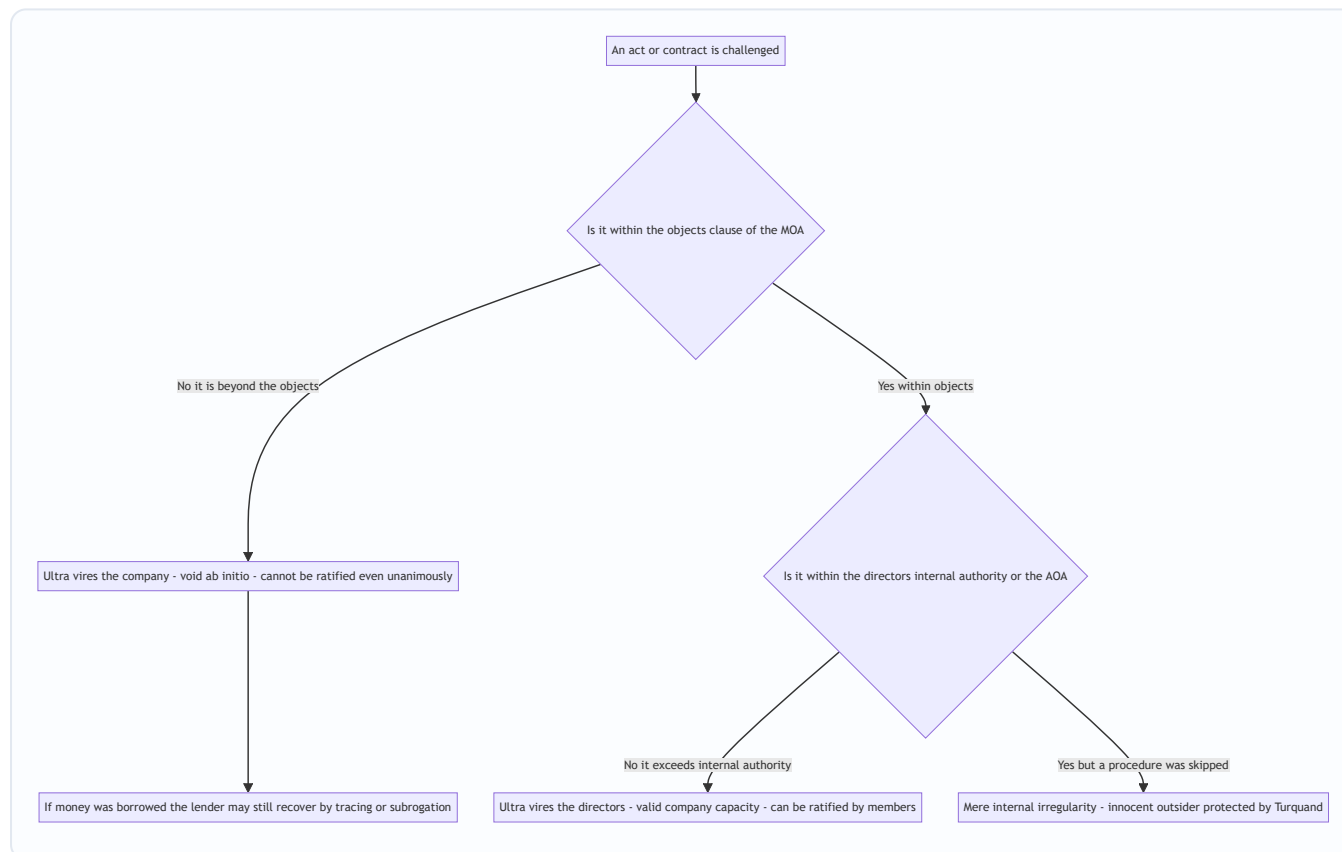


Figure 5: The three-layer test — beyond the company is fatal, beyond the directors is ratifiable, a mere procedural slip is curable by Turquand.

Distinguish two "ultra vires" traps (examiner favourite): an act may be ultra vires **the company** (beyond MOA — void, unrescuable) or merely ultra vires **the directors/Articles** (beyond internal authority but within the company's powers — this **can be ratified** by members). Only the first is fatal. A third, subtler layer: an act *within* the company's objects but done in *breach of a procedural condition* (no resolution passed) is neither — it is an **indoor-management** problem, curable by Turquand for an innocent outsider (see 4.5).

Alteration of the MOA [Sec 13] — deliberately made hard. Why hard? Because the MOA is the promise on which outsiders relied; changing it lightly would betray that reliance. General rule: **special resolution (SR)** plus, for sensitive clauses, **extra approval**.

Clause changed	What is required	Why the extra guard
Name	SR + Central Government (RoC) approval	Protects other businesses from confusing name changes
Registered office from one State to another	SR + Central Government (Regional Director) confirmation [Sec 13(4)]	Shifts jurisdiction; creditors/employees of the old State must be heard
Registered office within same State but different RoC jurisdiction	SR + Regional Director confirmation	Same protection at RoC level
Object clause	SR (and if the company raised money from public via prospectus and has unutilised amount, extra disclosure/exit) [Sec 13(8)]	Investors gave money for the old objects; they must be protected
Capital clause	SR (with Sec 61/64 procedure)	Alters shareholders' rights
Liability clause	Generally not increasable without member consent	You cannot enlarge a member's risk without agreement

Every alteration must be **filed with the RoC** and takes effect on **registration** of the change. *Fine points:* (i) the **name change** takes effect only when the RoC issues a **fresh certificate of incorporation** reflecting the new name — until then the old name stands; (ii) the special resolution for a name/object change is filed in **MGT-14 within 30 days**; (iii) a registered-office shift *from one State to another* requires an application to the **Regional Director**, advertisement, and an opportunity for creditors and the affected RoC/State to object — because it can prejudice people who trusted the old jurisdiction.

Object-clause change when the company raised money from the public [Sec 13(8)] — the dissenter's exit. A special resolution alone suffices to change the objects, *but* if the company has **raised money from the public through a prospectus** and still holds an **unutilised amount**, it may change the objects only if: (i) a special resolution is passed; (ii) details are **published** (newspaper advertisement and on the website) and given to the shareholders; and (iii) **dissenting shareholders are given an exit offer** by the promoters/controllers in accordance with SEBI regulations. *Why this extra machinery?* Because the public subscribed on the faith of the *old* objects; if the company now wants to redeploy their still-unspent money on *new* objects, an investor who disagrees must be allowed to **cash out** rather than have his money silently repurposed. It is the objects-clause promise (Section 3, "what may it do?") being honoured

even at the point of change. *Trap*: assuming a bare SR always suffices to change objects — it does *not* where public money is involved and unutilised.

What the examiner tweaks: "Can a company shift its registered office from Mumbai (Maharashtra) to Pune (Maharashtra)?" — same State, so no RD confirmation needed *unless* it crosses RoC jurisdiction; ordinary board/SR + INC-22 (and Sec 12 process) suffices. "From Mumbai to Bengaluru?" — different State → **Sec 13(4) + Regional Director confirmation**. Read the geography carefully.

Capital-clause alterations [Sec 61] — the five moves a limited company may make (by ordinary resolution if the articles authorise). Sharply distinguish *alteration* of capital (Sec 61 — a change in the *structure/number* of shares) from *reduction* of capital (Sec 66 — an actual return or cancellation of issued capital, needing **Tribunal** confirmation because it touches the creditors' buffer): 1. **Increase** the authorised (nominal) capital. 2. **Consolidate** and divide shares into larger denominations (consolidation that changes members' voting % now needs Tribunal approval). 3. **Sub-divide** shares into smaller denominations. 4. **Convert** fully paid shares into stock and reconvert stock into shares. 5. **Cancel** unissued shares ("diminution" — *not* a reduction of capital, because nothing issued is being cancelled).

Why does Sec 61 need only an ordinary resolution and no Tribunal, while Sec 66 needs the Tribunal? Sec 61 merely re-arranges the *authorised* structure and hands no money back to members, so the creditors' security is untouched; Sec 66 actually *shrinks the fund* creditors rely on, so a court must confirm no one is prejudiced. *Trap*: labelling a Sec 61 sub-division or consolidation as needing Tribunal confirmation, or mis-calling the cancellation of *unissued* shares a "reduction of capital."

4.3 The Articles of Association (AOA) — Sections 2(5), 5, 14

What it is. The AOA is the **internal rulebook** — the bye-laws for running the company: share issue and transfer, calls, board and general meetings, voting, directors' powers, dividends, borrowing, winding-up. *Why separate from the MOA?* Because the outside world cares about *what* the company is and may do (MOA), while members care about *how* it is governed (AOA). Two audiences, two documents. **The AOA is subordinate to the MOA** — where they conflict, the MOA prevails; and neither may violate the Act.

The hierarchy of authority — read every conflict top-down.

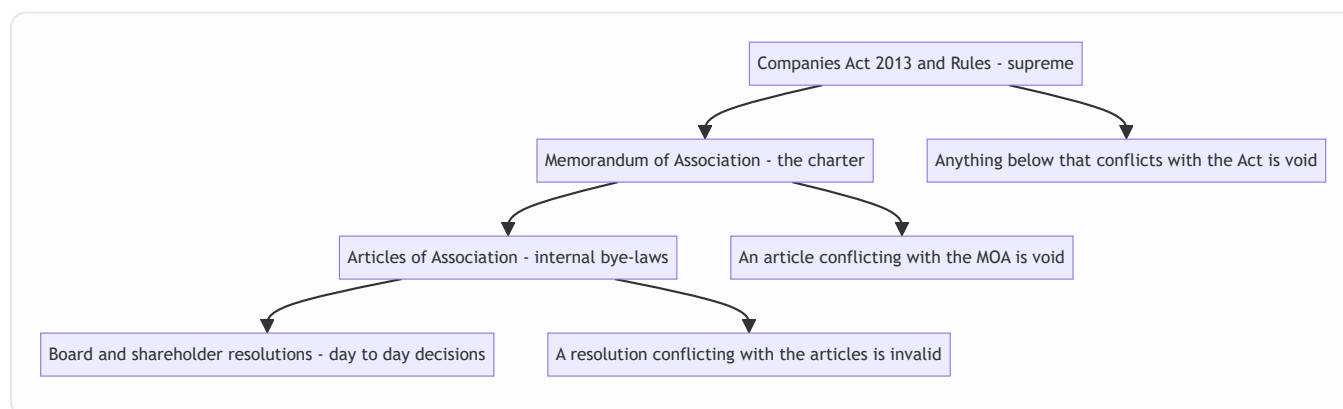


Figure 6: When two documents clash, the higher one always wins — Act over MOA over AOA over resolutions. Locate the conflict on this ladder and the answer is automatic.

MOA vs AOA — the comparison the exam wants in a table:

Feature	Memorandum (MOA)	Articles (AOA)
Nature	Charter; defines the company to the outside world	Bye-laws; regulate internal management
Relationship	Supreme; subordinate only to the Act	Subordinate to both the Act and the MOA
Scope	Powers and objects (what the company <i>may</i> do)	The manner of exercising those powers (<i>how</i>)
Alteration	Hard — SR + often CG/RD approval (Sec 13)	Easier — SR + filing (Sec 14)
Effect of an act beyond it	Ultra vires the company → void , un-ratifiable	Merely irregular → ratifiable ; outsiders may invoke Turquand
Compulsory?	Every company must have one	A company limited by shares may adopt Table F instead of registering its own

Model articles — Tables F, G, H, I, J [Sec 5, Schedule I]. The Act supplies ready-made articles by company type; a company may adopt them wholly, partly, or write its own. *Why offered?* To make formation cheap and to supply sensible defaults. *Default rule:* if a company limited by shares registers **no** articles, **Table F applies automatically**; if it registers articles that are silent on a point, Table F fills the gap unless expressly excluded.

Table	For which company
F	Company limited by shares
G	Company limited by guarantee having share capital
H	Company limited by guarantee without share capital
I	Unlimited company having share capital
J	Unlimited company without share capital

Entrenchment [Sec 5(3)–(4)] — a lock inside the rulebook. The articles may contain **entrenchment provisions** — clauses that can be altered only by conditions *more restrictive* than a special resolution (e.g., unanimous consent). *Why allow this?* To let founders/investors protect vital rights (e.g., a minority's veto) from being stripped by a bare majority. **How entrenchment is created matters:** on **formation** it may be included by the subscribers agreeing; **after** formation it can be added only by **all members** of a company (unanimous agreement) — because entrenchment binds everyone's future power, so everyone must consent. Entrenchment must be **noted to the RoC** (in the incorporation forms, or in the amendment filing) so the public knows the extra lock exists. *Fine limit:* entrenchment can make alteration *harder* than an SR, never *easier* — you cannot entrench a clause down to a mere ordinary resolution.

Alteration of Articles [Sec 14] — easier than MOA, but bounded. Alterable by **special resolution**, filed with RoC. *Why easier than MOA?* Because articles are the members' own internal arrangement; they should be free to re-govern themselves. **Limits (the guardrails):** - Cannot conflict with the **MOA** or the **Act**. - Cannot **increase a member's liability** to contribute more, without written consent (Sec 38 legacy principle carried into Sec 14/Sec 6 supremacy). - Must be **bona fide for the benefit of the company as a whole**, not to oppress a minority. - Cannot do anything **illegal or against public policy**, and cannot **override a**

court/Tribunal order. - Converting **private** → **public** or **public** → **private** via article change needs the added approvals below (Sec 14 proviso — private conversion needs Central Government/RD approval). - Cannot be a **breach of contract with an outsider** disguised as a valid alteration — the *power* to alter always exists (a company cannot contract out of its statutory right to alter its articles), but if the alteration breaks a contract, the company must pay **damages** even though the alteration itself is valid (*Southern Foundries v Shirlaw*).

Deeper why on "cannot contract away the power to alter": the right to alter articles by SR is a **statutory** right. A company cannot sign away a statutory right by private agreement, because that would let founders freeze governance forever and defeat the Act. So the alteration is *always effective*; the only question is whether it triggers a damages claim for breaking a separate promise. This is a classic two-part answer: **(1) alteration valid; (2) damages payable if it breaches a contract.**

The AOA + MOA as a contract [Sec 10]. Once registered, the MOA and AOA **bind the company and its members** as if signed by each, creating a **statutory contract**: member-to-company and member-to-member. *Note the classic limit — outsiders get no rights:* in ***Eley v Positive Life Assurance*** a solicitor whose appointment was written into the articles could not enforce it, because the articles are a contract among members *qua members*, not with outsiders. *The subtle corollary:* the contract binds a member only in his **capacity as a member**; a right conferred on a member in some *other* capacity (e.g., as the company's solicitor) is unenforceable through Sec 10, even though he is a member. *And member-to-member:* in some cases a member can enforce the articles *directly against another member* without joining the company (*Rayfield v Hands* — articles requiring directors who are members to buy a retiring member's shares were enforced member-to-member).

Can an alteration of articles operate retrospectively? Yes — a validly passed alteration may be given *retrospective* effect, provided it is bona fide for the benefit of the company as a whole and does not offend the limits above (no increased liability without consent, no fraud on the minority, no override of a court order). The examiner tests this by giving a *past-dated* grievance and asking whether the fresh article can reach back; the answer is *yes, within the bona fide limits*.

A member's dual capacity — the trap inside Sec 10. The statutory contract binds a person *only in the capacity of member*. The same human may wear two hats: as *member* he can enforce the articles; as *outsider* (solicitor, director, promoter) he cannot use Sec 10 to enforce a right the articles happen to mention (*Eley*). So the first question in any Sec 10 problem is: *in which capacity is he suing?* Membership capacity → enforceable; outsider capacity → not enforceable through Sec 10, even though he is also a member.

The four relationships under Sec 10 — memorise the grid.

Relationship	Binding?	Authority
Company → members	Yes — the company can enforce the articles against a member	Sec 10 statutory contract
Members → company	Yes — a member can enforce the articles against the company (as a member)	Sec 10; but not for outsider-capacity rights (<i>Eley</i>)
Member → member	Yes (in appropriate cases, sometimes directly)	<i>Rayfield v Hands</i>
Company/member → outsider	No — an outsider gets no rights from the articles	<i>Eley v Positive Life</i>

The one-line summary: the constitution is a contract **inside** the membership, in every direction *except* out to strangers. Draw this grid on the margin of any Sec 10 problem and the answer usually falls out of which cell the parties occupy.

4.4 Doctrine of Constructive Notice — the price of public documents

Because the MOA and AOA are **registered and open to public inspection**, every person dealing with the company is **deemed to have read them and understood their contents** — whether or not they actually did. This is **constructive notice**. *Why?* Otherwise the whole point of publishing the constitution (letting outsiders check limits) would collapse; people would deal blindly and then claim ignorance. So the doctrine **protects the company**: if you contract with it in a way the public documents forbid, you cannot plead "I didn't know."

How far does constructive notice reach? It covers the **contents** of the MOA and AOA (and other documents registered and open to public inspection — e.g., special resolutions filed with the RoC). It does **not** extend to documents that are *not* on the public file (e.g., internal board minutes, the company's private correspondence). This boundary is exactly what makes room for the indoor-management rule: you are deemed to know the *public* limits, but you are *not* deemed to know whether the *private* internal steps were taken.

A candid caveat the exam sometimes rewards. Constructive notice is often called a doctrine of *diminishing practical force* — Indian courts have not applied it as harshly as the old English cases, and the indoor-management rule has eaten deeply into it. State it as the *company's* shield, but know that it is the weaker of the pair in practice, because it protects the party (the company) that is better placed to police its own affairs.

A precise boundary — constructive notice is notice of contents, not of compliance. You are deemed to know that the articles *require* a board resolution to borrow; you are **not** deemed to know *whether that resolution was actually passed*. The first is a *content* of the public document (notice applies); the second is an *internal fact* invisible to the public (notice does not apply — and Turquand steps in). Keep this razor sharp: constructive notice fixes you with the *rules on the file*, never with the *facts inside the boardroom*. Almost every problem that pits the two doctrines against each other is really testing this single line.

4.5 Doctrine of Indoor Management (Turquand's Rule) — the humane exception

Constructive notice, left alone, would be brutal: the documents may say "the board *may* borrow if authorised by resolution," but an outsider cannot witness whether the resolution was actually passed. So the courts created the **indoor management rule** (*Royal British Bank v Turquand, 1856*):

An outsider dealing in good faith is entitled to **assume that all internal/procedural requirements have been duly complied with** ("the indoor management"). They need only ensure the transaction is *permitted* by the public documents; they need not verify that internal formalities *actually happened*.

Why? It fairly allocates the one-way-mirror risk. Outsiders can read public documents (so constructive notice binds them there); they *cannot* see inside the boardroom (so indoor irregularities are the company's risk).

Exceptions — when an outsider CANNOT rely on Turquand's rule: 1. **Knowledge of irregularity** — the outsider actually knew the internal procedure was not followed. 2. **Suspicion / negligence** — circumstances were suspicious and the outsider failed to inquire (put on inquiry) — *Anand Bihari Lal v Dinshaw*: a person dealing with an accountant who purported to transfer company property should have suspected the lack of

authority. 3. **Forgery** — the rule never validates a **forged** document; a forgery is a nullity (*Ruben v Great Fingall Consolidated*). You cannot "assume" a forged signature is genuine. 4. **Acts outside apparent/ostensible authority** — the act was beyond even the *apparent* authority the office holder could have; no reasonable person would assume it (*Kreditbank Cassel v Schenkers* — a branch manager endorsing bills for his own debt). 5. **No knowledge of the articles at all** — a person who never read/relied on the articles cannot claim their benefit (*Rama Corporation v Proved Tin* — you cannot rely on a power you did not know existed).

Fine line between exceptions 1/2 and the rule: the outsider is protected only if acting in **good faith**. "Good faith" here means he did not know of the irregularity *and* nothing put a reasonable person on inquiry. A large, unusual transaction, or dealing with an officer for that officer's *personal* benefit, is a red flag that defeats good faith.

Contrast to nail it: **Constructive notice protects the company against outsiders** (you're deemed to know the public documents). **Indoor management protects outsiders against the company** (you may assume internal compliance). One shields the company; one shields the counterparty. Examiners love reversing these.

Ostensible (apparent) authority — the sibling of Turquand [Freeman & Lockyer v Buckhurst Park].

Turquand lets an outsider assume *internal procedure* was followed; **ostensible authority** lets him hold the company bound where an officer *appears* authorised even though he was never actually authorised, provided: (i) the company (through those with actual authority) **represented** that the officer had authority, (ii) the outsider **relied** on that representation, and (iii) the outsider had **no notice** that the officer in fact lacked authority. *Why a separate doctrine?* Turquand covers "the resolution was probably passed"; ostensible authority covers "this person was *held out* by the company as its agent." Together they protect the reasonable outsider from the company's own internal failures — but neither cures **forgery, actual knowledge**, or an act beyond what such an officer could *ever* do.

Fine line for the exam: a *single* director, or the company secretary, generally has **no** authority by virtue of office alone to bind the company to substantial contracts; the outsider must point to a holding-out or a Turquand-style regular appointment. Assuming a lone director can bind the company just because he holds the office of director is a classic overreach.

Two more illustrations that fix the boundary. *Where Turquand protected the outsider:* in **Official Liquidator v Commissioner of Police / Dewan Singh Hira Singh v Minerva Mills** lines of reasoning, an outsider dealing with an officer who *appeared* regularly appointed could hold the company bound despite an internal defect in the appointment — the outsider need not audit the boardroom. *Where it did not:* in **Anand Bihari Lal v Dinshaw** the transfer of company property by an accountant was set aside because the outsider *should have been suspicious* of an accountant's authority over immovable property — the "put on inquiry" exception. Hold the pair together: *regular-looking authority* = protected; *inherently suspicious authority* = not.

The doctrines as two gates the outsider must pass:

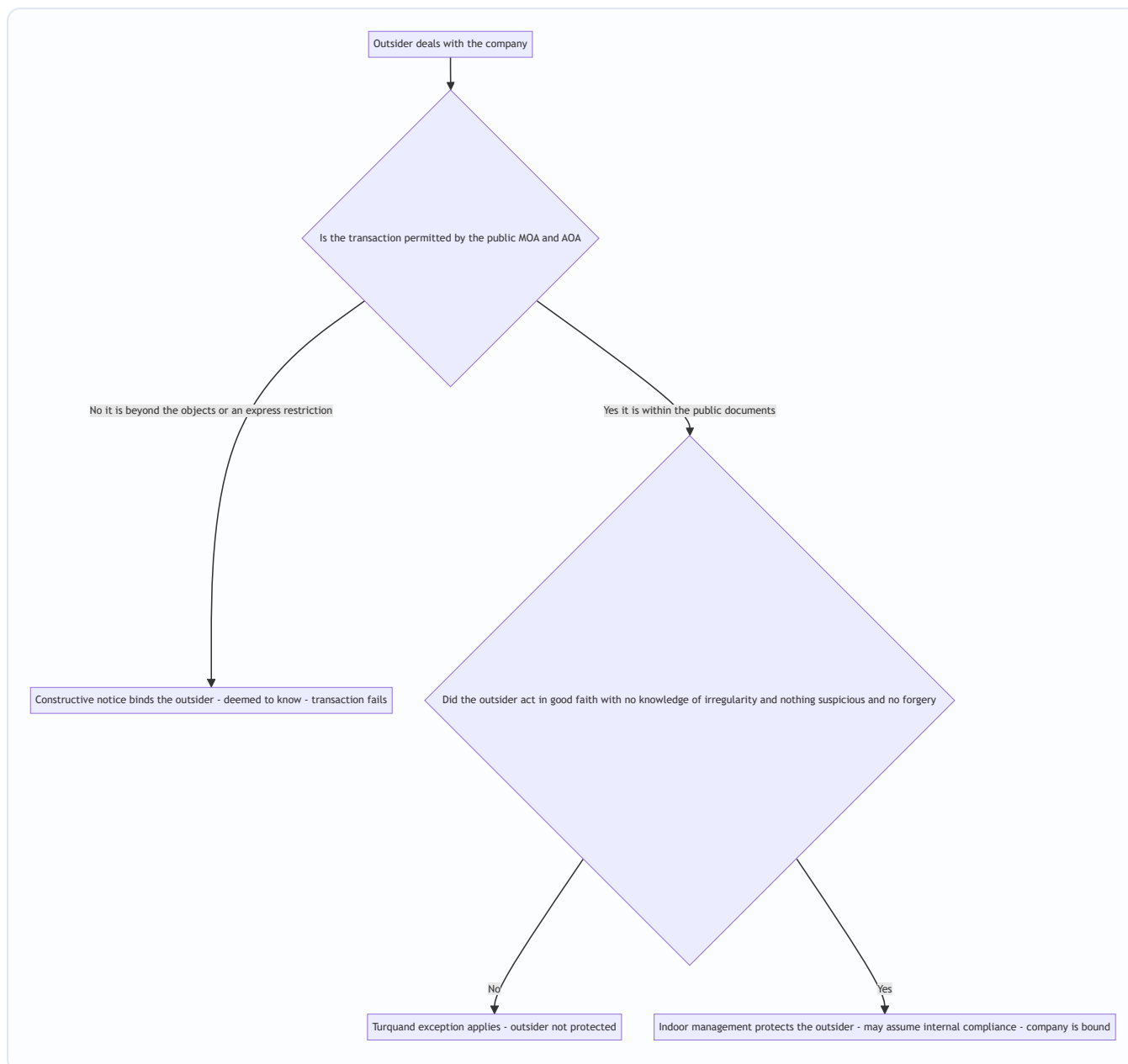


Figure 3: The two-gate test — first clear the public document limit (constructive notice), then claim the internal-compliance assumption (indoor management).

4.6 The Incorporation Procedure and Documents — Sections 3, 7

Minimum members to form [Sec 3].

Company type	Minimum members to subscribe
Public company	7 or more
Private company	2 or more
One Person Company (OPC)	1

Why 7 / 2 / 1? Public companies raise money from the wide public, so a broad founding base is expected; private companies are close-held; the OPC (a 2013 innovation) legitimises the solo entrepreneur who previously had to find a dummy second member.

Do not confuse three separate counts (a top exam trap):

Count	Public	Private	OPC
Minimum members to form	7	2	1
Maximum members	No limit	200 (past+present employee-members excluded)	1 (+ 1 nominee)
Minimum directors	3	2	1
Maximum directors (Sec 149)	15 (more by SR)	15 (more by SR)	15

Why 200 max for a private company? Beyond 200 the company is effectively raising from a public-sized crowd; the cap forces genuinely wide ventures into the public regime with its stronger disclosure. *Fine point:* joint holders of a share count as **one** member, and employee-members (present or past who became members while employed) are excluded from the 200 count.

What happens if members fall below the minimum — Section 3A (the 2017 correction). The 1956 Act made members personally liable if the number fell below the statutory minimum; the 2013 Act at first omitted this, but the **2017 amendment inserted Sec 3A** to close the gap. The rule now is: *if the number of members falls below the minimum (7 for public, 2 for private) and the company carries on business for more than 6 months while so reduced, then every person who is a member during that time and is aware of the fact becomes severally liable for the debts of the company contracted after those 6 months, and may be sued for them.*

Read the three triggers precisely, because the examiner removes one: (i) membership actually below the minimum; (ii) business carried on **beyond 6 months** in that state — the first 6 months are a grace period; (iii) the member is **aware** of the reduction. Liability attaches **only to debts contracted after the 6-month grace period**, and **only to the aware members**. *This is a genuine statutory veil-lift — the separateness the company normally enjoys is withdrawn as a penalty for running on an under-populated register. (This supersedes the older "not carried forward" position noted under veil-lifting; treat Sec 3A as live law — confirm the exact wording in ICAI material.)*

OPC — the finer eligibility rules the exam probes. Only a **natural person who is an Indian citizen and resident in India** can form an OPC or be its nominee (*resident = stay in India of a specified number of days in the preceding financial year — verify current threshold, historically 182 then reduced to 120 days for the residency test*). A person can be a member of **only one OPC** and nominee of **only one OPC**. An OPC **cannot** carry out **Non-Banking Financial Investment** activities or be incorporated/converted into a **Sec 8 (charitable)** company. Every OPC must name a **nominee** (in INC-3) who steps in on the sole member's death or incapacity — because a one-person company must not die with its one person; perpetual succession still applies.

The OPC lifecycle — the mechanics the exam tests one mark at a time. - **Naming the nominee:** the nominee's *prior written consent* is obtained in **INC-3** and filed at incorporation; the nominee's name appears in the MOA. *Why compulsory?* Without a pre-named successor, the death of the sole member would freeze the company — the nominee is the built-in continuity plan. - **Changing / withdrawing the nominee:** the member may change the nominee at any time (fresh consent, intimation to the company and RoC in **INC-4**). A nominee may also *withdraw* his consent, obliging the member to name another within a set period. *Memory hook: INC-3 to appoint, INC-4 to change.* - **On the member's death or incapacity to contract:** the

nominee automatically becomes the member and must, within a set period, nominate a *new* nominee — so the chain of succession never breaks. - **Conversion:** OPC → private/public is filed in **INC-6**; a private company → OPC is also **INC-6** with the NOC of members/creditors. (Older mandatory-conversion intimation used **INC-5** when thresholds were crossed — *the 2021 amendment removed the mandatory thresholds and the 2-year wait; confirm the current forms and position in ICAI material.*) - **The member–nominee cannot be the same person**, and a person already a member of one OPC cannot become the nominee of another that would make him a *second-OPC* member — the "only one OPC" cap is policed at both the member and nominee ends.

Documents filed for registration [Sec 7(1)] — the birth file. The application to the RoC (via **SPICe+ / INC-32**, with **e-MOA INC-33** and **e-AOA INC-34**) must include:

Document	Purpose / the abuse it blocks
MOA & AOA , signed by subscribers	The constitution — objects, liability, governance
Declaration by professional (advocate/CA/CS/CWA) and by a subscriber/first director — INC-8 / part of SPICe+	States that all Act requirements are complied with — puts a licensed professional's neck on the line against fake filings
Declaration by each subscriber & first director [Sec 7(1)(c)] — INC-9	Affirms they are not convicted / not guilty of fraud in company formation — screens out disqualified founders
Address for correspondence until registered office is fixed	So the RoC can reach the company from day one
Particulars of subscribers & first directors (name, DIN, identity/address proof)	Identity trail — the accountability the whole system is built on
Consent of first directors (DIR-2 / included) and their DIN	No one becomes a director without knowing/consenting
Registered office proof (if given at incorporation; else file INC-22 within 30 days)	A real, verifiable place of business

Where subscribers sign electronically: under SPICe+, the e-MOA (INC-33) and e-AOA (INC-34) are signed with **Digital Signature Certificates (DSC)**; physical signing with witnesses survives mainly where a subscriber is a **foreign national** without an Indian DIN/DSC (apostilled/notarised documents). *Why a professional declaration and a subscriber declaration both?* One is an *expert's* assurance of legal compliance (INC-8/professional), the other is the *founders' own* affirmation of clean hands (INC-9) — two independent gatekeepers, so a false birth needs two liars, not one.

First directors, the resident-director rule, and DIN — the human floor. A few director-side rules are screened at incorporation and are favourite one-mark testers: - **First directors:** named in the articles; if the articles are silent, the **individual subscribers to the MOA are deemed the first directors** until directors are duly appointed. *Why a default?* A company cannot exist for even a day without someone able to act for it. - **Minimum directors [Sec 149]:** 3 (public), 2 (private), 1 (OPC); maximum 15 (more by special resolution). - **At least one resident director [Sec 149(3)]:** every company must have at least one director who **stayed in India for a total of not less than 182 days** in the financial year — *confirm the current day-count. Why?* So there is always a director physically reachable within the jurisdiction — the human counterpart of the registered-office rule. - **DIN and consent [Sec 152/153]:** no one is appointed a director without a **Director Identification Number** and a **written consent (DIR-2)** filed with the RoC — consent stops "surprise

directors," and the DIN keeps the accountability trail unique across companies. - **Disqualifications [Sec 164]:** the INC-9 declaration screens out persons convicted/adjudged guilty of fraud in formation; Sec 164 lists further disqualifications (undischarged insolvent, convicted of certain offences, etc.) that keep unfit persons off boards.

Effect of registration / Certificate of Incorporation [Sec 7(2), 9]. On satisfaction, the RoC registers the documents and issues a **Certificate of Incorporation** with a **Corporate Identity Number (CIN)**. From the date in the certificate: - The company is **born as a body corporate** [Sec 9] — a **separate legal person**, with **perpetual succession** and a **common seal** (seal now optional), capable of owning property, contracting, suing and being sued in its own name. - The subscribers become **members**. - The **MOA and AOA become binding** as a statutory contract from that moment (Sec 10). - The company acquires a **PAN and TAN** (issued along with the certificate under the integrated SPICe+ process) so it can transact and be taxed immediately.

The precise legal instant matters. A company is a body corporate "**from the date mentioned in the certificate** of incorporation" — not from the date the RoC happens to sign, nor from the date the applicant filed. Anything the "company" purported to do *before* that date is a pre-incorporation act (governed by the promoter-liability and Specific Relief rules above); anything *from* that date is the company's own act. This single line resolves a whole family of exam problems that turn on *which side of the birth-date* a transaction fell.

Subscriber liability — the founding act is enforceable. A subscriber to the MOA is **bound to take and pay for** the shares written against his name, and on incorporation he is *deemed* to have agreed to become a member; his name is entered in the register of members and he cannot back out on the ground that a separate allotment was never made to him. This is exactly why the subscription clause is the true *founding act*: it converts a signature into an enforceable membership *and* a capital commitment.

Conclusiveness of the certificate. Historically the certificate was treated as **conclusive evidence** that all requirements of registration were complied with and the company is duly incorporated — so its validity cannot be questioned merely for a procedural defect. *Why?* Certainty for everyone who later deals with the company. *Classic illustration — the date is conclusive too:* in **Jubilee Cotton Mills v Lewis** the certificate was held conclusive even as to the **date** of incorporation, validating an allotment that would otherwise have been premature. **But 2013 added an anti-fraud override [Sec 7(5)–(7)]:** if incorporation was obtained by **furnishing false information / suppressing material facts**, the promoters, first directors and persons making the declaration are liable for **fraud under Sec 447**, and the **Tribunal (NCLT)** may pass orders including regulation of the company, changes to liability of members, or even **removal of the name / winding up**. So: conclusive against *technical* defects, **not** a shield for *fraud*.

Consequences of incorporation — the famous "separate personality" package. Anchor case: **Salomon v Salomon & Co Ltd (1897)** — once incorporated, the company is a person **distinct from Salomon himself**; he could be its secured creditor and rank ahead of unsecured creditors, because company debts are the company's, not his. Practical consequences: - **Separate legal entity:** company owns its assets; members do **not** own company property (**Macaura v Northern Assurance** — a member could not insure company timber in his own name, having no insurable interest). Indian echo: **Lee v Lee's Air Farming** — a sole controlling shareholder could *also* be an employee of "his" company, so his widow got workmen's compensation; the man and the company were two persons. - **A shareholder does not own the company's income either** — **Bacha F. Guzdar v CIT**: dividend received by a member of a tea company was **not** agricultural income in his hands, because the *company* (not the member) carried on the agricultural activity; the member merely owns *shares*, a distinct species of property. This is the income-side twin of *Macaura*:

members own shares, not the company's assets or its business. - **A company is a person but not a citizen** — *State Trading Corporation v CTO* and *Tata Engineering & Locomotive Co. v State of Bihar*: a company has separate legal personality yet is **not a citizen**, so it cannot claim fundamental rights available only to citizens (though it may claim rights available to "persons"). *Why?* Citizenship is a status the Constitution reserves for natural persons; separate personality gives the company *legal* capacity, not *citizenship*. - **Limited liability**: members risk only unpaid amount on shares (or guarantee sum). - **Perpetual succession**: members may die or transfer shares; the company lives on. "*Members may come and go, but the company goes on forever.*" - **Capacity to sue and be sued** in its own name; to **contract** and **hold property**. - **Lifting the corporate veil (the counter-safeguard)**: courts/statute will look *behind* the artificial person where it is used for **fraud, tax evasion, to defeat law, or as a sham/agent** — so incorporation cannot be a licence to cheat.

Lifting the veil — organise the grounds (the exam wants a structure):

- **Judicial (case-law) grounds:** (i) **fraud / improper conduct** — *Gilford Motor v Horne* (company formed to dodge a non-compete), *Jones v Lipman* (company used to escape a specific-performance decree on a land sale); (ii) **enemy character in wartime** — *Daimler v Continental Tyre* (look at the nationality of the controllers); (iii) **sham / façade / agency** — where the company is a mere cloak or agent of the controllers; (iv) **evasion of tax or a legal obligation** — *Re Sir Dinshaw Maneckjee Petit* (company formed only to split income and dodge tax); (v) **protection of public interest / revenue**.
- **Statutory grounds:** e.g., **fraudulent conduct of business** (officer personal liability), **mis-description of the company** on bills/cheques (signatory personally liable), **furnishing false info at incorporation** (Sec 7(5)–(7)), and liability for certain acts where the company is used to defeat the Act. *Note:* under the 2013 Act the old "reduction of membership below the minimum" personal-liability rule of the 1956 Act was **not carried forward** as a distinct veil-lifting ground — *confirm current position in ICAI material*.

Veil-lifting grounds — organise every answer this way.

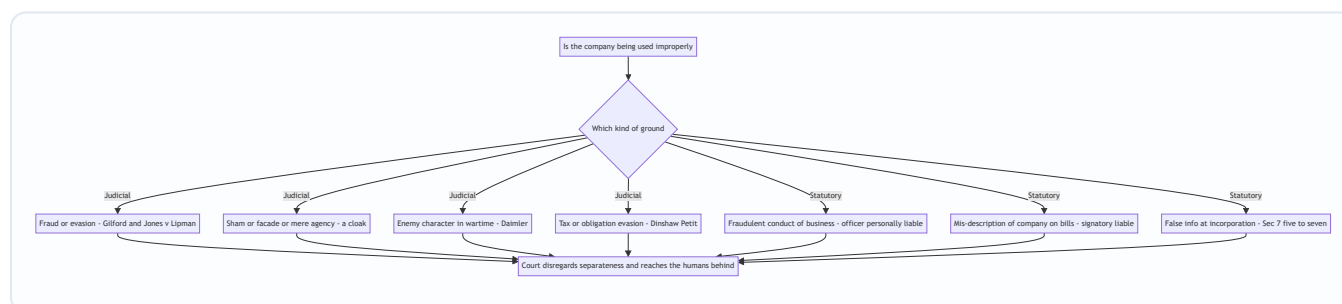


Figure 4: Every veil-lifting answer sorts into judicial versus statutory grounds — name the case or the section, then reach the person behind.

4.7 Commencement of Business — Section 10A

The abuse it fixes. "Shell" companies were being incorporated with grand paid-up capital figures on paper, never actually receiving the subscription money, then used as fronts. So a **2018 insertion (Sec 10A)** re-introduced a commencement gate for companies **having a share capital and incorporated on or after 2 Nov 2018**.

Such a company **cannot commence business or exercise borrowing powers** unless: 1. Within **180 days** of incorporation, every subscriber files a **declaration (INC-20A)** that they have **paid the value of shares agreed to be taken**; and 2. The company has filed **verification of its registered office (INC-22)** with the RoC (within **30 days** of incorporation).

Consequence of default: penalty on the company (a fixed sum) and every officer in default (a per-day sum up to a cap — *verify current amounts in ICAI material*), and the **RoC may initiate removal of the company's name** if it believes no business is being carried on. *Memory hook: 180 days to prove the money is real; 30 days to prove the address is real.***

Fine distinctions on Sec 10A: - It applies **only** to a company **having share capital**. A company **not** having share capital (e.g., a Sec 8 company limited by guarantee without capital) is **outside** Sec 10A. *Why?* The mischief was *fake paid-up capital*; a no-capital company has no such figure to fake. - It bites two things: **commencing business and exercising borrowing powers**. A newborn cannot even borrow before the declaration — precisely the pipe through which shell frauds ran. - The declaration is about **actual receipt** of the subscription money, matching the **capital reality** theme of the whole chapter (see the three-questions table in Section 2).

(Distinguish from the old regime: the 2013 Act originally had a "certificate of commencement" concept under the earlier Sec 11, which was omitted in 2015, then the leaner Sec 10A came in 2018. If an old question refers to Sec 11 commencement certificate, note it was omitted — confirm in ICAI material.)

Penalty and strike-off mechanics [Sec 10A(2)–(3)]. On default: the *company* is liable to a penalty (a fixed sum — historically ₹50,000) and *every officer in default* to a penalty per day of continuing default up to a cap (historically ₹1,000/day, cap ₹1,00,000) — *verify current amounts in ICAI material*. Separately, if the RoC has *reasonable cause to believe* that the company is **not carrying on business** and no INC-20A was filed within 180 days, it may initiate action to **remove the company's name** from the register under **Sec 248**. So Sec 10A bites from two directions at once — a monetary penalty *and* the existential threat of strike-off. *Fine point:* Sec 10A does **not** make the company's early contracts *void* (unlike *ultra vires*); it *prohibits* commencement and *penalises* breach. The mischief is deterred by penalty and strike-off, not by voiding third-party dealings — a distinction the examiner probes by asking whether a loan taken on day 40 is "void" (it is not; it is a penalised breach).

4.8 Conversion Between Company Types

Because circumstances change — a private company wants public funding, or a bloated public company wants to go private, or an OPC outgrows the solo model — the Act provides orderly conversion, each with safeguards for the affected people.

Private → Public [Sec 14 + Sec 18]. Pass **SR** to alter the AOA (delete the private-company restrictions of Sec 2(68)), increase members to at least 7 and directors to at least 3, file with RoC; the RoC issues a fresh certificate reflecting the changed status. *Why easy-ish?* Going public *increases* transparency and public protection, so the law is less anxious. *Note a "deemed public company" wrinkle:* even a private company that is a **subsidiary of a public company** is treated as a public company for many purposes — *confirm the current effect in ICAI material* — so the private label can be lost by ownership structure, not only by choice.

Public → Private [Sec 14 + Sec 18]. Needs **SR** *and* approval of the **Regional Director (Central Government)** (post-2018 the power to approve such conversion shifted from the Tribunal to the RD). *Why harder?* Going private *reduces* public oversight and can trap/oppress minority holders and creditors, so an authority must confirm it's fair; creditors and members get a chance to object.

OPC ↔ Private/Public [Sec 18, Rule 6 & 7 of Incorporation Rules]. - **OPC → Private/Public:** may convert **voluntarily** (historically only after **2 years** from incorporation, unless thresholds were crossed) or **compulsorily** if it crossed thresholds — historically if **paid-up capital exceeded ₹50 lakh** or **average annual turnover exceeded ₹2 crore**; the **2021 amendment removed these mandatory thresholds and**

the 2-year wait, allowing conversion any time — *confirm current position in ICAI material*. - **Private → OPC**: allowed only for a private company with **paid-up capital and turnover within the OPC-eligibility limits** (historically capital ≤ ₹50 lakh and turnover ≤ ₹2 crore — the 2021 amendment liberalised this, *confirm*), by SR and NOC from members/creditors, since an OPC is meant for small solo ventures.

Company limited by guarantee / unlimited ↔ limited by shares. Permitted under **Sec 18 (conversion by alteration of MOA/AOA and re-registration)** with member approval and RoC filing; the conversion does **not** affect existing debts/obligations/contracts — *why?* creditors' rights cannot be wiped out by a mere change of corporate clothing.

Golden thread of all conversions [Sec 18(3)]: conversion **does not affect** the debts, liabilities, obligations or contracts incurred before conversion — they continue and may be enforced as if there were no conversion. The company changes its coat, not its history.

Unlimited → limited by shares (re-registration). An unlimited company may re-register as limited under Sec 18; but to protect creditors who dealt with it *while liability was unlimited*, its pre-existing debts and any reserve arising are preserved — the change of clothing cannot retrospectively cap a liability those creditors relied on. *Golden thread again (Sec 18(3))*.

Sec 8 (charitable) company — formation and character. A Sec 8 company is one formed to promote **commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment** or similar objects, that **applies its profits (if any) only in promoting those objects** and **prohibits payment of any dividend** to members. It is incorporated under a **licence** from the Central Government (Regional Director), which lets it **register without the word "Limited"/"Private Limited"** in its name — the one true exception to the Sec 4 name-suffix rule. *Why the concessions?* Because the entity has *bargained away* the profit motive; society rewards that promise with fee relief and the dropped suffix. *Consequences worth remembering*: it may **alter its MOA/AOA only with Central Government approval**; a firm may be a member of a Sec 8 company (a rare exception); and if the licence conditions are contravened, the Central Government may **revoke the licence**, after which the company must add "Limited"/"Private Limited" and may even be wound up or amalgamated only with another Sec 8 company. *Trap*: marking a Sec 8 name as defective for lacking "Limited," or forgetting that its MOA alteration needs CG approval on top of the usual Sec 13 route.

Sec 8 (charitable) company conversion. A Sec 8 company is formed by a **licence**, applies its profits only to its objects, and pays **no dividend**. It may convert into an ordinary company only by **surrendering the licence** with Central Government (Regional Director) approval and satisfying conditions that stop the accumulated charitable assets being siphoned into private hands. *Why the extra guard?* A Sec 8 company enjoyed concessions (fee relief, the right to drop "Limited") *in exchange for* a non-profit promise; letting it flip to profit freely would let founders bank the concessions and then privatise the charitable surplus.

One-glance eligibility ladder — OPC vs Small vs Private vs Public.

Feature	OPC	Small company [2(85)]	Private [2(68)]	Public [2(71)]
Members to form	1	(a private co. meeting the size limits)	2	7
Max members	1 (+1 nominee)	—	200	no limit
Who qualifies	natural person, Indian citizen, resident	private co. within paid-up-capital & turnover thresholds	close-held, restricts transfer	may invite the public
Nominee required	Yes (INC-3)	No	No	No

Small company is not a separate incorporation type — it is a *status* a private company holds while it stays under the paid-up-capital and turnover thresholds (historically $\leq ₹4$ crore capital and $\leq ₹40$ crore turnover after the 2022 revision — *verify current thresholds in ICAI material*). The status brings compliance relief and is *lost automatically* the moment the company outgrows the limits. *Trap*: treating "small company" as something you *incorporate* rather than a size-based *label* that switches on and off with the numbers.

Why the small-company status is worth having (the reliefs). The status is the Act *calibrating compliance to size* — a genuinely small private company poses little public risk, so it earns lighter obligations: e.g., it may hold **fewer board meetings** (a reduced minimum in a year), is exempt from preparing a **cash-flow statement** as part of its financial statements, files an **abridged annual return**, its auditor need not report on **internal financial controls**, and it enjoys **lower/lesser penalties** for many defaults. *Exclusions the exam probes*: a **public company**, a **holding or subsidiary company**, a **Sec 8 company**, and a company governed by a **special Act** can **never** be a small company, regardless of size — because their public exposure or special status overrides the size concession. *Confirm the current threshold figures and the list of reliefs in ICAI material.*

Dormant company mechanics [Sec 455]. A company formed for a **future project**, to **hold an asset or intellectual property**, or with **no significant accounting transaction**, may apply to the RoC to be entered on a **register of dormant companies**. It then carries lighter compliance until it revives. *Why offer dormancy?* Because forcing a genuinely inactive but *legitimate* vehicle to bear full compliance (or to strike it off) would be wasteful; dormancy is the honest middle path between "actively trading" and "dead." It is the **opposite pole** of Sec 10A: Sec 10A pushes a newborn to *prove it will act*, while Sec 455 lets a company *formally declare it will not act for now* — both keep the register truthful about which companies are really alive. *A dormant company must still hold the minimum number of board meetings and retain a minimum number of directors — confirm the current conditions in ICAI material.*

4.9 Registered Office, Service and Authentication — Sections 12, 20, 21

Registered office [Sec 12] — the company's legal home. A company must have a registered office **capable of receiving and acknowledging communications** from the date of incorporation or within **30 days** of it (verified in **INC-22**). *Why a hard deadline?* Because until there is a verified address, the accountability trail (Section 1) has no physical anchor.

Display and identity obligations under Sec 12 (each guards a distinct mischief): - **Paint/affix the name and registered-office address** outside every office/place of business, in a conspicuous position, in legible letters (and in the local language too) — so the public physically *finds* the entity. - **Print the name, registered-office address, CIN, telephone/e-mail** (and website/fax if any) on all **business letters**,

billheads, notices, and official publications — so every document self-identifies the entity behind it. - **Engrave the name on the seal** (where a seal is used).

Why these petty-looking rules matter: a company that hides or mis-states its name defeats the whole identity system — hence **mis-description** (e.g., a director signing a bill in a wrong or abbreviated company name) can make the **signatory personally liable** (a statutory veil-lift), and default in the display/print obligations carries a penalty on the company and every officer in default.

Changing the registered office — the three distances (map this cleanly):

Move	Approval needed
Within the same city/town/village (same local limits)	Board resolution + notice to RoC (INC-22)
To another city but within the same State and same RoC	Special resolution + INC-22
Within the same State but from one RoC's jurisdiction to another	SR + Regional Director confirmation
From one State to another	SR + Regional Director confirmation [Sec 13(4)] + advertisement + creditor/RoC objection window

Why does distance raise the bar? The further the move, the more it can prejudice people who relied on the old location — nearest move disturbs no one (board alone); crossing a RoC or State shifts jurisdiction and the High Court, so an authority must confirm no one is harmed. *Trap:* applying Regional Director confirmation to a shift *within the same local limits*, or forgetting that a same-State move that crosses RoC jurisdiction still needs the RD.

Service of documents [Sec 20]. A document may be served on the company by sending it to its **registered office** by registered post, speed post, courier, or electronic mode (and on a member by post/electronic mode at his registered address). *Why fix the mode?* So that "I never received it" cannot defeat a validly served notice — service is deemed effective on proper dispatch to the registered address, which is exactly why Sec 12 insists the address be real.

Authentication of documents [Sec 21]. A document or proceeding requiring authentication by the company, and contracts made on its behalf, may be signed by any **Key Managerial Personnel or an officer/employee duly authorised** by the Board — the human hand behind the artificial person must be a properly authorised one. This dovetails with Turquand and ostensible authority: the *outsider's* protection assumes there is an authorised signatory; Sec 21 is the *inside* rule fixing who that may be.

Execution of documents and the common seal [Sec 22]. A company may, by **writing under its common seal** (or, since the seal became *optional*, by signature of authorised persons) empower a person as its **attorney** to execute deeds on its behalf, including abroad; a deed so executed **binds the company**. *Why make the seal optional?* Because insisting on a physical seal for every act was a needless friction on a person that now transacts digitally; the substance — *a duly authorised human hand* — is what matters, which is exactly what Sec 21/22 secure. *Fine point for the exam:* where a company **has** a common seal, its use must be authorised as the articles provide; where it has **none**, documents are validly executed by **two directors, or a director and the company secretary** (or as the Act prescribes). *Confirm the current execution formula in ICAI material.*

4.10 Illegal Association — Section 464

The rule. No **association or partnership** consisting of **more than the prescribed number of persons** may be formed for the purpose of **carrying on any business for gain** unless it is **registered** as a company (or is formed under some other law). The Act sets the ceiling and empowers rules to fix the number — it **may not exceed 100**, and the number currently prescribed is **50**. Cross that line without incorporation and you have an **illegal association**.

Why the cap exists — first principles. This is the *entry gate* of the whole chapter viewed from the other side. Society lets *small* groups trade as an ordinary partnership without the machinery of incorporation, because a handful of partners can watch each other and outsiders can identify them. But once a profit-venture grows *beyond* a threshold, it starts to resemble a public-scale enterprise — many members, diffuse control, strangers' money — and it must submit to the *public birth, constitution and disclosure* regime. Sec 464 forces such a body to *choose*: register, or be unlawful. It is the mirror image of Sec 3 (which sets the *minimum* to form) — Sec 464 sets the *maximum* you may run *without* forming.

Exceptions (no minimum-registration compulsion): - A **Hindu Undivided Family (HUF)** carrying on business (members of one HUF are not counted as an "association"). - An association or partnership of **professionals** governed by special regulation (e.g., chartered accountants, lawyers) formed under a profession's rules. - Where a specific law otherwise permits.

Consequences of being an illegal association (the effects the exam wants): - It has **no legal existence** — it **cannot sue** (on contracts or otherwise) and **cannot be sued** in the association's name. - It **cannot be wound up** under the Companies Act (you cannot wind up something that legally does not exist). - **Every member is personally liable** for the obligations incurred, and members may be **penalised**. - A member **cannot sue another member** in respect of the business, nor the association for his share of profits.

Trap: students confuse the Sec 464 ceiling (**50**, prescribed under a cap of 100) with the private-company **200-member** maximum. They are different regimes: 200 is the cap on a *registered private company's membership*; 50 is the cap on an *unregistered* profit-association before incorporation becomes compulsory. Also note the HUF and professional carve-outs — a naked "more than 50 = always illegal" statement is wrong.

5. Applied Scenarios — reason your way to the answer

Scenario 1 — The pre-incorporation land deal. *Facts:* Promoter P, before "GreenAgro Pvt Ltd" is incorporated, signs a contract in the company's name to buy farmland from F. After incorporation the company refuses to pay, saying "we never signed it." F sues the company. *Reasoning:* At the date of contract the company did **not exist**, hence had no capacity to contract and cannot **ratify** (no principal existed). Under general company law the company is **not bound**; **P is personally liable** (*Kelner v Baxter*). However, under **Specific Relief Act 1963 (Sec 15(h)/19(e))**, since the contract was for the *purposes* of the company, if the company **adopts/warrants** it after incorporation, F can enforce it against the company. *Outcome:* If the company adopted the contract, F enforces against the company; if not, F's remedy is against **P personally**. The company cannot "ratify," but it **can adopt**. *Self-check:* We didn't say "ratify" — correct. We required *purpose of the company + adoption* — both Specific Relief conditions present. Consistent.

Scenario 2 — The ultra vires loan vs the irregular loan. *Facts A:* A company whose objects are "manufacture of textiles" lends ₹2 crore to finance a friend's film. *Facts B:* The same company borrows ₹2

crore for its textile mill, but the board resolution authorising the borrowing was never actually passed; the lender bank checked the AOA (which permits borrowing on board authorisation) and lent in good faith. *Reasoning A:* Financing films is **outside the objects** → **ultra vires the company** → the loan is **void**, not ratifiable even unanimously; directors are personally liable to restore funds (Ashbury principle). *Reasoning B:* Borrowing is **within the objects and powers**; the only defect is an **internal procedural** one (no resolution). The bank read the public documents (constructive notice satisfied) and may **assume internal compliance** under **Turquand's rule** — unless it knew or was put on inquiry. Nothing suspicious here. *Outcome:* Loan A is void and unenforceable; the company is **not** liable. Loan B **binds the company**; the bank recovers. Same amount, opposite result — because one breached the *outer* limit (MOA) and the other only an *inner* limit (procedure).

Scenario 2A — the examiner's tweak: ultra vires borrowing. *Facts:* Reverse Loan A — the *company* borrows ₹2 crore for a purpose outside its objects. The lender wants his money back. Of the ₹2 crore, ₹1.2 crore is still lying in the company's bank account and ₹80 lakh was used to pay off a genuine, lawful trade creditor of the company. *Reasoning:* The loan is **ultra vires and void**, so the lender cannot sue on it as a debt. But equity gives two recoveries: **tracing** the identifiable ₹1.2 crore still in the account, and **subrogation** for the ₹80 lakh — since it discharged a lawful debt, the lender steps into that creditor's shoes. *Outcome:* Lender recovers **₹1.2 crore by tracing + ₹80 lakh by subrogation = ₹2 crore in substance**, though *not* "on the loan." *Self-check:* $1.2 + 0.8 = 2.0$ crore — reconciles to the amount lent, and every rupee is recovered on a *non-contractual* footing, consistent with the loan being void. The trap avoided: writing "the lender gets nothing because the loan is void."

Scenario 3 — Separate personality and insurable interest. *Facts:* Mr. M owns 99% of "Timber Co Ltd," which owns a stock of timber. M personally insures the timber in *his own name*. Fire destroys it; M claims. *Reasoning:* On incorporation the timber belongs to the **company**, a separate person; M, though nearly sole owner, has **no insurable interest** in company property (**Macaura principle**). Ownership of shares ≠ ownership of the company's assets. *Outcome:* The claim **fails**. The very separateness that gives M limited liability also denies him personal ownership of company assets — you cannot enjoy the shield and deny the wall.

Scenario 4 — The forged share certificate. *Facts:* A company's secretary forges the directors' signatures on a share certificate and gives it to T, who claims to be a member relying on Turquand's rule. *Reasoning:* Turquand's rule lets outsiders assume *procedural regularity*, but it **never validates forgery** (Ruben v Great Fingall). A forged instrument is a **nullity**; there is nothing to "assume regular." *Outcome:* T acquires **no rights**; the company is not bound.

Scenario 5 — Shell with no money (Sec 10A). *Facts:* "Nimbus Trading Ltd" (share capital) is incorporated on 1 Jan 2025. On day 40 it takes a bank loan and starts trading, but subscribers have not paid for their shares and no INC-20A/INC-22 is filed. *Reasoning:* Under **Sec 10A**, a company with share capital cannot commence business or borrow until the **INC-20A** declaration of paid subscription (within **180 days**) and **INC-22** office verification (within **30 days**). It borrowed prematurely. *Outcome:* Penalty on the company and officers in default; the borrowing power was exercised in violation of Sec 10A, and the **RoC may act to strike off** the company for not carrying on genuine business.

Scenario 6 — The promoter's secret profit (numerical). *Facts:* Before promoting "Solaris Energy Ltd", promoter Q buys a plot for ₹40 lakh. Two months later, now actively promoting the company, he sells the *same* plot to Solaris for ₹1 crore, disclosing only to a Board consisting of his two brothers whom he controls. Solaris later discovers the facts. *Reasoning:* Q made a profit of ₹1 crore – ₹40 lakh = **₹60 lakh**. Disclosure was

to a Board he *controls*, which in law is **no disclosure** (must be to an independent Board or the general body of members — *Erlanger*). Two questions decide the remedy: (i) *Did he acquire the plot while already a fiduciary?* He bought it *before* active promotion, so the older pattern applies — the company may either **rescind** (return the plot, get its ₹1 crore back) or, keeping the plot, **recover the undisclosed profit of ₹60 lakh**. It cannot do both. *Outcome* — *reconcile both routes*: Route 1 (rescission): company pays back the plot, recovers ₹1 crore → net cash position restored to before the deal. Route 2 (keep + recover profit): company keeps the plot and claws back ₹60 lakh → it has effectively bought a ₹40 lakh plot for ₹40 lakh (₹1 crore paid – ₹60 lakh recovered). *Self-check*: ₹1 crore – ₹60 lakh = ₹40 lakh = Q's original cost — so under Route 2 the company ends up paying exactly cost, stripping Q of the secret gain. Both routes leave Q with **no secret profit**, which is the doctrine's whole point. Consistent. *Tweak*: if Q had bought the plot *while already a promoter*, the profit would belong to the company **outright** — mere later disclosure could not save even a smaller markup, because a fiduciary may not profit *from* the fiduciary relationship without fully informed consent.

Scenario 7 — Alteration of articles that breaks a contract (two-part answer). *Facts*: "Vertex Ltd's" articles appoint R as managing director for 5 years. Two years in, the majority passes an SR altering the articles to remove the office of MD, and R is ousted. R sues to have the alteration declared void and to keep his post. *Reasoning*: The power to alter articles by SR is **statutory and cannot be contracted away**, so the **alteration is valid** and R cannot keep the post (Sec 14; *Southern Foundries v Shirlaw* principle). *But* if R had a **separate service contract** (not merely the article), the alteration that makes performance impossible is a **breach**, entitling R to **damages** — not reinstatement. *Outcome*: Alteration **valid**; R **cannot be reinstated**; R **recovers damages only** if he can show a separate binding contract beyond the bare article (recall *Eley* — an article alone gives an outsider-capacity right no standing). *Self-check*: two independent conclusions (validity of alteration; damages for breach) that do not contradict — the classic split answer.

Scenario 8 — Which conversion route and what survives? *Facts*: "Delta Foods Pvt Ltd" wants to raise money from the public and become a public company. It currently has 4 members and 2 directors, and owes ₹3 crore to trade creditors. *Reasoning*: Private → Public [Sec 14 + 18]: pass **SR** deleting the Sec 2(68) restrictions, raise **members to ≥ 7** and **directors to ≥ 3**, file with RoC; a fresh certificate issues. No Regional Director approval is needed (going *public* increases protection). By **Sec 18(3)**, the ₹3 crore of pre-conversion debt **survives** in full and is enforceable against the (now public) company. *Outcome*: Delta adds ≥ 3 members and ≥ 1 director, converts by SR + filing, and remains liable for the ₹3 crore. *Self-check*: members 4 → ≥ 7 (add ≥ 3), directors 2 → ≥ 3 (add ≥ 1), debt unaffected — all three requirements addressed; direction of change (private→public) correctly mapped to the *easier* route. Consistent.

Scenario 9 — Same facts, different signature (the capacity trap). *Facts*: Before "Harbour Logistics Pvt Ltd" exists, promoter S negotiates a charter with shipowner W. In version (a), S signs "for and on behalf of Harbour Logistics Pvt Ltd — S." In version (b), the contract is drawn as between W and "Harbour Logistics Pvt Ltd," and S merely signs to authenticate the company's name. The company is never formed. W sues. *Reasoning*: Version (a) is the *Kelner v Baxter* pattern — S contracted *as agent* for a non-existent principal, so **S is personally liable**. Version (b) is the *Newborne v Sensolid* pattern — the purported contracting party was the *company itself*, which did not exist, so **there is no contract at all**; *neither* W nor S can enforce, and S is **not** personally liable because he never contracted in his own name. *Outcome*: (a) W recovers from S personally; (b) W recovers from no one (subject, in India, to any Specific Relief adoption if a company is later formed and adopts the deal). *Self-check*: the only variable changed is *how S signed*, yet liability flips — proving the doctrine keys on capacity, not on the mere words "on behalf of."

Scenario 10 — Does this private company breach the 200-member cap? (numerical). *Facts:* "Cobalt Trading Pvt Ltd" has on its register: 150 individual ordinary members; one holding held jointly by 4 persons; 30 *present* employees who became members while in employment; and 25 *former* employees who first acquired their shares while employed and have kept them. Count the members for the Sec 2(68) cap. *Reasoning:* Start at 150. The jointly-held holding counts as **one** member regardless of the 4 joint holders → +1 = 151. Present employee-members who became members *during* employment are **excluded** → the 30 drop out. Former employees who acquired membership *while employed* and continued are **also excluded** → the 25 drop out. *Outcome:* Countable members = 150 + 1 = **151**, comfortably under 200. *Self-check:* 150 individuals + 1 (the joint holding) = 151; the 30 + 25 = 55 employee-members are carved out by the proviso. Cobalt is safe. *Tweak:* if the 25 had *first bought* their shares only *after* leaving employment, they would **not** get the exclusion and the count becomes 151 + 25 = 176 — still under 200, but the examiner may push the numbers past 200 to force the breach and its consequence.

Scenario 11 — Entrenchment and the arithmetic of a "super-majority" (numerical). *Facts:* "Meridian Tech Pvt Ltd" has 1,00,000 equity shares (one vote each). Its articles **entrench** Article 45 (protecting an investor's right to nominate a director) so it can be altered *only* by members holding **95% of the total voting power** — stricter than a special resolution. At a general meeting, holders of 78,000 shares vote to delete Article 45; 12,000 vote against; 10,000 do not vote. *Reasoning:* A special resolution needs a **75% majority of votes cast** — here 78,000 of 90,000 cast = 86.7%, which *clears* an ordinary SR. But Article 45 is **entrenched at 95% of total voting power** = 95,000 votes. Only 78,000 voted in favour. *Outcome:* The alteration **fails** — 78,000 < 95,000. Entrenchment lawfully makes the change *harder* than an SR, and the 75%+ threshold is not enough. *Self-check:* 78,000/90,000 = 86.7% (SR ✓) but 78,000/1,00,000 = 78% (entrenchment X) — the two thresholds sit on *different bases* (votes cast vs total voting power), which is exactly the trap. *Tweak:* entrenchment can only make alteration *harder*, never easier; a clause purporting to let Article 45 change by a mere ordinary resolution would be void as sub-SR entrenchment.

Scenario 12 — Lifting the veil for tax evasion (numerical). *Facts:* Mr. D earns ₹1 crore a year in dividends and interest. To cut tax he forms four private companies, transfers his investments among them, and arranges that each company immediately returns the income to him as a "loan" that is never repaid. None of the companies has any business other than holding D's investments. The Revenue seeks to tax the ₹1 crore in D's hands. *Reasoning:* This is the *Re Sir Dinshaw Maneckjee Petit / Juggilal Kamlapat* pattern — companies formed as a **mere device to evade tax**, with no genuine business. The authority may **lift the veil**, treat the companies as D's alter ego, and tax the income as **his**. *Outcome:* The whole ₹1 crore is taxed in D's hands; the four-company structure is disregarded. *Self-check:* the income is taxed **once**, in the real earner's hands — the arrangement produced four veils but *zero* genuine businesses, so separateness is withdrawn. *Contrast (do not over-lift):* had each company carried on a *real* business and merely enjoyed a lawful lower rate, the veil would **stand** (Salomon). Tax *planning* is legitimate; tax *evasion through a sham* is not. The line is genuine business versus naked device.

Scenario 13 — Sub-division of shares (numerical, Sec 61). *Facts:* "Aster Ltd" has an authorised and issued capital of 1,00,000 equity shares of ₹10 each (₹10,00,000). To improve liquidity it sub-divides each ₹10 share into ten ₹1 shares. A shareholder held 500 shares. *Reasoning:* Sub-division under **Sec 61(1)(d)** changes only the *denomination*, not the total capital. New share count = 1,00,000 × 10 = **10,00,000 shares of ₹1**; total capital = 10,00,000 × ₹1 = **₹10,00,000** — unchanged. The shareholder now holds 500 × 10 = **5,000 shares of ₹1**, still worth ₹5,000. No Tribunal approval is needed (the creditors' fund is untouched); an ordinary resolution suffices if the articles authorise. *Outcome:* Same total capital, ten times the share count, proportionate holdings preserved. *Self-check:* ₹10,00,000 before = ₹10,00,000 after; the shareholder's stake

$500 \times ₹10 = ₹5,000 = 5,000 \times ₹1$ — value conserved, only granularity changed. *Contrast:* had Aster instead *reduced* capital to ₹8,00,000 by paying back ₹2 per share, that is **Sec 66** and needs **Tribunal** confirmation, because ₹2,00,000 leaves the creditors' buffer.

Scenario 14 — Members fall below the minimum (Sec 3A, numerical). *Facts:* "Beacon Pvt Ltd" (a private company, so minimum 2 members) has two members, X and Y. On 1 April, Y transfers all his shares to X, leaving **X as the sole member**. Aware of this, X keeps the company trading. On 15 October (i.e., beyond 6 months) the company borrows ₹30 lakh from a supplier on credit; earlier, in May, it had incurred ₹12 lakh of debt. *Reasoning:* Membership (1) is below the private-company minimum (2). Business continued **beyond the 6-month grace period** (1 April → the grace ends around 1 October). X is **aware**. Under **Sec 3A**, X becomes **severally liable** for debts contracted **after** those 6 months — so the **₹30 lakh October debt** attaches to X personally. The **₹12 lakh May debt**, contracted *within* the grace period, does **not** attach. *Outcome:* X is personally liable for the ₹30 lakh (post-grace) debt; the ₹12 lakh (in-grace) debt remains only the company's. *Self-check:* only the *aware* member, only debts *after* 6 months → ₹30 lakh yes, ₹12 lakh no. *Tweak:* had X inducted a second member on 20 September (within 6 months), the reduction would have been cured before the grace expired and Sec 3A would **never** bite — the company simply must restore the minimum in time.

Scenario 15 — Death of the sole OPC member. *Facts:* "Solo Ventures OPC" has sole member M and nominee N (consented in INC-3). M dies. A creditor fears the company has died with him and wants to enforce a ₹5 lakh debt. *Reasoning:* A company enjoys **perpetual succession**; it does not die with its member. On M's death, **N automatically becomes the member** and steps into ownership; the company's separate personality and its debts continue unbroken. N must, within the prescribed period, appoint a *fresh* nominee so the succession chain is restored. *Outcome:* The company survives; the ₹5 lakh debt is enforceable against the company (now owned by N). *Self-check:* the whole reason INC-3 nomination is compulsory is exactly this moment — the nominee is the built-in continuity plan, so a one-person company never dies with its one person.

Scenario 16 — Which registered-office procedure? (three distances). *Facts:* "Cove Retail Ltd" wants to move its registered office in three alternative plans: (a) to a new building on the same street in the same city; (b) from that city to another city in the *same* State, still under the same RoC; (c) from that State to a different State. *Reasoning:* (a) same local limits → **Board resolution** + INC-22, nothing more. (b) another city, same State, same RoC → **special resolution** + INC-22 (no RD, because jurisdiction is unchanged). (c) another State → **SR + Regional Director confirmation** [Sec 13(4)], with advertisement and a chance for creditors and the old RoC/State to object. *Outcome:* The authority required climbs with distance: board → members → members-plus-authority. *Self-check:* only move (c) crosses a jurisdiction, so only (c) needs the RD; applying RD confirmation to (a) or (b) is the classic over-shoot. *Tweak:* if (b) had crossed from one RoC's jurisdiction to another *within* the same State, it would jump up to needing **RD confirmation** too — jurisdiction, not State lines alone, is the real trigger.

Scenario 17 — Illegal association or not? (Sec 464, numerical). *Facts:* Sixty individuals pool money to run a real-estate trading business under a partnership deed, without registering any company. In a *variant*, the sixty are all members of a single Hindu Undivided Family; in a *second variant*, they are 60 practising chartered accountants forming an audit firm under ICAI regulation. *Reasoning:* The base case has **60 persons > 50** carrying on business for gain **without incorporation** → **illegal association** under Sec 464: no legal existence, cannot sue or be sued, every member personally liable. *Variant 1:* members of **one HUF** are **excepted** — not an illegal association. *Variant 2:* an association of **professionals** regulated by their profession is **excepted** — the CA firm is lawful. *Outcome:* base = illegal; both variants = lawful. *Self-check:* 60

> 50 triggers the rule, but the two carve-outs (HUF, regulated professionals) switch it off — showing the number alone is not decisive. *Trap avoided*: do not use the 200-member private-company cap here; the relevant ceiling is the Sec 464 figure (**50**, under a statutory cap of 100).

Scenario 18 — Adding entrenchment after formation. *Facts*: "Nimbus Ltd" was incorporated with ordinary articles. An investor now wants Article 12 (his board-nomination right) entrenched so it can be changed only by unanimous consent. The board proposes to add the entrenchment by a **special resolution** (75% majority). A shareholder objects. *Reasoning*: On **formation**, entrenchment can be included by the subscribers agreeing. **After** formation, entrenchment can be added only by an **agreement of all the members** — a bare special resolution is **not** enough, because entrenchment binds *everyone's* future power and so needs *everyone's* consent. The change must also be **notified to the RoC**. *Outcome*: The 75%-SR route **fails**; unanimous member agreement is required to add the entrenchment. *Self-check*: the objecting shareholder is right — the very purpose of post-formation unanimity is to stop a majority *imposing* a lock on the minority. *Contrast*: had this been at *incorporation*, the subscribers' agreement would have sufficed.

Scenario 19 — Constructive notice defeats the outsider (the flip side of Turquand). *Facts*: "Orbit Traders Ltd's" registered articles expressly cap borrowing at ₹50 lakh and require a *general-meeting* resolution for anything above. A lender advances ₹2 crore to the company on a director's request, without checking the articles, relying on Turquand. *Reasoning*: The borrowing **exceeds an express, public limit** in the AOA. By **constructive notice**, the lender is *deemed* to have read that ₹50 lakh cap and the general-meeting requirement. Turquand only lets an outsider assume *internal compliance with a permitted transaction* — it does **not** rescue a transaction the public documents forbid on their face. The lender should have read the cap; the two-gate test fails at gate one. *Outcome*: The company is **not bound** for the excess; the lender cannot enforce the ₹2 crore as validly borrowed (though ultra-vires-style tracing/subrogation may still let it recover money still identifiable or used to pay lawful debts). *Self-check*: this is the *mirror* of Scenario 2B(Loan B) — there the borrowing was *within* the public limit and only an internal step was missing (Turquand saved the bank); here the borrowing *breaches* the public limit (constructive notice sinks the lender). Same doctrines, opposite gate, opposite result.

Scenario 20 — Changing objects after a public issue (Sec 13(8)). *Facts*: "Zenith Pharma Ltd" raised ₹100 crore from the public through a prospectus for "manufacture of vaccines." ₹35 crore remains unspent. The board now wants to redeploy the money into "digital health software" and passes a special resolution to change the objects. A block of retail investors dissents. *Reasoning*: A special resolution changes objects *in general*, **but** because the company **raised money from the public** and holds an **unutilised ₹35 crore, Sec 13(8)** additionally requires (i) publication of the change (advertisement + website + notice to members) and (ii) an **exit offer to dissenting shareholders** by the promoters/controlling shareholders per SEBI norms. The SR is *necessary but not sufficient*. *Outcome*: Zenith may change the objects **only after** advertising the change and giving the dissenters an exit; the retail investors who disagree can **cash out** rather than have their subscription silently repurposed. *Self-check*: the object-clause promise (money follows the stated purpose) is honoured *even at the moment of change* — the dissenter's exit is that promise's enforcement mechanism. *Trap avoided*: writing "a special resolution alone is enough" ignores the public-money overlay.

Scenario 21 — The agent who over-promised his authority (breach of warranty of authority). *Facts*: A director of "Falcon Ltd" assures supplier V that the board has authorised a ₹40 lakh purchase and signs the order. In truth the objects clause did not permit that line of business (ultra vires) and, in any event, the board never authorised him. V delivers goods, Falcon refuses to pay, and V finds the contract void. *Reasoning*: Because the act was **ultra vires the company**, the contract is **void** and V cannot enforce it against Falcon — even unanimous ratification could not save it. But V is not left remediless: the director **impliedly warranted**

he had the authority he claimed. V may sue **the director personally for breach of warranty of authority**, recovering the loss caused by relying on that false assurance. *Outcome*: Falcon (the company) is **not** liable on the void contract; the **director is personally liable** to V for breach of warranty of authority. *Self-check*: the loss lands on the person who *misrepresented* his authority, not on the innocent supplier — the same risk-allocation logic that runs through the whole chapter. *Contrast*: had the act been merely *ultra vires the directors* (within the company's objects), V could instead have held **the company** bound via Turquand/ostensible authority — the void-vs-irregular fault-line decides who pays.

Scenario 22 — Whose income is it? (separate personality, Bacha Guzdar). *Facts*: "Verdant Tea Ltd" grows and manufactures tea; 60% of its composite income is treated as agricultural and 40% as business income in the company's hands. A member, H, receives ₹5 lakh dividend and claims that 60% of it (₹3 lakh) is *agricultural income* in his hands and therefore exempt. *Reasoning*: On the **separate-personality** principle, the *agricultural activity is carried on by the company*, not by H. H owns **shares**, not the tea estate or its crop. His dividend is **income from shares**, a wholly different source; it does **not** carry the agricultural character through to him (*Bacha F. Guzdar v CIT*). The company's internal 60:40 split governs the *company's* assessment, not the member's. *Outcome*: The entire ₹5 lakh dividend is ordinary income in H's hands; **none** of it is agricultural income. *Self-check*: consistent with *Macaura* (no ownership of company assets) and its income-side twin — a member owns a *share*, and the fruits of that share take the character of *dividend*, not of the company's underlying activity. *Trap avoided*: mechanically passing the company's income-character down to the shareholder.

Scenario 23 — Capstone: five doctrines in one fact pattern. *Facts*: Promoter P, before "Apex Retail Ltd" is incorporated, (1) buys a warehouse for ₹80 lakh and, once promotion is underway, sells it to the forming company for ₹1.4 crore, disclosing only to two co-promoters; (2) signs, "on behalf of Apex Retail Ltd," a ₹20 lakh supply contract with supplier T. After incorporation on 1 March, (3) the company, before filing INC-20A and while subscribers have not paid for their shares, borrows ₹50 lakh on day 30 to start trading; and (4) a director signs a ₹90 lakh purchase in a business line *outside* the objects clause. *Reasoning*: - **(1) Secret profit**: P's markup of ₹1.4 crore – ₹80 lakh = **₹60 lakh** disclosed only to co-promoters he is aligned with is **not** disclosure to an independent Board; Apex may **rescind** or **recover the ₹60 lakh** (elect one). - **(2) Pre-incorporation contract**: signed *as agent* "on behalf of" a non-existent company → *Kelner v Baxter*, **P personally liable**; Apex may nonetheless **adopt** it under the Specific Relief Act, in which case T enforces against Apex. - **(3) Sec 10A breach**: borrowing on day 30 without INC-20A (and with unpaid subscription) violates **Sec 10A** — the borrowing is a **penalised breach** (not void); company and officers face penalty and possible strike-off. - **(4) Ultra vires**: the ₹90 lakh purchase is **beyond the objects** → **void**, unratifiable even unanimously; the director may be **personally liable** (and T-type suppliers may sue him for breach of warranty of authority). *Outcome*: Apex claws back ₹60 lakh (or rescinds); P is personally liable on the ₹20 lakh unless Apex adopts it; the ₹50 lakh borrowing stands as a *breach* attracting penalty; the ₹90 lakh ultra vires purchase is void. *Self-check*: each limb sorts cleanly into a distinct doctrine — fiduciary duty, pre-incorporation liability, commencement gate, and ultra vires — with the correct *character* of consequence (recoverable / personal / penalised / void). Naming the doctrine *and* the nature of the consequence for each is exactly how full marks are earned on a mixed problem.

6. Procedure / Compliance Summary

Incorporation — step by step (SPICe+ integrated process):

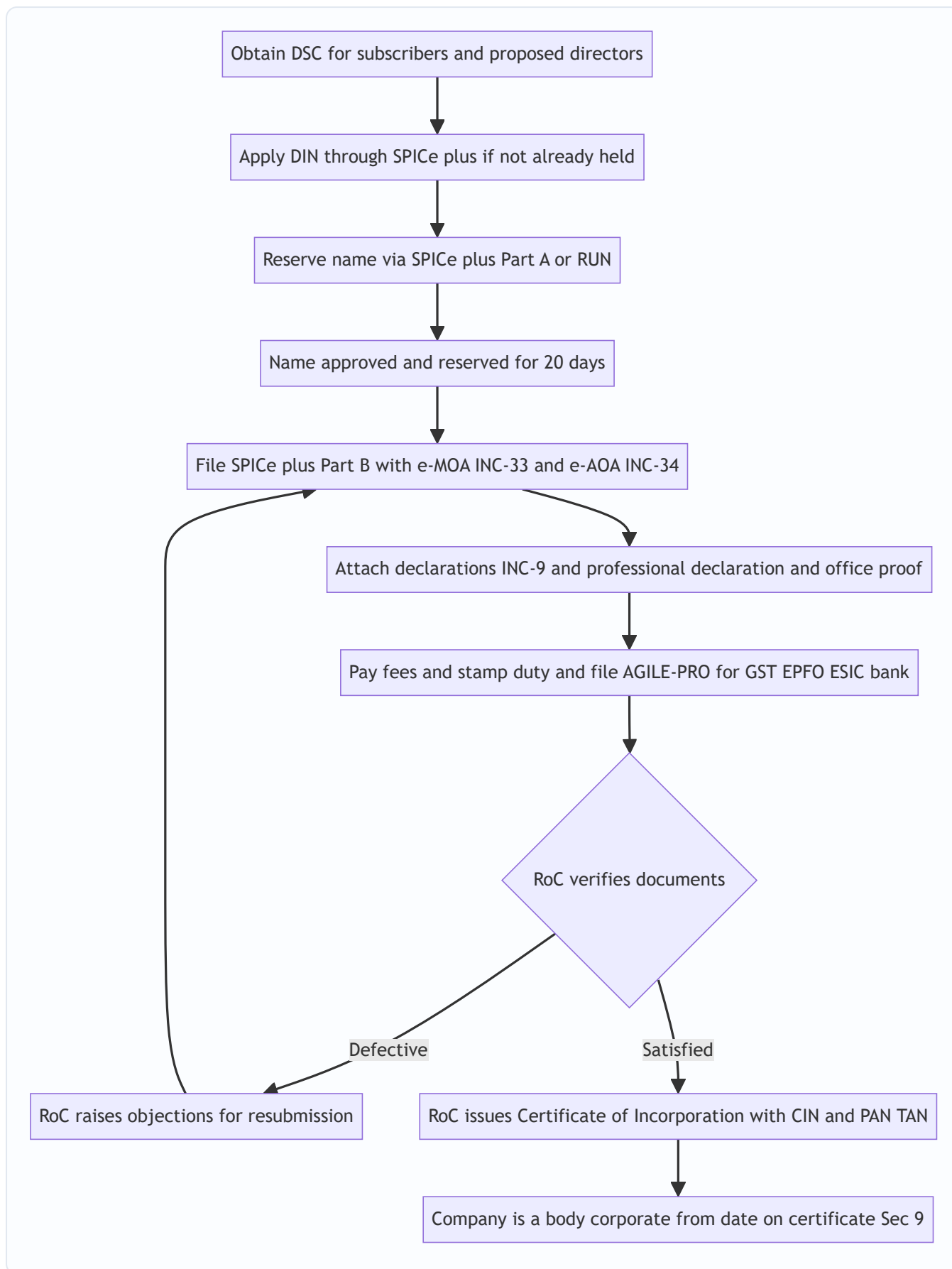


Figure 1: The incorporation pipeline — from digital signatures to a living body corporate.

Post-incorporation commencement gate (Sec 10A):

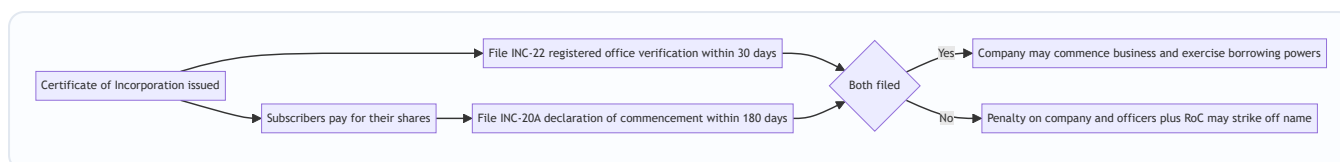


Figure 2: Sec 10A gate — 30 days to prove the address, 180 days to prove the money.

Key forms and timelines:

Form	Purpose	Timeline
SPICe+ (INC-32)	Integrated incorporation application	At formation
INC-33 / INC-34	e-MOA / e-AOA	With SPICe+
INC-9	Subscriber & first-director declaration (no conviction/fraud)	With SPICe+
INC-3	Nominee consent (OPC)	With SPICe+ (for OPC)
AGILE-PRO (INC-35)	GST, EPFO, ESIC, bank account, profession tax	With SPICe+
INC-22	Verification of registered office	Within 30 days of incorporation
INC-20A	Declaration for commencement of business	Within 180 days of incorporation
DIR-12	Particulars/appointment of directors	As applicable
MGT-14	File special resolution (name/object/AOA change etc.)	Within 30 days of the resolution

Alteration timelines (memory anchors): most alterations require a **special resolution** and filing with RoC; registered-office change *outside the State* needs **Regional Director** confirmation; special resolutions are generally filed in **MGT-14 within 30 days**. A **name change** is effective only on issue of a **fresh certificate of incorporation**. *Confirm exact filing windows in ICAI material.*

Generic alteration checklist (works for MOA name/object and AOA changes): (1) **Board meeting** to approve the proposal and fix the general meeting; (2) issue notice and hold the **general meeting**, pass the **special resolution**; (3) file the **special resolution in MGT-14 within 30 days**; (4) obtain the **extra approval** if the clause needs it (CG/RoC for name, Regional Director for cross-jurisdiction office shift, RD for public→private); (5) file the specific alteration form and pay fees; (6) the change takes effect **on registration** by the RoC (for a name change, on issue of the **fresh certificate of incorporation**). *Memory spine: Board → SR → MGT-14 → extra approval → file → RoC registration.*

A word on ongoing "office reality" filings. Beyond the one-time INC-22, the Ministry has from time to time required an **active-office verification (INC-22A / "ACTIVE")** to weed out shell companies that filed an address but do not actually operate there. *Treat the existence and exact triggers of INC-22A as a "verify current position in ICAI material" item* — it is periodically amended — but understand its logic: it is the *continuing* enforcement of the same Section 1 principle that an entity you cannot physically find is an entity you cannot hold accountable.

Approving authority — one-glance map (who signs off what):

Action	Members' resolution	Extra authority
Alter Articles (Sec 14)	Special resolution	None (file RoC)
Alter object clause (Sec 13)	Special resolution	None (public-money exit if applicable)
Change of name (Sec 13)	Special resolution	Central Government / RoC (fresh certificate)
Registered office, same State same RoC	Board / SR as applicable	None (INC-22)
Registered office, another State (Sec 13(4))	Special resolution	Regional Director confirmation
Public → Private conversion	Special resolution	Regional Director approval
Private → Public conversion	Special resolution	None

Figure/aid: the harder the loss of public protection, the higher the authority required.

7. Connections — how this chapter wires into the rest of the syllabus

- **Chapter 01 (Preliminary / definitions):** the types of company — public, private [Sec 2(68)/2(71)], OPC [Sec 2(62)], small company [Sec 2(85)], government company [Sec 2(45)], Sec 8 (charitable) company — are the *inputs* to incorporation (minimum members, capital, name suffix). Note **Sec 8** companies are formed by a **licence** and may **omit "Limited"/"Private Limited"** from the name — an exception to the Sec 4 name-suffix rule.
- **Prospectus & Allotment (Sec 23–42):** the promoter's fiduciary duty and pre-incorporation liability flow directly into prospectus mis-statement liability (Sec 34/35) and the concept of a public offer; the Sec 2(69) "named in prospectus" limb links promoter status to prospectus law.
- **Share Capital & Debentures (Sec 43–72):** the capital clause of the MOA, and the alteration of capital (Sec 61/64), connect here; Sec 10A's "payment for shares" links to allotment and to the *actual receipt* of subscription money.
- **Management & Administration / Meetings (Sec 96–122):** special resolutions used to alter MOA/AOA, entrenchment, and MGT-14 filing; the *quorum/board-resolution* internals that Turquand lets outsiders assume.
- **Directors (Sec 149 onward):** first directors, DIN, consent (DIR-2), minimum/maximum directors, and disqualifications screened at incorporation (INC-9).
- **Registered office & name change:** ties to Sec 12 (registered office particulars, display of name, INC-22) and Sec 4 name rules and Sec 16 rectification of name.
- **Winding up / Strike off (Sec 248):** Sec 10A default and non-commencement feed directly into the RoC's power to strike a company off the register.
- **Other laws:** the **Specific Relief Act 1963** (pre-incorporation contracts), the **Indian Contract Act** (capacity to contract — why an unborn company cannot ratify; agent for non-existent principal), and **General Clauses Act** interpretive rules.
- **Dormant & inactive companies (Sec 455):** a company formed for a future project or to hold an asset, with no significant accounting transactions, may obtain *dormant* status — the mirror image of the Sec 10A "must commence" pressure; both police the *reality* of the entity from opposite ends.

- **NCLT / Tribunal jurisdiction:** incorporation-by-fraud orders [Sec 7(5)–(7)], reduction-of-capital confirmation (Sec 66), and oppression/mismanagement remedies all route to the Tribunal — the forum that polices abuses of the very separateness this chapter grants.
- **Sec 2(85) small company:** a size-based *status* (not a type) carried by a private company; it links incorporation to the compliance-relief regime and toggles off automatically once the capital/turnover thresholds are crossed.

8. Traps & Examiner Tricks

1. **Ratify vs Adopt (pre-incorporation contracts).** The company **cannot ratify** (no principal existed) but **can adopt/enforce** under the Specific Relief Act. Writing "the company ratified" is wrong; "the company adopted" is right.
2. **Ultra vires the company vs ultra vires the directors.** Only *ultra vires the company* (beyond MOA objects) is **void and un-ratifiable**. *Ultra vires the directors/articles* is within company capacity and **can be ratified** by members. Examiners deliberately blur the two.
3. **Constructive notice vs indoor management — who is protected?** Constructive notice **protects the company** (outsider deemed to know public docs). Indoor management **protects the outsider** (may assume internal compliance). Reverse them and you lose the marks.
4. **Turquand exceptions.** Forgery is **never** cured; knowledge or suspicion defeats the rule. A candidate who applies Turquand to a forged document has fallen for the trap (*Ruben v Great Fingall*).
5. **MOA supremacy.** Where AOA conflicts with MOA, **MOA wins**; where MOA/AOA conflict with the **Act**, the **Act wins**. Both are subordinate to the statute.
6. **Certificate conclusiveness is not a fraud shield.** Post-2013, Sec 7(5)–(7) let the NCLT act (even winding up) where incorporation was by fraud/false info. Old notes calling the certificate "absolutely conclusive" are outdated. *But* it is conclusive as to purely technical/procedural defects and even the **date** (*Jubilee Cotton Mills*).
7. **Sec 11 vs Sec 10A.** The original commencement certificate (Sec 11) was **omitted in 2015**; the current gate is **Sec 10A (2018)** — 180 days / INC-20A. Don't cite the repealed section as live law.
8. **Minimum members trap.** *Members to form:* 7 (public) / 2 (private) / 1 (OPC). Don't confuse with *directors* (3 / 2 / 1), with the *maximum* members (200 for private, excluding certain persons), or with *maximum* directors (15).
9. **Name reservation validity.** For a **new** company the reserved name is valid **20 days** from approval; for an **existing** company changing name, **60 days**. *Confirm the current figures; they have changed over time.*
10. **Public→Private needs an authority; Private→Public does not.** Because going private reduces public protection, it needs Regional Director approval; going public increases transparency, so a simple SR + filing suffices.
11. **Salomon / Macaura / Lee trio.** Salomon = separate legal person (limited liability upheld). Macaura = members don't own company assets (no insurable interest). Lee = the same person can be both sole shareholder *and* employee. All three are faces of the *same* separateness principle.
12. **Veil-lifting is the safeguard on the safeguard.** Incorporation grants separateness; veil-lifting withdraws it where used for fraud/evasion/sham. Expect a scenario testing whether the veil should be lifted — organise the answer as *judicial vs statutory* grounds.

13. **Ultra vires borrowing is not "lender gets nothing."** The loan is void, yet the lender recovers via **tracing** (money still identifiable) and **subrogation** (money used to pay lawful debts). Writing "void, therefore lender loses everything" is the trap.
14. **State vs address in the situation clause.** The **MOA fixes only the State** (change → Sec 13). The **exact address is Sec 12/INC-22** (change within State → easy). Don't apply Regional Director confirmation to an intra-State, same-RoC shift.
15. **Disclosure to a controlled Board is no disclosure.** A promoter's secret profit is legitimised only by disclosure to an **independent** Board or the **whole body of members** (Erlanger). Disclosure to his own nominees does not save him.
16. **Alteration valid, contract breached — give the two-part answer.** A company cannot contract away its statutory power to alter articles; the alteration stands, but damages may follow for breaking a separate contract (Southern Foundries).
17. **Sec 8 name exception.** A charitable (Sec 8) company may drop "Limited"/"Private Limited." Don't mark such a name as defective under Sec 4.
18. **OPC one-OPC rule.** A natural person can be member of only **one** OPC and nominee of only **one** OPC; OPC cannot do NBFC-investment activity or be a Sec 8 company. These narrow eligibility points are frequent one-mark testers — *confirm current residency-day threshold*.
19. **Kelner vs Newborne — capacity of the signature.** Personal liability on a pre-incorporation contract depends on *how* the promoter signed: as *agent* "on behalf of" (Kelner → personally liable) versus in the *company's own name* (Newborne → no contract, no one liable). Do not give a single flat rule.
20. **A lone director or secretary cannot bind the company by office alone.** Turquand and ostensible authority protect a reasonable outsider, but neither implies that a single director or the company secretary can, merely by virtue of office, commit the company to a major contract without a holding-out or a regular appointment.
21. **Sec 61 alteration vs Sec 66 reduction of capital.** Sec 61 (increase, consolidate, sub-divide, convert to stock, cancel *unissued* shares) needs no Tribunal; Sec 66 *reduction* (returning or cancelling *issued* capital) needs **Tribunal** confirmation because it depletes the creditors' buffer. Cancelling *unissued* shares is diminution, **not** reduction.
22. **Charitable/political donations are not automatically ultra vires.** A payment reasonably incidental to the business (or CSR under Sec 135 where applicable) is *intra vires*; only *purposeless, unconnected* gifts fall foul of the doctrine.
23. **Entrenchment measures on a different base.** An entrenched clause requiring, say, 95% of *total voting power* can defeat a resolution that easily cleared the 75%-of-votes-cast special-resolution bar. Watch which denominator the question uses.
24. **Deemed public company.** A private company that is a *subsidiary of a public company* is treated as public for many purposes — the private label can be lost by ownership structure, not just by choice. *Confirm current effect in ICAI material*.
25. **"Small company" is a status, not a type.** You do not *incorporate* a small company; a private company *becomes* one by staying under the capital/turnover thresholds and *ceases* to be one the moment it crosses them. Do not list it alongside public/private/OPC as a formation choice.
26. **Sec 3A is live law again.** Members falling below the minimum, business carried on **beyond 6 months**, member **aware** → that member is **severally liable** for debts contracted *after* the 6 months. Older notes

saying the 1956 rule "was not carried forward" are outdated — the 2017 amendment reinstated it as Sec 3A. Watch the grace period and the "aware" condition.

27. **Registered-office move — jurisdiction, not State lines, is the trigger.** A shift crossing from one **RoC's jurisdiction** to another needs Regional Director confirmation *even within the same State*; a shift within the same local limits needs only a **board resolution**. Do not tie the RD requirement solely to crossing a State border.
28. **Mis-description makes the signatory personally liable.** Signing a bill/cheque/order in a wrong or abbreviated company name (Sec 12 identity rules) can fix the *signatory* with personal liability — a statutory veil-lift that examiners hide inside a "small" facts question.
29. **INC-3 vs INC-4 (OPC nominee).** INC-3 *appoints* the nominee at formation; INC-4 records a *change/withdrawal* of nominee. On the sole member's death the nominee becomes member automatically and must name a fresh nominee.
30. **Sec 8 MOA alteration needs CG approval.** A charitable company cannot alter its memorandum merely by the ordinary Sec 13 route — it also needs **Central Government** approval, because the alteration could dilute the charitable character that earned its concessions.
31. **A member owns shares, not the company's assets or its income.** *Macaura* (no insurable interest in company property) and *Bacha F. Guzdar* (dividend from a tea company is not agricultural income) are the two faces of this. Do not pass the company's asset-ownership or income-character down to the shareholder.
32. **A company is a person but not a citizen.** It has separate legal personality yet cannot claim fundamental rights reserved for citizens (*State Trading Corporation, Tata Engineering*). "The company is a legal person, therefore it has all a citizen's rights" is wrong.
33. **Object change with public money needs more than an SR.** Under Sec 13(8), if public money was raised and remains unutilised, the object change also needs advertisement and a **dissenter exit offer**. A bare special-resolution answer loses marks.
34. **Breach of warranty of authority is the outsider's fallback.** Where a contract is void (*ultra vires*) or unauthorised, the innocent outsider may still sue the *agent personally* for warranting an authority he did not have — do not conclude "the outsider is simply remediless."

9. First-Principles Recap

Strip everything away and this chapter is one sentence: *society will let you conjure an immortal, limited-liability person, but only through a public, verified, documented birth, with a written constitution that fixes what the person is (MOA) and how it runs (AOA), plus a fair set of rules about whom the outside world can trust.*

- The **problem** was faceless, unaccountable, purpose-less entities defrauding the public under the cloak of limited liability.
- The **fix** is registration (public birth), a constitution (MOA outward + AOA inward), and three balancing doctrines: **ultra vires** (managers can't exceed the objects), **constructive notice** (you're deemed to know the public documents), and **indoor management** (but you may assume the hidden internals were done right).
- Every rule answers one of **three questions**: *is the entity real?* (registration, certificate, Sec 10A, office), *what may it do and can I trust a change?* (objects, ultra vires, hard alteration, entrenchment), *can I trust the person binding it?* (constructive notice, Turquand, statutory contract, veil-lifting).

- The **certificate** gives certainty; **Sec 7(5)–(7)** and **veil-lifting** stop that certainty from becoming a fraudster's shield.
- **Sec 10A** ensures the newborn actually has real money and a real address before it trades.
- **Conversion** lets the company change its clothes without escaping its past debts (Sec 18(3)).
- **Sec 464** guards the *entry threshold* — grow a profit-venture beyond the prescribed number and you must incorporate or be an illegal, un-sueable association; **Sec 3A** guards the *floor* — run below the minimum membership past the grace period and the aware members lose the limited-liability shield.
- The **registered office** (Sec 12) and the **resident director** (Sec 149(3)) are the two physical anchors that keep an artificial person reachable in the jurisdiction; **Sec 20/21** fix who receives its documents and who may sign for it.
- The **promoter's fiduciary duty** is the chapter's first safeguard — it begins *before* the company breathes, and the company's remedies (rescission, disgorgement, damages) mirror the wrong done.
- The whole design is a **risk allocation between insiders and outsiders**; when a fact pattern confuses you, ask *whose risk is this rule shifting, and to whom?*

If you can re-derive each section from the abuse it prevents, you never have to memorise it.

10. Quick-Revision Sheet

Topic	Section	Key content / limit	One-line why
Promoter (definition)	2(69)	Named, or controls affairs, or Board acts on his instructions	Catch the real controller, named or hidden
Promoter duty	(fiduciary)	No secret profit; full disclosure to <i>independent</i> Board/members; personally liable pre-incorporation	Founding deal must be honest
Pre-incorporation contract	Specific Relief Act 15(h)/19(e)	Company can't ratify but can adopt ; promoter personally liable (Kelner v Baxter)	Unborn person has no capacity
Formation — min members	3	Public 7 , Private 2 , OPC 1	Match founding base to public exposure
Max members / directors	2(68)/149	Private max 200 members; directors 3/2/1 min, 15 max	Cap public-sized crowds; ensure a board
MOA — clauses	4	Name, Situation(State), Object, Liability, Capital, Subscription	Public charter facing outward
Name rules	4(2)-(4), 16	No identical/undesirable/restricted name; reserved 20 days (new)/60 (existing); Sec 16 rectification	Prevent deception & passing-off
Ultra vires	(Sec 4 objects)	Act beyond objects void , un-ratifiable (Ashbury); borrowing recoverable by tracing/subrogation	Protect investors' stated purpose
Alter MOA	13	SR; +CG for name; +RD for office to another State; object SR; MGT-14 in 30 days	MOA promise not changed lightly
AOA	5, Sch I Tables F–J	Internal rulebook; model articles; Table F default; entrenchment allowed	Governance facing inward
Alter AOA	14	Special resolution; can't breach MOA/Act or increase liability; can't contract away power (Southern Foundries)	Members re-govern themselves
MOA/AOA as contract	10	Binds company & members inter se; outsiders excluded (Eley); member-to-member (Rayfield)	Statutory contract
Constructive notice	(doctrine)	Outsider deemed to know public docs; weak in practice	Protects the company
Indoor management	(Turquand)	Outsider may assume internal compliance; not for forgery/knowledge/suspicion/no-authority	Protects the outsider
Incorporation filing	7	SPICe+, e-MOA(33)/e-AOA(34), INC-9 declaration, professional declaration, office proof	Verified public birth

Topic	Section	Key content / limit	One-line why
Certificate of Incorporation	7(2), 9	Body corporate, separate person, perpetual succession, CIN; conclusive even as to date (Jubilee)	The legal DNA
Fraud in incorporation	7(5)-(7)	Sec 447 fraud; NCLT may wind up/strike off	Certificate is no fraud shield
Separate personality	(Salomon/Lee)	Company distinct from members; Macaura – no member insurable interest; Lee – shareholder can be employee	The core magic
Veil lifting	(case + statute)	Judicial: fraud/enemy/sham/tax (Gilford, Daimler, Dinshaw); statutory: mis-description, fraudulent business, Sec 7(5)	Safeguard on the safeguard
Commencement of business	10A	INC-20A within 180 days + INC-22 within 30 days ; only share-capital companies	No trading by empty shells
Registered office verification	12 / INC-22	Within 30 days	A real, reachable address
Conversion (general)	18	Re-registration; debts survive [18(3)]	Change clothes, keep history
Private→Public	14 + 18	SR + raise members(7)/directors(3), file RoC	Increases transparency – easier
Public→Private	14 + 18	SR + Regional Director approval	Reduces oversight – guarded
OPC conversion	18, Rules 6/7	Voluntary/compulsory; 2021 removed mandatory thresholds & 2-yr wait	Solo venture outgrows itself
Sec 8 company	8	Charitable; formed by licence; may drop "Limited"; outside Sec 10A if no capital	Purpose over profit
Pre-incorp signature	Kelner / Newborne	Agent form → promoter personally liable; company-name form → no contract, no one liable	Capacity of signature decides
Capital alteration vs reduction	61 / 66	Sec 61 increase/consolidate/sub-divide/convert-to-stock/cancel-unissued (no Tribunal); Sec 66 reduction (Tribunal)	Don't deplete creditors' fund without a court
Ostensible authority	Freeman & Lockyer	Company holds officer out + outsider relies + no notice → company bound	Sibling of Turquand
Implied powers	(Sec 4 objects)	Reasonably-incidental powers implied; purposeless gifts ultra vires	Means to the stated end only
Small company	2(85)	Size-based status of a private co; toggles off on crossing thresholds	Relief while genuinely small
Dormant company	455	Inactive/future-project company may seek dormant status	Mirror of the Sec 10A reality test

Topic	Section	Key content / limit	One-line why
Members below minimum	3A	Below 7/2, business >6 months, member aware → severally liable for post-grace debts	Don't run on an under-populated register
Registered office	12	Verify (INC-22) in 30 days; display name/CIN; move by board/SR/RD per distance	The legal home and identity anchor
Service & authentication	20 / 21	Serve at registered office; authenticate via KMP/authorised officer	Fix who receives and who signs
OPC nominee	INC-3 / INC-4	Appoint via INC-3, change via INC-4; nominee becomes member on death	Built-in succession for a solo company
Illegal association	464	>50 (cap 100) in business for gain without registration = illegal; HUF & regulated professionals excepted	Grow beyond the threshold → must incorporate
Object change with public money	13(8)	SR + advertisement + exit offer to dissenters	Don't repurpose the public's money silently
Promoter remedies	(fiduciary)	Rescission (with bars), account of secret profit, or damages — elect one	Match the remedy to the wrong
Sec 10 relationships	10	Company↔member and member↔member bind; outsiders excluded	Contract inside the membership only
Member ≠ owner of assets/income	Macaura / Bacha Guzdar	No insurable interest in company property; dividend from tea co. not agricultural income	A member owns shares, not the business
Company not a citizen	STC / Tata Engineering	Legal person, but no citizen-only fundamental rights	Personality is not citizenship
Warranty of authority	(common law)	Agent who over-claims authority is personally liable to the outsider	Loss falls on the misrepresenter
Small company reliefs	2(85)	Fewer board meetings, no cash-flow statement, abridged return, lower penalties	Compliance calibrated to size

Flag: verify the current name-reservation windows, OPC threshold/residency position (post-2021), Sec 10A penalty amounts, Sec 16 rectification period, and exact filing windows (MGT-14/INC forms) against the latest ICAI Study Material / bare Act before the exam, as these figures have been amended over time.

Q&A — Incorporation of a Company

Exam-oriented question bank for CA Intermediate, Corporate & Other Laws. Every question is followed immediately by a complete model answer citing the relevant Sections of the Companies Act, 2013 (and, where relevant, the Specific Relief Act, 1963). Cases are used only as decided law; no provision is invented.

Part A — Concept-Check Questions (short, definitional)

A1. Who is a "promoter" under the Companies Act, 2013? Answer. Under **Section 2(69)**, a promoter is a person: (a) named as such in the prospectus or in the annual return under **Section 92**; or (b) who has control over the affairs of the company, directly or indirectly, whether as a shareholder, director or otherwise; or (c) in accordance with whose advice, directions or instructions the Board of Directors is accustomed to act. A person acting merely in a professional capacity (e.g., a lawyer or CA advising on formation) is expressly excluded.

A2. What is the legal status of a promoter towards the company? Answer. A promoter is neither an agent nor a trustee of the company (the company does not exist when he acts), but stands in a **fiduciary relationship** to it. He must not make any secret profit, must make full disclosure of his interest, and any undisclosed profit is recoverable. He may be liable for mis-statements in the prospectus under **Sections 34 and 35** and for fraud under **Section 447**.

A3. Name the clauses of the Memorandum of Association under Section 4. Answer. Under **Section 4**, the MOA contains six clauses: (1) **Name** clause, (2) **Situation/Registered office** clause (the State), (3) **Object** clause, (4) **Liability** clause, (5) **Capital** clause, and (6) **Subscription/Association** clause. Mnemonic: N-S-O-L-C-S.

A4. What is the Doctrine of Ultra Vires? Answer. An act done beyond the objects stated in the MOA (Section 4 object clause) is **ultra vires the company** and **void ab initio**. It cannot be ratified even by unanimous consent of members, because ratification cannot cure an act the company never had capacity to do. Leading case: *Ashbury Railway Carriage & Iron Co. v Riche* (1875).

A5. What are the minimum members required to form a company under Section 3? Answer. Under **Section 3**: a **public** company requires **7 or more** members, a **private** company requires **2 or more** members, and a **One Person Company (OPC)** requires **1** member.

A6. What is the effect of the Certificate of Incorporation under Sections 7(2) and 9? Answer. On registration, the Registrar issues a **Certificate of Incorporation** with a Corporate Identity Number (CIN) under **Section 7(2)**. From the date mentioned, under **Section 9**, the company becomes a **body corporate** — a separate legal person with perpetual succession, capable of owning property, contracting, and suing/being sued in its own name — and the subscribers become its members.

A7. Distinguish the Doctrine of Constructive Notice from the Doctrine of Indoor Management. Answer. **Constructive notice** deems every person dealing with the company to have read and understood its public documents (MOA and AOA); it **protects the company**. The **doctrine of indoor management (Turquand's rule)** allows an outsider dealing in good faith to assume that internal procedural requirements have been complied with; it **protects the outsider**. Source cases: *Royal British Bank v Turquand* (1856).

A8. Can a company be bound by a contract made before its incorporation? Answer. No. Before incorporation the company has no legal existence and no capacity, so it is not bound and **cannot ratify** a pre-incorporation contract; the promoter is personally liable. However, under **Sections 15(h) and 19(e) of the Specific Relief Act, 1963**, if the contract was for the purposes of the company and the company **adopts/warrants** it after incorporation, the other party may enforce it against the company.

A9. What is the requirement for commencement of business under Section 10A? Answer. A company having share capital incorporated on or after 2 November 2018 cannot commence business or exercise borrowing powers unless: (i) every subscriber files a declaration in **Form INC-20A** within **180 days** of incorporation confirming payment for shares taken, and (ii) it has filed verification of registered office in **Form INC-22** (within **30 days** under **Section 12**).

A10. What are entrenchment provisions in the Articles? Answer. Under **Section 5(3) and 5(4)**, articles may contain **entrenchment provisions** requiring conditions **more restrictive than a special resolution** (e.g., unanimous consent) for altering specified provisions. Entrenchment must be notified to the Registrar.

Part B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. Pre-incorporation contract. *Facts:* Before "GreenAgro Pvt Ltd" was incorporated, promoter P signed a contract in the company's name to buy farmland from F. After incorporation the company refuses to pay, arguing it never signed the contract. F sues the company. *Legal analysis:* At the date of the contract the company did not exist and had no capacity to contract; therefore it cannot **ratify** the contract (there was no principal in existence). Under general company law the promoter **P is personally liable** on such a pre-incorporation contract. However, under **Sections 15(h) and 19(e) of the Specific Relief Act, 1963**, if the contract was entered into for the purposes of the company and the company **adopts** it after incorporation, F may enforce it against the company. *Conclusion:* If the company adopted/warranted the contract, F can enforce it against the company; if it did not, F's remedy lies against P personally. The company "cannot ratify but can adopt."

B2. Ultra vires act versus internal irregularity. *Facts A:* A company whose object is "manufacture of textiles" lends Rs 2 crore to finance a friend's film. *Facts B:* The same company borrows Rs 2 crore for its textile mill; the board resolution authorising the borrowing was never actually passed, but the lender bank read the AOA (which permits borrowing on board authorisation) and lent in good faith. *Legal analysis A:* Financing a film is outside the object clause under **Section 4**, hence **ultra vires the company and void**; it cannot be ratified even unanimously (*Ashbury* principle). Directors are personally liable to restore the funds. *Legal analysis B:* Borrowing is within the company's objects and powers; the defect is purely internal (no resolution). Having read the public documents (constructive notice), the bank may **assume internal compliance under Turquand's rule** as nothing was suspicious. *Conclusion:* Loan A is void and unenforceable — the company is not liable. Loan B binds the company — the bank recovers. Same amount, opposite result, because one breached the outer limit (MOA) and the other only an inner procedure.

B3. Separate legal personality and insurable interest. *Facts:* Mr M owns 99% of "Timber Co Ltd", which owns a stock of timber. M insures the timber in his own personal name. Fire destroys it and M claims. *Legal analysis:* On incorporation under **Section 9** the company is a separate legal person and the timber belongs to the company, not to M. A member does not own the company's property and therefore has **no insurable interest** in it (*Macaura v Northern Assurance Co.*). Ownership of shares is not ownership of company assets

(*Salomon v Salomon & Co Ltd*). *Conclusion*: M's claim fails. The separateness that gives M limited liability also denies him personal ownership of company assets.

B4. Forged share certificate and Turquand's rule. *Facts*: A company's secretary forges the directors' signatures on a share certificate and issues it to T, who claims to be a member relying on the indoor management rule. *Legal analysis*: Turquand's rule permits an outsider to assume procedural regularity, but it **never validates a forgery**; a forged instrument is a nullity (*Ruben v Great Fingall Consolidated*). There is nothing "regular" to assume where the underlying document is forged. *Conclusion*: T acquires no rights and the company is not bound.

B5. Shell company trading before commencement. *Facts*: "Nimbus Trading Ltd" (having share capital) is incorporated on 1 January 2025. On day 40 it takes a bank loan and starts trading, but subscribers have not paid for their shares and no Form INC-20A or INC-22 has been filed. *Legal analysis*: Under **Section 10A**, a company with share capital cannot commence business or exercise borrowing powers until it files the **INC-20A** declaration of paid subscription (within 180 days) and verifies its registered office in **INC-22** (within 30 days under **Section 12**). Nimbus borrowed prematurely. *Conclusion*: Penalty is attracted on the company and every officer in default under Section 10A; the borrowing was in violation of the section, and the Registrar may act to strike off the company for not carrying on genuine business.

B6. Alteration of registered office from one State to another. *Facts*: XYZ Ltd, registered in Maharashtra, wants to shift its registered office to Gujarat. It passes a special resolution and files it, then treats the shift as complete. *Legal analysis*: Under **Section 13(4)**, altering the situation clause to shift the registered office from one State to another requires a special resolution **plus confirmation by the Regional Director (Central Government)**, because the change affects jurisdiction and the interests of creditors and employees who must be heard. The alteration takes effect only on registration with the Registrar of both States. *Conclusion*: The special resolution alone is insufficient; the shift is invalid until Regional Director confirmation is obtained and the change is registered.

B7. Fraud in obtaining incorporation. *Facts*: Promoters of "Vega Ltd" obtain the certificate of incorporation by furnishing false identity documents and suppressing material facts about a subscriber. *Legal analysis*: Although the certificate is conclusive as to procedural regularity, under **Sections 7(5), 7(6) and 7(7)**, where incorporation is obtained by furnishing false information or suppressing material facts, the promoters, first directors and persons making the declaration are liable for **fraud under Section 447**, and the **Tribunal (NCLT)** may pass orders including regulation of the company, alteration of members' liability, or removal of the name / winding up. *Conclusion*: The certificate is no shield against fraud; the promoters face Section 447 liability and NCLT action.

Part C — Past-Paper-Style Descriptive Questions

C1. Explain the doctrine of ultra vires and distinguish an act ultra vires the company from one ultra vires the directors. Answer. The doctrine of ultra vires holds that any act beyond the objects stated in the MOA (**Section 4**) is void and cannot be ratified, protecting members and creditors from managers exceeding the stated purpose (*Ashbury Railway Carriage v Riche*). An act **ultra vires the company** is beyond the object clause itself — it is void ab initio and cannot be ratified even by unanimous shareholders; a member may seek an injunction and directors are personally liable to restore funds. An act **ultra vires the directors or the Articles** is within the company's capacity but exceeds the internal authority conferred on the Board; such an

act is only irregular and **can be ratified** by the members in general meeting. Only the former is fatal — a favourite examiner distinction.

C2. Explain the doctrine of indoor management and its exceptions. Answer. Under the doctrine of indoor management (*Royal British Bank v Turquand*), an outsider dealing with a company in good faith is entitled to assume that all internal procedural requirements have been duly complied with; he need only ensure that the transaction is permitted by the public documents, not that internal formalities actually occurred. It is the counterpart to constructive notice — the outsider can read public documents but cannot see inside the boardroom. **Exceptions** (where the rule does not protect the outsider): (1) **actual knowledge** of the irregularity; (2) **suspicion / negligence** where circumstances put the person on inquiry; (3) **forgery**, which the rule never validates (*Ruben v Great Fingall*); (4) acts **beyond apparent/ostensible authority** of the officer; and (5) where the person had **no knowledge of the articles** and did not rely on them.

C3. Discuss the consequences of incorporation with reference to decided cases. Answer. On incorporation under **Section 9**, the company becomes a body corporate with these consequences: (a) **Separate legal entity** — the company is distinct from its members (*Salomon v Salomon & Co Ltd*); members do not own company property (*Macaura v Northern Assurance*). (b) **Limited liability** — members risk only the unpaid amount on their shares or the guaranteed sum. (c) **Perpetual succession** — members may change but the company continues. (d) **Capacity to sue, be sued, contract and hold property** in its own name. (e) **Lifting the corporate veil** — courts and statute look behind the entity where it is used for fraud, tax evasion, to defeat law, or as a sham (*Gilford Motor Co v Horne*; *Daimler v Continental Tyre* on enemy character), so incorporation is not a licence to cheat.

C4. State the documents to be filed with the Registrar for incorporation under Section 7. Answer. Under **Section 7(1)** (filed via SPICe+/INC-32 with e-MOA INC-33 and e-AOA INC-34): (i) the **MOA and AOA** signed by all subscribers; (ii) a **declaration by a professional** (advocate/CA/CS/CWA) and by a person named as director that all requirements of the Act have been complied with; (iii) a **declaration by each subscriber and first director in INC-9** under Section 7(1)(c) that he is not convicted or guilty of any fraud in connection with formation; (iv) the **address for correspondence** until the registered office is fixed; (v) **particulars of subscribers and first directors** with identity/address proof and DIN; and (vi) **consent of first directors (DIR-2)**. Registered office proof is filed in **INC-22** within 30 days if not given at incorporation.

C5. Explain the alteration of the Articles of Association under Section 14 and its limits. Answer. Under **Section 14**, a company may alter its articles by passing a **special resolution**, filing it with the Registrar. This is easier than altering the MOA because the articles are the members' own internal arrangement. The **limits** are: the alteration must not conflict with the MOA or the Act; must not **increase the liability** of a member to contribute more without written consent; must be **bona fide for the benefit of the company as a whole**; must not be illegal or against public policy or override a Tribunal order; and conversion of a public company into a private company by altering the articles requires **Tribunal/Regional Director approval** under the proviso to Section 14. The MOA and AOA constitute a **statutory contract** binding the company and members inter se under **Section 10**, but confer no rights on outsiders (*Eley v Positive Life Assurance*).

C6. Write short notes on conversion of a company under Section 18, and the effect of conversion on existing liabilities. Answer. Under **Section 18**, a company may convert from one class to another by altering its MOA/AOA and re-registering; the Registrar issues a fresh certificate reflecting the changed status. A **private-to-public** conversion needs a special resolution and raising members to 7 and directors to 3, and is comparatively easy as it increases transparency. A **public-to-private** conversion needs a special resolution **plus Regional Director approval**, as it reduces public oversight. Crucially, under **Section 18(3)**, conversion

does not affect any debts, liabilities, obligations or contracts incurred before conversion — they continue and may be enforced as if there were no conversion. The company changes its coat, not its history.

Part D — MCQs and Case Scenarios

D1. An act which is ultra vires the company can be ratified by: (a) An ordinary resolution (b) A special resolution (c) A unanimous resolution of all members (d) None — it cannot be ratified at all **Answer: (d).** An ultra vires act is void ab initio (Section 4 objects; *Ashbury*) and cannot be ratified even unanimously.

D2. The minimum number of members required to form a public company under Section 3 is: (a) 2 (b) 3 (c) 7 (d) 1 **Answer: (c) 7.** Section 3 fixes 7 for public, 2 for private, 1 for OPC.

D3. The doctrine that deems every outsider to have read the company's public documents is: (a) Indoor management (b) Constructive notice (c) Ultra vires (d) Ratification **Answer: (b) Constructive notice.** It protects the company by deeming knowledge of the registered MOA and AOA.

D4. A company having share capital must file Form INC-20A for commencement of business within: (a) 30 days (b) 90 days (c) 180 days (d) 365 days **Answer: (c) 180 days.** Section 10A requires the declaration of commencement within 180 days of incorporation.

D5. The rule in *Royal British Bank v Turquand* does NOT protect an outsider where: (a) The board resolution was passed (b) The document was forged (c) The transaction was within objects (d) The outsider acted in good faith **Answer: (b) The document was forged.** Turquand's rule never validates a forgery (*Ruben v Great Fingall*).

D6. Shifting the registered office from one State to another requires a special resolution plus confirmation by: (a) The Registrar only (b) The Tribunal (c) The Regional Director (Central Government) (d) The Central Bank **Answer: (c) Regional Director.** Section 13(4) requires Regional Director confirmation for an inter-State shift.

D7. Case scenario. Mr A insures, in his own name, a building owned by "Alpha Ltd" in which he holds 95% shares. The building is destroyed and A claims. The insurer denies liability. Which is correct? (a) A can claim as majority shareholder (b) A cannot claim as he has no insurable interest in company property (c) A can claim half the value (d) The company and A share the claim **Answer: (b).** Under Section 9 the property belongs to the company, a separate person; a member has no insurable interest in company assets (*Macauley*).

D8. Case scenario. Before incorporation, promoter Q signs a lease "for and on behalf of Beta Ltd (under formation)". After incorporation Beta Ltd wants to enforce the lease against the landlord who now refuses. Which is correct? (a) Beta Ltd can ratify the lease automatically (b) Beta Ltd can never enforce it (c) Beta Ltd can enforce it if it adopts the contract, being for its purposes, under the Specific Relief Act, 1963 (d) Only Q can be sued **Answer: (c).** A company cannot ratify a pre-incorporation contract but may enforce it by adoption under Sections 15(h)/19(e) of the Specific Relief Act, 1963.

D9. The certificate of incorporation is conclusive evidence of regular incorporation, EXCEPT where: (a) There is a minor typing error (b) Incorporation was obtained by false information or suppression of material facts (c) A director later resigns (d) The name is later changed **Answer: (b).** Under Sections 7(5)–(7), fraud/false information exposes promoters to Section 447 and NCLT action; the certificate is no fraud shield.

D10. Model articles for a company limited by shares are contained in: (a) Table A (b) Table F (c) Table H (d) Table J **Answer: (b) Table F.** Under Section 5 and Schedule I, Table F applies to a company limited by shares.

Incorporation Procedure — Mermaid Diagram

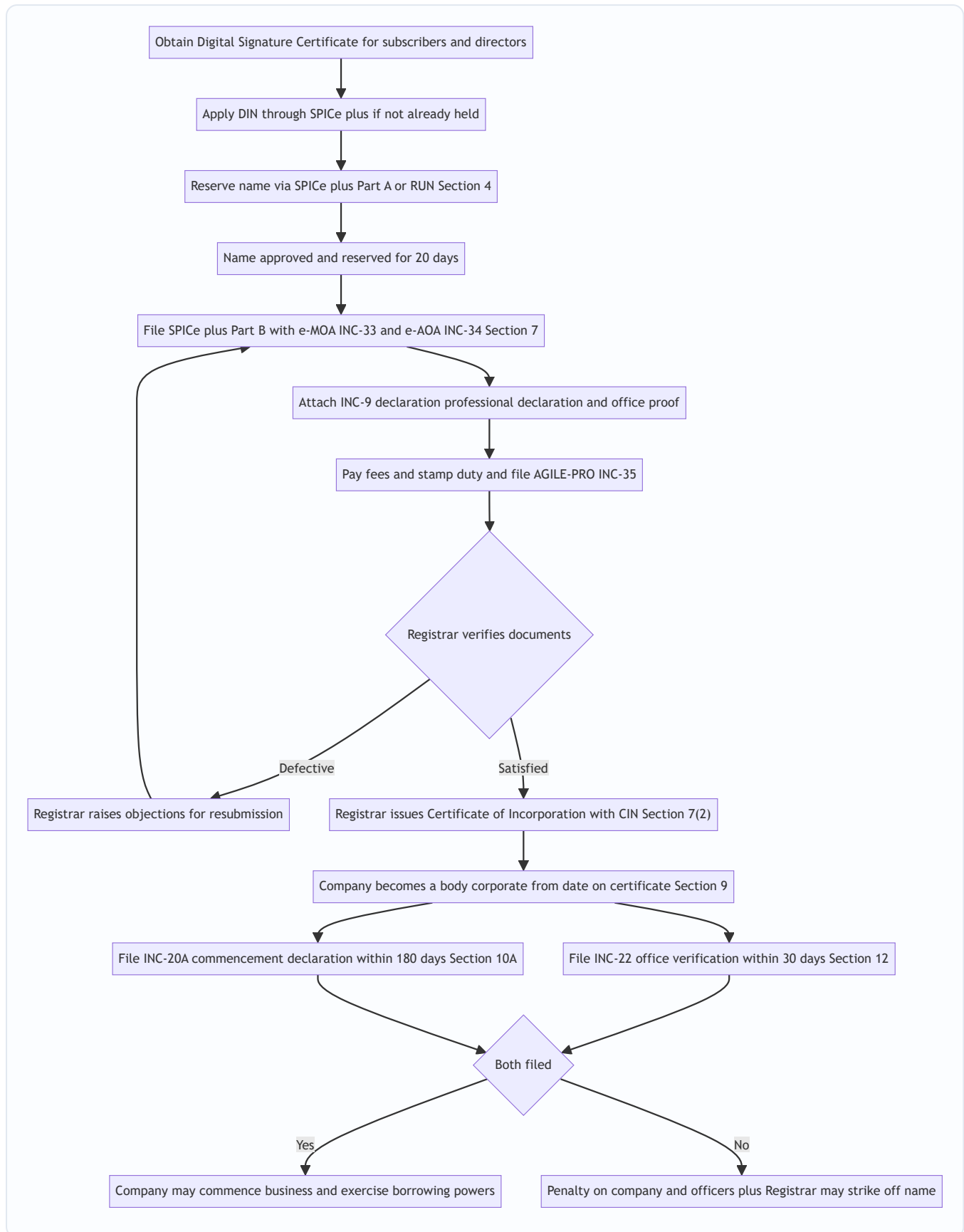


Figure: The incorporation pipeline under the Companies Act, 2013 — from digital signatures to a living body corporate, then through the Section 10A commencement gate.

Statute base: Companies Act, 2013 and the Companies (Incorporation) Rules, 2014; pre-incorporation contracts governed by the Specific Relief Act, 1963. Verify the current name-reservation window, OPC threshold position (post-2021) and exact filing windows against the latest ICAI Study Material / bare Act, as these figures have been amended over time.

Chapter 03 — Prospectus & Allotment of Securities

1. The Problem — Why This Chapter Exists

Imagine you have savings and no way to grow them. Down the road, a company wants to build a factory but has no money. There is an obvious match: you give them your savings, they give you a slice of ownership (shares) or a promise to repay with interest (debentures). This is the entire point of a **public offer** — a company reaching into the pockets of thousands of strangers to raise capital.

Now look at the asymmetry that makes this dangerous. The company knows **everything** about itself — its real profits, its lawsuits, the fact that the "revolutionary product" is a prototype that has never worked. You, the investor, know **nothing** except what the company chooses to tell you. You are handing over real money based purely on a document the company wrote about itself. The company writes the exam **and** grades it.

History is a graveyard of what happens when this asymmetry is left unregulated:

- **The pumped-up promise.** A company advertises "guaranteed 40% returns, factory already running, orders worth crores in hand." Fifty thousand people invest. The factory is a bare plot of land. The promoters take the money and vanish. This is the classic **misleading prospectus**.
- **The silent omission.** The document is technically all true — but it forgets to mention that the company is being sued for its entire net worth, or that the promoter was convicted of fraud last year. Nothing false was *said*; the killer fact was simply *left out*.
- **The money that never comes back.** The company says "we need ₹100 crore to build the plant." Only ₹10 crore comes in — nowhere near enough to build anything. Instead of returning the ₹10 crore, the company keeps it, limps along, and eventually collapses. Investors lose everything to a project that was never viable.
- **The rich-man's loophole abused on the public.** A company quietly issues shares to "a few select persons" to dodge all the public-offer rules — but "a few select persons" turns out to be thousands of ordinary investors solicited through a WhatsApp campaign. The company got public money while escaping every public-money safeguard.
- **The allotment games.** The company collects application money, then plays favourites — allotting to friends, sitting on refunds for months (earning interest on your money), or issuing shares without ever collecting the minimum needed to function.

Every single provision in this chapter is a scar left by one of these frauds. **Prospectus law is not paperwork — it is the law that forces the informed party to tell the uninformed party the truth, on pain of jail, before it can touch the public's money.** Learn each rule as the answer to a specific cheat, and you will never need to memorise it.

One deeper layer — why company law and not just fraud law? Ordinary criminal law already punishes cheating. So why a whole special chapter? Because ordinary fraud law is **reactive** — it acts *after* the money is gone, when the promoter has vanished and the cash is spent. Prospectus law is **preventive and structural**: it forces disclosure *before* a rupee changes hands, ring-fences the money *while* it is being collected, and pins personal liability on named humans *in advance* so that deterrence bites before the fraud, not after. The whole chapter is the law shifting from "catch the thief" to "make the theft structurally hard."

2. The Core Idea — The Protective Principle

The whole chapter rests on a single principle, borrowed from a phrase the courts have used for over a century:

"Disclosure is the price of the privilege of raising public money — and full, honest disclosure at that. The golden rule is that those who issue a prospectus must state the truth without concealment."

Break this into its working parts:

1. **You may raise money from the public — but only through a controlled, standardised, written document (the prospectus).** No verbal promises, no "trust me." A document can be examined, filed, and used as evidence.
2. **That document must contain the whole truth.** Not just no lies (that is the low bar) but no *dangerous silences* either. An omission that misleads is treated exactly like a false statement.
3. **The people who put their names to it are personally on the hook.** Directors, promoters, experts, the company itself — if the document lies, they pay (civil) and can be jailed (criminal). Liability is personal so that no one can hide behind the corporate veil.
4. **The public's money is protected even after it is paid in** — through minimum subscription, escrow-style application accounts, strict refund timelines, and limits on where the money can go.
5. **If you want to escape these rules, you must genuinely not be touching the public** — hence the hard line between a **public offer** and a **private placement**, policed so tightly that any attempt to disguise a public issue as private automatically *becomes* a public issue with all its consequences.

Everything technical that follows is just this principle, sharpened into sections and numbers.

The golden legacy of *New Brunswick* and *Derry v Peek*. Two ideas from old English cases still drive the entire chapter, and knowing them lets you *derive* the sections:

- The **"golden rule" of disclosure** (from *New Brunswick & Canada Railway Co. v Muggeridge*): those who invite the public must make disclosure with **scrupulous accuracy** — not just avoid falsehood but avoid **concealment of any material fact**. This is the parent of Sec 26 (mandatory contents) and the "omission = misstatement" rule in Sec 34/35.
- The **fraud/negligence split** (from *Derry v Peek*): *Derry v Peek* held that **deceit (fraud)** requires a false statement made *knowingly, without belief in its truth, or recklessly*. Mere honest carelessness was **not** fraud. The public outcry that "an honest-but-careless director escaped" led Parliament to create a **statutory civil liability** that does **not** require proof of fraud — you only prove the statement was untrue, you relied, and you lost. This is exactly why **Sec 35 (civil)** and **Sec 34 (criminal, needs the fraud/447 element)** are two *different* animals: 35 fixed the gap *Derry v Peek* left open.

Memory hook: Golden rule = disclose (parent of 26/34/35). *Derry v Peek* = why civil (35) is easier to win than criminal (34).

3. Why It's Built This Way — The Logic of Each Safeguard

Before the section-by-section detail, absorb the *design logic*. If you understand why each safeguard exists, the section numbers become hooks rather than random digits.

The cheat it stops	The safeguard	The logic
"I'll just say it verbally / in an ad and deny it later"	Offer to public must be by a prospectus , a defined written document (Sec 2(70), 26)	A writing can be filed with the Registrar, dated, and produced in court. Speech evaporates; documents accuse.
"I'll dodge prospectus rules by not calling it a prospectus"	Deemed prospectus (Sec 25)	Substance over form. If the effect is a public offer, the label doesn't matter.
"I'll bury the bad facts / omit the lawsuit"	Mandatory contents + omission = misstatement (Sec 26, 34, 35)	The dangerous fact is usually the <i>hidden</i> one. Silence that misleads must carry the same penalty as a lie, or every fraudster would just stay quiet.
"The document lied but I'm a company, sue the empty shell"	Personal civil (Sec 35) and criminal (Sec 34) liability of directors, promoters, experts	Deterrence needs a human who can be fined and jailed. Companies don't feel fear; people do.
"We collected money for a project we can't fund"	Minimum subscription (Sec 39)	If you can't even raise the floor amount, the project is unviable — give the money back before it's wasted.
"I'll sit on your refund and earn interest"	Strict refund timelines + interest penalty (Sec 39, 40, rules)	Delay itself is a form of theft (time-value of money). Deadlines + penal interest remove the incentive to stall.
"I'll route the public issue to escape listing/monitoring"	Money in a separate bank account ; securities in demat ; listing requirement (Sec 40)	Ring-fence the public's cash so it can't be siphoned, and force transparency through the exchange.
"I'll issue to 'a few friends' — actually 5,000 people"	Hard cap on private placement (Sec 42) + auto-conversion to public issue if breached	The exemption is only fair if it's genuinely non-public. Breach the ceiling and you lose the exemption entirely.
"I'll keep changing my mind and issue prospectus after prospectus"	Validity period of prospectus; shelf and red herring variants for genuine multi-tranche needs	Give honest issuers efficient tools (shelf/RHP) so they don't need to cheat, while capping staleness.
"I'll spend your application money before the issue even closes"	Money locked in a separate account , usable only for allotment or refund (Sec 40, 42)	Pre-allotment the money isn't yet the company's — it's the applicant's, held on a kind of trust. Spending it early is spending money that may have to be returned.

Notice the pattern: **each safeguard is a lock, and each lock was fitted after a specific burglary**. Now the details.

A second organising lens — three time-zones of protection. Every provision fits into one of three phases of the money's journey, and slotting a section into its phase is the fastest way to recall its purpose:

- **BEFORE the money moves (disclosure phase):** Sec 23, 25, 26, 27, 31, 32, 33 — *make the truth visible*.

- **AT the moment of inducement (integrity phase):** Sec 34, 35, 36, 38 — *punish anyone who corrupts the decision to invest.*
- **AFTER the money is collected (custody phase):** Sec 39, 40, 42 (allotment/refund limbs) — *guard, ring-fence, and if the project fails, return the cash.*

If an exam question gives you a fact pattern, first ask "which time-zone are we in?" and the relevant sections almost pick themselves.

4. Full Technical Content — Section by Section, Each With Its "Why"

Governing law: **Companies Act 2013, Chapter III — "Prospectus and Allotment of Securities"** (Sections 23 to 42), read with the **Companies (Prospectus and Allotment of Securities) Rules, 2014** and, for listed/public issues, **SEBI (ICDR) Regulations**. Where a precise sub-figure varies by rule amendment, I flag it — always confirm the exact limit in current ICAI material / the bare Act.

4.1 The gateway — how a company may issue securities (Sec 23)

The problem: A company could raise money through any random channel it invents, escaping oversight.

The fix: Section 23 lists the *only* permitted routes.

- A **public company** may issue securities: (a) to the public by **prospectus** (public offer); (b) through **private placement** (Sec 42); or (c) through a **rights or bonus issue**. Listed / to-be-listed public issues also attract SEBI ICDR.
- A **private company** may issue securities only by (a) **private placement**, or (b) **rights/bonus issue** — a private company is, by definition, forbidden from inviting the public (Sec 2(68)). That prohibition is *why* it's private.

Memory hook: *Public company = three doors (public, private placement, rights/bonus). Private company = two doors (no public door).* The missing door is the whole point of being private.

Finer distinction the exam tests — "issue of securities" vs "public offer". A *public offer* is only **one** of the doors. Sec 23 also expressly recognises that a public company can raise money **without** a public offer (rights, bonus, private placement). Students wrongly assume "public company always means public issue." Not so — a public company can and often does raise capital purely by private placement, never touching a prospectus. The label "public company" describes its *constitution* (free transferability, no member cap), not the *method* by which it happens to raise a given round.

Rights issue (Sec 62) vs bonus issue — the one-line contrast the examiner slips in. A **rights** issue offers *new* shares to *existing* shareholders in proportion to holdings, for **cash** (pre-emption right). A **bonus** issue capitalises accumulated profits/reserves and gives *free* shares — **no cash flows in**, only reserves convert to capital. Both are "internal" doors (no public), which is *why* even a private company may use them. Detailed mechanics live in the Share Capital chapter; here just know they are permitted routes under Sec 23.

4.2 What a "prospectus" is (Sec 2(70)) and when it's triggered

Definition — Sec 2(70): A prospectus is *any document described or issued as a prospectus*, and includes a **red herring prospectus**, a **shelf prospectus**, or **any notice, circular, advertisement or other document inviting offers from the public** for the subscription or purchase of securities.

The logic of that fat definition: Notice it doesn't say "a document titled Prospectus." It says *anything that invites the public to subscribe*. This is deliberate — it slams shut the "I didn't call it a prospectus" loophole. The trigger is the **invitation to the public**, not the label.

Dissecting the definition into its four essential ingredients (the examiner loves "state the essentials of a prospectus"): 1. **A document** — it must be in writing/recorded form (a purely oral invitation, however public, is not a prospectus, though it may be a fraudulent inducement under Sec 36). 2. **An invitation to the public** — the crucial ingredient. An invitation to a *pre-identified select group* (private placement) is not to "the public." 3. **From the public** — to *subscribe for or purchase* securities. A document merely giving information, not inviting money, is not a prospectus. 4. **Securities of a body corporate** — shares, debentures, etc.

"Issued to the public" — the *Nash v Lynde / Pramatha Nath Sanyal* idea. Whether a document is issued "to the public" is a question of substance. A document handed to a **domestic/private circle** (e.g. relatives, existing business connections) is **not** issued to the public even if several people receive it; conversely, a document that in effect reaches an **anonymous, uncontrolled body** is public even if each copy was addressed to a named person. **Section 42 codifies this** with a bright-line number so we no longer argue case-by-case: cross the person-limit or use general solicitation, and it is public as a matter of law.

"Public" — Sec 2 read with the private-placement rules: an offer/allotment to **50 or more persons** (excluding QIBs and ESOP employees) in a financial year is deemed to be an **offer to the public**, dragging in the full prospectus regime — even if the company called it "private." (This 50-person trip-wire is the numeric border between Sec 42 and public-offer land.)

Trap to pre-empt: the **50** figure (public-offer trip-wire) and the **200** figure (annual private-placement ceiling) are *different numbers doing different jobs* — see Trap #3 in Part 8. Both **exclude QIBs and ESOP-holders** from the headcount.

When a prospectus is NOT required (the exemptions the examiner tests). A prospectus is not needed where there is no invitation *to the public*, notably: - a genuine **private placement** to identified persons (Sec 42); - a **rights or bonus** issue to existing members; - where the offer is a **domestic concern** / not to the public. Knowing when a document *escapes* the definition is as tested as knowing when it is caught.

4.3 The four species of prospectus — each solves a different practical need

The problem: One rigid document type can't serve every honest fundraising situation. A giant issuer raising money in tranches, a retail investor who can't read 300 pages, a book-built IPO where the price isn't fixed yet — each needs a tailored instrument. Rather than let issuers improvise (and cheat), the Act gives four **named, regulated** variants.

Type	Section	The problem it solves	Key feature	The "why" of its rule
Ordinary / full prospectus	Sec 26	Baseline public offer	Full disclosure; filed with Registrar before issue	The gold standard — everything must be in it.
Deemed prospectus	Sec 25	Company routes shares through an intermediary to dodge prospectus rules	Offer-for-sale document by an issuing house is <i>deemed</i> a prospectus of the company	Substance over form — the middleman can't be a laundering point.
Shelf prospectus	Sec 31	Frequent issuer (e.g. a bank/NBFC) shouldn't re-file a full prospectus for every tranche	One prospectus valid up to 1 year ; file only a short information memorandum for later tranches	Cut repetition for honest repeat issuers; the 1-year cap stops stale disclosure.
Red herring prospectus (RHP)	Sec 32	Book-built issues where price/quantity isn't fixed until bidding closes	Filed <i>before</i> the offer without complete price/number of securities; the final "closing" prospectus with price is filed after	Lets price be discovered by the market while still forcing near-full disclosure upfront.
Abridged prospectus	Sec 2(1) + Sec 33	A 300-page prospectus is unreadable; every application form must still carry the gist	A short-form summary of the prospectus must accompany every application form	Retail investors actually read the short one — disclosure is useless if unreadable.

Memory hook for the species: - **Deemed = disguise** (25, the offer-for-sale trick). - **Shelf = stock it for a year** (31 → put it "on the shelf"). - **Red Herring = price is Hidden** (32, the "red herring" is the missing price, a deliberate distraction). - **Abridged = tiny, on the form** (33, attached to the application).

Deemed prospectus detail (Sec 25) — the two conditions that trigger the "deeming". A company allots/agrees to allot securities *to an issuing house* (intermediary) with a view to those securities being **offered for sale to the public**. That offer-for-sale document is **deemed to be a prospectus** issued by the *company*, so all liabilities attach to the company and its directors. The deeming presumption is **automatically raised** if **either** of two facts is shown: 1. the offer to the public was made **within 6 months** after the allotment/agreement to the issuing house; **or** 2. at the date of the offer, the company had **not received the whole consideration** for the securities. The logic: both facts betray that the "sale" to the issuing house was a **conduit**, not a genuine independent sale — so the law looks through the middleman.
Memory hook: 25 = "six months or not fully paid → the middleman is a mask."

Red herring detail (Sec 32): *Red herring* literally means a misleading clue — here, the document that deliberately omits the price. Sequence: file RHP → open bidding → discover price → file the **final prospectus** (with price and number) with the Registrar and SEBI. Variations between RHP and final prospectus must be highlighted. The RHP must be filed with the Registrar **at least 3 days before** the opening of the subscription list/offer (verify current ICAI material). Upon closing, the **place and time of the closing** and the final price/number are stated in the final prospectus.

Shelf detail (Sec 31): Prescribed classes of companies (mainly financial institutions, banks, NBFCs — confirm the exact class list) may file a shelf prospectus valid for up to **one year** from the opening of the first offer. For each subsequent offer within that year, they file an **information memorandum** (Form PAS-2) disclosing *new*

charges created, changes in financial position, and other material changes. The one-year validity is the anti-staleness guillotine. **Refinement:** where a company files the information memorandum and receives applications, and a *previous* applicant wishes to **withdraw** because of a material change disclosed in the IM, the company must give that right — the IM is not a rubber stamp; it re-opens consent for material changes.

Abridged prospectus detail (Sec 33): A copy of the prospectus (in full) must be **available on request**, but the form that reaches the retail applicant carries the **abridged** version. **Penalty limb the exam tests:** a company that fails to attach an abridged prospectus to the application form (where required) is liable to a **fine per default** (verify current figure). **Exception:** the abridged prospectus need not accompany the form where the form is issued for a *bona fide invitation to underwrite*, or where securities are **not offered to the public** — because the whole point (protecting retail applicants) is absent there.

4.4 Mandatory contents & registration of the prospectus (Sec 26)

The problem: If contents were optional, every issuer would disclose only the flattering facts. **The fix:** Sec 26 makes an explicit *minimum* content list, and requires the prospectus be **dated, signed, and filed** with the Registrar **before** it is issued.

Sec 26 broadly requires disclosure of: - Details of the company, its directors, promoters, and their track record; - **Objects of the issue** — exactly what the money will be used for (so you can't quietly divert it); - Capital structure, terms of the issue, and rights attached to the securities; - **Reports** — auditor's report, financial information, statements by experts; - Material contracts and litigation; - Minimum subscription amount, application money, underwriting details; - A declaration of compliance.

Registration mechanics: the prospectus must be signed by every named director/proposed director (or their authorised agent) and **delivered to the Registrar for registration on or before publication**. A prospectus is valid for **90 days** from the date of registration — issue it after that and it's an unauthorised prospectus. **Memory hook:** 26 = "*the contents section*"; 90 days = *one financial quarter of shelf life*.

Documents that must accompany the prospectus at registration (finer point): the prospectus delivered to the Registrar must be accompanied by **the consent of experts** named in it, copies of **material contracts**, and the **auditor's/expert reports** referred to. If these are missing, registration is defective.

The expert-consent rule (Sec 26(5) territory). A prospectus may include a statement by an **expert** (engineer, valuer, accountant, etc.) **only if** the expert is **not connected with** the formation/promotion/management of the company **and** has given **written consent** and has **not withdrawn** it before delivery for registration. **Why:** an "independent expert" who is secretly the promoter's cousin is no safeguard at all — independence is what gives the expert's word its value.

Why "objects of the issue" matters: it is the anchor for later liability. If money raised for Object A is spent on Object B, that misuse traces straight back to this disclosed statement. It is also the anchor for Sec 27 (variation of objects) and for the SEBI "monitoring agency" requirement on large issues.

Consequence of issuing without registration (Sec 26(9)): issuing a prospectus **not registered** with the Registrar makes the company (and every knowingly-party person) liable to a **penalty** (verify current figure). Registration is a *condition precedent* to a valid public offer, not a formality.

4.5 Variation in terms & the exit for dissenters (Sec 27) and misuse of application money (Sec 26/27)

The problem: Company raises money promising Object A, then the board changes the plan after your cash is in. **The fix — Sec 27:** the objects/terms stated in the prospectus can be varied **only** by a **special resolution** (passed through **postal ballot**), and dissenting shareholders (those who didn't agree) must be given an **exit opportunity** by promoters/controlling shareholders at a price set per SEBI norms. You are not trapped in a company that changed the deal on you.

Finer distinctions the exam tests on Sec 27: - The special resolution is required for varying **the terms of a contract referred to in the prospectus** or **the objects for which the prospectus was issued** — i.e. both *what* the money is for and the *deal terms* are frozen absent shareholder re-approval. - The **notice** of the special resolution must be published in newspapers (one English, one vernacular) and on the website, stating the **justification** for variation. Transparency is forced even on the vote itself. - The **exit offer** to dissenting members is a limb that only applies to companies whose shares are **listed** / that raised money from the public (SEBI-regulated), and the exit price is per SEBI (ICDR/LODR) norms. An unlisted private-placement issuer's dissenter-exit works differently — flag and verify.

Money-utilisation lock: money raised for the stated objects **cannot** be applied elsewhere without going through Sec 27. This connects forward to Sec 35/34 liability: diverting funds is not just a Sec 27 breach, it can render the original "objects" statement in the prospectus misleading, exposing the board to mis-statement liability.

4.6 The heart of the chapter — Liability for mis-statements (Sec 34 & 35)

This is the most examined pair in the chapter. Understand the *split* between them.

First, what counts as a "misstatement"? - A statement is deemed **untrue** if it is misleading in the form and context in which it appears; and - An **omission** is treated as a misstatement if the omission is calculated to mislead (Sec 34's framing). - **The killer principle:** *a half-truth is a whole lie*. Leaving out the pending bankruptcy suit misleads exactly as much as inventing a fake profit.

Two situations that "deem" a statement untrue (worth stating precisely): 1. the statement is **misleading in the form and context** in which it is included; **and** 2. where the **omission** of a matter is **calculated to mislead** — the prospectus is then deemed untrue in respect of that omission.

Now the two liabilities:

(a) Criminal liability — Section 34

When: the prospectus includes a statement that is **untrue or misleading**, or an **omission calculated to mislead**, and it was issued. **Who:** every person who **authorised the issue** of the prospectus. **Punishment:** this attracts the **fraud punishment under Section 447** — imprisonment of **6 months to 10 years** and fine of **the amount involved up to 3× that amount**. (Where the fraud involves public interest, the minimum jail is 3 years.) **The escape (why it's fair):** a person is **not** criminally liable if they prove **either** (i) the statement/omission was **immaterial**, or (ii) they had **reasonable grounds to believe, and did up to the time of issue believe, that the statement was true** or the omission necessary. Honest, diligent belief is a defence — the law punishes fraud, not honest error.

Memory hook: 34 = the jail door → routes to 447 (fraud), the harshest section in the Act. Think "34 knocks on 447's cell."

Threshold nuance for Sec 447 (fraud definition, Sec 447 read with explanation): "fraud" involves an **act, omission, concealment or abuse of position** with **intent to deceive/gain undue advantage/injure**. The **de-minimis limb**: where the fraud amount is **below ₹10 lakh (or 1% of turnover, whichever lower)** and does **not** involve public interest, a *lighter* punishment applies (imprisonment up to 5 years **or** fine up to ₹50 lakh **or** both) — verify current ICAI figures. This matters because a small mis-statement fraud may not carry the full 6-months-to-10-years band.

(b) Civil liability — Section 35

When: a person **subscribes** for securities **relying on** a prospectus containing an untrue statement and **suffers loss or damage**. **Who is liable (compensate the investor):** - every **director** at the time of issue; - every person who **agreed to be named as a director**; - every **promoter**; - every person who **authorised the issue**; and - an **expert** (to the extent of their part).

Remedy: they are **jointly and severally liable** to **compensate** every affected subscriber for loss/damage. **The defences (why each is fair):** a defendant escapes if they prove: 1. they **withdrew consent** before issue and the prospectus was issued without their authority; **or** 2. it was issued without their **knowledge/consent**, and on becoming aware they gave **public notice**; **or** 3. they had **reasonable grounds to believe** the statement was true (for their own statements) or reasonably relied on an **expert** for the expert's part. **But note:** where the misstatement was made to defraud/induce, these defences **do not** protect a person, and liability can extend without limit (Sec 35(3)).

"Subscribe" — a load-bearing word. Sec 35 civil liability runs in favour of a person who **subscribed** for securities *relying on the prospectus*. Classic trap: a person who bought shares **in the secondary market** (from another investor on the exchange), *not* on the original allotment, generally **cannot** claim under Sec 35 — they did not "subscribe" on the faith of the prospectus. The prospectus's protective duty runs to the *original allottee*, not to a later purchaser (subject to the deemed-prospectus and continuing-liability nuances).

Reliance is essential: a subscriber who never read or relied on the prospectus cannot claim its statement caused the loss.

Rescission — the contract remedy that sits alongside Sec 35. Independent of statutory compensation, a subscriber induced by a *misrepresentation* can **rescind the allotment** (return the shares, get the money back) under general contract law, **provided** he acts **promptly** and **before** any of the four bars arises: (a) **affirmation** (he behaves as owner after learning the truth), (b) **unreasonable delay/laches**, (c) **commencement of winding up**, or (d) **inability to restore** the parties to their original position. **Memory hook:** *Compensation (35) keeps the shares and claims money; Rescission gives back the shares and unwinds the deal — but rescission dies the moment winding up starts.*

The clean contrast to memorise:

	Sec 34 — Criminal	Sec 35 — Civil
Purpose	Punish the wrongdoer (society's remedy)	Compensate the victim (investor's remedy)
Trigger	Untrue/misleading statement or misleading omission issued	Subscriber relied on it and suffered loss
Need actual investor loss?	No — the crime is issuing it	Yes — no loss, no compensation
Who is caught	Every person who authorised the issue	Directors, to-be-named directors, promoters, authorisers, experts
Outcome	Jail + fine via Sec 447	Pay compensation (joint & several)
Core defence	Immaterial, or honest reasonable belief up to issue	Withdrew consent / no knowledge + public notice / reasonable belief / expert reliance
Defence blocked when	(fraud is the charge itself)	Statement made to defraud — then no defence, unlimited liability

Memory hook: 34 before 35 = Crime before Compensation (alphabetical C-C, and 34 < 35). Criminal punishes the act; Civil needs a wounded victim.

Note on the company's own position. Sec 35 fixes personal liability on directors/promoters/experts to *compensate*. Whether the **company itself** is liable to compensate the subscriber is nuanced: the company can be sued for **rescission** (unwinding the contract), but ordering the *company* to pay *damages while the subscriber keeps the shares* runs into the old rule (*Houldsworth*-type reasoning) that a member cannot both keep membership and recover damages from the company diminishing its capital — a subtlety usually beyond CA Inter but worth one line to avoid over-stating "the company pays under 35."

(c) Fraudulently inducing investment — Section 36

Problem: someone lures investors by knowingly false or reckless statements *outside* a formal prospectus (a road-show promise, a deceptive circular). **Fix — Sec 36:** any person who **knowingly or recklessly** makes a false/deceptive/misleading statement, **promise or forecast**, or **dishonestly conceals** material facts, to induce persons to **invest / enter agreements for securities / credit facilities**, is liable for **fraud under Sec 447**. Closes the "it wasn't in the prospectus" gap. **Key distinction from Sec 34:** Sec 34 is tethered to a *prospectus*; Sec 36 catches inducement by **any** means (oral or written, in or out of a prospectus) — the wider net.

(d) Class action / remedy route — Section 37

Affected persons (a group of subscribers) may take **action** — including under **Sec 245 class action** — against the company, directors, auditors, and experts, for any misleading statement or the inclusion/omission of any matter in the prospectus. **Why:** one small investor can't afford to sue; collective action makes liability real. Sec 37 is the *gateway*; **Sec 245 (before NCLT)** is the *forum and machinery*.

4.7 Personation for acquisition of shares (Sec 38)

Problem: People apply for shares in **fictitious names** (to grab more of an oversubscribed IPO, or to manipulate allotment). **Fix — Sec 38:** the following are **fraud punishable under Sec 447**: - applying for securities under a **fictitious name**; - making **multiple applications** under **different names or different combinations** of name/surname; or - otherwise **inducing** a company (directly or indirectly) to allot / register a transfer of securities to **fictitious/other names**.

The court may also order **disgorgement** of the gain and **freezing/seizure** of assets, and any amount received can be transferred to the **Investor Education and Protection Fund (IEPF)**. **Why so harsh:** fake applications corrupt the fairness of allotment for every genuine investor, and in an oversubscribed issue they *steal* allotment from honest applicants. **Compulsory disclosure limb:** the personation warning **must be prominently reproduced** in every prospectus and application form — a deterrent placed where the fraudster will read it.

4.8 Minimum subscription & application money (Sec 39) — protecting the money at entry

Problem: A company collects money for a ₹100-crore project but raises only ₹8 crore. The project is dead on arrival, yet the company keeps the cash. **Fix — Sec 39:**

- **No allotment** shall be made unless the **minimum subscription** stated in the prospectus has been **subscribed** and the application money received (by cheque/other instrument that has been paid). For SEBI-regulated public issues the floor is **90% of the issue**.
- **Application money** per security must be **at least 5% of the nominal amount** of the security (or as SEBI specifies).
- If minimum subscription is **not received within 30 days** of prospectus issue (SEBI norm; the Act says "such period as prescribed"), all application money must be **refunded within the prescribed time** (commonly **15 days** from closure). **Delay → interest** at the prescribed rate (e.g. **15% p.a.**) and the money is deemed held in trust.
- Default in filing the return of allotment / refund carries **fines** on company and officers (a fixed per-default penalty on the company and every officer in default — verify current figure).

Why "held in trust" matters conceptually. Until minimum subscription is met and allotment is validly made, the application money is **not** the company's money — it belongs to the applicants. Treating it as a trust means it cannot be attached by the company's creditors, cannot be spent on operations, and **must** flow back if the floor is missed. This is the doctrinal bridge to Sec 40's *separate bank account*: the account is the *vault* holding trust money.

Consequence of allotting without minimum subscription (irregular allotment). An allotment made in breach of Sec 39 is **irregular**. Practically: the allotment is liable to be **set aside / refunded**, the applicant can repudiate, and officers face penalty. The examiner's favourite question — "the board argues it can allot the shares actually subscribed and refund the rest" — is answered **No**: the bar is on *making any allotment at all* until the floor is reached; you cannot allot a part-filled issue.

Memory hooks: 39 = "the floor". 90% = "you must nearly fill the room before you open the doors." 5% application money = "a small deposit to prove you're serious." 15 days / 15% = "refund fast or pay 15% for stalling." (Confirm the current % and day figures in ICAI material, as SEBI ICDR fine-tunes them.)

4.9 Securities to be dealt in on stock exchange + application money handling (Sec 40)

Problem: A public issue with no listing route traps investors in unsellable paper; and pooled application money is a tempting target for siphoning. **Fix — Sec 40:**

- Before issuing a prospectus, a company making a public offer must **apply to one or more stock exchanges** for **listing permission** and state which exchange(s) in the prospectus. **No listing permission → allotment is void**, and money must be **repaid** (with interest if delayed — commonly within 15 days, else penal interest).
- All **application money** received must be kept in a **separate bank account** with a scheduled bank, and used **only** for (i) adjustment against allotment, or (ii) **repayment** where minimum subscription/listing fails. It cannot be dipped into for anything else.
- A company may **pay commission** (underwriting/brokerage) out of this only as permitted (subject to Sec 40(6) limits and the PAS Rules — commission is a legitimate carve-out because it is a genuine cost of raising the money).

Underwriting commission — the finer figures (verify current ICAI/SEBI): commission is payable only if **authorised by the articles**, is paid at a rate **not exceeding 5% of the issue price of shares** or the rate in the articles (whichever less), and **2.5% for debentures** or the articles' rate (whichever less), and the fact/rate is disclosed in the prospectus. The cap exists so promoters can't drain the issue proceeds by paying inflated "commission" to cronies.

Void vs irregular — a distinction worth nailing. Failure to obtain **listing permission (Sec 40)** makes the allotment **VOID** (a nullity from the start — money must come back). Failure to meet **minimum subscription (Sec 39)** makes the allotment **irregular/barred** (must not be made; if made, liable to be undone). The examiner sometimes swaps these — listing failure = *void*; is the sharper word.

Memory hook: 40 = "*the safe*" — *separate account (ring-fenced cash) + listing (an exit door)*. Think "40 locks the money in a safe and cuts an escape hatch."

4.10 Global Depository Receipts (Sec 41)

Problem/need: an Indian company wants to raise money **abroad**. **Fix — Sec 41:** a company may, after a **special resolution**, issue **depository receipts (GDRs)** in any foreign country in the prescribed manner (Companies (Issue of GDRs) Rules). **Mechanism to know:** the company issues shares to a **domestic custodian/overseas depository**, which in turn issues **receipts (GDRs)** to foreign investors; the underlying shares sit with the custodian. The GDR-holder is a *beneficial* holder abroad; the **depository** is the registered member on the Indian register. Requires a **special resolution** and prescribed rules. (Mechanism-level for CA Inter; know the special-resolution requirement and the custodian/depository structure.)

4.11 Private placement (Sec 42) — the controlled non-public door

Problem: Companies abused "private" issues to raise public money without any public-offer safeguards — soliciting thousands under the "private placement" banner. **Fix — Sec 42** built a tight cage around private placement so it stays genuinely private.

Definition: private placement = offer/invitation to subscribe or issue securities to a **select group of identified persons** (identified by the Board) through a **private placement offer letter (Form PAS-4)**, and **not** through a public advertisement/general solicitation.

The hard limits (each an anti-abuse trip-wire):

Rule	Limit	The "why"
Number of persons	Offer to ≤ 200 persons in aggregate in a financial year (per kind of security), excluding QIBs and ESOP employees	The instant it crosses 200 real investors it <i>is</i> public — so cap it below public scale.
Identified persons	Offer only to persons named/identified by the Board; complete record maintained in Form PAS-5	"Select persons" must be genuinely selected in advance, not the general public.
No public solicitation	No advertisement / general media / general solicitation allowed	Any broadcast to the public destroys the "private" character.
Minimum investment size	Each identified person's offer subject to a minimum investment (verify current figure; historically ₹20,000 of face value per person)	A high per-person floor structurally keeps out the small retail "public."
Money route	Subscription only by cheque/DD/banking channel (no cash), kept in a separate bank account	Cash = untraceable; banking channel = audit trail, anti-money-laundering.
Application money use	Cannot utilise money until allotment is made and return (PAS-3) filed with the Registrar	Stops the company spending money before the issue is even complete.
Time to allot	Allot within 60 days of receiving money; else refund within 15 days ; delay beyond 15 days → 12% p.a. interest from expiry of 60th day	Don't sit on private investors' money either.
Fresh offer bar	Generally no fresh offer while a prior offer is pending/incomplete (i.e. not allotted or withdrawn)	Prevents rolling, overlapping issues that dodge the 200 cap.
Return of allotment	Form PAS-3 within 15 days of allotment	Registrar gets a record; transparency even in private issues.
Offer letter numbering	Each PAS-4 is serially numbered and addressed specifically to the named person	Prevents the "one letter, mass-photocopied to the public" trick.

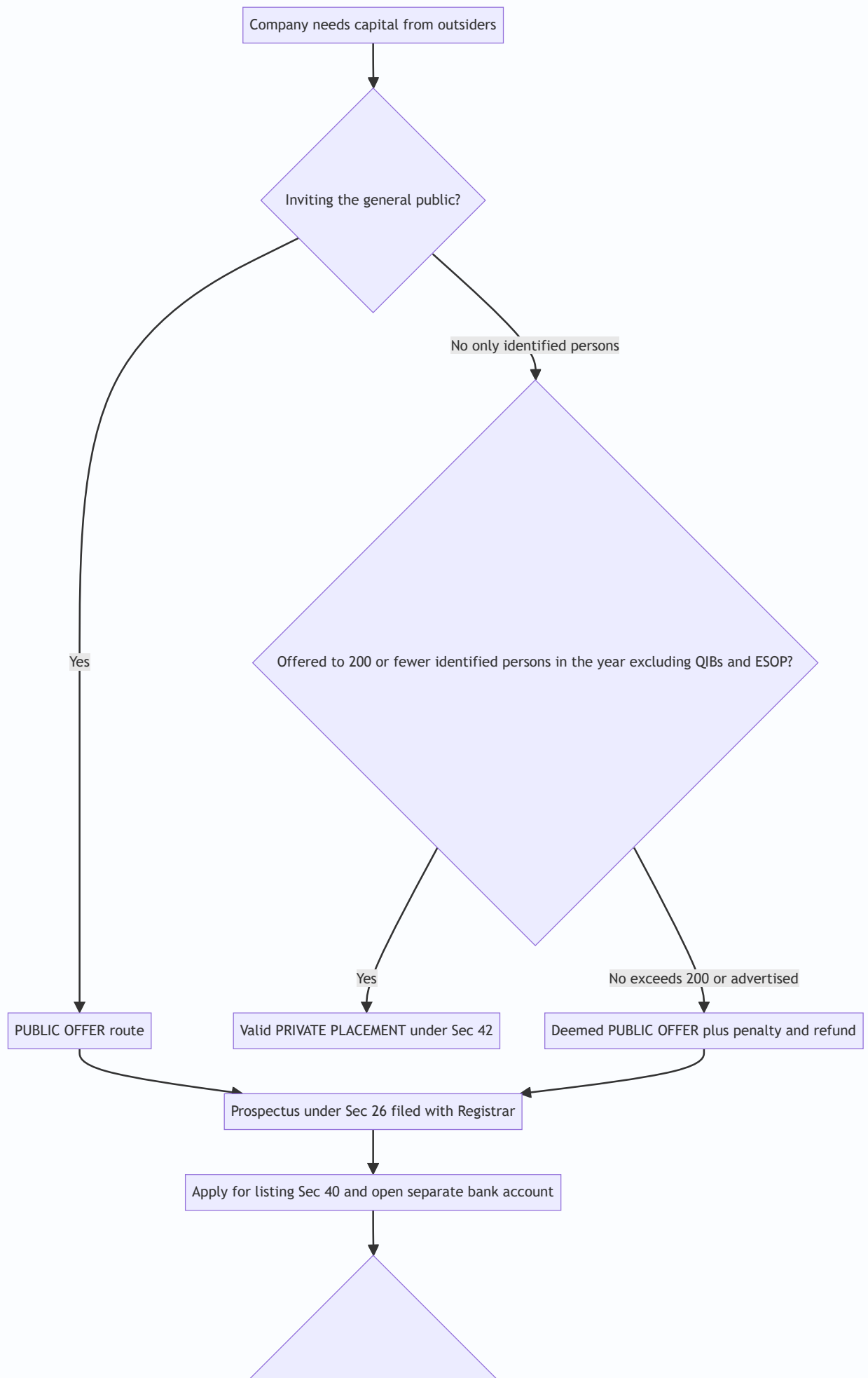
The nuclear consequence (the point of the whole section): if a company makes an offer/allotment in **breach** of Sec 42 (e.g. exceeds 200 persons, or advertises to the public), the offer is **deemed a public offer** and all provisions of the Act **and SEBI/SCRA** apply — **plus a heavy penalty** (up to the **amount raised or ₹2 crore, whichever lower**) and **refund** to subscribers **within 30 days** of the penalty order. In other words: try to smuggle a public issue through the private door, and the law forcibly re-labels it a public issue with every safeguard attached, and fines you on top.

A subtle limb students miss — the "one at a time" and "counting" rules. The 200-person ceiling is counted **per financial year, per kind of security** (separate 200 for equity, separate for a distinct class of debentures — verify current wording), and is **cumulative** across offers in the year. So a company that placed to 150 persons in Round 1 can offer to at most 50 more in Round 2 of the same year. **QIBs and ESOP employees are excluded** from the count — the exclusion exists because QIBs are sophisticated (need no protection) and ESOP is an internal employee matter, not a public solicitation.

Memory hooks for Sec 42: 42 = *"the private club with a 200-seat limit and a strict guest list."* Numbers: **200 members, 60 days to allot, 15 days to refund, 12% penalty interest, PAS-4 letter / PAS-5 register /**

PAS-3 return.* The forms count 4 → 5 → 3** (offer letter, record of offer, return of allotment).

4.12 Master diagram — the public-vs-private decision



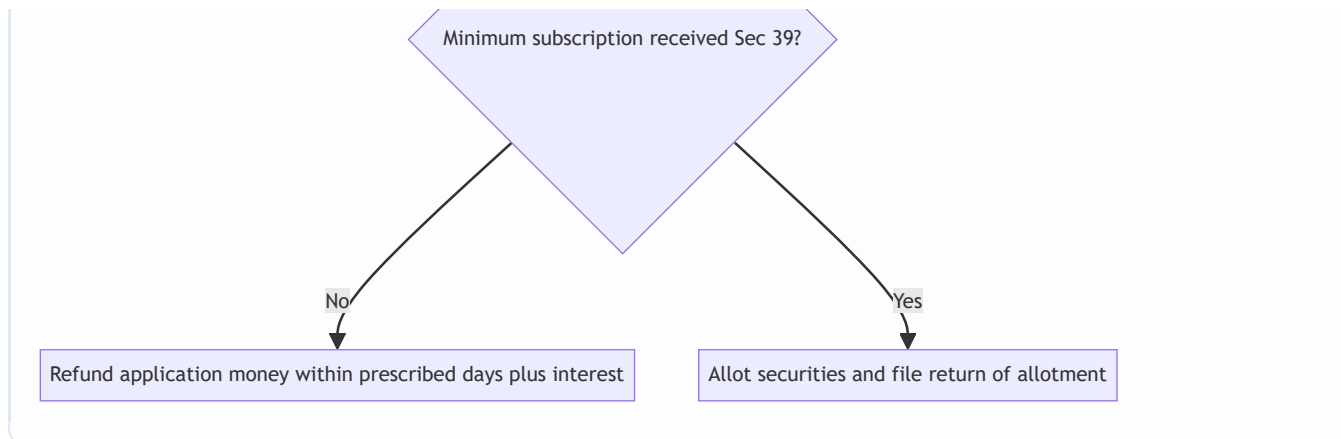


Figure 3.1 — The single most important flow: which door you walked through, and what each door demands.

4.13 The two liability engines at a glance

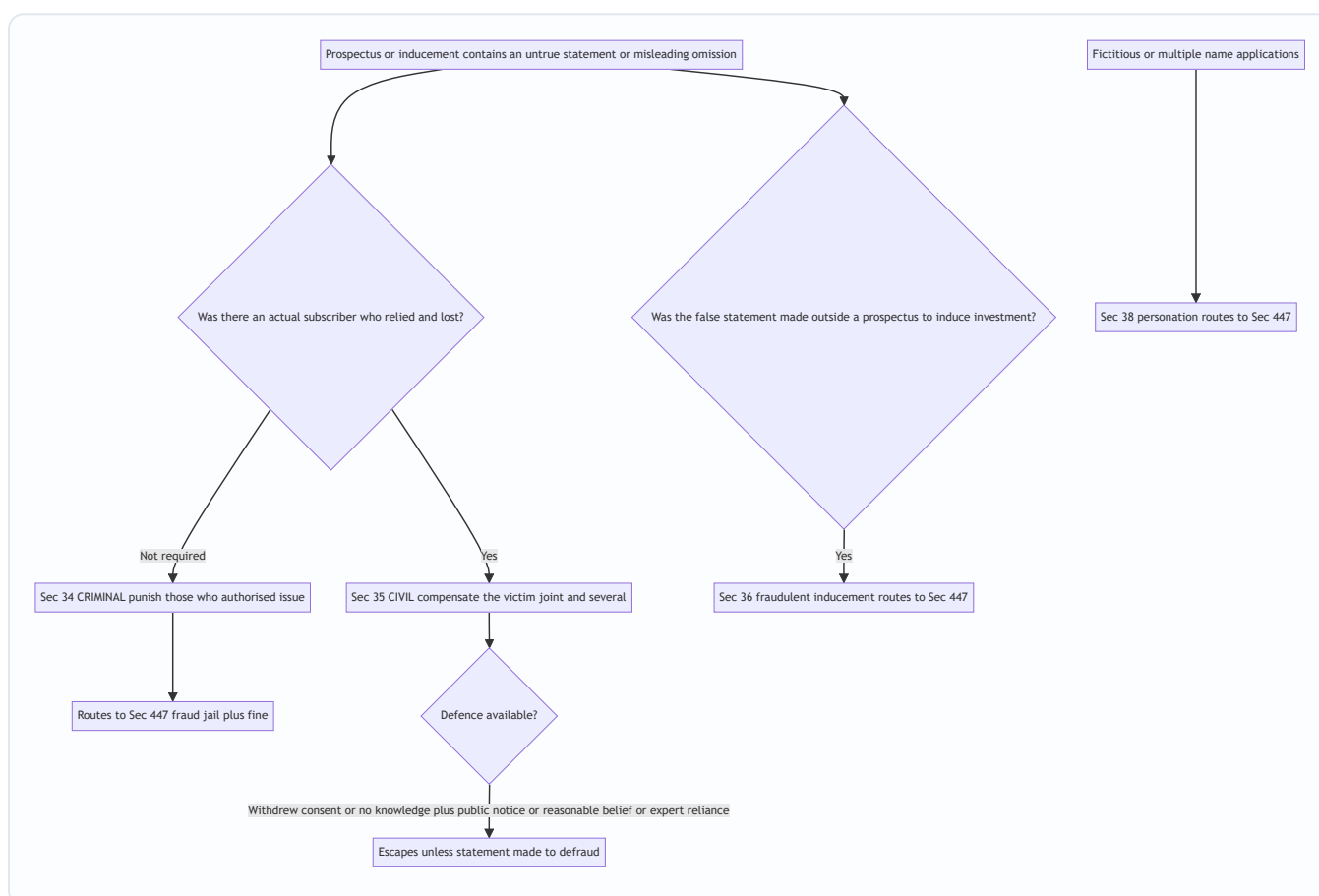


Figure 3.2 — How one false statement fans out into criminal, civil, inducement and personation liability.

5. Applied Scenarios — Reasoning to the Legal Outcome

Scenario 1 — The optimistic omission. *Bright Future Ltd* issues a prospectus showing strong projected profits. It does not mention that a supplier has sued it for ₹50 crore — an amount exceeding its net worth. Investors subscribe; when the suit surfaces, the share price collapses. Ravi, who invested relying on the prospectus, loses ₹4 lakh.

Reasoning: Nothing false was stated, but a **material omission calculated to mislead** is treated as a misstatement (Sec 34). Ravi **relied** on the prospectus and **suffered loss** → **civil liability under Sec 35**: the directors, promoters and those who authorised the issue are **jointly and severally liable to compensate** Ravi. Because the omission of a company-threatening lawsuit is plainly *material*, the "immaterial statement" defence fails; a director can only escape by proving he withdrew consent, lacked knowledge and gave public notice, or had reasonable grounds to believe disclosure was unnecessary. Separately, those who **authorised** the misleading prospectus face **criminal liability under Sec 34 → Sec 447** (jail + fine) — and Ravi does **not** need to prove his loss for the *criminal* case, only for compensation. **Outcome:** Ravi recovers compensation; directors risk prosecution.

Scenario 2 — The "private" issue that wasn't. *Zoom Tech Pvt Ltd wants ₹30 crore. It emails a "private placement offer" to 260 hand-picked people and also posts the offer on its public website. 240 subscribe.*

Reasoning: Two independent breaches of **Sec 42**: (i) offer to **more than 200 persons** in the year, and (ii) **public solicitation** via the website. Either breach alone destroys the private character. **Consequence:** the offer is **deemed a public offer** — but a *private company cannot make a public offer at all* (Sec 23/2(68)). So the company is doubly exposed: the whole issue is treated as a public offer attracting the full prospectus regime and SEBI/SCRA, **plus** a penalty up to the **amount raised or ₹2 crore (whichever lower)** and **refund within 30 days**. **Outcome:** issue invalid as structured; penalty + mandatory refund; a private company simply cannot cure it by "going public" without first converting.

Scenario 3 — The underfilled issue. *Mega Infra Ltd's prospectus states a minimum subscription needed of ₹100 crore for a plant. By the close, only ₹60 crore (60%) has come in. The board wants to allot anyway and start partial construction.*

Reasoning: **Sec 39** bars allotment unless **minimum subscription** (for SEBI issues, **90%**) is received. 60% is below the floor → **no allotment permitted**. The application money must be **refunded** within the prescribed period (commonly 15 days from closure); if the company delays, it must pay **penal interest** (e.g. 15% p.a.) and directors/officers face fines, and the money is deemed held in trust in the **separate account (Sec 40)**. **Outcome:** the board **cannot** allot; it must refund on time or bleed interest. The logic: an underfunded project must return the money, not consume it.

Scenario 4 — The shelf-and-tranche financier. *Steady Finance Ltd, an NBFC, wants to raise debentures four times over the coming year. It dreads filing a full prospectus four times.*

Reasoning: This is exactly what **Sec 31 (shelf prospectus)** exists for. Steady Finance (a permitted class) files **one shelf prospectus valid up to 1 year**; for each subsequent tranche it files only an **information memorandum (PAS-2)** disclosing new charges and material changes. **Outcome:** legitimate efficiency — no cheating needed, because the Act already built the honest shortcut.

Scenario 5 — The middleman mask (deemed prospectus, with a date twist). *Prime Ltd allots its entire fresh issue of shares to Sunrise Securities (an issuing house) on 1 April. On 20 August (i.e. within 6 months), Sunrise publishes an "offer for sale" document offering those shares to the public. The document omits Prime's pending tax demand.*

Reasoning: The allotment to an issuing house *followed by* a public offer **within 6 months** raises the statutory presumption under **Sec 25** that the allotment was made *with a view to* public offering. The offer-for-sale document is therefore a **deemed prospectus of Prime Ltd** — so Prime's directors, not merely Sunrise, are liable as if they had issued a prospectus, and the omission of the tax demand triggers **Sec 34/35** exactly as in Scenario 1. *Examiner tweak:* suppose the public offer instead happened **8 months** later (outside

6 months) **but** Sunrise had **not paid Prime the full consideration** at the date of the offer. **Second limb of Sec 25** independently raises the deeming presumption (consideration not fully received) — so it is *still* a deemed prospectus. Only if the offer is **both** beyond 6 months **and** consideration fully received does the deeming presumption not automatically arise. **Lesson:** the two limbs are *alternative* triggers, not cumulative.

Scenario 6 — The director who resigned in time. Anita was named as a director in Neo Ltd's draft prospectus. She discovered a false profit figure, withdrew her consent in writing before the prospectus was issued, and the company issued it anyway without her authority. A subscriber, Karan, sues her under Sec 35.

Reasoning: Sec 35 fixes liability on directors *at the time of issue*, **but** provides a defence: a person who **withdrew consent before issue** and the prospectus was issued **without his authority or consent** is **not liable**. Anita fits squarely — she can prove withdrawal + issue-without-authority → **no civil liability**. *Examiner tweak:* if Anita had merely *privately* objected but let the prospectus go out with her name and did **nothing public**, or discovered the falsehood *after* issue and stayed silent, she would **lose** the defence — the shield requires action *before* issue (withdrawal) or, for post-issue discovery, **public notice**. **Lesson:** the reasonable-belief/withdrawal defences reward *timely diligence*, not private grumbling.

Scenario 7 — Numerical: private-placement counting and interest. Vega Ltd (unlisted public company) makes a private placement of equity. In FY it offers to 120 persons in April and 90 more persons in September (all non-QIB, non-ESOP, all identified by the Board). It receives ₹5 crore from the September allottees on 1 October but, due to internal delays, allots only on 20 December.

Reasoning — step by step: 1. **Headcount:** $120 + 90 = 210$ persons in the financial year for the same kind of security (equity). This **exceeds the 200 ceiling** → breach of Sec 42 → the whole thing is **deemed a public offer**, with penalty (up to amount raised or ₹2 crore, whichever lower) and refund within 30 days. *The second tranche should have been capped at 80.* 2. **Timing (assume, arguendo, the headcount were within limit):** money received 1 October; **60 days to allot** expires **30 November**. Allotment on **20 December** is **20 days late**. Sec 42 requires **refund within 15 days** of the 60th day if not allotted; here they neither refunded nor allotted in time. **Penal interest at 12% p.a.** runs on ₹5 crore from **1 December** (expiry of the 60 days) until refund/allotment. - Interest $\approx ₹5,00,00,000 \times 12\% \times (20/365) \approx ₹5,00,00,000 \times 0.12 \times 0.0548 \approx ₹3.29$ lakh for the delay period (illustrative; verify exact reckoning convention with ICAI). **Self-check:** 12% of ₹5 crore per year = ₹60 lakh/year = ₹1.64 lakh per 10 days $\approx ₹3.29$ lakh for 20 days. Consistent. **Lesson:** two independent violations (headcount *and* delay) can co-exist; answer each limb separately.

Scenario 8 — Numerical: minimum subscription and application-money floor. Orbit Ltd makes a public issue of 1 crore equity shares of face value ₹10 each at par. Its prospectus states minimum subscription as 90% of the issue. By closing, applications are received for 85 lakh shares. Application money is set at ₹0.40 per share.

Reasoning — step by step: 1. **Application-money floor (Sec 39):** must be **at least 5% of nominal value** = $5\% \times ₹10 = ₹0.50$ per share. Orbit set only ₹0.40 → **below the statutory floor** → defective on this ground alone (unless SEBI specifies otherwise for this issue — verify). Correct minimum = ₹0.50. 2. **Minimum subscription:** 90% of 1 crore = **90 lakh shares** required. Only **85 lakh** subscribed (85%) → **floor not met** → **Sec 39 bars any allotment**. 3. **Consequence:** refund all application money within the prescribed period (commonly 15 days from closure); delay → **~15% p.a. penal interest**; money held in trust in the **separate account (Sec 40)**. - Application money collected = $85 \text{ lakh} \times ₹0.50$ (had it been correctly set) = **₹42.5 lakh** to be refunded; if refunded 10 days late, interest $\approx ₹42.5 \text{ lakh} \times 15\% \times 10/365 \approx ₹17,466$ (illustrative). **Self-check:** 15% of ₹42.5 lakh/year = ₹6.375 lakh/year $\approx ₹1,746/\text{day} \times 10 \approx ₹17,466$. Consistent. **Lesson:** two separate Sec 39 tests — the **per-share money floor (5%)** and the **whole-issue subscription floor (90%)** — are independent; a question can fail on either or both.

6. Procedure / Compliance Summary

6.1 Public issue by prospectus — the sequence



Figure 3.3 — Public-issue compliance chain, each box a statutory checkpoint.

6.2 Private placement — the parallel sequence

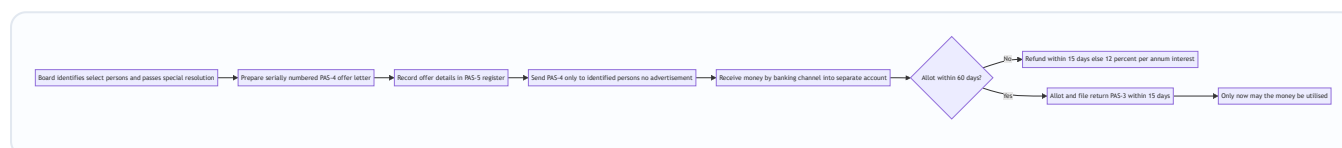


Figure 3.4 — The Sec 42 private-placement chain, showing the money stays untouchable until allotment plus return filing.

6.3 Key forms & timelines (both routes)

Form	Purpose	Route
PAS-2	Information memorandum for shelf-prospectus tranches	Public (shelf)
PAS-3	Return of allotment (file within 15/30 days of allotment)	Both
PAS-4	Private placement offer-cum-application letter	Private placement
PAS-5	Record of private placement offers (identified persons)	Private placement

6.4 Refund / allotment timeline (memory strip)

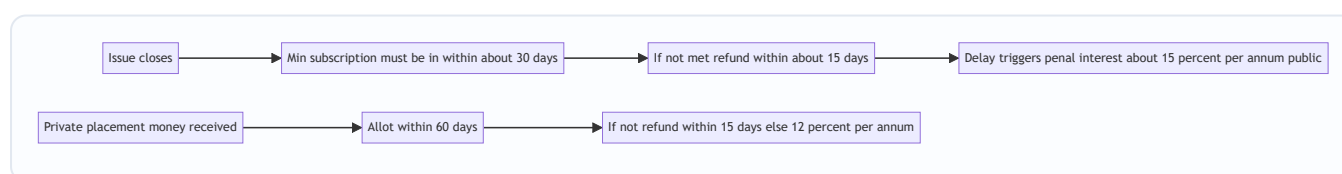


Figure 3.5 — Two parallel clocks: public-issue refund vs private-placement allot-or-refund. Confirm exact day/percent figures in current ICAI/SEBI material.

7. Connections — How This Chapter Links to the Rest

- **Chapter on Incorporation / Types of Companies:** why a private company (Sec 2(68)) can't make a public offer flows straight into Sec 23 and Sec 42 here. A **One Person Company** and **private company** are locked out of the public door.

- **Share Capital & Debentures:** allotment completed here becomes the **capital** administered there; **return of allotment (PAS-3)**, share certificates, calls, and the **Sec 62 rights issue** mechanics follow. Underwriting commission (Sec 40) also connects to the share-capital rules.
- **Sec 447 (Fraud):** the enforcement engine behind Sec 34, 36 and 38 — the same punishment section recurs, so master it once (6 months–10 years; 3-year minimum if public interest; lighter band below the de-minimis threshold).
- **Sec 245 Class Action & NCLT:** the *forum* where Sec 37 collective remedies are pursued.
- **SEBI Act & SEBI (ICDR) Regulations:** for **listed** public issues, SEBI overlays disclosure, minimum-subscription (90%), monitoring-agency, and timeline rules on top of the Companies Act — the Act sets the floor, SEBI tightens it.
- **Deposits (Sec 73–76):** contrast — deposits are *borrowing from the public without shares*; both chapters share the theme of protecting public money, but through different machinery.
- **Law of Contract / Misrepresentation:** Sec 34–35 are the company-law specialisation of the general contract idea that inducing a contract by false statements gives rise to liability; **rescission** of allotment is the pure-contract remedy sitting beside statutory compensation.
- **IEPF (Investor Education & Protection Fund):** disgorged gains from Sec 38 personation and unclaimed refunds can flow here — the "downstream" home of protected money.

8. Traps & Examiner Tricks

1. **34 vs 35 swap.** The classic trap: describing Sec 35 as "imprisonment." **Sec 34 = criminal (jail via 447); Sec 35 = civil (compensation).** Civil needs *reliance + actual loss*; criminal does not need a suffering investor.
2. **Omission is not "safe."** Students assume only false *statements* are punishable. A **misleading omission** is expressly a misstatement (Sec 34). *Half-truth = whole lie.*
3. **"Public" is a number, not a vibe.** The **50-person** line (Sec 42 area) converts a "private" offer into a public offer; the **200-person** ceiling caps private placement per year. Don't confuse the two: **50** is the public-offer trip-wire baked into the private-placement rules; **200** is the annual private-placement headcount cap. QIBs and ESOP employees are **excluded** from both counts.
4. **Deemed prospectus (Sec 25) ≠ Red herring (Sec 32).** *Deemed* = an offer-for-sale document dressed up to dodge the rules (disguise). *Red herring* = a genuine prospectus with the **price** left out (book-building). Totally different problems.
5. **Shelf validity is 1 year; prospectus registration validity is 90 days.** Don't cross the numbers.
6. **Private company + public offer = impossible, not merely penalised.** A breach of Sec 42 by a *private* company can't be cured by "treating it as a public offer" because a private company is barred from public offers outright — it must first convert.
7. **Application money ≥ 5%; minimum subscription (SEBI) = 90%.** These are different figures for different things: 5% is per-security upfront money; 90% is how much of the *whole issue* must be subscribed. Confirm current figures.
8. **Expert's defence under Sec 35** protects a director who *reasonably relied on an expert*, but the **expert himself** is liable for *his* part. Don't let the director's shield cover the expert. Also: an expert must have given **written consent** and be **unconnected** with promotion/management (Sec 26) — a "tame" expert is no defence.

9. **"Reasonable belief" defence** (Sec 34/35) must exist **up to the time of issue** — a director who *later* discovers the truth but did nothing loses the shield; but honest belief held throughout is a genuine escape. The law targets fraud, not honest mistake.
 10. **Sec 39 "no allotment" is a bar, not a formality.** An allotment made without minimum subscription is **irregular** and refundable — examiners love asking whether the board "can just allot anyway" or "allot only the part subscribed." It cannot do either.
 11. **Sec 42 money can't be touched pre-allotment.** Even in a valid private placement, utilising subscription money before allotment **and** filing of the PAS-3 return is a breach.
 12. **Void vs irregular.** Listing-permission failure (**Sec 40**) → allotment **VOID**; minimum-subscription failure (**Sec 39**) → allotment **irregular/barred**. The examiner swaps these to test precision.
 13. **Sec 25's two limbs are alternatives.** "Within 6 months" **OR** "consideration not fully received" — *either* triggers the deemed-prospectus presumption. Students wrongly require both.
 14. **Secondary-market buyer can't sue under Sec 35.** Sec 35 protects the *subscriber* who relied on the prospectus, not someone who later bought on the stock exchange. "Reliance on the prospectus" and "subscription" are both essential.
 15. **Rescission dies at winding-up.** The contract remedy of rescinding an allotment for misrepresentation is lost once winding up commences (or on affirmation/delay/inability to restore) — even though statutory Sec 35 compensation may still be pursued.
 16. **Sec 36 is wider than Sec 34.** Sec 34 needs a *prospectus*; Sec 36 catches *any* inducement (a speech, a WhatsApp forward, a forecast) — don't restrict fraudulent-inducement liability to written prospectuses.
 17. **"Objects of the issue" can't be silently changed.** Diverting funds needs a **special resolution + dissenter exit (Sec 27)** — and doing it silently can *retrospectively* make the prospectus misleading, dragging in Sec 34/35.
 18. **Underwriting commission has caps.** 5% (shares) / 2.5% (debentures) or articles' rate, whichever lower, and must be authorised by articles and disclosed — a favourite one-liner (verify current figures).
-

9. First-Principles Recap

Strip everything away and rebuild it from the single fault line: **the company knows the truth; the investor does not.** Every rule is one of three moves against that asymmetry:

1. **Force the truth out (disclosure).** A defined written **prospectus** (Sec 2(70), 26) with mandated contents, filed with the Registrar, in variants tuned to honest needs (**deemed 25, shelf 31, red herring 32, abridged 33**). *Because* speech evaporates and omissions kill, everything must be written and complete. The **golden rule** of *New Brunswick* is the parent of every disclosure clause.
2. **Punish the lie (liability).** **Criminal (Sec 34 → 447)** to deter, **Civil (Sec 35)** to compensate, **fraudulent inducement (36)** and **personation (38)** to close side-doors — all personal, so no one hides behind the company. *Because* deterrence needs a human who can be jailed and a victim who can be paid, and *because Derry v Peek* proved that requiring proof of fraud lets careless directors escape, Sec 35 was built to need only *untruth + reliance + loss*.
3. **Guard the money (entry controls).** **Minimum subscription (39)** so unviable projects refund; **separate account + listing (40)** to ring-fence cash and give an exit; **private placement cage (42)** so the non-

public door can't smuggle a public issue. *Because* money, once pooled, is **held on trust** for applicants until validly allotted, it cannot be spent, attached, or trapped in a dead project.

If you can regenerate any section from "which cheat does this stop?", you have understood the chapter, not memorised it. A quick self-test: name the section, then say (a) the cheat it kills, (b) the time-zone (disclose / integrity / custody) it lives in, and (c) its one key number. If all three come instantly, you own it.

10. Quick-Revision Sheet

Section	Topic	Key number / limit	One-line "why"
23	Modes of issue	Public co = 3 doors; Private co = 2 (no public)	Channels the fundraising into controlled routes
2(70)	Prospectus defined	Any document inviting the public	Kills the "didn't call it a prospectus" loophole
25	Deemed prospectus	Within 6 months OR consideration not fully received	Substance over form (disguise)
26	Contents & registration	Valid 90 days ; filed before issue; expert consent	Mandatory minimum disclosure
27	Variation in terms	Special resolution (postal ballot) + exit to dissenters	Can't change the deal after taking your money
31	Shelf prospectus	Valid 1 year ; PAS-2 per tranche	Efficiency for frequent honest issuers
32	Red herring	Price omitted; final prospectus after bidding	Enables book-building price discovery
33	Abridged prospectus	Must accompany every application form	Retail investors actually read it
34	Criminal liability	Jail via Sec 447 (6 mo–10 yr)	Punish issuing an untrue/misleading prospectus
35	Civil liability	Compensation; joint & several; subscriber who relied	Compensate subscriber who relied & lost
36	Fraudulent inducement	Fraud → 447 ; any means, not just prospectus	Closes the "not in the prospectus" gap
37	Class action remedy	Group action (see Sec 245)	Makes liability enforceable collectively
38	Personation	Fraud → 447 ; disgorgement; IEPF	Protects fairness of allotment
39	Minimum subscription	≥ 90% (SEBI); app money ≥ 5% ; refund ~ 15 days/15%	No allotment for an underfunded project
40	Listing + money handling	Separate bank a/c; no listing = VOID allotment ; commission caps	Ring-fence cash + provide an exit
41	GDR	Special resolution ; custodian/depository structure	Route to raise money abroad

Section	Topic	Key number / limit	One-line "why"
42	Private placement	≤ 200 persons/yr (ex-QIB/ESOP); allot in 60 days ; refund 15 days/12% ; PAS-4/5/3; breach = deemed public + penalty up to amount raised or ₹2 cr	Keeps the non-public door genuinely non-public

Number-memory ladder: - **50** = public-offer trip-wire · **200** = private-placement annual cap - **90 days** = prospectus validity · **1 year** = shelf validity · **6 months** = deemed-prospectus window - **5%** = application money floor · **90%** = minimum subscription (SEBI) - **60 days** to allot (private) · **15 days** to refund · **12%** (private) / **15%** (public) penal interest - **5% / 2.5%** = underwriting commission caps (shares / debentures) - **34** = Criminal → **447** · **35** = Civil (Compensation) · **447** = the fraud hammer behind 34/36/38

Void vs irregular (one-line): *No listing (40) = VOID; no minimum subscription (39) = irregular/barred.*

Forms count: *PAS-4 (offer) → PAS-5 (record) → PAS-3 (return); PAS-2 = shelf tranche IM.*

Always confirm the exact current percentages, day-counts, penalty figures, and class lists against the latest ICAI study material, the bare Companies Act 2013, the PAS Rules 2014, and SEBI (ICDR) Regulations — SEBI periodically fine-tunes the numeric thresholds while the underlying principles in this chapter stay fixed.

Q&A — Prospectus & Allotment of Securities

CA Intermediate | Corporate & Other Laws | Companies Act, 2013 — Sections 23 to 42 Exam-oriented question bank. Every question is followed immediately by a complete model answer citing the relevant section. Where a point is not settled purely by the bare Act, uncertainty is flagged.

SECTION A — Concept-Check Questions (with answers)

A1. What are the modes by which a public company and a private company may issue securities under Section 23?

Answer: Under **Section 23(1)**, a **public company** may issue securities: (a) to the public through a **prospectus** (public offer), (b) through a **private placement** (Sec 42), or (c) through a **rights issue or bonus issue** (Sec 62), and in case of a listed company or intending-to-be-listed company, in compliance with SEBI provisions. Under **Section 23(2)**, a **private company** may issue securities only by (a) **rights/bonus issue** (Sec 62) or (b) **private placement** (Sec 42). A private company cannot make a public offer.

A2. Define "prospectus" and list the four types of documents that fall within the definition.

Answer: Under **Section 2(70)**, a "prospectus" means any document described or issued as a prospectus and includes a **red herring prospectus (Sec 32)**, a **shelf prospectus (Sec 31)**, or any notice, circular, advertisement or other document inviting offers from the public for the subscription or purchase of securities of a body corporate. The essential test is a **public invitation to subscribe/purchase securities**.

A3. What is a "public offer" versus a "private placement"?

Answer: A **public offer** (Sec 23 read with Sec 25/26) is an invitation to the public at large to subscribe to securities via a prospectus. A **private placement** under **Section 42** is an offer/invitation to a **select group of identified persons** (not exceeding **200** in a financial year, excluding QIBs and employees under ESOP) through a **private placement offer-cum-application letter (PAS-4)**, without any public advertisement.

A4. What is an "abridged prospectus" and when must it be issued?

Answer: Under **Section 2(1)**, an abridged prospectus is a memorandum containing the salient features of a prospectus as specified by SEBI. Under **Section 33**, every application form for securities must be accompanied by an abridged prospectus, except where it is a bona fide invitation to a person to enter into an underwriting agreement, or where securities are not offered to the public.

A5. What is a "shelf prospectus" and a "red herring prospectus"?

Answer: A **shelf prospectus (Sec 31)** is a prospectus filed by classes of companies (as SEBI prescribes) allowing them to make multiple issues of securities within **one year** without issuing a fresh prospectus for each offer; an **information memorandum (Form PAS-2)** updates material facts for subsequent offers. A **red herring prospectus (Sec 32)** is a prospectus that **does not contain complete particulars of the quantum or price** of securities and is issued prior to the main prospectus in a book-building issue.

A6. State the meaning and effect of a "deemed prospectus" under Section 25.

Answer: Under **Section 25**, where a company **allots or agrees to allot securities to an issuing house/intermediary with a view to those securities being offered for sale to the public**, the offer-for-

sale document is **deemed to be a prospectus** issued by the company. All provisions on contents and liability apply as if the company itself issued it. This prevents companies from evading prospectus liability by routing the issue through an intermediary.

A7. What is the minimum subscription requirement and its consequence?

Answer: Under **Section 39(1)**, no allotment can be made unless the amount stated in the prospectus as the **minimum subscription** has been subscribed and the **application money (at least 5% of nominal value of the share, or as SEBI specifies)** has been received. Under **Section 39(3)**, if minimum subscription is not received within **30 days** of issue of prospectus (or such period specified by SEBI), the application money must be **refunded** within the prescribed time (15 days from closure per SEBI ICDR); default attracts penalty under **Section 39(5)**.

A8. Distinguish civil liability (Sec 35) from criminal liability (Sec 34) for misstatements in a prospectus.

Answer: **Section 34** imposes **criminal liability** for issuing a prospectus that includes an untrue/misleading statement, punishable under **Section 447 (fraud)**. **Section 35** imposes **civil liability** — the company and specified persons (directors, promoters, experts, persons who authorised issue) are liable to **compensate** every person who subscribed relying on a misstatement and suffered loss. Sec 34/35 target misstatements; **Section 36** targets fraudulently inducing persons to invest.

SECTION B — Applied Problem / Scenario Questions (ICAI style)

B1. *ABC Ltd, a public unlisted company, wishes to raise capital by inviting subscription from 350 identified high-net-worth individuals through a private placement offer letter, without issuing a prospectus. Advise on validity.*

- **Facts:** Offer to 350 identified persons via private placement route.
- **Law:** **Section 42(2)** limits a private placement to a maximum of **200 persons in the aggregate in a financial year** (per kind of security), excluding QIBs and employees under ESOP. Under **Section 42(7)**, no public advertisement may be made. An offer to more than 200 persons is **deemed to be a public offer**, requiring compliance with prospectus provisions (Sec 23–26) and SEBI regulations, per the second proviso to Sec 25(1)/Sec 42 explanation.
- **Analysis:** The offer to 350 persons exceeds the 200-person ceiling. It therefore ceases to be a private placement and is **deemed a public offer**, mandating a prospectus.
- **Conclusion:** ABC Ltd **cannot** validly raise money from 350 persons via private placement; it must either restrict the number to 200 or issue a prospectus and comply with public-offer requirements. Contravention attracts penalty under **Section 42(10)** (amount raised or ₹2 crore, whichever lower, and refund within 30 days).

B2. *A prospectus issued by XYZ Ltd stated that a well-known industrialist had agreed to join the Board. On the strength of this, Mr. P subscribed. The statement was false. What are Mr. P's remedies?*

- **Facts:** Untrue statement in prospectus induced subscription; loss suffered.
- **Law:** **Section 35(1)** provides civil liability — the company, every director, promoter, and person who authorised issue is liable to **compensate** for loss/damage sustained by reason of an untrue statement. **Section 34** provides criminal liability, and **Section 36** covers fraudulent inducement. The investor may also rescind the contract of allotment for misrepresentation under general contract law.

- **Analysis:** The false statement about the industrialist is a **material misstatement**. Mr. P relied on it and suffered loss, satisfying Sec 35.
- **Conclusion:** Mr. P can (i) claim **compensation under Sec 35**, and (ii) **rescind** the allotment. Directors may escape liability under **Section 35(2)** by proving withdrawal of consent before issue, lack of knowledge/consent, or reasonable belief in the truth of the statement.

B3. *Directors of LMN Ltd wish to raise the criminal-liability defence under Section 34. On what grounds can they escape liability?*

- **Law:** The proviso to **Section 34** exempts a person if he proves that (a) the **statement/omission was immaterial**, OR (b) he had **reasonable grounds to believe, and did up to the time of issue believe, that the statement was true** or the inclusion/omission was necessary.
- **Conclusion:** Directors escape **Sec 34** criminal liability only by discharging this burden; otherwise punishment is under **Section 447**.

B4. *PQR Ltd allotted shares 40 days after issuing the prospectus, having received only 80% of the stated minimum subscription. Advise on the validity of the allotment.*

- **Law:** **Section 39(1)** bars allotment unless minimum subscription is received; **Section 39(3)** requires refund if minimum subscription is not received within **30 days** of issue of prospectus (or the SEBI period).
- **Analysis:** Minimum subscription was not met, and 30 days had elapsed. Allotment is **irregular/void**, and application money should have been refunded.
- **Conclusion:** The allotment is **invalid**; PQR Ltd must refund the application money. Default attracts penalty under **Section 39(5)** — ₹1,000 per day of default or ₹1,00,000, whichever is less, on the company and each officer in default.

B5. *DEF Ltd raised money by private placement but utilised the funds before filing the return of allotment. Comment.*

- **Law:** Under **Section 42(4)/42(8)**, money received on private placement must be kept in a **separate bank account** and **cannot be utilised** until the **return of allotment (Form PAS-3)** is filed with the Registrar. Allotment must be completed within **60 days** of receipt of application money (Sec 42(6)); PAS-3 must be filed within **15 days** of allotment.
- **Conclusion:** DEF Ltd's utilisation of funds before filing PAS-3 is a **contravention** attracting penalty under **Section 42(10)**. (Note: post-2018 amendment, allotment money cannot be used until PAS-3 is filed.)

B6. *GHI Ltd (unlisted public company) wants to make repeated bond issues over a year without a fresh prospectus each time. Which route applies?*

- **Law:** **Section 31** — a **shelf prospectus** may be filed by prescribed classes of companies, valid for **one year**, with an **information memorandum (PAS-2)** filed for each subsequent offer.
- **Conclusion:** GHI Ltd may use the **shelf prospectus** mechanism, provided it belongs to the class prescribed by SEBI (typically for debt securities / financial institutions). Flag: eligibility depends on SEBI's prescribed classes.

SECTION C — Past-Paper-Style Descriptive Questions

C1. Explain the provisions relating to variation in terms of contract or objects referred to in the prospectus (Section 27).

Answer: Under **Section 27(1)**, a company shall **not vary the terms of a contract or the objects for which the prospectus was issued** except by way of a **special resolution** passed at a general meeting. Details of the notice must be published (as SEBI/rules prescribe) in newspapers. Under **Section 27(2), dissenting shareholders** (those who have not agreed to the variation) must be given an **exit offer** by promoters/controlling shareholders at a SEBI-prescribed exit price. Under **Section 27(3)**, money cannot be used for any object other than stated in the prospectus except after such approval. This protects investors who subscribed on the faith of stated objects.

C2. Discuss the "golden rule" of prospectus and the matters to be stated under Section 26.

Answer: The "**Golden Rule**" (New Brunswick v. Muggeridge) requires that a prospectus disclose the whole truth with **strict and scrupulous accuracy** — nothing should be stated as fact that is not so, and no material fact should be concealed. **Section 26(1)** codifies this by requiring every prospectus to state prescribed information — details of the company, directors, promoters, objects, capital structure, terms of issue, and reports (auditor's report, financial information) — and disclosures required by SEBI. Under **Section 26(4)**, a prospectus must be **dated, signed, and delivered to the Registrar for registration** before publication. A prospectus not registered is **invalid**; issuing an unregistered prospectus attracts penalty under **Section 26(9)**.

C3. Write a note on the allotment of securities in the electronic form / return of allotment (Section 39 and Section 42(8)).

Answer: On every allotment of securities, the company must file a **return of allotment in Form PAS-3** with the Registrar. For public issues under **Section 39(4)**, PAS-3 must be filed in the prescribed manner; for private placements under **Section 42(8)**, PAS-3 must be filed within **15 days** of allotment, listing the identity of allottees and the price. This return creates a public record and enables monitoring of the 200-person ceiling and utilisation restrictions. Default attracts penalty under **Sec 39(5)** and **Sec 42(10)** respectively.

C4. Explain the criminal and civil liabilities for mis-statements in a prospectus (Sections 34, 35, 36).

Answer: - **Section 34 (Criminal liability):** Where a prospectus includes any **untrue or misleading statement**, or omits a material matter likely to mislead, every person who **authorised its issue** is liable under **Section 447 (fraud)** — imprisonment (6 months–10 years) and fine (up to 3× the amount involved). Defence: immateriality or reasonable belief in truth. - **Section 35 (Civil liability):** The company, directors, promoters, experts and authorisers must **compensate subscribers** who suffered loss relying on an untrue statement. Sec 35(2) provides defences (withdrawal of consent, no knowledge, reasonable belief). Sec 35(3): if the misstatement was made with intent to defraud, liability is **unlimited and personal**. - **Section 36 (Fraudulently inducing investment):** Any person who **knowingly or recklessly makes false/misleading/deceptive statements** to induce another to invest is punishable under **Section 447**.

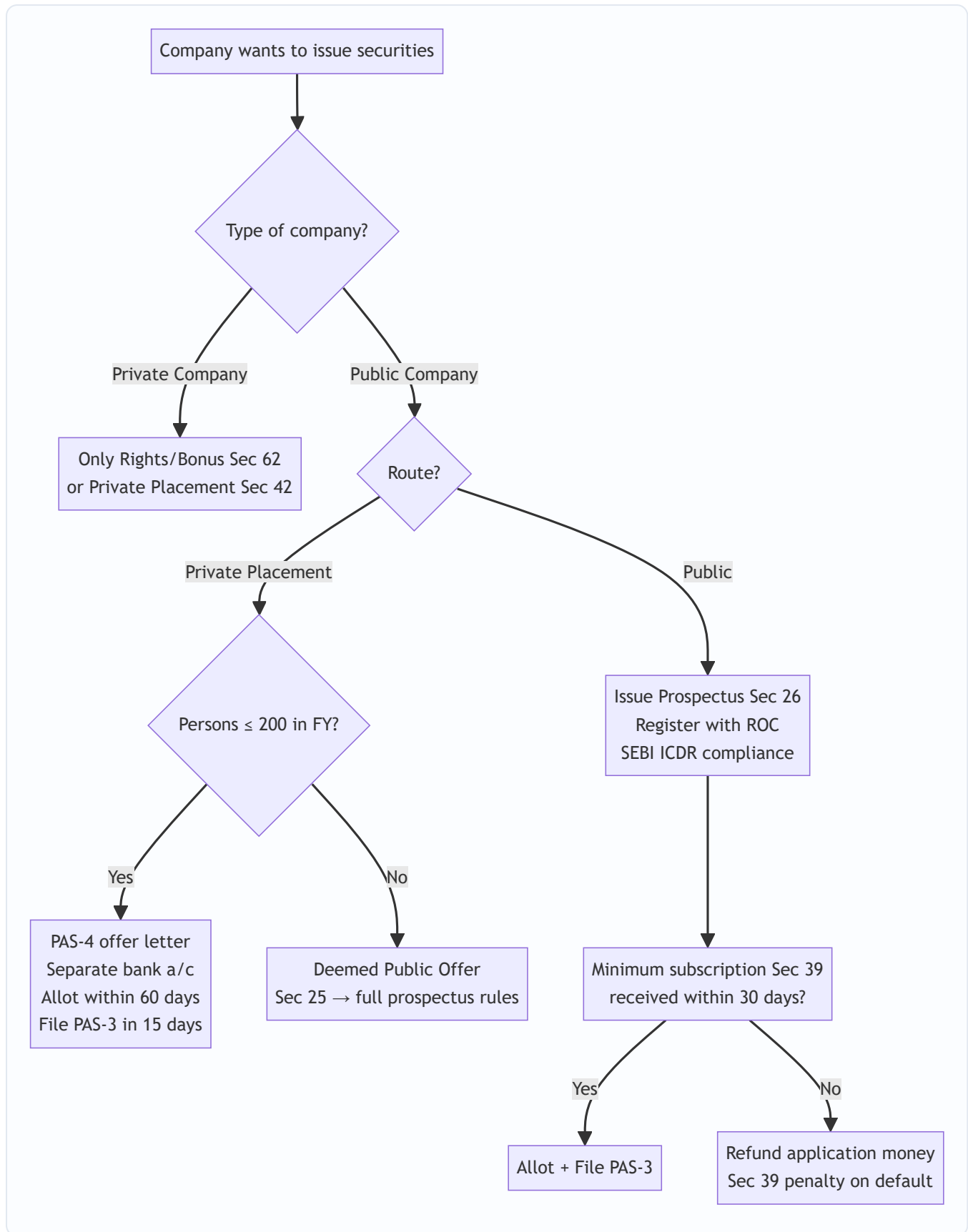
C5. Distinguish between a prospectus and a statement in lieu of prospectus / private placement offer letter, and explain "public offer" limits.

Answer: A **prospectus (Sec 2(70), Sec 26)** is a public invitation registered with the Registrar. A **private placement offer-cum-application letter (Form PAS-4, Sec 42)** is a serially-numbered, address-specific offer to identified persons (≤200), **not** advertised to the public, and not renounceable. Any offer that crosses **200 persons**, or is advertised publicly, becomes a **deemed public offer** (Sec 25/42), triggering full prospectus and SEBI compliance. (Note: the "statement in lieu of prospectus" of the 1956 Act has no direct equivalent; the 2013 Act relies on the private placement/PAS-4 regime — flag as a change from the old law.)

SECTION D — MCQs / Case Scenarios

- D1.** The maximum number of persons to whom securities may be offered under private placement in a financial year (excluding QIBs and ESOP employees) is: (a) 50 (b) 100 (c) 200 (d) 500 **Answer: (c) 200** — Section 42(2); exceeding it makes it a deemed public offer.
- D2.** A "red herring prospectus" is one which: (a) contains false statements (b) does not contain particulars of price or quantum of securities (c) is issued after allotment (d) is a foreign prospectus **Answer: (b)** — Section 32; issued in book-building before the final price is fixed.
- D3.** Minimum subscription, if not received, must trigger refund within the SEBI-prescribed period after the prospectus is open; the base timeline in Section 39(3) is: (a) 15 days (b) 30 days (c) 60 days (d) 90 days **Answer: (b) 30 days** — Section 39(3) (SEBI ICDR further specifies refund within 15 days of issue closure).
- D4.** Which document is deemed to be a prospectus when shares are allotted to an issuing house for offer to the public? (a) Shelf prospectus (b) Abridged prospectus (c) Offer for sale document (deemed prospectus) (d) Information memorandum **Answer: (c)** — Section 25 (deemed prospectus).
- D5.** Variation in the objects stated in a prospectus requires: (a) Board resolution (b) Ordinary resolution (c) Special resolution + exit to dissenters (d) Central Government approval **Answer: (c)** — Section 27; dissenting shareholders get an exit offer.
- D6.** Private placement money must be kept in a separate bank account and cannot be utilised until: (a) the AGM (b) return of allotment (PAS-3) is filed (c) shares are listed (d) one year passes **Answer: (b)** — Section 42(4)/(8).
- D7.** *Case scenario:* Mr. X, an expert, gave his consent to a statement in the prospectus but withdrew it in writing before the prospectus was delivered for registration. A subscriber sues him under Sec 35. Is he liable? (a) Yes, absolutely (b) No, withdrawal before issue is a valid defence (c) Yes, but only 50% (d) Only criminally liable **Answer: (b)** — Section 35(2)(a); withdrawal of consent before issue is a statutory defence.
- D8.** A private company may issue securities by: (a) public offer (b) rights/bonus issue or private placement (c) only public offer (d) shelf prospectus **Answer: (b)** — Section 23(2); a private company cannot make a public offer.
-

Procedure Diagram — Public Offer vs Private Placement Decision



Traps & Examiner Tricks (Quick Recall)

- **200-person limit** is **per financial year and per kind of security** — QIBs and ESOP employees are **excluded** (Sec 42).
- **Minimum subscription base period is 30 days** (Sec 39(3)); students often wrongly write 60 or 120 days.
- **Variation of objects** needs **special resolution + exit to dissenters** (Sec 27), NOT ordinary resolution.
- **Deemed prospectus** (Sec 25) traps offer-for-sale arrangements — company cannot dodge liability via an intermediary.
- **Sec 34 = criminal, Sec 35 = civil, Sec 36 = fraudulent inducement** — do not interchange.
- Private placement money **cannot be used until PAS-3 is filed** (Sec 42(8), post-2018 amendment).
- A **private company can never make a public offer** (Sec 23(2)).

First-Principles Recap

Sections 23–42 exist to protect the investing public through **disclosure (prospectus/golden rule)**, **gatekeeping (registration, minimum subscription)**, **accountability (civil & criminal liability)**, and **containment (private-placement ceilings)**. The unifying idea: *money should only be raised on the basis of full, true, registered disclosure, and protected until legitimately allotted.*

Provisions cited: Companies Act, 2013 — Sec 2(70), 2(1), 23, 25, 26, 27, 31, 32, 33, 34, 35, 36, 39, 42, 62, 447. Procedural timelines/thresholds are read with SEBI ICDR Regulations and the Companies (Prospectus and Allotment of Securities) Rules; where a threshold is SEBI-driven rather than in the bare Act, this has been flagged in the text.

Chapter 04 — Share Capital & Debentures

1. The Problem — Why Money Put Into a Company Keeps Vanishing

Imagine you lend ₹50 lakh to a company. You did not become an owner; you are a creditor. You looked at the company's balance sheet, saw "Share Capital ₹2 crore," and felt safe — that ₹2 crore is the buffer that absorbs losses before your loan is touched. The owners promised to put ₹2 crore of *their own* money at risk, standing behind your loan.

Now imagine three things happen:

1. The directors, who are also the big shareholders, quietly pay that ₹2 crore back to themselves as "return of capital," leaving nothing between your loan and zero.
2. Or the company issues shares to insiders for ₹1 when they are really worth ₹100, diluting everyone else and funnelling value to friends.
3. Or the company borrows ₹10 crore through debentures from thousands of small public investors, spends it, and there is no independent person watching whether the money is safe or the security real.

Every one of these is a **real historical fraud**. Companies were looted from the inside by manipulating capital. The whole architecture of Chapter IV of the Companies Act, 2013 (Sections 43–72) exists to answer one question: *how do we stop the people who control a company from moving capital in ways that betray the outsiders who relied on it — creditors, minority shareholders, and public debenture-holders?*

The single organising villain of this chapter is the **abuse of control over capital**. Everything else is a specific defence against a specific trick.

Why "capital" is legally special and not just an accounting number. A shareholder's liability in a limited company is capped at the unpaid amount on his shares (Sec 2(22)/Sec 3). That cap is the great bargain of company law: investors risk only a fixed sum, which is why they invest at all. But the mirror image of limited liability is that creditors have *only* the company's assets to look to — never the shareholders' personal wealth. So the "capital" figure is the price of the limited-liability privilege: in exchange for capping their downside, shareholders promise to keep a stated buffer intact for creditors. Capital rules are simply the enforcement of that promise. Once you see capital as *the consideration creditors received for accepting limited liability*, every "hard, rare, court-supervised" rule about touching it stops looking bureaucratic and starts looking like basic contract enforcement.

The three victim-groups, kept distinct. The chapter protects three different outsiders, and the examiner tests whether you know *which* protection fires for *which* victim:

- **Creditors** (including future creditors) — protected by *Capital Maintenance*: discount ban, premium lock, CRR, DRR, Tribunal-supervised reduction.
- **Existing shareholders** as a body — protected by *pre-emption / Fair Dealing*: the rights issue, valuer-priced preferential allotment.
- **A class of shareholders** (e.g. preference holders) against another class — protected by *class consent*: Sec 48 variation, Sec 47 revival of voting.

If you can name the victim, you can usually name the section.

The four rungs of the capital ladder — a distinction the examiner hides inside every numerical. "Share capital" is not one number but a descending ladder, and confusing two rungs is the most common silent

error in a buy-back, rights-issue or reduction sum:

Rung	Meaning	Where it bites
Authorised (nominal) capital	The ceiling fixed by the memorandum — the maximum the company <i>may</i> issue	Sec 61 increase; SH-7 filing
Issued capital	The part of authorised capital actually offered for subscription	—
Subscribed capital	The part of issued capital taken up by members	Base for a "further issue" under Sec 62
Called-up capital	The part of subscribed capital the company has demanded be paid	Reduction Sec 66 face (1)
Paid-up capital	The part of called-up capital actually received	Buy-back ceilings; the buffer creditors see

The buffer creditors actually rely on is **paid-up** capital plus free reserves — not authorised capital, which is a mere ceiling and can be enormous while paid-up is tiny. When a sum says "paid-up capital ₹50 lakh, authorised ₹5 crore," the ₹5 crore is a decoy; every capital-maintenance ceiling keys off *paid-up*. *Why does the ladder exist?* Because a company needs headroom to grow (a high authorised ceiling) without being forced to issue and without misleading anyone — so the law separates "permission to issue" (authorised) from "value actually contributed" (paid-up), and pins the creditor-protective rules to the latter. A favourite trap computes a 25% buy-back cap on *authorised* rather than *paid-up* capital, inflating the allowable figure tenfold.

Nominal vs real capital — why "capital" can be honest or a lie. Face value × number of shares = *nominal* capital, a legal bookkeeping figure. What actually stands behind the creditors is *real* value contributed. Sec 53 (discount ban) exists precisely to keep nominal and real capital equal *at the moment of issue*; the whole capital-maintenance apparatus then works to stop real value draining below nominal *afterwards*. Hold this master sentence: **every rule in the chapter is either (a) making nominal = real at issue, or (b) stopping real from falling below nominal later.** That one line organises all ten parts — Sec 52/53/54/62 police the "at issue" side; Sec 55/63/66/68/71 police the "afterwards" side.

2. The Core Idea — Capital Maintenance and Fair Dealing

Two protective principles run through the entire chapter. If you hold these two, you can *derive* almost every section.

Principle A — Capital Maintenance. The share capital a company raised must not leak back out to shareholders through the back door. Creditors extended credit trusting that buffer. So the law makes returning capital to shareholders *hard, rare, court-supervised, and never at the creditors' expense*. This is why reduction of capital (Sec 66) needs Tribunal approval, why buy-back (Sec 68) has ceilings and locks, why dividends can't be paid out of capital, and why shares generally can't be issued at a discount (Sec 53).

Principle B — Fair Dealing / Equality Among Members. Within the body of shareholders, no group may use control to enrich itself at another group's expense. Existing shareholders must not be secretly diluted; a class whose rights are altered must consent; new shares must first be offered to existing owners in proportion (rights issue, Sec 62). This is the "no unfair dilution, no unfair preference" principle.

Hold these two lamps up to any provision and its purpose lights up. The section number is just an address; the *reason* is the thing.

A third, quieter principle — Disclosure & Traceability. Sitting beneath the two lamps is a plumbing principle: *every movement of capital must leave a public paper trail with a deadline*. Form SH-7 for alteration, SH-4 for transfer, PAS-3 for allotment, the register of members, the register of charges — all exist so that an outsider dealing with the company can see the true, current capital position. Capital Maintenance says "don't let it leak"; Disclosure says "and if it moves at all, the world must be able to see it moved." Several "trap" questions are really disclosure-deadline questions (SH-7 in 30 days, SH-4 in 60 days) dressed up as substance.

The two lamps are in tension — and that tension explains the exceptions. Pure Capital Maintenance would forbid *ever* issuing shares below face value or *ever* returning cash to owners — but that would strangle legitimate business (rescuing a sick company, rewarding employees, returning genuine surplus). So each apparent "exception" (sweat equity, buy-back, ESOP, Sec 53(2A) discount on debt-conversion) is the point where the law decided the business need outweighs the buffer risk — and *bolted on a safeguard* (special resolution, valuer, ceiling, CRR) to contain the risk it just permitted. When you meet an exception, always ask: *what safeguard replaced the rule?* That pairing is the favourite exam structure.

Placing any section on the two-lamp grid. Every provision in the chapter answers to *one* dominant lamp — knowing which tells you what a valid answer must emphasise:

Dominant lamp	Sections	The sentence a good answer contains
Capital Maintenance (protect creditors' buffer)	52, 53, 55, 63, 66, 68/69, 71 (DRR/DRI)	"...so the buffer creditors relied on is not depleted."
Fair Dealing (protect members inter se)	47, 48, 54, 62 (rights & preferential), ESOP	"...so no controlling group is enriched at another's expense."
Disclosure & Traceability (public paper trail)	46, 56, 61/64, 71 (trustee), 42 (PAS-4/PAS-3)	"...so an outsider can see the true, current position."

Why does this grid help under exam pressure? Because it converts a "state the law" question into a "name the lamp, then recite its safeguard" reflex. If you can say *which* outsider the provision protects, the marking points almost write themselves — and mixed questions usually engage **two** lamps at once (e.g. a defaulted-preference scenario fires both Sec 47 *voting revival* under Fair Dealing and, if repayment is proposed, Sec 66/55 under Capital Maintenance).

3. Why It's Built This Way — The Logic of Each Safeguard

Before the technical wall of sections, let's reason out *why* each major safeguard has the shape it has. This is the scaffolding; Part 4 hangs the exact numbers on it.

- **Why forbid issuing shares at a discount (Sec 53)?** If a company could sell ₹10 shares for ₹1, the "capital" figure on the balance sheet becomes a lie — creditors think ₹10 of value backs each share but only ₹1 came in. So discount is banned, *except* the tightly-controlled sweat-equity route (real value came in, just as effort not cash) and the special ESOP/Sec 54 arrangement.
- **Why is a premium (Sec 52) locked into a special reserve?** When shares sell *above* face value, that extra isn't ordinary profit to be handed out as dividend — treating it as distributable profit would let promoters

recycle investors' own money back as "returns." So the premium is quarantined in the Securities Premium Account and can be used only for a short capital-like list of purposes.

- **Why must new shares be offered to existing shareholders first (Sec 62 rights issue)?** Because directors could otherwise issue fresh shares to themselves or allies at a low price, shrinking everyone else's percentage. Pre-emption preserves each owner's proportional stake and voting power.
- **Why does altering class rights (Sec 48) need the class's own consent?** Because a controlling group holding ordinary shares could vote to strip preference shareholders of their preference. Only the affected class can agree to have its own rights changed — and even then a dissenting minority can run to the Tribunal.
- **Why is reduction of capital (Sec 66) court-supervised but alteration (Sec 61) not?** Because *reduction* actually shrinks the creditor buffer — it's the dangerous one, so the Tribunal and creditors must be heard. Mere *alteration* (splitting, consolidating, converting) reshuffles the same total capital without returning anything to shareholders, so a Board-plus-ordinary-resolution suffices.
- **Why must debentures to the public have a trustee (Sec 71)?** Ten thousand small debenture-holders cannot each individually police the company. So the law inserts a professional **Debenture Trustee** who holds the security and enforces it on behalf of all — a single watchdog with teeth, replacing a scattered helpless crowd.
- **Why can a private company switch off Sec 43 and 47 but not Sec 53 or 66?** Because Sec 43 (kinds) and 47 (voting) govern the *internal deal among the members themselves* — and in a closely-held company where everyone knows everyone, the law lets them privately re-arrange their own bargain. But Sec 53 (discount) and Sec 66 (reduction) protect *outsider creditors*, who never sat at that table. **Rule of thumb: a private company may relax the rules that protect only its own members; it can never relax the rules that protect creditors.** This single test predicts almost every private-company exemption in the chapter.
- **Why is a bonus issue encouraged (light conditions) while buy-back is fenced (heavy conditions)?** Both touch reserves, but in opposite directions. A bonus issue moves reserves *into* capital — the buffer gets **larger and more locked**, so creditors gain; the law only checks that the reserves are real. A buy-back moves reserves *out* to shareholders — the buffer **shrinks**, so creditors lose; hence caps, ratios, CRR, and cooling-off. Direction of travel of the buffer = severity of the safeguard.
- **Why demand an actual DRI deposit on top of the DRR reserve (debentures)?** A DRR is only an *appropriation of profit* — a bookkeeping ring-fence that stops the profit being paid out as dividend, but leaves no guarantee that cash actually exists on redemption day. So the law adds a **Debenture Redemption Investment**: real money parked in specified liquid instruments before each financial year's maturities fall due. Reserve = "don't distribute what you owe"; investment = "and actually hold the cash." Two different failures (distributing the profit vs having no liquid funds) need two different plugs.
- **Why does a nomination (Sec 72) override a will?** Because a share is a contract *with the company*, and the company must be able to pay out on death to one certain, pre-declared person without waiting for probate or refereeing a family dispute. The nomination is the shareholder's own instruction to the company about *vesting*; a will speaks to the estate, not the company. The law privileges the clean, company-facing instruction for vesting, while leaving heirs free to litigate *beneficial* ownership afterwards. Speed of vesting for the company, fairness of ultimate entitlement for the family — both served.

- **Why is a share certificate only *prima facie* evidence while the register is the real record?** Because paper travels and can be forged or duplicated, but the register is the company's single controlled ledger. If the certificate were conclusive, a forger who obtained a duplicate could defeat the true owner. Making the register primary means the truth always has a home the company controls and can rectify (Sec 59).
- **Why cap sweat equity and ESOP as a percentage of paid-up equity rather than banning insider issues outright?** Because the value they bring in (know-how, retained talent) is real and the company genuinely needs it — an outright ban would starve start-ups of their only currency. A *percentage cap* lets the legitimate use through while making it arithmetically impossible for insiders to convert the whole company into cheap self-issued equity. The cap is the pressure valve, not the padlock.

Now the technical content will feel like consequences, not commandments.

4. Full Technical Content — Section by Section, Each With Its "Why"

4.1 Kinds of Share Capital — Section 43

A company limited by shares can have two kinds of share capital:

- **Equity share capital** — (a) with voting rights, or (b) with *differential rights* as to dividend, voting or otherwise (DVR shares), per prescribed rules.
- **Preference share capital** — carries a preferential right to (i) dividend (fixed amount or rate) and (ii) repayment of capital on winding up, *ahead of* equity.

Why two kinds? Different investors want different risk. The preference shareholder wants a fixed, priority return (bond-like); the equity shareholder wants the upside and control. Sec 43 simply names the two boxes the law will then regulate. **Note:** a *private company* may, through its articles/memorandum, override Sec 43 and 47 — a relaxation introduced to give small closely-held companies flexibility.

Finer taxonomy of preference shares (frequently tested labels). The *same* preference share can carry several attributes, and the examiner tests whether you know that the default is the "safer for the investor" version:

Attribute	Two flavours	The default if silent
Dividend arrears	Cumulative (unpaid dividend accumulates) vs Non-cumulative (missed = gone)	Cumulative
Extra profit share	Participating vs Non-participating	Non-participating
Conversion to equity	Convertible vs Non-convertible	Non-convertible
Repayment	Redeemable (must be, ≤20 yrs) vs Irredeemable	Redeemable — irredeemable is <i>prohibited</i> (Sec 55)

Why do these defaults lean investor-protective? Because the preference shareholder gave up voting power and upside in exchange for a *promise*; where the terms are silent, the law reads the promise generously so the bargain isn't hollowed out. A trap will say "the company skipped the dividend, so it need not be paid later" — wrong if the shares are (or are silent, hence deemed) cumulative.

DVR shares — the guardrails. Differential-rights equity (e.g. shares with 1/10th the votes but higher dividend, or vice versa) is legal but rule-bound to stop promoters from entrenching control with tiny

economic stakes. Conditions typically include: authorised by articles and an ordinary resolution; a consistent track of distributable profits / no default in filing or repayment; and a cap on DVR as a proportion of total post-issue paid-up equity. *Verify the current DVR percentage cap and eligibility conditions in the Companies (Share Capital and Debentures) Rules — this figure has been amended.*

Preference shares must be redeemable — Section 55. A company (other than as specially permitted) *cannot issue irredeemable preference shares*. They must be redeemed within **20 years**; except infrastructure projects may issue preference shares redeemable beyond 20 years (redeemable in a phased manner as prescribed). *Why the ban on irredeemable preference?* An irredeemable preferential claim ranking ahead of equity forever is effectively perpetual debt masquerading as capital — it would let promoters bleed a fixed charge on profits indefinitely. Forcing redemption keeps the capital structure honest.

Redemption of preference shares (Sec 55) protects creditors by rule: they can be redeemed **only** out of (a) profits otherwise available for dividend, or (b) proceeds of a *fresh issue* of shares made for the purpose. Two more hard rules ride along: **only fully paid-up** preference shares may be redeemed, and the **premium payable on redemption** must be provided (out of profits, or out of securities premium for certain companies). If redeemed out of profits, an equal amount must be transferred to the **Capital Redemption Reserve (CRR)** — a reserve treated almost like capital. *Why CRR?* If you pay shareholders back out of profits, the buffer would shrink; forcing an equal amount into a locked reserve keeps the total buffer intact. Capital maintenance in action.

Where the premium on redemption comes from — the split rule. The premium payable when redeemable preference shares are redeemed must be **provided for before redemption**: for companies **not** complying with the notified Accounting Standards (broadly, older/other companies), it may be met **out of profits or out of the securities premium account**; for companies **whose financial statements comply with those Accounting Standards**, the redemption premium must be provided **out of profits** (the securities premium may be used only to the extent permitted, i.e. tied to the premium originally *received* on those very shares) — *verify the exact carve-out against current ICAI material. Why restrict the premium source for AS-compliant companies?* To stop a company from using investors' *other* subscription premium to fund a payout premium to preference holders — keeping each pot of premium tied to its own purpose.

Redemption is NOT a reduction of capital. A frequent conceptual trap: redeeming preference shares looks like the buffer shrinking, so why no Tribunal (unlike Sec 66)? Because the CRR (or the fresh-issue proceeds) *instantly replaces* the redeemed capital rupee-for-rupee — the total buffer never actually falls. The law pre-built the replacement, so it doesn't need the Tribunal to police it. Sec 66 needs the Tribunal precisely *because* nothing replaces the vanished capital.

Company unable to redeem on due date (Sec 55(3)). If a company can't redeem, or can't pay accumulated preference dividend, it may — with consent of holders of **≥ 3/4 in value** of those preference shares and with **Tribunal** approval — issue *further redeemable preference shares* equal to the amount due (including dividend), and the unredeemed shares are deemed redeemed. *Why?* A rescue valve: rather than force a solvent-but-illiquid company into default, the law lets it roll over the obligation, but only with a supermajority of the affected class plus the Tribunal — the same "class-consent + court" pattern as Sec 48/66.

The two lawful redemption sources, and why "proceeds of a fresh issue" means nominal only. Sec 55 permits redemption *only* from (a) profits otherwise available for dividend, or (b) proceeds of a fresh issue *made for the purpose of redemption*. The precise trap: when the fresh issue is made **at a premium**, only the **nominal (face) value** of the fresh shares counts as "proceeds of a fresh issue" that reduces the CRR

obligation — the *premium* collected does **not** reduce the amount to be transferred to CRR. *Why?* Because CRR must be topped up to keep total *capital* constant; the premium is not capital (it is a Sec 52 reserve with its own restricted uses), so it cannot substitute for the capital being redeemed. Another tested precision: the fresh issue must be *for the purpose of redemption* — an unrelated fresh issue made months earlier for working capital does **not** qualify to reduce the CRR.

Redeemed out of...	CRR transfer needed?	Buffer logic
Profits available for dividend	Yes — equal to nominal redeemed	Profit would have shrunk the buffer; CRR locks it back in
Proceeds of a fresh issue (nominal)	No — fresh capital already replaced it	New capital rupee-for-rupee replaces the old
Part profit + part fresh issue	Yes, only on the <i>profit-funded</i> portion	Only the profit-funded slice needs replacing

DVR shares — the full conditions grid (frequently examined as a "state the conditions" question).

Differential-rights equity is legal but hedged so promoters can't entrench control on a sliver of economic ownership. Typical conditions under the Rules: (i) authorised by the **articles**; (ii) approved by an **ordinary resolution** (a *postal-ballot* route applies for certain companies); (iii) DVR capped as a **proportion of total post-issue paid-up equity** — *verify the current percentage, which has been amended*; (iv) a track record of **distributable profits** for the relevant preceding years, or **no default** in filing financial statements/annual returns, payment of declared dividend, or repayment of matured deposits/debentures/term loans; (v) no penalty/conviction under specified economic laws in recent years; and (vi) the company must **not convert** existing equity into DVR shares or vice versa. *Why so many conditions?* Each blocks one route by which a controller could grab votes cheaply — the profit/no-default track record proves the company is honest enough to be trusted with a two-tier structure, and the conversion ban stops a mid-stream bait-and-switch of ordinary holders into a diluted voting class.

4.2 Voting Rights — Section 47

Equity: one-share-one-vote, voting proportional to paid-up capital. Preference shareholders normally vote *only* on resolutions that directly affect their rights — but if their dividend is unpaid for **two years or more**, they get voting rights on *every* resolution. *Why?* A preference shareholder is a quiet priority-investor as long as the deal is honoured; the moment the company defaults on their promised dividend for two years, the bargain is broken and they earn a full seat at the table.

Precision on the two-year trigger (exam-hard). For **cumulative** preference shares the trigger is dividend unpaid for an *aggregate* of two years or more; for **non-cumulative** it is dividend not paid in respect of a period of two years or more (or for two or more consecutive preceding years — *verify the exact wording in current ICAI material*). The point the examiner tests: it is **two years, not one missed dividend**, and once armed, the preference class votes on *every* resolution, not merely on matters affecting preference rights. A tweak: "dividend unpaid for 18 months" → **not yet** triggered.

"Resolutions directly affecting their rights." Even when not in arrears, preference holders always vote on (a) any resolution to wind up the company, and (b) any resolution for repayment or reduction of the preference share capital — because those hit the preference bargain at its core. Their vote value on such matters is proportioned to their paid-up preference capital.

How the proportion is computed (mini-numerical). Sec 47(2) sets a preference shareholder's voting *weight*, when he does vote, in the same proportion as his paid-up preference capital bears to the *total* paid-up equity **plus** preference capital. So if equity paid-up is ₹80 lakh and preference paid-up is ₹20 lakh, the preference class collectively controls $20/100 = 20\%$ of the vote on a matter it is entitled to vote on. *Why this ratio and not one-share-one-vote?* Because votes track economic stake in the residual bargain; a preference holder's stake is measured by capital contributed, and the section keeps the arithmetic proportional across both classes so no class is over- or under-weighted relative to the money it actually put in.

Does the two-year clock reset on part-payment? Exam-hard tweak: paying *part* of the arrears does not disarm the class if a full two years' worth remains unpaid — the trigger is about the *quantum and duration* of default, not a token payment. Conversely, once the company clears the arrears the preference class reverts to its limited voting rights on the next default cycle. The examiner may give "company paid one of the three years' arrears" — still triggered, because two years remain owed.

4.3 Certificate of Shares — Section 46

The share certificate under common seal (if any) is **prima facie evidence** of title. Duplicate certificates fraudulently issued attract heavy penalty. *Why the penalty?* A fake certificate lets a fraudster sell the same shares twice — the deterrent guards the register's integrity.

Prima facie, not conclusive. The subtle point: a certificate is *presumptive* proof, rebuttable by contrary evidence — the **register of members** is the primary legal record of ownership; the certificate is merely the member's portable evidence of what the register says. *Why does this matter?* If a certificate is forged or issued in error, the true position on the register still governs — the company can rectify. A trap treats the certificate as unbeatable title; it isn't.

Dematerialised shares. For shares held in demat form there is no physical certificate; the depository's records are the evidence of title. Certain classes of companies must issue securities only in demat form. *Why?* Paper certificates enabled forgery and double-selling; demat closes that hole entirely — the register-integrity purpose of Sec 46 achieved by technology.

Time-limits for issuing certificates — the 2/6/1 cluster (recall anchor). Under Sec 56, certificates must be delivered within **2 months** of *allotment of shares*, **6 months** of *allotment of debentures*, and **1 month** of *registration of a transfer* (and within 2 months of allotment of *further* shares on a rights/bonus issue). *Why does a certificate even have a deadline?* Because a member with no certificate cannot easily deal with his shares; the deadline forces the company to arm the member with his portable evidence promptly. Failure attracts penalty on the company and officers in default.

Duplicate certificates and the register of renewed/duplicate certificates. A duplicate may be issued where the original is lost/destroyed or defaced, but only after prescribed verification, and the issue must be entered in a **register of renewed and duplicate certificates**. *Why the register and heavy penalty for fraudulent duplicates?* Because a bogus duplicate lets a fraudster sell the same shares twice; the register makes every duplicate traceable and deters the fraud that Sec 46 exists to stop.

4.4 Application of Premium — Section 52

Where shares are issued at a premium, the aggregate premium goes to the **Securities Premium Account**. It may be applied *only* for:

- issuing fully paid **bonus shares**;
- writing off **preliminary expenses**;

- writing off expenses/commission/discount on issue of shares or debentures;
- providing the **premium payable on redemption** of redeemable preference shares or debentures;
- **buy-back** under Sec 68.

Why this closed list? Every permitted use is either capital-like (bonus, buy-back, redemption premium) or a genuine cost of raising the capital. The one thing you may **not** do is pay it out as ordinary dividend — that would return investors' own subscription money to them dressed as profit. Memory hook: securities premium is "capital's cousin," not "profit's sibling."

The narrowed list for certain companies (Sec 52(3)). For companies whose financial statements comply with the notified Accounting Standards (broadly, most operating companies), the securities premium may be applied only for the **first, third, and fourth** purposes above — i.e. **bonus shares, writing off share/debenture issue expenses & commission, and premium on redemption of preference shares or debentures**. Writing off *preliminary expenses* and using premium for *buy-back* are then not available from the premium account for such companies. *Why the split?* The narrower list is even more tightly capital-flavoured; it prevents such companies from quietly consuming the premium reserve on softer items. *Confirm the exact scope against current ICAI material.*

Securities premium is not "free reserves" for dividend and generally not part of "profits available for dividend." Restate the core trap: the account is treated *as if it were paid-up capital* for the purpose of Sec 52's restrictions. So "Can we declare dividend out of the securities premium?" → **No**.

Premium can arise even without cash. Where shares are issued for a **non-cash consideration** (e.g. against acquisition of a business) at a value above face, the excess is still "securities premium" and still locked into the account. *Why?* Because Sec 52 keys off *value received above nominal*, not the *form* (cash or kind) in which it was received — the buffer logic is identical. A trap says "no cash came in, so there is no premium to restrict" — wrong.

A closed list means genuinely closed — no residual "any other business purpose." Because the five permitted uses are exhaustive, a company cannot apply the securities premium to write off *trading* losses, pay *dividends*, fund *ordinary capex*, or absorb *revaluation* deficits. The account behaves like paid-up capital: it can only migrate to another capital-flavoured home (bonus, redemption premium, buy-back) or discharge a true cost of raising capital. Memory anchor: *if the use isn't on the list, it isn't allowed — full stop*.

Premium is booked at allotment, and cannot later be "released." Once credited, the balance cannot be freed back into distributable profit by a mere board decision — releasing it would require, in substance, a reduction of capital under Sec 66 (because it is treated as capital). This is why a company sitting on a large securities premium cannot simply "reclassify" it to pay a special dividend; the examiner may frame this as a disguised return of capital.

4.5 Prohibition on Issue at a Discount — Section 53

Any issue of shares at a discount (below face value) is **void**. Company and every officer in default face penalty; the company must refund with interest. *The one carve-out:* shares issued at a discount to creditors under a **statutory resolution/scheme of reconstruction (Sec 53(2A))** — e.g. debt converted to equity under RBI-directed restructuring. And **sweat equity (Sec 54)** is a separate, lawful non-cash route, not a "discount." *Why so absolute?* Because a discount silently overstates capital — the balance-sheet buffer becomes fictitious.

"Void," not merely "voidable." The examiner distinction: a discount issue is a legal nullity from the start — no valid allotment ever came into existence, so the allottee must return the shares and the company refund the money with interest. Contrast a *procedural* defect elsewhere that might be voidable/curable. *Why "void"?* Because the harm (fictitious capital) is done the instant the shares are recorded at face value against underpaid cash; only complete unwinding fixes it.

Discount vs par vs premium — the reference point is always face (nominal) value. Discount = issue price below face value; premium = above. Market price is irrelevant to Sec 53 — a company may issue at a discount to *market* (e.g. a rights issue priced below the traded price) and that is perfectly legal, because the price is still **at or above face value**. A classic trap conflates "below market" with "at a discount." Only "below face value" engages Sec 53.

The consequence machinery of a void issue. Because a discount issue is void, the remedy is *restitutio in integrum* — the allottee returns the shares and the company **refunds the money with interest** (the Rules/section prescribe the interest rate — *verify current figure*), and the company plus every officer in default face a **penalty**. *Why refund with interest and not merely cancel?* Because the allottee parted with cash on a void allotment; interest compensates for the use of that money and deters companies from trying the manoeuvre "for free."

The Sec 53(2A) carve-out — discount on conversion of debt. The one lawful discount is where shares are issued **at a discount to a company's creditors** when their **debt is converted into shares** under a **statutory resolution or a scheme** (e.g. an RBI-directed strategic debt restructuring). *Why permit it here?* Because the alternative is the company's collapse; converting distressed debt to equity below face value is a rescue, and the creditors themselves (the very people the discount ban protects) are the ones consenting and benefiting. The safeguard is that it happens only under a *supervised statutory scheme*, not at the board's whim. Distinguish sharply from **sweat equity (Sec 54)**, which is a *separate lawful route* for non-cash value, not a "discount" at all.

4.6 Sweat Equity Shares — Section 54

Equity shares issued to **directors or employees** at a discount or for consideration other than cash, for providing **know-how, IP, or value additions**. Conditions:

- Issue authorised by a **special resolution**;
- The resolution specifies number, current market price, consideration, and the class of directors/employees;
- Same rank/limitations/rights as ordinary equity.

Note (post-2017 amendment): The old requirement that sweat equity could **not** be issued "before one year from the date the company was entitled to commence business" was the erstwhile **Section 54(1)(c)**, which was **omitted by the Companies (Amendment) Act, 2017 (w.e.f. 7 May 2018)**. Under current law there is **no one-year waiting period** — a company (notably a start-up) may issue sweat equity from the outset.

Quantitative ceilings (Rules). A company may issue sweat equity in a year up to **15% of existing paid-up equity capital or shares of issue value ₹5 crore, whichever is higher**, and the **overall** sweat equity issued cannot exceed **25% of the paid-up equity capital at any time** (a recognised **start-up** may issue up to **50%** within its early years). Where sweat equity is issued to directors/managerial personnel for non-cash

consideration that does *not* create an identifiable intangible asset, it is expensed. *Verify these percentages and the start-up window against the current Companies (Share Capital and Debentures) Rules — they have been amended.*

Why allow this exception to Sec 53? Because real value *does* flow in — sweat, brains, patents — just not cash. The special resolution and disclosure guard against directors quietly gifting themselves cheap shares under this banner. *Why the ceilings?* The 15%/25% caps stop insiders converting the whole company into cheap self-issued equity (the old one-year waiting period was omitted w.e.f. 7 May 2018, so a start-up can issue from day one).

Sweat equity vs ESOP — don't merge them. Sweat equity is *issued now* as a reward for value *already provided* (know-how/IP); ESOP is an *option granted now to buy later* as an incentive for future service. Sweat equity shares are subject to a **lock-in (typically 3 years)**; ESOP has a vesting period before exercise. Both need a special resolution (ESOP: ordinary for a private company), but the trap is calling a past-value reward an "option" or vice-versa.

Validity window and pricing discipline. The special resolution authorising sweat equity is valid for **12 months** from the date of passing — the issue must be *made within* that window or a fresh resolution is needed. *Why a shelf-life?* Because the market price, the class of eligible persons, and the fairness of the deal all go stale; a two-year-old approval could be used to issue cheap shares on outdated valuations. Where sweat equity is issued for **know-how or IP** (an identifiable intangible), the value is capitalised as an asset; where it is issued to directors/managerial personnel and does **not** create an identifiable asset, the amount is **expensed** in the statement of profit and loss — this accounting fork is itself examinable.

Register and disclosure. The company must maintain a **Register of Sweat Equity Shares (Form SH-3)** and make full disclosure in the **Board's Report** (number issued, price, consideration, persons, and the percentage of post-issue capital). *Why the register + report?* The whole exception to Sec 53 rests on transparency — an independent reader must be able to see that insiders did not quietly gift themselves equity. Remove the disclosure and the exception would become the very abuse it was carved out of.

The lock-in reasoning. Sweat equity shares carry a **lock-in of three years** from allotment (verify current Rules), during which they cannot be transferred. *Why lock them in?* Because the shares reward *value already provided*; a lock-in stops a director from taking cheap shares for "know-how" and immediately dumping them at market for a quick, unearned gain — it forces the recipient to keep skin in the game and aligns him with the value he claims to have added.

4.7 Employee Stock Options (ESOP) — Section 62(1)(b)

A company may offer shares to employees under a scheme of ESOP by a **special resolution** (a private company may use an ordinary resolution). *Why part of Sec 62?* Because giving shares to employees is a form of "further issue" that skips the rights-offer to existing members — so it needs the members' special approval as the price of bypassing pre-emption. (See 4.9.)

Who is an "employee" for ESOP. Includes a permanent employee (in India or abroad) and a director (whole-time or not) — but **excludes** (a) a **promoter or person belonging to the promoter group**, and (b) a **director who, directly or indirectly, holds more than 10% of the outstanding equity** (alone or with relatives/body corporate). *Why exclude promoters and 10%-plus directors?* ESOP exists to align *employees'* incentives; letting promoters help themselves under the ESOP banner would just be self-dealing cheap equity — the very abuse Sec 62 guards against.

Key ESOP mechanics tested: there must be a **minimum vesting period of one year** between grant and vesting; options are **non-transferable** and cannot be pledged; the exercise price is set by the company (subject to accounting norms). No voting/dividend rights attach until the option is exercised and shares are actually allotted.

The four-stage ESOP timeline — label each stage. (1) **Grant** — the company gives the employee the *option* (a right, not shares). (2) **Vesting** — after the *minimum one-year* gap the option *vests* (becomes exercisable); the company may set a longer vesting schedule. (3) **Exercise** — the employee *pays the exercise price* and applies; only now is a *share* allotted. (4) **Allotment** — shares issue, and *only from this point* do voting and dividend rights attach. *Why insert the one-year vesting gap?* Because ESOP rewards *continued service*; a gap forces the employee to stay before the incentive matures — a same-day grant-and-exercise would just be cheap equity, not a retention tool. *Trap:* a question grants and "exercises" on the same day, or attaches voting rights at grant — both wrong.

Employee-side rules and death/disability. The option **lapses if the employee leaves** before vesting (subject to the scheme), but on **death** the options generally **vest immediately** in the legal heirs, and on **permanent disability** they vest in the employee — *why the compassionate exception?* Because the retention rationale is spent once service ends through no choice of the employee. The company may **not vary** the terms of an outstanding ESOP to the *disadvantage* of option-holders once granted, absent their approval — options, once granted, are a protected expectation.

4.8 Issue of Bonus Shares — Section 63

Bonus shares are fully-paid shares given **free** to existing shareholders out of the company's reserves. May be issued out of:

- free reserves;
- securities premium account;
- capital redemption reserve.

Not out of reserves created by revaluation of assets. Conditions: authorised by articles; recommended by Board and approved in general meeting; company not defaulted on debt-securities interest/principal or on statutory dues to employees (PF, gratuity, bonus); partly-paid shares must be made fully paid first; once announced, a bonus issue **cannot be withdrawn**.

Bonus cannot be in lieu of dividend (Sec 63(3)). The company may not issue bonus shares *in place of* a dividend. *Why?* A bonus issue capitalises reserves permanently into the buffer; a dividend is a cash return. Letting a company substitute one for the other would let it dodge the dividend rules (and deny shareholders cash they were led to expect) while pretending to be generous. Keep the two mechanisms in their own lanes.

Why forbid revaluation reserves and why the conditions? A bonus issue converts reserves into capital (capitalisation of profits) — it *strengthens* the buffer, which is fine, but only if the reserves are real. Revaluation "profit" is a paper mark-up, not realised value; letting it become capital would inflate capital on air. The no-default condition stops a company that owes its lenders and workers from playing generous-uncle with shareholders.

Effect on share price and total wealth (why bonus is not "free money"). A bonus issue does not enrich shareholders in aggregate — it merely subdivides the same equity into more shares, so the market price falls proportionately. A 1:1 bonus roughly halves the per-share price; a shareholder's *total* value is unchanged. What actually changed on the balance sheet: **reserves fell, paid-up capital rose by the same amount** —

capital got bigger and more locked (capital can't be distributed as easily as reserves), which is precisely why creditors don't object. Understanding this is what makes the "why light conditions" reasoning click.

Bonus must fit within *authorised* capital — the ceiling that suddenly matters. A bonus issue *increases paid-up capital*, so the company must have enough **un-issued authorised capital** to absorb it; if not, it must first pass an **ordinary resolution under Sec 61 to raise the authorised ceiling** (and file SH-7). This is the one place the otherwise-decoy authorised figure becomes the binding constraint. *Examiner tweak:*

"Company has authorised ₹1 crore, paid-up ₹90 lakh, proposes a 1:4 bonus (₹22.5 lakh)" — impossible without first increasing authorised capital, because ₹90 lakh + ₹22.5 lakh = ₹112.5 lakh exceeds the ₹1 crore ceiling.

Mini-numerical — sourcing a bonus issue. Kappa Ltd has paid-up equity of **₹40,00,000** (4,00,000 shares of ₹10) and reserves: securities premium ₹6,00,000, general (free) reserve ₹18,00,000, revaluation reserve ₹10,00,000, capital redemption reserve ₹4,00,000. It declares a **1:2 bonus** (1 free share for every 2 held). *Work it:* shares to issue = $4,00,000 \div 2 = 2,00,000$; amount to capitalise = $2,00,000 \times ₹10 = ₹20,00,000$. Permissible sources = securities premium ₹6,00,000 + CRR ₹4,00,000 + free reserve ₹18,00,000 = **₹28,00,000 available**; the ₹10,00,000 **revaluation reserve is excluded** (Sec 63). Since ₹28,00,000 $\geq$ ₹20,00,000, the bonus is fundable. *Self-check (buffer test):* reserves fall ₹20,00,000, paid-up capital rises ₹20,00,000 — total buffer unchanged in size but *more locked* (capital is harder to distribute than reserves), which is exactly why creditors don't object and the conditions are light. *Trap:* a candidate who includes the ₹10,00,000 revaluation reserve would wrongly conclude ₹38,00,000 is available and might over-issue.

4.9 Further Issue of Capital — Rights Issue — Section 62

This is the heart of Fair Dealing. Where a company **having a share capital** proposes to increase subscribed capital by issuing further shares, those shares must be offered:

(a) To existing equity shareholders (Rights Issue) in proportion to their paid-up capital, by a letter of offer subject to:

- the offer is open for **not less than 15 days and not more than 30 days**; if not accepted within that window it is deemed declined;
- notice of the offer must be dispatched at least **3 days before** the offer opens;
- the offer must state the shareholder's **right of renunciation** (they may pass the offer to another person);
- after expiry or on decline, the Board may dispose of the unsubscribed shares in a manner **not disadvantageous** to shareholders and the company.

For a private company, periods/notice can be shortened / dispensed with the consent of $\geq 90\%$ of members.

(b) To employees under an ESOP — special resolution (see 4.7).

(c) To any other persons (Preferential Allotment / Private Placement) — if authorised by a **special resolution**, either for cash or other consideration, provided the price is determined by a **registered valuer's** report. *Why the valuer?* Allotting shares to outsiders below fair value is exactly how insiders dilute the rest — an independent valuation blocks the underpricing trick.

Conversion clause (Sec 62(3)): where a term-loan from a government/bank includes a term (approved by special resolution *before* the loan) to convert the loan into shares, the rights-offer rule doesn't apply. *Why?* The dilution was consented to in advance, with eyes open.

Memory hook for Sec **62**: think "6-to-2" — the company turns to (6) its own existing owners *first*, employees, then others — pre-emption *first*, outsiders *last*. Window **15–30 days**: minimum 15 (long enough to decide),

maximum 30 (not so long it stalls fundraising).

When Sec 62 does *not* bite — the boundary of pre-emption. Sec 62 governs an increase in *subscribed* capital by a *further issue of shares*. It therefore does **not** apply to: a **bonus issue** (Sec 63 — no fresh money, everyone gets shares pro-rata anyway); a **conversion of debentures/loans** into shares where the term was approved by special resolution *before* the loan (Sec 62(3)); an **increase of merely authorised** capital (Sec 61 — no shares actually issued yet); or the **redemption** and re-issue mechanics. *Why carve these out?* Because pre-emption exists to stop *dilution by selective fresh issue*; where there is no selective fresh money (bonus), or the dilution was consented to in advance (conversion), or no shares issue at all (authorised increase), the mischief is absent, so the machinery would be pointless friction. A trap forces a rights-offer onto a bonus issue or an authorised-capital increase — neither needs one.

Government/bank loan-conversion (Sec 62(3)) in depth. Where a term loan from the **Government** or a **banking/financial institution** contains a term to convert the loan (or interest) into shares, and that term was approved by a **special resolution before the loan was raised**, the conversion can proceed **without** a fresh rights-offer. If the Government *directs* conversion in the public interest, the terms (and whether they are just) can be tested before the Tribunal. *Why the pre-approval condition?* Because the whole justification for skipping pre-emption is *prior informed consent* — the members knew and agreed to the potential dilution when they approved the loan terms, so re-offering shares at conversion would be redundant.

Renunciation — the feature that makes pre-emption fair AND flexible. A shareholder who can't or won't put in more money is not trapped: he can *renounce* the offer (in whole or part) to a third party, capturing the value of the "right" itself (see the worked value-of-right calculation in Part 5). So pre-emption protects the passive shareholder economically even when he declines. *Why does this matter for the exam?* A trap says the shareholder "loses everything by not subscribing" — false; he can renounce and monetise the right. Unless renounced or subscribed within the window, however, it lapses.

Rights issue vs preferential allotment vs private placement — keep the trio straight.

Route	To whom	Resolution	Pricing
Rights issue 62(1)(a)	Existing equity holders pro-rata	Board (letter of offer)	Company's choice ($\geq$ face value)
Preferential allotment 62(1)(c)	Selected persons (insiders/outside rs)	Special	Registered valuer report
Private placement (Sec 42)	Identified persons, ≤ 200 in a year per kind	Special (offer via PAS-4)	Valuer; money via banking channel only

Sec 42 (private placement mechanics) and Sec 62(1)(c) (authority for a non-rights allotment) often operate *together* for an outsider issue; the examiner tests whether you invoke *both* the special resolution (62) and the PAS-4 / banking-channel / 200-person discipline (42).

Private placement (Sec 42) — the finer discipline the examiner tests as a standalone. A private placement is an offer of securities to a *select group of identified persons* through a **private placement offer-cum-application letter (Form PAS-4)**. Key rules to reproduce: (i) the offer may be made to **not more than 200 persons in a financial year per kind of security** (excluding QIBs and employees under ESOP); (ii) the minimum investment size and the discipline that money must be received **only through the banking channel** (cheque/demand draft/electronic mode) from the applicant's own bank account — **never in cash**; (iii) the company **cannot utilise the money until the return of allotment (PAS-3) is filed**; (iv) allotment

must be completed within **60 days** of receipt of application money, failing which the money is **refunded within 15 days**, and after that with **12% interest**; (v) a company cannot make a *fresh* offer while an earlier offer is pending. *Why so procedural?* Because private placement is the route most open to abuse — quietly parking securities with favoured insiders and recycling their own money — so the law forces identification, a bank-traceable money trail, a hard headcount, and a filing gate before the cash can be touched. Breach converts the "private placement" into a **deemed public offer**, dragging in the entire prospectus regime.

Disposing of the unsubscribed rights — the "not disadvantageous" standard. When a rights offer lapses or is declined, the Board may allot the leftover shares to *anyone* — but only in a manner **not disadvantageous to the shareholders and the company** (Sec 62(1)(a)(iii)). *Why the qualifier?* Because the leftover route is the loophole through which directors could hand cheap shares to allies after engineering a lapse; the "not disadvantageous" test keeps the price and terms fair to the body of members even for the crumbs. A trap allows the Board to dump unsubscribed shares on a director at the *rights price* when the market price is far higher — that is *disadvantageous* and impermissible.

4.10 Alteration of Share Capital — Section 61

A limited company with share capital may, **if authorised by its articles**, by an **ordinary resolution** in general meeting:

- **increase** authorised capital;
- **consolidate and divide** shares into larger denomination (note: consolidation that changes voting % of members needs **Tribunal approval**);
- **convert fully paid shares into stock** and vice-versa;
- **sub-divide** shares into smaller denomination (paid-up proportion unchanged);
- **cancel** shares not taken/agreed to be taken (this is *not* a reduction of capital) — called **diminution**.

Why only an ordinary resolution and no Tribunal? Because none of these returns money to shareholders or shrinks the real buffer — a ₹10 share split into ten ₹1 shares is the same capital in smaller pieces. It's rearranging furniture, not removing it. Contrast Sec 66 reduction (below), which *does* shrink the buffer and therefore *does* need the Tribunal.

The one Tribunal exception inside Sec 61 — consolidation that changes voting %. Normally consolidation is a harmless ordinary-resolution matter, but if consolidating shares into a larger denomination would *alter the proportion of voting rights* between shareholders, Tribunal approval is required. *Why?* Because now it stops being "same capital, bigger pieces" and starts being a Fair-Dealing problem — one group's voting weight shifts against another's. The moment an alteration touches the *balance of power among members*, the law re-inserts a supervisor.

Diminution vs Reduction — the single most-tested distinction (see Part 8). Cancelling shares that were *never taken up* (Sec 61 diminution) removes only *unissued authorised* capital — no shareholder is paid, no real buffer moves — so ordinary resolution, no Tribunal. Cancelling *lost* or *surplus* capital, or paying capital back (Sec 66 reduction), touches capital that was actually contributed — hence Tribunal + creditors.

Notice of alteration — Section 64: file with Registrar in **Form SH-7 within 30 days** of the resolution. *Why 30 days?* The public register must reflect reality quickly so anyone dealing with the company sees the true capital.

Sub-division keeps the paid-up proportion constant — the subtle arithmetic. When a ₹10 share (₹6 paid-up) is sub-divided into ten ₹1 shares, each new share must remain **60% paid-up** (i.e. ₹0.60 paid on each

₹1 share). *Why must the proportion be preserved?* Because sub-division is meant to be *pure re-denomination* — if the paid-up ratio could shift, the company could conjure "fully paid" shares out of partly-paid ones without anyone paying the balance, quietly inflating real paid-up capital or letting a member escape a call. The examiner tests this by asking the paid-up value of each sub-divided share.

Consolidation, conversion into stock, and the "no money moves" thread. Consolidation merges small shares into larger ones; conversion into stock turns fully-paid shares into a fungible "stock" holding (and back). None of these returns cash or changes total capital — which is exactly why an ordinary resolution suffices and the Tribunal stays out. The *only* alteration that pulls in the Tribunal is **consolidation that shifts the voting proportion between members** (a Fair-Dealing problem), because the balance of power among members is the one thing "mere reshuffling" must not silently disturb. Keep the thread: *Sec 61 is the "nobody gets paid, buffer unchanged" section; the instant either fact flips, a different section takes over.*

Increasing authorised capital is the gateway for bonus and large fresh issues. A company cannot issue shares beyond its authorised ceiling; so a bonus issue or a big rights issue may first require an **ordinary resolution under Sec 61 to raise the authorised capital**, followed by an **SH-7 filing within 30 days**. This is the one everyday use of the otherwise-decoy authorised figure — link it back to the capital ladder in Part 1.

4.11 Variation of Shareholders' Rights — Section 48

Where the share capital is divided into different classes, the rights attached to a class may be varied **only**:

- with **written consent of holders of $\geq 3/4$ of that class**, or a **special resolution** passed at a separate meeting of that class; **and**
- if the memorandum/articles provide for such variation (or don't prohibit it).

Protective escape hatch: if the variation would prejudice another class, that other class must also consent. And a **dissenting minority holding $\geq 10\%$** of that class (who did not consent) may apply to the **Tribunal within 21 days** to have the variation cancelled; the Tribunal's decision binds all.

Why $3/4$ + a minority veto route? Class rights are a bargain. Only the class can rewrite its own bargain, and a supermajority ($3/4$) is required so a bare majority can't bully. Yet even a $3/4$ vote might be a controlled block, so a 10% dissenting minority gets a 21-day window to seek Tribunal protection. Fair Dealing with a safety net.

Who counts in the 10%. The 10% is measured on the **issued shares of that class**, and the applicants must be persons who **did not consent to or vote for** the variation. *Why exclude consenters?* The remedy exists to protect those *outvoted*, not those who agreed and later regret it. A trap gives a dissenter holding exactly the threshold or counts consenting shares toward the 10%.

Variation "on the back of" another action. Class rights can be varied indirectly — e.g. a reduction of capital or a scheme that reshapes one class's entitlement. The courts look at *substance*: if the practical effect alters a class's rights, Sec 48 protections are engaged even if the resolution is dressed as something else. *Why?* Otherwise controllers would relabel a rights-strip as a "reorganisation" to dodge class consent — form must not defeat the Fair-Dealing purpose.

Variation vs mere abridgement — the distinction courts draw. Not every act that *affects* a class amounts to a *variation of rights*. The classic principle: issuing further shares of the *same* class, or a bonus that *dilutes* voting power without touching the *rights attached* to each share, is generally treated as affecting the *enjoyment* of rights, **not** a variation of the rights themselves — so Sec 48 is **not** engaged. But changing the *dividend rate*, the *priority*, the *voting entitlement per share*, or the *redemption terms* **is** a variation. *Why the*

line? Because Sec 48 protects the *bundle of rights the share carries*, not the *proportion of the company* a holder happens to enjoy — the latter is protected by pre-emption (Sec 62), not by class consent. A favourite trap calls an ordinary dilution a "variation" to wrongly demand a 3/4 class vote; another calls a genuine rate cut a "mere business decision" to wrongly skip Sec 48.

Where the articles are silent on variation. If the memorandum/articles neither *provide for* nor *prohibit* variation, the class-consent machinery of Sec 48 still applies as the default statutory route — the section supplies the procedure. If the articles **prohibit** variation of a class's rights, that prohibition governs and the rights are effectively entrenched. The examiner tests whether you check the articles first.

4.12 Transfer & Transmission of Securities — Section 56

Transfer = a *voluntary* act — you sell/gift your shares. **Transmission** = *operation of law* — death, insolvency, inheritance; no instrument of transfer needed, only proof (succession certificate, etc.).

Procedure for transfer (Sec 56):

- A proper **instrument of transfer (Form SH-4)**, duly stamped, executed by transferor and transferee, must be delivered to the company **within 60 days** of execution.
- The company must **register** the transfer/transmission and deliver certificates **within 1 month** of receipt (for transfer) / other prescribed periods for allotment (2 months from allotment) / debentures (6 months from allotment).
- Refusal to register must be communicated within 30 days, with reasons; the aggrieved person may appeal to the **Tribunal** (30/60 day windows).

Why the 60-day SH-4 rule and company registration? Because the share register is the legal record of ownership. Uncontrolled transfers or forged instruments could strip a true owner of their shares, so the law channels every transfer through a stamped, executed, time-bound instrument and gives the wrongly-refused transferee a Tribunal remedy. *Why is transmission lighter?* Because no one is "selling" — the law is simply recognising that ownership passed by death or insolvency, so proof, not an instrument, suffices.

Private company vs public company refusal. A **private company's** very definition includes a *restriction on the right to transfer* its shares — so its Board may refuse to register a transfer on grounds permitted by the articles (e.g. pre-emption rights of existing members). Shares of a **public company** are, by contrast, **freely transferable** (Sec 58(2)); the company cannot generally refuse a proper transfer, and a contract for their sale/purchase is enforceable. *Why the asymmetry?* Free transferability is the price a public company pays for public access to capital; a private company's whole character is closely-held, so restricted transfer is intrinsic. The examiner tests whether you apply the *right refusal standard* to the *right company type*.

Appeal timelines under Sec 58/59 (refusal to register). For a **private company** the aggrieved person may appeal to the Tribunal within **30 days** of receiving the refusal notice, or within **60 days** of lodging the transfer if no notice was sent. For a **public company**, within **60 days** of refusal notice or **90 days** of lodgment. **Rectification of register (Sec 59)** is the separate remedy where a name is entered or omitted without sufficient cause. *Verify the exact day-counts in current ICAI material.*

Transmission — the mechanics. On death, the shares vest in the legal representative; on insolvency, in the assignee/official assignee. The person entitled may either **be registered as a member** himself, or **transfer** the shares to another (a transfer *by* a legal representative is valid even though he is not himself a member). The company registers on proof (succession certificate, probate, letters of administration, or, for small

holdings, an indemnity). *Why allow a non-member LR to transfer?* Because forcing the LR to first become a member before selling would be pointless friction over shares he only holds to distribute.

Nomination — Section 72: a holder may nominate a person to whom securities vest on death — bypassing succession disputes. *Why?* To spare families the courtroom for a clear, pre-declared wish. **Nomination overrides a will** for the vesting of the shares (the nominee gets the shares on death regardless of testamentary disposition), though downstream questions of *beneficial* entitlement among heirs can still be litigated. A trap pits a will against a nomination — for *vesting*, the nomination prevails.

Forged transfer — a nullity that cannot pass title. A forged instrument of transfer is **void ab initio**; it conveys nothing, and even a company that innocently registers it and issues a fresh certificate cannot deprive the true owner — the register must be **rectified** and the true owner restored (though an innocent *subsequent* purchaser who relied on the company's certificate may have a claim in damages against the company on an estoppel basis). *Why is forgery treated so absolutely?* Because the entire integrity of the register rests on genuine execution; if a forgery could pass title, no owner would ever be safe. Contrast a *genuine but irregular* transfer, which is merely curable. A trap lets a forged transfer stand because a certificate was issued — it cannot.

Partly-paid shares and the two-party instrument. An instrument transferring **partly-paid** shares needs the transfer to be executed by *both* transferor and transferee (and the company may give the transferee notice and time to object), because the transferee is taking on the *liability for the unpaid calls*. *Why involve the transferee's signature here especially?* Because a transfer of partly-paid shares shifts a *future obligation to pay* onto a new person — the law will not saddle someone with a liability he never agreed to. For fully-paid shares the concern is lighter.

Certificate-delivery deadlines — a cluster the examiner rapid-fires. On **allotment of shares**: within **2 months**; on **allotment of debentures**: within **6 months**; on **registration of a transfer**: within **1 month** of receipt of the instrument. *Why different periods?* Allotment of many shares to the public is a bulk exercise (2 months); a single transfer is quick (1 month); debentures, often issued in large tranches with security formalities, get the longest window (6 months). Memorise them as **2 / 6 / 1**.

4.13 Debentures — Section 71

A **debenture** is a written acknowledgement of debt by the company — includes debenture stock, bonds and any other instrument evidencing a debt, whether or not constituting a charge. It is *borrowing*, not capital: the debenture-holder is a **creditor**, not an owner — no voting rights in the company's general meetings (a debenture cannot carry voting rights, Sec 71(2)).

Debenture vs share — the boundary you must be able to draw.

	Share	Debenture
Holder is	Owner / member	Creditor
Return	Dividend (out of profits, discretionary)	Interest (contractual, payable even in loss)
Voting	Yes (equity)	No (Sec 71(2))
On winding up	Paid last , after creditors	Paid before members
Can be issued at discount?	No (Sec 53)	Yes (debentures may be issued at a discount)
Buy-back / redemption	Sec 68 rules	Redeemed per terms; DRR

Why can a debenture be issued at a discount when a share cannot? Because Sec 53 protects the *capital* buffer; a debenture is debt, not capital, so discounting it doesn't overstate capital — the discount is just the effective interest cost. The examiner loves this asymmetry.

Key rules of Sec 71:

- A company may issue debentures with an option to **convert** into shares (wholly/partly) — but such conversion at issue must be approved by **special resolution**.
- Debentures **cannot carry voting rights**. *Why?* Voting belongs to owners who bear residual risk; a creditor with a fixed claim shouldn't also steer the company.
- Secured debentures may be issued subject to prescribed terms (e.g. redemption period, charge over assets).
- Where debentures are offered to the **public or to more than 500 persons**, the company **must appoint a Debenture Trustee** before the issue and must create a **Debenture Redemption Reserve (DRR)** out of profits available for dividend (as per Rules — thresholds/percentages have been amended over time; **confirm the current DRR requirement in ICAI material / the Companies (Share Capital and Debentures) Rules**).

Types of debentures (labels the examiner uses). Secured vs unsecured (naked); redeemable vs (formerly) perpetual/irredeemable; convertible (fully/partly — FCD/PCD) vs non-convertible (NCD); registered (transfer by SH-4/instrument) vs bearer (transfer by mere delivery, interest by coupon). *Why know these?* A question may hinge on a single attribute — e.g. a *bearer* debenture transfers by delivery and is a negotiable instrument, whereas a *registered* debenture needs an instrument and entry in the register.

Conversion terms — approved before, priced fairly. Where debentures carry a conversion option, the terms (ratio, price, timing, and whether wholly or partly convertible) must be fixed and approved by **special resolution** at or before the issue, not bolted on later. *Why up-front?* Because conversion dilutes existing equity holders on maturity — they are entitled to know and consent to the dilution *in advance*, the same eyes-open logic as the Sec 62(3) loan-conversion clause. A **compulsorily** convertible debenture (CCD) is treated closer to equity for some regulatory purposes, while an **optionally** convertible one leaves the choice to the holder — a distinction FEMA and accounting care about.

"Perpetual" debentures are possible; "irredeemable preference shares" are not — don't cross the wires. A debenture may, in principle, be made **perpetual/irredeemable** (redeemable only on winding up or a remote contingency), because it is *debt* and the company keeps paying interest — the creditor bargained for that. But **preference shares** *cannot* be irredeemable (Sec 55), because a perpetual *priority claim ranking ahead of equity* would be perpetual quasi-capital bleeding the company. *Why the asymmetry?* Debt sits *outside* the capital buffer and is contractually serviced; a perpetual preference sits *inside* the equity stack and would distort it forever. The examiner deliberately swaps these to see if you apply "irredeemable is banned" to the wrong instrument.

Debenture stock. "Debenture stock" is a *consolidated, fractionalised* form of borrowing (like stock is to shares) — a single fungible debt divisible into any amount, rather than fixed-denomination debentures. It changes the *form* of holding, not the creditor status.

Debenture Trustee — the watchdog (Sec 71(5)–(7)):

- A person cannot be appointed trustee if he is disqualified (e.g. beneficially holds shares, is indebted to the company, or has given a guarantee for the company's debentures) — the trustee must be **independent**.
- Duty: **protect the interests of debenture-holders** and redress their grievances.

- If the trustee believes the company's assets are insufficient to redeem, it may petition the **Tribunal**, which can restrict the company from incurring further liabilities.
- On default in redemption/interest, holders/trustee may apply to the Tribunal, which may **direct redemption forthwith** with interest.
- The company must **pay interest and redeem** per the terms; default triggers Tribunal enforcement and penalties.

Why the trustee + DRR architecture? Return to the Part-1 villain: thousands of small public lenders cannot each police the company. The **trustee** is one independent, empowered agent enforcing the security for all. The **DRR** forces the company to set aside profits *while it can*, so cash actually exists at redemption time instead of a hopeful promise. Watchdog (enforcement) + reserve (funds) = the two things scattered creditors lack.

Who can — and cannot — be a Debenture Trustee (independence in detail). A person is **disqualified** from being appointed trustee if he (i) **beneficially holds shares** in the company; (ii) is **beneficially entitled to moneys** owed by the company (other than as trustee for the debenture-holders); (iii) has entered into **guarantees** in respect of principal/interest on the debentures; (iv) is a **relative/employee/officer** of the company or otherwise interested in a way that compromises independence. *Why so many disqualifications?* Because a watchdog on the company's payroll is no watchdog — every disqualification removes a channel through which the company could capture or soften the trustee. **Consent** of the person to act as trustee must be obtained, and the appointment named in the offer document. *Duties:* satisfy itself the offer document has no misleading matter, that the assets are sufficient to discharge the debentures, that interest/redemption are paid on time, and to **call a meeting of debenture-holders** and **petition the Tribunal** where the company's assets look insufficient.

The trustee's escalation ladder. If the trustee believes assets are insufficient, it may petition the **Tribunal**, which can **restrain the company from incurring further liabilities**; on actual default, the trustee/holders may seek an order for **redemption forthwith with interest**; and directors who default may face penalty. *Why a graduated ladder?* Because the harm ranges from "warning signs" (insufficiency) to "actual default" — each rung gives a proportionate remedy, catching trouble before the money is gone rather than only after.

Debenture Redemption Reserve (DRR) — a portion of profits ring-fenced solely for redeeming debentures; cannot be used for any other purpose. Capital-maintenance logic applied to debt: don't distribute what you'll owe.

DRR + DRI, and the 2019 exemptions (verify). Two devices work together: the **DRR** (a *reserve*, i.e. an appropriation of profit, historically 10% of the value of outstanding debentures for those required to maintain it) and the **Debenture Redemption Investment / DRI** (an *actual* deposit/investment of a percentage — historically ~15% — of debentures maturing during the next financial year, in specified liquid instruments by 30 April). The 2019 amendment **removed the DRR requirement for listed companies, and for NBFCs and HFCs** (whether their debentures are issued publicly or privately), on the logic that they are already regulated by SEBI/RBI; **unlisted companies (other than NBFCs/HFCs)** still maintain DRR. *Because these thresholds and exemptions were amended, always state them as "verify current ICAI material / the Companies (Share Capital and Debentures) Rules" in an exam.*

DRI mini-numerical (illustrative — verify current percentages). Suppose an *unlisted non-NBFC* company has **₹100 crore** of debentures outstanding, of which **₹30 crore** mature in the next financial year, and the Rules require a DRR of 10% of outstanding debentures and a DRI of 15% of debentures maturing next year. *Work it:* DRR to be maintained (a reserve out of profits) = $10\% \times ₹100 \text{ crore} = ₹10 \text{ crore}$; DRI (an actual

deposit/investment in specified instruments, to be made **on or before 30 April** of that year) = $15\% \times ₹30 \text{ crore} = ₹4.5 \text{ crore}$. *Self-check on the two devices:* the ₹10 crore DRR merely stops that profit from leaving as dividend; the ₹4.5 crore DRI is *cash actually parked* against the coming year's maturities. They are additive purposes, not alternatives — one guards the profit, the other guards the liquidity. *Because the 10%/15% figures and the exemptions have been amended, flag them as "verify current ICAI material" in any answer.*

Secured debentures create a charge — the trustee usually holds it. Where debentures are *secured*, a **charge** is created over the company's assets and must be **registered with the Registrar (Sec 77) within 30 days**; the **debenture trustee** typically holds that charge for all holders collectively. *Why route the security through the trustee?* Because a charge is only worth as much as the person able to enforce it — one professional trustee holding a registered charge for 10,000 holders can foreclose; 10,000 individuals each holding a fractional unregistered claim could not. Security (the charge) + enforcement (the trustee) + registration (public notice under Sec 77) = a real, provable, enforceable protection. An unsecured ("naked") debenture-holder ranks merely as an ordinary unsecured creditor on winding up.

Debenture cannot be issued to buy the company's own shares circuitously. Watch a scenario where debenture proceeds are round-tripped to fund a purchase of the company's own shares — this collides with the buy-back and financial-assistance restrictions; the debenture label does not launder a prohibited return of capital. Substance over form, again.

4.14 Buy-Back of Securities — Section 68 (cross-reference)

Buy-back = a company purchasing its own shares, extinguishing them. It *returns capital to shareholders*, so it is fenced heavily (this is the flip side of Sec 53's discount ban — here the danger is capital *leaving*):

- Sources: **free reserves, securities premium account, or proceeds of a fresh issue** (never out of an earlier issue of the same kind).
- Ceilings: $\leq 25\%$ of **paid-up capital + free reserves** in a year (for equity in a financial year, $\leq 25\%$ of paid-up equity); post-buy-back **debt-to-capital-and-free-reserves ratio $\leq 2:1$** .
- Authorisation: **Board** (up to 10% of paid-up equity + free reserves) or **special resolution** (up to 25%).
- After buy-back the company must **not make a further issue of the same kind of shares within 6 months** (except bonus/discharge of obligations).
- Amount equal to nominal value of shares bought back must go to the **Capital Redemption Reserve (Sec 69)**.
- **No buy-back within one year** of the previous buy-back.

Why every ceiling and lock? Buy-back is a legitimate way to return surplus cash — but unrestrained, it becomes a tool to prop up share price, hand controllers an exit, or hollow out the creditor buffer. The 25% cap, 2:1 debt ratio, CRR transfer, and cooling-off periods each plug one abuse. (Full treatment in the Buy-Back / capital restructuring chapter.)

Reading the two "25%" ceilings correctly (a notorious trap). There are *two* ceilings and they use *different bases*: (i) the **overall value** of the buy-back must be $\leq 25\%$ of **paid-up capital + free reserves**; (ii) the **number of equity shares** bought back in a financial year must be $\leq 25\%$ of **paid-up equity capital alone**. Candidates blur the two bases. Both ceilings — plus the 2:1 debt ratio and the "shares fully paid-up" condition — must be satisfied *simultaneously*. (See the worked buy-back example in Part 5.)

Other conditions clustered for recall: shares bought back must be **fully paid-up**; buy-back completed within **1 year** of the authorising resolution; all bought-back securities **physically destroyed/extinguished**

within 7 days of completion; a company cannot buy back through any subsidiary or investment company, or if in default of deposits/interest/dividend/loan repayment (default curable). *Why destroy within 7 days?* So the shares can't be quietly re-issued — extinguishment is what makes buy-back a genuine *return of capital* rather than a temporary parking of shares.

How the buy-back is carried out — the permitted routes. A buy-back may be effected (i) from **existing shareholders on a proportionate basis** (a tender offer — fair to all, no favouritism), (ii) from the **open market**, or (iii) from **employees** holding shares under a sweat-equity or ESOP scheme. *Why restrict the routes?* Because an *unrestricted*, off-market purchase from a chosen holder would let controllers hand one insider a premium exit while excluding everyone else — the proportionate/tender default is the Fair-Dealing safeguard bolted onto the capital-maintenance ceilings. Note what is **banned outright**: a buy-back through a **subsidiary** (including its own subsidiary) or through any **investment company**, and buy-back **from the open market by a company using borrowed funds in a way that breaches the ratio**.

Prohibited circumstances (Sec 70). A company must **not** buy back its shares if it is in **default** in repayment of deposits or interest, redemption of debentures/preference shares, payment of dividend, or repayment of a term loan to a bank/financial institution — **unless the default has been remedied and three years have elapsed** (default is *curable*, but with a cooling wait). Nor can it buy back while it is in default of filing annual returns/financial statements or the annual accounts. *Why bar a defaulting company?* Because returning capital to shareholders while stiffing creditors is the precise inversion of the priority order — creditors must be made whole before owners get anything back.

The 6-month re-issue bar and the 1-year gap — two different clocks. After a buy-back the company cannot make a **further issue of the same kind of shares for 6 months** (except a bonus issue or discharge of subsisting obligations like conversion of warrants/ESOP), *and* it cannot undertake **another buy-back for 1 year** from the previous one. *Why two clocks?* The 6-month bar stops a company from buying back (to prop up price) and immediately re-issuing (to raise the cash back) — a pump that would make the whole exercise a sham. The 1-year gap stops serial buy-backs from draining the buffer in rapid succession.

4.15 Reduction of Share Capital — Section 66 (cross-reference)

The most dangerous move — deliberately *shrinking* capital. Requires:

- a **special resolution**, and
- confirmation by the **Tribunal (NCLT)**, which must give **creditors an opportunity to object** and be satisfied their claims are secured/settled.

Forms: extinguish/reduce liability on unpaid capital, cancel lost capital, or pay off surplus capital. *Why Tribunal + creditor hearing?* Because reduction directly removes the buffer creditors relied on — so the state (Tribunal) and the creditors themselves must both sign off. This is Capital Maintenance at its most explicit. (Full treatment in the reduction/restructuring chapter.)

Three faces of reduction, mapped to the buffer. (1) *Extinguishing/reducing unpaid liability* on partly-paid shares — the company gives up its right to call the uncalled amount; the potential buffer shrinks. (2) *Cancelling lost capital* — writing off capital already gone in losses so the balance sheet tells the truth (no cash leaves, but the nominal buffer is admitted to be smaller). (3) *Paying off surplus/excess capital* — actual cash goes back to shareholders; the buffer physically shrinks. All three need the Tribunal; face (3) is the one creditors fight hardest because real money leaves. **No confirmation is needed to the extent a creditor consents or is secured** — the protection is *for* creditors, so a satisfied creditor removes the obstacle.

A company in arrears on deposits cannot reduce. Sec 66 bars a reduction while the company is **in arrears in repayment of any deposits or the interest thereon** — the same "creditors first" logic as the buy-back bar. *Why single out deposits?* Because depositors are typically small, unsecured, and exactly the class the buffer exists to protect; letting a company return capital to owners while defaulting to depositors would invert the priority order at its most vulnerable point.

The Tribunal order must be filed, and creditors are individually heard. The Tribunal, before confirming, settles a **list of creditors** entitled to object; any creditor whose debt is not discharged or secured may object, and the Tribunal may dispense with consent only where the debt is secured or provided for. Once confirmed, the order (and the minute of reduced capital) is filed with the Registrar and the reduced figure becomes the company's capital. *Why the individual-creditor list?* Because reduction is the one action that directly removes the buffer, the law does not rely on a blanket process — it identifies each creditor and gives each a personal right to be heard. This individual-hearing feature is what most sharply distinguishes Sec 66 from every "lighter" capital action.

Reduction vs buy-back vs redemption — the three "capital out" routes side by side. All three return value toward shareholders, but the safeguards scale with how exposed creditors are left:

Route	Buffer effect	Replacement	Tribunal?	Creditor hearing?
Redemption of preference (Sec 55)	Redeemed shares leave	CRR or fresh issue replaces instantly	No	No
Buy-back (Sec 68)	Shares extinguished, buffer shrinks	CRR gets nominal value; caps limit size	No	No — but ceilings + no-default gate
Reduction (Sec 66)	Buffer shrinks, nothing replaces it	None	Yes	Yes — individual list

Read the table top to bottom: the more completely the buffer is *replaced*, the lighter the supervision; reduction sits at the bottom precisely because *nothing* refills the hole.

4.16 Calls, Forfeiture, Surrender and Lien — the Life-Cycle of an Unpaid Share

These are governed largely by the **articles (Table F is the model set)** rather than by a single numbered section, but the examiner tests them as the everyday mechanics of *partly-paid* capital — and each maps cleanly onto the two lamps.

- **Calls.** A **call** is the company's demand that members pay some or all of the *uncalled* amount on their partly-paid shares. Calls must be made **bona fide, for the benefit of the company, and on a uniform basis** among shareholders of the same class — *why uniform?* Because selectively calling only some members would be a Fair-Dealing breach, loading the burden unequally. A member who fails to pay a call on the due date may be charged **interest** and, ultimately, have the shares **forfeited**.
- **Forfeiture.** Forfeiture is the company **taking back** shares on which a call is unpaid, extinguishing the defaulter's membership. It is only valid if (i) the **articles authorise** it, (ii) a proper **notice** demanding payment (with interest) and warning of forfeiture is served, giving not less than the prescribed days, and (iii) a **Board resolution** actually forfeits after default continues. *Why the strict procedure?* Because forfeiture strips a member of property without paying him — a drastic power that must be exercised strictly, in good faith, and for non-payment of calls *only* (not to punish a member for other reasons). *Capital angle:* forfeited shares may be **re-issued**, but not at a price that leaves the total received (original

amount paid by the defaulter + re-issue price) **below the paid-up/face value** — otherwise the re-issue would sneak past the Sec 53 discount ban.

- **Surrender.** Surrender is the member **voluntarily giving up** partly-paid shares. It is permitted only in narrow circumstances (broadly, where forfeiture would otherwise be justified) — *why the limit?* Because an unrestricted surrender would be a back-door **reduction of capital** dodging Sec 66; the law tolerates it only where it merely short-circuits a forfeiture that could lawfully have happened anyway.
- **Lien.** A company's **lien** is its right to retain, and ultimately sell, a member's shares as security for money he owes the company (typically unpaid calls). It is the company's self-help security over its own shares. *Why allow it?* So the company can recover what a member owes without suing — the lien attaches to the very shares whose calls are unpaid, aligning the security with the debt.

The unifying thread: calls, forfeiture, surrender and lien are all machinery for turning *promised* (uncalled) capital into *real* paid-up capital — i.e. for closing the gap between nominal and real capital that Part 1 opened. Every safeguard on them (uniformity, strict notice, no discount re-issue, no disguised reduction) is one of the two lamps applied to that machinery.

5. Applied Scenarios — Reasoning to the Legal Outcome

Scenario 1 — The cheap allotment to a director's cousin. Alpha Ltd's board issues 1,00,000 new equity shares to the CFO's cousin at ₹10 (face value) when the shares trade at ₹150, calling it a "strategic investment." Existing shareholders get nothing. *Analysis:* This is a "further issue" under **Sec 62**. Because it goes to an outsider (not existing members pro-rata, not employees), it is a **preferential allotment under Sec 62(1)(c)** — requiring a **special resolution** and pricing per a **registered valuer's report**. Issuing at ₹10 against a ₹150 fair value with no valuation and no special resolution is invalid; it unfairly dilutes existing members. *Outcome:* allotment challengeable; the Fair-Dealing principle (independent valuation blocks underpricing) is violated.

Scenario 2 — Bonus shares from a revaluation reserve. Beta Ltd revalues its land upward by ₹5 crore, creating a revaluation reserve, and proposes to issue bonus shares out of it. *Analysis:* **Sec 63** expressly forbids bonus issues out of **revaluation reserves** — that "profit" is an unrealised paper mark-up. Capitalising it would inflate capital on air, misleading creditors. *Outcome:* the bonus issue is impermissible; Beta may use only free reserves, securities premium, or CRR — and only if not in default on its debt-securities or statutory employee dues.

Scenario 3 — Preference shareholders lose their dividend. Gamma Ltd has not paid the fixed dividend on its preference shares for the last two and a half years, and now the equity majority proposes to pass a resolution altering the preference shares' repayment terms. *Analysis:* Two provisions fire. Under **Sec 47**, because the preference dividend is unpaid for **≥ 2 years**, the preference shareholders now vote on **every** resolution — they are no longer silent. Under **Sec 48**, varying their class rights needs their own **3/4 consent / special resolution**, and a dissenting **10%** minority may approach the **Tribunal within 21 days**. *Outcome:* the equity majority cannot unilaterally rewrite preference rights; the broken bargain has armed the preference class.

Scenario 4 — Public debenture issue with no watchdog. Delta Ltd raises ₹40 crore by issuing debentures to 3,000 retail investors, appoints no trustee, and creates no reserve. *Analysis:* Offering debentures to more than 500 persons triggers the mandatory **Debenture Trustee (Sec 71)** appointment *before* issue and a **Debenture Redemption Reserve**. Skipping both leaves 3,000 scattered creditors with no enforcement agent

and no ring-fenced redemption fund — precisely the abuse Sec 71 prevents. *Outcome*: the issue is non-compliant; the company and officers face penalty, and investors are left dangerously exposed.

Scenario 5 — Transfer instrument lodged late. Rohan sells shares to Meera; the executed SH-4 is delivered to the company 75 days after execution. *Analysis*: **Sec 56** requires the instrument within **60 days**. Lodged late, the company may refuse to register on that instrument (a fresh/rectified instrument or Tribunal recourse may be needed). *Outcome*: Meera's legal title on the register is jeopardised by the missed 60-day window — the timeline exists to keep the ownership register accurate and forgery-resistant.

Scenario 6 — Redemption of preference shares (worked numerical). Epsilon Ltd has **10,000 8% redeemable preference shares of ₹100 each** (fully paid) due for redemption at a **premium of 10%**. It decides to redeem partly from profits and partly from a fresh issue. It makes a **fresh issue of 4,000 equity shares of ₹100 each at par** for the purpose, and uses profits for the rest. Its Securities Premium Account has ₹80,000. *Work it through*:

- Face value to be redeemed = $10,000 \times ₹100 = ₹10,00,000$.
- Premium on redemption = $10\% \times ₹10,00,000 = ₹1,00,000$ (provided out of securities premium; ₹80,000 available, balance ₹20,000 out of profits — *for a company under Sec 52(3), premium on redemption is a permitted use of securities premium*).
- Fresh issue proceeds available for redemption (nominal) = $4,000 \times ₹100 = ₹4,00,000$.
- Portion of face value redeemed **out of profits** = $₹10,00,000 - ₹4,00,000 = ₹6,00,000$.
- **CRR transfer required** = the nominal amount redeemed out of profits = **₹6,00,000** (Sec 55: an amount equal to the nominal value redeemed otherwise than out of a fresh issue must go to CRR).

Self-check (buffer test): Capital left the buffer via redemption of ₹10,00,000 nominal. Replacements: fresh capital raised ₹4,00,000 + CRR created ₹6,00,000 = **₹10,00,000**. The buffer is fully restored — which is exactly *why* Sec 55 needs no Tribunal. *Examiner tweak*: if the fresh issue had been made **at a premium**, only the **nominal (₹4,00,000)** counts as "proceeds of a fresh issue" for reducing the CRR figure — the premium portion does **not** reduce the CRR obligation. And only **fully paid** preference shares could be redeemed in the first place.

Scenario 7 — Buy-back ceilings (worked numerical, exam-hard). Zeta Ltd's balance sheet shows: **Paid-up equity capital ₹50,00,000** (5,00,000 shares of ₹10), **free reserves ₹30,00,000**, **securities premium ₹20,00,000**, and **total secured + unsecured debt ₹1,80,00,000**. It proposes a buy-back by a **special resolution**. *Test each ceiling*:

- **Value ceiling (25% of paid-up capital + free reserves)**: $25\% \times (₹50,00,000 + ₹30,00,000) = ₹20,00,000$ maximum spend. (Note: the base for this ceiling is capital + free reserves; securities premium counts within "free reserves"/eligible sources for *funding* but the standard exam base for the 25% value cap is paid-up capital + free reserves — *verify the exact base treatment of securities premium in current ICAI material*.)
- **Quantity ceiling (25% of paid-up equity in a financial year)**: $25\% \times 5,00,000 = 1,25,000$ shares maximum.
- **Post-buy-back debt-equity ratio $\leq 2:1$** : after spending, say, ₹20,00,000, equity funds = $(₹50,00,000 + ₹30,00,000 + ₹20,00,000 \text{ premium}) - ₹20,00,000 \text{ used} = ₹80,00,000$; debt stays ₹1,80,00,000 → ratio = $1,80,00,000 / 80,00,000 = 2.25 : 1$. This **exceeds 2:1**, so the buy-back at the value ceiling is **not permitted** as structured.

- **Maximum buy-back that keeps debt ≤ 2:1:** post-buy-back owned funds must be ≥ ₹90,00,000 (so that $1,80,00,000 / 90,00,000 = 2:1$). Pre-buy-back owned funds = ₹1,00,00,000; so the maximum reduction of owned funds = **₹10,00,000**.

Self-check / binding constraint: the value cap allows ₹20,00,000 and the quantity cap allows 1,25,000 shares, **but** the 2:1 debt ratio caps the spend at **₹10,00,000** ($\approx 1,00,000$ shares at ₹10, ignoring premium paid). **The binding limit is the tightest of all constraints** — here the debt-equity ratio. *Lesson:* always compute *all* ceilings and take the **minimum**; the examiner sets the debt high precisely so the debt-ratio, not the 25%, binds. Remember also to transfer the nominal value of shares bought back to **CRR (Sec 69)** and extinguish the shares within **7 days**.

Scenario 8 — Value of a right in a rights issue (worked numerical). Theta Ltd's shares trade at **₹200 (cum-rights)**. It announces a rights issue of **1 new share for every 4 held**, priced at **₹100**. A shareholder holds 400 shares and asks what his "right" is worth if he renounces. *Work it through:*

- Theoretical ex-rights price (TERP) = $[(4 \times ₹200) + (1 \times ₹100)] / (4 + 1) = (₹800 + ₹100) / 5 = ₹180$.
- Value of one right (per new share) = ex-rights price – issue price = ₹180 – ₹100 = **₹80**, i.e. **₹20 per existing share held** (since 4 existing shares carry the right to 1 new share: $₹80 / 4 = ₹20$).
- Shareholder holding 400 shares is entitled to **100 new shares**; if he renounces, the right is worth $\approx 100 \times ₹80 = ₹8,000$.

Self-check (wealth is preserved): If he **subscribes** — before: $400 \times ₹200 = ₹80,000$; pays $100 \times ₹100 = ₹10,000$; after: $500 \times ₹180 = ₹90,000 = ₹80,000 + ₹10,000$. Neutral. If he **renounces** — keeps $400 \times ₹180 = ₹72,000$ in shares + ₹8,000 for the rights = **₹80,000**. Also neutral. *This is the whole point of pre-emption:* the rights issue neither enriches nor dilutes the existing shareholder **provided** he either subscribes or renounces. He only loses value if he lets the right **lapse** unused — which is why Sec 62 forces the letter of offer and the renunciation option. *Examiner tweak:* if he does nothing and the right lapses, he silently transfers $\approx ₹8,000$ of value to whoever takes up the unsubscribed shares — the harm the section is designed to make him aware of.

Scenario 9 — Sweat equity ceiling (worked numerical, easy-to-medium). Iota Ltd has existing paid-up equity of **₹8,00,00,000** (i.e. ₹8 crore). During the year it wants to issue sweat equity to its two whole-time directors. *Apply the annual ceiling* — "15% of existing paid-up equity or shares of issue value ₹5 crore, whichever is higher": $15\% \times ₹8 \text{ crore} = ₹1.2 \text{ crore}$; the higher of ₹1.2 crore and ₹5 crore is **₹5 crore**, so Iota may issue up to **₹5 crore** of sweat equity this year. *Now the overall cap* — " $\leq 25\%$ of paid-up equity at any time": $25\% \times ₹8 \text{ crore} = ₹2 \text{ crore}$ cumulative outstanding sweat equity. *Reconcile the tension:* the annual ceiling permits ₹5 crore, but the overall ceiling permits only ₹2 crore of sweat equity to exist at any time — so the **binding limit is ₹2 crore**, not ₹5 crore. *Lesson (mirrors the buy-back logic):* compute *both* the annual and the overall caps and take the **tighter**; here the overall 25% cap binds because the company is small relative to the ₹5-crore annual floor. *Examiner tweak:* had Iota been a **recognised start-up**, the overall cap rises to **50%** (₹4 crore) within the permitted early window — *verify the current start-up percentage and window in the Rules*. All figures flagged: *verify current Companies (Share Capital and Debentures) Rules*.

Scenario 10 — Class-rights variation with a dissenting minority (reasoning + threshold numerical, medium-hard). Lambda Ltd has **2,00,000 preference shares** forming one class. The company proposes to reduce their fixed dividend rate from 10% to 7% — a clear variation of class rights. At a separate class meeting, holders of **1,55,000** preference shares vote in favour, **45,000** against. *Step 1 — was the variation validly passed?* Sec 48 needs $\geq 3/4$ of the class consenting; $1,55,000 / 2,00,000 = 77.5\% \geq 75\%$, so the variation **passes**. *Step 2 — can the dissenters still fight?* A dissenting minority holding $\geq 10\%$ of the issued

shares of the class, who did **not** consent, may apply to the **Tribunal within 21 days**. The dissenters hold $45,000 / 2,00,000 = 22.5\% \geq 10\%$, so they are **eligible** to apply, and the Tribunal's decision binds all. *Self-check on the two thresholds*: they are *different gates* — 75% is the *pass* threshold (a supermajority so a bare majority can't bully), 10% is the *challenge* threshold (a floor low enough that a genuine outvoted minority can still be heard). Both are satisfied here, so the variation is passed *but* remains open to a 21-day Tribunal challenge. *Examiner tweak 1*: if only 1,45,000 (72.5%) had voted in favour, the variation **fails at Step 1** — no need to reach Sec 48's minority route. *Examiner tweak 2*: if the dissenters held only 15,000 (7.5%), they would be **below the 10% floor** and could not invoke the Tribunal remedy, even though they dissented. *Examiner tweak 3*: if the variation also prejudices the **equity** class, that class must **also** consent — a second, independent gate.

Scenario 11 — Diminution vs reduction, and the creditor's veto (reasoning, medium). Mu Ltd's authorised capital is ₹1 crore; it has issued ₹70 lakh and **₹15 lakh of shares were offered but never taken up**. Separately, ₹12 lakh of its paid-up capital has been **lost in accumulated trading losses**, and it also wishes to **return ₹8 lakh of genuinely surplus cash** to shareholders. Which actions need the Tribunal? *Analyse each against the master question "did real contributed capital move / did the buffer shrink?"*: (a) Cancelling the **₹15 lakh never taken up** is **diminution under Sec 61** — it removes only *unissued* capital; no member is paid, no real buffer moves → **ordinary resolution, no Tribunal**. (b) Writing off the **₹12 lakh lost capital** is a **reduction under Sec 66** (cancelling capital unrepresented by available assets) — the nominal buffer is being admitted to be smaller, so → **special resolution + Tribunal**, though *no cash leaves* so creditors rarely object. (c) Returning the **₹8 lakh surplus cash** is a **reduction under Sec 66** where *real money physically leaves* → **special resolution + Tribunal + creditor hearing**, and this is the face creditors fight hardest. *Self-check*: three superficially similar "cancellations," three different answers, sorted purely by whether *contributed* capital moves and whether *cash* leaves. *Examiner tweak*: to the extent a creditor **consents** or is **secured/paid off**, the Tribunal need not require its objection to be resolved — because the whole protection exists *for* creditors, a satisfied creditor removes the obstacle.

Scenario 12 — Convertible debenture across issue, interest, voting and winding-up (exam-hard, integrated). Nu Ltd issues **₹50 crore of partly-convertible debentures (PCDs) at a 2% discount**, carrying 9% interest, to the public (6,000 investors), with a term (approved by special resolution *before* the issue) that 40% of each debenture converts into equity after three years. In year 2 the company makes a loss. A debenture-holder claims (i) the discount issue is void, (ii) she is entitled to vote at the AGM, and (iii) no interest is payable in a loss year. *Resolve each*: (i) **Discount is valid** — Sec 53's ban is on *shares*, not debentures; a debenture may be issued at a discount because it is debt, and the discount is merely the effective interest cost — nominal capital is not overstated. (ii) **No vote** — Sec 71(2): a debenture carries **no voting rights**; the converted portion will carry votes **only after** conversion into shares in year 3, and even then only on the 40% that becomes equity. (iii) **Interest is payable even in a loss year** — interest is a **contractual debt**, not a dividend out of profits; the loss is irrelevant, and non-payment triggers the trustee/Tribunal enforcement route (redemption forthwith with interest). *Also required for compliance*: because the offer exceeds **500 persons**, Nu Ltd must have appointed an **independent Debenture Trustee before the issue** and (if an unlisted non-NBFC) maintain **DRR/DRI**. *Self-check via the share-vs-debenture table*: every one of the holder's three claims fails precisely on a line of that table — discount allowed, no voting, interest contractual — which is why drilling that table pays off. *Examiner tweak*: on winding up, the **60% non-converting portion** ranks as a creditor **ahead of** all members, while the **40% converted** portion, now equity, ranks **last** — the same instrument splits across the creditor/owner line at conversion.

Scenario 13 — Reduction of capital, all three faces in one balance sheet (worked numerical, hard).

Omega Ltd's capital: **1,00,000 equity shares of ₹10 each, ₹8 called-up and paid-up** (i.e. ₹2 uncalled), plus accumulated losses of **₹3,00,000** on the assets side that no longer correspond to any real asset, and **₹1,50,000 of genuinely surplus cash** the Board wants to return. It proposes a single Sec 66 scheme: (a) extinguish the **uncalled ₹2 per share**, (b) write off the **₹3,00,000 lost capital**, and (c) **pay back ₹1,50,000 surplus**. Compute the effect on paid-up capital: pre-scheme paid-up = $1,00,000 \times ₹8 = ₹8,00,000$. Face (a) reduces liability on uncalled capital — it lowers the nominal/called-up ceiling from ₹10 to ₹8 per share but **does not change paid-up** (already ₹8 paid), so paid-up stays ₹8,00,000; it merely relieves members of a future ₹2,00,000 call. Face (b) writes off ₹3,00,000: paid-up falls to $₹8,00,000 - ₹3,00,000 = ₹5,00,000$ (no cash moves — the balance sheet just stops overstating capital). Face (c) returns ₹1,50,000 cash: paid-up falls further to **₹3,50,000** and ₹1,50,000 physically leaves. Self-check against the buffer: only face (c) removes real value — that is the one creditors fight; faces (a) and (b) shrink only the nominal/potential buffer, so creditors object less, but **all three still need special resolution + Tribunal** because each touches contributed or callable capital (unlike Sec 61 diminution of never-issued shares). Examiner tweak: if a creditor's debt is **fully secured**, the Tribunal may confirm faces (a)–(c) **without that creditor's consent**, because the protection exists only for exposed creditors.

Scenario 14 — The authorised-capital ceiling ambush on a bonus (worked numerical, medium). Sigma

Ltd: **authorised capital ₹1,00,00,000, paid-up equity ₹85,00,000** (8,50,000 shares of ₹10), free reserves ₹60,00,000. It proposes a **1:2 bonus** (one free share for every two held). Compute the bonus: new shares = $8,50,000 \div 2 = 4,25,000$; capital to be added = $4,25,000 \times ₹10 = ₹42,50,000$. Test the authorised ceiling: post-bonus paid-up = $₹85,00,000 + ₹42,50,000 = ₹1,27,50,000$, which **exceeds the ₹1,00,00,000 authorised ceiling by ₹27,50,000**. Outcome: Sigma **cannot** issue the bonus as proposed until it **first increases authorised capital under Sec 61** (ordinary resolution) to at least ₹1,27,50,000 and files **SH-7 within 30 days**; free reserves being ample ($₹60,00,000 \geq ₹42,50,000$) is *necessary but not sufficient*. Self-check: two independent gates must both open — (i) enough distributable reserves to capitalise (satisfied), and (ii) enough authorised headroom to hold the new capital (failed) — and the examiner sets the reserves comfortably high so the authorised ceiling, not the reserves, is the binding constraint. This is the mirror image of the buy-back trap: there the decoy was a large authorised figure; here the authorised figure is the real constraint precisely because a bonus raises paid-up capital.

Scenario 15 — ESOP to the wrong person (reasoning, medium). Pi Ltd's board proposes ESOP grants to

four people: (a) Mr A, a permanent employee working at the company's overseas branch; (b) Ms B, a non-executive director holding **3%** of the equity; (c) Mr C, a **promoter** who is also an executive director; and (d) Mr D, an independent director holding **12%** of the equity together with his spouse. Apply the Sec 62 ESOP eligibility filter: (a) **Eligible** — a permanent employee in India or abroad qualifies. (b) **Eligible** — a director (whole-time or not) qualifies, and 3% is below the 10% bar. (c) **Not eligible** — a **promoter** (or promoter-group person) is excluded outright, even though he is also an executive director; the promoter label defeats the employee route. (d) **Not eligible** — a director holding **more than 10%** of equity (here 12%, counting the spouse's holding) is excluded. Why exclude C and D? ESOP aligns employees' incentives; letting a promoter or a 10%-plus director grant himself cheap equity is self-dealing, the very abuse Sec 62's pre-emption guards against. Examiner tweak: had D held exactly **10%**, he would still be **eligible** — the bar is "more than 10%," so exactly 10% squeaks through.

Scenario 16 — Private placement that tips into a public offer (reasoning, hard). Rho Ltd makes a private

placement of equity to **190 identified persons** in a financial year, receives some application money in **cash** from a few of them, and, before allotting, launches a *second* private placement of the *same* equity to **20**

more persons while the first is still open. *Diagnose each breach under Sec 42:* (i) the headcount is **per kind per financial year** — $190 + 20 = 210 > 200$, breaching the cap; (ii) money **must come through the banking channel**, so the **cash** receipts are impermissible; (iii) a company **cannot float a fresh offer while an earlier one is pending**. *Consequence:* the breaches can render it a **deemed public offer**, dragging in the entire **prospectus regime** (Sec 23–26), with the company and officers liable to refund with interest and to penalties. *Self-check:* three independent Sec 42 disciplines — headcount, banking channel, one-offer-at-a-time — each violated; any *one* can convert a "private" placement into a public one. *Examiner tweak:* **QIBs and ESOP employees are excluded from the 200 count**, so if 30 of the offerees were QIBs, the count would be 180 and the headcount limb would *not* be breached — but the cash-receipt and pending-offer breaches would still stand.

6. Procedure / Compliance Summary

Rights Issue (Sec 62(1)(a)) — flow:

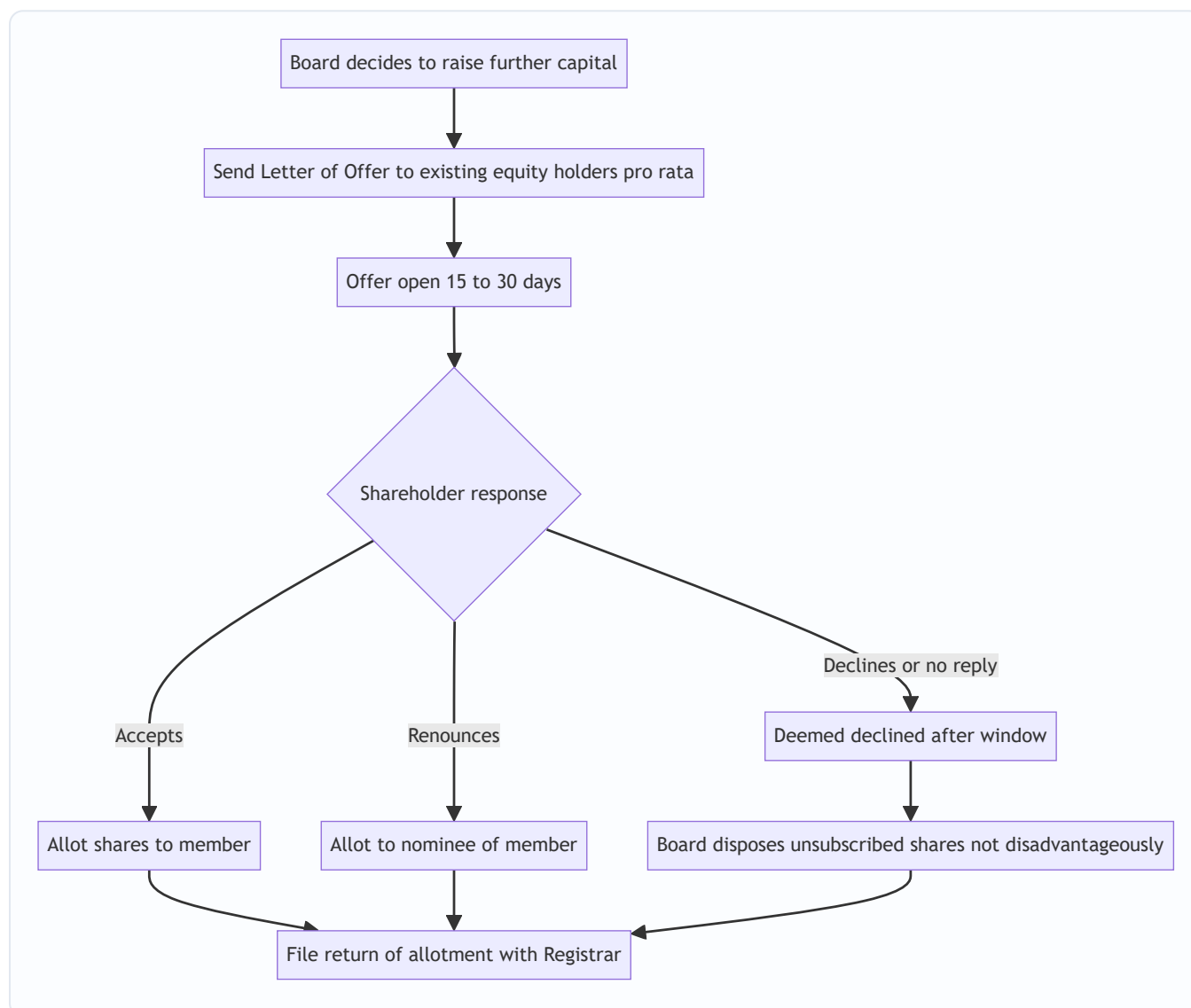


Figure 6.1 — The rights-issue decision path: existing owners first, outsiders only with what's left.

Deciding which route a "further issue" takes (Sec 62):

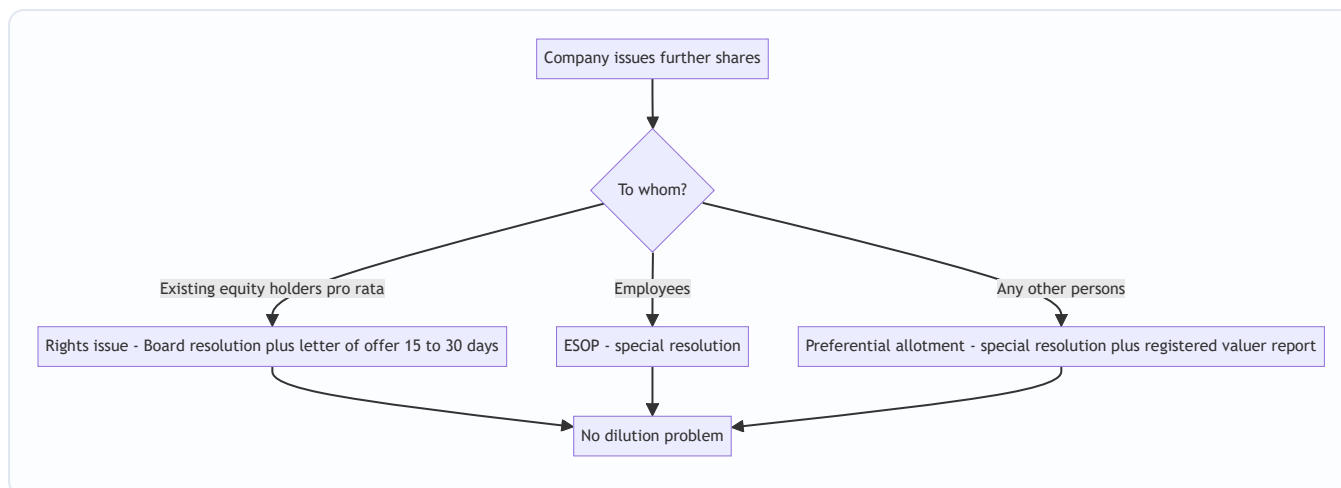
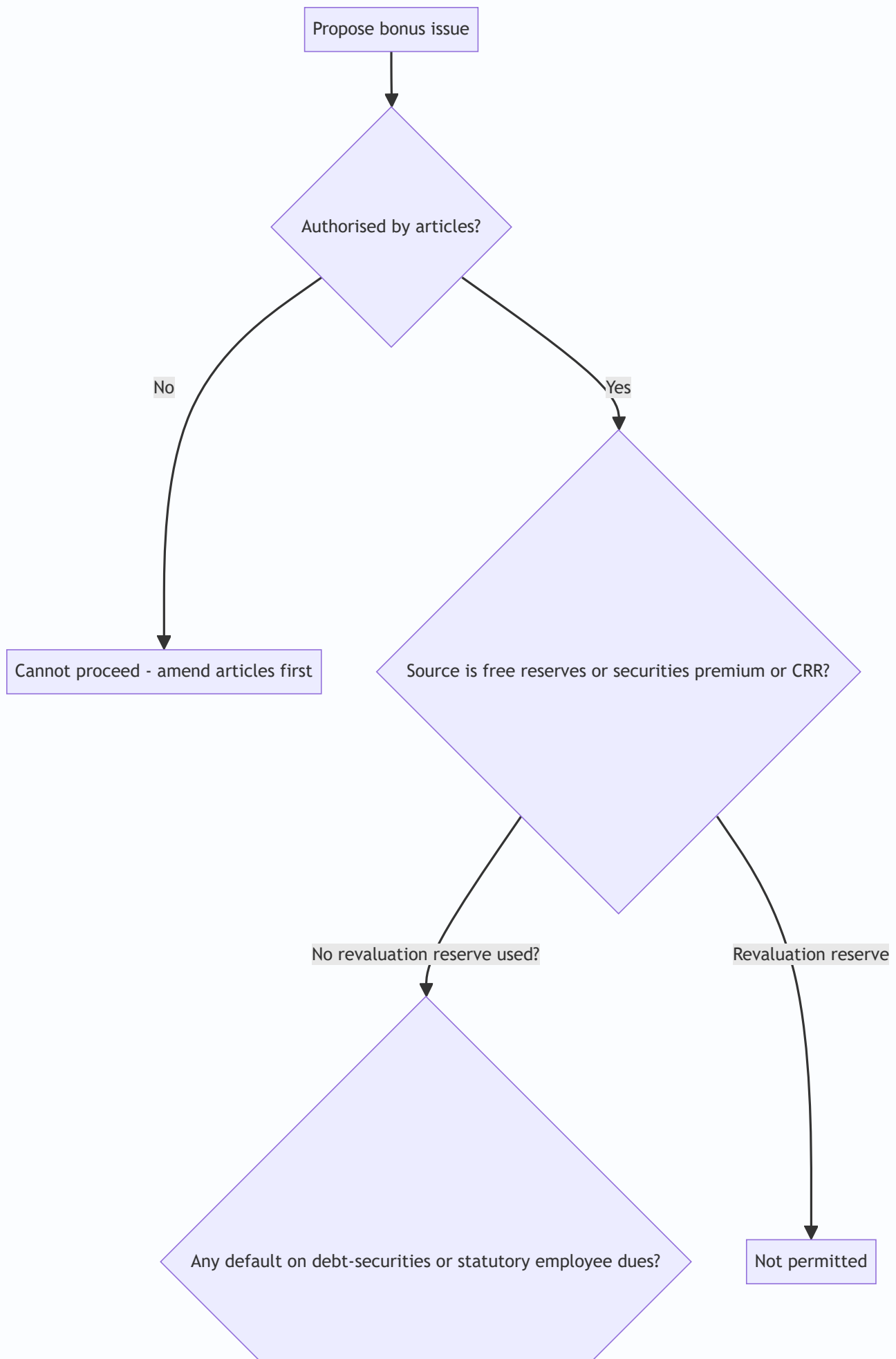


Figure 6.2 — Every further issue must pass through one of three gates; the outsider gate is guarded hardest.

Deposit-style eligibility test for issuing bonus shares (Sec 63):



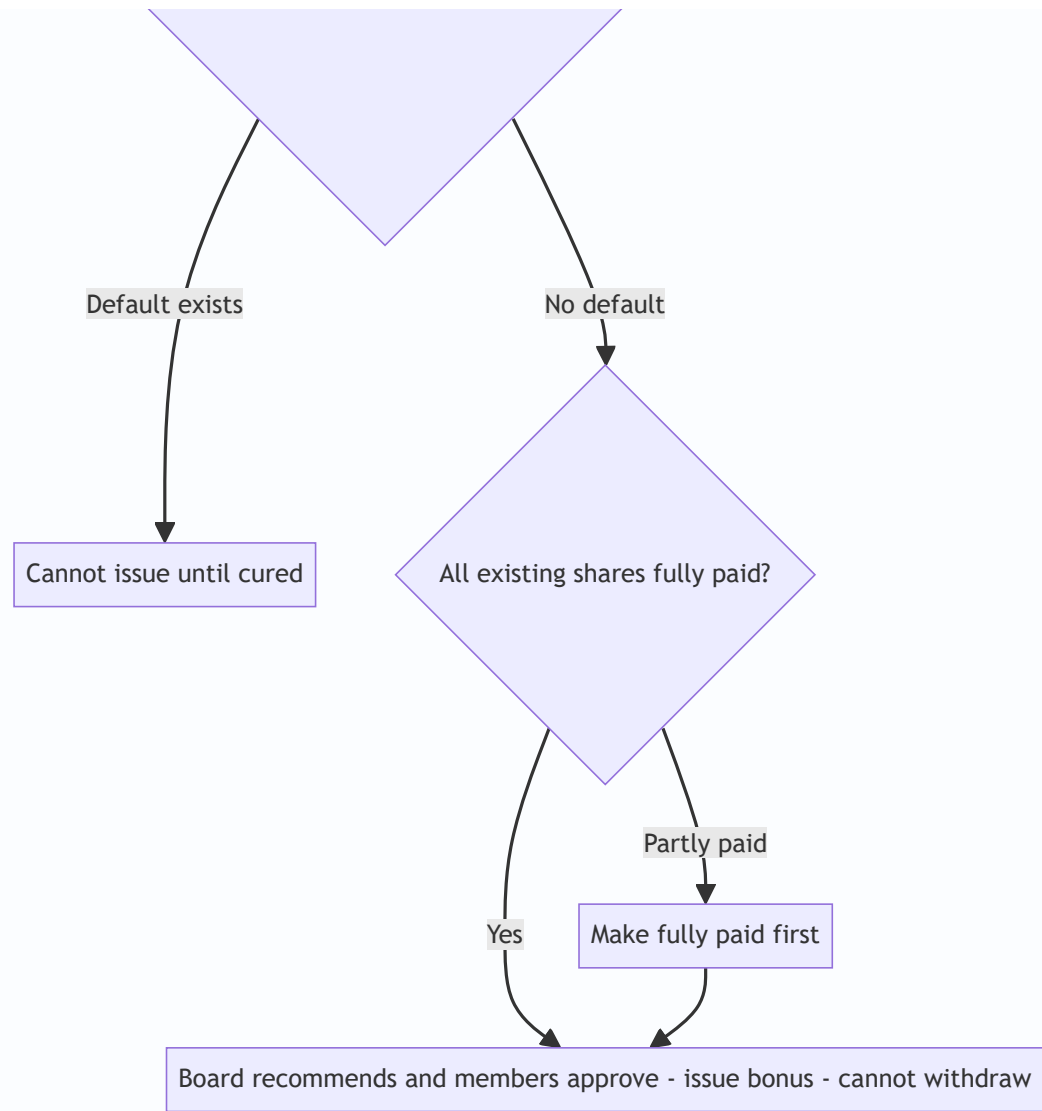


Figure 6.3 — The bonus-issue gate: real reserves, no defaults, fully-paid base.

Which action needs which resolution and whether the Tribunal is involved:

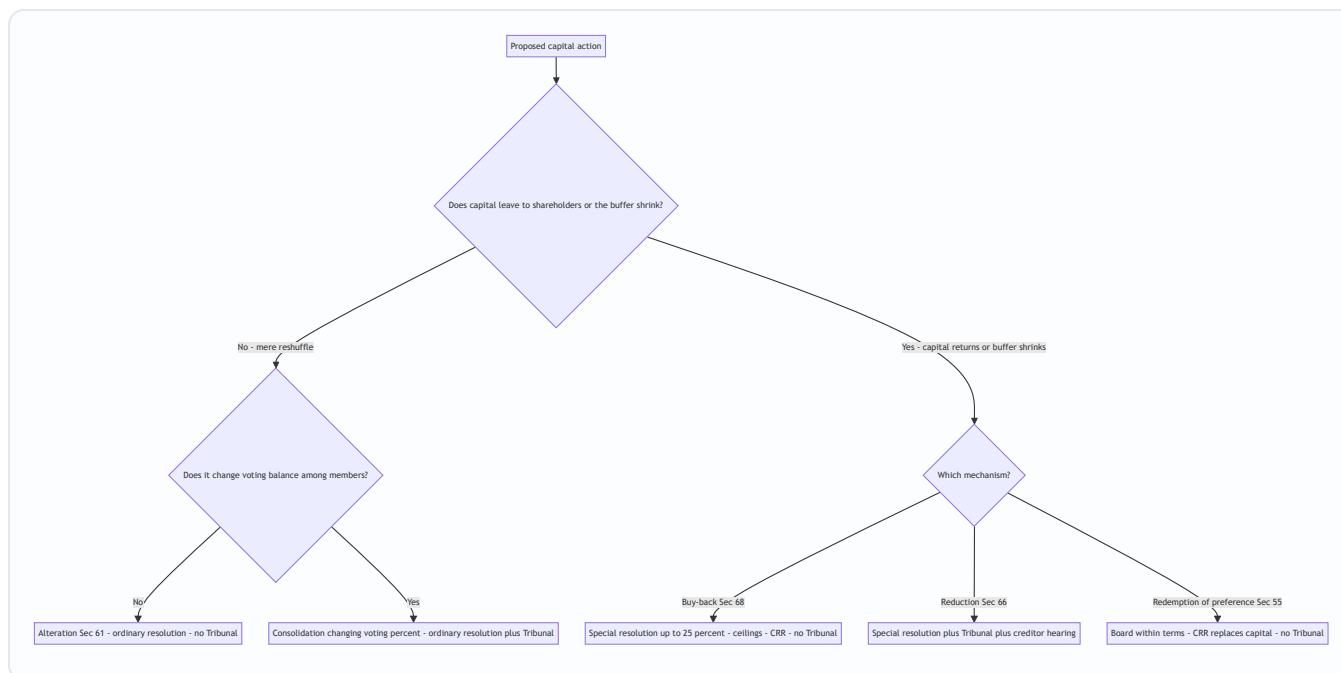


Figure 6.4 — Sort any capital action by asking first whether the buffer shrinks, then by mechanism.

Deciding the debenture trustee and DRR obligation (Sec 71):

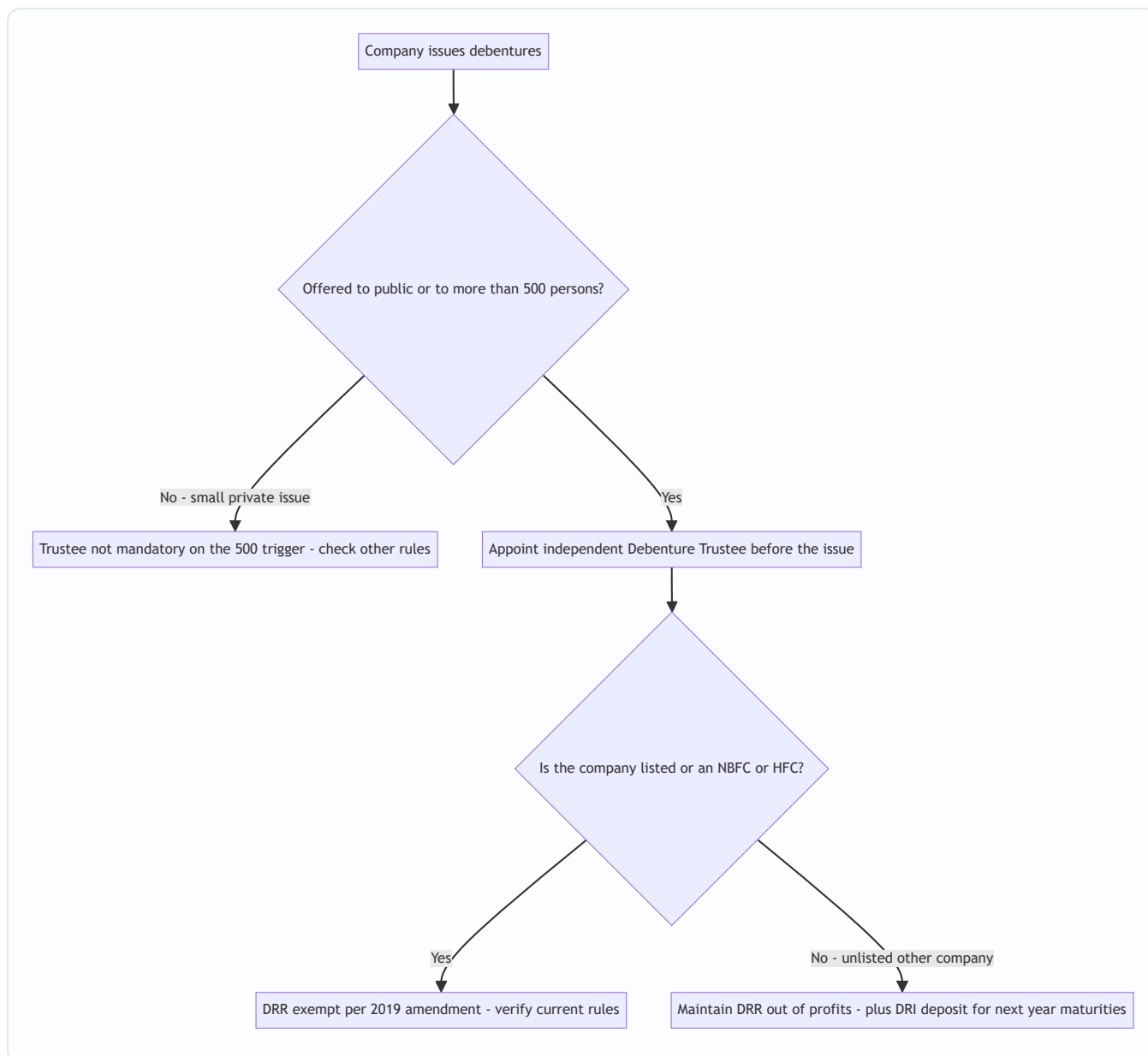


Figure 6.5 — The public-debenture safeguards fork on the 500-person trigger and then on the issuer's regulated status.

Redeeming preference shares — which source, and does CRR apply (Sec 55):

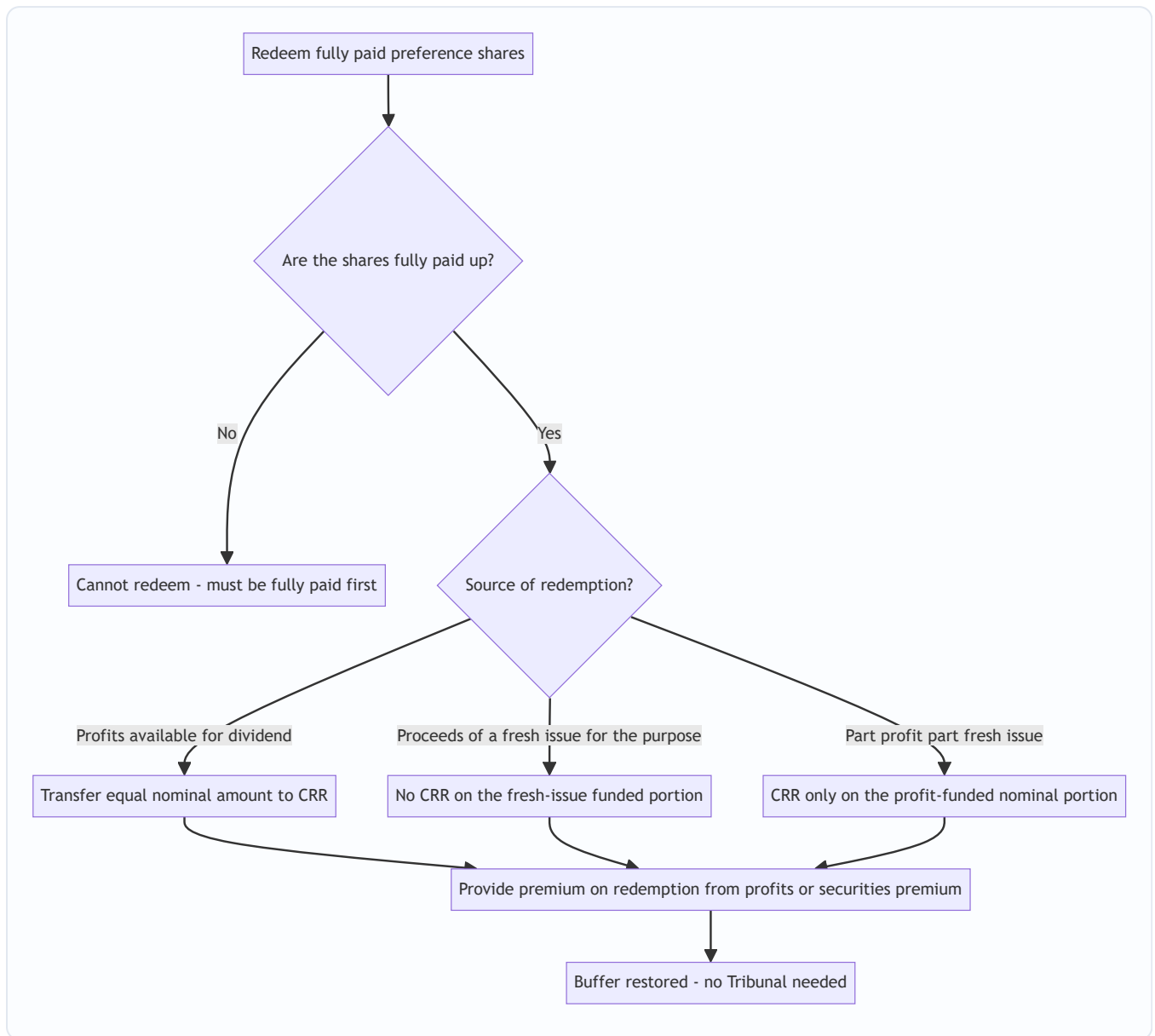


Figure 6.6 — Redemption always leaves the buffer whole because CRR or fresh capital replaces the redeemed shares rupee for rupee.

Routing an ownership change — transfer versus transmission (Sec 56):

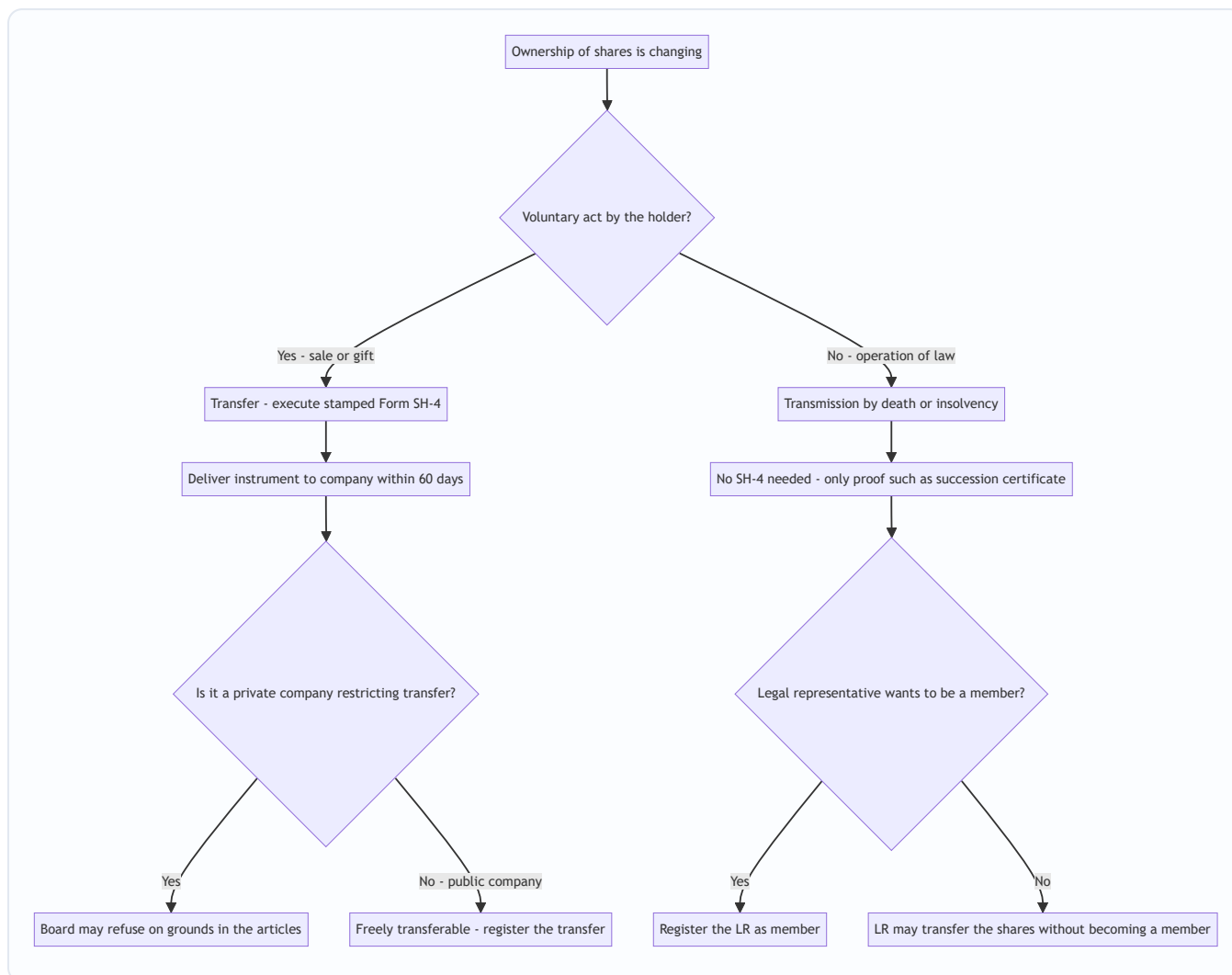


Figure 6.7 — A voluntary sale runs the SH-4 transfer track while death or insolvency runs the lighter proof-only transmission track.

Key forms & timelines:

Event	Form	Timeline
Alteration of capital (Sec 61/64)	SH-7	Within 30 days of resolution
Instrument of transfer (Sec 56)	SH-4	Deliver within 60 days of execution
Register transfer & deliver certificate	—	Within 1 month of receipt
Deliver certificate on allotment (shares)	—	Within 2 months of allotment
Deliver certificate on allotment (debentures)	—	Within 6 months of allotment
Rights offer open period	—	15 to 30 days
Rights offer — dispatch of notice before opening	—	At least 3 days before opening
Sec 48 dissenting-minority Tribunal appeal	—	Within 21 days ; minority $\geq$ 10% of class
Refusal to register transfer — communicate	—	Within 30 days of receipt
Buy-back — extinguish/destroy securities	—	Within 7 days of completion
Buy-back — complete after authorising resolution	—	Within 1 year
Return of allotment (Sec 39)	PAS-3	Within 30 days (confirm in Rules)

7. Connections to Other Chapters & Laws

- **Prospectus & Allotment (Chapter on Sec 23–42):** how shares/debentures are *offered* to the public (prospectus, private placement PAS-4, return of allotment PAS-3) precedes and feeds the capital rules here.
- **Buy-back (Sec 68) & Reduction (Sec 66):** the "capital *leaving*" side, cross-referenced in 4.14–4.15; both are pure Capital-Maintenance chapters.
- **Dividend (Sec 123–127):** dividend can be paid only out of profits, never capital — the same maintenance principle; securities premium and CRR are *not* free for dividend. Note the crossover: bonus shares cannot be issued *in lieu* of dividend (Sec 63(3)).
- **Charges (Sec 77–87):** secured debentures create charges that must be registered — links to Sec 71 secured debentures; a debenture trustee typically holds that charge for all holders.
- **Deposits (Sec 73–76):** debentures vs deposits — a convertible/secured debenture (or one listed and compliant) may be excluded from "deposit"; watch the boundary, since mis-classifying a debenture as a deposit brings in an entirely different (harsher) compliance regime.
- **Meetings & Resolutions (Sec 100–117):** ordinary vs special resolution thresholds power almost every action here (alteration = ordinary; sweat equity, preferential allotment, ESOP, reduction, conversion = special). Special = $\geq$ 3/4 majority of those voting.
- **Registered Valuer (Sec 247):** the valuer whose report prices preferential allotments and sweat equity — an independent-valuation gate that recurs across the Act.
- **Oppression & Mismanagement (Sec 241–242):** an unfair allotment or a rights-strip that Sec 48/62 didn't catch can still be attacked as oppression of the minority — the residual Fair-Dealing backstop.
- **SEBI (ICDR) Regulations & LODR:** for listed companies, SEBI rules overlay the Companies Act on rights issues, preferential allotments and buy-backs (and DRR exemptions for listed issuers).

- **Winding up / Liquidation (IBC & Sec 327-ish priority):** the whole "buffer" metaphor cashes out here — on liquidation, secured creditors and the trustee's charge rank first, unsecured creditors (naked debenture-holders, depositors) next, **preference shareholders before equity**, and equity **last**. Every capital-maintenance rule in this chapter is really about protecting the people *ahead of* the shareholders in this queue.
- **Accounting Standards / Ind AS:** the *narrowed* securities-premium list (Sec 52(3)), the *expense-vs-capitalise* fork for sweat equity, and the ESOP fair-value charge all sit on accounting rules — the law and the accounting standard interlock, and a question may test the accounting consequence of a legal event.
- **Directors' duties (Sec 166) & related-party transactions (Sec 188):** a cheap preferential allotment to an insider or an unfair buy-back is not only a Sec 62/68 breach but also a breach of directors' fiduciary duty and possibly a related-party transaction needing separate approval — layered liability.
- **Foreign investment (FEMA / FDI):** issue and transfer of shares/debentures to non-residents carry pricing-guideline and reporting overlays; a valuer's report under Sec 62(1)(c) often must also satisfy FEMA pricing — flag the overlay, don't compute it.

8. Traps & Examiner Tricks

- **Alteration (Sec 61) vs Reduction (Sec 66):** the classic trap. *Cancellation of unissued/untaken shares (diminution)* under Sec 61 is **not** a reduction and needs **no Tribunal** — only an ordinary resolution. True reduction (Sec 66) needs special resolution + **Tribunal** + **creditor hearing**. Ask: *did money go back to shareholders / did the buffer shrink?* If no → alteration; if yes → reduction.
- **Redemption of preference (Sec 55) is not a reduction (Sec 66):** no Tribunal, because CRR or fresh-issue proceeds *replace* the redeemed capital instantly. Only *fully paid* preference shares can be redeemed.
- **Discount (Sec 53) vs Sweat Equity (Sec 54):** sweat equity *looks* like a discount but is lawful because non-cash value flows in. Don't call sweat equity "void."
- **"Below market" is not "at a discount":** Sec 53 measures against **face value**, not market price. A rights issue priced below the market price but above face value is perfectly legal.
- **Securities premium is NOT free profit:** examiners love "can premium be used to pay dividend?" — **No**. Only the closed Sec 52 list (narrowed further by Sec 52(3) for AS-compliant companies).
- **Sec 47 two-year trigger:** preference shareholders get *full* voting rights only after dividend unpaid **two years or more** — not on the first missed dividend, and "18 months" does not trigger it.
- **Cumulative is the default:** if the terms are silent, preference shares are cumulative — a skipped dividend must still be paid later. A trap says silence means non-cumulative.
- **Rights issue window is 15–30 days, minimum 15.** A trap answer says "at least 30." Also the offer must mention **renunciation**, and lapse (not renunciation) is what forfeits the shareholder's value.
- **Sec 48 minority:** the dissenting minority threshold is **≥ 10%** of the class and the appeal window is **21 days** — measured on issued shares of that class, and only those who did **not** consent. Don't confuse with the 3/4 consent needed to *pass* the variation.
- **Preference shares must be redeemable within 20 years** (infrastructure exception) — irredeemable preference shares are **prohibited** (Sec 55). A trap offers "perpetual preference shares."
- **Debentures carry no voting rights (Sec 71(2)):** a convertible debenture gains voting rights only *after conversion into shares*, not before. And debentures **may** be issued at a discount (unlike shares).

- **Bonus shares cannot be issued from revaluation reserve, cannot be withdrawn once announced, and cannot be in lieu of dividend** (Sec 63).
- **Buy-back — compute ALL ceilings and take the minimum:** value cap (25% of paid-up capital + free reserves), quantity cap (25% of paid-up equity, different base), and the post-buy-back **2:1 debt-equity** ratio. The examiner sets the numbers so the debt ratio, not the 25%, is the binding constraint. Shares must be fully paid; extinguish within 7 days; one-year gap; CRR transfer.
- **Private company relaxations follow one rule — "relax member-protections, never creditor-protections":** Sec 43 & 47 (kinds/voting) can be excluded by a private company's MOA/AOA; Sec 62 rights-offer periods can be shortened with 90% consent; ESOP by ordinary resolution. But it can never issue at a discount or reduce capital without the Tribunal. Watch the "private company" flag.
- **Public vs private on transfer refusal:** a public company's shares are *freely transferable* (Sec 58); a private company *restricts* transfer by definition. Applying the wrong refusal standard to the wrong company type is a favourite trap.
- **Transfer vs Transmission:** transfer needs SH-4 (voluntary); transmission needs only proof (by law — death/insolvency). A legal representative can *transfer* without first becoming a member. Examiners swap the definitions.
- **Nomination overrides a will** for the *vesting* of shares on death (Sec 72). A trap pits a later will against an earlier nomination — the nomination governs vesting.
- **DRR / trustee trigger:** appointment of a Debenture Trustee is mandatory when debentures are offered to the **public or > 500 persons**, and the trustee must be **appointed before** the issue and must be **independent** (no shareholding in / indebtedness to the company). DRR has been *exempted* for listed companies and NBFCs/HFCs since 2019 — quote as "verify current Rules."
- **Authorised vs paid-up capital — the decoy in every numerical:** ceilings for buy-back (25%), sweat equity (15%/25%), and the DVR cap are computed on **paid-up equity**, *never* on authorised capital. The examiner plants a huge authorised figure to tempt the wrong base. Only a **bonus issue** genuinely tests the authorised ceiling (because paid-up rises and must stay within authorised).
- **"Proceeds of a fresh issue" for redemption means nominal only:** when the fresh issue funding a preference redemption is made at a premium, the **premium does not reduce the CRR** obligation — only the face value counts as capital replacement. And the fresh issue must be made *for the purpose of redemption*.
- **Take the minimum of all caps — twice over:** both buy-back (value cap vs quantity cap vs 2:1 debt ratio) *and* sweat equity (annual 15%/₹5cr-higher-of cap vs overall 25% cap) require computing every ceiling and choosing the tightest. Reporting the *larger* figure is the classic error.
- **Securities premium can arise on a non-cash issue** and cannot be "released" to distributable profit without, in substance, a Sec 66 reduction. A trap says "no cash, no premium" or lets the board reclassify premium to fund a special dividend.
- **Private placement (Sec 42) headcount is 200 per kind, per financial year** (excluding QIBs and ESOP employees), money **only through banking channel**, and funds **frozen until PAS-3 is filed**. Breach makes it a **deemed public offer**. A trap counts across kinds or across years, or allows cash.
- **Unsubscribed rights shares must be disposed of "not disadvantageously":** the Board cannot dump the leftover on a director at the rights price when the market price is higher — that is disadvantageous to members.

- **Sweat equity has a 12-month resolution shelf-life and a 3-year lock-in** (verify): the approval goes stale after a year and the shares can't be flipped for three. A trap uses a two-year-old resolution or lets a director sell immediately.
- **Secured debentures need a charge registered under Sec 77 within 30 days**; an unsecured "naked" debenture-holder is just an ordinary unsecured creditor on winding up. A trap treats every debenture-holder as secured.
- **Interest on debentures is payable even in a loss year** — it is contractual debt, not a dividend out of profits. A trap withholds interest "because the company made a loss."
- **DRR (a reserve) and DRI (an actual deposit) are additive, not alternatives**: the DRR ring-fences profit; the DRI (by 30 April, in specified instruments) parks real cash for the coming year's maturities. A trap treats maintaining one as satisfying the other.

9. First-Principles Recap

Two lamps light the whole chapter:

1. **Capital Maintenance** — capital must not leak back to shareholders and betray creditors. Hence: no discount (53), premium locked (52), preference redeemable with CRR (55), bonus only from real reserves (63), buy-back capped with CRR (68/69), reduction only under the Tribunal (66), DRR for debentures (71). Every one of these is "keep the buffer honest."
2. **Fair Dealing / Equality** — no control-group may enrich itself at another's expense. Hence: rights issue pre-emption (62), valuer-priced preferential allotment (62), class-consent for variation with a minority veto (48), full voting for defaulted preference (47), special resolution for sweat equity/ESOP (54, 62).

Every section number is just an address for one of these two ideas plugging one specific hole. Ask of any provision: *is this stopping capital from leaking out, or stopping one group from cheating another?* You will place it correctly every time.

The master decision-question for any capital problem. When a scenario lands, run this cascade: (1) *Is capital coming in or going out?* In → discount/premium/valuer rules (52/53/54/62). Out → maintenance rules (55/63/66/68). (2) *Does the buffer actually shrink, or is it replaced?* Shrinks and unreplaced → Tribunal (66). Replaced by CRR/fresh issue → no Tribunal (55). Merely reshuffled → ordinary resolution (61). (3) *Who is the victim?* Creditor → maintenance; whole body of members → pre-emption (62); a class → consent (48/47). (4) *Is it a private company, and does the relaxed rule protect only members?* If yes, the relaxation may apply. These four questions, in order, decode almost any exam problem in the chapter without memorising a single section number.

Running the cascade on a fresh problem (worked diagnostic). "A closely-held private company wants to return ₹5 lakh of surplus cash to its two shareholders by cancelling some of their fully-paid shares, and its articles permit it." Run the four questions: (1) **In or out?** Cash is going *out* to owners → a capital-maintenance problem. (2) **Buffer shrink or replaced?** Real cash leaves and *nothing* replaces it → this is a **reduction**, not a redemption or a mere reshuffle. (3) **Who is the victim?** *Creditors* — their buffer physically shrinks. (4) **Private company — does the relaxed rule protect only members?** No — reduction (Sec 66) protects *creditors*, so the private-company relaxations **cannot** switch off the Tribunal. *Conclusion in one breath*: despite being a private company with enabling articles, it needs a **special resolution + Tribunal confirmation + creditor hearing under Sec 66**; "cancelling fully-paid shares to return cash" is a textbook reduction, *not* a Sec 61 diminution (which cancels only *never-issued* shares). Notice you never had to recall a

section number until the very end — the cascade delivered you to Sec 66 by pure reasoning. That is the skill the chapter is really testing.

10. Quick-Revision Sheet

Section	Topic	Key number / limit	One-line why
43	Kinds of share capital	Equity (voting/DVR) + Preference	Name the two boxes
46	Share certificate	Prima facie (not conclusive) evidence	Register integrity
47	Voting rights	Preference full-vote if dividend unpaid ≥ 2 yrs	Broken bargain arms the class
48	Variation of class rights	3/4 consent; dissent ≥10% appeal in 21 days	Only a class rewrites its own bargain
52	Securities premium	Closed-list uses; no dividend ; narrower list under 52(3)	Premium is capital's cousin
53	Discount prohibited	Issue at discount void ; measured vs face value	Don't fake the buffer
54	Sweat equity	Special resolution ; 15%/25% caps (verify); no 1-yr wait (omitted w.e.f. 7 May 2018)	Real non-cash value in
55	Preference redemption	Redeem within 20 yrs (infra exception); fully paid only; CRR	No perpetual priority debt; buffer replaced
56	Transfer/transmission	SH-4 within 60 days ; certificate in 1 month	Accurate, forgery-proof register
58/59	Refusal / rectification	Appeal 30/60 (pvt) or 60/90 (public) days	Free transfer for public co.
61	Alteration of capital	Ordinary resolution ; no Tribunal (consolidation changing votes = Tribunal)	Reshuffling, not returning
62	Further issue / rights	Offer 15–30 days ; renunciation; valuer for outsiders	Existing owners first
63	Bonus shares	Not from revaluation reserve; cannot withdraw ; not in lieu of dividend	Capitalise only real reserves
64	Notice of alteration	SH-7 within 30 days	Public register current
66	Reduction of capital	Special resolution + Tribunal + creditors	The buffer actually shrinks
68/69	Buy-back	≤25% (two bases); debt ≤ 2:1 ; CRR; 1-yr gap; destroy in 7 days	Capped return of capital
71	Debentures / trustee	Trustee if >500 persons; no voting; may issue at discount; DRR/DRI	One watchdog + a real fund
72	Nomination	Nominee on death; overrides will for vesting	Skip the succession fight

Resolution cheat-line: *Ordinary* → alteration (61), increase capital, ESOP in a private company. *Special* → sweat equity (54), preferential allotment/ESOP/conversion (62/71), buy-back up to 25% (68), reduction (66).

Tribunal → reduction (66), class-variation dissent (48), refusal of transfer (56/58), consolidation changing voting % (61), inability to redeem preference (55), debenture default (71).

Buffer-replacement cheat-line: *Nothing replaces it* → Tribunal (66). *CRR or fresh issue replaces it* → no Tribunal (55, 68/69). *Reserve moves INTO capital* → buffer grows, light conditions (63). *Merely reshuffled* → ordinary resolution (61).

Numerical-formula cheat-sheet (compute every cap, then take the tightest):

Computation	Formula	Base to use	Common trap
Buy-back value cap	$25\% \times (\text{paid-up capital} + \text{free reserves})$	Paid-up , not authorised	Using authorised capital
Buy-back quantity cap	$25\% \times \text{paid-up equity}$	Paid-up equity alone	Mixing the two bases
Buy-back debt test	$\text{Post-buy-back debt} \div \text{owned funds} \leq 2 : 1$	Debt vs (capital + free reserves + premium – spend)	Forgetting this often binds
Sweat equity annual cap	Higher of $15\% \times \text{paid-up equity}$ or ₹5 crore	Paid-up equity	Taking the <i>lower</i>
Sweat equity overall cap	25% of paid-up equity (start-up 50%)	Paid-up equity, cumulative	Ignoring the overall cap
CRR on redemption	Nominal value redeemed out of profits	Face value only	Counting fresh-issue premium
Value of one right	Ex-rights price – issue price	TERP	Using cum-rights price
TERP	$[(N \times \text{cum-price}) + (1 \times \text{issue price})] \div (N + 1)$	N = shares needed per new share	Wrong ratio
DRR / DRI	DRR % $\times$ outstanding; DRI % $\times$ next-year maturities	Two different bases, additive	Treating one as the other
Bonus feasibility	Reserves $\geq$ shares $\times$ face; and post-bonus paid-up $\leq$ authorised	Exclude revaluation reserve	Missing the authorised ceiling

One-line meta-rule for every numerical: *identify the correct base (almost always paid-up, never authorised — except the bonus ceiling), compute all applicable caps, and answer with the minimum; the examiner rigs the numbers so the constraint you forget is the one that binds.*

Day-count and threshold recall strip (rapid-fire): SH-7 in **30 days**; SH-4 lodged within **60 days**; certificate on transfer **1 month**, on share allotment **2 months**, on debenture allotment **6 months**; rights offer open **15–30 days**, notice **3 days** before; Sec 48 dissent appeal **21 days** / minority $\geq 10\%$ / pass $\geq 3/4$; preference full-vote after dividend unpaid ≥ 2 years; buy-back extinguish in **7 days**, complete in **1 year**, no re-issue same kind **6 months**, gap between buy-backs **1 year**; preference redeemable within **20 years**; private placement ≤ 200 persons per kind/year, allot within **60 days**, refund in **15 days** then 12% interest; charge registration **30 days**; Sec 55(3) roll-over needs $\geq 3/4$ preference consent + Tribunal; DRI deposit by **30 April**. *These numbers are the examiner's favourite single-mark discriminators — over-learn them.*

Provisions a private company may relax (the "member-protection only" list): Sec 43 (kinds) & Sec 47 (voting) — excludable by MOA/AOA; Sec 62 rights-offer periods — shortenable with **≥90%** member consent; ESOP — by **ordinary** resolution. **Never relaxable** (creditor-protective): Sec 53 (discount), Sec 66 (reduction), Sec 68/70 (buy-back discipline), Sec 71 (trustee/DRR). *One test: does the rule protect only members, or does it protect creditors? Members-only → relaxable; creditors → never.*

Where a specific percentage, DRR rate, sweat-equity cap, DVR cap, or day-count is decisive in an exam, confirm the current figure against the latest ICAI study material and the Companies (Share Capital and Debentures) Rules — several thresholds (notably DRR, sweat-equity limits, and DVR caps) have been amended since 2013.

Q&A — Share Capital & Debentures

CA Intermediate · Corporate & Other Laws · Companies Act, 2013 (Sections 43–72, read with the Companies (Share Capital and Debentures) Rules, 2014). Every question is followed immediately by a complete, section-cited model answer. Where a figure or rule is version-sensitive, it is flagged.

Section A — Concept-Check Questions (with answers)

A1. What are the two kinds of share capital recognised for a company limited by shares? Under **Section 43**, share capital is of two kinds: **(a) equity share capital** — either with voting rights, or with differential rights as to dividend/voting (DVR); and **(b) preference share capital**. Preference shares carry a preferential right to dividend and to repayment of capital on winding up. Companies producing a private company may be exempt from Sec 43 if its memorandum/articles so provide (exemption notification).

A2. What is the legal nature of a share? Is it the same as a share certificate? Per **Section 44**, shares/debentures/other interest of a member are **movable property**, transferable in the manner provided by the articles. A share is a bundle of rights (a chose-in-action); the **share certificate** issued under **Section 46** is only *prima facie* evidence of title, not the share itself.

A3. Can a company issue shares at a discount? No. **Section 53** prohibits issue of shares at a discount; any share issued at a discount is **void**. Exceptions: **sweat equity shares** under **Section 54**, and (per Section 53(2A)) shares issued at a discount to creditors on conversion of debt into shares under a statutory resolution/restructuring scheme. Penalty: company and officers liable; refund with interest at 12% p.a.

A4. What is the "securities premium account" and can it be used to pay dividends? Under **Section 52**, premium received on issue of securities is credited to the **Securities Premium Account**, treated as if it were paid-up capital for reduction purposes. Permitted uses: issue of **bonus shares**, writing off preliminary expenses, writing off share/debenture issue expenses & commission/discount, providing premium payable on redemption of preference shares/debentures, and **buy-back** under Section 68. It **cannot** be distributed as ordinary dividend.

A5. Within what period must redeemable preference shares be redeemed? Under **Section 55**, a company cannot issue **irredeemable** preference shares. Redeemable preference shares must be redeemed **within 20 years** of issue. Exception: companies engaged in **infrastructure projects** may issue preference shares redeemable beyond 20 years (up to 30 years, redeeming a minimum 10% p.a. from year 21 at holder's option, per the Rules).

A6. Out of what sources may preference shares be redeemed, and what is the CRR? Section 55 permits redemption only out of **(a) profits available for dividend**, or **(b) proceeds of a fresh issue** of shares made for redemption. Only **fully paid-up** shares may be redeemed. Where redeemed out of profits, a sum equal to the nominal amount redeemed must be transferred to the **Capital Redemption Reserve (CRR)** (**Section 69**), which is treated as paid-up capital and can be used to issue bonus shares.

A7. Does a preference shareholder have voting rights? Under **Section 47(2)**, a preference shareholder votes only on resolutions **directly affecting** the rights attached to preference shares, and on winding up/repayment/reduction of capital. However, if **dividend is in arrears for two years or more**, preference shareholders acquire voting rights on **every resolution**.

A8. What is the debenture redemption reserve, and can debentures carry voting rights? Under **Section 71**, a company **cannot** issue debentures carrying voting rights. Where required, it must create a **Debenture Redemption Reserve (DRR)** out of profits available for dividend and, per the Rules, also invest/deposit a specified amount for redemption. *Flag:* the DRR percentage requirements have been amended repeatedly by the Companies (Share Capital and Debentures) Rules; listed companies and NBFCs/HFCs are largely exempt from DRR — verify the current Rule 18 threshold before quoting a percentage in the exam.

Section B — Applied / Scenario Questions (ICAI style: Facts → Law → Analysis → Conclusion)

B1. Rights issue vs. bypassing existing shareholders. *Facts:* ABC Ltd (unlisted) wants to raise ₹50 lakh by issuing fresh equity. Two directors propose allotting all new shares to a friendly investor, ignoring existing members. *Law:* **Section 62(1)** — where a company proposes to increase subscribed capital by further shares, they must **first be offered to existing equity shareholders** in proportion to paid-up capital (**rights issue**), by notice giving **not less than 15 and not more than 30 days**, with a right of renunciation. Shares may go to outsiders only via **preferential allotment (Sec 62(1)(c)) by special resolution**, ESOP (special resolution / ordinary for private co. per exemption), or after the rights offer lapses. *Analysis:* Directly allotting to an outsider without a rights offer or the Sec 62(1)(c) special-resolution route violates pre-emption rights. *Conclusion:* The proposal is invalid unless ABC Ltd either makes a rights offer under Sec 62(1)(a), or passes a **special resolution** for preferential allotment under Sec 62(1)(c) read with Rule 13 (with a registered valuer's report).

B2. Bonus issue funded from revaluation reserve. *Facts:* XYZ Ltd wants to issue bonus shares using a surplus created by revaluing its factory building. *Law:* **Section 63** permits bonus shares only out of **free reserves, securities premium account, or capital redemption reserve**. It expressly bars capitalising **reserves created by revaluation of assets**. Conditions: authorised by articles, recommended by Board, approved in general meeting, no default on deposits/debt interest, all partly-paid shares made fully paid-up, and the bonus is not in lieu of dividend. *Analysis:* Revaluation reserve is unrealised and specifically excluded. *Conclusion:* The bonus issue from revaluation reserve is **not permissible** under Section 63(2). XYZ must use free reserves/securities premium/CRR instead.

B3. Buy-back exceeding limits. *Facts:* PQR Ltd (paid-up equity ₹10 crore, free reserves ₹6 crore) proposes to buy back shares worth ₹5 crore by a Board resolution alone. Its debt after buy-back would be ₹34 crore. *Law:* **Section 68** — buy-back must be **≤ 25% of aggregate paid-up capital + free reserves** (and in a year, ≤25% of paid-up **equity** capital). Post-buy-back **debt-equity ratio must not exceed 2:1**. A **Board resolution** authorises buy-back up to **10%** of paid-up equity + free reserves; beyond that up to **25%** needs a **special resolution**. *Analysis:* 10% of (10+6) = ₹1.6 crore is the Board-only ceiling; ₹5 crore exceeds it, so a special resolution is required. Also 25% ceiling = ₹4 crore, so ₹5 crore breaches the absolute limit. Post-buy-back equity ≈ ₹11 crore; debt ₹34 crore gives ~3:1, breaching 2:1. *Conclusion:* The buy-back is **invalid** on two counts — it exceeds the 25% limit and violates the 2:1 debt-equity ceiling under Section 68.

B4. Financial assistance for purchase of own shares. *Facts:* A public company lends money to an employee to buy shares in its holding company. *Law:* **Section 67** prohibits a public company (and its subsidiaries) from giving, directly or indirectly, **financial assistance** for purchase of its own shares or those of its holding company. Exceptions: lending by a banking company in ordinary course; a scheme for purchase of fully-paid shares held in trust for employees; and loans to employees (other than directors/KMP) to buy fully-paid

shares up to their salary/wages for six months. *Analysis:* If the loan falls within the employee-scheme exception and the employee is not a director/KMP and the shares are fully paid, it is permitted; otherwise it is barred. *Conclusion:* Permissible **only** within the Section 67(3) exceptions; a general loan for this purpose is prohibited.

B5. Sweat equity and lock-in. *Facts:* A start-up wishes to issue sweat equity to its technical founder for know-how, one month after incorporation. *Law:* **Section 54** allows sweat equity to directors/employees for know-how/IP/value additions, subject to a **special resolution**, and the Rules. The company must be carrying on business — sweat equity may be issued only after the class of shares has been issued; the Rules also cap issuance and prescribe a **lock-in of 3 years**. *Analysis:* Sweat equity requires a special resolution specifying number, current market price, consideration and class; issuance is subject to Rule limits and lock-in. *Conclusion:* Permissible under Section 54 if a special resolution is passed and Rule conditions (limits, valuation, lock-in) are met.

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. Explain the procedure and grounds for reduction of share capital under Section 66. Reduction of capital under **Section 66** requires: (i) authorisation by the **articles**; (ii) a **special resolution**; and (iii) confirmation by the **Tribunal (NCLT)**. Modes: (a) extinguishing/reducing liability on unpaid capital; (b) cancelling paid-up capital lost or unrepresented by assets; (c) paying off excess paid-up capital. The Tribunal gives notice to the **Central Government, ROC, SEBI (for listed cos.) and creditors**, considers representations, and may confirm on such terms as it thinks fit. No reduction is allowed if the company is in **arrears of deposits/interest**. The order and minute are registered with the ROC; the reduced capital is then recorded. Reduction is distinct from **buy-back (Sec 68)** and **diminution of unissued capital (Sec 61)**, neither of which needs NCLT confirmation.

C2. Distinguish between shares and debentures. A **share** (Sec 43/44) represents **ownership**; the holder is a **member** with voting rights (Sec 47) and receives **dividend** out of profits (payable at the company's discretion). A **debenture** (Sec 71) is an **acknowledgement of debt**; the holder is a **creditor** with **no voting rights** (Sec 71(2)), entitled to **interest** payable whether or not profits are earned, and ranking ahead of shareholders on winding up. Shares generally cannot be issued at a discount (Sec 53); debentures can. Debentures may be secured/convertible; conversion into shares requires a **special resolution**.

C3. Write a note on calls in advance and variation of shareholders' rights. Calls in advance (Section 50): A company may, if authorised by its articles, **accept from a member the whole or part of the amount remaining unpaid** even though it has not been called up. The member is **not entitled to voting rights** in respect of the money so paid until it is called up. Interest may be paid on calls in advance as per the articles. **Variation of rights (Section 48):** Where a company has different classes of shares, the rights of any class may be varied with **consent of holders of $\geq 3/4$ in nominal value** of that class (in writing) **or by a special resolution** of that class. Dissenting holders of **not less than 10%** who did not consent may apply to the **Tribunal** to have the variation cancelled within 21 days; the Tribunal's decision is binding.

C4. Explain the provisions relating to issue of Debenture Trustees and the offer of debentures. Under **Section 71**, a company may issue debentures with an option to convert (conversion needs special resolution). Where debentures are offered to the **public or to more than 500 persons**, the company must appoint a **debenture trustee** before issue and execute a **debenture trust deed** to protect debenture-holders' interests; a trustee must not have conflicting interests. The company must create a **DRR** out of

profits available for dividend and redeem debentures per the terms. If the company fails to redeem/ pay interest, debenture-holders/trustee may apply to the **Tribunal**, which may direct redemption with interest. *Flag:* exact DRR/investment percentages are governed by Rule 18 (amended several times) — confirm current text.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. A company issues equity shares at a discount. The issue is: A) Valid B) Voidable C) **Void** D) Valid with CG approval **Answer: C** — Section 53(1)/(2) declares any share issued at a discount void (except Sec 54 sweat equity / Sec 53(2A) conversion).

D2. Redeemable preference shares (non-infrastructure) can be redeemed after a maximum of: A) 10 years B) **20 years** C) 30 years D) No limit **Answer: B** — Section 55(2): redemption within 20 years.

D3. In a rights issue under Section 62(1)(a), the offer notice period is: A) 7–15 days B) **15–30 days** C) 21–30 days D) 30–60 days **Answer: B** — Section 62(2): not less than 15 nor more than 30 days, with right of renunciation.

D4. Bonus shares may NOT be issued out of: A) Free reserves B) Securities premium C) Capital redemption reserve D) **Revaluation reserve** **Answer: D** — Section 63(2) bars capitalising revaluation reserves.

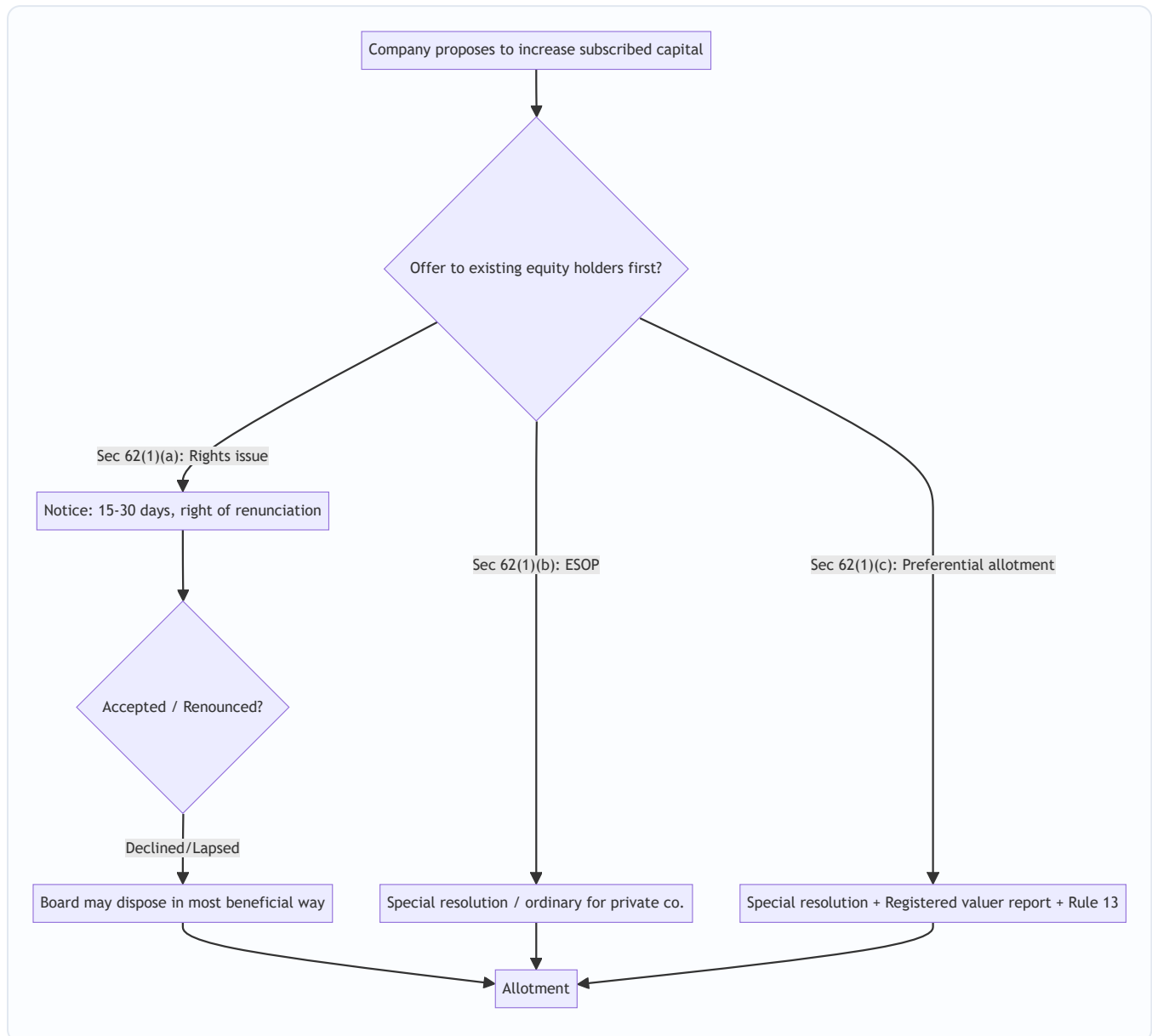
D5. Preference shareholders get voting rights on every resolution when dividend is in arrears for: A) 1 year B) **2 years or more** C) 3 years D) 5 years **Answer: B** — Section 47(2) proviso.

D6. Buy-back authorised by only a Board resolution is limited to: A) 5% B) **10%** C) 15% D) 25% of paid-up equity + free reserves **Answer: B** — Section 68(2)(b) proviso; beyond 10% up to 25% needs special resolution.

D7. *Case scenario:* Sunrise Ltd's articles are silent on reduction of capital, yet the Board passes a special resolution and reduces capital without approaching NCLT. This is: A) Valid B) **Invalid — needs articles authorisation + NCLT confirmation** C) Valid if ROC informed D) Valid if creditors consent **Answer: B** — Section 66 requires authorisation by articles, special resolution, and Tribunal confirmation.

D8. The Capital Redemption Reserve created under Section 69 may be used for: A) Paying dividend B) **Issuing fully paid bonus shares** C) Writing off revaluation loss D) Redeeming debentures **Answer: B** — CRR is treated as paid-up capital and may be applied for bonus shares.

Mermaid — Decision Flow: Further Issue of Share Capital (Section 62)



One-Line Section Map (quick revision)

Sec 43 kinds of capital · 44 shares = movable property · 46 certificate · 47 voting rights · 48 variation of rights · 50 calls in advance · 52 securities premium · 53 no discount · 54 sweat equity · 55 redeemable preference (20 yrs) · 62 further issue · 63 bonus · 66 reduction (NCLT) · 67 financial assistance bar · 68 buy-back (25% / 2:1 / 10% board) · 69 CRR · 71 debentures (no voting, DRR, trustee >500). Rules: Companies (Share Capital and Debentures) Rules, 2014.

Uncertainty flags: DRR percentages under Rule 18 and infrastructure preference-share redemption schedule are amendment-sensitive — verify against the latest Rules before the exam.

Chapter 05 — Acceptance of Deposits

Companies Act 2013 — Sections 73 to 76A, read with the Companies (Acceptance of Deposits) Rules, 2014. Cross-references to Sections 2(31), 2(85), 179, 42, 62 and the CSR/Audit chapters.

1. The Problem — How Depositors Got Burned

Imagine you run a company. You need money. You have three honest options: sell shares (dilute ownership), borrow from a bank (face collateral checks and interest), or issue debentures (formal, rated, secured). All three have a gatekeeper who asks hard questions.

Now imagine a fourth option that has **no gatekeeper**: put out a newspaper advertisement — *"Invest with us! 15% interest, far above the bank's 7%!"* — and collect money directly from thousands of ordinary members of the public. No collateral. No credit check on you. No trustee watching. Just cash flowing in from schoolteachers, retirees, and small shopkeepers who saw a fat interest rate and believed a glossy promise.

This is a **deposit**: money a company borrows from the public (or its members) *without* the discipline that shares, bank loans, and secured debentures impose.

Here is exactly how this cheated people, historically and repeatedly:

- **The Ponzi trap.** A company with a weak business could offer 15% not because it earned 15%, but because it paid old depositors with new depositors' money. The moment fresh deposits slowed, the pyramid collapsed and the last lakh of depositors lost everything. India saw this again and again with "finance companies" and chit-fund-style operators.
- **The unsecured gap.** A bank lends against collateral; if the borrower defaults, the bank seizes assets. A public depositor gets *nothing* — no charge on assets, no priority in liquidation. They stood behind secured creditors and got the crumbs.
- **The information asymmetry.** The company knew it was insolvent; the depositor, dazzled by the rate, knew nothing. There was no rating, no disclosure, no independent watchdog.
- **The diversion.** Money raised "for the business" was quietly siphoned to promoters' pet projects or personal accounts, leaving nothing to repay.
- **The runaway maturity mismatch.** Companies took *short-term* deposits (repayable in months) and sank them into *long-term* illiquid assets. When deposits matured, there was no cash to repay — a liquidity death spiral.

The abuse is simple to state: **a company can collect the public's savings with a promise, spend or lose the money, and leave the saver with a worthless IOU.** Deposit regulation exists to make that abuse hard, expensive, and — where it still happens — punishable and reversible.

Why "deposit" and not just "loan"? A crucial first-principles point students miss: economically a deposit *is* a loan to the company. The law does not regulate it because of what it is called but because of *who* the lender is and *how helpless* they are. A bank lending to a company can protect itself; a retired schoolteacher handing over her savings cannot. The entire chapter is therefore an exercise in **protecting the weak lender**, and every rule you learn is calibrated to how weak (uninformed, unsecured, diffuse) that lender is. Hold that lens and the numbers stop being arbitrary.

2. The Core Idea — Trust, But Ring-Fence

The protective principle is this:

If a company wants to hold the public's money, it must first prove it is safe to hold it, then keep provable safety nets in place, then honour repayment on the dot — and if it defaults, the law claws the money back and punishes the people responsible.

Deposit law is not a ban. It is a **graduated permission system**. The riskier the source of money (strangers vs. your own members vs. related parties), the more safeguards the law bolts on. And critically, the safeguards are **provable and independent** — a Deposit Repayment Reserve you must actually fund, insurance you must actually buy, a rating an outside agency must actually give, a return you must actually file. The company cannot merely *say* it is safe; it must *demonstrate* safety through instruments other people control.

Three ideas run through the whole chapter:

1. **Members are trusted more than strangers.** Your own shareholders chose to be part of the company and have some voice; the anonymous public has neither. So most private companies can take deposits from members with light conditions, but only strong public companies ("eligible companies") may touch the general public — and even then, heavily fenced.
2. **Every promise must have a matching provision.** Promise to repay in 3 years? Then set aside cash now (the reserve). Say the money is safe? Then insure it. Say you're creditworthy? Then get rated by someone independent.
3. **Default is not just a private breach — it is a public wrong.** Because the victims are diffuse and helpless, the State steps in: the Tribunal can order repayment, and directors face fines and jail.

The "who is the lender" ladder — the single most useful mental model. Rank every source of money on one axis of vulnerability, and the whole regulatory intensity falls out automatically:

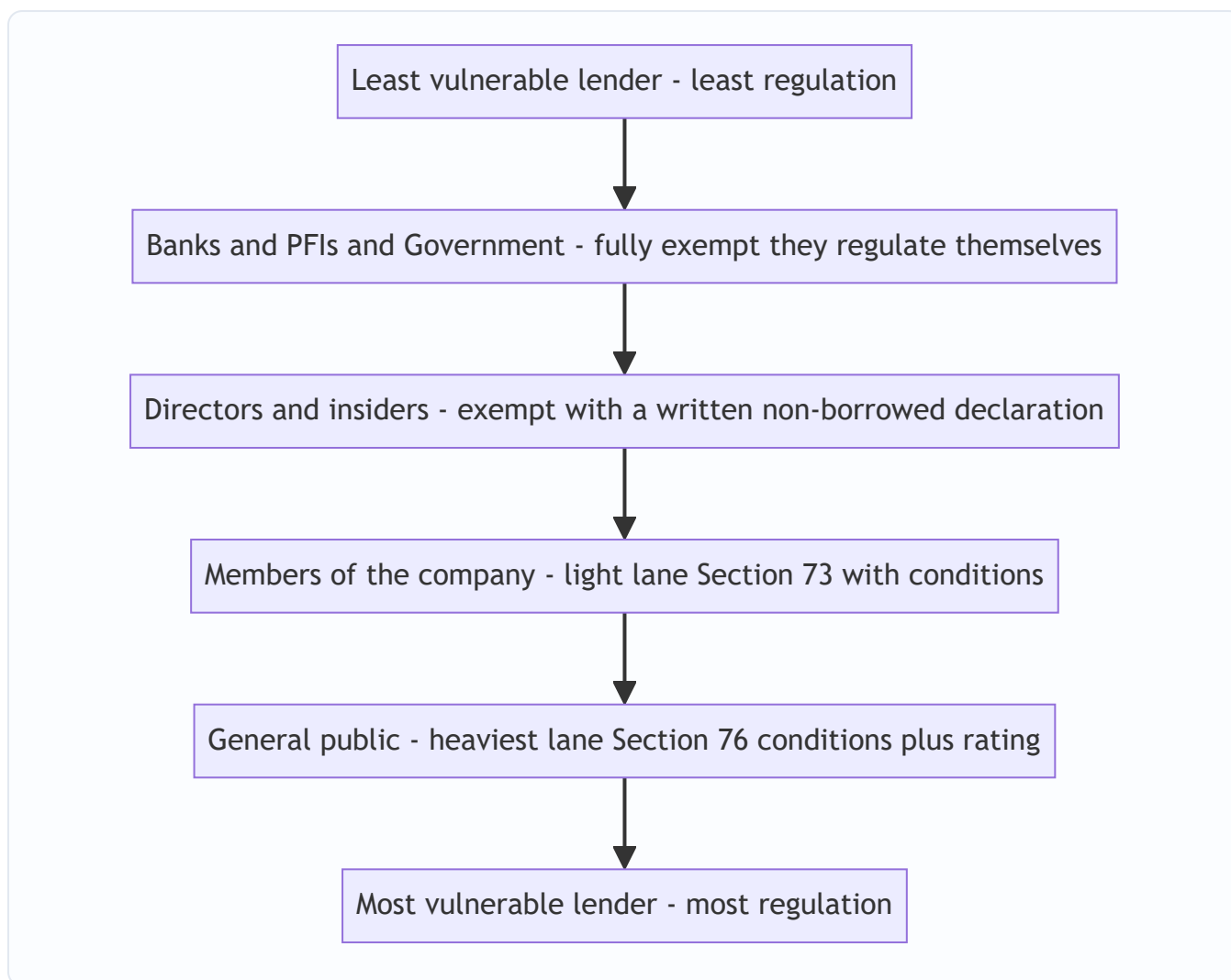


Figure 2 — The vulnerability ladder: the more helpless the lender, the more fences the law bolts on.

Every threshold, every extra form, every additional resolution in this chapter is just a rung on this ladder. When an exam fact pattern names a source of money, place it on this ladder first; the applicable rules follow.

3. Why It's Built This Way — The Logic of Each Safeguard

Before the technical grind, internalise *why* each fence exists. If you understand the fear each rule answers, you will never confuse the rules.

The fear (abuse)	The safeguard that answers it	Section / Rule
Company spends the money and has nothing at maturity	Deposit Repayment Reserve Account — park liquid funds equal to a slice of maturing deposits	73(2)(c)
Depositor loses everything on default	Deposit insurance (where notified) — an insurer pays out	73(2)(d)
A weak company disguises itself as strong	Credit rating by an approved agency, renewed yearly	76 + Rules
Depositor invests blind, no disclosures	Circular / advertisement with financials, credit rating, defaults history	73(2)(a), Rules
Company welshes on old promises then raises more	Must certify no subsisting default before accepting fresh deposits	73(2)(e)
Money vanishes to promoters	Charge / trustee for secured deposits; audited use of funds	Rules
Public has no recourse when default happens	Tribunal power to order repayment; penalties; officer liability	73(4), 74, 75, 76A
Companies dodge the rules by calling it something else	Broad definition of "deposit" with a closed list of exemptions	2(31), Rule 2(1)(c)

Notice the architecture: **define widely, exempt narrowly, then fence what remains**. That is the entire chapter in one line.

A deeper "why" on the three-part architecture. Each of the three moves defends against a different kind of cheating:

- **Define widely (2(31))** defeats the *relabelling* cheat — calling a deposit an "advance", "loan", or "subscription".
- **Exempt narrowly (Rule 2(1)(c))** avoids over-regulation: money whose source can protect itself (banks, government, sophisticated companies) does not need the shield, so forcing deposit compliance there would only raise the cost of honest capital without protecting anyone. The exemptions are therefore not loopholes — they are *precision*, letting the law aim only at vulnerable savers.
- **Fence what remains (73–76A)** applies graduated protection to exactly the money that is left: the genuinely vulnerable saver's rupee.

Understanding that the exemptions exist to *avoid pointless regulation*, not to help companies escape, is what lets you reason about a novel fact pattern instead of memorising a list.

4. Full Technical Content — Section by Section, Each With Its Why

4.1 What is a "deposit"? — Section 2(31) + Rule 2(1)(c)

Section 2(31) gives the deliberately broad definition:

"Deposit" **includes any receipt of money by way of deposit or loan or in any other form**, by a company, but does **not** include such categories as may be prescribed in consultation with the RBI.

Why so broad? Because the cheat was always to *rename* the money — "it's not a deposit, it's an advance / a loan / a subscription / a security". By saying deposit means money received "in any other form", the law defeats the disguise. Substance over label.

The actual carve-outs live in **Rule 2(1)(c) of the Companies (Acceptance of Deposits) Rules, 2014**, which lists **exempted receipts** — money that is *not* treated as a deposit. Learn these as a family, because "is X a deposit?" is the single most common exam question.

Exempted receipts (NOT deposits) — the logic: each item is money whose *source already has its own protection*, so deposit rules would be redundant.

Exempted receipt (not a deposit)	Why it's exempt
Money from Central/State Government , or guaranteed by them; money from foreign govts/banks/multilateral bodies	The State/multilateral is not a vulnerable public saver
Loans from banks / banking companies / co-op banks	Banks are their own regulated gatekeepers
Loans from Public Financial Institutions, insurance companies, scheduled banks	Sophisticated regulated lenders
Commercial paper or other instruments per RBI guidelines	Already RBI-regulated
Inter-corporate: amount received from another company	Company-to-company; the lender is not a helpless individual
Subscription money for securities (share application money) pending allotment — <i>provided securities are allotted within 60 days</i> ; if not allotted and not refunded within 15 days thereafter, it becomes a deposit	Genuine capital-raising, but with an anti-parking clock (see trap below)
Money from a director — if the director gives a written declaration that it is not from borrowed funds	A director has skin in the game and internal knowledge
Money from a member of a private company / relative of director (with same non-borrowed declaration for relatives per amendments)	Insiders, not the anonymous public
Secured / listed non-convertible debentures with a charge or a trustee	Debenture regime already protects them
Non-interest-bearing security deposit / advance for supply of goods or provision of services — <i>if appropriated within 365 days</i> ; if the company has no legal right to receive it or fails to supply, it becomes a deposit	Genuine trade advance, with an anti-parking clock
Advance against immovable property under an agreement, to be adjusted against the property	Genuine business transaction
Employee security deposit not exceeding the employee's annual salary, under a non-interest-bearing contract	Genuine employment arrangement
Promoters' unsecured loans brought in pursuant to a stipulation by a lending bank/FI (mandatory promoter contribution)	Forced by the lender; exists only while the bank loan subsists
Startup money: up to Rs. 25 lakh or more by a convertible note in a single tranche (recognised startups)	Encourage genuine early-stage funding

Memory hook for the clocks: *Shares 60/15, Trade advance 365*. Share application money must be allotted in **60** days, refunded in **15** after that, else it's a deposit. A trade/service advance must be adjusted in **365** days, else it's a deposit. Money parked "temporarily" past the clock is the classic disguised deposit.

Finer distinctions the exam probes inside the exemption list:

- **The promoters' loan exemption is conditional and temporary.** It is exempt **only** while (i) the loan is brought in *because a bank/FI stipulated* promoter contribution as a loan condition, and (ii) that bank/FI

loan is *still outstanding*. The moment the underlying institutional loan is repaid, the exemption evaporates and the promoter's money must either be repaid or reclassified. Examiners test the case where the bank loan is closed but the promoter's money stays in — it is now a deposit.

- **Employee security deposit — the salary cap is a ceiling, not a target.** If the deposit *exceeds* the employee's annual salary, the **excess** is a deposit (not the whole amount, in the typical reading — but confirm treatment in current ICAI material). It must also be **non-interest-bearing**; add interest and the exemption is lost.
- **"Amount received from another company" — a company, not a firm.** Money from a partnership firm or an LLP is **not** covered by the inter-corporate exemption; only receipts from a *company* qualify. This is a favourite trap: an LLP is not a company.
- **Advance for immovable property must actually be adjusted against that property.** If the deal falls through and the advance is not adjusted or refunded within the stipulated period, it converts to a deposit. The exemption protects a *genuine* transaction, not a parking device.
- **Convertible note (startup) — the instrument matters.** The Rs. 25 lakh convertible-note exemption applies to a **DPIIT-recognised startup** and requires the note to convert into equity or be repaid within the prescribed period (typically within a fixed number of years). A plain interest-bearing loan of Rs. 25 lakh to a non-startup is *not* covered.

Two "in-between" categories students forget exist: - Amounts non-interest-bearing and kept in trust and certain **advances received in the course of, or for the purposes of, the business** (e.g., advance for long-term supply/service contracts spanning more than 365 days where accepted as an advance under a contract) can have their own carve-outs — but each rides on a genuine-business condition. Do not over-generalise; *confirm the precise wording in the current Rule*.

Confirm exact list against the current Rule 2(1)(c) in ICAI material / the bare Rules — the list has been amended several times and ICAI tests the precise wording.

Decision flow for "Is this receipt a deposit?" — apply in this order:

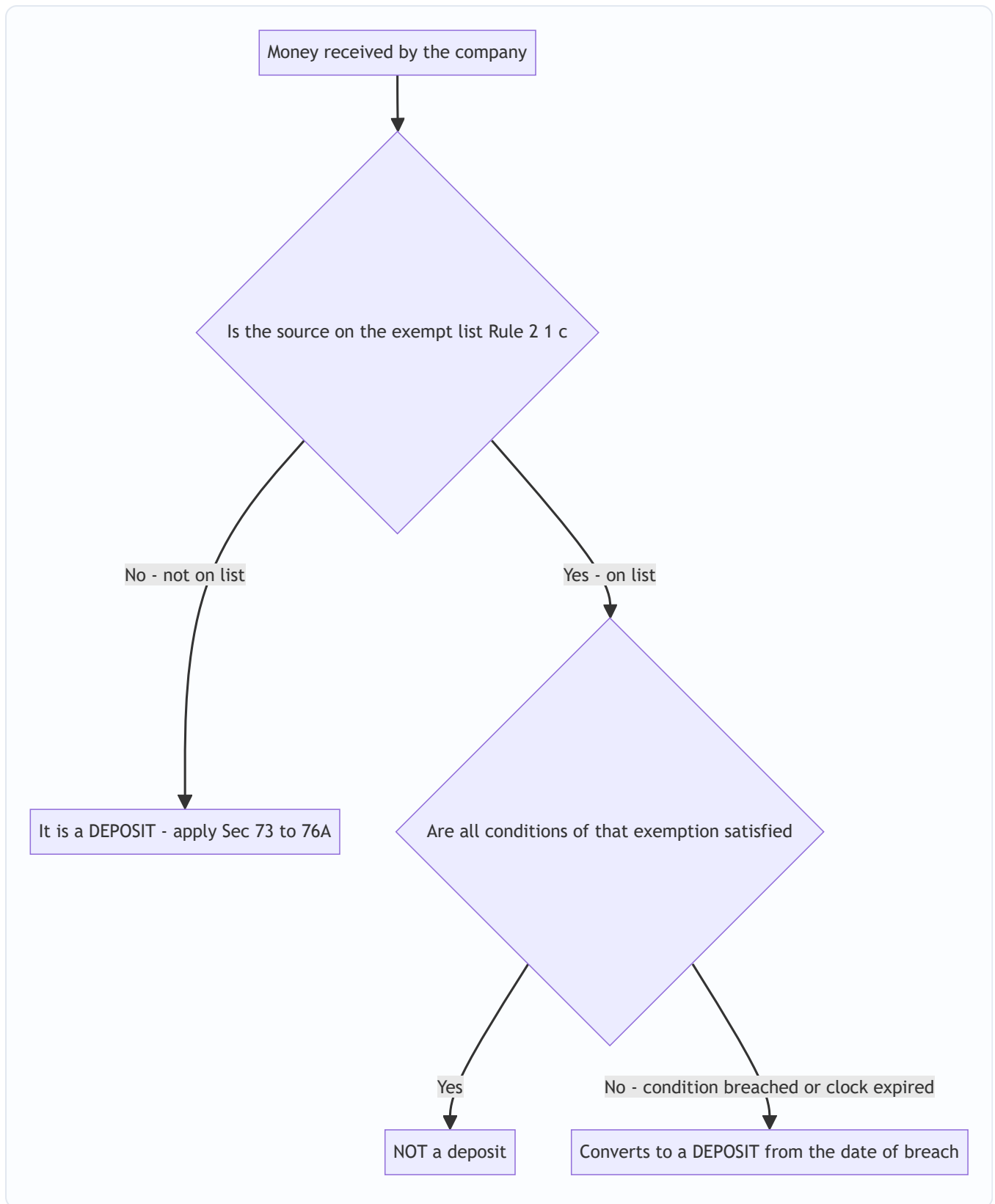


Figure 4.1 — Exemptions are conditional; a breached condition or an expired clock flips a non-deposit into a deposit.

4.2 The three-lane structure: who may take deposits, and from whom

This is the spine of the chapter. There are **three lanes**:

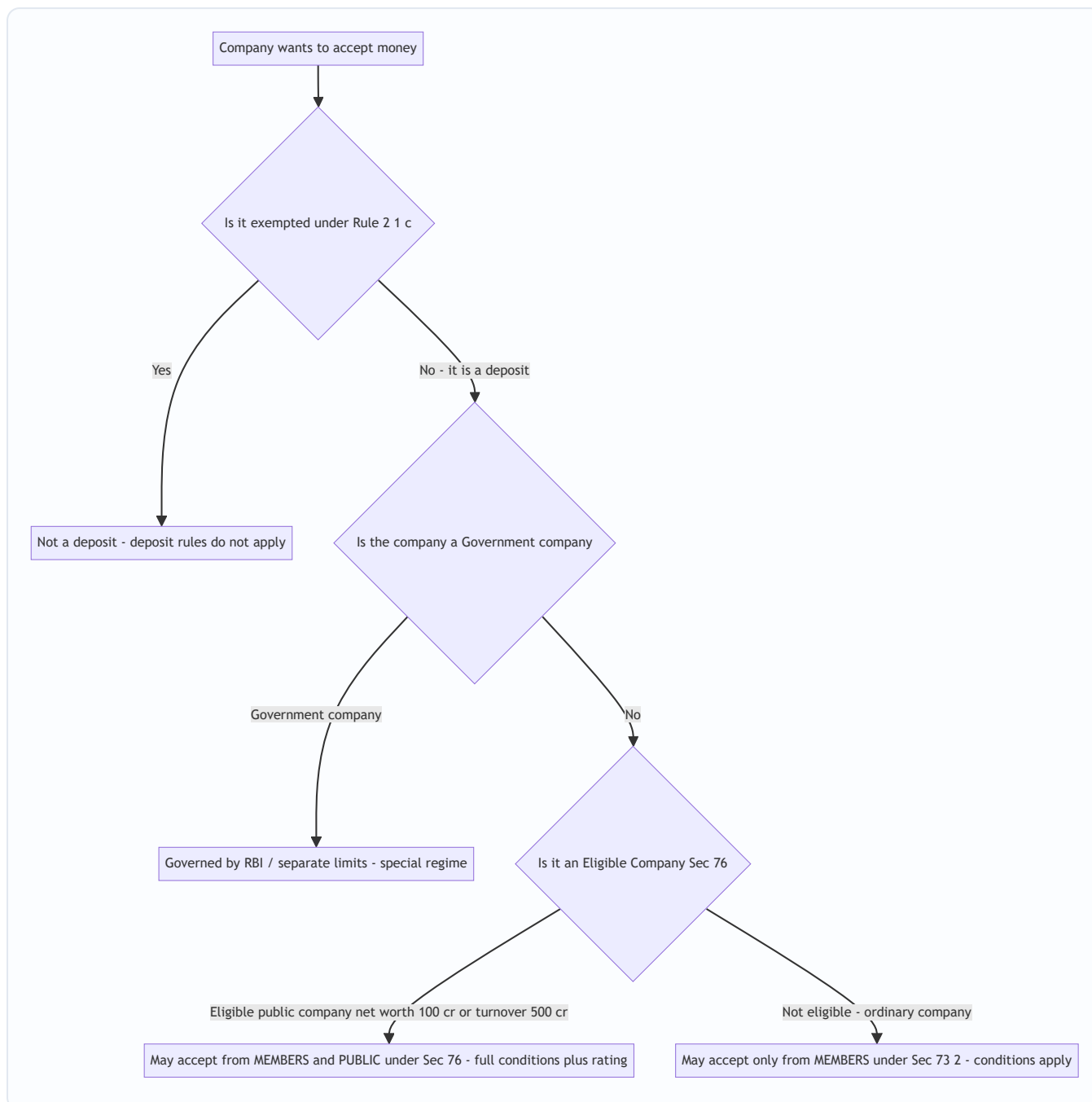


Figure 4.2 — The deposit-eligibility decision tree: exempt first, then classify the company, then the source.

Section 73 — the general rule and the default lane (deposits from members).

- **Section 73(1):** A company **cannot invite, accept or renew deposits from the public** except as provided in this Chapter. This is the baseline prohibition — the public is off-limits unless you earn the right.
- **Section 73(2):** A company may, after passing a **resolution in general meeting** and subject to the Rules, accept deposits **from its members** on the conditions listed below. This lane is open to companies generally (both private and public that are not "eligible companies"), because members are trusted more than strangers.

Section 76 — the special lane (eligible companies → public).

- Only an "**eligible company**" may accept deposits from the **general public**. An eligible company is a **public company** having:
- **net worth of not less than Rs. 100 crore, or**

- **turnover of not less than Rs. 500 crore,**
- *and* which has passed a **special resolution** in general meeting and filed it with the Registrar (a special resolution because inviting the public is a graver act than inviting members).
- Section 76 applies **all the Section 73(2) conditions** to eligible companies, **plus** mandatory **credit rating** and (for the invitation) more stringent limits.

Memory hook: "100 or 500 lets you touch the public." Net worth **100** crore **OR** turnover **500** crore = eligible. Below that, members-only.

A subtle point on the special resolution vs. ordinary resolution. Section 76's own eligibility needs a **special resolution** to *invite the public*. But an eligible company can *also* accept from its **members**, and for that a special resolution is not strictly required — however, in practice ICAI treats the eligible company's public-invitation act as needing a special resolution filed with ROC. Note also the relief: a company that accepts deposits **only from members** and **within the 35% limit** may do so on an **ordinary resolution** and need not treat it as a public invitation. Where the amount from members exceeds the prescribed limit or the company is eligible and going to the public, the higher bar applies. *Verify the precise resolution requirement against current ICAI material — this detail is frequently updated.*

Private companies — a lighter members' lane. A private company may accept deposits from its members. The general ceiling is that members' deposits plus paid-up-capital-linked limits apply, but **certain private companies** (e.g., those meeting conditions on borrowings, no default, being a startup for its first 5 years, or a "specified IFSC" / small company category per the Rules) may accept from members **up to 100% of paid-up capital + free reserves + securities premium** and with relaxed compliance — *confirm the exact eligibility conditions and the exemption notification in ICAI material.*

Which private companies get the 100% relaxation? Under the MCA exemption notification, a private company may accept from members up to **100%** of (paid-up capital + free reserves + securities premium) and skip several 73(2) conditions (circular, DPT-1 filing, DRRA, insurance) if it satisfies *any one* of these categories: 1. It accepts money from members **not exceeding 100%** of the aggregate above; **or** 2. It is a **startup**, for **5 years** from incorporation; **or** 3. It fulfils **all** of: (a) is **not** an associate or subsidiary of any other company, (b) its **borrowings** from banks/FIs/body corporate are **less than twice its paid-up capital or Rs. 50 crore, whichever is lower**, and (c) it has **not defaulted** in repaying such borrowings at the time of accepting deposits.

Even these relaxed companies must still **file the DPT-3 return** and disclose in the Board's report. The relaxation removes the heavy safety nets, not the reporting. *Confirm categories and figures against the current notification — the borrowings test in particular is examined precisely.*

4.3 The limits (thresholds) — Rules under Sections 73 & 76

The Rules cap **how much** can be taken, tying the cap to the company's own financial strength (paid-up capital + free reserves + securities premium account). The logic: *you may borrow from savers only in proportion to your own buffer to absorb losses.*

Lane	Ceiling on deposits (of paid-up capital + free reserves + securities premium)
Ordinary / non-eligible company — from members [Rule 3(3)]	Up to 35%
Eligible company — from members [Rule 3(4)]	Up to 10%
Eligible company — from public [Rule 3(4)]	Up to 25%
Eligible Government company — from public	Up to 35%
Exempt private companies (qualifying)	Up to 100% of paid-up capital + free reserves + securities premium (members only)

Memory hook: *Eligible company splits its 35 into 10 + 25.* The **10%** slice is reserved for its own **members**, the **25%** slice for the **public** — total 35%, mirroring the ordinary company's single 35% members' bucket. Government companies get the full **35%** even from the public because there is implicit sovereign backing.

Reading the limits correctly — three precision points examiners exploit: 1. **The base is one combined figure:** paid-up **share capital + free reserves + securities premium account**. Not just paid-up capital. Omitting securities premium or free reserves understates the ceiling and yields a wrong answer. 2. **The percentages are ceilings on the aggregate outstanding, not per-transaction limits.** You test the *total* deposits outstanding (existing + proposed) against the cap, not each fresh deposit alone. 3. **The eligible company's 10% and 25% are separate buckets.** Overshooting the members' 10% is a contravention even if total deposits are within 35%; you cannot borrow the unused public 25% headroom to hold more members' money. Each lane is independently capped.

Tenure: A company can accept a deposit for a term of **6 months minimum to 36 months maximum**. *Why the floor and ceiling?* The **6-month floor** stops companies from running quasi-current-account demand deposits (that's banking, which needs an RBI licence). The **36-month ceiling** stops indefinite locking-in of savers' money. (A short-term deposit down to **3 months** is permitted only to meet short-term needs and capped at **10% of paid-up capital + free reserves** — the narrow exception, not the rule.)

Interest / brokerage: Cannot exceed the maximum rate prescribed by the **RBI** for NBFC deposits. *Why?* The above-market rate was the Ponzi bait; capping it removes the incentive to lure savers into reckless companies. **Brokerage** is also capped and may be paid only to persons **authorised in writing** to solicit deposits; paying commission to an unauthorised agent, or above the ceiling, is a contravention. A neat exam distinction: **interest** rewards the depositor for the money; **brokerage** rewards the solicitor for bringing the money — both are capped so the cost of chasing deposits cannot spiral into Ponzi territory.

Premature repayment rule (the "reduce by 1%" idea). Where a company permits a depositor to withdraw *before* maturity, the interest payable is reduced — the rate is stepped down to the rate applicable to the period the deposit actually ran, and typically further reduced by **1%** (as a penalty for early exit). *Why:* it discourages runs and reflects that the depositor did not honour the agreed tenure. There are narrow exceptions (e.g., early repayment for the company's own restructuring, or death of the depositor, where no penalty stepping applies). *Confirm the exact percentage and exceptions in current ICAI material.*

4.4 The conditions (the safety nets) — Section 73(2)(a)–(e) and Section 76

Every company accepting deposits must satisfy **all** of these. Learn them as **five promises, each with its provable proof**:



Figure 4.4 — The chain of conditions: disclose, file, reserve, insure, certify — then repay.

(a) Section 73(2)(a) — Circular to members. Issue a **circular** (for public offers, an **advertisement** in newspapers) showing the company's **financial position, credit rating (if any), total deposits, and the amount due on account of deposits accepted earlier**. *Why*: directly attacks the **information-asymmetry** abuse. The saver now sees the company's real health and its track record of past deposits before parting with money.

(b) Section 73(2)(b) — File the circular with the Registrar. File a copy of the circular **at least 30 days before** issuing it. *Why*: creates an **independent, dated public record**, so the company cannot later deny what it promised, and the regulator can spot dodgy offers early.

(c) Section 73(2)(c) — Deposit Repayment Reserve Account (DRRA). On or **before 30th April** each year, deposit into a **separate bank account** (scheduled bank) a sum **not less than 20%** of the deposits **maturing during the following financial year**, and keep it **only** for repaying those deposits. *Why*: this is the heart of depositor protection — it directly attacks the **"spent it all, nothing at maturity"** abuse. Real cash, ring-fenced, cannot be touched for anything except repayment. *(Note: originally 15%; increased to 20% by amendment. Confirm the current figure and date in ICAI material.)*

Memory hook: "20 by April, for next year's maturity." Twenty percent, deposited by the thirtieth of April, covering deposits maturing in the coming financial year.

(d) Section 73(2)(d) — Deposit insurance. Provide **deposit insurance** in the manner and to the extent prescribed. *Why*: the last line of defence — if the company still fails, the insurer pays the saver. *(In practice this requirement has repeatedly been deferred/relaxed because no viable insurance product emerged. Know the section, and flag that its operation has been postponed — confirm current status in ICAI material.)*

(e) Section 73(2)(e) — Certify no subsisting default. Certify that the company **has not defaulted** in the repayment of deposits (or interest) accepted earlier — and if there was a default, that **5 years have elapsed** since it was made good. *Why*: stops the **serial defaulter** from raising fresh money to plug old holes. A company that already broke a promise must clean its slate before making new ones.

Additional condition — security. Deposits may be **secured or unsecured**. If secured, the company must create a **charge on its assets** within the prescribed time and appoint a **trustee for depositors** (execute a deposit trust deed at least 7 days before issuing the circular). Unsecured deposits must be **clearly stated as unsecured** in every document. **Security cap:** the amount of security (charge) must be **at least equal to the amount of deposits (and interest) that remain unsecured**, and the charge is to be created on the company's **tangible assets** — the security cannot exceed the market value of those assets as assessed by a registered valuer. A **partly secured** deposit must disclose the extent to which it is unsecured. *Why*: attacks the **"no recourse on default"** and **information-asymmetry** abuses simultaneously — a trustee independently watches over the depositors' interest, and savers know exactly whether they have security.

Who cannot be a deposit trustee. To keep the watchdog independent, a person cannot act as deposit trustee if he is a **director, KMP, or any other officer or employee of the company**, is **indebted to** the company, has any **material pecuniary relationship**, has entered into a guarantee arrangement for the deposits, or is **related** to anyone in those categories. A trustee can be removed only by an ordinary resolution **after** giving the existing trustee a reasonable opportunity of being heard. *Why:* a captured trustee protects the company, not the depositors — independence is the whole point.

For eligible companies (Section 76) — extra condition: Credit rating. Obtain **credit rating every year** from a recognised credit rating agency, disclose it in the circular/advertisement, and ensure the rating is **not below the minimum prescribed**. *Why:* the public cannot assess a company itself, so an **independent professional gatekeeper** grades it, yearly, so a deteriorating company is caught before it collects more money.

Validity window of the circular / advertisement. A circular or advertisement is valid **until the expiry of 6 months from the close of the financial year in which it was issued, or until the date of the AGM (whichever is earlier)**. After that a fresh circular is needed. *Why:* the disclosed financials go stale; a saver in month 11 should not be relying on year-old numbers. Examiners test the company that keeps collecting on an expired circular — a contravention.

4.5 Repayment, deposit trustee, register, and returns

- **Register of deposits:** The company must maintain, at its registered office, a **register of deposits** with all particulars, preserved for **8 years** from the financial year in which the latest entry is made. *Why:* an auditable trail so no deposit can be "forgotten" or hidden.
 - **Return of deposits — Form DPT-3:** File a **return of deposits** with the Registrar **on or before 30th June** every year, giving the position as on **31st March**, duly audited. DPT-3 also captures **money received that is not a deposit** (exempted receipts / outstanding loans) — the MCA uses it to keep sight of *all* borrowings. *Why:* annual, audited, independent reporting — the regulator sees the true deposit exposure and can act before a collapse.
 - **Circular filing — Form DPT-1** (circular/advertisement); **Deposit trust deed — Form DPT-2.**
 - **Nomination:** every depositor may nominate a person to whom the deposit devolves on death (parallel to the shareholder nomination machinery) — a small but tested consumer-protection detail.
 - **Auditor / director signing:** the circular and the return carry statements *verified/certified* by the company and, where required, the auditor — reinforcing that the disclosures are not mere marketing.
-

4.6 Consequences of default — Sections 73(4), 74, 75, 76A

This is where the law bares its teeth. Because the victims are the diffuse public, the sanctions are unusually harsh.

Section 73(4) — depositor's direct remedy. If the company **fails to repay** the deposit or interest on the due date, the **depositor may apply to the Tribunal (NCLT)** for an order directing repayment. *Why:* gives the helpless saver a fast, direct route to a court order without suing for breach of contract from scratch.

Section 74 — repayment of deposits accepted before the 2013 Act. Deposits that existed under the *old* Companies Act 1956 regime had to be dealt with: file a **statement** of such deposits with the Registrar and **repay** them within the time the Tribunal allows (as amended, broadly within the remaining tenure or as

extended). The Tribunal can grant time to a company that will suffer if forced to pay immediately, balancing depositor protection against company survival. *Why*: a transition bridge so the new law's protections reach *old* depositors too, without instantly bankrupting companies mid-tenure.

Section 75 — damages for fraud. Where a company **fails to repay** and it is proved the deposits were accepted with **intent to defraud** or for a fraudulent purpose, **every officer responsible** becomes **personally liable, without limitation of liability**, for all losses or damages suffered by the depositors — *in addition* to the Section 447 (fraud) punishment. *Why*: pierces the corporate veil for the worst abuse. When the money was taken by deceit, the individuals — not just the shell company — pay the depositors from their own pockets. This is the anti-Ponzi hammer.

A litigation detail on Section 75 — the class action. The suit for damages under Section 75 may be brought by **any depositor** on behalf of, and for the benefit of, **all depositors** affected (a representative/class remedy). *Why*: individual savers each lost too little to sue alone but collectively lost a fortune; the class device makes the remedy economically viable.

Section 76A — punishment for contravention (the omnibus penalty). If a company accepts or invites deposits in contravention, or fails to repay within the allowed time:

- The **company** shall pay a **fine of not less than Rs. 1 crore or twice the amount of deposits accepted, whichever is lower, up to Rs. 10 crore; plus** the amount due to depositors **with interest; and**
- **every officer in default** is punishable with **imprisonment up to 7 years and with fine of not less than Rs. 25 lakh up to Rs. 2 crore** (post the 2017 amendment this is **both** imprisonment *and* fine — not "either/or").
- If it is proved the officer acted with **intent to deceive** the company, shareholders, depositors or creditors, the officer also attracts **Section 447** (fraud).

Memory hook for 76A: "1 to 10 for the company, 25 lakh to 2 crore + up to 7 years for the officer." The company's floor fine is the **larger** of a real deterrent; the officer faces **jail**, because deposit fraud steals from the most vulnerable.

Reading the company's fine correctly (the double "whichever" trap). The floor of the company fine is *itself* a "whichever is lower" between **Rs. 1 crore** and **twice the deposit amount** — then subject to a maximum of **Rs. 10 crore**. So for a *small* contravention (say deposits of Rs. 30 lakh), twice the deposits is Rs. 60 lakh, which is lower than Rs. 1 crore, so the minimum fine is **Rs. 60 lakh**, not Rs. 1 crore. Students wrongly apply a flat "minimum Rs. 1 crore". The "twice the amount" limb exists precisely so a tiny company is not crushed by a Rs. 1 crore floor. **And separately** the depositors must still be repaid principal **plus interest** — the fine is punitive, the repayment is restitutionary; they are additive, not alternatives.

Why so severe? Ordinary contract breach hurts one counterparty who chose the deal; deposit default hurts thousands of unsophisticated savers who trusted a public promise. The penalty scales with the social harm.

Compounding note. Because Section 76A carries imprisonment as a possible punishment for the officer, certain contraventions may not be freely compoundable in the way purely fine-only defaults are. *Confirm compounding treatment in current ICAI material* — it is an occasional twist in problem questions.

5. Applied Scenarios — Reasoning to the Right Legal Outcome

Scenario 1 — The "advance" that overstayed. *Facts:* Zenith Pvt Ltd receives Rs. 40 lakh from a customer in April 2025 as an advance against future supply of machinery. By April 2026 (13 months later) no machinery has been supplied and the advance is still sitting in Zenith's account, earning the customer nothing.

Reasoning: An advance for supply of goods is an **exempted receipt (not a deposit)** — but **only if appropriated within 365 days**. Once the 365-day clock runs out without supply, and the company has no legal right to retain it, the receipt **converts into a deposit** by operation of Rule 2(1)(c). *Outcome:* From the moment the 365 days lapse, the Rs. 40 lakh is a **deposit**. Zenith (a private company) can only hold deposits from members; a **customer is not a member**, and Zenith has not complied with Section 73(2). It is now in **contravention** — exposed to Section 76A, and the customer can approach NCLT under 73(4). Lesson: exemptions are conditional; the clock matters.

Scenario 2 — Members-only company eyes the public. *Facts:* Apex Ltd, an unlisted public company with net worth Rs. 60 crore and turnover Rs. 200 crore, wants to raise Rs. 20 crore by advertising deposits to the general public at attractive rates. *Reasoning:* Only an **eligible company** may take deposits from the public — net worth $\geq$ **100 crore OR turnover $\geq$ 500 crore**. Apex has **neither** ($60 < 100$; $200 < 500$). Therefore Apex is **not eligible** and is barred by Section 73(1) from inviting the public. *Outcome:* Apex may accept deposits **only from its members** under Section 73(2), subject to the **35%** ceiling and all five conditions (circular, DPT-1 filing, DRRA, insurance where notified, no-default certificate). Advertising to the public would breach Section 73(1) and trigger Section 76A. Lesson: the 100/500 test is a hard gate to the public lane.

Scenario 3 — The reserve that wasn't funded. *Facts:* Corley Ltd (eligible company) has Rs. 50 crore of public deposits maturing in FY 2026-27. By 30 April 2026 it has set aside only Rs. 4 crore in the Deposit Repayment Reserve Account, and it used part of even that to pay a supplier. *Reasoning:* Section 73(2)(c) requires depositing **at least 20%** of deposits maturing next year into a **separate account by 30 April**, usable **only** for repaying those deposits. 20% of Rs. 50 crore = **Rs. 10 crore** required; Corley has Rs. 4 crore, and worse, **diverted** part of the reserve. Both the shortfall and the diversion are contraventions. *Outcome:* Corley is in **default of a core condition**. The company faces Section 76A penalty; officers who authorised the diversion face fine and possible imprisonment, and if intent to deceive is shown, Section 447. Depositors maturing in FY 2026-27 are precisely the people the reserve was meant to protect. Lesson: the DRRA is real cash, ring-fenced — touching it is not a technical slip, it is the exact abuse the section exists to stop.

Scenario 4 — Director's loan vs. relative's loan. *Facts:* Nova Pvt Ltd receives Rs. 15 lakh from Director A (who declares in writing the money is his own, not borrowed) and Rs. 10 lakh from A's brother. *Reasoning:* Money from a **director** with a **written non-borrowed declaration** is an **exempted receipt** — not a deposit. Money from a **relative of a director** in a **private company** is also exempt, but the amendments require a similar **written declaration** that it is not from borrowed funds, and it must be disclosed in the Board's report. *Outcome:* Director A's Rs. 15 lakh is safely **not a deposit**. The brother's Rs. 10 lakh is **not a deposit only if** the written declaration is obtained (Nova being private) and disclosed; without it, it risks reclassification as a deposit. Lesson: the exemption for insiders hinges on the **declaration** — the paperwork is the safeguard against laundering borrowed public money in through the back door.

Scenario 5 — Computing the members' deposit ceiling (numerical, exam-hard). *Facts:* Bright Ltd (an ordinary, non-eligible public company) has: paid-up share capital Rs. 8 crore, securities premium Rs. 2 crore, free reserves Rs. 5 crore, and a revaluation reserve of Rs. 3 crore. It already holds Rs. 4.2 crore of deposits from members. How much *more* can it accept from members? *Reasoning:* Ordinary company members' limit is **35% of (paid-up capital + free reserves + securities premium)** [Rule 3(3)]. Note the trap: **revaluation**

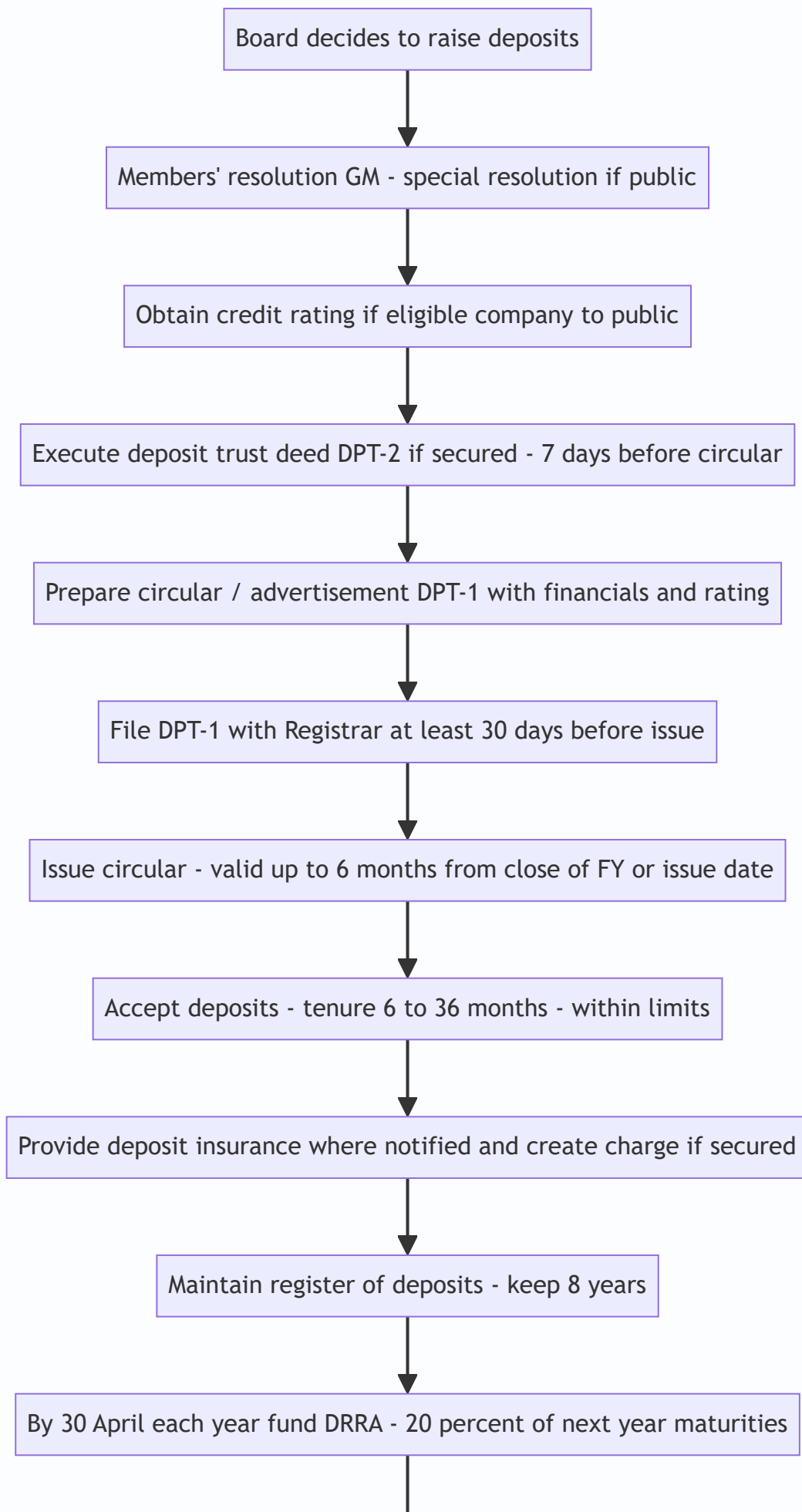
reserve is NOT a free reserve (a free reserve must be available for dividend; a revaluation reserve is an unrealised notional gain, expressly excluded by Section 2(43)). So the base is **8 + 2 + 5 = Rs. 15 crore**, not Rs. 18 crore. *Computation:* Ceiling = $35\% \times 15 = \text{Rs. 5.25 crore}$. Already outstanding = Rs. 4.2 crore. Headroom = $5.25 - 4.2 = \text{Rs. 1.05 crore}$. *Self-check:* If Bright accepts Rs. 1.05 crore more, total = Rs. 5.25 crore = exactly 35% of Rs. 15 crore. ✓ Correct. Had we wrongly included the Rs. 3 crore revaluation reserve, we'd have got $35\% \times 18 = \text{Rs. 6.3 crore}$ ceiling and overstated headroom by Rs. 1.05 crore — a classic marks-losing error. *Outcome:* Bright may accept a **maximum of Rs. 1.05 crore** further from members. Lesson: get the *base* right (exclude revaluation reserve) before touching the percentage.

Scenario 6 — Eligible company splitting its buckets (numerical, two-lane). *Facts:* Titan Ltd is an eligible company (net worth Rs. 120 crore). Its (paid-up capital + free reserves + securities premium) = Rs. 200 crore. It currently holds Rs. 15 crore of deposits from members and Rs. 40 crore from the public. It wants to accept Rs. 8 crore more from members and Rs. 12 crore more from the public. Is either possible? *Reasoning:* Eligible company caps are **10% from members** and **25% from public**, tested **separately** [Rule 3(4)]. - Members' ceiling = $10\% \times 200 = \text{Rs. 20 crore}$. Current members' deposits = Rs. 15 crore → headroom Rs. 5 crore. Proposed Rs. 8 crore **exceeds** the Rs. 5 crore headroom → **not allowed** in full; only Rs. 5 crore more can be taken from members. - Public ceiling = $25\% \times 200 = \text{Rs. 50 crore}$. Current public deposits = Rs. 40 crore → headroom Rs. 10 crore. Proposed Rs. 12 crore **exceeds** Rs. 10 crore → only Rs. 10 crore more allowed. *Self-check:* Members after = $15 + 5 = 20$ (=10% ✓). Public after = $40 + 10 = 50$ (=25% ✓). Note you **cannot** lend the unused members' room to the public or vice-versa — the buckets are independent, so total 70 crore = 35% is a coincidence of both being full, not a single 35% pool. *Outcome:* Titan may accept only **Rs. 5 crore more from members** and **Rs. 10 crore more from the public**, not the Rs. 8 + Rs. 12 crore proposed. Lesson: test each lane against its own cap; never merge them into one 35% bucket for an eligible company.

Scenario 7 — Share application money that turned into a deposit (numerical + date logic). *Facts:* Vega Ltd receives Rs. 3 crore as share application money on 1 January 2026 for a proposed allotment. By 2 March 2026 (60 days) the shares are still not allotted. The company neither allots nor refunds until 25 March 2026, when it refunds the full Rs. 3 crore. *Reasoning:* Share application money is exempt **only if shares are allotted within 60 days**; if not allotted, it must be **refunded within 15 days** of the 60-day expiry. 60 days from 1 Jan = **2 March 2026**. The 15-day refund window then runs to **17 March 2026**. Vega refunded on **25 March — 8 days late**. *Outcome:* Because the money was neither allotted within 60 days nor refunded within the next 15 days, the Rs. 3 crore is **deemed a deposit** from the **expiry of the 15 days (i.e., from 18 March 2026)**. Vega — if it is not eligible/compliant — is in contravention for the period the money was a deposit, even though it eventually refunded. Actual refund does not retroactively cure the conversion. Lesson: the 60/15 clock is unforgiving; *lateness converts, and later repayment does not un-convert*.

Scenario 8 — Small-fine contravention (testing the "twice the deposits" limb). *Facts:* Micro Ltd wrongfully accepts Rs. 30 lakh of deposits in contravention of the Chapter and fails to repay. What minimum penalty does the *company* face under Section 76A? *Reasoning:* The company's minimum fine is the **lower of Rs. 1 crore OR twice the deposits accepted**, capped at Rs. 10 crore, **plus** repayment with interest. Twice Rs. 30 lakh = **Rs. 60 lakh**, which is *lower* than Rs. 1 crore. *Outcome:* The minimum fine is **Rs. 60 lakh** (not Rs. 1 crore), **plus** repayment of Rs. 30 lakh with interest to depositors, **plus** the officers face Rs. 25 lakh–Rs. 2 crore **and** up to 7 years. Lesson: don't reflexively state "minimum Rs. 1 crore" — the "twice the amount" limb protects small contraveners and is frequently tested.

6. Procedure / Compliance Summary



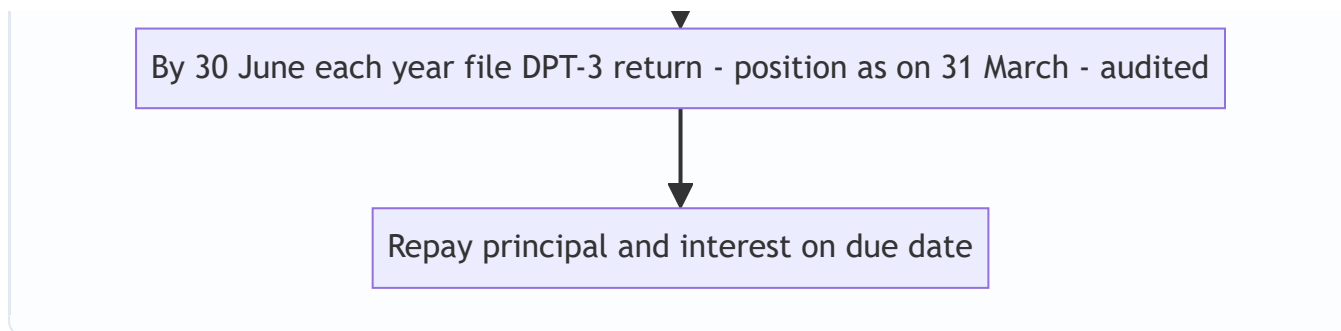


Figure 6 — End-to-end deposit compliance lifecycle, with the two annual anchors: 30 April (reserve) and 30 June (return).

Timeline of the recurring dates:



Figure 6b — The compliance calendar: snapshot on 31 March, reserve by 30 April, return by 30 June.

Key forms: **DPT-1** (circular/advertisement), **DPT-2** (deposit trust deed), **DPT-3** (annual return of deposits and particulars of non-deposit receipts), **DPT-4** (statement of pre-Act deposits under Section 74).

The four DPT forms as a quick mnemonic: *One invites, Two protects, Three reports, Four transitions.* DPT-1 invites (circular/ad); DPT-2 protects (trust deed for security); DPT-3 reports (annual return); DPT-4 transitions (statement of old, pre-2013-Act deposits). Getting a form number wrong is an easy 1-mark loss in a procedural question.

7. Connections to Other Chapters and Laws

- **Definitions (Ch. on Definitions):** "Deposit" **2(31)**; "private company" **2(68)**; "public company" **2(71)**; "free reserves" **2(43)** feed the ceiling calculations; "relative" **2(77)** governs the insider exemption.
- **Board & General Meeting powers:** the members' **ordinary/special resolution** authorising deposits ties to **Section 179** (Board powers) and the general-meeting machinery of **Sections 96–114**.
- **Share capital vs. deposits:** share application money is exempt *only* if allotted in 60 days — links to **Section 42** (private placement) and **Section 62** (further issue). Money that should have become shares but didn't becomes a deposit.
- **Charges:** secured deposits require **registration of charge** under **Sections 77–87**.
- **Fraud:** Sections 75 and 76A both hook into **Section 447** (punishment for fraud) — the same anti-fraud spine that runs through the whole Act.
- **NBFC / RBI regime:** deposit-taking as a *business* is an NBFC activity regulated by the **RBI Act 1934**; the Companies Act carve-outs are drawn **in consultation with RBI**, and the interest cap references RBI's NBFC ceiling. Banks are excluded because they are separately regulated.
- **Audit & Directors' Report:** the auditor reports on deposit compliance (CARO), and the Board's report discloses details of deposits and any non-compliance.
- **Loans to directors (Section 185) and inter-corporate loans (Section 186):** the *mirror image* of this chapter. Sections 73–76 govern money **flowing into** the company from savers; Sections 185–186 govern

money **flowing out** as loans. The inter-corporate *receipt* is exempt here precisely because the *giving* company is separately regulated under 186.

- **Companies (Prospectus and Allotment of Securities):** the anti-parking clock on share application money interlocks with allotment timelines — a receipt straddles two chapters and can be tested from either side.
-

8. Traps & Examiner Tricks

1. **"Includes loan" is the whole trap.** A "loan" from the public **is** a deposit. Candidates wrongly assume only fixed-deposit-style receipts count. Under 2(31) money "in any other form" is caught — the exemption list is the *only* escape.
2. **The 60/15 and 365 clocks.** Share application money and trade advances are exempt *only while within their clocks*. Examiners love the fact pattern where the clock has expired — the receipt silently **becomes** a deposit. Watch the dates.
3. **Members vs. public.** Ordinary company = **members only (35%)**. Only an **eligible company** (100 cr net worth OR 500 cr turnover) can touch the **public (25%)**, and its members' slice shrinks to **10%**. Don't apply the 35% members' figure to an eligible company's public deposits.
4. **OR, not AND, for eligibility.** Net worth 100 crore **OR** turnover 500 crore — meeting **either** makes it eligible. Candidates wrongly require both.
5. **Special vs. ordinary resolution.** Public deposits (Section 76) need a **special resolution**; members' deposits (Section 73) need an ordinary resolution in general meeting. Easy to swap.
6. **DRRA percentage and date.** It is **20%** (raised from 15%) of deposits maturing in the **next** financial year, funded by **30 April**. Common wrong answers: "15%", "of total deposits", "by 31 March". The reserve is for **next year's** maturities, not this year's total.
7. **Deposit insurance is on paper but deferred.** Know Section 73(2)(d) exists; also know its operation has been **postponed** repeatedly. Stating it as fully operative can be marked wrong — flag it.
8. **Director vs. relative declaration.** A **director's** loan needs a written declaration it's **not borrowed**. A **relative's** loan is exempt only for **private companies** and (post-amendment) also needs the declaration. Don't extend the relative exemption to public companies.
9. **6 to 36 months, not 6 to 60.** Maximum tenure is **36 months** (3 years), not 5. The **3-month** short-term deposit is a narrow exception capped at 10%.
10. **DPT-3 is not only for deposits.** It also reports **exempted receipts / outstanding loans**. A company with *no* deposits but with loans may still have to file DPT-3. Students think "no deposits, no return" — wrong.
11. **Government company limits differ.** An eligible **Government** company can take **35%** from the public (vs. 25% for a private-sector eligible company) because of implicit State backing.
12. **Section 74 is about old deposits.** Don't confuse Section 74 (transition of pre-2013-Act deposits) with the ongoing repayment obligation. Section 74 is a one-time bridge.
13. **Revaluation reserve is NOT a free reserve.** When computing the base for the 35%/10%/25% caps, exclude revaluation reserve and unrealised gains (Section 2(43)). Including it overstates the ceiling — a favourite numerical trap (see Scenario 5).
14. **"Company" ≠ "firm/LLP" in the inter-corporate exemption.** Money from another *company* is exempt; money from a partnership firm or LLP is **not**. Watch the entity type of the lender.

15. **The company fine has a "twice the deposits" floor, not a flat Rs. 1 crore.** For small contraventions the minimum is twice the deposits if that is lower than Rs. 1 crore (Scenario 8). And the fine is **in addition to** repaying depositors with interest, not instead of.
 16. **Buckets don't merge for eligible companies.** The 10% members' cap and 25% public cap are tested **separately**; unused headroom in one lane cannot be borrowed by the other (Scenario 6).
 17. **Employee security deposit must be non-interest-bearing and within annual salary.** Add interest, or exceed the salary, and the exemption is lost. Also it is a *security* deposit under a contract of employment, not a general loan from an employee.
 18. **Later refund does not un-convert a deposit.** Once a receipt has crossed its clock and become a deposit, subsequently refunding it does not erase the contravention for the period it was an unlawful deposit (Scenario 7).
 19. **Promoter loan exemption dies with the bank loan.** It is exempt only while the stipulating bank/FI loan subsists; once that loan is repaid, the promoter's money is no longer covered.
 20. **Circular has a shelf life.** A circular/advertisement is valid only up to 6 months from the close of the FY or the AGM date, whichever is earlier — collecting on a stale circular is a contravention.
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9. First-Principles Recap

Strip everything away and the chapter is one causal chain:

- A company can collect the **public's savings** with only a **promise**. That promise can be **empty** — spent, lost, or stolen — and the saver is **diffuse, uninformed, and unsecured**. That is the abuse.
- So the law **defines "deposit" widely** (2(31)) to defeat disguises, then **exempts narrowly** (Rule 2(1)(c)) only money whose source already has protection.
- It then **grades permission by risk**: strangers are hardest (only **eligible** public companies, Section 76, with **rating**), members are easier (Section 73), insiders are exempt (director/relative declarations).
- Every promise gets a **provable, independent provision**: disclose (circular), record (file with Registrar), **fund** (20% reserve by 30 April), insure, and certify no default — plus rating and trustee for the riskiest lane.
- It **caps quantity** to the company's own buffer (35% / 10% / 25% / 100%) and **caps price** to RBI's rate so the Ponzi bait disappears.
- And it makes **default a public wrong**: NCLT can order repayment (73(4)), officers can be **personally, unlimitedly liable** for fraud (75), and the omnibus penalty (76A) reaches **Rs. 10 crore** on the company and **7 years' jail** for the officer.

The one sentence to carry into the hall: *Define widely, exempt only the self-protected, fence the rest in proportion to how helpless the saver is, force provable safety nets, and punish default as a public wrong.* If you can reconstruct that sentence, you can re-derive almost every rule and number rather than recall it.

Learn the *fears*, and every number — 100, 500, 35, 25, 10, 20%, 60, 15, 365, 6–36 months, 30 April, 30 June — hangs on a reason instead of floating in memory.

10. Quick-Revision Sheet

Item	Provision	Number / Limit	The "why" in three words
Definition of deposit	Sec 2(31)	"loan or any other form"	Defeat disguises
Exempted receipts	Rule 2(1)(c)	closed list	Source already safe
Share application money clock	Rule 2(1)(c)	allot in 60 days, refund in 15	Anti-parking
Trade/service advance clock	Rule 2(1)(c)	adjust in 365 days	Anti-parking
Inter-corporate receipt	Rule 2(1)(c)	from a company only (not firm/LLP)	Lender not helpless
Employee security deposit	Rule 2(1)(c)	≤ annual salary, non-interest	Genuine employment
Promoter loan	Rule 2(1)(c)	while bank/FI loan subsists	Forced by lender
General prohibition / members' lane	Sec 73	members-only for ordinary cos	Trust members over public
Eligible company (public lane)	Sec 76	net worth ≥ 100 cr OR turnover ≥ 500 cr	Earn the right to the public
Resolution needed	Sec 73 / 76	ordinary (members) / special (public)	Graver act, higher bar
Limit — ordinary co (members)	Rule 3(3)	35% of cap+reserves+premium	Borrow within your buffer
Limit — eligible co (members)	Rule 3(4)	10%	Reserve slice for insiders
Limit — eligible co (public)	Rule 3(4)	25%	Fenced public exposure
Limit — Govt eligible co (public)	Rule 3(4)	35%	Sovereign backing
Limit — exempt private co	Notification	up to 100% (members)	Insider trust
Base for the caps	Sec 2(43)	cap + free reserves + premium (exclude revaluation)	Real buffer only
Tenure	Rules	6 to 36 months (short-term 3 mo, ≤10%)	No demand banking, no infinite lock
Interest cap / brokerage	Rules	≤ RBI NBFC max rate; brokerage to authorised persons	Remove Ponzi bait

Item	Provision	Number / Limit	The "why" in three words
Premature repayment	Rules	rate stepped down, ~1% penalty	Discourage runs
Circular	Sec 73(2)(a) / DPT-1	financials + rating + past deposits	Kill information asymmetry
Circular validity	Rules	6 months from FY close or AGM, earlier	Numbers go stale
File circular	Sec 73(2)(b)	30 days before issue	Independent dated record
Deposit Repayment Reserve	Sec 73(2)(c)	20% of next-yr maturities, by 30 April , separate a/c	Real cash for real repayment
Deposit insurance	Sec 73(2)(d)	as prescribed (deferred)	Last line of defence
No-default certificate	Sec 73(2)(e)	5 yrs since default cured	Stop serial defaulters
Credit rating	Sec 76 + Rules	every year, min grade	Independent gatekeeper
Deposit trustee / charge	Rules / DPT-2	trust deed 7 days before circular; independent trustee	Watchdog + recourse
Register of deposits	Rules	keep 8 years	Auditable trail
Annual return	Rules / DPT-3	by 30 June , position as on 31 March	Regulator oversight
Depositor remedy	Sec 73(4)	apply to NCLT	Fast route for the helpless
Pre-Act deposits	Sec 74 / DPT-4	statement + repay in Tribunal's time	Transition bridge
Fraud — personal liability	Sec 75	unlimited personal liability + Sec 447; class suit	Pierce the veil
Contravention penalty	Sec 76A	company lower of 1 cr or 2× deposits, up to 10 cr + repay with interest; officer 25 lakh–2 cr and up to 7 yrs	Social harm = harsh sanction

Confirm the exact current figures (DRRA %, penalty bands, exemption list, insurance status, private-company exemption conditions, premature-repayment penalty) against the latest ICAI Study Material and the bare Companies Act 2013 / Deposit Rules before the exam — these have been amended multiple times.

Q&A — Acceptance of Deposits

CA Intermediate | Corporate & Other Laws | Companies Act, 2013 — Sections 73–76A read with the Companies (Acceptance of Deposits) Rules, 2014.

Scope note: Section numbers refer to the Companies Act, 2013. Rule numbers refer to the Companies (Acceptance of Deposits) Rules, 2014. Where a figure or nuance is subject to periodic amendment (limits, DPT-3 dates), it is flagged. Nothing below invents a provision; uncertain points are marked [verify].

SECTION A — Concept-Check Questions (with answers)

A1. Define "deposit" under the Companies Act, 2013. Answer: Under **Section 2(31)**, "deposit" includes any receipt of money by way of deposit or loan or in any other form by a company, but does **not** include such categories as may be **prescribed** in consultation with the RBI. The exclusions are listed in **Rule 2(1)(c)** of the Deposit Rules — i.e., the Act gives a wide inclusive definition and the Rules carve out what is *not* a deposit.

A2. Name any five receipts that are NOT treated as deposits. Answer: Under **Rule 2(1)(c)**, the following (among others) are excluded: (i) amounts received from the Central/State Government or guaranteed by them; (ii) loans from banks and financial institutions; (iii) amounts received from another company (inter-corporate loans); (iv) money raised through issue of commercial paper; (v) amounts received against subscription to securities (share application money) pending allotment, **provided allotment is made within 60 days** and refunded within 15 days thereafter; (vi) amounts from a director (or a member, for private companies) out of own funds with a declaration; (vii) amounts from an employee not exceeding annual salary as a non-interest bearing security deposit.

A3. Distinguish "eligible company" from other public companies for deposit purposes. Answer: Under **Rule 2(1)(e)**, an **eligible company** is a public company having (a) net worth of not less than **Rs. 100 crore**, OR (b) turnover of not less than **Rs. 500 crore**, and which has passed a **special resolution** (and filed it with ROC) to accept deposits from the **public**. Only eligible companies may accept deposits from persons other than members, under **Section 76**. Ordinary public companies and private companies can accept deposits only from **members** under **Section 73(2)**.

A4. What is the DRR / Deposit Repayment Reserve Account and how much must be deposited? Answer: Under **Section 73(2)(c)** read with **Rule 13**, a company accepting deposits must, on or before **30th April** each year, deposit into a scheduled bank in a separate "**Deposit Repayment Reserve Account**" a sum not less than **20%** of the amount of deposits **maturing during the following financial year**. This sum cannot be used for any purpose other than repayment of deposits.

A5. State the ceiling limits on deposits for a members-scheme (Section 73) eligible/other company. Answer: Under **Rule 3**: For a **private company**, deposits from members may not exceed **100%** of aggregate of paid-up share capital, free reserves and securities premium (certain start-ups/specified private companies are exempt from limits [verify current exemption notification]). For a **non-eligible public company** accepting from members under Section 73, the limit is **35%** of paid-up capital + free reserves + securities premium. For an **eligible company** from members, **10%**, and from public, up to **25%** of the same aggregate.

A6. What credit rating requirement applies to eligible companies? Answer: Under **Rule 3(8)**, every eligible company must obtain, at the time of inviting deposits and every year during the tenure, a **credit rating** from a recognised credit rating agency, and the rating must not be below the **minimum investment grade** prescribed for the relevant rating instrument. The rating must be disclosed in the circular/advertisement.

A7. What is the minimum and maximum tenure of a deposit? Answer: Under **Rule 3(1)**, deposits may be accepted for a term of **not less than 6 months and not more than 36 months**. Shorter deposits (min 3 months) are allowed only to meet short-term needs and only up to **10%** of paid-up capital + free reserves + securities premium.

A8. What is deposit insurance and its current status? Answer: **Rule 5** originally required a company to enter into a **deposit insurance contract** at least 30 days before inviting deposits. However, this requirement has been kept in **abeyance/deferred** repeatedly because insurance products were unavailable in the market. **[verify current abeyance status]** — in exams, state the rule and note it stands deferred.

SECTION B — Applied Problem / Scenario Questions (ICAI style)

B1. Members-only vs public deposits. Facts: Sunrise Ltd, an unlisted public company with paid-up capital + free reserves of Rs. 40 crore and net worth of Rs. 45 crore, wishes to accept Rs. 20 crore of deposits from the general public. **Provision:** Under **Section 76(1)** read with **Rule 2(1)(e)**, only an **eligible company** (net worth $\geq$ Rs. 100 crore or turnover $\geq$ Rs. 500 crore) may accept deposits from the public. A non-eligible public company can accept deposits only from its **members** under **Section 73(2)**, subject to a **35%** ceiling (**Rule 3**). **Analysis:** Sunrise Ltd's net worth (Rs. 45 cr) and (assumed) turnover fall below the eligibility thresholds. Hence it is **not** an eligible company and cannot accept public deposits. From members, it could accept only up to 35% of Rs. 40 crore = **Rs. 14 crore**. **Conclusion:** Sunrise Ltd cannot accept Rs. 20 crore from the public; it may accept up to Rs. 14 crore from members after complying with Section 73 conditions.

B2. Loan from a director. Facts: Mr. Rao, a director of Zeal Pvt Ltd, gives the company Rs. 50 lakh from his personal savings. The company does not treat it as a deposit. Is this correct? **Provision:** Under **Rule 2(1)(c)(viii)**, any amount received from a **director** of the company (or a relative of a director in the case of a private company) is **excluded from "deposit"**, provided the director furnishes a **written declaration** that the amount is **not given out of borrowed funds** and is from his own funds. **Analysis:** As Mr. Rao gave the amount from personal savings and (assuming) files the declaration, it is not a deposit. The company must disclose the details in the **Board's report**. **Conclusion:** Correct — the Rs. 50 lakh is not a deposit, provided the declaration is obtained and disclosed.

B3. Share application money pending allotment. Facts: Orbit Ltd received Rs. 2 crore as share application money on 1 Jan; it allotted shares only on 20 March (78 days later). **Provision:** Under **Rule 2(1)(c)(vii)**, advance for securities is not a deposit only if shares are **allotted within 60 days**; if not allotted and not refunded within 15 days thereafter, the amount is **deemed to be a deposit** from the expiry of 60 days. **Analysis:** Allotment happened on day 78 (> 60 days). The amount thus became a **deemed deposit** on the 61st day, and Orbit Ltd contravened the deposit provisions retrospectively. **Conclusion:** The Rs. 2 crore is treated as a deposit accepted in violation of Section 73/76, attracting penalties under **Section 76A**.

B4. Repayment default and Tribunal. Facts: Delta Ltd, an eligible company, is unable to repay Rs. 5 crore of matured public deposits on the due date. **Provision:** Under **Section 73(4)**, on failure to repay, the **depositor** may apply to the **National Company Law Tribunal (NCLT)**, which may order repayment. Further, under

Section 74, deposits accepted before the commencement of the Act had a repayment mechanism; and **Section 76A** imposes penalties for contravention. The company and officers in default face fine and imprisonment. **Analysis:** Delta's depositors can approach the NCLT for a repayment order. Continued default triggers **Section 76A**: company fine of not less than Rs. 1 crore or twice the deposit amount (whichever is lower), extendable to Rs. 10 crore; and every officer in default may face imprisonment up to 7 years and fine. **Conclusion:** Depositors may seek NCLT relief; Delta and its officers are exposed to Section 76A penalties, including possible fraud liability under Section 447 if wilful.

SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Explain the conditions a company must satisfy before accepting deposits from its members under Section 73(2)." (6 marks) Model Answer: Under **Section 73(2)**, a company (other than a banking/NBFC) may accept deposits from members after passing a resolution in general meeting and complying with **Rule 3** conditions, namely: (a) **Circular to members** — issue a circular showing financial position, credit rating (if applicable), total deposits, etc.; (b) **File circular** with the Registrar at least 30 days before issue (Form **DPT-1**); (c) **Deposit Repayment Reserve** — deposit at least **20%** of deposits maturing next year in a scheduled bank by 30 April [Sec 73(2)(c), Rule 13]; (d) **Deposit insurance** — provide insurance (currently in abeyance) [Sec 73(2)(d)]; (e) **Certify no default** — certify the company has not defaulted in repayment of deposits; (f) **Security** — provide security or declare it as unsecured; (g) Comply with tenure (6–36 months) and ceiling limits (Rule 3).

C2. "Describe the penal consequences for contravention of the deposit provisions." (5 marks) Model Answer: Under **Section 76A**, where a company accepts or invites deposits in contravention of Sections 73/76 or the Rules, or fails to repay deposits/interest within the time specified: - The **company** is punishable with fine not less than **Rs. 1 crore or twice the amount of deposit** accepted (whichever is **lower**), extendable up to **Rs. 10 crore**; and this is **in addition** to repayment of deposit and interest. - Every **officer in default** is punishable with **imprisonment up to 7 years** and fine of not less than Rs. 25 lakh up to Rs. 2 crore. - If it is proved the officer acted **wilfully / with intent to defraud**, he is also liable under **Section 447** (fraud).

C3. "What amounts are excluded from the definition of 'deposit'? List any eight." (6 marks) Model Answer: Per **Rule 2(1)(c)**, excluded amounts include: (1) from Central/State Govt or govt-guaranteed; (2) from foreign govts/foreign banks (subject to FEMA); (3) loans from banking companies and public financial institutions; (4) money via commercial paper; (5) from another company; (6) share application money pending allotment (60-day rule); (7) from a director/relative with declaration of own funds; (8) secured bonds/debentures or those convertible/listed; (9) non-interest security deposit from an employee up to annual salary; (10) advance for supply of goods/services (subject to time limits); (11) amounts brought in by promoters as unsecured loans in fulfilment of a lending stipulation. (Any eight suffice.)

C4. "Explain Sections 74 and 75 relating to repayment of deposits accepted before the Act and damages for fraud." (5 marks) Model Answer: **Section 74** deals with deposits accepted **before the commencement of the 2013 Act** that remained unpaid: the company had to file a statement (Form **DPT-4**) of all outstanding deposits and repay them within the time specified/ as ordered by the Tribunal. **Section 75** provides that where a company **fails to repay deposits** and it is proved the deposits were accepted with **intent to defraud** depositors or for a fraudulent purpose, every officer responsible is **personally liable, without limitation of liability**, for all losses/damages suffered by the depositors — over and above Section 76A penalties and Section 447 fraud liability.

SECTION D — MCQs / Case Scenarios

- D1.** Maximum tenure for which a company may accept a deposit is: A) 12 months B) 24 months C) **36 months** D) 60 months **Answer: C.** Rule 3(1) caps deposit tenure at 36 months.
- D2.** An "eligible company" must have net worth of at least ___ or turnover of at least ___: A) Rs. 50 cr / Rs. 250 cr B) **Rs. 100 cr / Rs. 500 cr** C) Rs. 500 cr / Rs. 100 cr D) Rs. 10 cr / Rs. 100 cr **Answer: B.** Rule 2(1)(e).
- D3.** Minimum percentage of next year's maturing deposits to be kept in the Deposit Repayment Reserve Account: A) 10% B) 15% C) **20%** D) 25% **Answer: C.** Section 73(2)(c) read with Rule 13.
- D4.** Return of deposits to be filed annually with the Registrar is in Form: A) DPT-1 B) DPT-2 C) **DPT-3** D) DPT-4 **Answer: C.** Rule 16 — DPT-3 filed on or before 30 June for the year ended 31 March.
- D5.** Share application money not allotted within 60 days and not refunded within the next 15 days is: A) Refunded automatically B) A loan C) **Deemed a deposit** D) Forfeited **Answer: C.** Rule 2(1)(c)(vii).
- D6. Case scenario:** Nova Pvt Ltd accepts Rs. 30 lakh from a person who is neither a member nor a director. This is: A) Valid deposit from public B) **A contravention — private companies cannot accept from public** C) Valid inter-corporate loan D) Exempt **Answer: B.** A private company may accept deposits only from members (Section 73) — not from the public (Section 76 is limited to eligible public companies).
- D7.** Penalty on the company under Section 76A is minimum: A) Rs. 10 lakh B) **Rs. 1 crore or twice the deposit, whichever lower** C) Rs. 5 crore fixed D) Rs. 25 lakh **Answer: B.**
-

Mermaid — Deposit Acceptance Decision Flow



Syntax error in text
mermaid version 10.9.6

Traps & Examiner Tricks

- **Members vs public:** Private companies can NEVER accept public deposits; only *eligible* public companies can (Sec 76). Examiners test this with a private company scenario.
- **20% DRR vs 15%:** The Deposit Repayment Reserve is **20%** (post-amendment); older material said 15% — quote 20% under Rule 13. **[verify latest]**
- **"Whichever is lower"** in Section 76A company fine (Rs. 1 cr or twice deposit) — students wrongly write "higher".
- **60 + 15 day rule** for share application money — both limbs must be recalled.
- **Director's declaration** must state funds are *not borrowed*; for members giving loans to a **private** company the same relative exclusion applies.

- **DPT-4** is the one-time statement under Section 74 (pre-Act deposits), not the annual return (that is DPT-3).

First-Principles Recap

Depositors got burned because companies took public money with no ring-fence. The Act's answer: **restrict who can take deposits** (only members, or eligible companies from public), **cap how much** (Rule 3 limits), **reserve repayment cash** (20% DRR), **disclose and rate** (DPT-1, credit rating), **file and track** (DPT-3), and **punish default hard** (Sec 76A, 75, 447). Trust, but ring-fence.

Quick-Revision Sheet

Item	Provision	Figure
Definition	Sec 2(31) + Rule 2(1)(c)	inclusive, with exclusions
Members deposits	Sec 73(2)	Pvt 100%*, Public 35%
Public deposits	Sec 76	eligible co., 25%
Eligible company	Rule 2(1)(e)	NW $\geq$ 100cr / TO $\geq$ 500cr
DRR	Sec 73(2)(c), Rule 13	20% by 30 Apr
Tenure	Rule 3(1)	6–36 months
Circular	Rule 4	DPT-1
Annual return	Rule 16	DPT-3 by 30 Jun
Pre-Act statement	Sec 74	DPT-4
Penalty	Sec 76A	co. Rs.1cr–10cr; officer up to 7 yrs
Fraud liability	Sec 75 / 447	unlimited personal

Certain private companies/start-ups exempt from limits [verify notification].*

Chapter 06 — Registration of Charges

Companies Act 2013 — Chapter VI, Sections 77 to 87, read with the Companies (Registration of Charges) Rules, 2014.

1. The Problem — the invisible mortgage

Imagine you run a bank. A company called Zenith Manufacturing Ltd walks in and asks for a ₹50 crore loan. It offers its factory, its machinery, and its stock of raw material as security. You inspect the factory — it looks real, it's operating, the machines are humming. Satisfied, you lend the money against a charge on those assets. If Zenith defaults, you seize the factory and recover your money. Simple.

Now here is the abuse. **What if Zenith had *already* pledged that same factory to another bank six months ago?** The factory doesn't *look* mortgaged. A building doesn't wear a sign saying "already promised to State Bank." When Zenith goes bankrupt, both banks show up to seize the same factory. Only one can win. The other lent ₹50 crore against nothing — it was tricked by an asset that was already spoken for.

This is the core problem: **security interests are secret by nature.** Ownership of land can be checked in a land registry, but a *charge* — a claim over an asset that still belongs to and is used by the company — leaves no visible trace. A dishonest company can pledge the same asset to five different lenders, each believing they are first in line. When the crash comes, four of them discover their "security" was an illusion.

The problem is worse than individual fraud. If lenders *cannot trust* that the security offered is genuinely unencumbered, they will do one of two things: refuse to lend, or lend only at ruinous interest rates to cover the risk. Either way, honest companies that genuinely have free assets to pledge suffer, because they cannot credibly *prove* their assets are free. The market for secured credit breaks down for everyone.

There is a second, subtler abuse. Suppose Zenith is sliding toward insolvency. The directors know unsecured trade creditors and workers will soon come knocking. So, at the last minute, the directors quietly create a charge in favour of a friendly party (say, a company owned by the managing director's brother) over all the good assets. Now, when Zenith collapses, that "secured" friend walks away with everything, and the genuine creditors — the suppliers, the employees, the taxman — get nothing. A hidden, unregistered, backdated charge is a perfect tool for **stripping a dying company of its assets** to the benefit of insiders.

So the law must solve two things at once: warn *future* lenders about *existing* claims, and prevent *secret* claims from being used to defeat *genuine* creditors.

A third, quieter problem — the mispriced market. Even when nobody is committing fraud, secrecy imposes a hidden tax on *everyone*. A lender who cannot verify prior encumbrances must assume the worst and demand a risk premium. That premium is paid by honest and dishonest borrowers alike, because the lender cannot tell them apart. Economists call this the "lemons problem": when quality is unobservable, good borrowers are driven out of the market because they refuse to pay the premium that only bad borrowers deserve. A public register is not merely an anti-fraud device — it is a *signalling* device that lets an honest company *prove* its assets are free and thereby borrow cheaply. Registration, in other words, protects the good company as much as it punishes the bad one. Hold this idea: the register exists as much to *enable* trustworthy borrowing as to *police* untrustworthy borrowing.

2. The Core Idea — turn a private secret into a public fact

The protective principle is disarmingly simple: **a charge that is not on the public record does not count where it matters most.**

The law does not ban companies from creating charges — borrowing against assets is healthy and normal. Instead, it attaches a condition: if you want your charge to be *effective against the world* (specifically against a liquidator and against other creditors when the company dies), you must **register it publicly** with the Registrar of Companies within a strict time limit. The register is open for anyone to inspect. A new lender can walk in, search the company's file, and see every prior claim on its assets.

This converts an invisible private arrangement into a visible public fact. The logic is a bargain:

- **Register your charge** → the whole world is deemed to know about it → you get priority and your security is safe even in liquidation.
- **Don't register** → the charge is treated as if it never existed *against the liquidator and creditors* → your "security" evaporates exactly when you need it.

Notice the elegance. The law doesn't fine you into compliance (though penalties exist too). It removes the *entire benefit* you were seeking. A secured lender registers not because a policeman forces them to, but because an unregistered charge is worthless as security. The self-interest of the lender is harnessed to produce public disclosure. This is why the duty to register is placed on **both** the company *and* the charge-holder — the charge-holder has the strongest incentive to make sure it actually happens.

A key clarification most students miss — registration does not create the charge. The charge is *created* by the contract between the company and the lender (the loan agreement, mortgage deed, debenture, etc.). Registration is a *perfecting* act — it makes an already-valid charge *effective against third parties*. This is why Section 77 speaks of "particulars of the charge" being filed, not the charge being "made" at the Registrar. The distinction matters in exams: a charge that is created on Day 0 but registered on Day 25 is treated, as between company and lender, as existing from Day 0. What registration adds is *priority* and *survival in insolvency*, not existence. Think of it in two layers: **contract creates; registration perfects.**

Why a bright-line rule instead of a "reasonable notice" test? The law could have said "a charge binds anyone who actually knew or should reasonably have known about it." Instead it chose a mechanical rule: registered = binds everyone; unregistered = binds nobody (bar the company). Bright-line rules are cheaper to administer and impossible to argue around. A lender never has to litigate the murky question "ought the other party to have known?" — it simply searches the register. Certainty is deliberately preferred over case-by-case fairness, because *predictable* security is what makes credit flow.

3. Why it's built this way — the logic of each safeguard

Every rule in Chapter VI is a direct answer to a way the system could be gamed. Learn the *attack* and the *rule* becomes obvious.

"Why a time limit of 30 days?" — Because without a deadline, a company could create a charge today and register it only years later, when a crisis makes it convenient — perhaps backdated to defeat creditors who lent in the meantime. A short, fixed window (30 days from creation) forces the charge onto the public record *promptly*, close to when it was actually created, so the record stays honest and current. A lender searching the file next month sees a near-real-time picture.

"Why is non-registration void only against the liquidator and creditors, but *not* against the company itself?" — This is the most misunderstood point, so grasp the logic. The *company* created the charge; the company *knew* about it. It would be absurd to let the company escape its own promise just because it forgot to file a form. So *between the company and the lender*, the charge is perfectly valid — the lender can still sue on the debt. But the registration rule exists to protect *third parties* (other creditors, the liquidator representing all creditors) who *couldn't have known* about the secret charge. So the charge is void only *against those it was meant to warn*. The punishment is precisely targeted at the mischief.

"Why put the duty on the charge-holder too (Section 78)?" — Because if only the company had the duty, a colluding company could simply "forget" to register a friendly insider's charge, keeping it secret, then spring it on creditors later. By giving the charge-holder the right and incentive to register (and recover the fee from the company), the law ensures that any *genuine* lender will register to protect itself — and a charge that *nobody* bothers to register looks suspiciously like one meant to stay hidden.

"Why must satisfaction (repayment) also be registered?" — Because a *stale* charge is as misleading as a hidden one. If Zenith repays State Bank and the charge is discharged, but the register still shows State Bank's ₹40 crore claim, a new lender will wrongly believe the factory is fully mortgaged and refuse to lend. The company's genuine borrowing capacity is frozen by a ghost entry. So repayment must be recorded within 30 days to *release* the asset on the public record.

"Why keep TWO registers — one with the Registrar and one at the company?" — The Registrar's register (Section 81) is the *public, authoritative, searchable* record for outsiders. The company's own register of charges (Section 85) is an *internal* accountability record kept at the registered office, open to members and creditors, so they can monitor how heavily the company has pledged itself without travelling to the Registrar. Two audiences, two registers.

"Why is the certificate made *conclusive* evidence?" — Because a lender must be able to *rely* on the register with finality. If the certificate could later be attacked ("actually the filing had a defect, so your charge is void"), then no lender could ever be sure its security was safe, and the whole certainty the scheme is trying to build would collapse. By making the certificate conclusive as to *the fact of due registration*, the law removes registration risk from the lender's shoulders. The lender's only job is to file properly and obtain the certificate; once obtained, the door is shut on technical challenges.

"Why cap the extension at 120 days (post-2018) rather than allowing indefinite condonation?" — Because an open-ended condonation power is a backdoor to the very abuse the deadline was meant to stop. If a company could always plead "sufficient cause" years later and revive a charge, an insider could sit on an unregistered charge, watch new creditors lend against apparently-free assets, and then resurrect the old charge just before insolvency to leapfrog them. A hard outer limit means a lender who searches the register today can trust that no *older* charge will suddenly materialise from beyond the window. The cap protects the *reliability* of a clean search.

4. Full Technical Content — section by section, each with its "why"

4.1 What is a "charge"? — Section 2(16)

Definition: A *charge* means an **interest or lien created on the property or assets of a company or any of its undertakings, or both, as security, and includes a mortgage.**

Unpack it: (a) it's an *interest as security* — the asset stays owned by the company, but a lender has a claim over it; (b) it covers *property or assets* — tangible or intangible; (c) it *includes a mortgage* — so mortgages of immovable property are squarely covered.

Why so wide? Because a company could otherwise dress up a security as something not called a "charge" to escape registration. By defining it functionally — *any interest created as security* — the law captures the substance, not the label.

Charge vs mortgage vs pledge vs lien vs hypothecation — the family tree. Students confuse these constantly. All are ways to give a creditor rights over property, but they differ in *possession* and *type of asset*:

Security	Possession of asset	Typical asset	Registrable charge under S.77?
Mortgage	Stays with company (owner)	Immovable property	Yes — expressly included in "charge"
Pledge	Delivered to lender (pawnee)	Movable goods	Debatable in the abstract, but a pledge where possession passes is generally not a "charge" needing S.77 registration
Hypothecation	Stays with company	Movables (stock, vehicles, book debts)	Yes — a charge without possession
Lien	Possession-based right to retain	Goods/documents in hand	Generally not a registrable charge
Charge (generic)	Stays with company	Any property/undertaking	Yes

The unifying exam idea: **registration matters most where the asset stays with the company and so gives no outward warning** (mortgage, hypothecation, generic charge). Where the lender *takes possession* (pledge, some liens), the possession itself is the warning to the world, so the mischief of secrecy is lessened. This is *why* hypothecation — a charge over movables with no change of possession — is squarely within the registration net, while a classic pledge is treated differently.

Which charges must be registered? The 2013 Act sweeps in *all* charges (the 2013 regime removed the old Companies Act 1956 list of nine specified categories, so the coverage is now general). The Rules do, however, carve out a short list of charges *not* requiring registration — most importantly, certain pledges and charges over specified instruments as notified. **Verify the current exempt list against ICAI material / the amended Rules**, but the default exam answer is: *under the 2013 Act, in principle all charges are registrable* — do not reproduce the old 1956 "nine categories" list, which the examiner may plant as a distractor.

Fixed charge vs Floating charge — you must know both cold:

Feature	Fixed Charge	Floating Charge
Attaches to	A <i>specific, identified</i> asset (e.g., a particular building, a named machine)	A <i>shifting class</i> of assets (e.g., stock-in-trade, book debts, "all present and future current assets")
Company's freedom	Cannot sell/deal with the asset freely without the lender's consent	Can buy, sell, and use the assets in the <i>ordinary course of business</i>
Nature	Rigid — clamped to one thing	Hovers over a fluctuating pool, like a cloud over a moving crowd
Crystallisation	Already fixed	On default/winding-up/cessation of business, it <i>crystallises</i> — descends and becomes a fixed charge on whatever assets are in the pool at that moment
Priority	Strong — usually ranks first over its asset	Weaker — ranks <i>behind</i> preferential creditors and behind a later fixed charge on the same asset (unless a negative-pledge/restriction was registered)

Why does the distinction matter? A **fixed charge** gives the lender strong priority over that specific asset but chokes the company's ability to trade it. A **floating charge** lets the company keep running its business (you can't run a shop if every sale needs the bank's sign-off on the inventory), but the lender's security is weaker and shifting — and ranks *behind* certain preferential claims. The memory hook: **fixed = frozen to one asset; floating = free to trade until it crystallises**.

Crystallisation — the floating charge "settles" and becomes fixed on: (i) the company defaulting and the lender intervening, (ii) winding-up commencing, or (iii) the company ceasing to carry on business. Logic: the floating charge's whole point was to let the business trade; once the business stops or defaults, there's no reason to keep letting assets slip away, so the charge clamps down.

The priority sting — why a *later* fixed charge can beat an *earlier* floating charge. Suppose a company grants a floating charge over "all current assets" to Bank A in January, then a *fixed* charge over a specific machine (part of those assets) to Bank B in June. Because the floating charge, by its nature, *licenses* the company to deal with the assets in the ordinary course, Bank B's fixed charge — created while the pool was still "floating" — can take priority over that machine. Bank A can protect itself only by inserting a **negative pledge clause** (a promise by the company not to create later charges ranking ahead) *and getting that restriction registered* so later lenders have deemed notice under Section 80. This is a favourite trap: *first in time does not automatically win* when the earlier charge is floating. First-principles reason: the floating charge-holder consented (via the "ordinary course" licence) to the company creating exactly these dealings, so it cannot complain when the company does so.

4.2 Duty and time limit to register — Section 77

The rule: It is the **duty of the company** creating a charge — whether within or outside India, on its property or undertaking, whether tangible or intangible — to **register the particulars of the charge with the Registrar within 30 days of its creation**, in the prescribed form and on payment of fees.

Why "within or outside India" and "tangible or intangible"? To close escape routes. A company can't argue "the asset is abroad" or "it's only intellectual property, not real property" to avoid registration. All security, everywhere, of every kind, counts.

The extension / condonation timeline — this is the most tested factual area, and it changed after the **Companies (Amendment) Ordinance / Act, 2019** (effective **2nd November 2018**). You must know *both* regimes because the answer depends on *when the charge was created*.

Category A — charge created BEFORE 2nd November 2018: - Register within **30 days**. - If missed, the Registrar may, on application (Form CHG-1/CHG-9 + CHG-10 reasons), allow registration within **300 days** of creation on payment of *additional fees*. - If still not registered within 300 days, the company had to complete it within **six months from 2nd November 2018** on payment of *ad valorem fees*.

Category B — charge created ON OR AFTER 2nd November 2018: - Register within **30 days**. - If missed, the Registrar may, on application, allow registration within **60 days of creation** on payment of *additional fees* (i.e., a further 30 days). - If *still* not registered within that 60 days, the company must make a fresh application, and the Registrar may allow registration within a **further 60 days** (so up to **120 days** from creation) on payment of *ad valorem fees*.

Memory hook for the new regime: think **30 → 60 → 120**. Base 30 days; buy 30 more (to 60) with additional fees; buy 60 more (to 120) with the heavier *ad valorem* fees. After 120 days, the door is shut — the charge simply cannot be registered under Section 77 for post-2018 charges. *Why the tightening?* The old 300-day/condonation route was being abused to register charges very late; the 2019 amendment slammed the window shut to keep the register honest and current.

Careful reading of the two 60s. The commonest computational error is to treat the second stage as "another 60 days *after the first 60*", giving 120 from the end of the first extension. It is not. Both windows run **from the date of creation**: the first extension is *up to 60 days from creation*, the second is *up to 120 days from creation*. The second stage is a *further 60 days beyond the first 60*, but the clock always starts on Day 0 (creation), never on the day an extension is granted. Anchor every calculation to the **date of creation**.

First proviso logic: the extension never operates automatically — it needs an *application* and *fees*, because the whole point is that late filing is a privilege, not a right, and the fee is the price of the extra risk you created by keeping the charge secret longer.

A subtle but tested point — the *second* proviso and existing charges. The amendment also provided a transitional rule: for a charge already existing when the amendment came into force but not yet registered, the timelines were reset from the commencement date (this is the "six months / ad valorem" bridge in Category A). The exam-safe takeaway: *the answer always turns on the date of creation relative to 2 Nov 2018* — identify that date first, then pick the ladder.

Effect of the Registrar's registration — the Certificate: On registration, the Registrar issues a **certificate of registration (Form CHG-2)**, which is **conclusive evidence** that the requirements of registration have been complied with. *Why conclusive?* So that a lender who has done its duty and holds the certificate need never fear that some technical defect in the filing will later be used to attack its security. Certainty is the product being sold.

Section 77(3) — the sting: Notwithstanding anything in any other law, **no charge created by a company shall be taken into account by the liquidator (appointed under this Act or the Insolvency and Bankruptcy Code, 2016) or any other creditor unless it is duly registered and a certificate of registration has been issued**. This is the enforcement engine — explained fully in 4.6.

Section 77(4): However, nothing in sub-section (3) prejudices any *contract or obligation for repayment of the money secured*. Translation: the *debt* survives even if the *security* is void. The lender can still sue the company for the money as an unsecured creditor.

"What if the examiner tweaks it?" variations on the timeline: - *Charge created abroad on a foreign asset* — still 30 days from creation; the Rules give a slightly relaxed reckoning where the instrument is executed outside India (time may run from receipt of the instrument in India in some cases). **Verify the exact reckoning in current ICAI material**, but do not say "no registration needed." - *Charge created before 2 Nov 2018, application for registration made in 2026* — trap: the 300-day + six-month bridge has long expired; the charge can no longer be registered and is void against the liquidator. Don't grant relief that the transitional window no longer allows. - *Question gives Day 0 and asks the last date for ad valorem filing* — compute Day 0 + 120 (post-2018). If it asks the last date for *additional-fee* filing, that is Day 0 + 60.

4.3 Registration by the charge-holder — Section 78

The rule: If the *company fails* to register the charge within the (initial 30-day) period, the **person in whose favour the charge is created** (the charge-holder / lender) **may apply to register it**. The Registrar then gives the company 14 days' notice to show why it should not be registered on the charge-holder's application; if the company doesn't register it or show sufficient cause, the Registrar registers it. The charge-holder is entitled to **recover the registration fees from the company**.

Why give this right to the lender? Because the lender is the one who *loses everything* if registration fails. Relying on the debtor to protect the creditor's security is naïve. So the law arms the lender with a self-help remedy — register it yourself and bill the company. This is a crucial safeguard: it ensures a genuine charge almost always gets registered, and it exposes charges that *nobody* registers as likely shams.

When exactly can the charge-holder step in? The trigger is the company's *failure within 30 days* — the lender need not wait out any extension. In practice a prudent lender does not rely on Section 78 at all; it makes registration a *condition precedent to disbursement* — no charge on the register, no money released. Section 78 is the fallback when disbursement has already happened and the company drags its feet. The 14-day notice to the company exists so the company can object if, say, the "charge" is disputed or already discharged — the Registrar does not register blindly on the lender's word alone.

4.4 Modification of charges — Section 79

A "modification" is any change to the terms of an existing charge — e.g., the amount secured increases, the rate of interest changes, the property covered is extended or reduced, or the charge is assigned to a new lender.

The rule: The provisions of Section 77 (duty, time limits, certificate, consequences) **apply equally to the modification of a charge**. Registered in **Form CHG-1 (other than debentures) / CHG-9 (debentures)** within the same **30-day** window (with the same extension mechanics).

Why treat modification like a new registration? Because a modification changes the picture a new lender relies on. If the secured amount silently jumps from ₹10 crore to ₹40 crore, an outsider trusting the old figure is misled just as badly as by a hidden charge. So every material change must hit the public record on the same terms.

What counts as a modification — finer distinctions: - An *increase* in the amount secured, or extension of the charge to *further assets* — clearly a modification (and the *incremental* security is what is at risk if unregistered). - *Assignment / transfer* of the charge to a new lender (e.g., Bank A sells the loan to an ARC) — a modification; the new holder must be on the record. - A *change in terms or conditions* (rate, tenure, ranking) — modification. - *Partial release* of some assets from the charge — recorded on the satisfaction/rectification side (Sections 83/87), because it *reduces* rather than expands the encumbrance.

The unifying test: *does the change alter what a searching third party needs to know about the encumbrance?* If yes, register it. The exam trap here mirrors 4.6 — an *unregistered increase* leaves the lender secured only up to the *originally registered* amount and unsecured for the excess.

4.5 Deemed notice — Section 80

The rule: Where a charge is registered under Section 77, **any person acquiring the property, assets or undertaking (or any share/interest therein) is deemed to have notice of the charge from the date of registration.**

This is the doctrine of **constructive (deemed) notice** applied to charges. Once registered, you *cannot* claim "I didn't know." The register is public; the law treats you as having read it.

Why is this the linchpin? This is what makes the whole scheme work. Registration is only useful as a *warning* if outsiders are *legally bound* to have heeded the warning. Section 80 says: the information is out there, so you are *deemed* to know it. A person who buys or takes security over a charged asset can't later plead ignorance. This is *exactly why* an honest lender searches the register before lending — because they will be *treated as knowing* whatever it contains.

The mirror-image insight — deemed notice only of what is *registered*. Section 80 deems notice *from the date of registration of the particulars registered*. It does **not** deem anyone to know an *unregistered* charge, nor terms that were not filed. This is why an *understated* filing hurts the lender (the world is only deemed to know the smaller amount), and why a *late* registration gives no deemed notice for the gap period. A new lender who searched during the gap and found nothing is genuinely protected — the later-registered charge cannot claw back priority over rights acquired in good faith during the gap. Deemed notice runs *forward from registration*, never backward.

4.6 Effect of non-registration — the "void against liquidator and creditors" rule (Section 77(3))

This is the heart of the chapter. Read it slowly.

An unregistered charge is: - VALID as between the company and the charge-holder (the debt and the security agreement bind those two parties — Section 77(4) preserves the repayment obligation). - **VOID against the liquidator and other creditors** — meaning, in a winding-up or insolvency, the charge is *ignored*. The "secured" lender is demoted to the rank of an *unsecured* creditor and must line up with everyone else, sharing whatever crumbs remain after registered secured creditors are paid.

Worked logic: Zenith takes ₹50 crore from Bank X against a factory but *never registers* the charge. Zenith goes into insolvency. Bank X marches in claiming the factory. The liquidator says: "Show me your certificate of registration." Bank X has none. Under Section 77(3), the liquidator **cannot take that charge into account**. Bank X's security is void *against the liquidator*. Bank X now stands as an *unsecured* creditor for its ₹50 crore — likely recovering a few paise on the rupee. Meanwhile, the factory is available to satisfy the *registered* secured creditors and the general pool.

Why is this the perfect punishment? Because it strikes at the precise reason the charge existed — to give priority in insolvency. An unregistered charge fails *at the only moment it was supposed to matter*. This makes registration effectively compulsory without banning anything: no rational lender leaves a charge unregistered, because an unregistered charge is not security at all where security counts.

Why "against the liquidator AND creditors" and not the company? (Repeat this until it's reflexive.) The rule protects those who *couldn't have known* about the secret charge — the general body of creditors and the liquidator who represents them. The *company* knew — it made the charge — so it can't hide behind non-registration to escape its own bargain.

The debt-survives corollary made concrete. Section 77(4) is not a footnote — it is regularly tested. The unregistered charge-holder does **not** lose the money; it loses the *priority*. So in the Zenith example, Bank X still *proves* its ₹50 crore claim in the insolvency — it simply proves it in the *unsecured* class. If the estate pays unsecured creditors 20 paise in the rupee, Bank X gets ₹10 crore, not zero and not ₹50 crore. Distinguish sharply: *security void* (loses the factory) versus *debt alive* (keeps a pro-rata unsecured claim). A tempting wrong answer is "Bank X loses the entire ₹50 crore" — that overstates the punishment.

Ranking among registered charges. Registration decides *whether* you count; it does not by itself decide the *order* among competing registered charges — that turns on the nature of the charge (fixed vs floating), the date, and any registered restrictions (negative pledge). Two registered fixed charges over the same asset generally rank by *date of creation* (first in time), while a floating charge, even if earlier, may yield to a later fixed charge as explained in 4.1. So registration is *necessary* for priority but not always *sufficient* to be first.

4.7 Satisfaction of charge — Section 82

The rule: A company shall give **intimation to the Registrar of the payment or satisfaction (in full)** of any registered charge **within 30 days** from the date of such satisfaction, in **Form CHG-4**.

Proviso: The Registrar may, on an application by the company or charge-holder, allow intimation of satisfaction **within 300 days** of the satisfaction on payment of additional fees. (Note: satisfaction retained the 300-day condonation window even after the 2019 amendment tightened *creation* — because a stale *release* is a lesser mischief than a stale *creation*.)

Procedure (Section 82 read with Section 83): On receiving the intimation, the Registrar issues a **notice to the charge-holder** calling for a show-cause within 14 days as to why the satisfaction should not be recorded. If no cause is shown, or the charge-holder confirms, the Registrar records a **memorandum of satisfaction (Form CHG-5)** and informs the company. *Exception:* if the intimation is signed by the charge-holder too (i.e., the lender confirms it's paid off), the Registrar can record satisfaction without the 14-day notice — because the person whose interest is being released has already agreed.

Why 30 days again? Symmetry and honesty of the register — repayment must be recorded as promptly as creation, so the register never overstates a company's encumbrances.

Asymmetry worth memorising — why creation is capped at 120 but satisfaction survives at 300. A *late creation* entry can *harm* an innocent third party (a lender who searched during the gap and found nothing, then had an old charge sprung on them). A *late satisfaction* entry can only *over-state* the company's debts, which harms *the company itself* (it looks more encumbered than it is) and possibly misleads a lender into *not* lending — a cautious error, not a dangerous one. Because the direction of the mischief is opposite, the law tolerates a longer window for satisfaction. This "direction of harm" reasoning is the deep *why* behind the 120-vs-300 split and is a high-value exam point.

4.8 Registrar's power to record satisfaction/release — Section 83

Even without the company's intimation, the **Registrar may, on evidence to his satisfaction**, enter a memorandum of satisfaction where he is convinced that (a) the debt has been paid or satisfied in whole or in part, or (b) part of the property has been released from the charge or has ceased to form part of the

company's property. He must inform the company within 30 days. *Why?* So a company can't keep a paid-off charge alive on the record out of laziness or malice, choking its own credit — the Registrar can clean the record on proof.

Note the two-way nature: Section 82 is the *company/charge-holder-driven* route (intimation); Section 83 is the *Registrar-driven* route (on evidence). Both end in the same Form CHG-5 memorandum. Section 83 matters where the company *refuses* to file — e.g., a dispute — but there is clear proof the debt is paid; the Registrar can act on that evidence.

4.9 Intimation of appointment of a receiver / manager — Section 84

Where a person obtains an order (or appoints a receiver/manager of the company's property under powers in a debenture or charge instrument), that person must give **notice to the company and the Registrar within 30 days**, and the Registrar registers the particulars (**Form CHG-6**). On ceasing to act, a similar notice of cessation is filed. *Why?* A receiver taking control of charged assets is a major event affecting all stakeholders — it must be on the public record.

The trigger point matters: the 30 days runs from *obtaining the order or making the appointment*, and a *mirror* notice is required on *cessation* — so the register shows both the receiver taking control and later stepping down. The public interest is that anyone dealing with the company can see that its assets are (or are no longer) under a receiver's control.

4.10 Company's own Register of Charges — Section 85

The rule: Every company shall keep at its **registered office** a **register of charges in Form CHG-7**, containing particulars of *all* charges and floating charges affecting its property, and the instruments creating them.

- The register and instruments of charge are **open to inspection** during business hours by **members and creditors without fee**, and by **any other person on payment of fees**.
- The **instruments creating charges** (or copies) must be preserved for a period (the Rules require the register itself to be preserved permanently and the instrument copies for a stated period — **verify the exact preservation period in current ICAI material**).

Why a second, internal register? The Registrar's file is authoritative but external. Members and creditors have a direct interest in monitoring how much the company has mortgaged itself, and Section 85 gives them a local, inspectable record at the registered office. Note the access hierarchy: members and creditors (the people with a stake) inspect *free*; strangers pay.

Do not confuse Section 85 with Section 88. Section 85 is the *register of charges*; Section 88 is the *register of members/debenture-holders*. Both are company-kept registers at the registered office, and examiners sometimes cross-wire them. Section 85 is about *encumbrances on assets*; it is a Chapter VI instrument.

4.11 Punishment for contravention — Section 86

Section 86(1): If a company contravenes any provision of Chapter VI, the **company** is liable to a penalty, and **every officer of the company in default** is liable to a penalty. (Confirm the exact monetary figures in current ICAI material / the bare Act, as amounts were revised by the 2019 amendment to a civil-penalty structure — the principle is a penalty on the company *and* on each officer in default.)

Section 86(2): If **any person wilfully furnishes false or incorrect information, or knowingly suppresses material information** required to be registered under Section 77, he shall be **liable for action under**

Section 447 (fraud). *Why the fraud hook?* Because a *lie* on the charge register isn't mere non-compliance — it actively deceives future lenders and can be a tool to defraud creditors, so it attracts the serious anti-fraud machinery.

Penalty vs fraud — the mental switch. Frame every contravention question by first asking: *is this a lapse (delay, omission) or a lie (false/suppressed particulars)?* A lapse is Section 86(1) civil penalty on company + officers in default. A lie is Section 86(2) → Section 447, which carries imprisonment and fine (and, where the fraud involves public interest, enhanced minimums — **verify current 447 thresholds**). The examiner's favourite is a fact pattern that *feels* like mere delay but includes a *knowing misstatement* — that flips it into fraud territory.

4.12 Rectification by the Central Government — Section 87

The rule: The **Central Government** (power delegated to the **Regional Director**) may, on being satisfied that: - the omission to give intimation of *satisfaction* within time, or - the omission/misstatement of any particulars in a filing regarding *satisfaction* or *any other entry*,

was **accidental, due to inadvertence, or some other sufficient cause, and not prejudicial to creditors/shareholders**, order that the **time be extended or the omission/misstatement be rectified**.

Crucial post-2019 point: After the 2019 amendment, Section 87 **no longer covers condonation of delay in registering the creation or modification of a charge** — that is now governed *exclusively* by the tightened Section 77 timeline (the 30→60→120-day regime). Section 87 today is essentially about rectifying the register in relation to **satisfaction** and errors, *not* about reviving a late-registered *creation*. *Why removed?* The whole thrust of the 2019 reform was to stop late registration of charges; leaving a Central Government condonation backdoor open would have defeated that purpose.

The three-condition gate (memorise as a checklist). Section 87 relief is available only if *all* of: (i) the default was *accidental / inadvertent / for sufficient cause* (not deliberate), (ii) it relates to *satisfaction* or a *misstatement/omission of particulars* (not late creation/modification), and (iii) rectification is *not prejudicial to the position of creditors or shareholders*. Miss any one and the RD cannot rectify. Condition (iii) is the quiet killer: if fixing the record would leapfrog a creditor who relied on the erroneous state, relief is refused.

5. Applied Scenarios

Scenario 1 — The forgotten filing. On 10th June 2026, Alpha Ltd creates a charge over its warehouse in favour of Beta Bank for a ₹20 crore loan. Everyone gets busy and nobody files anything. On 20th September 2026, Alpha Ltd is admitted to insolvency. Beta Bank claims the warehouse as secured creditor.

Reasoning: The charge was created after 2nd Nov 2018, so the new regime applies. Registration was due by 10th July (30 days). Extension to 60 days (up to 9th August) with additional fees, then to 120 days (up to ~8th October) with ad valorem fees. As of the insolvency date (20th Sep), the 120-day window (ending ~8 Oct) had not yet closed, *but* no registration was ever made and no certificate issued. Under **Section 77(3)**, the liquidator/resolution professional **cannot take the charge into account** — what matters is whether a certificate exists *now*, and it does not. Beta Bank's security is **void against the liquidator**; it ranks as an **unsecured creditor** for ₹20 crore (Section 77(4) preserves the debt but not the priority). *Lesson:* the security is worthless precisely when it was needed. Beta Bank should have invoked its **Section 78** right to register the charge itself — or better, made registration a condition of disbursement.

Scenario 2 — Modification not registered. Gamma Ltd has a duly registered charge with Delta Bank securing ₹5 crore. In 2026 they increase the facility to ₹15 crore but never register the modification. Gamma later winds up.

Reasoning: Section 79 applies Section 77's regime to modifications. Only the **originally registered ₹5 crore** is protected; the *additional* ₹10 crore secured by the **unregistered modification is void against the liquidator**. Delta Bank is secured for ₹5 crore and unsecured for the extra ₹10 crore. *Lesson:* a modification is as important to register as the original charge — outsiders relied on the ₹5 crore figure on the register.

Scenario 3 — The ghost charge choking new credit. In 2024, Omega Ltd registered a charge with PNB for ₹8 crore. Omega repaid it fully in January 2026 but never filed satisfaction. In June 2026, Omega approaches HDFC for a fresh loan against the same asset. HDFC searches the register, sees PNB's ₹8 crore charge still live, and refuses.

Reasoning: Omega breached **Section 82** (satisfaction must be intimated in Form CHG-4 within 30 days). The stale entry misleads HDFC via **Section 80 deemed notice** — HDFC is *entitled* to treat the asset as still charged. Omega can now file satisfaction (within 300 days on additional fees under the proviso), and if PNB cooperates by signing, the Registrar records satisfaction in **Form CHG-5** without the 14-day notice. Alternatively, PNB or Omega can rely on the Registrar's power under **Section 83**, or seek **Section 87** rectification if the omission was inadvertent and not prejudicial. *Lesson:* an unrecorded *release* damages the company itself by freezing its borrowing capacity.

Scenario 4 — The false particulars. A director of Sigma Ltd, to make the company look less indebted, knowingly files charge particulars showing ₹2 crore secured when the true figure is ₹12 crore.

Reasoning: This is not a mere delay — it is **wilful furnishing of false information under Section 86(2)**, exposing the director to **Section 447 (fraud)** consequences (which are severe — imprisonment and fine). *Lesson:* lying to the register is treated as fraud on future creditors, not a paperwork slip.

Scenario 5 — The date-of-creation computation (numerical). Vertex Ltd creates a charge on **5th March 2026**. It misses the 30-day window. Its company secretary asks: (a) what is the last date to register with *additional fees*; (b) what is the last date to register with *ad valorem fees*; (c) if the CS files on the 100th day, which fee applies; (d) if she files on the 130th day, what happens?

Reasoning (post-2018 ladder, all measured from 5 Mar 2026 = Day 0): - Base 30 days → last date **4th April 2026** (normal fee). - (a) Additional-fee window = up to **60 days** from creation → **4th May 2026** (approx.; count 60 days from 5 Mar). Filing between Day 31 and Day 60 uses *additional fees*. - (b) Ad valorem window = up to **120 days** from creation → **3rd July 2026** (approx.; count 120 days from 5 Mar). Filing between Day 61 and Day 120 uses *ad valorem fees*. - (c) Day 100 falls in the 61–120 band → **ad valorem fees** apply, registration still possible. - (d) Day 130 is *beyond 120 days* → the charge **cannot be registered** under Section 77; it is void against the liquidator and creditors. No Section 87 rescue for late *creation* post-2019.

Self-check: Day 0 = 5 Mar; +30 = 4 Apr; +60 = 4 May; +120 = 3 Jul (Mar has 31 days, so 26 days left in Mar after the 5th brings us to 31 Mar = Day 26; +30 total lands early Apr; the ladder 30/60/120 all anchored to 5 Mar is internally consistent). *Lesson:* always anchor to the creation date and classify the filing day into the 0–30 / 31–60 / 61–120 / >120 bands. **Treat the exact calendar dates as indicative and re-count against the precise creation date given in the question.**

Scenario 6 — Floating charge crystallisation and priority (the tweak). On 1st Feb, Nova Ltd grants Bank P a *floating* charge over "all present and future stock-in-trade," duly registered, with **no negative-pledge clause**. On 1st June, Nova grants Bank Q a *fixed* charge over a specific consignment of steel (part of that

stock), also registered. On 1st August Nova defaults and Bank P's charge crystallises. Both banks claim the steel.

Reasoning: Until crystallisation, the floating charge *licensed* Nova to deal with its stock in the ordinary course — including creating Bank Q's fixed charge. So **Bank Q's later fixed charge ranks ahead** of Bank P's earlier floating charge over that steel, even though Bank P registered first. Both are registered (so both "count" under Section 77(3)), but *priority* between registered charges turns on their nature. Bank P could have prevented this only by a registered **negative-pledge restriction** giving Bank Q deemed notice under Section 80 that Nova was barred from creating a prior-ranking charge. *Lesson:* "first registered" ≠ "first in priority" when the earlier charge floats. This is the exact trap in 4.1 tested numerically.

Scenario 7 — Charge-holder's self-help under Section 78 (the tweak). Orion Ltd creates a charge in favour of Sunrise Finance on 1st April but does nothing. On 5th May (Day 34), Sunrise realises Orion has not filed. Can Sunrise register, and can it recover the cost?

Reasoning: Yes. The company *failed to register within 30 days*, which triggers **Section 78**. Sunrise may apply to register; the Registrar gives Orion **14 days' notice** to object or itself register; absent sufficient cause, the Registrar registers on Sunrise's application. Sunrise is entitled to **recover the fees from Orion**. Note the filing is still subject to the *outer* Section 77 caps (60/120 days from creation with the respective fees) — Section 78 is a *right to file*, not an extension of the outer deadline. *Lesson:* the lender is never helpless; but it must act *within* the same 120-day universe.

6. Procedure / Compliance Summary

Figure 6.1 — Decision flow for registering a newly created charge (post-2 Nov 2018 regime).

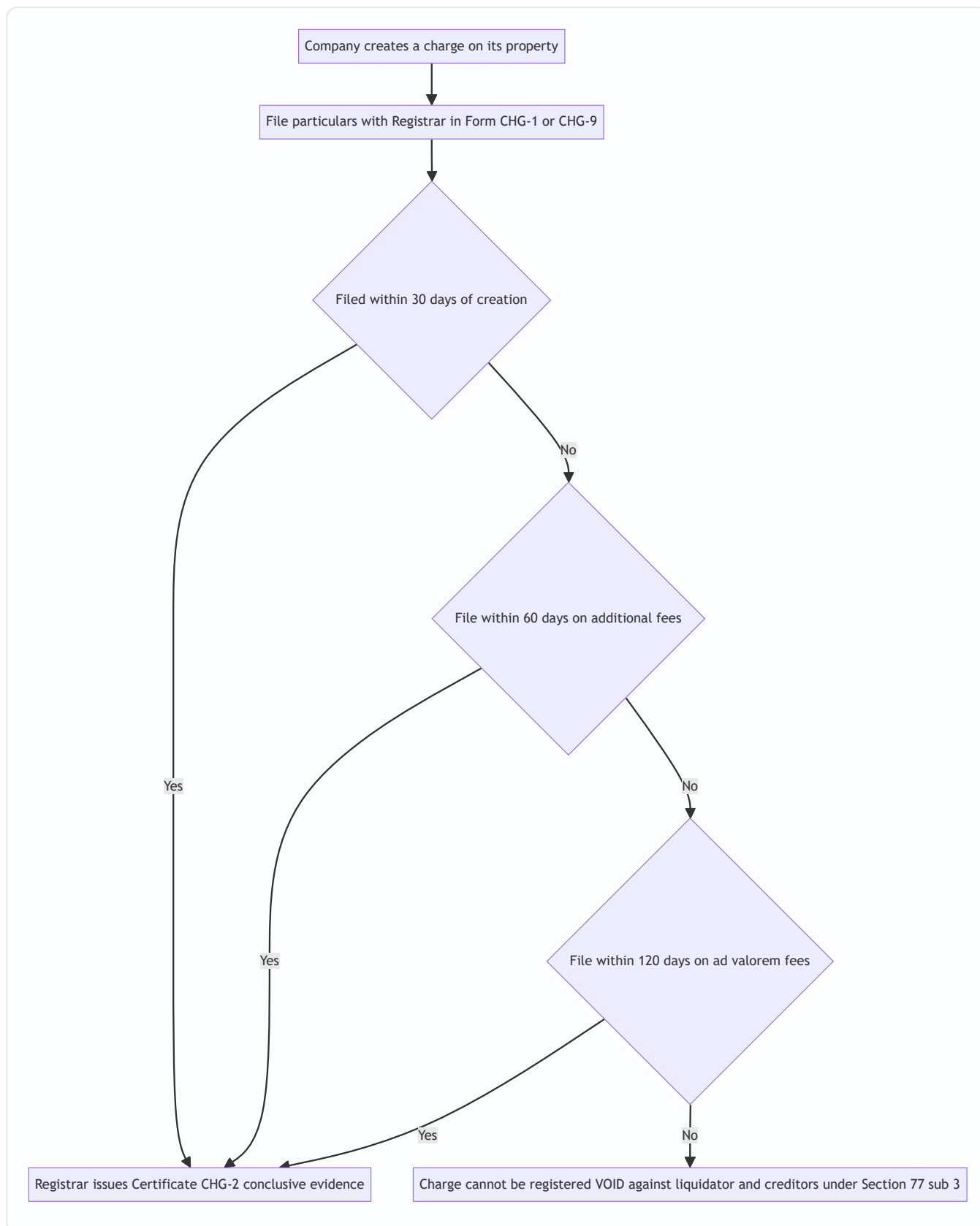


Figure 6.2 — The life-cycle timeline of a charge from creation to release.

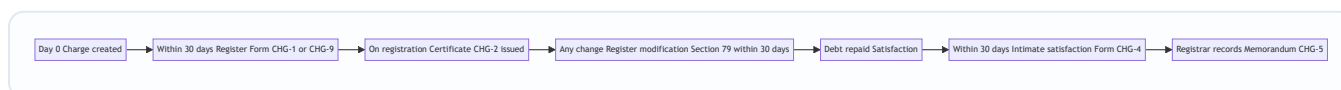


Figure 6.3 — Where does an unregistered charge-holder stand when the company dies.

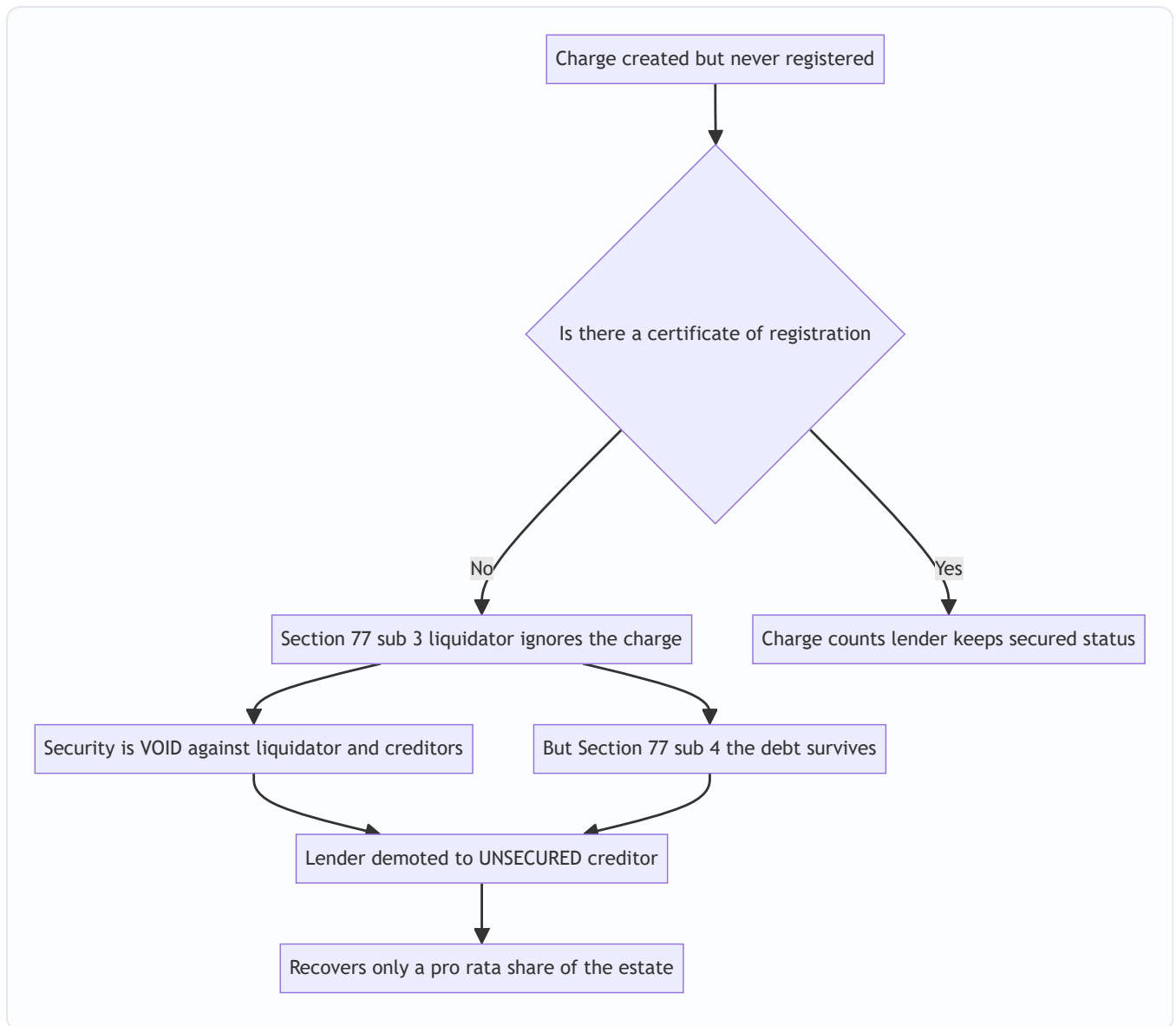
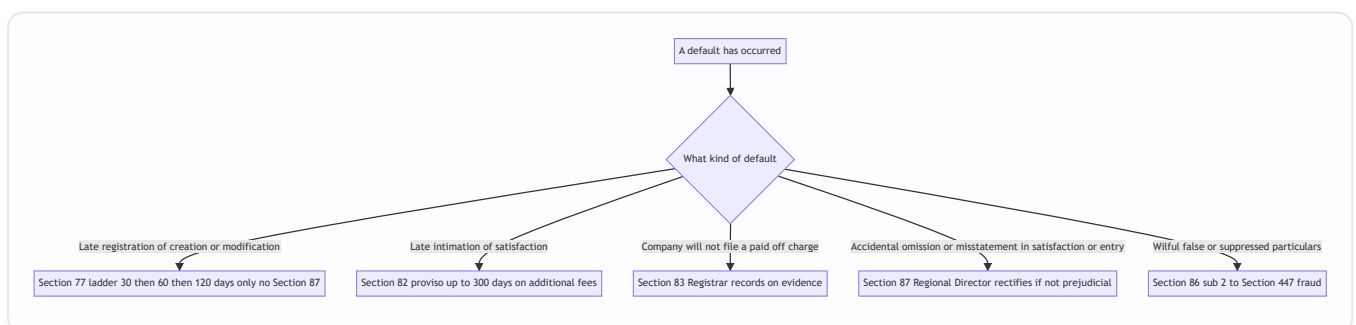


Figure 6.4 — Which relief route fits which default.



Forms cheat-sheet:

Event	Form	Time limit
Registration/modification of charge (other than debentures)	CHG-1	30 days (ext. 60/120)
Registration/modification of charge for debentures	CHG-9	30 days (ext. 60/120)
Certificate of registration issued by Registrar	CHG-2	On registration
Certificate of modification	CHG-3	On modification
Intimation of satisfaction of charge	CHG-4	30 days (ext. 300 days)
Memorandum of satisfaction (issued by Registrar)	CHG-5	On recording
Notice of appointment/cessation of receiver or manager	CHG-6	30 days
Company's own register of charges	CHG-7	Maintained continuously
Application to Central Government (RD) / condonation	CHG-8	As applicable
Reasons/particulars for delay (as prescribed)	CHG-10	With the delayed application

(Confirm each form number and fee against current ICAI material / the bare Rules, as e-form numbering is occasionally revised.)

One-line procedural spine to recite in the exam: Create → file CHG-1/CHG-9 in 30 days → get CHG-2 (conclusive) → any change re-file under S.79 → on repayment file CHG-4 in 30 days → Registrar records CHG-5. Bolt the relief routes (S.78 lender-filing, S.83 Registrar-satisfaction, S.87 RD-rectification) onto this spine as needed.

7. Connections

- **Insolvency and Bankruptcy Code, 2016:** Section 77(3) expressly ties into the IBC — the *liquidator* under the Code ignores unregistered charges. Whether a creditor is "secured" (and thus enjoys priority in the IBC waterfall of Section 53) depends on registration under this chapter. This is the practical payoff of the whole scheme: an unregistered charge-holder drops into the unsecured tier of the waterfall.
- **Deposits (Chapter V, Sections 73–76):** Secured deposits require a charge on assets — that charge must be registered under Chapter VI. The two chapters interlock: the *deposit* rules demand security; the *charge* rules make that security real.
- **Prospectus & Debentures:** Debentures are almost always secured by a charge (often a floating charge on the undertaking). Section 71 (debentures) and the debenture trust deed connect to charge registration via Form CHG-9.
- **Doctrine of Constructive Notice (foundational company law):** Section 80 is a statutory application of the broader idea that public documents filed with the Registrar are deemed known to those dealing with the company — the same logic that once underpinned the (now diluted) constructive-notice doctrine for the MOA/AOA. Note the asymmetry: the *doctrine of indoor management* (Turquand's rule) protects outsiders who *couldn't* know internal irregularities, whereas Section 80 *charges* outsiders with knowledge of what is *publicly registered* — the two doctrines are complementary sides of "what an outsider is deemed to know."
- **Charges on immovable property** also engage the **Transfer of Property Act, 1882** (mortgages) and, for land, state registration laws — but company-law registration under Section 77 is *additional* and

independent. A mortgage of land may need *both* registration under the Registration Act (for the deed) *and* under Section 77 (for the company charge); one does not substitute for the other.

- **SARFAESI Act, 2002 / CERSAI:** Secured creditors also register security interests with the Central Registry (CERSAI). Company-law registration (Section 77) and CERSAI registration serve overlapping disclosure aims but are *distinct filings* — a point occasionally raised in problem questions; **verify scope against current ICAI material.**

8. Traps & Examiner Tricks

1. **"Void against the company" — WRONG.** The charge is void against the *liquidator and creditors*, never against the company. The company is bound; the debt is recoverable (Section 77(4)). Examiners love this trap.
2. **The debt does NOT vanish.** Non-registration kills the *security/priority*, not the *loan*. The lender drops to unsecured status — it doesn't lose the right to be repaid a *pro-rata* share.
3. **Old 300-day rule vs new 30→60→120 rule.** For *creation/modification* of charges made **on or after 2 Nov 2018**, the maximum is **120 days** — the 300-day route is *gone*. The 300-day window survives **only for satisfaction (Section 82)** and for charges created *before* 2 Nov 2018. Mixing these up is the classic error.
4. **Section 87 no longer condones late creation.** Post-2019, you cannot run to the Central Government to revive a charge you failed to register in time. Section 87 is now about *satisfaction/rectification*. Don't cite it for late registration of a new charge.
5. **Whose duty to register?** *Primarily the company* (Section 77); the *charge-holder* may do it if the company fails (Section 78) and recover the fee. Both have standing — a question saying "only the company can register" is false.
6. **Fixed vs floating — crystallisation.** A floating charge is *not* fixed to specific assets until it *crystallises* (default / winding-up / cessation of business). Until then the company trades the assets freely. Watch for questions testing whether a company could sell charged stock — under a floating charge, yes; under a fixed charge, no.
7. **Certificate is conclusive evidence.** Once CHG-2 is issued, the *fact of due registration* cannot be challenged for technical defects. Don't say registration can be "reopened" for a filing error.
8. **Two registers, don't conflate.** Section 81 = Registrar's public register. Section 85 = company's own register at its registered office. Members/creditors inspect the company's register *free*; others pay. And don't confuse Section 85 (charges) with Section 88 (members).
9. **Satisfaction needs the charge-holder's confirmation or a 14-day notice.** The Registrar won't just delete a charge on the company's say-so alone unless the charge-holder has signed off or been notified (Section 82/83). This protects the lender from a company falsely claiming repayment.
10. **False information = fraud (447), not a mere penalty.** Distinguish *delay* (penalty under 86(1)) from *lying* (fraud under 86(2)/447). Watch for a fact pattern dressed as "delay" that hides a *knowing misstatement*.
11. **"First registered wins" — not always.** Registration decides *whether* a charge counts, not always its *rank*. A later *fixed* charge can beat an earlier *floating* charge on the same asset unless a negative-pledge restriction was registered. Priority ≠ mere date of registration.
12. **Both extension windows run from creation, not from each other.** The 60-day and 120-day caps are *both measured from Day 0*. Do not add 60 to the end of the first extension.

13. **Registration perfects, it does not create.** The charge exists from the contract date; registration makes it effective against third parties. A question implying "the charge comes into existence only on registration" is wrong.
14. **Deemed notice runs forward, not backward.** Section 80 deems notice only *from the date of registration* and only of *registered* particulars — a late-registered charge gives no notice for the gap period, and understated particulars bind only to the understated amount.
-

9. First-Principles Recap

Strip everything away and the chapter is one idea: **a security you keep secret is a security the law won't honour where it counts.**

- Charges are *invisible* — an asset can be pledged without any outward sign → future lenders can be tricked, dying companies can be stripped by insider charges, and even honest borrowers pay a secrecy premium. **(The problem.)**
- The fix: **make the charge public** by registering it with the Registrar within a tight window → outsiders can search and are *deemed to know* (Section 80). **(The core idea.)**
- To make the public record *trustworthy*, the law adds: a **prompt deadline** (30 days, extendable but capped at 120 post-2018), a **charge-holder's self-help right** (Section 78), mandatory **registration of modifications** (Section 79) and **satisfactions** (Section 82) so the record is neither stale nor understated, and a **company-level register** (Section 85) for direct stakeholder monitoring. **(The safeguards.)**
- Enforcement is by *removing the benefit*, not just fining: an unregistered charge is **void against the liquidator and creditors** (Section 77(3)) — worthless in insolvency — while remaining valid between company and lender (Section 77(4)) and preserving the *debt* as an unsecured claim, because the rule protects only those who *couldn't have known*. **(The mechanism.)**
- Lies on the register escalate to **fraud** (Sections 86(2)/447), because a false entry actively deceives. **(The backstop.)**
- Throughout, the design choice is *bright-line certainty over case-by-case fairness*: registered binds all, unregistered binds none but the company, and the certificate is conclusive — so credit can flow on the strength of a simple search. **(The design philosophy.)**

Every section number is just a labelled bolt in this single machine for turning private security into public fact.

10. Quick-Revision Sheet

Section	Subject	Key content / limit
2(16)	Definition of <i>charge</i>	Interest/lien on company property as security; <i>includes mortgage</i> ; covers hypothecation (no possession)
77	Duty to register	Company must register within 30 days ; post-2 Nov 2018: ext. to 60 days (additional fee) then 120 days (ad valorem); pre-2 Nov 2018: up to 300 days + six-month bridge; Certificate CHG-2 is <i>conclusive evidence</i> ; 77(3) unregistered charge void vs liquidator/creditors; 77(4) debt survives as unsecured claim
78	Registration by charge-holder	If company fails within 30 days, <i>lender</i> may register (14-day notice to company) and recover fee from company; still bound by outer 60/120 caps
79	Modification	Section 77 rules apply to modifications; 30 days ; Form CHG-1/CHG-9 ; unregistered increase void as to excess
80	Deemed notice	Anyone acquiring the property is deemed to have notice from date of registration — forward-looking, only of <i>registered</i> particulars
81	Registrar's register of charges	Public, searchable register kept by the Registrar
82	Satisfaction	Intimate within 30 days (ext. 300 days on additional fee); Form CHG-4 → Registrar records CHG-5 ; 14-day notice to charge-holder unless it has signed
83	Registrar's power	Registrar may enter satisfaction/release on evidence; inform company in 30 days
84	Receiver/Manager	Notice to company + Registrar within 30 days of appointment <i>and</i> of cessation; Form CHG-6
85	Company's register of charges	Kept at registered office, Form CHG-7 ; open to members/creditors <i>free</i> , others on fee; not to be confused with S.88
86	Punishment	86(1) penalty on company + every officer in default; 86(2) wilful false/suppressed info → Section 447 (fraud)
87	Rectification by CG (RD)	Extend time / rectify for satisfaction & errors if accidental/inadvertent & <i>not prejudicial</i> ; NOT for late registration of creation/modification post-2019

Time-limit memory hooks: - **30 – 60 – 120**: register a charge (base → additional fee → ad valorem), post-2018, *all measured from creation*. - **30 → 300**: satisfaction intimation (Section 82) — the only place 300 days still lives (besides pre-2018 charges). *Why longer? The mischief of a stale release runs the safe direction.* - **30 days everywhere else**: modification (79), receiver (84), Registrar informing company (83) — the "30-day habit" of Chapter VI. - **Void where it counts, valid where it was made**: void vs liquidator/creditors, valid vs company; *debt survives, security dies*. - **Register perfects, contract creates; deemed notice runs forward; certificate is conclusive.**

(Where exact penalty amounts, preservation periods, exempt-charge lists, or a form number is needed, verify against current ICAI study material / the amended bare Act and Rules, as figures were revised by the Companies (Amendment) Act, 2019 and subsequent notifications.)

Q&A — Registration of Charges

CA Intermediate · Corporate & Other Laws · Companies Act, 2013 (Sections 2(16), 77–87)

All section references are to the **Companies Act, 2013** and the **Companies (Registration of Charges) Rules, 2014**, incorporating the **Companies (Amendment) Act, 2019** timelines. Where a point is unsettled or fact-dependent, it is flagged.

Section A — Concept-Check (Short Questions + Answers)

A1. Define "charge" under the Companies Act, 2013. Answer. Under **Section 2(16)**, a "charge" means *an interest or lien created on the property or assets of a company or any of its undertakings, or both, as security and includes a mortgage*. The essence is a **security interest** over company property to secure a debt — it need not transfer ownership.

A2. Distinguish a fixed charge from a floating charge. Answer. A **fixed charge** attaches to a specific, identifiable asset (e.g., land, machinery); the company cannot deal with that asset freely without the charge-holder's consent. A **floating charge** hovers over a class of assets that changes in the ordinary course (e.g., stock-in-trade, book debts); the company may deal with them until the charge **crystallises** (on default, winding-up, or cessation of business), whereupon it fixes on the assets then existing. The Act (S.2(16), S.77) covers **both**.

A3. Within what period must a charge be registered, and with whom? Answer. Under **Section 77(1)**, the company must register **every charge** it creates with the **Registrar of Companies** within **30 days** of creation, in **Form CHG-1** (non-debenture charges) or **Form CHG-9** (debentures), with the instrument creating the charge.

A4. What is the effect of registration on third parties? Answer. Under **Section 80**, registration operates as **constructive (deemed) notice** to any person acquiring the property or an interest in it — from the date of registration the whole world is deemed to know of the charge. This is the statutory purpose of the whole scheme: converting a private security into a public fact.

A5. If a charge is not registered, is the loan itself wiped out? Answer. No. Under **Section 77(4)**, non-registration does **not** prejudice the **contract or obligation to repay** the money secured. Only the **security** is affected: under **Section 77(3)** an unregistered charge is **not taken into account by the liquidator** (including under the IBC) or any creditor — the charge-holder is demoted to an **unsecured creditor** but the debt survives.

A6. Who else, apart from the company, may apply to register a charge? Answer. Under **Section 78**, if the company fails to register within the 30-day period, the **person in whose favour the charge is created** (the charge-holder) may apply for registration. The Registrar gives the company **14 days' notice** to show cause; if the company does not register or object, the Registrar registers it on the charge-holder's application. The charge-holder may recover the registration fee from the company.

A7. What is Form CHG-7 and where is it kept? Answer. Under **Section 85**, every company must keep, at its **registered office**, its **own register of charges in Form CHG-7**, recording all charges and floating charges with particulars. It is open to inspection by members and creditors (free) and any other person (on fee) — this is **separate** from the Registrar's register.

Section B — Applied Problem/Scenario Questions (Facts → Law → Conclusion)

B1. *Zenith Ltd created a charge over its factory land on 5 April 2024 to secure a bank loan. Due to an oversight the charge was not filed with the Registrar. On 20 October 2024 Zenith went into liquidation. The bank claims priority as a secured creditor.*

Facts. Charge created 05.04.2024; never registered; company in liquidation. **Law. Section 77(1)** required registration within 30 days (extendable up to 120 days under the provisos). **Section 77(3)** provides that a charge required to be registered but not registered *shall not be taken into account by the liquidator or any other creditor*. **Section 77(4)** preserves the debt itself. **Analysis.** The bank missed the entire registration window. Its security interest is therefore void against the liquidator; it cannot claim priority over the factory land. **Conclusion.** The bank ranks as an **unsecured creditor** for the loan amount. The debt is still owed under S.77(4), but the security is disregarded in liquidation.

B2. *Orion Ltd created a charge on 10 January 2025 but forgot to register it. Its finance manager realises the omission on 25 March 2025 (74 days later). Can it still be registered, and how?*

Facts. Charge created 10.01.2025; discovered on day 74. **Law. Section 77(1)** first proviso allows the Registrar, on application, to permit registration within **60 days** of creation on payment of **additional fees**. The second proviso allows a **further 60 days** (total **120 days** from creation) on payment of **ad valorem fees**. **Analysis.** Day 74 is beyond 60 days but within 120 days. Registration is therefore still possible, but only under the **second proviso**, requiring an application to the Registrar and payment of **ad valorem fees** (Form CHG-1 with the instrument). **Conclusion.** Orion can register within the 120-day outer limit by paying ad valorem fees. Had it crossed 120 days, it would need **condonation of delay by the Central Government under Section 87**.

(Timeline flag: the 30/60/120 structure applies to charges created on or after 02.11.2018. Charges created before that date follow the old 300-day rule.)

B3. *Vega Ltd repaid its term loan in full on 1 June 2025 and the bank issued a no-dues letter. The charge remains on the Registrar's records. What must Vega do?*

Facts. Charge fully satisfied on 01.06.2025. **Law. Section 82** requires the company to give **intimation of satisfaction** to the Registrar within **30 days** of payment/satisfaction, in **Form CHG-4**. The proviso allows the Registrar to permit intimation within **300 days** on application with additional fees. Under **Section 83**, the Registrar may, even without intimation, enter a memorandum of satisfaction on evidence. **Analysis.** Vega must file **CHG-4** within 30 days (by ~01.07.2025). The Registrar then issues notice to the charge-holder and records satisfaction under **Section 82/83**. **Conclusion.** File Form CHG-4 within 30 days; otherwise seek the 300-day extension. Failure attracts penalties under **Section 86**.

B4. *A debenture-holder of Comet Ltd appoints a receiver over the company's assets under the terms of a floating charge. Comet's directors argue no filing is needed since the charge is already registered.*

Facts. Receiver appointed under a registered floating charge. **Law. Section 84** requires the person appointing a **receiver or manager** of company property under powers in an instrument to give **notice to the company and the Registrar within 30 days** in **Form CHG-6**; the Registrar enters it in the register of

charges. This is **independent** of the original charge registration. **Analysis.** Registration of the charge does not dispense with the separate S.84 intimation of the receiver's appointment. **Conclusion.** The appointer must file **Form CHG-6** within 30 days. The directors are incorrect.

Section C — Past-Paper-Style Descriptive Questions (Model Answers)

C1. Explain the consequences of non-registration of a charge under the Companies Act, 2013.

Answer. The consequences flow mainly from **Sections 77(3), 77(4) and 86**:

1. **Void against liquidator and creditors (S.77(3)).** A charge required to be registered but not registered is **not taken into account** by the liquidator (including a liquidator/RP under the Insolvency and Bankruptcy Code) or by any other creditor. The charge-holder loses secured status and its priority.
2. **Debt survives (S.77(4)).** Non-registration does not prejudice the contract to repay the money secured — it becomes **immediately payable** and the creditor may sue as an **unsecured creditor**.
3. **Penalty (S.86).** The company and every officer in default are punishable with fine; furnishing **false or incorrect information** for registration attracts liability for **fraud under Section 447**.
4. **Practical effect.** The security is worthless in insolvency, defeating the lender's protection — hence lenders insist on timely CHG filing.

C2. Describe the time limits for registration of a charge, including the powers of the Registrar and the Central Government to allow delayed registration.

Answer. Under **Section 77(1)** (as amended by the 2019 Amendment, for charges created on or after 02.11.2018):

- **Normal period:** within **30 days** of creation of the charge.
- **First proviso:** the Registrar may, on application, allow registration within **60 days** of creation, on payment of **additional fees**.
- **Second proviso:** if still not registered, the Registrar may, on application, allow a **further period of 60 days** (i.e., up to **120 days** from creation), on payment of **ad valorem fees**.
- **Beyond 120 days:** registration under S.77 is no longer available. The company must apply to the **Central Government under Section 87** for **rectification / condonation of delay** in Form CHG-8, if the omission was accidental, inadvertent, or does not prejudice creditors/shareholders.

(For charges created before 02.11.2018, the older regime of 300 days / six-month window applies — flag this distinction in dated problems.)

C3. Write short notes on: (a) Company's register of charges; (b) Rectification by Central Government.

Answer. (a) Company's register of charges (S.85). Every company keeps, at its **registered office**, a register in **Form CHG-7** with particulars of all charges and floating charges and copies of the instruments. It is preserved permanently (the instrument copies for 8 years after satisfaction) and is open to inspection by members/creditors without fee and others on payment. It supplements — but does not replace — the Registrar's register.

(b) Rectification by Central Government (S.87). Where there is an **omission or misstatement** in registering a charge, or a **delay** beyond the S.77 limits, the **Central Government** (powers delegated to the Regional Director) may, on being satisfied that the default was **accidental / inadvertent / due to sufficient**

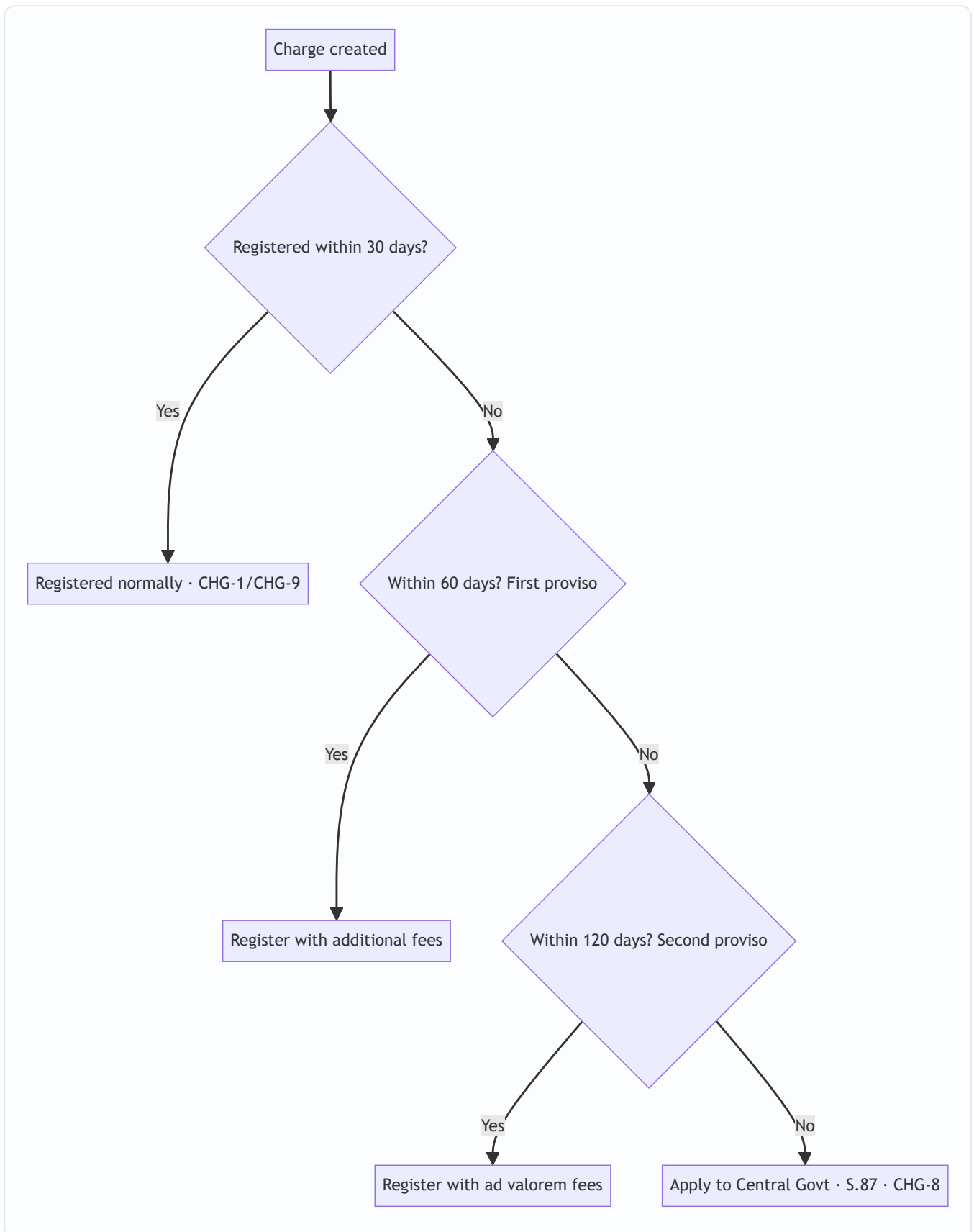
cause or not prejudicial to creditors/shareholders, order the delay/omission to be **rectified** — effectively condoning the delay. Application is made in **Form CHG-8**.

Section D — MCQs / Case Scenarios (Correct Option + Reasoning)

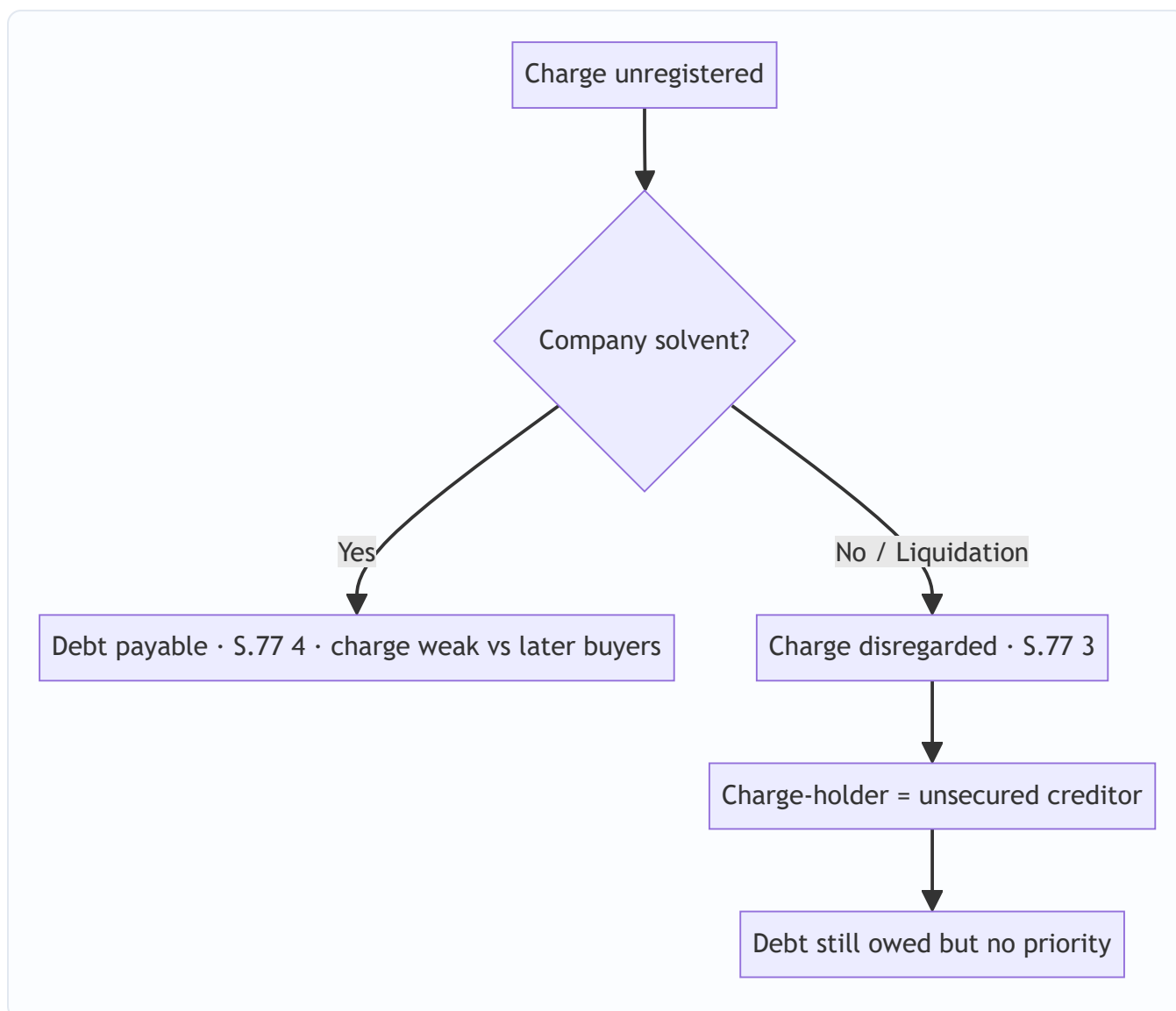
- D1.** The definition of "charge" is contained in — A. S.2(15) B. **S.2(16)** C. S.77 D. S.2(30) **Answer: B.** Section 2(16) defines "charge" as an interest/lien created as security, including a mortgage.
- D2.** The normal period for registration of a charge under S.77(1) is — A. 15 days B. **30 days** C. 60 days D. 90 days **Answer: B.** Registration is within 30 days of creation, extendable via provisos.
- D3.** The **outer limit** (with ad valorem fees, second proviso) for registering a charge created after 02.11.2018 is — A. 60 days B. 90 days C. **120 days** D. 300 days **Answer: C.** 30 + 60 (first proviso) + a further 60 (second proviso) = 120 days from creation.
- D4.** An unregistered charge, in the winding-up of the company — A. Gives full priority B. **Is not taken into account by the liquidator** C. Extinguishes the debt D. Is automatically registered **Answer: B.** Under S.77(3) the liquidator/creditors disregard it; the debt still stands under S.77(4).
- D5.** Registration of a charge operates as notice to the world under — A. S.79 B. **S.80** C. S.82 D. S.85 **Answer: B.** Section 80 makes registration deemed (constructive) notice.
- D6.** Intimation of **satisfaction** of a charge is filed in — A. CHG-1 B. **CHG-4** C. CHG-7 D. CHG-9 **Answer: B.** Form CHG-4 under Section 82, within 30 days of satisfaction (extendable to 300 days).
- D7.** A charge created to secure **debentures** is registered in — A. CHG-1 B. CHG-4 C. **CHG-9** D. CHG-6 **Answer: C.** Form CHG-9 is used for charges relating to debentures; CHG-1 for others.
- D8.** If a company fails to register within 30 days, the **charge-holder** may apply under — A. S.77 B. **S.78** C. S.83 D. S.87 **Answer: B.** Section 78 lets the charge-holder register; the Registrar gives the company 14 days' notice.
- D9.** Notice of appointment of a **receiver/manager** is filed under S.84 in — A. CHG-4 B. **CHG-6** C. CHG-7 D. CHG-8 **Answer: B.** Form CHG-6 within 30 days of appointment.
- D10.** Condonation of delay beyond the S.77 limits is granted by — A. The Registrar B. The Tribunal (NCLT) C. **The Central Government (S.87)** D. The Court **Answer: C.** Section 87 empowers the Central Government (via Regional Director) using Form CHG-8.
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Procedure Diagrams

Registration timeline (charge created on/after 02.11.2018):



Non-registration consequence (decision logic):



Connections, Traps & Quick Revision

Connections. (i) **IBC** — S.77(3) expressly ties into insolvency: an unregistered charge is ignored by the resolution professional/liquidator, so the lender falls into the unsecured pool under the IBC waterfall. (ii)

Deposits/Debentures — secured debentures require a charge registered via CHG-9; links to Chapter on Deposits and to debenture trustees. (iii) **Constructive notice (S.80)** — a buyer of company property is deemed to know registered charges, so cannot claim to be a bona fide purchaser without notice.

Examiner traps. - *Debt vs security:* Non-registration voids the **security**, not the **debt** (S.77(4)). Do not write "loan is cancelled." - *"Void" nuance:* The charge is void **against the liquidator and creditors**, not void inter se between company and charge-holder. - *Timeline confusion:* 30 → 60 → 120 days is measured **from creation**, not sequentially added after each stage; beyond 120 days go to **S.87**, not the Registrar. - *Right form:* CHG-1 (others) vs **CHG-9 (debentures)**; CHG-4 (satisfaction); CHG-6 (receiver); CHG-7 (company register); CHG-8 (condonation). - *Two registers:* Registrar's register (S.81) **and** company's own register (S.85, CHG-7) — both exist.

First-principles recap. A charge is invisible — a secret pact between borrower and lender (S.2(16)). Left secret, later lenders and buyers are deceived and priority is chaotic. The Act converts the private security into

a **public fact** by compelling registration (S.77), backs it with **deemed notice** (S.80), and enforces it with a **penalty that bites where it hurts** — the charge is disregarded in insolvency (S.77(3)) — while sparing the honest borrower's debt (S.77(4)).

Quick-revision section/limit table.

Provision	Subject	Key limit / form
S.2(16)	Definition of charge	Includes mortgage; fixed & floating
S.77	Duty to register	30 days → 60 → 120; CHG-1/CHG-9
S.77(3)	Effect of non-registration	Void vs liquidator/creditors
S.77(4)	Saving	Debt remains payable
S.78	Charge-holder registration	On company default; 14-day notice
S.79	Modification of charge	Same rules as creation
S.80	Deemed notice	Registration = constructive notice
S.81	Registrar's register	Index of charges
S.82	Satisfaction	30 days → 300; CHG-4
S.83	Registrar's entry of satisfaction	Suo motu on evidence
S.84	Receiver/manager	30 days; CHG-6
S.85	Company's register	CHG-7 at registered office
S.86	Penalty	Fine; false info → S.447 fraud
S.87	Rectification/condonation	Central Govt; CHG-8

Chapter 07 — Management & Administration

Companies Act 2013 — Chapter VII, Sections 88 to 122, read with Section 12 (registered office) and the Companies (Management and Administration) Rules, 2014. Confirm exact rule numbers in the latest ICAI material / bare Act, as rules are periodically amended.

1. The Problem — power without a paper trail

A company is a strange creature. It owns property, signs contracts, sues and is sued — yet it has no body, no voice, no signature of its own. Every act it performs is really an act of *some human being* claiming to speak for it: a director, a manager, a majority of shareholders in a room. This is the source of an entire family of abuses.

Abuse one — the vanishing company. Suppose you are a supplier who sold ₹20 lakh of goods on credit to Orion Traders Ltd. Orion defaults. You go to sue. But *where* is Orion? A company is not a place. If the law let a company exist without a fixed, publicly known address, a fraudster could incorporate a company, collect money, and then simply be *unfindable*. Nobody could serve a legal notice, no regulator could inspect, no creditor could knock on a door.

Abuse two — the secret owner. You want to know who really controls Orion — because you are deciding whether to trust it, or because you are a regulator hunting for money laundering. The directors say "the shareholders own it." But the share register might list a nominee — a driver, a clerk, a shell — who *holds* the shares while a hidden person pulls the strings. Ownership becomes a hall of mirrors.

Abuse three — the phantom meeting. The company's biggest decisions — changing its constitution, removing a director, approving a merger — are supposed to be made by the *members* collectively. But what stops the directors from claiming a meeting happened when it didn't? Or holding it at 6 a.m. in a remote village with 4 hours' notice so no dissenting shareholder can attend? Or letting the chairman "declare" a resolution passed by show of hands when the hands actually said no? Or writing minutes afterward that record a decision nobody made?

Abuse four — the frozen minority. Even when a real meeting happens, a shareholder with 5% might be steamrolled — denied notice, denied the chance to send someone in their place, denied an accurate count of votes, denied even the right to see what was decided.

Abuse five — the moving target. Even once you have found the company and its owners, its *shape* keeps changing — shares are transferred, directors resign, new capital is raised, control quietly shifts. A snapshot taken at incorporation is worthless a year later. Without a periodic, standardized re-statement of the company's structure, every dealing would require a private investigation. The law's answer to a *moving* target is a *dated* record: registers updated within days, and an annual return frozen at the financial year-end.

Every one of these is a way to exercise the company's enormous power *without accountability*. Chapter VII of the Companies Act 2013 is the law's answer: it forces the company to have a **findable address**, a **truthful record of who owns and controls it**, a **regular public report of its state**, and a **fair, provable, well-documented process for every collective decision**.

Notice the *design pattern* underneath all five abuses: each is an attempt to break the link between an *act* and the *legitimate authority* for that act. The registered office links the company to a place; the register links

shares to owners; SBO disclosure links owners to the human behind them; notice and quorum link a resolution to the informed will of the members; minutes link the record to what actually happened. Chapter VII is, at bottom, one long exercise in **keeping every act tethered to its source of authority so the tether can be pulled and tested later.**

2. The Core Idea — every collective act must be visible, fair, and recorded

The unifying principle of "Management & Administration" is this: **because a company acts only through people, the law surrounds every act with three guarantees — visibility, fairness, and a permanent record — so that power can always be traced back to a legitimate source.**

Break it into its three pillars:

1. **Visibility (where and who).** The company must have a registered office that never hides (Section 12), a register of members that names its owners (Section 88), disclosure of who *beneficially* owns shares behind nominees (Sections 89–90), and an annual return that snapshots the whole picture for the public (Section 92).
2. **Fairness of decision-making (how members decide).** No decision counts unless the members had a genuine, informed opportunity to participate: adequate notice (Section 101), an honest explanation of what they are voting on (Section 102), a minimum turnout (quorum, Section 103), the right to send a proxy (Section 105), and a fair way to count votes — show of hands, poll, e-voting, or postal ballot (Sections 107–110).
3. **Proof (the permanent record).** A decision that cannot be proved is a decision that can be denied or invented. So resolutions must be filed (Section 117) and minutes must be kept as near-conclusive evidence (Section 118).

The elegance is that each rule is a *fix for a specific cheat*. You never need to memorize a bare number — you reconstruct it from the abuse it stops.

A finer distinction the exam tests — the three "audiences" of Chapter VII. Every rule here serves one of three audiences, and knowing which one lets you predict the rule:

- **Outsiders (creditors, the public, regulators)** get *outward-facing* disclosure — publication under Section 12, the annual return filed with the Registrar (Section 92), and filed resolutions (Section 117). These are pushed *out* to the ROC/public.
- **Members** get *inward-facing* participation and inspection rights — notice, explanatory statement, proxy, poll, inspection of registers and general-meeting minutes.
- **The company itself** gets *internal certainty* — the register as its source of truth about whom to pay and invite, and minutes as evidence that its own decisions were validly taken.

When an exam question asks whether *X* is entitled to *Y* (e.g. "can a creditor inspect the minute book?"), first ask *which audience the rule serves*. A creditor is an outsider — he gets the filed return, not the internal minute book. That single reflex disposes of a whole class of questions.

3. Why it's built this way — the logic of each safeguard

"Why must a company have a registered office within 30 days (Section 12)?" Because a company that cannot be *served* cannot be *sued* or *regulated*. The registered office is the company's legal home — the single address where every notice, summons, and communication is validly delivered. Thirty days from incorporation is enough time to arrange premises but short enough that the company cannot operate for months as an untraceable ghost.

"Why publish the name and address on every document and outside the office?" Because people dealing with the company must instantly know *whom they are dealing with* and that it is a *limited* entity (so they are on notice that shareholders' liability is capped). Painting the name outside the office and printing the CIN on letterheads turns the company's identity into a public, unavoidable fact.

"Why a register of members (Section 88), when share certificates already exist?" Because a certificate is in *one person's pocket*; the register is the company's *single source of truth* about who its members are at any moment. Dividends, voting rights, and notices all flow from the register. Without it, ownership disputes would be unwinnable and the company wouldn't know whom to pay or invite.

"Why force disclosure of *beneficial* interest (Section 89) and *significant beneficial owners* (Section 90)?" Because the register names the *legal* holder, who may be a mere nominee. The real mischief — tax evasion, money laundering, benami control, evading takeover thresholds — hides in the gap between the *name on the register* and the *person who enjoys the benefit*. Sections 89 and 90 close that gap by compelling the hidden beneficiary to step into the light.

"Why an annual return (Section 92) on top of financial statements?" Because financial statements show the *money*; the annual return shows the *structure* — who the members are, how shares moved, who the directors and KMP are, indebtedness, and compliance. It is the yearly "census" of the company, filed with the Registrar so any outsider can reconstruct the company's shape without visiting it.

"Why compel an AGM every year (Section 96)?" Because directors, once in the saddle, have every incentive to *avoid* facing the owners. Left alone they would present accounts late, never stand for re-election, and never answer questions. A mandatory annual meeting forces a yearly reckoning: accounts are laid, auditors and directors face the members, dividends are declared. It is the heartbeat of accountability.

"Why 21 clear days' notice (Section 101)?" Because a decision taken by ambush is not a decision by the members — it is a decision by whoever controls the calendar. A fixed, generous notice period guarantees every member, however small or distant, has real time to study the agenda, form a view, and arrange to attend or appoint a proxy.

"Why an explanatory statement for special business (Section 102)?" Because a bare agenda line ("to consider item 5") tells a member *nothing*. Directors could bury a self-serving related-party deal under a vague heading. Section 102 forces full disclosure of *what* the resolution really does and *who* is materially interested, so consent is *informed*, not blind.

"Why a quorum (Section 103)?" Because two people in a room cannot bind thousands of owners. A minimum turnout ensures a decision reflects a meaningful cross-section of members, not a stealth meeting of insiders.

"Why the right to a proxy (Section 105)?" Because a member who cannot physically attend would otherwise be *disenfranchised*. The proxy lets absent owners still cast their weight, so control cannot be seized simply by whoever shows up in person.

"Why a poll (Section 109) when a show of hands already exists?" Because a show of hands counts *heads*, not *shares* — one tycoon holding 60% has the same single hand as a man holding one share. That is absurd for a body where power tracks capital. A poll re-counts by *shareholding*, so the true owners' weight prevails when it matters. E-voting (Section 108) and postal ballot (Section 110) extend the same fairness to those who never enter the room.

"Why ordinary vs special resolutions (Section 114)?" Because not all decisions are equal. Routine matters need a simple majority; but decisions that *change the fundamental bargain* — altering the constitution, reducing capital, winding up — could crush a large minority. Requiring a 75% supermajority for these means no faction can rewrite the deal without overwhelming consent.

"Why file resolutions (Section 117) and keep minutes (Section 118)?" Because the entire edifice collapses if decisions can be *invented or denied* after the fact. Filed resolutions put major acts on the public record; minutes, signed and dated within 30 days, are near-**conclusive evidence** that the meeting happened and decided what they say. Proof is the final safeguard.

A deeper "why" the exam rewards — why thresholds take the shape they do. Notice the recurring numbers: **1/10th (10%)** to *force* the Board's hand (requisition an EGM, demand a poll, circulate a resolution); **95%** to *waive* a protection (short notice); **75%** to *change the bargain* (special resolution); **1% or ₹5 lakh** merely to *put an item on the calendar* (special notice). The pattern is a sliding scale of *how much consensus the law demands for how disruptive the act is*. Forcing a meeting only inconveniences the Board, so a modest 10% suffices. Waiving everyone's notice right strips a protection, so near-unanimity (95%) is demanded. Rewriting the constitution binds dissenters permanently, so an overwhelming 75% is required. Once you see thresholds as *priced by disruption*, you can often reconstruct the right number by asking "how badly does this act hurt a dissenting minority?"

4. Full Technical Content — section by section, each with its "why"

4.1 Registered office & publication — Section 12

- **The rule:** A company must have a registered office **within 30 days of incorporation** and at all times thereafter, capable of receiving and acknowledging all communications and notices. *Why: a fixed legal home so the company is always findable.*
- **Verification:** The company must furnish verification of the registered office to the Registrar within 30 days in **Form INC-22**. *Why: prevents a fake or borrowed address.*
- **Publication (Section 12(3)):** Every company must —
 - Paint/affix its **name and registered-office address** outside every office/place of business, in legible letters, in English and the local language;
 - Have its **name engraved** on its seal (if it has one);
 - Print name, registered-office address, **CIN**, telephone/fax/email/website on all business letters, billheads, notices and official publications;
 - **One Person Company** must additionally print the words "One Person Company" in brackets below its name. *Why: instant identification and notice of limited liability.*
- **Change of registered office:** Notice of any change filed with Registrar within **15 days** in Form INC-22. *Why: keeps the "findable home" current.*
- Change **within same city/town/village** — Board resolution suffices.

- Change **outside local limits but within same ROC jurisdiction / state** — **special resolution**.
- Change from **one state to another**, or shifting ROC — special resolution **plus approval of the Central Government (Regional Director)**. *Why: an interstate move can strip a state's creditors and revenue of local jurisdiction, so a higher authority polices it.*
- **The four-tier ladder made precise (a favourite MCQ)**. Read the tiers as *ascending disruption*: 1. **Same town** → nobody's convenience is disturbed → Board resolution. 2. **Different town, same ROC/state** → some members must travel further → **special resolution**. 3. **Different ROC within the same state** → additionally requires **Regional Director confirmation** (the ROC of record changes even though the state does not — verify current position in ICAI material, as this tier is frequently mis-stated). 4. **Different state** (which alters the memorandum's *situation clause*) → special resolution **plus** RD approval **plus** consequent alteration of the memorandum under Section 13. *Why the escalation: the further the move, the more creditors and members it can prejudice, so the higher the sign-off.*
- **Default (Section 12(8))**: Company and every officer in default liable to a penalty of **₹1,000 per day** of default, up to a **maximum of ₹1,00,000**.
- **Trap — Section 12(9)**: If the Registrar has reasonable cause to believe the company is **not carrying on business**, he may cause a **physical verification** of the registered office; if found in default, he may initiate action to **strike off** the company. *Why: an address with no real business is the classic shell-company red flag.*
- **"Capable of receiving and acknowledging" — the working test**. The office need not be *owned* by the company; leased or licensed premises suffice, provided the company can lawfully receive communications there. A registered office that is merely a nameplate on a chartered accountant's door, with no capacity to receive and *acknowledge* notices, fails the section even if INC-22 was filed. The exam sometimes hides this: a validly *filed* office that cannot in fact receive notice is still a default.
- **Edge case — "at all times thereafter."** The 30-day clock is only for the *first* office. A company that lets its office lapse mid-life (e.g. lease expires, no replacement) is in continuing default from day one of the gap — there is no fresh 30-day grace. Contrast the *change* of office, which does get its own 15-day filing window.

4.2 Register of members and other security holders — Section 88

- **The rule**: Every company shall keep and maintain a **register of members** (equity and preference separately), a **register of debenture-holders**, and a **register of any other security holders**. *Why: the single source of truth on ownership.*
- **Index (Section 88(2))**: Where members exceed **50**, an index of names must be maintained (unless the register itself is in a form serving as an index). *Why: usability — you must be able to find a member fast.*
- **Foreign register (Section 88(4))**: A company may keep a **foreign register** of members/debenture-holders/other security holders residing outside India. *Why: practical access for overseas holders.* The foreign register is deemed **part of the principal register**; a **duplicate** must be kept at the registered office and updated. *Why: the head office must always mirror the whole picture, so India-based inspection is never defeated by parking members abroad.*
- **Rule detail**: Registers maintained in **Form MGT-1** (members) etc.; entries within **7 days** of the Board (or its committee) approving allotment or transfer.
- **The register vs the depository — a modern subtlety**. For shares held in **dematerialised** form, the company relies on the records of the **depository** (NSDL/CDSL); the depository's records are treated as the corresponding register. The exam may ask "who maintains ownership records for demat shares?" —

the answer keys on the depository, not a physical MGT-1. *Why: dematerialisation moves the "single source of truth" into the depository system, but the concept — one authoritative ownership record — is unchanged.*

- **Default (Section 88(5)):** Company liable to penalty and every officer in default liable to penalty. (*Confirm the exact revised penalty figures in current ICAI material — amended by the Amendment Acts.*)
- **Edge case — beneficial owner does NOT go on the register.** A recurring trap: the register under Section 88 records the *registered/legal* holder only. The *beneficial* owner declared under Section 89 is recorded on the company's Section 89 records and reported in **MGT-6**, not entered as a member in MGT-1. The register names the nominee; the beneficiary is disclosed alongside, never substituted in.

4.3 Declaration of beneficial interest — Section 89

- **The problem:** The register names the *legal* holder, who may only be a **nominee** for someone else who truly enjoys the dividends and rights.
- **The rule:**
 - The person whose name is entered but who **does not hold the beneficial interest** (the registered owner / nominee) must file a declaration in **Form MGT-4** within **30 days**.
 - The person who **holds the beneficial interest** but is not the registered owner must declare in **Form MGT-5** within **30 days** of acquiring it.
 - The **company**, on receiving these, must record it and file a return in **Form MGT-6** with the Registrar within **30 days**.
- **Consequence (Section 89(8)):** Until the declaration is made, **no right in the shares** (e.g. voting) shall be **enforceable** by the beneficial owner. *Why: removes the benefit of hiding — an undeclared beneficiary cannot use the very rights he concealed.*
- **A precise reading of 89(8) the exam tests.** The bar on enforcement runs against the **beneficial owner's rights**, and it lasts *until* the declaration is filed — it is a *suspension*, not a permanent forfeiture. File MGT-5, and the rights revive prospectively. Meanwhile the *registered* holder (the nominee on the register) may still, on the face of the register, exercise rights and receive notices; the company is entitled to treat the register as true. So a resolution passed on votes cast by the *registered* nominee is not automatically void merely because the beneficiary hadn't declared.
- **Section 89(10) definition:** "Beneficial interest" includes, directly or indirectly through contract/arrangement, the right to exercise **any or all rights attached** to a share (voting, dividend, transfer, etc.).
- **Section 89 vs Section 90 — the distinction to lock in.** Section 89 catches a **simple, single-layer nominee** ("A holds *for* B"). It has **no percentage threshold** — even one share held on trust triggers it. Section 90 catches the **ultimate controlling individual** behind possibly many layers, and *does* have a threshold (10%). Both may bite at once: A holds 12% as nominee for B (Section 89 declarations), and B, being an individual with $\geq 10\%$ beneficial interest, is also an **SBO** (Section 90 in BEN-1).

4.4 Significant Beneficial Owner (SBO) — Section 90

- **The deeper problem:** Even Section 89 only catches simple nominee arrangements. Control can hide behind **layers of companies and trusts**. Section 90 hunts the *ultimate individual* controlling a company.
- **Who is an SBO:** An **individual** who, acting alone or together, or through one or more persons/trusts, holds **beneficial interest of at least 10%** of shares (or voting rights, or right to receive dividend), **or**

exercises **significant influence or control** over the company (threshold prescribed by rules — confirm the 10% figure in current SBO Rules).

- **"Individual" is load-bearing.** An SBO is always a *natural person*. If the immediate holder is a body corporate, trust, partnership, or pooled vehicle, you must **look through** it to the individual at the top of the chain. The whole point of Section 90 is that a corporate owner is never the final answer — you keep climbing until you reach a human. Exam trap: naming a holding *company* as the SBO is wrong; name the individual controlling that holding company.
- **Duties:**
 - The SBO must declare his interest to the company in **Form BEN-1**.
 - The company files a return in **Form BEN-2** with the Registrar.
 - The company maintains a **register of SBOs in Form BEN-3**.
 - The company must **give notice (Form BEN-4)** to any person it believes to be, or to know of, an SBO.
- **Enforcement teeth (Section 90(7)–(9)):** If a person fails to respond, the company may apply to the **Tribunal** for an order imposing **restrictions on the shares** (transfer, dividend, voting suspended). *Why: freezes the very shares used to hide, forcing disclosure.* The Tribunal application is made **within a prescribed period** of the person's failure, and the order can be lifted once disclosure is made.
- **Exemption:** Certain holdings (e.g. by IEPF Authority, mutual funds, holding reporting companies) are exempt. *Why: these are already transparent/regulated.*
- **Why "significant influence or control" is a second, independent limb.** A person can be an SBO with **less than 10% of shares** if they nonetheless exercise significant influence or control — e.g. through a shareholders' agreement, a golden share, or the right to appoint a majority of directors. The 10% test catches *economic* ownership; the influence/control test catches *de facto* command. The exam sometimes gives a fact pattern with 8% shareholding but a right to appoint the board — that person is still an SBO.

4.5 Place of keeping registers & returns — Section 94

- **The rule:** Registers under Section 88 and copies of annual returns are kept at the **registered office**. They may be kept **elsewhere in India** where more than **1/10th of members reside**, if approved by a **special resolution**. *Why: brings records physically closer to where owners actually are, but only with supermajority consent to prevent hiding records in an inconvenient place.*
- **Inspection:** Members/debenture-holders may inspect **free of charge**; others on payment of prescribed fee. Copies to be provided within the prescribed period. *Why: transparency is meaningless without access.*
- **Two conditions, both mandatory.** Keeping registers away from the registered office needs **both** (a) more than one-tenth of members *residing* at that other place, **and** (b) a *special resolution*. Missing either defeats it. A common trap gives a special resolution but only 8% of members residing there — the shift is invalid because the residence limb fails.
- **Amendment note:** The earlier requirement to file a copy of a proposed special resolution in advance with the Registrar (old Section 94 proviso) was **omitted** by the 2017 Amendment — confirm current position.

4.6 Annual Return — Section 92

- **The rule:** Every company shall prepare an annual return in **Form MGT-7** (small companies and OPC use **MGT-7A**) containing, as they stood at the **close of the financial year**, particulars of: registered office, principal business activities; holding/subsidiary/associate companies; shares, debentures, other securities

and shareholding pattern; members and debenture-holders with **changes** since last year; promoters, directors, KMP and changes; meetings of members/Board/committees and attendance; remuneration of directors and KMP; penalties/punishments and compounding; matters relating to certification of compliances; shareholding of the FII; and other prescribed matters.

- **"As they stood at the close of the financial year" — the freeze date.** Every figure in the return is a snapshot at FY-end, not at the AGM date and not at filing date. If a director resigns *after* year-end but before filing, the return still shows the year-end position (with changes disclosed). *Why: a census needs a single, common cut-off so successive years' returns are comparable and outsiders know exactly what date the picture depicts.*
- **Signing:** Signed by a **director and the Company Secretary**; where there is no CS, by a **company secretary in practice**.
- **Signing for OPC and small companies (post-amendment).** For an **OPC and small company**, the annual return may be signed by the **company secretary**, or where there is no CS, **by the director** of the company. *(Confirm current wording — the relaxation was introduced to ease compliance for the smallest companies.)*
- **Certification (Section 92(2)):** A **listed company** or a company with **paid-up capital ≥ ₹10 crore** or **turnover ≥ ₹50 crore** must have the annual return **certified by a company secretary in practice** in **Form MGT-8**. *Why: independent professional attestation for larger companies where errors affect many.*
- **Filing (Section 92(4)):** File with the Registrar within **60 days of the AGM**; if no AGM is held, within 60 days of the date the AGM *should* have been held, with reasons for not holding it. *Why: a fixed public deadline keeps the census current.*
- **The "no AGM held" branch — worth stressing.** The 60-day clock does not disappear just because the company skipped its AGM. It runs from **the last date on which the AGM ought to have been held**, and the return must **state the reasons** for the failure. *Why: a defaulting company cannot buy itself indefinite delay in filing simply by also defaulting on the AGM — two wrongs don't extend the deadline.*
- **Abridged / web note:** The requirement for an **extract of the annual return (MGT-9)** in the Board's report was replaced — companies now place the annual return on the **website** and give the web link in the Board's report. *(Confirm current wording.)*
- **Default (Section 92(5)/(6)):** Company and every officer in default liable to penalty (₹ per day continuing default, subject to cap); a PCS certifying wrongly is liable to penalty. *(Confirm exact revised figures.)*

The census reflex — remember MGT: Members, Governance, Transactions all get filed on Forms MGT.

4.7 Annual General Meeting — Section 96

- **The rule:** Every company **other than a One Person Company** must hold an AGM **every year**.
- **Gaps and first AGM:**
- First AGM: within **9 months** from the close of the **first** financial year. (If held, no AGM needed in the year of incorporation.)
- Subsequent AGMs: within **6 months** from the close of the financial year.
- Gap between two AGMs **not more than 15 months**.
- The Registrar may, for special reasons, **extend** the time for holding an AGM (not the first AGM) by up to **3 months**. *Why: rare genuine difficulties (e.g. delayed accounts) accommodated, but the first AGM is never extendable.*

- **How the three limits interact — a subtlety examiners exploit.** For a *subsequent* AGM you must satisfy **all** the applicable limits at once: within 6 months of FY-end **and** no more than 15 months after the last AGM. Where an extension is granted, the **15-month gap and the 6-month rule are read with the extension** — the extension moves the deadline, so a gap that would otherwise breach 15 months can become lawful. But the **first AGM's 9 months can never be extended** — if you see "first AGM" and "extension" in the same sentence, the extension is a red herring.
- **Time and place:** Held during **business hours (9 a.m. to 6 p.m.)**, on a day that is **not a National Holiday**, at the registered office or some other place within the **city/town/village** where the registered office is situated. (Unlisted companies may hold the AGM **anywhere in India** if all members consent — 2017 Amendment.) *Why: no ambush at odd hours or unreachable places.*
- **"National Holiday" is a defined term, not "public holiday."** A National Holiday is one *declared* by the Central Government (e.g. Republic Day, Independence Day, Gandhi Jayanti). A meeting on a *state* festival or a bank holiday that is not a declared National Holiday is *not* barred on that ground. The exam plays on the loose word "holiday" — read for "National Holiday."
- **Business:** *Ordinary business* — (a) consideration of financial statements and reports; (b) declaration of dividend; (c) appointment of directors in place of those retiring; (d) appointment/re-appointment of auditors and fixing remuneration. Everything else is *special business* needing an explanatory statement.
- **The four ordinary-business items — memorize the closed list.** *Only* these four are ordinary business, and they arise *only* at an AGM (an EGM has no ordinary business — every item at an EGM is special business and needs an explanatory statement). Trap: examiners describe an EGM approving "adoption of accounts" as ordinary business — at an EGM there is no such category, so it needs Section 102 disclosure.
- **Default (Section 99):** If an AGM is not held, company and every officer in default liable to a fine up to **₹1,00,000**, and **₹5,000 per day** for continuing default.

4.8 Tribunal's power to call meetings — Sections 97 & 98

- **Section 97 — default in holding AGM:** If a company fails to hold an AGM, **any member** may apply to the **Tribunal**, which may **call/direct the calling of** an AGM and give ancillary directions (including that **one member present in person or by proxy shall constitute the meeting**). *Why: members are not left helpless when directors stonewall.*
- **Section 98 — impracticability:** If for any reason it is **impracticable** to call or conduct a meeting (other than an AGM), the Tribunal may, on its own motion or on application of a director/member, **order a meeting** to be called and conducted as it directs. *Why: deadlock (e.g. quorum can never be met because a faction boycotts) must not paralyse the company.*
- **Section 97 vs 98 — draw the line cleanly.** Section 97 is triggered *only* by a **default in holding the AGM** and is invoked *only by a member*. Section 98 covers **any meeting other than an AGM** (including a Board meeting or an EGM) that has become **impracticable** to call or conduct, and can be invoked by a **director or member, or by the Tribunal itself**. A quick decision rule: *AGM not held* → Section 97; *any other meeting impracticable* → Section 98.
- **The "one member is quorum" power is the killer feature.** Both sections let the Tribunal direct that **one member present shall constitute the meeting**, overriding Section 103's numerical quorum. This is precisely how a boycotting majority (who deny quorum) is defeated — the Tribunal simply removes the quorum obstacle. Exam favourite: a 50-50 deadlock where one faction never attends; the remedy is a Tribunal-ordered meeting with a one-member quorum.

4.9 Extraordinary General Meeting — Section 100

- **The idea:** Any general meeting **other than the AGM** is an EGM — for urgent matters that cannot wait.
- **Who calls it:**
- The **Board** may call an EGM whenever it thinks fit.
- The Board **must** call an EGM on a valid **requisition** by members holding at least **1/10th of the paid-up share capital** carrying voting rights (or, for a company without share capital, 1/10th of total voting power).
- The Board must proceed to call the meeting **within 21 days** to be held **within 45 days** of receiving the requisition.
- If the Board fails, the **requisitionists themselves** may call the EGM within **3 months** of the requisition; reasonable expenses are **recovered from the company** (and may be deducted from defaulting directors' fees). *Why: owners can force a reckoning even against an unwilling Board.*
- **The requisition's content requirements.** A valid requisition must **set out the matters** for which the meeting is required and be **signed** by the requisitionists and **deposited at the registered office**. A requisition that names no business is invalid; the Board is not obliged to act on a blank demand. *Why: the Board must know what it is being forced to convene, and the notice to members must state the purpose.*
- **The 3-month window explained precisely.** The requisitionists' self-called meeting must be **held within 3 months** from the date of deposit of the requisition — not merely *called* within 3 months. And it must be called **in the same manner** as the Board would (broadly, proper notice to members). *Why: the self-help route is a substitute for Board action, so it inherits the same procedural discipline.*
- **Place (2017 Amendment proviso):** An EGM of a **wholly-owned subsidiary of a company incorporated outside India** may be held **anywhere in the world**; other companies' EGMs are held in India.
- **Contrast with the AGM's place rule.** The AGM must generally be within the city/town/village of the registered office (relaxed for unlisted companies with all members' consent). The EGM has no such city-limit rule in the Act's body — its only special geography rule is the "anywhere in the world" relaxation for the wholly-owned foreign subsidiary. Don't import the AGM's city restriction into EGMs.

4.10 Notice of meeting — Section 101

- **The rule:** A general meeting is called by giving **not less than 21 clear days' notice** in writing or electronic mode.
- **"Clear days":** Exclude the **day of service** and the **day of the meeting**; add ~2 days for postal service where notice is sent by post. *Why: 21 usable days, not 21 counted-from-the-envelope.*
- **Working the "clear days" arithmetic.** Suppose notice is *served* on 1 August for a meeting. Exclude 1 August (day of service). If sent by post, notice is deemed served **48 hours after posting**, so a notice *posted* on 1 August is *served* on 3 August; you then exclude 3 August and the meeting day, and count 21 full days in between. The earliest lawful meeting date is therefore roughly **3 + 21 + 1 = 25 August at the earliest** (verify the exact deeming rule in current material). The exam almost always tests whether you (a) exclude both ends and (b) add the postal 48 hours.
- **Shorter notice:** A meeting may be called on **shorter notice** if consented to by:
- **AGM** — **95%** of the members entitled to vote;
- **other meetings (EGM)** — members holding **95%** of the paid-up voting capital (or 95% of voting power where no share capital). *Why: near-unanimity means nobody is ambushed.*

- **A precise distinction inside the 95% rule.** For an **AGM**, the 95% is of *members entitled to vote* — a **head/number** test blended with entitlement. For an **EGM** of a company with share capital, the 95% is of the **paid-up voting capital** — a *value* test. The exam sometimes swaps these to trip you. Read carefully whether it asks for 95% of *members* (AGM) or 95% of *capital/voting power* (EGM).
- **To whom (Section 101(3)):** To every **member, legal representative of a deceased member, assignee of an insolvent member, auditor, and every director.**
- **Contents:** Place, date, day, hour of the meeting, and the **agenda**. Accidental omission to give notice to, or non-receipt by, any member does **not** invalidate proceedings (Section 101(4)) — *provided the omission was truly accidental, not deliberate.*
- **The "accidental omission" safe harbour, dissected.** Section 101(4) protects the meeting only where the failure is (a) *accidental* and (b) *omission to give notice OR non-receipt* by the member despite the notice being sent. It does **not** protect a *deliberate* exclusion (e.g. leaving a dissenting shareholder off the list to prevent objection) — that voids the proceedings. Nor does it cure a *systemic* failure (e.g. forgetting a whole class of members) that goes beyond a stray oversight. The single word "accidental" is where marks are won or lost.

4.11 Statement to be annexed to notice — Section 102

- **The rule:** For every item of **special business**, the notice must annex an **explanatory statement** setting out —
- the **material facts** concerning each item;
- the **nature of the concern or interest**, financial or otherwise, of **every director, manager, KMP and their relatives** in each item;
- where an item relates to another company, the **shareholding interest** in that other company of every director/KMP/their relatives, **if it is 2% or more.**
- **The 2% shareholding trigger — read it exactly.** The 2%-or-more disclosure bites only for the *cross-holding in the other company* limb, and it aggregates the holdings of the director/KMP/manager *and their relatives*. Below 2%, that particular cross-holding need not be disclosed — but the *general* duty to disclose the **nature of concern or interest** (the first two bullets) has **no** threshold. Trap: candidates apply the 2% floor to the whole section; it applies only to the "shares in the other company" disclosure.
- **What counts as "special business" — the default rule.** At an AGM, everything *except* the four ordinary-business items is special business. At an EGM, **all** business is special business. So the explanatory statement is the *norm*, not the exception, at an EGM.
- **Consequence of default (Section 102(4)):** If, as a result of non-disclosure or insufficient disclosure, any **benefit accrues** to a director/promoter/manager/KMP/relative, they must **compensate the company** to the extent of the benefit. Default also attracts a penalty of **₹50,000 or 5 times the benefit, whichever is more.** *Why: disgorges the profit gained through concealment — you cannot keep what you hid.*
- **Disgorgement is compensation, not a fine — keep them separate.** Section 102(4) produces *two* distinct liabilities: (1) the interested person must **hand back the benefit** to the company (restitution, measured by the benefit), and (2) a **penalty** of ₹50,000 or 5× the benefit, whichever is higher. A common error is to treat the "5× benefit" as the amount returned to the company — no: the company gets the *actual benefit* back, and the *penalty* is separately the greater of ₹50,000 or 5× benefit.

4.12 Quorum — Section 103

- **The rule (public company):** Minimum members personally present —
- **5** members if the number of members on the date of meeting is $\leq 1,000$;
- **15** members if members are $> 1,000$ but $\leq 5,000$;
- **30** members if members are $> 5,000$.
- **Private company: 2 members** personally present. *Why: smaller bodies need a smaller floor.*
- **"Personally present" — and how representatives change the count.** Quorum requires members *personally present*. A **proxy does NOT count** toward quorum. But a **corporate representative under Section 113** and a **representative of the President/Governor under Section 112** *do* count as the member being "personally present." So a public company meeting attended by 5 corporate representatives (each representing a member company) *has* quorum; the same meeting with 5 proxies *does not*. This proxy-vs-representative distinction is the single most tested point in the whole chapter.
- **If quorum absent within half an hour:**
- Meeting called on **requisition** by members → **dissolved**.
- Any other meeting → **adjourned** to the same day next week, same time and place (or as the Board decides). If quorum is still absent at the adjourned meeting within half an hour, the **members present shall be the quorum**. *Why: a persistently boycotting faction cannot paralyse the company forever.*
- **Why requisitioned meetings are dissolved, not adjourned.** A requisitioned EGM exists only because the requisitionists demanded it. If they themselves cannot muster quorum, there is no public interest in keeping the machinery running — so the law simply *dissolves* it (the requisitionists failed their own meeting). A Board-called or AGM meeting, by contrast, serves the company at large, so it is *adjourned* and then proceeds with whoever turns up. Reason it out and you never confuse the two outcomes.
- **Edge case — quorum must persist or only be present at the start?** The Act fixes quorum at the *commencement* (within half an hour of the appointed time). Whether business already validly commenced is vitiated by members later leaving depends on the articles/Secretarial Standards — SS-2 generally requires quorum to be present *throughout*. For the exam, state the statutory rule (quorum within half an hour) and note SS-2's throughout-requirement as the prudent standard.

4.13 Chairman, proxies and voting — Sections 104 to 108

- **Chairman (Section 104):** Unless the articles provide otherwise, members personally present **elect a chairman by show of hands**; if a poll is demanded on the election of chairman, it is taken **forthwith**. *Why: a meeting needs a neutral steward from the first minute.*
- **Proxy (Section 105):**
- Any member entitled to attend and vote may appoint a **proxy** to attend and vote **on a poll** on his behalf.
- A proxy **need not be a member**.
- **A proxy cannot vote on a show of hands** and (unless articles allow) **cannot speak**. *Why: a proxy is a stand-in vote-carrier, not a debater.*
- **Members of a company not having share capital** cannot appoint a proxy unless the articles allow; a **Section 8 company** member may appoint a proxy only if the proxy is also a member.
- **Proxy instrument** must be deposited **not more than 48 hours** before the meeting. *Why: gives the company time to verify without letting last-minute forgeries slip in.*

- **Aggregation limit (Rules):** A person can act as proxy for **not more than 50 members** and members holding in aggregate **not more than 10% of total voting share capital**; but a member holding **more than 10%** may appoint a **single** proxy who then cannot be proxy for anyone else. *Why: prevents proxy-farming to hijack meetings.*
- Notice of the meeting must state, "with reasonable prominence," that a member entitled to attend and vote may appoint a proxy.
- **"Not more than 48 hours" — the direction of the limit matters.** Section 105 caps the *maximum* advance deposit at 48 hours; a company **cannot** require proxies to be lodged, say, 72 hours before — any article demanding more than 48 hours' advance deposit is void *to that extent*. The purpose is member-protective: it stops companies from setting an impossibly early cut-off. Trap: candidates read "48 hours" as a *minimum* and think a proxy lodged 24 hours before is late — it is perfectly valid.
- **The 50-members / 10% proxy-farming cap, worked.** One person may hold proxies for at most **50 members** and those members must together hold $\leq 10\%$ of the total voting share capital. Both limits apply simultaneously. Exception: a *single* member holding **more than 10%** may appoint one proxy for himself, but that proxy is then *locked* to him and cannot also carry other members' proxies. *Why: this stops a mass round-up of small holders' proxies to manufacture control while still letting a large single holder be represented.*
- **Restriction on voting rights (Section 106):** Articles may bar a member from voting if **calls are unpaid** or the company has a lien/exercised a right over his shares. Except as so provided, a member's voting right cannot otherwise be restricted. *Why: you shouldn't vote with shares you haven't fully paid for.*
- **Voting by show of hands (Section 107):** At any general meeting a resolution is decided by a **show of hands** in the first instance, unless a poll is demanded (Section 109) or e-voting is used. *One member = one hand, regardless of shareholding — the flaw a poll cures.*
- **Show of hands is unavailable where e-voting applies.** For companies that must provide **e-voting** (Section 108), a resolution is *not* decided by show of hands — the electronic vote (counting by shareholding) governs, because show of hands would be meaningless where most members voted remotely by value. Trap: a listed company "declaring a resolution passed on a show of hands" is procedurally wrong.
- **Voting through electronic means (Section 108): Prescribed classes** of companies (notably **listed companies and those with $\geq 1,000$ members**) must provide members the facility to exercise their vote by **electronic means (remote e-voting)**. *Why: extends the franchise to owners who cannot travel — especially scattered public shareholders.*

4.14 Poll — Section 109

- **The rule:** Before or on the declaration of the result of a show of hands, a **poll** may be **demand**ed by —
- In a company **having share capital** — members holding at least **1/10th of the total voting power** or holding **paid-up shares of $\geq ₹5,00,000$** (in aggregate);
- In a company **without share capital** — members having at least **1/10th of the total voting power**.
- **The chairman** may also **order a poll suo motu**.
- **Timing:** A poll on **adjournment** or **election of chairman** is taken **forthwith**; any other poll within **48 hours**. *Why: procedural matters can't wait; substantive ones get a short verification window.*
- **Effect:** On a poll, votes are counted by **shareholding** — the true weight of capital prevails. A demand for a poll may be **withdrawn** by the person(s) who made it.

- **The two alternative thresholds are disjunctive — and the ₹5 lakh limb is generous to small blocs.** A demand is valid if *either* the 1/10th voting-power test *or* the ₹5,00,000 aggregate paid-up value test is met. In a large company the ₹5 lakh test is often *easier* than 10% (10% of a huge company is enormous), so a modest coalition can still force a poll. Reason: the law wants a poll to be *demandable* whenever a meaningful economic stake objects to a heads-count result.
- **"Before or on the declaration of the result of the show of hands" — the timing window.** The demand must be made *at latest* when the show-of-hands result is declared. Once the chairman has declared the show-of-hands result **and** the moment has passed, a belated poll demand is out of time. This is why in Scenario B (below) Mr. Rao demands the poll *immediately* on declaration — he is inside the window.
- **A validly demanded poll cannot be refused.** The chairman has *no discretion* to reject a poll demand that meets the threshold — his only role is to fix the manner and (for substantive items) the time within 48 hours. Refusal is illegal and the show-of-hands "result" never becomes final.

4.15 Postal ballot — Section 110

- **The idea:** Some decisions are put to members **entirely by post/e-voting** without a physical meeting — every member votes from home.
- **The rule:** A company **may**, and in respect of items of business the Central Government declares to be transacted **only by postal ballot, shall**, get any resolution passed by means of a **postal ballot** (which includes voting by electronic means).
- **Exception: Ordinary business** and any business in respect of which **directors or auditors have a right to be heard** cannot be transacted by postal ballot. *Why: matters requiring live debate/hearing need a meeting.*
- **Reasoning out the exception.** The four ordinary-business items (accounts, dividend, retiring directors, auditors) and matters where the auditor/director has a *right to be heard* (e.g. removal of an auditor, removal of a director) all involve a *live confrontation* — the person affected is entitled to appear and speak. A postal ballot has no floor for a hearing, so these are *structurally* incompatible with it. Once you see *why*, you can predict any new item: if someone has a right to be heard, it cannot go to postal ballot.
- **OPC / ≤ 200 members:** A **2017 Amendment proviso** allows any item required to be transacted by postal ballot to instead be transacted at a **general meeting** by a company that is required to provide **e-voting** to its members.
- **Deeming (Section 110(2)):** A resolution assented to by the requisite majority through postal ballot is **deemed to have been duly passed at a general meeting.**
- **Why the deeming clause matters.** Because a postal-ballot resolution is *deemed passed at a general meeting*, it carries the **same legal force** as a meeting resolution — a special resolution passed by postal ballot is a valid special resolution for filing under Section 117, for altering the articles, etc. The exam sometimes suggests a postal-ballot special resolution is "weaker" or needs ratification at a meeting — it does not.
- **Items generally requiring postal ballot (Rules):** e.g. alteration of the objects clause; change of registered office outside local limits; variation of rights attached to a class of shares; buy-back; election of a small shareholders' director; sale of the whole/substantially the whole of an undertaking; giving loans/guarantees beyond limits. (*Confirm the current list in the Management & Administration Rules.*)

4.16 Circulation of members' resolution — Section 111

- **The rule:** Members holding the requisite stake (as for a requisition under Section 100 — **1/10th** of voting capital, or 100 members holding shares on which prescribed aggregate paid-up sum has been paid) can require the company to (a) give **notice of a resolution** they intend to move, and (b) **circulate a statement** (up to ~1,000 words) about any matter on the agenda. *Why: the minority gets a voice on the official agenda, not just a heckle from the floor.*
- Expenses are borne by the requisitionists unless the company resolves otherwise. The company may apply to have a defamatory statement not circulated.
- **Circulation (Sec 111) vs requisition (Sec 100) — same threshold, different weapon.** Both use the 1/10th test, but they do different things: Section 100 forces the company to *hold a whole meeting*; Section 111 merely forces it to *put the minority's resolution/statement onto an already-scheduled meeting's papers*. Section 111 is the *cheaper, narrower* tool — use it to get an item onto the next AGM rather than to convene a fresh EGM.

4.17 Representation — Sections 112 & 113

- **Section 112:** The **President of India** or a **Governor of a State**, if a member, may appoint a person to act as its **representative** at meetings, who then enjoys the same rights as an individual member. *Why: the State as shareholder needs a human proxy.*
- **Section 113:** A **body corporate** that is a member may, by **resolution of its Board**, authorise a person as its **representative**; that representative may exercise **all the rights** of the member, including voting on a show of hands and a poll, and is counted for **quorum**. *Why: a company-member also acts only through a human — this makes that human fully empowered (unlike a mere proxy).*
- **Trap:** A **corporate representative** (Section 113) is *not* the same as a **proxy** (Section 105). The representative counts for quorum and can vote on a show of hands; a proxy does neither.
- **The full comparison — proxy vs corporate representative vs presidential representative.**

Feature	Proxy (Sec 105)	Corporate representative (Sec 113)	President/Governor rep (Sec 112)
Appointed by	Any individual member	A body-corporate member (by Board resolution)	President of India / Governor
Instrument	Proxy form, lodged ≤ 48 hrs before	Board resolution authorising the person	Order/appointment by the President/Governor
Counts for quorum	No	Yes	Yes
Vote on show of hands	No	Yes	Yes
Speak at meeting	Generally no	Yes	Yes
Nature	A limited agent for voting on a poll	The member "in person" through a human	The State member "in person" through a human

- *Why the representative is more powerful than a proxy:* a body corporate or the State has **no physical body at all** — it can *only ever* act through a nominated human. So the law treats that human as the member

itself present, not as a mere vote-carrier. An individual member, by contrast, *could* attend in person, so his proxy is a lesser stand-in.

4.18 Ordinary and special resolutions — Section 114

- **Ordinary resolution (Section 114(1)):** Passed when votes cast **in favour exceed the votes cast against** (a **simple majority**) by members entitled to vote, in person or by proxy/postal ballot.
- **Special resolution (Section 114(2)):** (a) the **intention to propose it as a special resolution** is stated in the notice; and (b) votes cast **in favour are not less than three times** the votes cast against — i.e. a **75% supermajority**. *Why: fundamental changes need overwhelming, not bare, consent.*
- **"Three times the votes against" is about votes cast, not total membership.** The 75% is computed on **votes actually cast** (for + against), ignoring abstentions and absentees. So 300 for and 100 against passes ($300 \geq 3 \times 100$), even if thousands of members stayed away. Trap: candidates compute 75% of *total shares/members*; the test is 75% of *votes cast*.
- **Both limbs are mandatory — the notice limb is a killer.** A resolution that gets 99% support but was *not described in the notice as a special resolution* is **not** a valid special resolution — it fails limb (a). Conversely, stating "special resolution" in the notice but only achieving a simple majority fails limb (b). The exam loves a fact pattern satisfying one limb only.
- **When a special resolution is required (examples to remember):** change of name; alteration of the **articles**, and the objects clause of the **memorandum**; shift of registered office outside local limits/to another state; **reduction of share capital** (Section 66); **buy-back** (Section 68); issue of **sweat equity** and **private placement/preferential allotment**; loans and investments beyond Section 186 limits; voluntary winding-up; conversion of a public company into private; removal of an auditor before term; keeping registers at a place other than the registered office (Section 94). (*A resolution is ordinary unless the Act or articles specifically demand a special one — that is the default.*)

4.19 Resolutions requiring special notice — Section 115

- **The rule:** Where the Act or the articles require **special notice** for a resolution, notice of the **intention to move** it must be given to the company by members holding **not less than 1% of total voting power or shares on which ₹5,00,000 aggregate has been paid up**, at least **14 days before the meeting** (excluding the day of receipt and day of meeting). The company then notifies members. *Why: certain sensitive resolutions (e.g. removing a director under Section 169, or appointing an auditor other than the retiring one) must not surprise the person affected — they get advance warning and a chance to be heard.*
- **Special notice is a members-to-company notice, not a company-to-members notice.** Two notices are in play: (1) the **members** give the *company* 14 days' special notice of their intention to move the resolution; (2) the *company* then gives the *members* notice of that resolution (broadly with the ordinary meeting notice, at least 7 days before, or by public advertisement if that's not practicable). Trap: candidates confuse the 14-day member-to-company notice with the 21-day meeting notice — they are separate.
- **Special notice ≠ special resolution.** Removal of a director (Sec 169) and appointing an auditor other than the retiring one are passed as **ordinary resolutions** but require **special notice**. The "special" describes the *notice*, not the *majority*. This is one of the most common traps in the chapter — a resolution can need special notice yet only a simple majority.

4.20 Resolution passed at adjourned meeting — Section 116

- A resolution passed at an **adjourned meeting** is treated as passed on the **date it was actually passed**, not on any earlier date. *Why: prevents back-dating the effect of a decision to before it was really taken.*
- **Contrast with Section 103's adjournment for want of quorum.** Section 116 is a *dating* rule (the resolution's effective date is the adjourned-meeting date). Section 103 is a *quorum* rule (an adjourned meeting for want of quorum proceeds with those present). Both involve "adjournment," but they answer different questions — *when is it effective* (116) vs *is it validly constituted* (103). Read which one the question is really asking.

4.21 Resolutions and agreements to be filed — Section 117

- **The rule:** A copy of every resolution or agreement of the specified types, together with the explanatory statement (if any), must be **filed with the Registrar in Form MGT-14 within 30 days**.
- **Which resolutions must be filed (Section 117(3)):** all **special resolutions**; resolutions of the Board or agreements that the company has **agreed to** which bind classes of members though not all agreed; resolutions requiring a company to be **wound up voluntarily**; resolutions passed under **Section 179(3)** (key Board powers — e.g. borrowing, investing, issuing securities); and others prescribed. *Why: the public record must capture every fundamental and financially significant decision.*
- **Some ordinary resolutions must also be filed — don't equate MGT-14 with "special only."** Filing under Section 117 is *not* limited to special resolutions. Certain **ordinary** resolutions (e.g. those under Section 179(3) passed by the Board, and specified Board resolutions) also go into MGT-14. The exam trap is "only special resolutions need MGT-14" — false; the trigger is *type of decision*, not the majority used.
- **Default:** Company and every officer in default (including liquidator) liable to penalty. (*Confirm revised figures.*)
- **Consequence of non-filing for validity.** Non-filing attracts penalties but does not, by itself, make the *underlying resolution void* between the company and members; however, until filed, certain acts (e.g. those requiring registration to be effective against outsiders) may not bind third parties. State it as "penalty for the company/officers, and the resolution may not be effective against outsiders until filed" (confirm precise wording in current material).
- **Exemption: Banking company** resolutions granting loans / giving guarantees in the ordinary course of business are exempt from filing.

4.22 Minutes — Section 118

- **The rule:** Every company must keep **minutes** of every **general meeting**, every meeting of the **Board and its committees**, and every resolution passed by **postal ballot**, in books kept for that purpose, with pages consecutively numbered.
- **Time limit:** Minutes must be entered within **30 days** of the meeting.
- **Signing:** Each page initialled/signed and the last page signed and dated by the **chairman** of that meeting or the **chairman of the next meeting**. *Why: authentication ties the record to a responsible person.*
- **Why the "chairman of the next meeting" fallback exists.** If the chairman of a meeting dies, resigns, or is unavailable before signing, the minutes would otherwise be unsignable and lose evidentiary force. Letting the *next* meeting's chairman sign keeps the record alive. Note the 30-day entry limit still runs — the fallback is about *signing*, not about extending the entry deadline.

- **Contents & fairness (Section 118(5)–(6)):** Minutes must contain a **fair and correct summary**. The chairman has discretion to **exclude** matters that are defamatory, irrelevant, or detrimental to the company's interests — but must include **all appointments of officers**.
- **The chairman's exclusion discretion is bounded.** He may leave out material that is *defamatory, irrelevant/immaterial, or detrimental to the company's interests* — but the discretion is **conclusive** on *those grounds only*, and he **must** record **all appointments of officers** made at the meeting. He cannot use the discretion to bury an inconvenient-but-material decision. Trap: a chairman omitting a validly passed resolution he dislikes is acting *outside* the discretion.
- **Evidentiary force (Section 118(8)):** Minutes kept in accordance with this section are **evidence of the proceedings**; where minutes exist, the meeting is **deemed to have been duly held and convened**, all proceedings deemed duly taken, and all appointments valid, **until the contrary is proved**. *Why: this is the whole point — near-conclusive proof that stops decisions being invented or denied.*
- **"Until the contrary is proved" — a rebuttable, not conclusive, presumption.** The minutes raise a *presumption* of regularity that shifts the burden onto whoever disputes the meeting — but it can be *rebutted* by contrary evidence (e.g. proof no notice was sent). Exam trap: describing minutes as "conclusive proof" is slightly wrong — they are *presumptive/prima facie* evidence, valid *until the contrary is proved*.
- **No tampering (Section 118(7)/(9)):** Minutes are **not to be altered** and must follow **Secretarial Standards (SS-1 for Board, SS-2 for general meetings)** issued by ICSI and approved by the Central Government. *Why: a record you can edit later proves nothing.*
- **Default (Section 118(11)/(12)):** Penalty on the company and officer in default; a person who **tampers** with minutes is punishable. (*Confirm figures.*)

4.23 Inspection of minute books — Section 119

- **General-meeting** minute books are kept at the **registered office**, open to **inspection by members free of charge** during business hours, and members are entitled to a **copy within 7 working days** on payment of prescribed fee. *Why: owners must be able to check what was decided in their name.*
- **Board** minutes are **not** open to member inspection (they are management-confidential).
- **Why the sharp line between GM minutes and Board minutes.** General-meeting minutes record what the *members themselves* decided — they have every right to see their own collective acts. Board minutes record *management* deliberations, which may contain commercially sensitive strategy; letting every member (some of whom may be competitors' proxies) read them would chill candid discussion. So members get GM minutes but *not* Board minutes. Trap: an option offering "member inspection of Board minutes" is always wrong.
- **The 7-working-days subtlety.** The copy must be furnished within **seven working days** (not calendar days) of the request — weekends/holidays are excluded from the count. Combine this with the free-of-charge *inspection* but *fee-bearing* copy: inspection is free, a copy costs the prescribed fee.

4.24 Maintenance in electronic form; AGM report; OPC — Sections 120–122

- **Section 120:** Prescribed classes of companies must keep registers, returns, records and minutes in **electronic form** (with prescribed security). *Why: modern, tamper-evident, searchable records.*
- **Section 121 (Report on AGM):** Every **listed public company** must prepare a **report on each AGM** confirming it was convened, held and conducted as per the Act and Rules, and file it with the Registrar in

Form MGT-15 within 30 days of the AGM. *Why: independent assurance for public investors that the AGM was proper.*

- **Section 121 applies to listed public companies only.** An unlisted public company or a private company files **no** MGT-15. Trap: applying the AGM report to every public company. The audience clue: MGT-15 exists for *public investors in the securities market*, so it tracks *listing*, not mere public status.
- **Section 122 (Applicability to OPC):** Sections 98 and 100 to 111 (general-meeting machinery) **do not apply** to a **One Person Company**. For an OPC, where the **sole member** takes a decision requiring a resolution, it is **entered in the minutes book, signed and dated by the member**, and that date is deemed the date of the meeting. *Why: a one-person company has nobody to "meet" — the fiction of a meeting is replaced by a signed minute.*
- **What Section 122 does NOT switch off.** The exemption is precise: Sections **98 and 100–111** don't apply to an OPC. Sections on registers (88–90), annual return (92), minutes (118), and filing (117) still apply. And an OPC is *already* exempt from holding an AGM by Section 96 itself (not by 122). So an OPC still keeps minutes and files an annual return — it merely skips the *meeting-convening* machinery. Trap: assuming an OPC is exempt from *all* of Chapter VII.

5. Applied Scenarios — facts → analysis → conclusion

Scenario A — The 20-days notice. *Facts:* Vega Ltd (unlisted, 300 members) calls its AGM giving 20 clear days' notice. Only 90% of members entitled to vote consented to short notice. A member challenges the resolutions passed. *Analysis:* Section 101 requires **21 clear days**. A shorter notice is valid only if **95%** of members entitled to vote consent (Section 101(1) proviso). Here consent is only 90%, so the statutory threshold fails; the notice is invalid and the meeting is not validly convened. *Conclusion:* The AGM is **invalidly called**; resolutions passed are liable to be set aside. Vega must re-issue proper notice.

Scenario B — The show-of-hands tycoon. *Facts:* At Nimbus Ltd's EGM, a resolution to sell an undertaking is put to a **show of hands** and declared *lost* 8 hands to 5. Mr. Rao, present and holding **30% of the paid-up capital**, immediately demands a poll. The chairman refuses, saying "the hands have spoken." *Analysis:* Under **Section 109**, a poll may be demanded by members holding **≥ 1/10th of voting power** or ₹5,00,000 paid-up value. Mr. Rao alone holds 30% — well above the threshold — so his demand is **valid and must be honoured**. A show of hands counts heads, not shares; the poll re-counts by shareholding. The chairman **cannot refuse** a validly demanded poll. Note also that sale of substantially the whole undertaking needs a **special resolution** (and typically postal ballot), reinforcing that the show-of-hands result was never final. *Conclusion:* The refusal is **illegal**; the poll must be taken (within 48 hours), and the result on a poll — reflecting Rao's 30% — governs.

Scenario C — The buried related-party deal. *Facts:* Comet Ltd's AGM notice lists "Item 6 — to consider and approve a contract." The explanatory statement omits that the contract is with a firm in which Director X holds a **40% interest**. The resolution passes; X's firm earns ₹15 lakh. *Analysis:* Item 6 is **special business** requiring a **Section 102** explanatory statement disclosing the **nature and extent of X's interest**. The omission means consent was not informed. Under **Section 102(4)**, because a benefit accrued to a director through non-disclosure, **X must compensate the company** to the extent of the benefit (₹15 lakh), plus penalty (₹50,000 or 5× benefit, whichever higher). *Conclusion:* X must **disgorge ₹15 lakh** to Comet Ltd and faces penalty; the resolution is vulnerable to challenge.

Scenario D — The stonewalling Board. *Facts:* Members holding 12% of Polaris Ltd's paid-up voting capital requisition an EGM to remove a director. The Board sits on it for two months and does nothing. *Analysis:* Under **Section 100**, a valid requisition needs $\geq 1/10\text{th}$ — 12% qualifies. The Board must call the meeting **within 21 days** to be held within **45 days**. Having failed, the **requisitionists may themselves call** the EGM within **3 months** of the requisition, and recover **reasonable expenses from the company** (deductible from the defaulting directors' fees). *Conclusion:* The members can **self-convene the EGM** and reclaim costs; the directors' inaction does not defeat them.

Scenario E — The one-member "meeting." *Facts:* Sirius (OPC) Ltd's sole member wants to shift the registered office and asks whether he must hold a general meeting and issue 21 days' notice. *Analysis:* Under **Section 122**, Sections 100–111 (including notice and quorum) **do not apply to an OPC**. The sole member simply **records the decision in the minutes book, signs and dates it**; that date is the deemed meeting date. *Conclusion:* **No formal meeting or 21-day notice is needed** — a signed, dated minute suffices.

Scenario F — The proxy that thought it was a quorum (numerical, exam-hard). *Facts:* Draco Ltd is a public company with **1,200 members**. At an EGM, the following persons are physically present: **3 individual members in person, 4 proxies** (each holding a proxy for a different absent member), and **2 corporate representatives** duly authorised under Section 113 by two member-companies. The chairman counts "3 + 4 + 2 = 9 present, quorum met" and starts business. *Analysis:* Since members number $> 1,000$ but $\leq 5,000$, the quorum under **Section 103** is **15 members personally present**. Now count only those who count *toward quorum*: the **3 individual members** count; the **2 corporate representatives** count (Section 113 treats them as the member in person); but the **4 proxies do NOT count** toward quorum (Section 105). So the true quorum count is $3 + 2 = 5$, far below the required **15**. The chairman's arithmetic wrongly included proxies. *Verification:* Required 15; validly counted 5; shortfall 10. Even if all 4 proxies were re-characterised as members (they cannot be), $3 + 4 + 2 = 9$ is still below 15 — so on no view is quorum met. *Conclusion:* **Quorum is absent**. Being an EGM *not* called on requisition, it is **adjourned to the same day next week, same time and place**; if quorum is still absent within half an hour then, the **members present shall be the quorum**. Any "business" transacted at the first sitting is void for want of quorum.

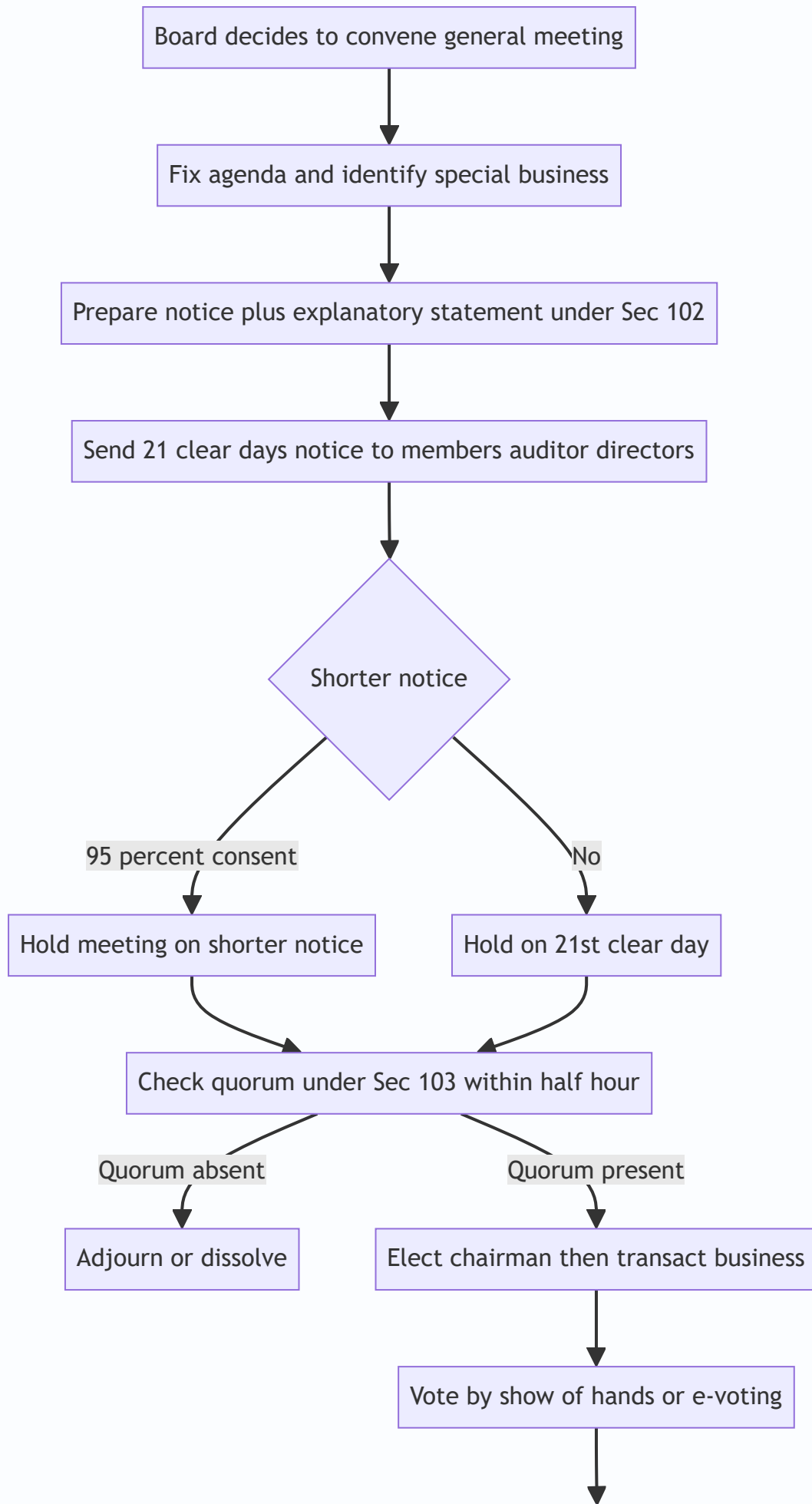
Scenario G — Counting a special resolution on a poll (numerical, reconciled). *Facts:* At Lyra Ltd's AGM, a special resolution to alter the articles is put to a poll. Votes cast: **6,20,000 shares in favour, 1,90,000 against, 40,000 abstain**. The notice had described the item as a special resolution. A dissenting member argues it failed because "in favour" is under 75% of the total 12,00,000 issued shares. *Analysis:* Section 114(2) requires (a) the special-resolution intent stated in the notice — satisfied; and (b) votes **in favour $\geq 3 \times$ votes against**, computed on votes **cast**, not on total issued capital. Votes cast = $6,20,000 + 1,90,000 = 8,10,000$ (abstentions and absentees are ignored). Test: is $6,20,000 \geq 3 \times 1,90,000 = 5,70,000$? **Yes** ($6,20,000 > 5,70,000$). *Verification:* In-favour share of votes cast = $6,20,000 / 8,10,000 = 76.5\%$, which is $\geq 75\%$. The dissenter's "75% of total issued shares" test is the wrong denominator. *Conclusion:* The special resolution is **validly passed**. The abstaining 40,000 and any non-voting shares are irrelevant to the ratio.

Scenario H — First AGM and the tempting extension (numerical, trap). *Facts:* Rigel Ltd is incorporated on **10 June 2025** and closes its first financial year on **31 March 2026**. Facing delayed accounts, it asks the Registrar to extend its **first AGM** by 3 months. Separately, its accountant claims the first AGM can be held as late as 15 months after incorporation. *Analysis:* The **first AGM** must be held within **9 months of the close of the first financial year** — i.e. by **31 December 2026** (9 months after 31 March 2026). The Registrar's power to extend by up to 3 months applies to *subsequent* AGMs **only** — the **first AGM cannot be extended**. The "15 months" gap rule governs the *interval between two AGMs*, not the timing of the first, so the accountant's claim is a category error. *Verification:* Close of first FY = 31 Mar 2026; + 9 months = 31 Dec 2026 → the outer

limit for the first AGM. No extension available; the 15-month/6-month rules do not yet apply because there is no *previous* AGM. *Conclusion*: Rigel must hold its first AGM **by 31 December 2026**; the extension request must be refused for a first AGM.

Scenario I — Special notice, wrong majority assumed. *Facts*: Members holding **1.2% of Antares Ltd's voting power** give the company notice 20 days before the AGM of their intention to move a resolution to **remove a director** under Section 169. The company secretary insists the resolution needs a **special resolution (75%)** to pass. *Analysis*: Section 169 requires **special notice** (governed by Section 115), which needs members holding $\geq 1\%$ of voting power (or ₹5,00,000 paid-up) to give the company at least **14 days'** notice — both satisfied ($1.2\% > 1\%$, $20 \text{ days} > 14 \text{ days}$). But removal of a director is passed by an **ordinary resolution** (simple majority), *not* a special resolution — "special notice" describes the *notice*, not the *majority*. The director is entitled to be heard and to make representations. *Conclusion*: The special notice is **valid**; the resolution to remove needs only a **simple majority** (ordinary resolution) with special notice — the secretary's "75%" requirement is wrong.

6. Procedure / Compliance summary



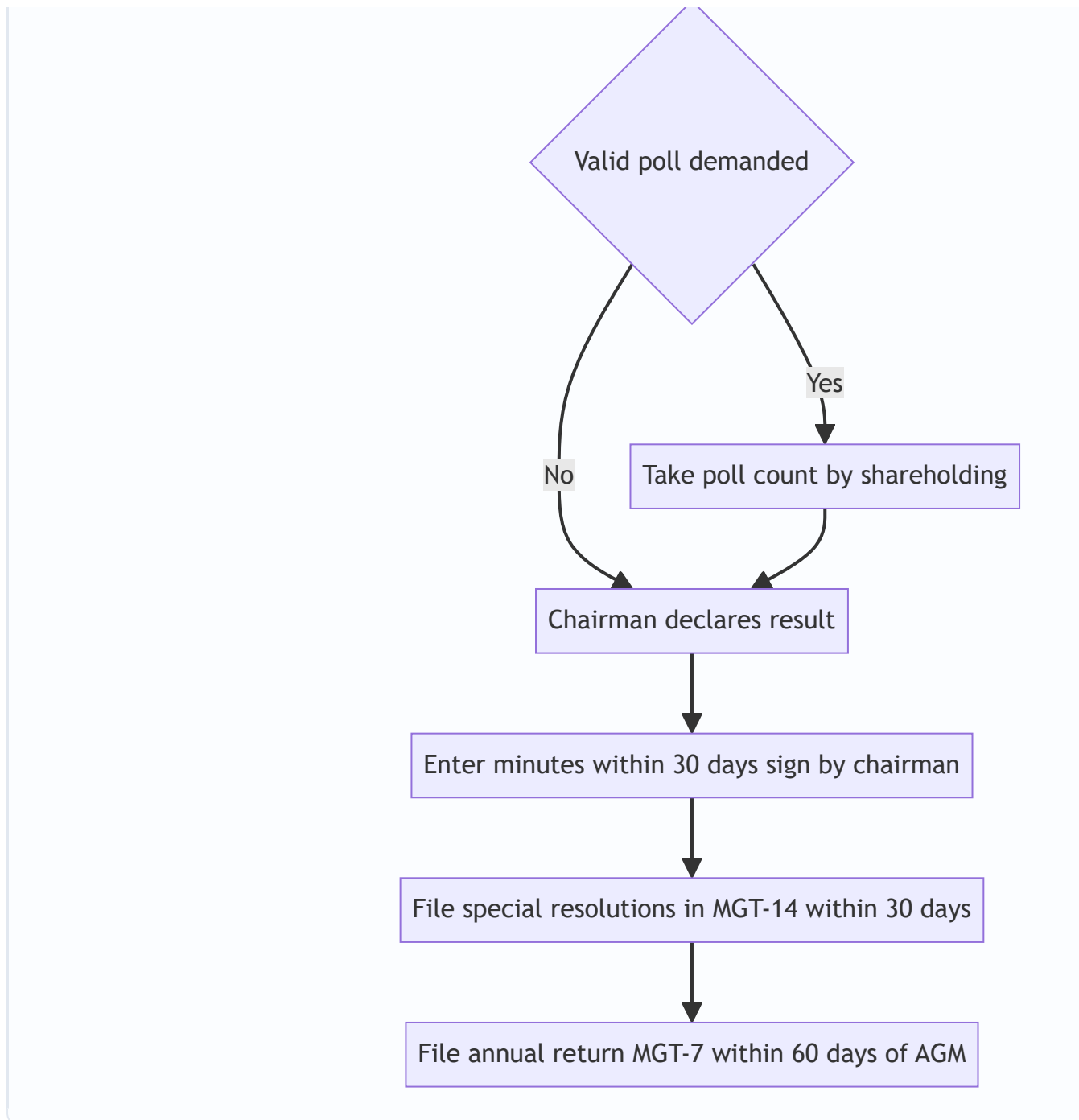


Figure 1 — the end-to-end life of a general meeting, from convening to post-meeting filings.

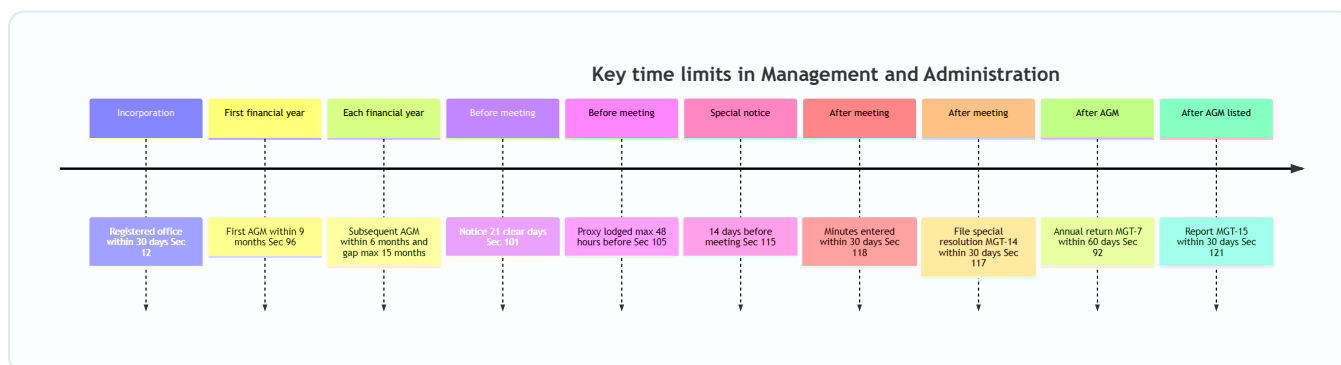


Figure 2 — the timeline of statutory deadlines a company must never miss.

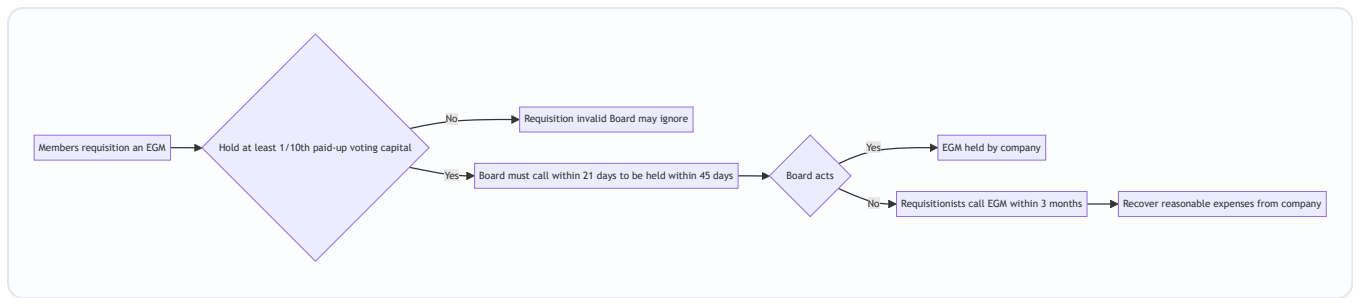


Figure 3 — the members' self-help route when the Board refuses to call an EGM under Section 100.

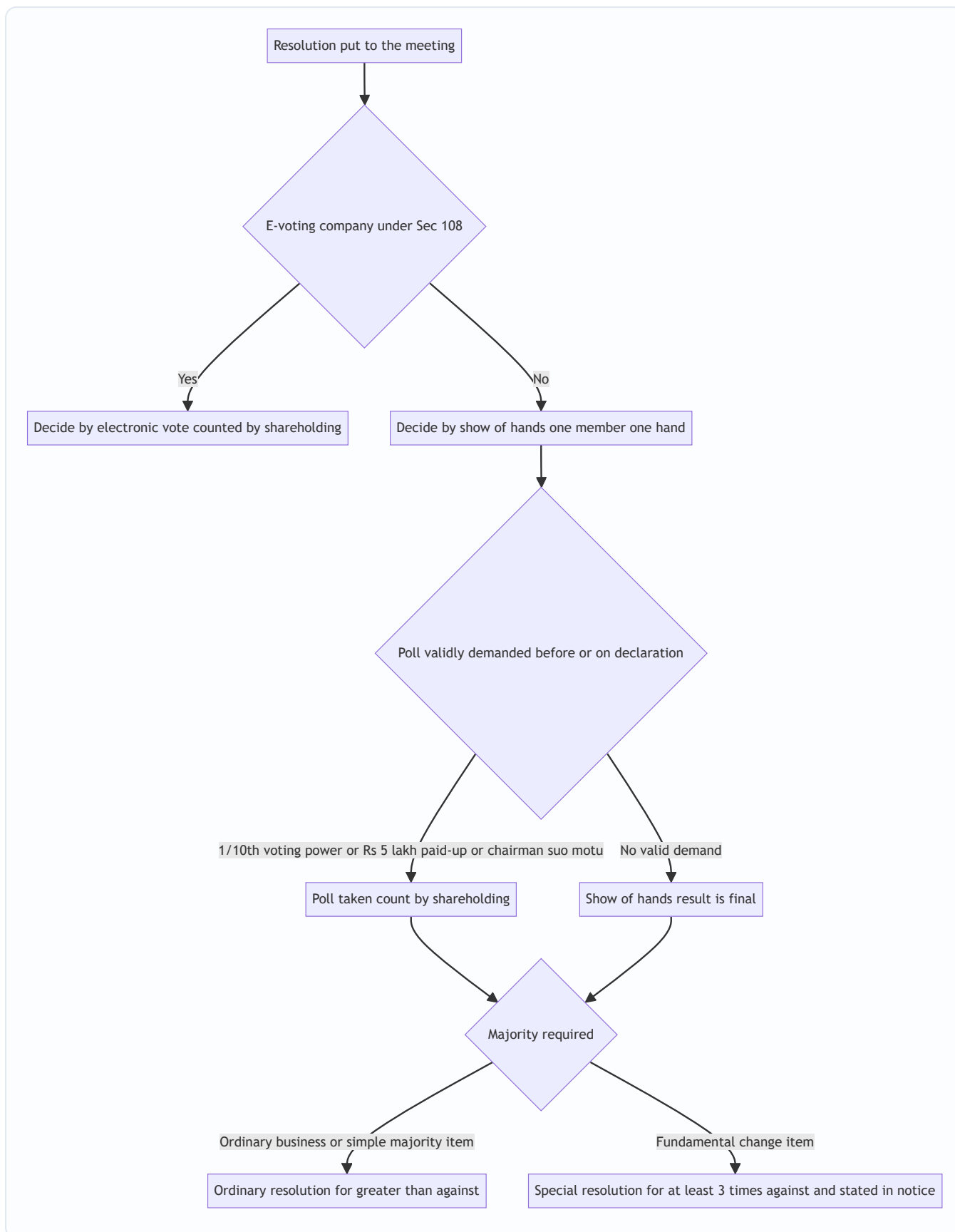


Figure 4 — how a resolution is voted and which majority decides it, from show of hands through poll to the ordinary-versus-special test.

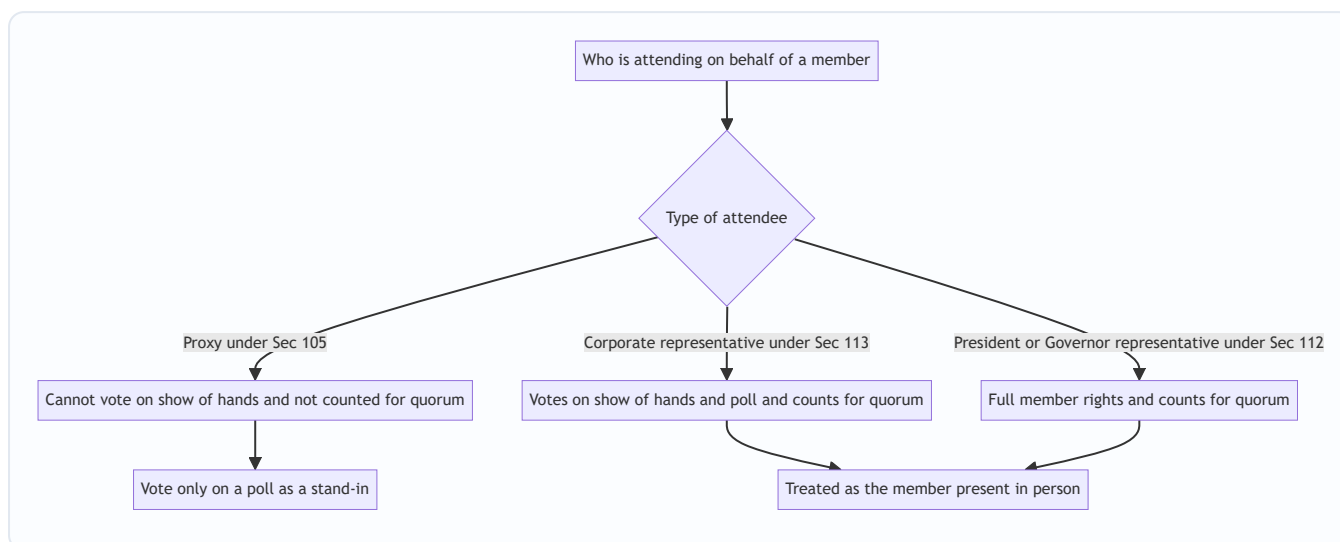


Figure 5 — the decisive proxy-versus-representative distinction that governs quorum and show-of-hands voting.

7. Connections — how this chapter links to the rest of the Act

- **To incorporation (Ch. 2):** The registered office (Section 12) is fixed at birth and its CIN comes from incorporation; publication carries forward the identity created there. The interstate shift of the registered office also triggers a memorandum alteration under **Section 13**.
- **To share capital (Ch. 4):** Voting rights, class rights, and their **variation** (Section 48) are exercised through the meeting machinery here; **buy-back** (Section 68) and **reduction** (Section 66) need special resolutions passed under Section 114.
- **To Board of Directors (Ch. 11–13):** Directors are **appointed and retire by rotation at the AGM** (Section 152); **removal** of a director (Section 169) uses **special notice** (Section 115) but only an **ordinary resolution**. Board resolutions under **Section 179(3)** feed into the filing net of Section 117.
- **To audit (Ch. 10):** Auditor appointment/removal happens at general meetings; removal before term needs special notice and Central Government approval, and appointment of an auditor other than the retiring one needs special notice.
- **To related-party transactions (Section 188):** Section 102's disclosure of interest is the meeting-level cousin of the substantive RPT controls; Section 184's Board-level disclosure of interest is its boardroom counterpart.
- **To Secretarial Standards:** SS-1 and SS-2 (ICSI) operationalise Sections 118 and the meeting rules — the exam expects awareness that they are **mandatory**.
- **To inspection/investigation (Ch. 14):** Accurate registers and minutes are what inspectors rely on; SBO disclosure (Section 90) feeds anti-money-laundering enforcement.
- **To dividend (Ch. 8):** Declaration of dividend is *ordinary business* at the AGM (Section 96) and flows from the register of members (Section 88), which fixes *who* is entitled to be paid.

8. Traps & Examiner Tricks

1. **"Clear days" is the classic trap.** 21 clear days **excludes** both the day of sending and the day of the meeting, plus ~2 days for postal transit. Counting 21 from the notice date is wrong.

2. **Proxy vs corporate representative.** A **proxy (Sec 105)** cannot vote on a show of hands, cannot (usually) speak, and is **not counted for quorum**. A **corporate representative (Sec 113)** can do all three. Examiners love blurring the two.
 3. **Show of hands vs poll.** Show of hands = **one member one vote (heads)**; poll = **votes by shareholding**. A validly demanded poll **overrides** the show-of-hands result and the chairman **cannot refuse** it.
 4. **Special resolution ≠ two-thirds.** It is votes in favour $\geq 3 \times$ **votes against**, i.e. **75%**, *and* the notice must state the intention to move it as special. Missing either limb defeats it. The 75% is of votes **cast**, not of total membership.
 5. **First AGM = 9 months; subsequent AGM = 6 months; max gap 15 months.** And the **first AGM cannot be extended** — only later AGMs get up to a 3-month extension.
 6. **Quorum thresholds (public co.) key on member count: 5 / 15 / 30** for $\leq 1,000$ / $> 1,000-5,000$ / $> 5,000$. Private company is always **2**. Watch the boundary values, and remember **proxies don't count** toward quorum while corporate/State representatives do.
 7. **Requisition threshold is 1/10th (10%),** the same as for a poll's voting-power test and Section 111 circulation — but the **₹5,00,000 paid-up value** alternative applies only to the **poll** and **special-notice** tests, not to the EGM requisition.
 8. **Postal ballot cannot be used for ordinary business** or matters where directors/auditors have a right to be heard.
 9. **Proxy deposit is "not more than 48 hours before"** — a company demanding proxies be lodged more than 48 hours in advance is acting invalidly. The 48 hours is a *maximum*, not a minimum.
 10. **Section 102(4) remedy is disgorgement + penalty**, not just a fine — the interested person **compensates the company** for the benefit gained, and *separately* pays a penalty of ₹50,000 or $5 \times$ the benefit.
 11. **Board minutes are NOT open to members** (Section 119 covers only general-meeting minutes). A question offering member inspection of Board minutes is a trap.
 12. **OPC exemption (Sec 122):** no AGM, and Sections 100–111 don't apply — but the sole member must still **record and sign** the decision, and the OPC still keeps registers, files the annual return, and keeps minutes.
 13. **Accidental omission of notice (Sec 101(4))** does not void the meeting — but **deliberate** omission does. The word "accidental" is load-bearing.
 14. **Special notice ≠ special resolution.** Removal of a director (Sec 169) needs **special notice** but passes by an **ordinary resolution**. The "special" attaches to the *notice*, not the *majority*.
 15. **Minutes are "evidence until the contrary is proved," not "conclusive proof."** The presumption of regularity is *rebuttable*.
 16. **SBO is always an individual.** Naming a holding company as the SBO is wrong — look through to the natural person; and the influence/control limb can catch someone below 10%.
 17. **Section 97 vs 98.** AGM not held → member applies under **Section 97**; any *other* meeting impracticable → **Section 98** (also on the Tribunal's own motion). Both can order a *one-member quorum*.
 18. **MGT-14 is not "special resolutions only."** Certain Board/ordinary resolutions (Sec 179(3)) also require filing within 30 days.
-

9. First-Principles Recap

Start from the single truth that a company has **no mind and no hands of its own**. Everything follows:

- Because it has no body, it needs a **fixed address** to be found and served → *registered office* (Sec 12).
- Because it acts for owners who may hide behind nominees, the law must **name the owners and unmask the real ones** → *register of members* (Sec 88), *beneficial-interest and SBO disclosure* (Secs 89–90).
- Because outsiders can't see inside, the company must **publish an annual census** → *annual return* (Sec 92).
- Because directors won't face owners voluntarily, the law **forces an annual reckoning** → *AGM* (Sec 96), with a **member/Tribunal fallback** when they stonewall (Secs 97–98, 100).
- Because a decision by ambush isn't a decision by the members, the law guarantees **notice, information, turnout, representation, and fair counting** → *Secs 101–113*.
- Because some decisions rewrite the fundamental bargain, they need **overwhelming consent** → *special resolution* (Sec 114), and sensitive ones need **advance warning** → *special notice* (Sec 115).
- Because a decision that can't be proved can be invented or denied, everything must be **filed and minuted as evidence** → *Secs 117–121*.
- And because a one-person company has nobody to meet, the meeting fiction is replaced by a **signed minute** → *Sec 122*.

Master the abuse, and the section number is just a label you can recover on demand.

One more layer — reconstructing the thresholds from first principles. When a number slips your memory, ask "what is this threshold *for*?" — the answer usually reproduces the figure: - To *force* the Board to act against its will (requisition, poll, circulation), the law asks a **minority** stake — **1/10th (10%)** — because the act only inconveniences management. - To merely *put an item on the calendar* (special notice), an even smaller **1% (or ₹5 lakh)** suffices, because the item still faces a full vote. - To *waive* everyone's protection (short notice), the law demands **near-unanimity — 95%** — because a protection is being surrendered. - To *change the constitution* and bind dissenters forever (special resolution), it demands a **supermajority — 75%** of votes cast.

The thresholds are *priced by how much a dissenting minority is hurt* — remember the pricing and you regenerate the numbers.

10. Quick-Revision Sheet

Key sections at a glance

Section	Subject	One-line core
12	Registered office & publication	Office within 30 days ; name/CIN published; change filed in 15 days
88	Register of members / debenture / other security holders	Maintain in MGT-1 etc.; index if members > 50
89	Declaration of beneficial interest	MGT-4/5/6 , each within 30 days ; undeclared rights unenforceable
90	Significant Beneficial Owner	Individual with $\geq$ 10% or control; BEN-1/2/3/4 ; Tribunal can freeze shares
92	Annual return	MGT-7 / 7A ; file within 60 days of AGM ; MGT-8 certification for large cos
94	Place of keeping registers	At registered office; elsewhere by special resolution + >1/10th members residing
96	AGM	1st within 9 months ; later within 6 months ; gap $\leq$ 15 months ; business hours, not a national holiday
97 / 98	Tribunal calls meeting	Default in AGM (member applies) / impracticability (any other meeting)
100	EGM	Board, or requisition by $\geq$ 1/10th ; Board calls in 21 days , holds in 45 ; else requisitionists in 3 months
101	Notice	21 clear days ; shorter needs 95% consent
102	Explanatory statement	Special business; disclose cross-holding $\geq$ 2% ; default → disgorge benefit + penalty
103	Quorum	Public 5/15/30 by member count; Private 2 ; proxies don't count
105	Proxy	Need not be member; no show-of-hands vote; lodge $\leq$ 48 hrs before; max 50 members / 10%
106	Restriction on voting	Only for unpaid calls / lien
107 / 108	Show of hands / e-voting	Heads first; e-voting for listed & $\geq$ 1,000 members (then no show of hands)
109	Poll	Demand by 1/10th voting power or ₹5,00,000 paid-up; counted by shareholding; chairman can't refuse
110	Postal ballot	Not for ordinary business / right-to-be-heard items; deemed passed at GM
111	Members' resolution circulation	Same 1/10th threshold

Section	Subject	One-line core
112 / 113	State / corporate representative	Full member rights; count for quorum; vote on show of hands & poll
114	Ordinary / special resolution	Ordinary = simple majority; Special = for ≥ 3× against (75% of votes cast) + stated in notice
115	Special notice	Members ≥ 1% or ₹5,00,000; 14 days before meeting; often ordinary majority
116	Adjourned-meeting resolution	Passed on actual date, no back-dating
117	Filing of resolutions	MGT-14 within 30 days ; all special resolutions + Sec 179(3)
118	Minutes	Enter within 30 days ; signed by chairman; evidence until contrary proved ; SS-1/SS-2
119	Inspection of minutes	GM minutes open to members; copy in 7 working days ; Board minutes closed
120 / 121 / 122	E-records / AGM report / OPC	Electronic records; listed MGT-15 in 30 days; OPC exempt from Secs 98, 100–111

Time-limits table

Trigger	Limit	Section / Form
Registered office after incorporation	30 days	Sec 12 / INC-22
Notice of change of registered office	15 days	Sec 12 / INC-22
Declaration of beneficial interest	30 days each	Sec 89 / MGT-4,5,6
First AGM	9 months from 1st FY end	Sec 96
Subsequent AGM	6 months from FY end; gap $\leq$ 15 months	Sec 96
ROC extension of AGM (not first)	up to 3 months	Sec 96
Board to call requisitioned EGM	21 days to call, 45 days to hold	Sec 100
Requisitionists' self-called EGM	within 3 months	Sec 100
Notice of general meeting	21 clear days	Sec 101
Proxy instrument deposit	not more than 48 hours before	Sec 105
Poll (other than chairman/adjournment)	within 48 hours	Sec 109
Special notice by members	14 days before meeting	Sec 115
Company's notice to members of special-notice resolution	at least 7 days before	Sec 115
Entry of minutes	30 days	Sec 118
Copy of GM minutes to member	7 working days	Sec 119
Filing of resolutions (MGT-14)	30 days	Sec 117
Filing annual return (MGT-7)	60 days from AGM	Sec 92
Report on AGM (listed, MGT-15)	30 days from AGM	Sec 121

Resolution-type quick map

Decision	Resolution
Adoption of accounts, dividend, retiring-director & auditor appointment	Ordinary (ordinary business)
Change of name, alter articles, alter objects	Special
Shift registered office outside local limits / to another state	Special (+ RD approval for interstate)
Reduction of capital (Sec 66), buy-back (Sec 68), sweat equity, private placement	Special
Loans/investments beyond Sec 186 limits	Special
Keeping registers away from registered office (Sec 94)	Special
Voluntary winding-up	Special
Removal of director (Sec 169) / auditor before term	Ordinary + special notice (Sec 115)
Appointment of auditor other than retiring auditor	Ordinary + special notice (Sec 115)

Thresholds quick map

Threshold	Used for
1/10th (10%) of paid-up voting capital / voting power	Requisition an EGM (Sec 100); demand a poll — voting-power limb (Sec 109); circulate a resolution (Sec 111)
₹5,00,000 aggregate paid-up value	Demand a poll (Sec 109); special notice (Sec 115) — <i>alternative</i> limb
1% of total voting power	Special notice by members (Sec 115)
2% or more cross-holding	Disclosure in explanatory statement (Sec 102)
95%	Consent to shorter notice — members entitled to vote (AGM) / voting capital (EGM) (Sec 101)
75% (for $\geq 3\times$ against, of votes cast)	Special resolution (Sec 114)
> 50 members	Index of members required (Sec 88)
$\geq 10\%$ beneficial interest / control	Significant Beneficial Owner (Sec 90)

Reminder: a resolution is **ordinary by default** — a **special** resolution is needed **only** where the Act or the articles expressly say so. When in doubt in the exam, quote the specific section demanding "special resolution."

Confirm exact penalty figures and any rule-number changes against the latest ICAI Study Material and the amended bare Act before the exam, as the Amendment Acts of 2017, 2019 and 2020 revised several penalties from "fine" to "penalty".

Q&A — Management & Administration

Chapter: **Management & Administration** (Companies Act, 2013 — Sections 12, 88–94, 96–122). Exam-oriented question bank. Every question is followed by a **complete model answer citing the relevant Section**. Cross-verify only against the bare Act — no invented provisions.

SECTION A — Concept-Check (short, direct)

A1. Within how many days must a company have a registered office, and within how many days must a change be notified to the Registrar? Answer (Sec 12): A company must have a registered office capable of receiving communications **within 30 days of incorporation** [Sec 12(1)]. Verification of the registered office is filed within 30 days. Notice of **any change** in the situation of the registered office must be given to the Registrar in **Form INC-22 within 30 days** of the change [Sec 12(4)]. A change of registered office **outside the local limits of a city/town** requires a **special resolution** [Sec 12(5)]; a shift from the jurisdiction of one Registrar to another within a State requires **Regional Director** confirmation.

A2. What must every company paint/affix and print under Sec 12(3)? Answer (Sec 12(3)): Every company must (a) **paint or affix its name and registered office address** outside every office/place of business, in legible letters and in the local language too; (b) **engrave its name on its seal** (if it has one); (c) **print its name, registered office address, CIN, telephone, fax, e-mail and website** (if any) on all business letters, billheads, letter papers, notices and official publications; and (d) print its name on hundis, promissory notes, bills of exchange. A company that changed its name in the last 2 years must also print the **former name**.

A3. Where must the Register of Members be maintained and what does it contain? Answer (Sec 88): Every company must keep a **register of members** (equity and preference separately), a **register of debenture-holders**, and a **register of any other security holders** [Sec 88(1)]. It contains details of each member/holder. An **index** is required where members exceed 50 (unless the register itself is in index form). A company may keep **foreign registers** of members/debenture-holders resident outside India [Sec 88(4)].

A4. Distinguish Sec 89 (declaration of beneficial interest) from Sec 90 (Significant Beneficial Owner). Answer: **Sec 89** deals with **declaration where the registered holder is not the beneficial owner** — the registered owner (Form MGT-4), the beneficial owner (Form MGT-5), and the company (Form MGT-6 to Registrar within 30 days) file declarations. **Sec 90** deals with the **Significant Beneficial Owner (SBO)** — an individual who ultimately holds (alone/together) **not less than 10%** of shares/voting rights/right to distributable dividend, or exercises significant influence/control. The SBO files **Form BEN-1**; the company maintains **Form BEN-3** register and files **Form BEN-2** with the Registrar.

A5. What is the time limit for filing the Annual Return and who signs it? Answer (Sec 92): The annual return in **Form MGT-7** (MGT-7A for OPC/small company) must be filed with the Registrar **within 60 days from the date of the AGM** (or, if no AGM is held, within 60 days from the date the AGM should have been held, with reasons) [Sec 92(4)]. It is **signed by a director and the company secretary**; where there is no CS, by a **company secretary in practice**. For **listed companies** and companies with **paid-up capital ≥ ₹10 crore or turnover ≥ ₹50 crore**, the annual return must be certified by a PCS in **Form MGT-8** [Sec 92(2)].

A6. Where are statutory registers kept, and can they be kept elsewhere? Answer (Sec 94): Registers under Sec 88 and returns are kept at the **registered office**. They may be kept at **any other place in India** where more than one-tenth of the members entered in the register reside, if approved by a **special resolution** and a copy filed with the Registrar in advance [Sec 94(1) proviso]. They are open to **inspection** by members/debenture-holders **free of charge** and by others on payment [Sec 94(2)].

A7. State the time limits for holding the first AGM and subsequent AGMs. Answer (Sec 96): The **first AGM** must be held within **9 months** from the close of the first financial year. **Subsequent AGMs** must be held within **6 months** from the close of the financial year, and the gap between two AGMs must **not exceed 15 months**. The Registrar may extend the time for holding an AGM (other than the first AGM) by up to **3 months** for special reasons. AGM is held during **business hours (9 a.m.–6 p.m.)**, on a day that is **not a National Holiday**, at the registered office or within the same city/town/village. **One Person Company is not required to hold an AGM** [Sec 96(1) proviso].

A8. What length of notice is required for a general meeting and how may it be given? Answer (Sec 101): A general meeting is called by **not less than 21 clear days' notice** in writing or through electronic mode. A meeting may be called at **shorter notice** if consent is given by **not less than 95% of the members entitled to vote** (in the case of an AGM), and for other meetings, by members holding 95% of the paid-up capital / voting power. "Clear days" excludes the day of service and the day of meeting.

A9. What is the quorum for a general meeting? Answer (Sec 103): **Private company: 2 members** personally present. **Public company: 5 members** personally present if members ≤ 1000; **15 members** if members are 1000–5000; **30 members** if members exceed 5000. If quorum is not present within **half an hour**, the meeting (if called on requisition) stands **cancelled**; otherwise it is **adjourned to the same day next week**, same time and place (or as the Board decides). If quorum is still absent at the adjourned meeting, the **members present shall be the quorum**.

A10. Who can appoint a proxy and what are the key restrictions (Sec 105)? Answer (Sec 105): A member entitled to attend and vote may appoint a **proxy** to attend and vote **on a poll** on his behalf. A proxy **need not be a member**. A proxy **cannot speak** at the meeting and **cannot vote except on a poll** (i.e., not on a show of hands). The proxy instrument must be deposited **at least 48 hours before the meeting**. A person can act as proxy for **not more than 50 members** and members holding **not more than 10%** of total voting share capital; if a member holds more than 10%, that member's proxy is for that member only. Companies **without share capital** cannot appoint proxies unless the articles allow.

SECTION B — Applied Scenario Questions (Facts → Law → Conclusion)

B1. Registered office change across cities. Facts: XYZ Ltd wishes to shift its registered office from Pune to Nagpur (both in Maharashtra, different Registrar jurisdiction within the same State). The Board passes only an ordinary resolution. **Answer:** - **Law:** Under **Sec 12(5)**, a change of registered office **outside the local limits of the city/town** requires a **special resolution**. Where the shift is from the jurisdiction of **one Registrar to another within the same State**, the change also requires **confirmation by the Regional Director** [Sec 12(6)], to be filed with the Registrar within 60 days who registers it within 30 days. - **Analysis:** An ordinary resolution is insufficient. XYZ Ltd needs (i) a **special resolution**, and (ii) **RD confirmation** because the Registrar's jurisdiction changes. - **Conclusion:** The Board action is invalid; the company must pass a special resolution, obtain RD approval, and file Form INC-22/INC-23 accordingly.

B2. Beneficial interest not declared. *Facts:* Mr. A holds 5,000 shares of PQR Ltd in his name but the beneficial interest belongs to Mr. B. Neither files any declaration. B later claims dividend rights. **Answer:** - *Law:* Under **Sec 89**, the **registered owner (A)** files a declaration (Form MGT-4), the **beneficial owner (B)** files (Form MGT-5), and the **company** files a return (Form MGT-6) with the Registrar within **30 days**. Under **Sec 89(8), no right in relation to a share** in respect of which a declaration is required but **not made** shall be **enforceable** by the beneficial owner. - *Analysis:* Because B has not filed the required declaration, his beneficial rights (including dividend/voting enforcement) are **not enforceable** against the company. Penalties also apply for non-filing. - *Conclusion:* B cannot enforce his beneficial interest until the Sec 89 declarations are duly made.

B3. Shorter notice AGM. *Facts:* LMN Ltd, a public company with 400 members, calls its AGM at 10 days' notice with consent of 90% of members entitled to vote. **Answer:** - *Law:* **Sec 101(1)** requires **21 clear days' notice**; a shorter notice AGM is valid only with consent of **not less than 95%** of members entitled to vote. - *Analysis:* Only 90% consent was obtained, below the 95% threshold. - *Conclusion:* The shorter notice is **invalid**; the AGM so convened is not validly called. LMN Ltd must obtain 95% consent or give full 21 clear days' notice.

B4. Quorum failure. *Facts:* RST Ltd (public, 800 members) convenes an AGM; only 4 members are present half an hour after the scheduled time. The meeting was NOT called on requisition. **Answer:** - *Law:* Under **Sec 103**, quorum for a public company with ≤ 1000 members is **5 members** personally present. If quorum is absent within half an hour and the meeting was **not requisitioned**, it stands **adjourned to the same day in the next week**, same time and place. - *Analysis:* Only 4 present — quorum (5) not met. Since not a requisitioned meeting, it is adjourned, not cancelled. - *Conclusion:* The AGM is **adjourned to the same day next week**; at the adjourned meeting, if quorum is again absent, the **members present** constitute the quorum.

B5. Ordinary vs Special resolution. *Facts:* DEF Ltd passes a resolution to alter its articles; votes cast — 60% in favour, 40% against, on a poll. **Answer:** - *Law:* Alteration of articles requires a **special resolution** (Sec 14). Under **Sec 114(2)**, a special resolution requires votes cast in favour to be **not less than three times** the votes against (i.e., $\geq 75\%$). An **ordinary resolution** [Sec 114(1)] needs a **simple majority (>50%)**. - *Analysis:* 60% in favour meets ordinary-resolution majority but **fails the 75% special-resolution threshold**. - *Conclusion:* The special resolution is **not passed**; the alteration of articles cannot take effect.

B6. Proxy validity. *Facts:* Mr. P is appointed proxy by 60 members of GHI Ltd. He also wishes to speak and vote on a show of hands. **Answer:** - *Law:* Under **Sec 105**, a proxy can act for **not more than 50 members**; a proxy **cannot speak** and can **vote only on a poll**, not on a show of hands. - *Analysis:* P is appointed by 60 members (exceeds 50) and seeks to speak and vote on show of hands, all impermissible. - *Conclusion:* P can validly act for a **maximum of 50 members**; the appointment beyond 50 is invalid, and he may **neither speak nor vote on a show of hands** — only on a poll.

B7. Failure to file resolution. *Facts:* JKL Ltd passes a special resolution but does not file it with the Registrar; 45 days pass. **Answer:** - *Law:* **Sec 117(1)** requires **specified resolutions and agreements** (including all special resolutions — Sec 117(3)) to be filed in **Form MGT-14 within 30 days** of passing. **Sec 117(2)** imposes penalties on the company and officers in default for non-filing. - *Analysis:* The 30-day period has lapsed; the resolution is unfiled. - *Conclusion:* JKL Ltd and its officers are **liable to penalty** under Sec 117(2); the resolution should be filed immediately with additional fees.

SECTION C — Past-Paper-Style Descriptive Questions

C1. Explain the provisions relating to e-voting / voting by electronic means and postal ballot (Sec 108, 110). Answer: - Sec 108 (voting through electronic means): The Central Government may prescribe classes of companies (Rule 20 of the Companies (Management and Administration) Rules — **every listed company** and companies with ≥ 1000 members) that must provide members the facility to exercise votes by **electronic means** at general meetings. E-voting rules require a notice, remote e-voting window, appointment of a **scrutinizer**, and a secured platform. - **Sec 109 (demand for poll):** On a resolution, a **poll** may be ordered by the Chairman *suo motu* or demanded by members holding $\geq 1/10$ th of voting power or shares of paid-up value $\geq ₹5,00,000$. A poll on adjournment/appointment of Chairman is taken forthwith; on other questions within 48 hours. - **Sec 110 (postal ballot):** Certain items must be transacted **only by postal ballot** (except by OPC and companies with ≤ 200 members). Items which cannot be transacted by postal ballot include **ordinary business** and business requiring the presence of directors/auditors to be heard. A resolution assented to by the requisite majority via postal ballot is deemed **duly passed at a general meeting**. Items which are required to be transacted through postal ballot may be transacted at a general meeting where the company is required to provide **e-voting** facility.

C2. Describe the provisions relating to minutes of meetings (Sec 118) and inspection (Sec 119).

Answer: - Sec 118 — Minutes: Every company must, within **30 days** of every general meeting, Board meeting, and committee meeting, prepare and keep **minutes** in books maintained for the purpose, with pages consecutively numbered. Minutes must contain a **fair and correct summary** of proceedings. The Chairman may exclude matters that are **defamatory, irrelevant/immaterial, or detrimental to the company's interests**. Minutes are **evidence** of the proceedings [Sec 118(7)]. Where minutes are duly kept, the meeting is **deemed duly held** and all proceedings deemed valid [Sec 118(8)] until contrary proved. Companies must observe **Secretarial Standards (SS-1 and SS-2)** issued by ICSI and approved by the Central Government [Sec 118(10)]. **Tampering** with minutes attracts penalty [Sec 118(12)]. - **Sec 119 — Inspection of minute books of general meeting:** The minute books of general meetings are kept at the **registered office** and open to **inspection by members free of charge**. A member may obtain **copies within 7 working days** on payment of prescribed fees. Refusal attracts penalty; the Tribunal may direct immediate inspection/copies.

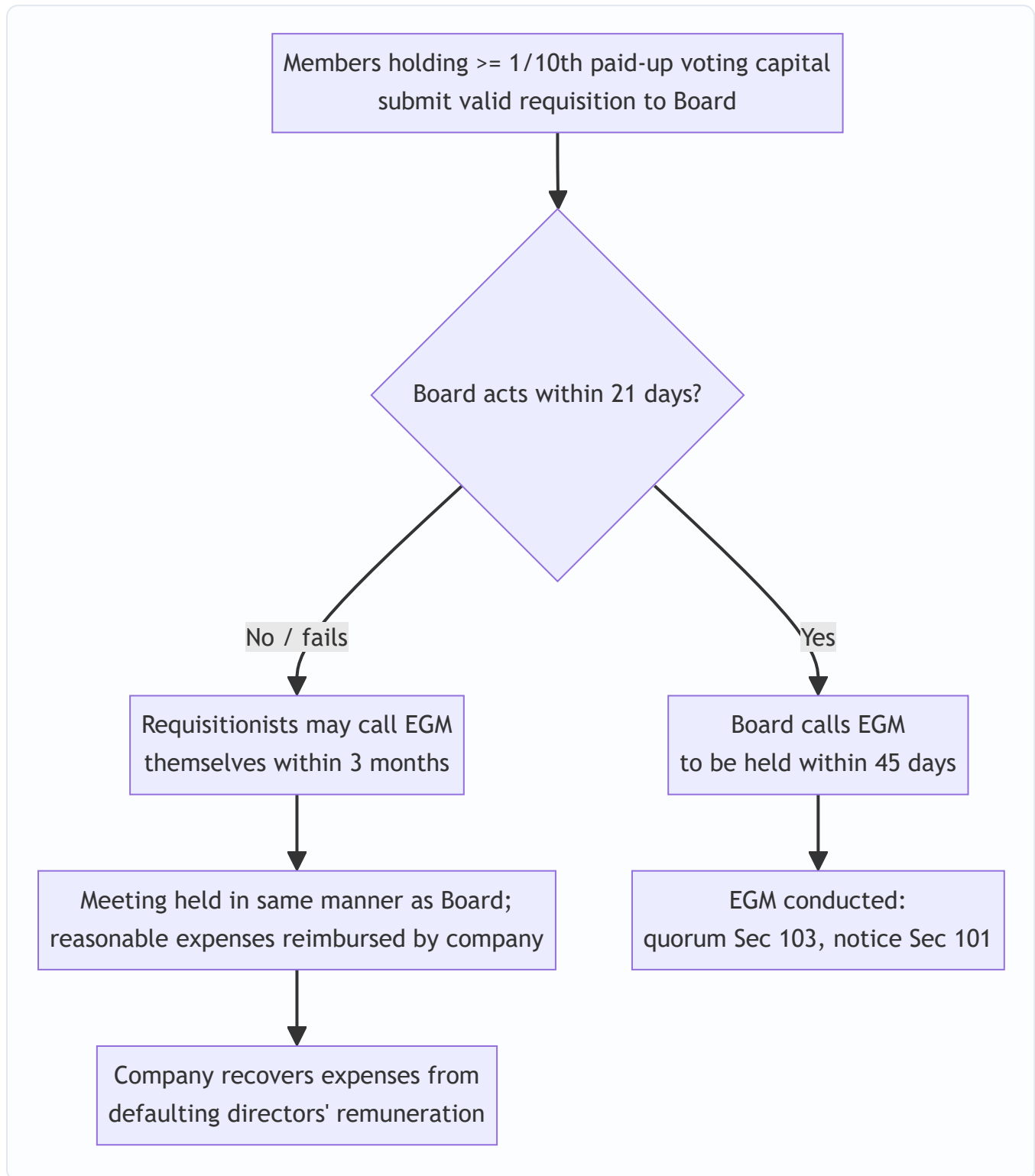
C3. State the provisions for extraordinary general meeting (EGM) including calling by requisition and by the Tribunal (Sec 100 / Sec 98). Answer: - Sec 100 — EGM: The **Board may call an EGM** whenever it deems fit. The Board **must call** an EGM on **requisition** of members holding $\geq 1/10$ th of paid-up share capital carrying voting rights (or, for a company without share capital, $\geq 1/10$ th of total voting power). On a valid requisition, the Board must, **within 21 days**, call a meeting to be **held within 45 days**. If the Board fails, the **requisitionists themselves** may call the meeting within **3 months** of the requisition, and reasonable expenses are **reimbursed by the company** (recoverable from defaulting directors). - **Sec 98 — Power of Tribunal to call meetings:** If it is **impracticable** to call, hold, or conduct a meeting (other than an AGM) in the manner prescribed, the **Tribunal** may, on application or *suo motu*, order a meeting to be called and conducted as it directs, including directing that **one member present shall be deemed to constitute the meeting**.

C4. Explain "special notice" (Sec 115) and the resolutions requiring it. Answer (Sec 115): Where any provision of the Act or the articles requires **special notice** for a resolution, notice of intention to move it must be given to the company by members holding **not less than 1% of total voting power** or holding shares on which aggregate **paid-up value $\leq ₹5,00,000$** , at least **14 days before the meeting** (exclusive of

the meeting day). The company then gives its members notice of the resolution. Examples requiring special notice: **appointing an auditor other than the retiring auditor** or providing that the retiring auditor shall not be re-appointed (Sec 140), and **removal of a director** and appointing someone in his place (Sec 169).

C5. Explain Sec 113 (representation of body corporate) and Sec 112 (representation of President/Governor). Answer: - **Sec 113:** A **body corporate** which is a member of a company may, by **resolution of its Board**, authorise a person as its **representative** at a meeting. Such a **corporate representative** is entitled to exercise the **same rights and powers as an individual member**, including voting on a show of hands and on a poll, and can be counted for **quorum**. This differs from a proxy (who cannot vote on show of hands / not counted for quorum). - **Sec 112:** The **President of India or Governor of a State**, if a member, may appoint a representative to attend meetings and exercise the rights of a member.

Mermaid Diagram — EGM by Requisition (Sec 100)



SECTION D — MCQs / Case Scenarios (correct option + one-line reason)

D1. Notice of change in situation of registered office must be filed with the Registrar within: (a) 15 days (b) 30 days (c) 45 days (d) 60 days **Answer: (b) 30 days** — Sec 12(4), filed in Form INC-22.

D2. An index of members is compulsory when the number of members exceeds: (a) 20 (b) 50 (c) 100 (d) 200 **Answer: (b) 50** — Sec 88(2) (unless register is itself in index form).

- D3.** The threshold for being a Significant Beneficial Owner is holding not less than: (a) 5% (b) 10% (c) 25% (d) 26% **Answer: (b) 10%** — Sec 90 read with SBO Rules (shares/voting/dividend rights).
- D4.** The annual return must be filed within ___ days of the AGM: (a) 30 (b) 45 (c) 60 (d) 90 **Answer: (c) 60 days** — Sec 92(4), Form MGT-7.
- D5.** The first AGM of a company must be held within ___ from the close of the first financial year: (a) 6 months (b) 9 months (c) 12 months (d) 15 months **Answer: (b) 9 months** — Sec 96(1) proviso.
- D6.** Minimum clear days' notice for a general meeting: (a) 14 (b) 21 (c) 30 (d) 7 **Answer: (b) 21 clear days** — Sec 101(1).
- D7.** Quorum for a public company having 3,000 members is: (a) 5 (b) 15 (c) 30 (d) 2 **Answer: (b) 15 members** — Sec 103(1)(a) (members between 1000 and 5000).
- D8.** A proxy instrument must be deposited before the meeting at least: (a) 24 hours (b) 48 hours (c) 72 hours (d) 12 hours **Answer: (b) 48 hours** — Sec 105(4).
- D9.** A special resolution is passed when votes in favour are not less than ___ the votes against: (a) two times (b) three times (c) equal to (d) four times **Answer: (b) three times** (i.e., $\geq 75\%$) — Sec 114(2).
- D10.** Every specified resolution (incl. special resolutions) must be filed in Form MGT-14 within: (a) 15 days (b) 30 days (c) 45 days (d) 60 days **Answer: (b) 30 days** — Sec 117(1)/(3).
- D11.** Minutes of a general/Board meeting must be prepared and entered within ___ of the meeting: (a) 7 days (b) 15 days (c) 30 days (d) 45 days **Answer: (c) 30 days** — Sec 118(1).
- D12.** A poll may be demanded by members holding paid-up shares of value not less than: (a) ₹1,00,000 (b) ₹5,00,000 (c) ₹10,00,000 (d) ₹50,000 **Answer: (b) ₹5,00,000** or $\geq 1/10$ th voting power — Sec 109(1).
- D13.** Which entity is NOT required to hold an AGM? (a) Public company (b) Private company (c) One Person Company (d) Listed company **Answer: (c) One Person Company** — Sec 96(1) proviso; also relevant to Sec 122 (OPC provisions).
- D14.** Special notice under Sec 115 must be given at least ___ before the meeting: (a) 7 days (b) 14 days (c) 21 days (d) 3 days **Answer: (b) 14 days** — Sec 115.
- D15. Case Scenario:** A body corporate, a member of ABC Ltd, sends Mr. X as its representative under a Board resolution. At the AGM, ABC's Chairman refuses to count X for quorum, treating him as a proxy. (a) Chairman is right — X is a proxy (b) Chairman is wrong — X is a corporate representative and counts for quorum (c) X can vote only on a poll (d) X cannot vote at all **Answer: (b)** — Under **Sec 113**, a corporate representative has the **same rights as an individual member**, counts for **quorum**, and votes on show of hands and poll — unlike a proxy.
- D16.** Registers under Sec 88 may be kept at a place other than the registered office only if approved by: (a) Ordinary resolution (b) Board resolution (c) Special resolution (d) Registrar's order **Answer: (c) Special resolution** — Sec 94(1) proviso (place where $> 1/10$ th members reside).
- D17.** For which companies is MGT-8 (PCS certification of annual return) mandatory? (a) All companies (b) Listed cos. & those with paid-up capital $\geq ₹10$ cr or turnover $\geq ₹50$ cr (c) OPC only (d) Private companies only **Answer: (b)** — Sec 92(2) read with the Rules.
- D18. Case Scenario:** MNO Ltd (400 members) wants to pass a resolution for buy-back by postal ballot but also transacts its ordinary business (adoption of accounts) by postal ballot. (a) Both are valid by postal ballot (b) Buy-back is valid by postal ballot; ordinary business cannot be transacted by postal ballot (c) Neither can

be by postal ballot (d) Only ordinary business can be by postal ballot **Answer: (b)** — Under **Sec 110, ordinary business** and items where directors/auditors have a right to be heard **cannot** be transacted by postal ballot.

Quick citation index

Sec 12 (registered office & publication) · Sec 88 (register of members) · Sec 89 (beneficial interest) · Sec 90 (SBO) · Sec 92 (annual return) · Sec 94 (place/inspection of registers) · Sec 96 (AGM) · Sec 98 (Tribunal-called meetings) · Sec 100 (EGM/requisition) · Sec 101 (notice) · Sec 102 (explanatory statement) · Sec 103 (quorum) · Sec 105 (proxy) · Sec 107–110 (voting/poll/e-voting/postal ballot) · Sec 112–113 (representation) · Sec 114–116 (resolutions & special notice) · Sec 117 (filing resolutions) · Sec 118–119 (minutes & inspection) · Sec 120–122 (e-records / AGM report / OPC).

Chapter 08 — Declaration & Payment of Dividend

1. The Problem — the "eating the seed corn" con

Imagine a company as a walled garden. Inside the walls live two very different groups who both want money out of it.

- **Shareholders** are the owners. They put in capital hoping the garden throws off fruit (profit). They want that fruit handed to them — the fruit is called **dividend**.
- **Creditors** — banks, debenture-holders, trade suppliers, workers owed wages — lent the company money or goods. They do **not** share in profit. Their deal is simpler and older: "You owe me a fixed sum. Pay me back." They are protected by a promise called **limited liability's flip side**: the shareholders can lose only what they put in, so in exchange, the capital the shareholders put in must stay *inside the walls* as a cushion for creditors. This is the **doctrine of capital maintenance** — the single most important idea in this entire chapter.

Now the abuse. Suppose a company had a bad year — it actually *lost* money. But the directors (who are usually the big shareholders) want cash out. So they simply pay themselves a fat dividend anyway, funded not from profit but by **digging into the capital cushion** — selling assets, dipping into share capital, or paying out of borrowed money. The garden's protective wall is quietly dismantled brick by brick and handed to the owners. When creditors later come knocking, the cupboard is bare.

This is the corporate equivalent of a farmer **eating the seed corn** — consuming the very thing that was supposed to guarantee next year's crop and everyone's debts. Or think of it as a shopkeeper paying himself a "salary" out of the till that holds his suppliers' unpaid bills.

Three specific frauds the law had to stop:

1. **Dividend out of capital** — paying owners from the creditor cushion, leaving debts unbacked.
2. **Dividend out of unreal / paper profits** — showing profit only because depreciation was skipped or a one-time asset revaluation was booked, then paying real cash against that fake profit.
3. **Dividend declared but never actually paid** — the company announces a dividend (pumping up its share price and reputation), shareholders relax, but the money is never sent, or small unclaimed amounts sit in the company's account **forever**, quietly financing the company for free.

Chapter VIII of the Companies Act, 2013 (**Sections 123 to 127**) exists to defeat exactly these three abuses. Read every rule below as an answer to "which of these three cons is this stopping?"

Why the historical judges got here first. Long before the 2013 Act, English courts had already fought this war. In *Flitcroft's Case (1882)* directors who paid dividends out of capital were held **personally liable to refund** the money — because they had breached the trust that capital is a fund for creditors. In *Verner v. General & Commercial Investment Trust (1894)* the court accepted that a *revenue* (trading) loss need not always block a dividend if the paid-up capital is otherwise intact, but a **loss of fixed capital** is a different matter. The Indian statute simply **codifies and tightens** this common-law instinct into hard, testable rules. Knowing the case-law origin helps you answer "why" questions the examiner slips in: the rules are not arbitrary bureaucracy — they are a two-century-old anti-fraud reflex written down.

A fourth, subtler abuse worth naming. Beyond the three headline cons, the Act also guards against **discrimination between shareholders of the same class** and against **paying the wrong person** when

ownership is mid-transfer (Section 126). Dividend must go to whoever is the *registered* holder on the record date, in proportion to paid-up value (Section 51), and the company cannot cherry-pick who gets paid within a class. Keep this in your back pocket for scenario questions where shares change hands around the record date.

2. The Core Idea — dividend is a *reward from real profit*, never a *withdrawal of the cushion*

Strip everything down and the law says one sentence:

Dividend may be paid ONLY out of profits that are genuinely earned and genuinely realised — never out of the capital that protects creditors.

Everything else — the depreciation rule, the transfer-to-reserves rule, the rule about past reserves, the deposit-in-a-separate-account rule — is just plumbing that *guarantees* the profit is real and *guarantees* the money actually reaches the shareholder.

Two mental anchors carry the whole chapter:

- **Anchor A — "Real profit test."** Before a rupee leaves as dividend, the company must prove the profit is real: depreciation charged, past losses absorbed, no paper gains counted.
- **Anchor B — "Money must actually move."** Once declared, dividend becomes a **debt the company owes**. The law then chases that money — into the shareholder's hand within 30 days, and if unclaimed, eventually into a public fund (IEPF) rather than letting the company keep it.

Anchor A protects **creditors** (don't touch the cushion). Anchor B protects **shareholders** (you were promised it, you will get it). Hold those two and you can reconstruct almost every section.

A third anchor hides between them — "Declaration is a switch, not a promise." The single most conceptually loaded fact in the chapter is the *moment* a dividend legally crystallises. Before declaration, a dividend is merely a *hope*; shareholders have **no enforceable right** to it, and the Board's recommendation can be withdrawn. The instant it is **declared** (by members for a final dividend, by the Board for an interim), it flips into an **enforceable debt** owed by the company (*Bacha F. Guzdar v. CIT* recognises dividend as the shareholder's own income once it accrues). This one-way switch explains three otherwise-puzzling rules at once:

- **A declared final dividend cannot be revoked** — you cannot cancel a debt already owed. (An *interim* dividend, being a Board act, is on a slightly different footing — see 4.5 — but once actually declared and set apart, it too is generally treated as a debt.)
- **The 30-day payment clock and the separate-account rule** exist *because* a debt now exists and the creditor-shareholder must be paid.
- **Interest penalties** (12%/18%) make sense only against a *debt* — you don't pay interest on a mere intention.

Memorise the switch: **recommendation = reversible hope; declaration = irreversible debt**. Half the tricky MCQs turn on which side of the switch the facts sit.

3. Why It's Built This Way — the logic of capital protection

Why not just let companies pay whatever dividend they like? Because of the grand bargain of **limited liability**.

A shareholder in a limited company can never be forced to pay the company's debts beyond their shareholding. That is a huge gift — it makes investing safe and makes capitalism possible. But it creates a moral hazard: if owners can't be chased personally, what stops them from stripping the company of cash the moment trouble looms and leaving creditors with an empty shell?

The law's answer is a trade: **"You get limited liability, but in return, the capital you contribute is locked in as a permanent guarantee fund for creditors. You may take out the *profit* the business earns on top of that capital — but you may never take out the capital itself."**

That is the **capital maintenance doctrine**, and dividend law is its front line. This is also why:

- **Depreciation is compulsory before dividend** — because if you don't recognise that your machines are wearing out, your "profit" is fake; you'd be distributing the value of the wasting asset (a slice of capital) disguised as profit.
- **A dividend once declared can't be revoked** — because it becomes a debt owed to shareholders, and you can't just cancel debts.
- **Unclaimed dividend can't be kept** — because if the company keeps money it owes, it's effectively getting an interest-free loan from forgetful investors, and over decades that money would silently vanish into the company. The IEPF forces it into public custody.

Understand it as: **profit flows OUT (reward), capital stays IN (guarantee)**. The border between "out" and "in" is policed by Section 123.

Why the border is drawn at *realised profit*, not just *positive profit*. A deeper first-principle: creditors are paid in **cash**, not in accounting entries. A revaluation surplus, a mark-to-market gain, or an unrealised foreign-exchange gain can make the profit-and-loss account look healthy while **not a single rupee of spendable cash** has entered the business. If the law allowed dividends against such gains, the company would have to **borrow or sell assets** to fund the cash payout — which is exactly "paying dividend out of capital" wearing a disguise. So the border is placed one notch stricter than "profit exists": it demands profit that is **both earned and realised in cash form**. This is why Section 2(43) surgically excludes notional, unrealised and revaluation gains from "free reserves." Hold this and you never fall for the "but the balance sheet shows a surplus!" trap.

Why creditors outrank owners in the queue — the residual-claimant logic. Shareholders are, by design, the **residual claimants**: they get what is *left over* after everyone else is paid. That is the flip side of the *upside* they enjoy (unlimited profit potential) — they must sit *last* in the payout queue. Every dividend rule that says "pay the creditor first" (S.123(6) deposit-defaulters; the depreciation and past-loss set-off gates; the reserve floor in Rule 3) is just this queue being enforced. Owners eat only after the business's obligations are covered — never before.

4. Full Technical Content — section by section, each with its "why"

Chapter VIII, Companies Act 2013 = **Sections 123–127**, supported by the **Companies (Declaration and Payment of Dividend) Rules, 2014** and the **IEPF Authority (Accounting, Audit, Transfer and Refund)**

Rules, 2016.

First, a vocabulary fix, because the exam loves it:

- **Dividend** is *not defined* precisely in the Act except in **Section 2(35)**: "*dividend includes any interim dividend.*" That inclusion exists to slam shut a loophole — see interim dividend below. Beyond that, dividend means a **shareholder's share of distributed profit**, in proportion to the amount paid-up on their shares (Section 51 allows dividend on paid-up basis).
- **Final dividend** — recommended by the Board, **declared by members** at the AGM.
- **Interim dividend** — declared by the **Board alone** between two AGMs.

Two further definitional distinctions the examiner exploits:

- **"Declared" vs "Paid."** These are separate legal events with separate consequences. *Declaration* creates the debt (and starts the 30-day clock and the reserve/depreciation gates must already be satisfied). *Payment* is the discharge of that debt (posting the warrant / crediting the bank). A dividend can be validly *declared* yet unlawfully *unpaid* — that is precisely the Section 127 offence. Never treat the two words as synonyms in an answer.
- **Dividend on the *paid-up* amount, not the *face* amount (Section 51).** If a shareholder has a ₹10 face-value share on which only ₹6 is paid up, dividend accrues on ₹6, not ₹10 — unless the articles authorise otherwise and calls are uniform. This lets the examiner set a numerical trap where partly-paid shares are lurking in the share capital. Always check the *paid-up* figure, not the nominal one.

4.1 Section 123(1) — the sources of dividend (the "Real Profit" gate)

The abuse it kills: paying dividend out of capital or out of fake profit.

Dividend (for any financial year) may be **declared or paid ONLY out of** one or more of these three sources:

#	Permitted source	The condition attached	Why the condition exists
(a)	Profits of the company for the current year , arrived at after providing for depreciation per Section 123(2)	Depreciation must be charged as per Schedule II	Un-depreciated "profit" is partly the melting value of assets = capital in disguise
(b)	Profits of any previous financial year(s) left undistributed, again after providing for depreciation for those years	Same depreciation discipline for past years	Stops reviving old paper profits
(c)	Money provided by Central or State Government for payment of dividend under a guarantee	Only where such a guarantee exists	Narrow, government-backed exception

Critical rule embedded here — free reserves only. The first proviso to Section 123(1) says a company **cannot declare dividend unless carried-over previous losses AND depreciation not provided in previous years are first set off against the current year's profit**. You must heal the past before you feast in the present. (This defeats the trick of ignoring accumulated losses to show a distributable profit.)

Free reserves definition — Section 2(43): reserves available for distribution as dividend *as per the latest audited balance sheet*, but **EXCLUDING**: - any **unrealised gains, notional gains or revaluation of assets** (a revaluation surplus is a paper gain — the asset hasn't been sold, so no real cash exists), and - any **change in carrying amount** of an asset or liability on measurement at fair value.

Memory hook: "Free" means **free of fantasy** — no revaluation, no notional, no fair-value pumping. Only cash-real reserves.

Finer distinctions the exam tests on sources:

- **Capital profits are distributable only under strict conditions.** A profit on sale of a fixed asset or a capital reserve is *generally not* distributable as dividend, because it is not a trading profit. The classical view (*Lubbock v. British Bank of South America*) permits distribution of a **realised** capital profit only if (i) the articles permit, (ii) it is a *realised* (cash) profit, and (iii) a proper revaluation of **all** assets still leaves a surplus. In practice for CA Inter, treat capital reserves as **non-distributable** unless the facts expressly satisfy these conditions.
- **Securities premium and Capital Redemption Reserve are NOT free reserves.** They are "reserves" but are ring-fenced by statute (S.52, S.55) for specific uses (issuing bonus shares, writing off preliminary expenses, buy-back, etc.) and can **never** be paid out as dividend. A favourite trap is to bundle a large securities premium into "reserves available for dividend" — it is not.
- **Debit balance of P&L (accumulated losses) reduces the pool.** Before any figure is called "distributable," accumulated losses and unprovided depreciation are netted off (first proviso). The examiner may give you a fat reserves figure alongside a big carried-forward loss and expect you to net them.
- **What "profits for the year" means net of tax.** Distributable profit is the profit *after* providing for depreciation **and** for tax; you cannot distribute a pre-tax figure. This is rarely stated but occasionally tested numerically.

4.2 Section 123(2) — Depreciation is compulsory

The abuse it kills: dividend out of profit that only *looks* like profit because the wearing-out of assets was ignored.

Depreciation must be provided in accordance with **Schedule II** (which prescribes useful lives of assets, replacing the old rate-based Schedule XIV). No skipping depreciation to inflate distributable profit.

Why: A factory machine worth ₹100 that will be worthless in 10 years costs the business ₹10 of value every year. If you don't book that ₹10, your profit is overstated by ₹10, and paying it out hands shareholders a piece of the machine (capital), not earnings.

Deeper points on depreciation the examiner probes:

- **Both current-year AND arrears of depreciation.** It is not enough to charge this year's depreciation; the first proviso to S.123(1) requires that depreciation **not provided in earlier years** must *also* be made good before distributing current profit. Two years of skipped depreciation cannot be quietly forgotten.
- **Schedule II is useful-life-based, not rate-based.** Under the old Schedule XIV you looked up a *rate*; under Schedule II you are given a *useful life* and must derive the charge (SLM or WDV). If a company adopts a **different useful life** than Schedule II indicates, it must **disclose and justify** it via technical advice — it cannot use this as a backdoor to under-depreciate and inflate distributable profit.
- **Depreciation is compulsory even in a bumper-profit year.** Some students think depreciation only matters when profits are thin. Wrong — it is an *always-on* gate (see Trap 12). The size of profit is irrelevant to the *duty* to depreciate.

4.3 Section 123(1) second proviso — Transfer to reserves is now VOLUNTARY

The old regime vs new — a favourite exam trap.

Under the Companies Act **1956**, transferring a slice of profit to reserves before dividend was **compulsory** (graded rates up to 10% depending on the dividend rate).

Under the **2013 Act, Section 123(1)**, it is **entirely voluntary** — a company *may*, before declaring dividend, transfer **such percentage of its profits as it considers appropriate** to the reserves. There is **no minimum** and **no maximum** compulsory transfer.

Why the change: Parliament decided the earlier straitjacket was paternalistic; boards should decide retention policy. The creditor cushion is now protected by the *depreciation + free-reserves + no-capital* rules rather than a forced reserve transfer.

Trap: If a question says "the company must transfer X% to reserves before dividend," that is **1956-law and WRONG under the 2013 Act**.

Nuance — voluntary for the *general* case, but Rule 3 imposes a *conditional* floor. Do not overstate the freedom. It is true that no *pre-dividend* transfer is mandatory when you are paying out of the **current year's** profits. But the moment you dip into **past accumulated reserves in a lean year** (Rule 3, para 4.4), a **15% reserve floor** kicks in as a *post-withdrawal* constraint. So the honest statement is: "Transfer to reserves is voluntary; but *withdrawal from* reserves is capped, leaving a mandatory 15% floor." Examiners love catching students who over-generalise "reserves are entirely voluntary now."

4.4 Section 123(1) third proviso + Rule 3 — Dividend out of PAST (accumulated) reserves in a loss/low-profit year

The abuse it kills: a company has a bad year (inadequate or nil profit) but wants to keep up appearances and still pay a dividend by raiding accumulated reserves recklessly — potentially draining the cushion.

The law permits it **but only within strict limits**, set out in the **Companies (Declaration and Payment of Dividend) Rules, 2014, Rule 3**. In case of **inadequacy or absence of profits** in a year, a company may declare dividend out of **accumulated profits transferred to free reserves in previous years**, subject to **all four** of these caps:

Cap	The rule	Purpose of the cap
1. Rate cap	Rate of dividend ≤ average of the rates at which dividend was declared in the immediately preceding THREE years	You can't suddenly pay a lavish dividend from reserves — pay only your normal historical rate
2. Amount cap	Total amount drawn from accumulated profits ≤ 1/10th (10%) of the sum of paid-up share capital + free reserves as per the latest audited financial statement	Limits the total bite taken out of the cushion in any one bad year
3. Set-off first	The amount so drawn shall first be used to set off losses incurred in the financial year in which dividend is declared	Don't pay dividend while the current year is bleeding — plug the hole first
4. Balance floor	After such withdrawal, the balance of reserves shall not fall below 15% of its paid-up share capital as per the latest audited financial statement	A permanent minimum reserve floor — the cushion can be dented but never destroyed

Special relief note: The **rate cap (Cap 1)** does **not apply** to a company that has **not declared any dividend in each of the three preceding financial years** (a first-timer or a long-dry company isn't punished by having a "zero average").

Memory hook — "3-10-plug-15": - 3 years' average rate, - 10% max amount, - **plug** current losses first, - 15% reserve floor remains.

Reading each cap at first principles (why four, not one): The four caps attack the raid from four different angles, and each is a separate safety catch: - The **rate cap** stops the *per-share generosity* running wild — you keep to your *habitual* dividend, not a lean-year bonanza. - The **amount cap** limits the *absolute rupees* leaving the cushion in a single bad year — independent of rate, so even a low rate on a huge capital base is bounded. - The **set-off** ensures you *cannot bleed and feast simultaneously* — losses of the year are healed before any distribution. - The **floor** guarantees a *permanent minimum core* of reserves survives — the cushion can be dented, never emptied. Because they operate on different variables (rate, amount, current loss, residual balance), **all four must be satisfied simultaneously** — passing three and failing one still kills the dividend. Numerical questions almost always plant exactly one binding constraint; your job is to find which one bites.

Edge cases and examiner tweaks on Rule 3:

- **"Free reserves" for the 10% and 15% tests excludes revaluation.** The base for both the amount cap and the floor uses *free reserves* per S.2(43) — so if the balance sheet reserves include a revaluation surplus, **strip it out first**. A classic tweak: the sum given includes a "General reserve" (counts) plus a "Revaluation reserve" (does *not* count).
- **Only reserves built from profits qualify** as the source. You can draw from accumulated **free reserves** (e.g. General Reserve, surplus in P&L) — not from Capital Redemption Reserve, Securities Premium, or Revaluation Reserve.
- **"Inadequacy or absence of profits" is the trigger.** If current profits are *adequate*, Rule 3 does not apply at all and you simply pay from current profit under S.123(1) with no rate/amount caps. The examiner may hide an adequate profit and see if you needlessly apply the caps.
- **The floor is measured on the latest audited balance sheet's paid-up capital**, not a mid-year figure. If a fresh issue of shares happened after year-end, use the audited figure unless facts say otherwise (flag if ambiguous).
- **Rate for the 3-year average uses years in which dividend was declared.** If in one of the three years no dividend was declared, that year counts as **0%** in the average — *unless* the "no dividend in all three years" relief applies (then the rate cap simply drops away).

4.5 Section 123(3) — Interim dividend

The abuse Section 2(35) + 123(3) kill: the "interim" escape hatch. Historically directors argued that an *interim* dividend (declared mid-year by the Board without waiting for the AGM) wasn't a "real" dividend, so the safeguards didn't apply — letting them push cash out mid-year without the full-profit discipline. Section 2(35) — "*dividend includes any interim dividend*" — plugs this: **every rule about real profits applies to interim dividend too**.

Rules for interim dividend under **Section 123(3)**:

- The **Board of Directors** may declare interim dividend during any financial year **or at any time between the closure of a financial year and the AGM**, out of:

- the **surplus in the profit & loss account, and/or**
- **profits of the financial year for which such interim dividend is sought to be declared, and/or**
- **profits generated up to the quarter** preceding the date of declaration.
- **Loss-protection brake:** If the company has **incurred a loss during the current financial year up to the end of the quarter immediately preceding the date of declaration** of interim dividend, then the interim dividend **shall NOT be declared at a rate higher than the average dividend declared during the immediately preceding THREE financial years.**

Why the brake: an interim dividend is declared *before* the year's final results are known — it's a bet on profits that may not materialise. If the company is *already* in the red for the year so far, the law caps the rate to the historical average so directors can't gamble the cushion on optimism.

Key contrasts (exam gold): - Final dividend → **recommended by Board, DECLARED by members** at AGM (members can reduce but **not increase** the Board's recommended rate). - Interim dividend → **declared by the Board**, no member approval needed. - Both, once declared, become a debt and follow the payment rules below.

Sharper interim-dividend distinctions:

- **Interim can be paid out of the current year's surplus P&L, but NOT out of past reserves under the ordinary Rule 3 raid.** The source list in S.123(3) is: surplus in P&L brought forward + current-year profit + profit up to the preceding quarter. The general practice is that an interim dividend is **not** funded by a Rule-3-style reserve raid; the profit must be genuinely available at the interim stage.
- **The loss-brake looks at the year "up to the end of the preceding quarter," not the whole year.** So a company loss-making in Q1–Q2 but declaring interim in Q3 is judged on the **cumulative loss up to end of Q2**. If cumulatively profitable up to that point, the brake does not bite even if one interim quarter was weak.
- **Board's discretion is real but not unlimited.** The Board *may* declare interim dividend — it is a power, not a duty — and it can also *rescind* an interim dividend **before it is actually paid/parted with**, because unlike a members-declared final dividend, an unpaid interim declaration is generally treated as revocable by the Board that made it. Once the money is set apart in the separate account and becomes payable, though, treat it as a debt. (If asked, note the final vs interim revocability distinction — it is a subtle but examinable point.)
- **Same depreciation and free-reserve discipline applies** — because S.2(35) folds interim into "dividend," every S.123(1)/(2) gate applies *mutatis mutandis*.

4.6 Section 123(4) — Deposit into a separate bank account

The abuse it kills: "declared but not paid." A company announces a dividend (great for its image and share price) but keeps the cash mingled in its working accounts and drips it out — or never pays.

Rule: The amount of dividend (including interim) **must be deposited in a SEPARATE bank account within 5 days** of declaration. This ring-fences the money so it can't be used for anything else. It is *earmarked* the moment it's declared.

Why 5 days and why a scheduled bank: the short 5-day window denies the company any meaningful chance to *use* the money for operations, and the separate account creates a **traceable, ring-fenced pool** so that if the company later fails, the dividend money is identifiable and not swept into the general estate for

creditors. Note this is a *scheduled bank* account — the same custodial logic as the later Unpaid Dividend Account. A common tweak: the 5 days runs from **declaration**, not from the AGM notice or the record date.

4.7 Section 123(5) — How and to whom dividend is paid

- Dividend is payable **only to the registered shareholder**, or to their order, or to their banker.
- Dividend must be paid in **cash** — **NOT in kind**. ("Cash" includes cheque, warrant, or **electronic mode**.)
- **Why no dividend in kind:** to stop companies fobbing off shareholders with unsaleable inventory or inflated-value assets instead of real money. (*Exception you should note: the prohibition on payment in kind does not bar the capitalisation of profits/reserves through a bonus issue, or buy-back, or a scheme of arrangement where shares of another company are distributed — those are governed by separate sections. Confirm nuance in ICAI material.*)

Finer "to whom" distinctions:

- **Registered holder on the record date wins.** Even if a shareholder has *sold* the shares but the transfer is not yet registered, the company pays the **registered** holder (subject to S.126 abeyance where a transfer is lodged). Beneficial ownership does not entitle you to be paid by the company until you are on the register.
- **"Or to his order, or to his banker."** The company can lawfully route payment as the registered holder directs (e.g. to a nominated bank). This is why one of the S.127 exceptions covers "shareholder gave directions that could not be complied with."
- **Cash includes electronic mode** — NEFT/RTGS/ECS is fully compliant; indeed for listed companies electronic credit is the norm. Do not mark electronic payment as "non-cash."

4.8 Section 123(6) — Defaulters cannot declare dividend

A company which **fails to comply with Sections 73 and 74** (acceptance and repayment of **deposits**) shall **not, so long as such failure continues, declare any dividend** on its equity shares.

Why: You cannot reward owners while you are defaulting on repaying depositors (a class of creditor). Creditors before owners — the capital-protection hierarchy in action.

Precision points: the bar operates *only while the failure continues* — once the S.73/74 default is cured, the company may resume declaring dividend. The bar is on **equity** dividend as worded; and it applies to *declaration* (the switch), so a company under a subsisting deposit default cannot even take the first step. This is the cleanest illustration in the chapter of the residual-claimant queue: **depositor-creditors are paid before owner-shareholders, full stop.**

4.9 Section 124 — Unpaid / Unclaimed Dividend and the journey to the IEPF

The abuse it kills: small dividends left unclaimed by forgetful or untraceable shareholders sitting in the company's account **indefinitely**, effectively becoming a free perpetual loan to the company — and eventually being absorbed by it.

Here is the full lifecycle (this is heavily examined — learn the timeline):

1. **If dividend is not paid or claimed within 30 days** of declaration (i.e. it's now "unpaid/unclaimed"), the company must, **within 7 days** after those 30 days expire (**i.e. by day 37**), transfer the total unpaid/unclaimed amount to a special account called the **"Unpaid Dividend Account"** opened in a scheduled bank. ($30 + 7 = 37$ days total.)

2. **Penalty for delay:** if the company defaults in transferring, it must pay **interest @ 12% p.a.** on the amount not transferred, from the date of default — and the interest accrues to the benefit of the members in proportion.
3. **Transparency:** within **90 days** of transferring to the Unpaid Dividend Account, the company must place a **statement of names, last-known addresses and unpaid amounts on its website** (and the IEPF website), so rightful owners can find their money.
4. **The 7-year rule → IEPF:** Any money in the Unpaid Dividend Account that **remains unpaid/unclaimed for 7 years** from the date it was first transferred to that account **must be transferred to the Investor Education and Protection Fund (IEPF)** established under Section 125. Interest accrued is also transferred.
5. **Shares follow the dividend — the sting in the tail:** Under **Section 124(6)**, **all shares in respect of which dividend has not been paid or claimed for 7 consecutive years** shall **also be transferred to the IEPF** (in the name of the IEPF Authority). *This is the big trap — not just the money, the actual shares move.* The shareholder isn't wiped out permanently — they can **claim both the shares and the dividends back** from the IEPF Authority by following the refund procedure.

Penalty (Section 124(7)): If a company fails to comply with Section 124, the **company is punishable with a fine** and **every officer in default** likewise (learn the range from the current bare Act — historically ₹5 lakh–₹25 lakh for the company and ₹1 lakh–₹5 lakh for officers; *confirm exact current figures in ICAI material / bare Act as fine amounts have been amended*).

Two heavily-tested subtleties on the "7 consecutive years" share transfer:

- **"Consecutive" is the operative word — one claim resets the clock.** If the shareholder claims *even one* year's dividend during the seven-year run, the shares are **not** transferred, because the seven years must be *unbroken*. A classic tweak: shareholder ignored dividends for six years, claimed in year five, then went silent — the count restarts, so no share transfer yet.
- **The money clock and the share clock are measured differently.** The *money* goes to IEPF 7 years after it was **transferred to the Unpaid Dividend Account** (i.e. roughly 7 years + 37 days from declaration). The *shares* go to IEPF after **7 consecutive years** in which dividend was unpaid/unclaimed. Keep the two "sevens" mentally separate.
- **The transfer of shares is *without prejudice* to the owner's reclaim right** — see S.125. And if the shares are transferred, any subsequent benefits (bonus, splits, further dividends) also flow to the IEPF and are reclaimable together.

4.10 Section 125 — The Investor Education and Protection Fund (IEPF)

The purpose: rather than let abandoned investor money enrich the company, pool it into a public fund used to **educate and protect investors** and to **refund rightful claimants**.

What gets credited to the IEPF (Section 125(2)) — learn the main heads: - amounts in **Unpaid Dividend Accounts** unclaimed for 7 years; - **application money** received for securities and due for refund, unclaimed for 7 years; - **matured deposits** and **matured debentures** with companies, unclaimed for 7 years; - **interest** accrued on all the above; - **sale proceeds of fractional shares** on bonus/merger, and **redemption of preference shares** amounts, unclaimed for 7 years; - grants and donations by Central Govt, State Govts, companies or other institutions; - **interest/income earned** on investments of the Fund.

Administered by: the **IEPF Authority** (Section 125(5)/(6)), a statutory body under the Central Government.

Use of the Fund (Section 125(3)): refund of unclaimed dividends/deposits/debentures/application money **to rightful claimants**; promotion of **investor education, awareness and protection**; distribution of disgorged amounts to eligible/identifiable victims; reimbursement of legal expenses in class actions, etc.

The refund right (Section 125(3)(a)): the rightful owner is **never permanently deprived** — they may apply to the IEPF Authority and **reclaim** the transferred amount and/or shares. This is the humane counterweight: the company can't keep the money, but the investor can always get it back.

Distinctions the exam plants around the IEPF:

- **Not everything credited is dividend.** The Fund is a *catch-all* for abandoned investor money — matured deposits, matured debentures, refundable application money, redemption amounts, sale proceeds of fractional shares. A trap MCQ lists these and asks "which does NOT go to IEPF after 7 years?" — the answer is usually something like *current* (un-matured) deposits or *general reserves*, which are not abandoned investor entitlements.
- **The refund is claimed from the IEPF Authority, not the company.** After transfer, the company is *functus officio* on that money/shares — the claimant must apply to the Authority (Form IEPF-5 in practice). Answering "claim it back from the company" is wrong once transfer has happened.
- **IEPF is distinct from general revenue.** Money in the IEPF does **not** become government tax revenue; it is held for investor benefit and refunds. This distinguishes India's regime from a simple "escheat to the state."

4.11 Section 126 — Right to dividend, rights shares and bonus shares kept in abeyance

The abuse it kills: uncertainty over who owns dividend/rights/bonus when shares are **caught mid-transfer** (transfer deed lodged but not yet registered).

Rule: Where a transfer of shares has been lodged but not yet registered, the company must: - **transfer the dividend to the Unpaid Dividend Account** (unless the registered holder authorises paying it to the transferee), and - **keep in abeyance** (hold) any **rights shares** offer and any **bonus shares** in relation to those shares, until the transfer is registered.

Why: prevents dividend/benefits being paid to the "wrong" person while ownership is legally in limbo.

Sharper reading: note the asymmetry — the **dividend (cash)** is *parked* in the Unpaid Dividend Account (so it is safe and can go to whoever is finally registered), whereas the **rights and bonus entitlements** are *held in abeyance* (not issued to anyone) until registration. Cash is safest parked; share entitlements are safest frozen. The one escape valve is that the **registered holder can authorise** the company to pay the dividend to the *transferee* — respecting the parties' own arrangement. Section 126 is the practical companion to S.123(5)'s "pay the registered holder" rule: it tells you what to do when the register itself is mid-update.

4.12 Section 127 — Punishment for failure to pay declared dividend

The abuse it kills: the ultimate "declared but not paid" — the company announces a dividend, creating a legal debt, then simply doesn't pay it within the deadline.

Rule: Where a dividend has been **declared but not paid or the warrant not posted within 30 days** from declaration: - **Every director** who is knowingly a party to the default is **punishable with imprisonment up to 2 years AND fine of not less than ₹1,000 for every day the default continues**; and - the **company is liable to pay simple interest @ 18% p.a.** during the period the default continues.

Note the escalation: 18% here vs 12% under Section 124 — Section 127 punishes *not paying the shareholder at all* (worse) more harshly than *not transferring unclaimed money to the special account* (Section 124).

Five exceptions — when NON-payment within 30 days is NOT an offence (learn these; classic exam): 1. Dividend **could not be paid due to operation of law** (e.g. a court order restrains payment); 2. A shareholder **gave directions** about payment that couldn't be complied with, and this was communicated to them; 3. There is a **dispute over the right to receive** the dividend; 4. The dividend was **lawfully adjusted** by the company against a sum **due from the shareholder** (a set-off); 5. The **non-payment was not due to any default of the company** (e.g. shareholder's address unknown / instrument returned undelivered).

Why exceptions exist: the crime is *wrongful* withholding. If the company did nothing wrong — it was ready and willing to pay but the law, a dispute, or the shareholder blocked it — there's no culpability.

Precision the examiner rewards on S.127:

- **The offence attaches to "every director who is a party to the default," not automatically all directors.** A director who genuinely had no knowledge of and was not party to the default may escape. This mirrors the general "officer in default" logic — so a nominee/independent director not involved may not be jailed.
- **"Paid" includes posting the warrant.** The duty is discharged when the company *dispatches* the instrument within 30 days, even if it reaches late through no fault of the company (dovetails with exception 5).
- **The five exceptions are the crux of most 6-mark questions.** The most common scenario tests exception 4 (lawful set-off — the shareholder owes the company a call in arrears, so the company adjusts the dividend against it) or exception 5 (returned-undelivered warrant / unknown address). If the facts fit an exception, there is *no* offence and *no* 18% interest — say so explicitly.
- **18% is the company's civil liability; jail + ₹1,000/day is the director's criminal liability.** Keep the two consequences separate in your answer — they run in parallel, on different persons.

5. Applied Scenarios — facts → analysis → conclusion

Scenario 1 — The revaluation dividend

Facts: Zenith Ltd earned an operating profit of ₹40 lakh this year but wants to declare a dividend of ₹1.2 crore. Its accountant points out that the company revalued its head-office building upward this year, creating a **revaluation surplus of ₹1 crore**, and proposes treating that surplus as a "free reserve" available for dividend.

Analysis: Section 123(1) permits dividend only out of profits (current/past, after depreciation) or free reserves. **Free reserves are defined in Section 2(43) to specifically EXCLUDE any surplus arising from revaluation of assets** — it is an *unrealised/notional* gain; the building hasn't been sold, so there is no real cash behind it. Distributing against it would be paying dividend out of a paper profit, i.e. effectively out of capital.

Conclusion: The ₹1 crore revaluation surplus is **not distributable**. Zenith can pay dividend only from its ₹40 lakh real profit (after depreciation) plus any genuine accumulated free reserves — subject, if it dips into reserves, to Rule 3 caps.

Scenario 2 — The bad-year dividend from reserves

Facts: Orion Ltd has **paid-up capital ₹50 lakh** and **free reserves ₹80 lakh**. This year profits are negligible, but it wants to keep its dividend record intact. Its dividend rates in the last three years were **12%, 10% and 8%**. It proposes a **14%** dividend funded from accumulated reserves. It also has a current-year loss of ₹3 lakh.

Analysis: This is a dividend out of past reserves in a year of inadequate profit → **Rule 3** applies with its four caps. - **Rate cap:** average of last 3 years = $(12+10+8)/3 = 10\%$. Proposed 14% **exceeds** the cap → not allowed; max rate is **10%**. - **Amount cap:** max withdrawal = 10% of (paid-up capital + free reserves) = 10% of (₹50L + ₹80L) = **₹13 lakh**. - **Set-off first:** the current-year loss of ₹3 lakh must be **set off** from the amount drawn before any distribution. - **Reserve floor:** after withdrawal, reserves must stay $\geq 15\%$ of paid-up capital = 15% of ₹50L = **₹7.5 lakh**; drawing up to ₹13L from ₹80L leaves ₹67L, comfortably above the floor.

Conclusion: Orion may declare dividend from reserves but **only at 10% (not 14%)**, capped at ₹13 lakh total drawdown, with the ₹3 lakh loss plugged first, and reserves left above ₹7.5 lakh. The 14% proposal is **invalid**.

Scenario 2A — Same facts, but the floor bites (examiner tweak)

Facts: Same Orion Ltd, but rewrite the balance sheet: **paid-up capital ₹50 lakh, free reserves only ₹14 lakh** (the rest of what looked like reserves was a ₹66 lakh **revaluation reserve**, which does not count). Three-year dividend rates were 12%, 10%, 8%; it proposes 10% funded from reserves; no current-year loss.

Analysis: Work each cap and find the binding one. - **Rate cap:** 3-year average = 10%. Proposed 10% is within the cap. ✓ - **Amount cap:** 10% of (₹50L + ₹14L free reserves) = 10% of ₹64L = **₹6.4 lakh**. (The ₹66L revaluation reserve is stripped out under S.2(43) — the classic tweak.) - **Dividend needed for 10% on ₹50L capital = ₹5 lakh**. That is within the ₹6.4L amount cap. ✓ - **Floor test:** minimum reserves to retain = 15% of ₹50L = **₹7.5 lakh**. But free reserves are only ₹14L. After drawing ₹5L, free reserves would fall to **₹9L** — still above ₹7.5L. ✓ *However*, had the dividend needed ₹7L, reserves would drop to ₹7L, **below the ₹7.5L floor** → **invalid**.

Reconciliation / self-check: Maximum drawable respecting *both* the amount cap (₹6.4L) and the floor (can reduce ₹14L down to ₹7.5L, i.e. draw $\leq ₹6.5L$) = the *lower* of the two = **₹6.4 lakh**. A 10% dividend needs only ₹5L, so it is valid; but a 12%+ dividend (needing $\geq ₹6L$, still under ₹6.4L amount cap yet check floor: ₹14L – ₹6L = ₹8L $> ₹7.5L$ ✓) — so even 12% by *amount/floor* would pass, but it fails the **rate cap (max 10%)**. This shows how **different caps bind at different rates** — the rate cap is decisive here, exactly as intended.

Conclusion: Orion may pay up to 10% (rate cap) from free reserves; the revaluation reserve is invisible to all three numeric tests. **Lesson: always convert "reserves" to "free reserves" before touching Rule 3.**

Scenario 3 — The forgotten dividend and the vanishing shares

Facts: In FY 2017-18, Vega Ltd declared a dividend of ₹5,000 to Mr. A, who never claimed it (wrong address on record). Every year since, his dividends went unclaimed too. It is now FY 2025-26. Vega's board says: "It's our money now, he never claimed it."

Analysis: Under **Section 124(1)**, unclaimed dividend had to be moved to the **Unpaid Dividend Account within 37 days** of each declaration. Under **Section 124(5)**, amounts unclaimed for **7 years** from that transfer must go to the **IEPF**. The FY2017-18 dividend crossed 7 years — it belongs in the IEPF now. Crucially, under **Section 124(6)**, because **dividends were unclaimed for 7 consecutive years, the SHARES themselves must be transferred to the IEPF Authority** — Vega cannot keep them either.

Conclusion: Vega's claim is wrong on both counts. The money goes to the IEPF, and Mr. A's **shares are transferred to the IEPF Authority**. However, Mr. A is not destroyed — under **Section 125(3)(a)** he may apply to the **IEPF Authority and reclaim both his shares and all the dividends**.

Scenario 3A — The interrupted seven years (examiner tweak)

Facts: Same as Scenario 3, but this time Mr. A *did* claim his FY2021-22 dividend (he happened to update his address that one year), then went silent again. It is now FY 2025-26.

Analysis: The share transfer under S.124(6) requires **seven consecutive years** of unpaid/unclaimed dividend. Mr. A's claim in FY2021-22 **broke the streak**. The seven-year count restarts from the next unclaimed year. As of FY2025-26, no unbroken seven-year run exists, so his **shares are NOT transferred to the IEPF**. (Individual dividend *amounts* older than 7 years from their own transfer date may still individually reach the IEPF, but the *shares* stay with Mr. A.)

Conclusion: The single act of claiming one year's dividend **saved the shares**. This is the "consecutive" trap in action — a one-word difference flips the answer.

Scenario 4 — The interim dividend gamble

Facts: Comet Ltd's board wants to declare an interim dividend at **20%** in December. But for the nine months to end-September (the quarter immediately preceding), the company has actually **made a loss**. Its dividend over the previous three years averaged **11%**.

Analysis: Under **Section 123(3)**, if a company has **incurred a loss in the current financial year up to the end of the quarter immediately preceding** the declaration of interim dividend, the interim dividend rate **cannot exceed the average of the last three years' rates**. Here the company is loss-making for the period, so the cap = **11%**.

Conclusion: Comet **cannot declare 20%**; the interim dividend is capped at **11%**. This brake stops directors from gambling the creditor cushion on the hope of a year-end turnaround.

Scenario 4A — The set-off exception to non-payment (examiner tweak)

Facts: Sirius Ltd declares a final dividend of ₹8,000 to Mr. B. Mr. B holds partly-paid shares on which a **call of ₹5,000 is in arrears**. The company pays Mr. B only ₹3,000, adjusting ₹5,000 against his unpaid call. Mr. B complains to the ROC that the company failed to pay his full ₹8,000 dividend within 30 days and demands 18% interest and prosecution of directors under S.127.

Analysis: Section 127's **fourth exception** expressly protects a company that **lawfully adjusts a declared dividend against a sum due from the shareholder**. A call in arrears is exactly such a debt (and the articles, following Table F, generally permit this set-off). The company was *ready and willing* to satisfy the dividend; it simply applied part of it to Mr. B's own debt. There is therefore **no default, no 18% interest, and no director liability**.

Conclusion: The company acted lawfully. Mr. B is entitled only to the **₹3,000 net**; his complaint fails. *Lesson: whenever a shareholder owes the company money, check exception 4 before concluding non-payment is an offence.*

Scenario 5 — Declared but unpaid

Facts: Nova Ltd declared a final dividend at the AGM on 1 August. By 15 September, warrants still haven't been posted to shareholders, and there's no legal impediment. A director claims "declaration is enough;

payment can wait."

Analysis: Under **Section 127**, a declared dividend must be **paid / warrant posted within 30 days**. The deadline was 31 August; it's now overdue with no valid excuse (none of the five exceptions applies).

Consequence: **every defaulting director** faces **imprisonment up to 2 years and fine $\geq$ ₹1,000/day** of continued default, and the **company pays interest @ 18% p.a.** for the default period.

Conclusion: The director is wrong. Declaration created a **debt**; non-payment within 30 days is a punishable offence.

Scenario 6 — The deposit-defaulter who wants to reward owners

Facts: Polaris Ltd has ₹2 crore of matured public deposits it has **failed to repay** (a subsisting default under S.74). The company nonetheless had a good trading year and the Board wants to recommend a 15% equity dividend to keep shareholders happy. Is it allowed?

Analysis: **Section 123(6)** bars a company that has failed to comply with S.73/74 (deposits) from declaring **any dividend on its equity shares so long as the failure continues**. The good trading year is irrelevant — the gate is about the *creditor default*, not profitability. The residual-claimant queue forbids paying owners while depositor-creditors go unpaid.

Reconciliation / self-check: Would the answer change if Polaris first *repaid* the deposits? Yes — the bar operates "so long as such failure continues." Cure the default, and the company may then declare dividend (subject to all the S.123(1)/(2) real-profit gates). So the fix is: **repay depositors first, then reward owners**.

Conclusion: Polaris **cannot** declare the 15% dividend while the deposit default subsists. It must clear the deposit default first; only then does the dividend gate open.

Scenario 7 — Members trying to raise the Board's rate

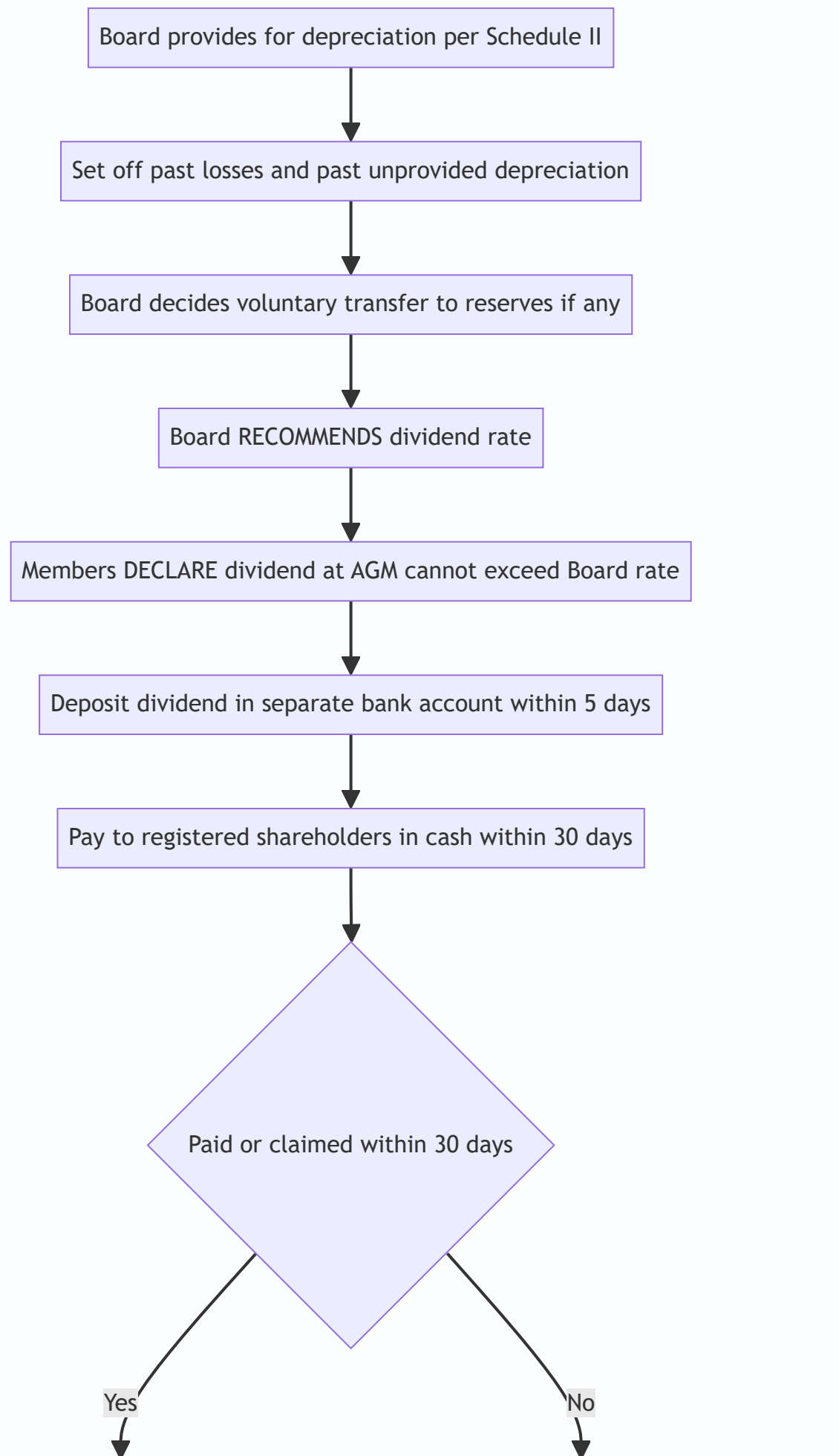
Facts: At Rigel Ltd's AGM, the Board recommended a final dividend of 10%. A group of members, buoyant about the results, moves to *increase* it to 14% and also proposes declaring an *extra* dividend on some reserves. The chairman is unsure.

Analysis: Members **declare** the final dividend but **cannot exceed** the rate recommended by the Board — they may only **accept or reduce** it. The rationale is that only the Board has visibility into the company's liquidity, commitments and the real-profit gates; letting a buoyant meeting vote itself a larger payout would reopen the very capital-raid risk the chapter guards against. Members therefore cannot vote 14%.

Conclusion: The maximum members can declare is **10%** (the Board's recommended rate); they may reduce it (say to 8%) but not raise it. The proposal to declare 14% is **out of order**.

6. Procedure / Compliance Summary

Final dividend — the full flow



Compliance complete

Transfer to Unpaid Dividend Account by day 37

Figure 1 — The life of a final dividend from real-profit gate to the unpaid-dividend fork.

The unpaid-dividend timeline to IEPF

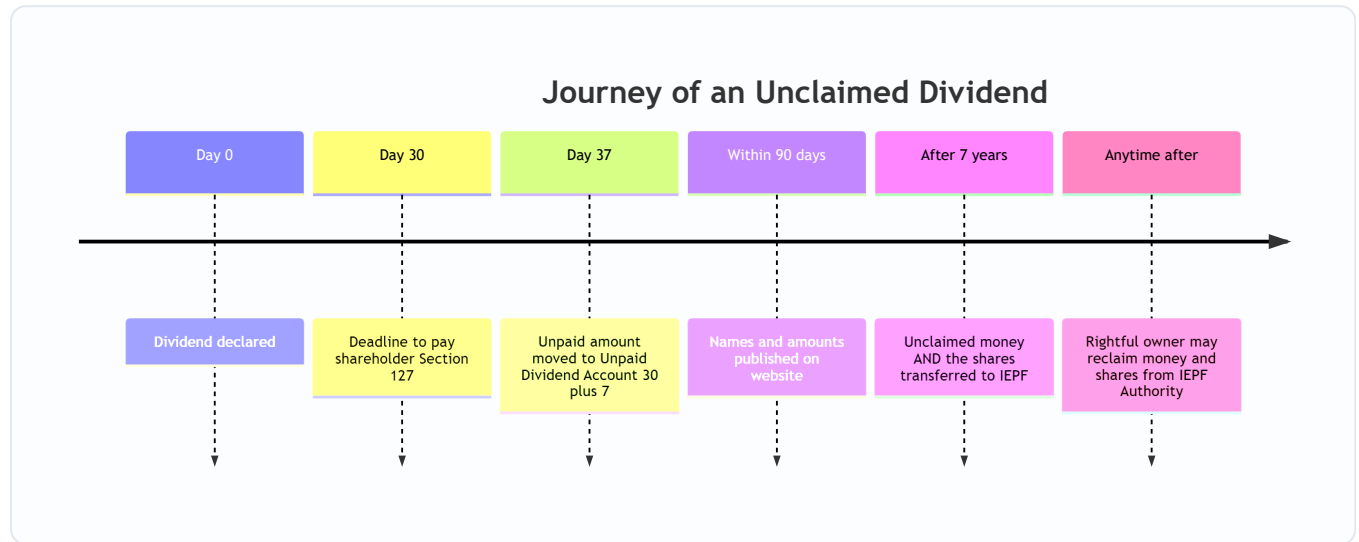
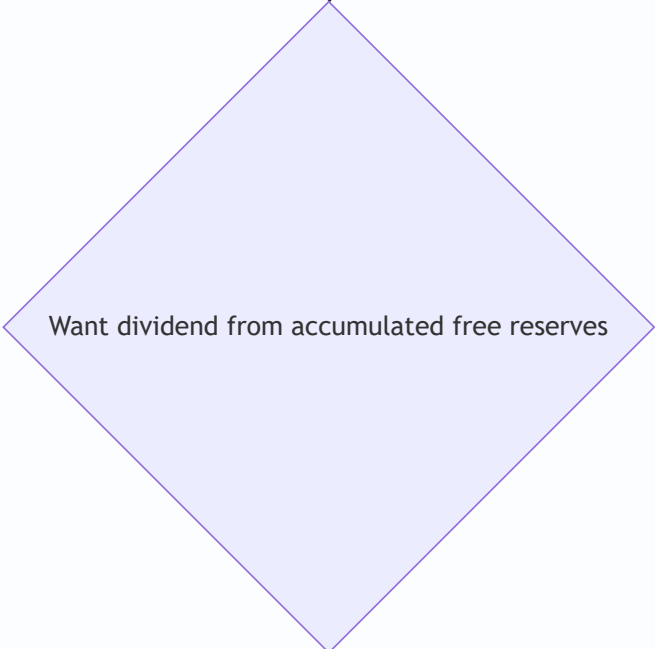


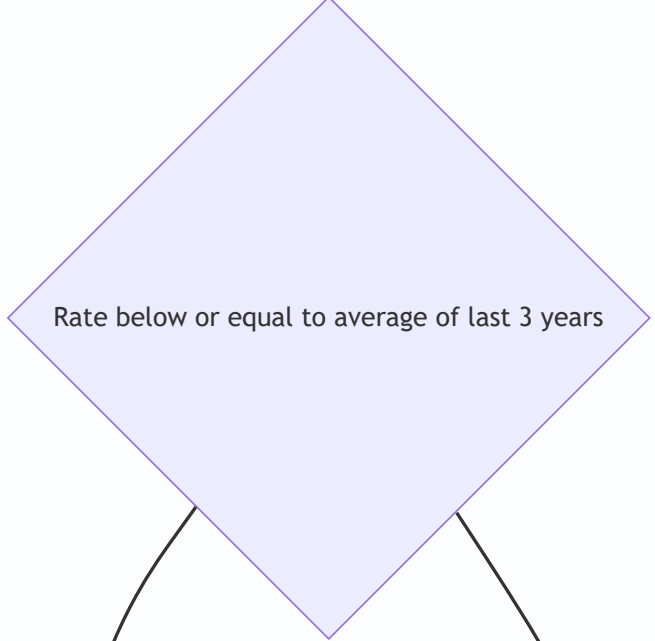
Figure 2 — Time-limits every examiner tests: 30, 37, 90 days and 7 years.

Dividend-out-of-reserves decision tree (Rule 3)

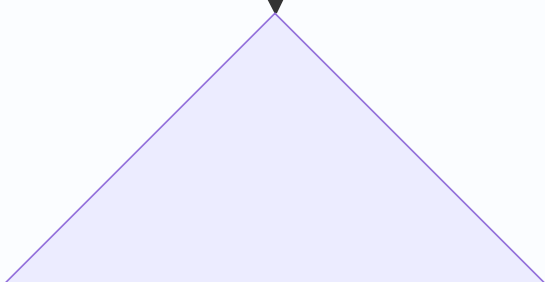
Profits inadequate or absent this year

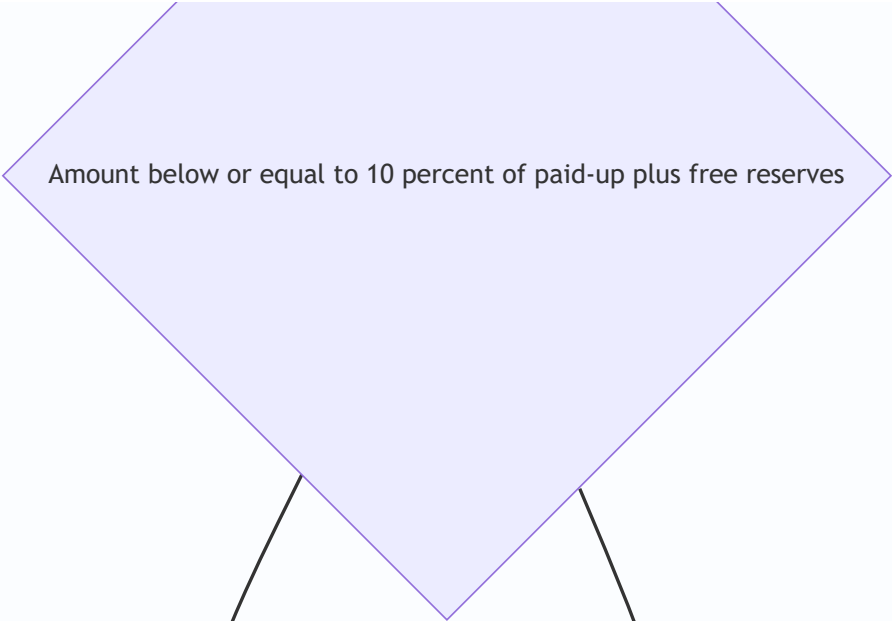


Yes



Yes

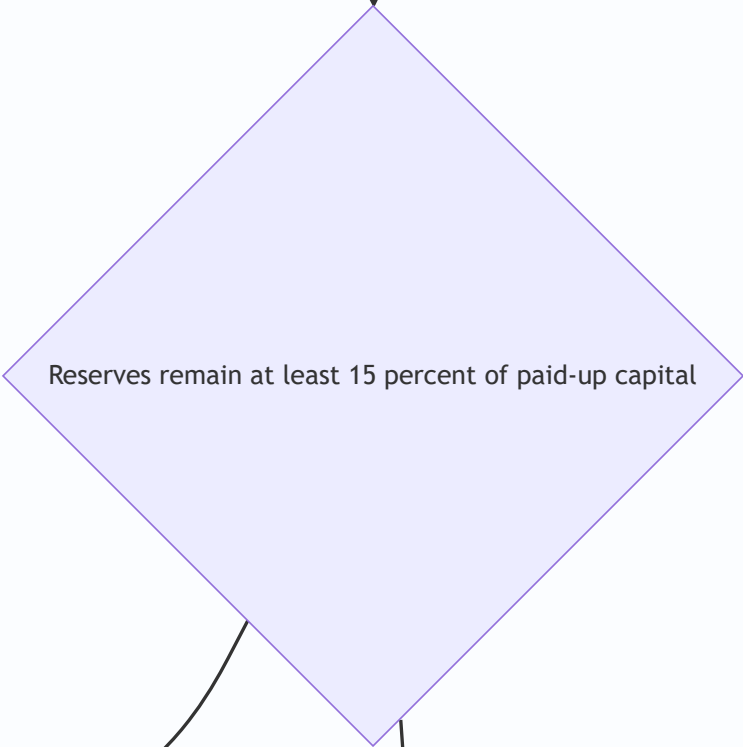




Yes

Set off current year losses first

No



Yes

Dividend from reserves is valid

No

No

Not allowed cap at 3 year average

Figure 3 — The 3-10-plug-15 gate for raiding past reserves in a lean year.

The two protected groups and the border they defend

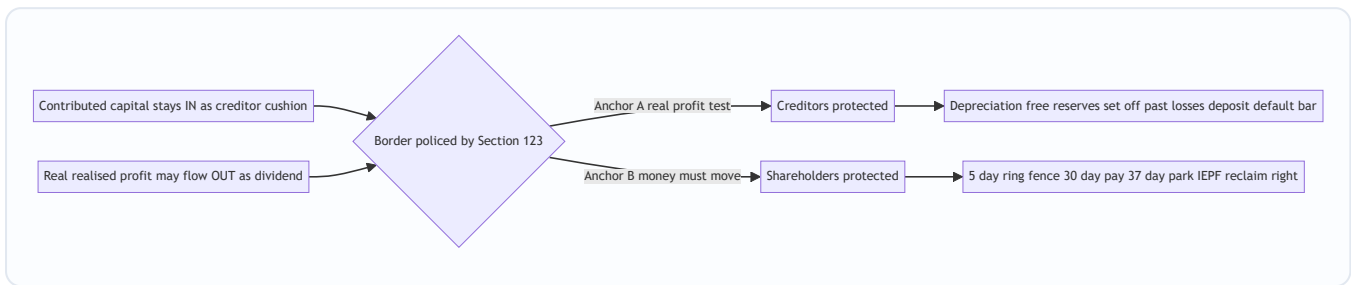


Figure 4 — One border, two anchors, two protected groups — the whole chapter on a page.

Which sevens are which — the two IEPF clocks

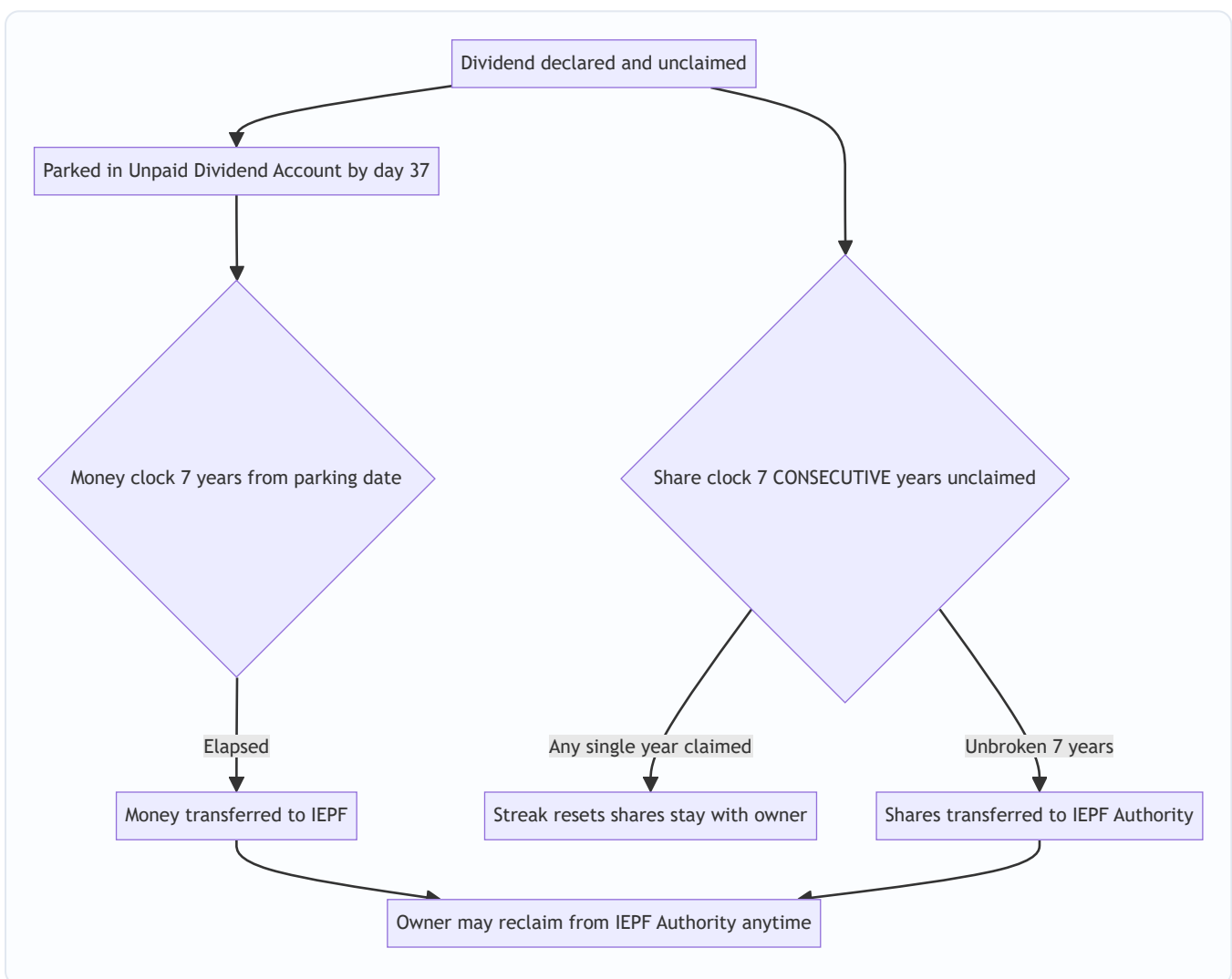


Figure 5 — The money clock and the share clock run on different rules — do not merge them.

Compliance checklist

Step	Requirement	Section / Rule	Time limit
Charge depreciation	Per Schedule II	123(2)	Before declaring
Set off past losses / depreciation	Mandatory	123(1) 1st proviso	Before declaring
Transfer to reserves	Voluntary, any %	123(1) 2nd proviso	Optional
Dividend from past reserves	3-10-plug-15 caps	Rule 3	If profits inadequate
Deposit in separate account	Ring-fence the cash	123(4)	Within 5 days
Pay shareholder (cash)	To registered holder	123(5), 127	Within 30 days
Transfer to Unpaid Dividend A/c	If unclaimed	124(1)	Within 37 days
Publish unclaimed list on website	Transparency	124(2)	Within 90 days
Transfer to IEPF (money + shares)	If 7 years unclaimed	124(5), 124(6), 125	After 7 years

7. Connections — how this chapter wires into the rest of the Act

- **Capital maintenance family:** Dividend law (S.123) is one pillar; the others are **reduction of capital (S.66)**, **buy-back of securities (S.68)**, and the **prohibition on a company buying its own shares (S.67)**. All four police the same border: capital must not leak out to shareholders except through tightly controlled gates.
- **Deposits (S.73–74):** Section 123(6) directly links here — deposit-defaulters can't pay dividend. Creditors (depositors) outrank owners.
- **Accounts & audit (S.128–138):** "Profit" for dividend is measured from the audited financial statements; depreciation per **Schedule II**; free reserves per the **latest audited balance sheet**.
- **Bonus issue (S.63):** A bonus issue *capitalises* reserves into shares — the opposite of dividend (which distributes them as cash). Note free reserves used differently; and a bonus issue is the one lawful "dividend in kind"-adjacent route (shares, not cash), governed by its own section.
- **Preference shares (S.55):** Preference shareholders get dividend *before* equity, at a fixed rate — the "preference." Cumulative preference dividends in arrears must be cleared before equity gets anything. Section 123 sources still govern.
- **AGM (S.96) & Board powers (S.179):** Final dividend is a piece of **ordinary business at the AGM**; interim dividend is a **Board power** exercised via a board resolution.
- **Calls in arrears (Table F / S.49–50):** enables the S.127 exception-4 set-off — dividend adjusted against a shareholder's unpaid call (see Scenario 4A).
- **CSR (S.135):** "Net profit" definitions differ between dividend and CSR — don't confuse them.
- **Section 51 (dividend on paid-up basis):** dividend accrues on the *paid-up*, not face, value — the anchor for partly-paid-share numericals.

8. Traps & Examiner Tricks

1. **"Transfer to reserves is compulsory."** FALSE under the 2013 Act — it's **voluntary** (S.123(1)). The compulsory graded transfer was **1956 law**. Classic trap. (*But remember the Rule 3 15% floor is a conditional exception — see Trap 15.*)
2. **Members increasing the dividend at AGM.** Members can **declare** the dividend but **cannot exceed** the rate recommended by the Board. They may only **reduce** it.
3. **Revaluation surplus as "free reserve."** Never distributable — **S.2(43)** excludes revaluation / notional / unrealised gains. Also excludes fair-value re-measurement changes.
4. **The 37-day figure.** Unclaimed dividend → Unpaid Dividend Account is **30 + 7 = 37 days**, NOT 30 and NOT 7 alone.
5. **Only the money moves to IEPF? No — the SHARES move too** (S.124(6)) after 7 consecutive years of unclaimed dividend. Very frequently tested.
6. **"Money in IEPF is lost forever."** FALSE — the rightful owner can **always reclaim** money AND shares from the IEPF Authority (S.125(3)(a)).
7. **12% vs 18% interest.** S.124 default (failure to transfer to Unpaid Dividend A/c) = **12% p.a.**; S.127 (failure to pay declared dividend to shareholder) = **18% p.a.** Don't swap them.
8. **Dividend in kind.** Prohibited — dividend must be paid in **cash** (includes cheque/warrant/electronic). A company can't distribute goods as dividend.
9. **Interim dividend loss-brake.** If loss up to the preceding quarter, interim rate $\leq$ **3-year average**. Students forget this and let the Board declare any rate.
10. **Deposit-defaulter paying dividend.** S.123(6) bars it while default under S.73/74 continues.
11. **"Dividend must be paid within 30 days of the AGM."** Careful — it's 30 days **from declaration** (for final, declaration is at the AGM; for interim, from the Board's declaration).
12. **Depreciation optional if profits are huge?** Never — depreciation per Schedule II is **always** mandatory before dividend (S.123(2)).
13. **Set-off of past losses.** Must set off **carried-over losses AND unprovided past depreciation** before declaring — even out of current profits (1st proviso to S.123(1)).
14. **"Consecutive" in the share-transfer rule.** The 7 years for the *share* transfer (S.124(6)) must be **unbroken** — one claim resets the clock. Distinguish from the *money* clock (7 years from each parking date).
15. **Over-generalising "reserves are voluntary."** Transfer *to* reserves is voluntary; but *withdrawal from* reserves in a lean year leaves a mandatory **15% floor** (Rule 3). Both statements are true — quote the right one for the right fact.
16. **Securities premium / CRR treated as distributable.** They are statutory reserves ring-fenced for specific uses — **never** dividend. Also strip **revaluation reserve** out of "free reserves" before any Rule 3 computation.
17. **Members vs Board — who declares which.** Final = members declare (Board recommends); interim = Board declares. Swapping these is a common slip.
18. **All four Rule 3 caps must pass, together.** Passing three and failing one still kills the dividend — find the *binding* constraint in numericals.
19. **Dividend on face value vs paid-up value.** Accrues on **paid-up** amount (S.51). Partly-paid shares are a numerical trap.

20. **S.127 exceptions overlooked.** If facts fit an exception (operation of law, shareholder's directions, dispute, lawful set-off, no company default), there is **no offence and no 18% interest** — do not mechanically convict.

9. First-Principles Recap

Rebuild the whole chapter from two seeds:

Seed 1 — Protect the creditor's cushion (capital maintenance). Because shareholders enjoy limited liability, the capital they contribute is frozen as a guarantee for creditors. Therefore dividend may leave the company **only from real, realised profit**, never from capital. From this single idea you regenerate: - pay only out of current/past **profits after depreciation** or a government guarantee (S.123(1)); - **depreciation is compulsory** (S.123(2)) — unreal profit = capital in disguise; - **free reserves exclude revaluation/notional gains** (S.2(43)) — paper profit isn't cash; - **set off past losses first** (1st proviso); - raiding reserves in a lean year is fenced by **3-10-plug-15** (Rule 3); - **deposit-defaulters can't pay dividend** (S.123(6)) — creditors before owners; - interim dividend gets the **loss-brake** (S.123(3)) because it bets on unearned profit.

Seed 2 — Once promised, the money must actually reach the shareholder (and never silently vanish into the company). A declared dividend is a **debt**. From this you regenerate: - **deposit in a separate account in 5 days** (S.123(4)) — ring-fence it; - **pay in cash within 30 days**, else criminal liability + **18%** interest (S.127); - unclaimed → **Unpaid Dividend Account in 37 days** + **12%** interest on default (S.124); - unclaimed for **7 years** → **money AND shares to IEPF** (S.124/125); - but the owner can **always reclaim** from the IEPF Authority.

The hinge between the two seeds — the declaration switch. Seed 1 governs everything *before* the switch (can we lawfully declare?); Seed 2 governs everything *after* it (a debt now exists — chase the money). The switch itself explains irrevocability, the payment clock, and the interest penalties. If you can locate any fact on the timeline — *before* the switch (real-profit gates) or *after* it (payment machinery) — you can derive the applicable rule without memorising it.

Two seeds, one hinge, two protected groups (creditors, shareholders), one border (profit out, capital in). Master the border and the switch, and the sections are inevitable, not arbitrary.

10. Quick-Revision Sheet

Key sections at a glance

Section / Rule	Deals with	One-line essence
S.2(35)	Definition	"Dividend includes interim dividend"
S.2(43)	Free reserves	Distributable reserves EXCLUDING revaluation / notional / unrealised gains
S.51	Paid-up basis	Dividend on paid-up, not face, value
S.123(1)	Sources	Current profit / past profit (after depreciation) / govt guarantee; set off past losses first; reserve transfer VOLUNTARY
S.123(2)	Depreciation	Compulsory per Schedule II before dividend (current + arrears)
Rule 3	Dividend from past reserves	3-year avg rate, 10% amount cap, plug losses, 15% reserve floor (on <i>free</i> reserves)
S.123(3)	Interim dividend	Board declares; loss-brake caps rate at 3-year average
S.123(4)	Separate account	Deposit within 5 days
S.123(5)	Mode	Cash only, to registered holder; no dividend in kind
S.123(6)	Deposit-defaulters	Cannot declare dividend while S.73/74 default continues
S.124	Unpaid dividend	Unpaid A/c in 37 days; 12% default interest; 90-day website disclosure; 7-yr rule; shares also to IEPF (7 consecutive years)
S.125	IEPF	Fund for investor education + refunds; owner can reclaim from Authority
S.126	Abeyance	Dividend parked, rights/bonus held pending transfer registration
S.127	Non-payment	Pay in 30 days else director jail up to 2 yrs + ₹1,000/day; company 18% interest; 5 exceptions

Time-limits & thresholds table

Item	Limit
Deposit dividend in separate bank account	5 days from declaration
Pay dividend to shareholder	30 days from declaration
Transfer unclaimed dividend to Unpaid Dividend A/c	37 days (30 + 7)
Publish unclaimed list on website	90 days of transfer to Unpaid Dividend A/c
Money unclaimed → transfer to IEPF	7 years from parking in Unpaid Dividend A/c
Shares → transfer to IEPF	7 consecutive years of unpaid/unclaimed dividend
Interest — failure to transfer to Unpaid Dividend A/c (S.124)	12% p.a.
Interest — failure to pay declared dividend (S.127)	18% p.a.
Rate cap on dividend from past reserves (Rule 3)	≤ average of last 3 years
Amount cap on dividend from past reserves (Rule 3)	≤ 10% of (paid-up capital + free reserves)
Minimum reserve floor after such withdrawal (Rule 3)	15% of paid-up capital
Director imprisonment for non-payment (S.127)	up to 2 years
Fine per day of default (S.127)	≥ ₹1,000/day
Compulsory transfer to reserves before dividend	NIL — voluntary under 2013 Act

15-second mnemonics

- **Sources:** "Profit now, profit before, or Government's door" (S.123(1)).
- **Reserves raid:** "3-10-plug-15" — and always on **free** reserves.
- **Timeline:** "5 to ring-fence, 30 to pay, 37 to park, 90 to publish, 7 years to IEPF."
- **Interest:** "12 for parking late, 18 for paying never."
- **The sting:** "Seven years unclaimed — money AND shares gone to IEPF (but reclaimable)."
- **The switch:** "Recommend = reversible hope; declare = irreversible debt."
- **The queue:** "Creditors before owners — always."

Confirm in the current bare Act / ICAI material: exact fine ranges under S.124(7) and S.127 (amended over time), and the precise wording of Schedule II useful lives. The principles and time-limits above are the examinable core.

Q&A — Declaration & Payment of Dividend

CA Intermediate — Corporate & Other Laws. Statute: **Companies Act, 2013**, Sections **123–127**, definitions **S.2(35)** and **S.2(43)**, and the **Companies (Declaration and Payment of Dividend) Rules, 2014**. Every answer cites the governing provision. No provision is invented.

Section A — Concept-Check Questions (with answers)

A1. Define "dividend" and state where it is defined. *Answer:* Under **S.2(35)**, "dividend" includes any interim dividend. It is not exhaustively defined; judicially it means the portion of distributable profit paid to shareholders as a return on their investment. The word derives from "dividendum" (that which is to be divided). This ties to the core idea: dividend is a **reward from real profit**, not a withdrawal of the shareholders' capital cushion.

A2. What are the three permitted sources of dividend under S.123(1)? *Answer:* Per **S.123(1)**, dividend for a financial year may be paid out of: (a) **profits of the company for that year** arrived at after providing for depreciation per S.123(2); (b) **profits for previous financial years** (accumulated after providing depreciation) remaining undistributed; or (c) **money provided by the Central/State Government** for dividend in pursuance of a guarantee. Profits from any of (a) and (b) may be used, but only after transfers to reserves the company chooses to make. This enforces **capital maintenance** — you distribute the harvest, not the seed corn.

A3. Is transfer to reserves before declaring dividend mandatory? *Answer:* No. Under the second proviso to **S.123(1)**, a company **may** (before declaring dividend) transfer such percentage of profits to reserves as it considers appropriate. The earlier mandatory transfer regime is gone; reserve transfers are now **voluntary**.

A4. Must depreciation be provided before dividend? Under which provision? *Answer:* Yes. **S.123(2)** requires depreciation to be provided in accordance with **Schedule II** before profits are treated as available for dividend. Distributing without charging depreciation would inflate profit and erode capital — the classic "eating the seed corn" fraud.

A5. Where must dividend be deposited once declared, and within what time? *Answer:* Under **S.123(4)**, the amount of declared dividend (including interim) must be **deposited in a separate bank account** within **5 days** of declaration. This ring-fences shareholders' money so it cannot be recycled into working capital.

A6. In what form must dividend be paid? Can it be paid in kind? *Answer:* Under **S.123(5)**, dividend must be paid **in cash** (or by cheque, warrant, or electronic mode) to the registered shareholder or his order. It **cannot be paid in kind**. Capitalisation of profits into bonus shares is not "dividend" and is governed separately (S.63).

A7. Who may declare interim dividend and out of what? *Answer:* Under **S.123(3)**, the **Board of Directors** may declare interim dividend during any financial year (or between year-end and AGM) out of the **surplus in the profit and loss account and/or profits of the current financial year**. If the company has incurred a loss up to the end of the quarter immediately preceding the date of declaration, the interim dividend **rate cannot exceed the average dividend declared in the immediately preceding three financial years**.

A8. A company has defaulted on repayment of deposits. Can it declare dividend? *Answer:* No. Under **S.123(6)**, a company that has **failed to comply with S.73 (acceptance of deposits) and S.74 (repayment**

of deposits) shall **not declare any dividend** so long as the default continues. This is a "clean hands" gate — creditor obligations outrank shareholder rewards.

A9. What happens to dividend that remains unpaid or unclaimed after 30 days? *Answer:* Under **S.124(1)**, if declared dividend is not paid/claimed within **30 days** of declaration, the company must, within **7 days** after those 30 days (i.e., by day 37), transfer the unpaid amount to a special account called the **"Unpaid Dividend Account"** opened in a scheduled bank.

A10. When does unpaid dividend move to the IEPF, and what else moves with it? *Answer:* Under **S.124(5)**, money in the Unpaid Dividend Account that remains unpaid/unclaimed for **7 years** from the date of transfer to that account is transferred to the **Investor Education and Protection Fund (IEPF)**. Under **S.124(6)**, the **underlying shares** on which dividend has not been claimed for 7 consecutive years are also transferred to the IEPF.

A11. Can a shareholder recover money once it goes to the IEPF? *Answer:* Yes. Under **S.125(3)** read with the IEPF Rules, a claimant may apply to the IEPF Authority to reclaim the amount/shares transferred. Transfer to IEPF is not forfeiture — the shareholder's claim survives.

A12. What is the penalty for failure to pay declared dividend within 30 days? *Answer:* Under **S.127**, where a dividend has been declared but not paid/warrant not posted within **30 days**, every director knowingly a party to the default is punishable with **imprisonment up to 2 years and fine not less than Rs. 1,000 per day** during default, and the company is liable to pay **interest at 18% p.a.** during the period of default.

Section B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. Depreciation skipped to show profit. *Facts:* Alpha Ltd earned an operating surplus of Rs. 50 lakh but did not charge depreciation of Rs. 20 lakh, and declared dividend on the Rs. 50 lakh "profit". *Analysis:* **S.123(2)** mandates depreciation per Schedule II before profit is available for dividend. True distributable profit is Rs. 30 lakh, not Rs. 50 lakh. Declaring on the un-depreciated figure distributes capital. *Conclusion:* The declaration is **not in accordance with S.123(1)/(2)**; dividend may only be paid on profit after providing Rs. 20 lakh depreciation.

B2. Dividend out of past reserves in a loss year. *Facts:* Beta Ltd earns no profit this year but wishes to declare dividend out of accumulated free reserves. Its rate history and reserves must be tested. *Analysis:* **Rule 3** of the Dividend Rules permits dividend out of accumulated profits transferred to free reserves, subject to conditions: (i) the **rate shall not exceed the average of the rates of the three immediately preceding years**; (ii) total amount drawn **shall not exceed 1/10th (10%) of paid-up capital + free reserves**; (iii) the drawn amount is first used to **set off the current year's loss**; and (iv) the balance of reserves after withdrawal **shall not fall below 15% of paid-up share capital**. (Condition (i) does not apply to a company that has not declared dividend in each of the three preceding years.) *Conclusion:* Beta may declare only if all four limbs — **3-year-average rate, 10% ceiling, loss set-off, and 15% floor** — are satisfied.

B3. Interim dividend after a loss-making quarter. *Facts:* Gamma Ltd's Board wants to declare interim dividend in Q3, but the company incurred a loss during the current financial year up to the end of Q2. Its average dividend over the last three years was 12%. The Board proposes 15%. *Analysis:* Under the proviso to **S.123(3)**, where the company has incurred a loss during the current FY up to the end of the quarter

immediately preceding the date of declaration, the interim dividend rate **cannot exceed the average dividend declared during the immediately preceding three financial years** (12%). *Conclusion:* The 15% proposal is **invalid**; interim dividend cannot exceed **12%**.

B4. Deposit default but strong profits. *Facts:* Delta Ltd has robust profits but has failed to repay matured public deposits under S.74. It proposes to declare a 20% dividend. *Analysis:* **S.123(6)** bars any company that has failed to comply with S.73 and S.74 from declaring dividend while the default subsists, regardless of profitability. *Conclusion:* Delta **cannot declare any dividend** until the deposit default is fully cured.

B5. Unclaimed dividend not transferred. *Facts:* Epsilon Ltd declared dividend on 1 April; by 1 May, Rs. 3 lakh remained unclaimed. The company kept the money in its current account and used it for operations. *Analysis:* Under **S.124(1)**, the unpaid Rs. 3 lakh had to be transferred to a **Unpaid Dividend Account** within 7 days after the 30-day period (by ~7 May). Under **S.124(3)**, if not transferred, the company must pay **interest at 12% p.a.** on the amount, and the interest enures to the members. Using the money as working capital breaches the ring-fencing under S.123(4)/124. *Conclusion:* Epsilon is in default of **S.124(1)**, liable for **12% interest** under **S.124(3)**, and officers face penalties under **S.124(7)**.

Section C — Past-Paper-Style Descriptive Questions (model answers)

C1. "Dividend can only be paid out of profits." Discuss the sources of dividend under the Companies Act, 2013. *Answer:* **S.123(1)** codifies three sources: (a) **current year's profits** after providing depreciation under **S.123(2)** (Schedule II); (b) **undistributed profits of previous years** transferred to reserves; and (c) **money provided by Government** under a guarantee. The second proviso makes transfer to reserves **voluntary**. Where profits are inadequate/absent, **Rule 3** allows drawing from free reserves subject to the **3-10-15** discipline: rate not exceeding the **3-year average**, withdrawal capped at **10% of (paid-up capital + free reserves)**, and residual reserves not below **15% of paid-up capital**, with the sum first applied to set off current-year losses. Underlying all this is **capital maintenance** — dividend rewards real profit and must never return capital to members ahead of creditors, which is the price of **limited liability**.

C2. Explain the statutory scheme for unpaid/unclaimed dividend and the IEPF (S.124–S.125). *Answer:* **S.124(1)**: unpaid/unclaimed dividend must be moved to an **Unpaid Dividend Account** within **7 days** after the **30-day** payment window. **S.124(2)**: the company must, within 90 days, place a statement of unclaimed amounts on its website and the IEPF/MCA website. **S.124(3)**: default in transfer attracts **12% p.a. interest** for members' benefit. **S.124(5)**: amounts unclaimed for **7 years** in that account go to the **IEPF**. **S.124(6)**: the **shares** underlying 7-year unclaimed dividends are transferred to the IEPF (a nominee mechanism). **S.125** establishes the **IEPF**, credits to it, and its uses (refunds to claimants, investor education, etc.), with a claimant's right to reclaim under **S.125(3)**. The philosophy: unclaimed money is stewarded, never confiscated.

C3. Distinguish interim dividend from final dividend and state the safeguards on interim dividend (S.123(3)). *Answer:* A **final dividend** is recommended by the Board and **declared by members** in the AGM; an **interim dividend** is declared **by the Board** between two AGMs under **S.123(3)**. Sources of interim dividend are the **surplus in the P&L account and current-year profits**. Safeguard: if the company has **incurred a loss during the current FY up to the end of the preceding quarter**, interim dividend rate cannot exceed the **average dividend of the preceding three years**. Both interim and final dividends must be **deposited in a separate account within 5 days (S.123(4))**, paid **in cash (S.123(5))**, and paid within **30 days (S.127)**.

C4. State the consequences of failure to distribute declared dividend within 30 days (S.127) and the exceptions. *Answer:* Under **S.127**, on failure to pay declared dividend or post the warrant within **30 days**, every defaulting director faces **imprisonment up to 2 years and fine of at least Rs. 1,000/day** during default, and the company pays **interest at 18% p.a.** **Exceptions (provisos):** no offence if (a) non-payment is due to **operation of law**; (b) a shareholder has given **directions that could not be complied with** and this was communicated; (c) there is a **dispute over entitlement**; (d) the dividend was **lawfully adjusted** against a sum due from the shareholder; or (e) the default was **not due to any fault of the company**.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

- D1.** Declared dividend must be deposited in a separate bank account within — A) 30 days B) 7 days C) 5 days D) 90 days **Answer: C.** S.123(4) requires deposit within **5 days** of declaration.
- D2.** Unpaid dividend is transferred to the Unpaid Dividend Account within — A) 7 days of declaration B) 7 days after the 30-day period C) 30 days after 7 days D) 90 days **Answer: B.** S.124(1) — transfer within 7 days after the 30-day window (day 37).
- D3.** Shares are transferred to IEPF when dividend is unclaimed for — A) 3 years B) 5 years C) 7 consecutive years D) 10 years **Answer: C.** S.124(6) — 7 consecutive years of unclaimed dividend.
- D4.** Interest payable by the company for failure to distribute declared dividend within 30 days (S.127) is — A) 12% B) 15% C) 18% D) 24% **Answer: C.** S.127 fixes interest at **18% p.a.**
- D5.** Interest for failure to transfer unpaid dividend to the Unpaid Dividend Account (S.124(3)) is — A) 12% p.a. for members B) 18% p.a. C) 9% p.a. D) No interest **Answer: A.** S.124(3) — **12% p.a.**, enuring to the members.
- D6.** Under Rule 3, reserves remaining after withdrawal for dividend must not fall below — A) 10% of paid-up capital B) 15% of paid-up capital C) 25% of free reserves D) 5% of turnover **Answer: B.** Rule 3 — residual free reserves must be at least **15% of paid-up share capital**.
- D7.** Dividend may be paid in — A) Cash only (incl. cheque/warrant/electronic) B) Kind C) Bonus shares D) Any mode the Board chooses **Answer: A.** S.123(5) — payable **in cash**, not in kind.
- D8. Case scenario:** Zeta Ltd defaulted under S.73 on repayment of deposits and simultaneously had large profits. It declared dividend. Which provision is breached? A) S.123(2) B) S.123(4) C) S.123(6) D) S.127 **Answer: C.** S.123(6) prohibits dividend while a deposit default (S.73/S.74) subsists.
- D9. Case scenario:** A shareholder is untraceable and dividend stays unclaimed for 7 years in the Unpaid Dividend Account. What happens? A) It is forfeited B) It goes to IEPF but remains claimable C) It reverts to the company D) It is paid to directors **Answer: B.** S.124(5) + S.125(3) — transferred to IEPF but the member may reclaim.
- D10.** "Dividend includes any interim dividend" is stated in — A) S.2(43) B) S.2(35) C) S.123(3) D) S.2(31) **Answer: B.** S.2(35) defines "dividend" to include interim dividend. (S.2(43) defines "free reserves".)
-

Procedure — Mermaid Diagrams

Diagram 1: Declaration to payment timeline

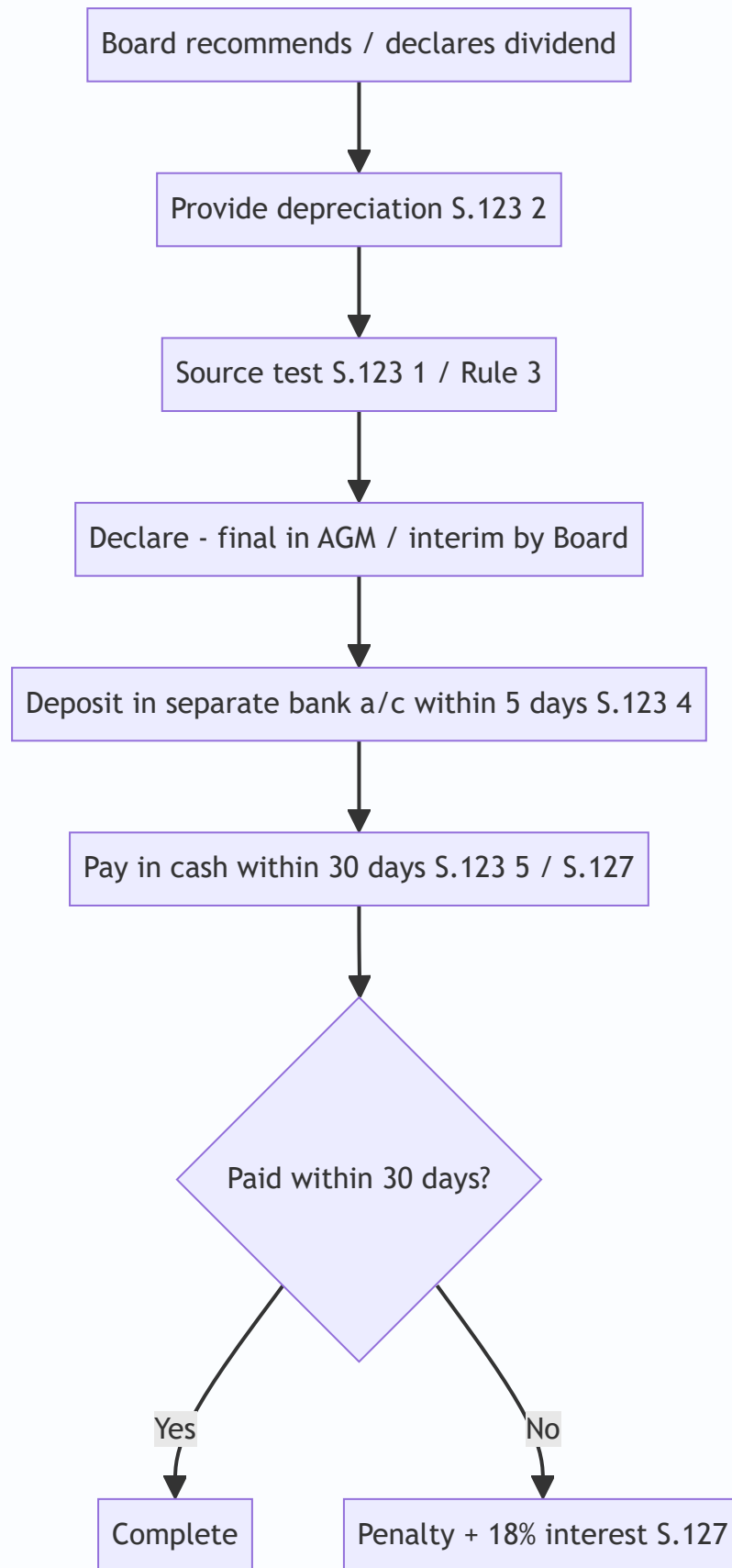


Diagram 2: Unpaid dividend to IEPF

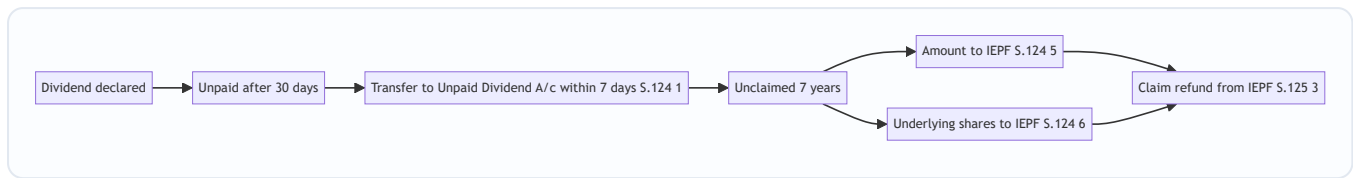


Diagram 3: Rule 3 dividend-out-of-reserves test

Inadequate/no profit

Rate $\leq$ 3-yr average?

Yes

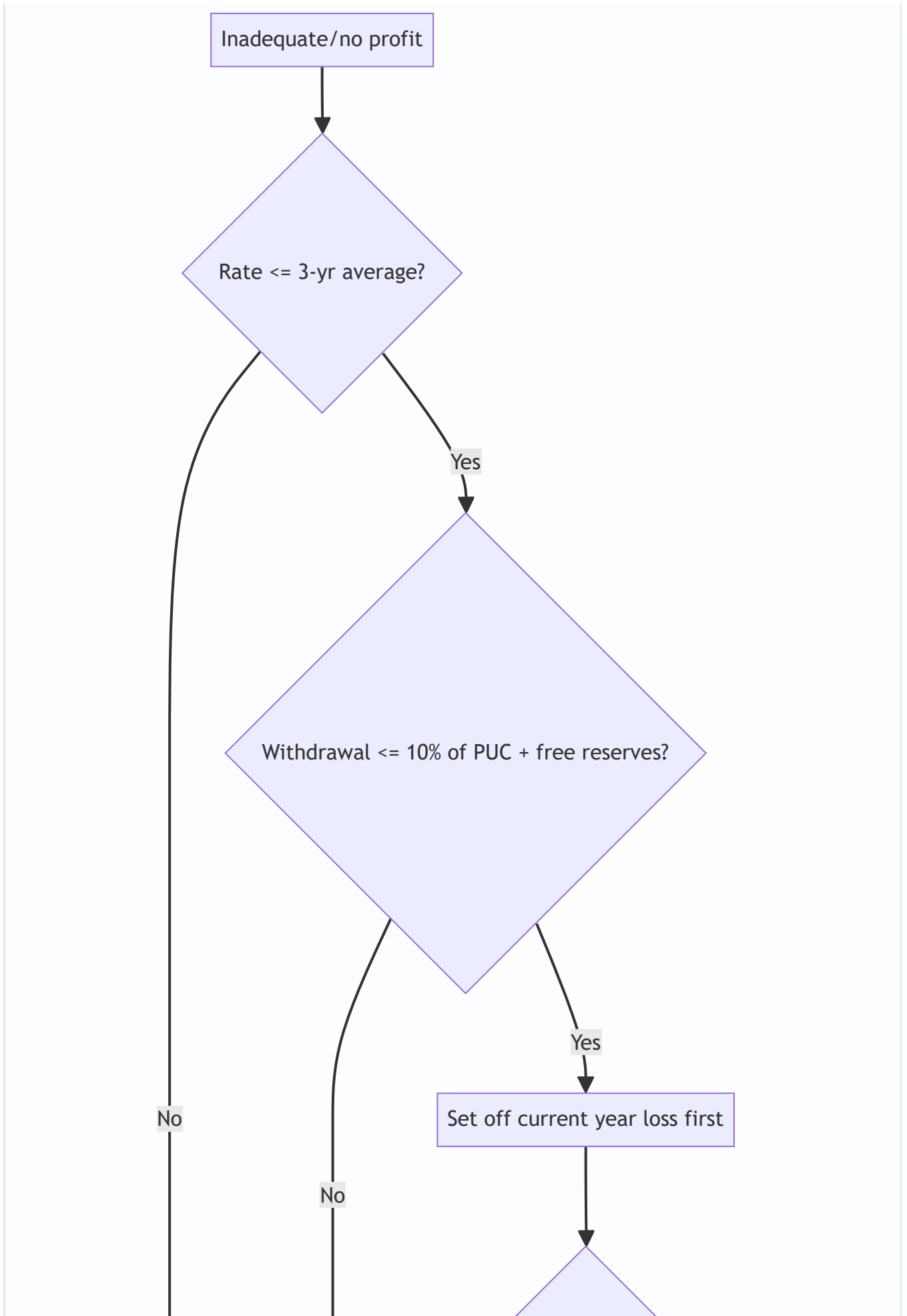
Withdrawal $\leq$ 10% of PUC + free reserves?

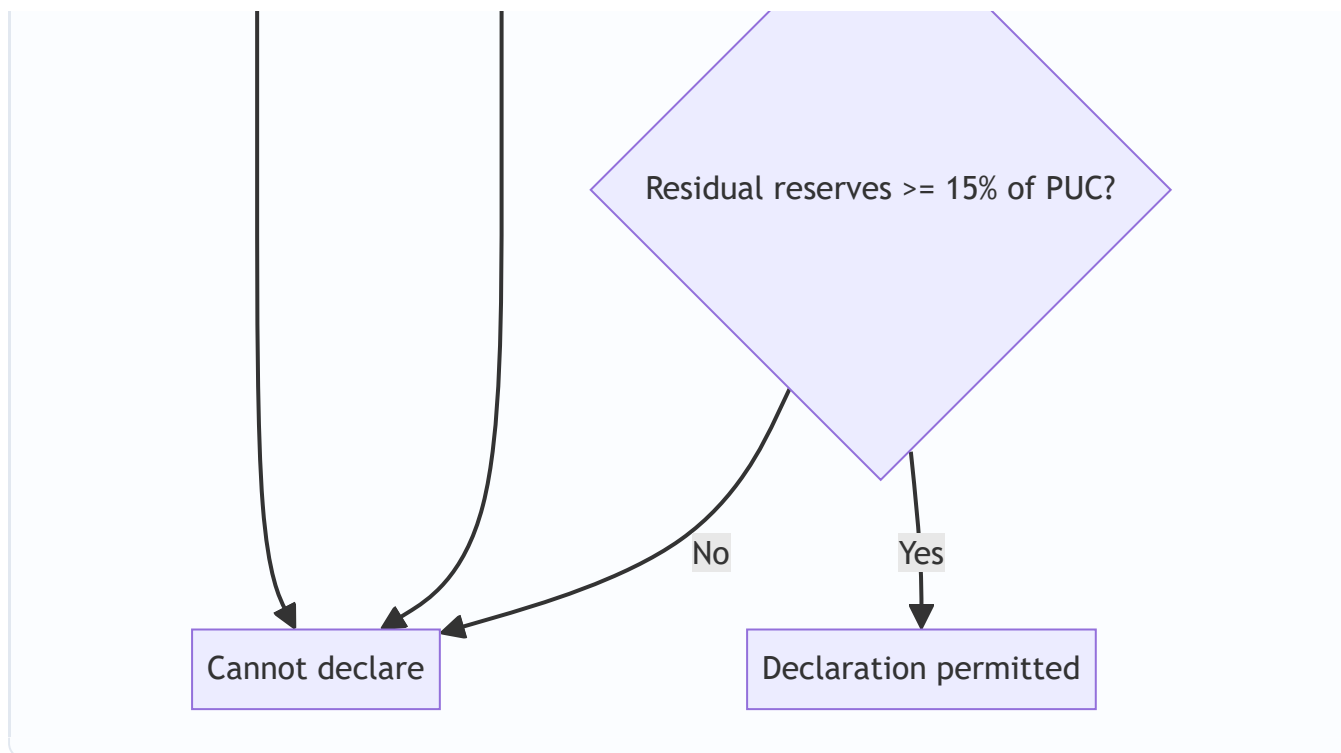
Yes

Set off current year loss first

No

No





Traps & Examiner Tricks (quick hits)

1. **Depreciation is mandatory (S.123(2)) but reserve transfer is voluntary** — don't reverse these.
2. **5 days** = deposit in separate account; **30 days** = pay; **37 days (7 after 30)** = Unpaid Dividend Account. Don't confuse the three clocks.
3. **7 years** unclaimed → IEPF (amount **and** shares) — not 3 or 5.
4. **S.124(3) interest = 12%** (delayed transfer to Unpaid A/c) vs **S.127 interest = 18%** (delayed payment to member). Different rates, different defaults.
5. **Rule 3 numbers: 3 (avg rate), 10% (ceiling), 15% (floor)** — plug in exactly.
6. **Deposit default (S.123(6)) is an absolute bar** — profitability is irrelevant.
7. **Dividend is cash only (S.123(5))** — "dividend in kind" is a trap; bonus shares are S.63, not dividend.
8. **Interim dividend is declared by the Board (S.123(3))**, final dividend by members in AGM — a common mix-up.
9. **Interim dividend loss-quarter cap** = 3-year average rate — students forget this proviso.
10. **Transfer to IEPF is not forfeiture** — the member retains a right to reclaim (S.125(3)).
11. **S.126 (abeyance)**: where shares are subject to a registration/transfer dispute, dividend is **kept in abeyance / transferred to Unpaid Dividend Account** pending resolution — not paid to the transferor by default.
12. **"Profits" for dividend need not equal book profits** — they are post-depreciation, post-set-off distributable profits.
13. **S.127 exceptions** (operation of law, shareholder's un-compliable directions, disputed entitlement, lawful adjustment, no fault of company) — cite them, don't assume the penalty is automatic.

First-Principles Recap — Two Seeds

- **Seed 1 — Distribute the harvest, never the seed corn.** Dividend flows only from *real, post-depreciation profit* (S.123(1)/(2)); paying out of capital would let owners escape with the cushion that protects creditors. This is **capital maintenance**, the quid pro quo for **limited liability**.
- **Seed 2 — Shareholders' money, once declared, is held in trust.** Ring-fencing (S.123(4)), cash-only payment (S.123(5)), the Unpaid Dividend Account and IEPF (S.124–125), abeyance (S.126) and penalties (S.127) all exist so that a declared dividend reaches the right owner and is never quietly recycled or forfeited.

Quick-Revision Sheet

Key Sections Table

Section	Subject
S.2(35)	Definition of "dividend" (includes interim)
S.2(43)	Definition of "free reserves"
S.123(1)	Sources of dividend
S.123(2)	Depreciation before dividend (Schedule II)
S.123(3)	Interim dividend by Board; loss-quarter cap
S.123(4)	Deposit in separate account within 5 days
S.123(5)	Dividend payable in cash only
S.123(6)	Bar on dividend during deposit default (S.73/74)
Rule 3	Dividend out of reserves — 3 / 10% / 15%
S.124	Unpaid Dividend Account and IEPF transfer
S.125	Investor Education and Protection Fund; refunds
S.126	Right to dividend kept in abeyance (disputed shares)
S.127	Penalty for non-payment within 30 days; 18% interest

Time-Limits / Thresholds Table

Trigger	Limit	Provision
Deposit in separate bank account	5 days of declaration	S.123(4)
Pay dividend to member	30 days of declaration	S.127
Transfer unpaid to Unpaid Dividend A/c	7 days after the 30-day window	S.124(1)
Interest for delayed transfer to Unpaid A/c	12% p.a. (for members)	S.124(3)
Publish unclaimed statement	within 90 days	S.124(2)
Unclaimed → IEPF (amount + shares)	7 years	S.124(5)/(6)
Interest for non-payment to member	18% p.a.	S.127
Reserve-withdrawal rate cap	3-year average rate	Rule 3
Reserve-withdrawal amount cap	10% of (PUC + free reserves)	Rule 3
Residual reserves floor	15% of paid-up capital	Rule 3

Chapter 09 — Accounts of Companies

Chapter IX of the Companies Act 2013 — Sections 128 to 138. The chapter that turns a company from a private black box into a place a stranger can safely lend to, invest in, or regulate.

1. The Problem — Why Would Anyone Trust a Company They Cannot See Inside?

A company is a legal fiction. It has no conscience, no fear of hell, and — crucially — **limited liability**. The people who run it (the Board) are almost never the people who fund it (thousands of scattered shareholders and lenders). This split between **management and ownership** is the original sin that the entire law of accounts exists to police.

Left unregulated, here is exactly how people cheated:

- **The vanishing books.** A director who kept the books in his own head, or in a locked drawer, or destroyed them the night before an inspection, could deny a fraud ever happened. No records, no proof, no liability.
- **The rosy picture.** Management could paint the company as wildly profitable to keep the share price up, keep drawing salaries and dividends, and keep lenders lending — right up to the morning it collapses. Investors lose money they were *lured* into.
- **The invisible subsidiary trick.** A parent company would shove its losses, its debts, its garbage into a subsidiary and show only the clean parent to the world. The group is rotten but each individual balance sheet looks fine. (Enron did exactly this with "special purpose entities.")
- **The controls that never existed.** Cash walks out, purchases are inflated to pay kickbacks, sales are invented — all because no one built a *system* to catch it, and no one was accountable for the absence of that system.
- **The company that took society's resources and gave nothing back.** Large, profitable companies use public infrastructure, public goods, public trust — and historically returned zero to the society that enabled them.

Every section from 128 to 138 is a **fix for one of these specific abuses**. Do not memorise them as a list. Read each as a plugged loophole.

The famous frauds behind this chapter — **Satyam (2009)** in India (₹7,000+ crore of fictitious cash and fabricated books) and **Enron/WorldCom** globally — are the reason Parliament tightened accounts, controls, and created a super-regulator (NFRA). Satyam is *why* internal financial controls and NFRA exist in their current form.

The deeper first-principle — information asymmetry. Economists have a name for the original sin: *information asymmetry*. The manager knows the true state of the company; the outside investor does not. Left alone, this asymmetry produces two failures. First, **adverse selection** — if investors cannot tell good companies from bad, they price *every* company as average, which drives honest companies out of the market and leaves it to the liars (the "market for lemons"). Second, **moral hazard** — once you have my money, you have every incentive to take risks or siphon value because the downside is mostly mine. The law of accounts is a machine for *shrinking the asymmetry*: mandatory books shrink it, standardised true-and-fair statements

shrink it, named signatures shrink it, an independent auditor and regulator shrink it. Read Chapter IX as one long war on information asymmetry and every rule suddenly has an obvious purpose.

Why the State, and not the market, fixes this. A natural objection: if disclosure is valuable, companies would disclose voluntarily to attract cheaper capital, and the market would reward transparency. Partly true — but disclosure is a *public good*. One honest company's disclosure benefits the whole market (comparability), yet costs that one company alone, so each individually under-provides it, and the *format* would fragment (everyone inventing their own "profit"). Worse, the party who decides whether to disclose is the very party who profits from hiding. Only a mandatory, standardised, enforced regime solves a collective-action problem of this shape. That is the jurisprudential reason accounts law is *compulsory* rather than *contractual*.

2. The Core Idea — "Record It, Present It Truthfully, Prove You Controlled It, Give Back, and Let a Watchdog Check."

Strip the chapter to one sentence and it says:

A company must keep honest books (128), turn them into a true-and-fair public statement signed by accountable humans (129 + 134), prove it had systems to prevent lies (134 IFC + 143 auditor check), share its surplus with society if it is large (135 CSR), and submit to an independent quality regulator (132 NFRA) — with everything ultimately *filed* on public record.

The five moves, in order of the information's life:

Move	Section	What it forces
1. Capture the truth	128	Keep proper books of account, accrual + double-entry, for 8 years
2. Present the truth	129, 133	True-and-fair financial statements per notified accounting standards
3. Consolidate the truth	129(3)	If you have subsidiaries, show the <i>whole group</i> , not just the clean parent
4. Own the truth	134	Board must sign, report, and declare its internal controls
5. Give back from the truth	135	Large companies must spend 2% on CSR
6. Police the truth	132 (NFRA), 137/138	Independent regulator + mandatory filing + internal audit

Everything else is detail hanging off this skeleton.

The information supply chain — a mental model. Think of financial information as a product moving down an assembly line, where each section is a *quality gate* that the product must pass before moving on:

Transactions → [128 books] → [129/133 statements] → [134 Board owns and signs] → [143 auditor independently checks] → [136 members receive] → [137 public filing] → [132 regulator spot-checks the checkers].

If any gate is weak, everything downstream is contaminated — false books (128) poison the statements (129), which poison the audit (143), which mislead members (136) and the public (137). This is *why* the sections are studied together and *why* the penalties escalate as you move downstream: a lie caught at the books stage is an error; the same lie that survives to the public-filing stage is a fraud that has already deceived the market.

3. Why It's Built This Way — The Design Logic

Why *mandatory* and not *voluntary*? Because the people who benefit from lying (management) are the very people who would choose whether to disclose. You can never let the fox decide whether to install the henhouse camera. So the law removes discretion.

Why *accrual and double-entry* (128)? Cash accounting hides the truth beautifully — you can look rich simply by not paying your bills yet. Accrual forces you to recognise a liability the moment it arises, and double-entry means every rupee has a source and a use, so fabrication requires *two* consistent lies, not one. Harder to cook.

Why *true and fair* rather than merely "*correct*" (129)? "Correct" invites malicious compliance — technically-accurate numbers arranged to mislead. "True and fair" is a *higher, purposive* standard: the overall impression must not deceive. It defeats the letter-of-the-law cheat.

Why *make specific humans sign* (134)? A statement no one signs is a statement no one can be jailed for. Signatures convert "the company misled us" (unpunishable abstraction) into "*you*, Chairman, and *you*, CFO, certified this" (a defendant).

Why *consolidation* (129(3))? Because economic reality follows control, not legal boundaries. If you control it, its losses are your losses. Consolidation refuses to let a corporate group hide behind the separate legal personality of its own subsidiaries.

Why *CSR as law* (135)? India is the first major economy to make CSR statutorily mandatory (with teeth). The logic: large companies extract enormous value from society and the commons; a modest, transparent 2% giveback, *governed and disclosed*, is the price of that licence. Making it "comply-or-explain," and later "comply-or-transfer-and-explain," stops it being empty PR.

Why *a separate NFRA* (132)? Because the accounting profession policing itself (ICAI) has an inherent conflict — auditors are members, and members were signing off on frauds like Satyam. An *independent* regulator with the power to investigate and debar breaks that cosy circle for the largest, most systemically-important companies.

Why *retention for 8 years rather than forever* (128)? Two opposing forces meet at "8." Push it too short and a fraud that surfaces years later becomes unprovable. Push it to "forever" and you impose an unbounded storage cost on every honest company for the sake of the rare late fraud. Eight years is Parliament's balance point — long enough to survive most limitation periods and investigation cycles, short enough to be a finite burden. And the moment the law *is actively looking* (an investigation is ordered), the

ceiling lifts: the Central Government can extend retention, because now the marginal record could be the missing evidence.

Why thresholds everywhere (135 CSR, 138 internal audit, 132 NFRA)? Every one of these obligations is *costly* — a CSR committee, an internal-audit function, NFRA scrutiny. The law applies each burden only where the *stakes* justify the *cost*: large net worth, large turnover, large borrowings, public listing. Below the line, a lighter regime (or the annual statutory audit alone) is deemed proportionate. This is the recurring "proportionality" logic — memorise the *shape* (size triggers heavier duty) and the specific numbers become easier to place.

Why penalties shifted from imprisonment to money (2019/2020 amendments)? Parliament decriminalised many *procedural, non-fraudulent* defaults (late filing, technical non-compliance) to unclog courts and improve ease-of-doing-business, while *retaining* criminal liability where dishonesty/fraud is present. The design principle: reserve jail for *lying*, use monetary and per-day penalties for *lateness and sloppiness*. This is why 128 (false/absent books, close to fraud) still carries imprisonment, while 137 (late filing) is a fine-plus-per-day regime.

4. Full Technical Content — Section by Section, Each Wrapped in Its Why

Section 128 — Books of Account

The abuse it kills: the vanishing/incomplete/one-sided books. If records can be sloppy, absent, or destroyed, fraud is unprovable.

Definition (read with Sec 2(13)): "Books of account" includes records of all sums received and expended, all sales and purchases of goods and services, assets and liabilities, and (for prescribed companies) cost records under Sec 148.

What 128 requires: - Every company shall **keep proper books of account** giving a **true and fair view** of its affairs, **including its branches**. - Kept on **accrual basis** and according to the **double-entry** system. (*Why: as explained — hardest to fabricate.*) - Kept at the **registered office**. (*Why: a fixed, known, regulator-reachable location.*) - May be kept at **another place in India** if the Board so decides — but the company must **file a notice with the Registrar (ROC) in writing within 7 days** giving the full address. (*Why: flexibility, but the regulator must always know where to find them.*)

Branch offices (128(2)): where a company has a branch (in India or abroad), it is deemed to comply if *proper books relating to the branch's transactions* are kept at the branch and **summarised returns are sent periodically to the registered office** (or the other place where books are kept). (*Why: you cannot run a global operation with every ledger physically at one desk, but the head office must still be able to see and consolidate the whole.*)

Right of inspection (128(3)–(4)): the books and other papers shall be **open to inspection by any director** during business hours. For *financial information maintained outside India*, the director's inspection right is exercised by making a **request** in the prescribed manner (Rule 4 — the summarised financial info must be produced within a period, not instantly, and inspection is by the director *in person*, not by proxy/agent, unless authorised). (*Why the friction on foreign records: balance a director's oversight right against the practical reality of overseas storage — but never let "it's abroad" become a permanent shield.*) **Trap:** the inspection right is the *director's*; a member/shareholder has **no** general right under 128 to inspect the books of account.

Electronic mode (Rule 3): Books may be kept in electronic form. They must: - remain **accessible in India** so as to be usable for subsequent reference; - be **retained completely in the format in which originally generated** (or a converted format not altering accuracy); - have information **capable of being displayed in legible form**; - maintain a **proper system for storage, retrieval, display or printout** and not be disposed of/rendered unusable unless permitted by law; - have **back-ups kept on servers physically located in India** on a **periodic basis** (as prescribed — daily back-up under current Rules; verify current ICAI material); - and the company must **intimate the ROC annually** (at the time of filing financial statements) the name/address of the **service provider**, the **IP address**, and the **location of the service provider/servers**. *(Why: to stop the "the server is offshore, we cannot produce records" dodge and to know exactly where the data physically lives.)*

Retention period — the number to memorise: books together with vouchers must be preserved in good order for **not less than 8 financial years** immediately preceding the current year. If the company had been in existence for **less than 8 years**, then for **all preceding years**. If an **investigation** has been ordered under Chapter XIV, the Central Government may direct retention for **longer**. *(Why 8? Long enough to cover the limitation and investigation window; longer if the law is actively looking.)*

Who is responsible (the "officer in default"): the **Managing Director, the whole-time director in charge of finance, the Chief Financial Officer (CFO)**, or any other person of the company charged by the Board with the duty of complying with 128. *(Why name them: no anonymous blame — the persons charged with the duty are the defendants, so a company cannot leave the role vacant to create deniability.)*

Penalty for contravention: the responsible persons are punishable with **imprisonment up to 1 year, or fine of ₹50,000 up to ₹5,00,000, or both**. *(A rare provision carrying imprisonment — signalling how central honest books are; note this was not decriminalised in 2019/2020 precisely because absent/false books sit next to fraud.)*

Finer distinction — books of account vs "books and papers" vs "financial statements." These three are not synonyms and the examiner exploits it. *Books of account* (2(13)) are the primary transaction records (cash, sales, purchases, assets, liabilities, cost records). *Books and papers* (2(12)) is a **wider** set — includes books of account, deeds, vouchers, writings, documents, minutes and registers *in any form*. *Financial statements* (2(40)) are the **output** — the balance sheet, P&L, cash flow, etc. Sequence: books and papers $\supset$ books of account $\rightarrow$ financial statements.

Memory hook — "128 = the foundation stone." 1-2-8 $\rightarrow$ keep it at 1 place (registered office), for a minimum retention, prove it in India. Everything downstream is built on these books being real.

Section 129 — Financial Statements

The abuse it kills: the rosy-picture and the invisible-subsidary tricks.

"Financial statements" (Sec 2(40)) includes: (i) **Balance Sheet**, (ii) **Statement of Profit and Loss** (or Income & Expenditure account for non-profit-oriented), (iii) **Cash Flow Statement**, (iv) **Statement of Changes in Equity** (if applicable), and (v) any explanatory note annexed to, or forming part of, the above — i.e. the **Notes**. *(Exemption: a One Person Company, small company, dormant company, and specified private company/start-up need NOT include a Cash Flow Statement.)*

(Why the cash-flow exemption for the small: a cash-flow statement is disproportionately burdensome for a tiny company, and its creditors are few and close. Proportionality again.)

Core mandate of 129(1): - Financial statements shall give a **true and fair view** of the state of affairs. - Shall **comply with the accounting standards** notified under **Sec 133**. - Shall be in the **form(s) in Schedule III**.

(The "true and fair" + "accounting standards" + "prescribed form" trio is the anti-manipulation lock: you cannot invent your own favourable presentation.)

The disclosure-vs-secrecy carve-out (proviso to 129(1)): insurance, banking, and companies generating/supplying electricity, and any other class governed by a special Act, follow the forms prescribed by *that Act* — and 129 does not, in respect of those items, force Schedule III. *(Why: where a specialised regulator (IRDAI, RBI) already prescribes a form suited to that industry's risks, a one-size-fits-all would be worse, not better.)* **Trap:** the carve-out does not exempt these companies from *true and fair* — it only changes the *form*.

129(2): the Board shall **lay** the financial statements before the company at **every AGM**. *(Links to Sec 96 AGM and to the 136/137 clocks.)*

129(3)–(4) — Consolidated Financial Statements (CFS): - Where a company has one or more **subsidiaries, associates, or joint ventures**, it shall **prepare a consolidated financial statement** of the company **and all** subsidiaries/associates/JVs, in the same form and manner as its own, laid before the AGM **in addition to** its standalone statements. *(Why: show the whole group; kill the hide-losses-in-a-sub trick.)* - The Explanation clarifies that "subsidiary" here **includes associate and joint venture** for consolidation purposes. - A separate statement (**Form AOC-1**) containing the salient features of each subsidiary/associate/JV's financials must be attached. - **Manner of consolidation:** in accordance with Schedule III and the applicable accounting standards (**AS 21/23/27** or **Ind AS 110/111/28** depending on the framework). *(You need only know which standards govern; the mechanics belong to Accounting/FR.)*

Rule 6 relaxations from CFS (Companies (Accounts) Rules) — the fine print examiners love: a company need not prepare CFS if it meets **all** of: (a) it is a **wholly-owned subsidiary**, or a partially-owned subsidiary of another company and *all its other members* (including those not otherwise entitled to vote) have been **intimated in writing and do not object**; (b) it is **not listed / not in the process of listing** in India or abroad; and (c) its **ultimate or intermediate holding company files CFS** with the ROC in compliance with the applicable standards. *(Why: avoid pointless duplicate consolidation when a parent already consolidates the very same numbers.)* There is also a relaxation for a company that has **only associates/JVs and no subsidiary** in certain circumstances — *verify current Rule 6 wording in ICAI material, as this has been amended.*

129(5): If the financial statements **do not comply** with accounting standards, the company must **disclose in its financial statements the deviation, the reasons, and the financial effect** arising from the deviation. *(Why: forced confession beats silent non-compliance — the deviation becomes visible and quantified, not hidden.)*

129(6): the Central Government may, on its own or on application, **exempt any class of companies** from any requirement of 129 in the public interest. *(An escape valve for genuinely special cases — but a government decision, not a self-serve exemption.)*

129(7) — Penalty: the MD/WTM in charge of finance/CFO/any other person charged with compliance is punishable with **imprisonment up to 1 year, or fine ₹50,000 to ₹5,00,000, or both**, for failing to comply with 129. *(Retains imprisonment — false presentation is close to fraud.)*

Note / confirm in bare Act: exact CFS applicability for a company with *only* associates/JVs (no subsidiary) and the small-company CFS relaxations are subject to Rule 6 of the Companies (Accounts) Rules — confirm current exemptions in ICAI material.

Section 133 — Central Government Prescribes Accounting Standards

The abuse it kills: every company inventing its own "accounting method" so numbers are non-comparable and manipulable.

- The Central Government **prescribes the accounting standards** recommended by **ICAI** in consultation with and after examination by the **National Financial Reporting Authority (NFRA)**. *(Why the chain: professional expertise (ICAI) + independent oversight (NFRA) + legal force (CG). No single body controls the rules.)*
- These are the **AS / Ind AS** you apply. *(A common, mandatory yardstick makes companies comparable and lies detectable.)*

AS vs Ind AS — which company applies which (know the map, not the paragraphs): the *Companies (Indian Accounting Standards) Rules 2015* create a phased roadmap. Broadly: **Ind AS** (converged with IFRS) applies **mandatorily** to listed companies and large companies above net-worth thresholds (₹250 crore and their holding/subsidiary/associate/JV companies), and to all banks/NBFCs/insurers per their own roadmaps; **AS** (the older standards) continue for the rest. *(Why a roadmap rather than a big-bang: forcing every small company onto complex IFRS-converged standards overnight would be ruinous; the law converges the large and listed first, where global comparability matters most.)* **Exam tip:** you are unlikely to be tested on exact Ind AS applicability dates in Law — but know that **133 is the hook** on which the whole AS/Ind AS edifice hangs, and that the *legal force* of a standard comes from the CG's notification under 133, not from ICAI recommending it.

(Deeper why — the separation of powers in standard-setting: ICAI recommends (expertise), NFRA examines (independent quality check), the CG notifies (democratic/legal legitimacy). No actor can both write the rules and escape scrutiny — the same anti-self-dealing design that runs through the whole chapter.)

Section 134 — Financial Statement, Board's Report, and the Directors' Responsibility Statement

The abuse it kills: the unsigned, unaccountable statement — and management pretending they had controls when they had none.

134(1) — Signing (authentication): - Financial statements, including consolidated ones, must be **approved by the Board** and signed on behalf of the Board by: - the **Chairperson** (if authorised by the Board) **OR** by **two directors**, one of whom shall be the **Managing Director**, and - the **CEO** (if he is a director), the **CFO**, and the **Company Secretary**, wherever they are appointed. - For a **One Person Company**, signature by **one director** suffices.

(Why the multiple signatures: spread accountability across the people who actually run and account for the company. You cannot all claim ignorance.)

Sequence trap (very commonly tested): the correct order is (i) financial statements are **approved by the Board** → (ii) then **signed/authenticated** by the requisite persons → (iii) then the **auditor makes his report**

on them → (iv) then they are **issued/circulated/laid**. The auditor reports on statements *already authenticated* by the Board — you cannot flip the order.

134(2): the **auditor's report** shall be attached to every financial statement.

134(3) — The Board's Report must be attached to the financial statements and must include, among many items: - the **web-address**, if any, where the annual return has been placed (post-amendment this replaced the earlier "extract of annual return MGT-9") — *verify current ICAI position*, - number of **Board meetings**, - **Directors' Responsibility Statement** (below), - details of **fraud reported by auditors** other than those reportable to the Central Government (Sec 143(12)), - a statement on **declaration by independent directors** (Sec 149(6)), - company's policy on **directors' appointment and remuneration** (Sec 178) — for prescribed companies, - explanations or comments by the Board on every **qualification, reservation, adverse remark or disclaimer** made by the **auditor** and by the **company secretary in practice** in the secretarial audit report, (*Why: force management to publicly answer the auditor's red flags — the Board cannot stay silent on a qualification*) - particulars of **loans, guarantees, investments** (Sec 186), - particulars of **related party contracts/arrangements** in **Form AOC-2** (Sec 188), - state of the company's affairs; amounts, if any, carried to **reserves; dividend** recommended, - **conservation of energy, technology absorption, foreign exchange** earnings/outgo, - development and implementation of a **risk management policy**, - **CSR policy and report** (Sec 135, in the prescribed format), - statement on the **formal annual evaluation** of the Board's performance (listed companies and prescribed public companies), - **material changes and commitments** affecting the financial position occurring between the year-end and the date of the report, - details of significant/material orders passed by regulators/courts affecting going concern, and adequacy of internal financial controls **with reference to the financial statements**.

(*Note the finer distinction: the Board reports on IFC "with reference to the financial statements" — i.e. controls over financial reporting — which is narrower than the full IFC concept defined in 134(5)(e). The auditor's 143(3)(i) opinion is also on IFC over financial reporting. Watch this scope word.*)

Abridged Board's Report for OPC and small companies (134(3A)): the Central Government may prescribe an **abridged Board's report** for OPCs and small companies. (*Proportionality — the full 134(3) laundry list is disproportionate for the very small.*)

134(3)(c) + 134(5) — Directors' Responsibility Statement (DRS): the directors must affirmatively state that: 1. applicable **accounting standards** were followed, with proper explanation of material departures; 2. **accounting policies** were selected and applied consistently, with judgements and estimates that are reasonable and prudent, to give a true and fair view; 3. proper and sufficient care was taken for **maintenance of adequate accounting records** in accordance with the Act, to safeguard assets and prevent/detect fraud and other irregularities; 4. the accounts were prepared on a **going concern** basis; 5. (**for listed companies**) the directors had laid down **Internal Financial Controls (IFC)** to be followed by the company and that such IFC are **adequate and operating effectively**; 6. the directors devised proper systems to ensure **compliance with all applicable laws** and that such systems were adequate and operating effectively.

Trap on scope: point 5 (IFC declaration in the DRS) applies to **listed companies only**. Points 1–4 and 6 apply to *all* companies. The examiner asks "is a private company's DRS required to state that IFC are operating effectively?" — answer: **no**, that specific clause is for listed companies. (But *auditor* reporting on IFC under 143(3)(i) has its own applicability — do not merge the two tests.)

Internal Financial Controls — the definition to memorise (Explanation to 134(5)(e)): IFC means the **policies and procedures adopted by the company for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention**

and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information.

(Why IFC exists: post-Satyam, "we didn't know the cash was fake" is no longer a defence. Directors must build systems to catch fraud and then certify those systems work. The auditor independently reports on IFC adequacy under Sec 143(3)(i). This is the "prove you controlled it" pillar — the law shifts liability from "did you know?" to "did you build a system that should have known?")

134(7): a signed copy of every financial statement (including CFS) shall be **issued, circulated or published** together with the auditor's report and the Board's report. *(You cannot publish the numbers stripped of the audit opinion and Board report — the package travels together.)*

134(8) — Penalty: company punishable with fine of **₹3,00,000**; and every officer in default with fine of **₹50,000**. *(Post-2020 amendment reframed this as a monetary penalty — no imprisonment for a 134 default, reflecting the "reserve jail for fraud" policy; confirm current figures in ICAI material.)*

Memory hook — 134 = "the signature and confession section." Sign it (134(1)), report it (134(3)), and swear you controlled it (134(5) DRS + IFC).

Section 135 — Corporate Social Responsibility (CSR)

The abuse it kills: the extractive company that takes from society and returns nothing — and the fake, unbudgeted "charity" used as PR without governance.

Applicability — the three trigger thresholds (any ONE, in the immediately preceding financial year):

Trigger	Threshold
Net worth	₹500 crore or more
Turnover	₹1,000 crore or more
Net profit	₹5 crore or more

If a company crosses **any one**, Sec 135 applies. *(Why "any one": you cannot be huge on two metrics and dodge by being small on the third.)*

Ceasing to be covered (proviso, post-2020): a company that *ceases* to meet the thresholds for **three consecutive financial years** is **not required** to constitute a CSR Committee or comply, until it meets a threshold again. *(Why: a one-off spike shouldn't chain a company to CSR forever; sustained size does.)*

The CSR Committee (135(1)): such a company must constitute a **CSR Committee of the Board** with **3 or more directors, at least one being an independent director**. *(For a company not required to appoint an independent director, 2 directors suffice.) (Why a Board committee: CSR is a governance duty, not a marketing budget.)*

Relaxation (135(9)): where the amount to be spent does **not exceed ₹50 lakh**, the requirement to constitute a **CSR Committee is not applicable**, and the **functions of the Committee are discharged by the Board** itself. *(Proportionality — a tiny CSR spend does not warrant a standing committee.)*

The 2% obligation (135(5)): the Board shall ensure the company spends, in every financial year, **at least 2% of the average net profits** made during the **three immediately preceding financial years** (or such

preceding years as available, if incorporated less than 3 years ago) on CSR activities per its policy.

- **"Net profit"** is computed as per **Sec 198** (with prescribed adjustments — e.g. it *excludes* profits from overseas branches and dividends received from other companies in India that are already covered by/complying with Sec 135, to avoid double-counting). (*Why Sec 198: a single, manipulation-resistant profit definition shared with managerial remuneration.*)
- **Local area preference:** the company shall give preference to the **local area(s)** where it operates. (*Why: those most affected by the company's operations should benefit first.*)

Impact assessment and administrative overheads (Rules): companies of a prescribed size undertaking large projects must conduct **impact assessment** through independent agencies; and **administrative overheads** are capped (currently **5%** of total CSR expenditure). Surplus arising from CSR activities shall **not** form part of business profit and must be ploughed back into CSR/transferred to the Unspent Account/Schedule VII. (*Verify current percentages in ICAI material.*)

The "comply or explain" → "comply or transfer" evolution — this is the heavily-tested part: - If the company **fails to spend** the 2%, the Board must, in its report, **specify the reasons** for not spending. -

Unspent amount tied to an ongoing project (135(6)): must be transferred within **30 days** of the end of the financial year to a **special account** — the **"Unspent CSR Account"** — opened in any scheduled bank, and **spent within 3 financial years** from the date of such transfer towards the policy; if still unspent after those 3 years, transferred to a **Schedule VII fund** (e.g. PM National Relief Fund / PM CARES) within **30 days** of the completion of the third financial year. - **Unspent amount not tied to an ongoing project (135(5) 2nd proviso):** must be transferred within **6 months** of the end of the financial year to a **fund specified in Schedule VII**.

(*Why the ongoing-project distinction: genuine multi-year projects (a school, a hospital) legitimately can't spend all at once, so the law gives them a 3-year ring-fenced runway; money with no genuine plan must go to a public fund, not sit idle as a fake "commitment."*)

What is an "ongoing project"? (definition matters): a **multi-year project** undertaken by a company in fulfilment of its CSR obligation, **having a timeline not exceeding 3 years** (excluding the financial year in which it commenced), and includes a project initially not so approved but whose duration is *subsequently extended* by the Board (within the overall limits). (*The 4-year practical span: commencement year + up to 3 more.*) **Trap:** if a project is *not* an ongoing project as defined, unspent money on it takes the **6-month Schedule VII** route, not the 30-day Unspent-Account route.

Excess spending set-off (135(5) proviso): if a company spends **more** than the 2% requirement in a year, it may **set off the excess** against the CSR obligation of the succeeding **3 financial years**, subject to (a) the excess not including surplus from CSR activities, and (b) a **Board resolution** to that effect. (*Why: reward front-loading of genuine CSR; don't penalise generosity by treating it as a wash.*)

Penalty (135(7)) for default in transferring/spending: the **company** is liable to a penalty of **twice the amount** required to be transferred (to the Unspent CSR Account or Schedule VII fund), **or ₹1 crore, whichever is less**; and **every officer in default** is liable to **one-tenth of the amount** required to be so transferred, **or ₹2 lakh, whichever is less**. (*Why a money penalty pegged to the unspent sum: it removes the incentive to save money by not spending — non-compliance now costs more than compliance. Note this is a civil penalty adjudicated by the Registrar/adjudicating officer, not a criminal fine — CSR default was decriminalised in 2020.*)

Where CSR money may go (Schedule VII): eradicating hunger, poverty and malnutrition; promoting education; promoting gender equality and empowering women; environmental sustainability; protection of national heritage/art/culture; measures for the benefit of armed-forces veterans/war widows; training to promote sports; contribution to the PM National Relief Fund / PM CARES / other CG funds; contributions to incubators/research funded by government or specified institutions; rural development; slum area development; disaster management; etc. (*Activities in the normal course of business do NOT count as CSR — else every company would relabel its ordinary operations as charity. One-time exception historically: contributions related to COVID-19 R&D — verify current relevance.*)

What is NOT CSR (Rules — commonly tested exclusions): activities in the **normal course of business** (with a limited exception for companies engaged in R&D of new vaccines/drugs/medical devices for FY 2020-21 to 2022-23, subject to conditions); activities **outside India** (except training of Indian sports personnel); contribution to a **political party** (Sec 182); benefits to **employees** (as defined under the Code on Wages); activities **fulfilling other statutory obligations**; and CSR discharged on a **sponsorship basis** deriving marketing benefit for the company's products.

Memory hook — "500 / 1000 / 5" and "2% of last 3 years." Net worth 500 cr, Turnover 1000 cr, Profit 5 cr → spend 2% of the trailing-3-year average. Unspent + ongoing = 30 days to Unspent Account, 3 years to use, else Schedule VII. Unspent + not ongoing = 6 months to Schedule VII.

Section 136 — Right of Members to Copies

The abuse it kills: hiding the finished statements from the very owners entitled to see them.

- A **copy of the financial statements** (including CFS, auditor's report, and every attached document) must be **sent to every member, every trustee for debenture-holders, and every other person entitled, at least 21 clear days before the AGM.** (*Why 21 days: enough time to read and challenge before voting.*)
- **Shorter notice:** statements may be sent less than 21 days before the AGM if **agreed** by members holding, if the company has a share capital, **majority in number entitled to vote and representing not less than 95% of the paid-up share capital** (or, having no share capital, 95% of total voting power) — the same "consent to shorter notice" logic as the AGM itself. (*Why: the protection is for members; members can waive it by a high supermajority.*)
- **Listed companies:** may send a **statement containing the salient features (Form AOC-3 / AOC-3A)** instead of the full documents, and/or place the documents on the **website**, subject to conditions — with full copies furnished on member request, free of cost. (*Why: full financials of a large listed company are a phone-book; a salient-features route plus web-access balances cost and access.*)
- A **listed company** must also place its financial statements (including CFS) and all documents on its **website**; and a company with a **subsidiary** must place *separate audited accounts of each subsidiary* on the website and provide copies on request.

Section 137 — Filing with the Registrar

The abuse it kills: keeping the truth private. Disclosure to members is not enough; the *public* and creditors need it too.

- A copy of the **financial statements duly adopted at the AGM** (including CFS and all attachments) must be **filed with the ROC in Form AOC-4 (and AOC-4 CFS / AOC-4 XBRL where applicable) within 30 days of the AGM**. *(Why 30 days and public: creditors and future investors — who never attend the AGM — rely on the public record.)*
- **Statements not adopted at AGM (or adjourned AGM):** the *unadopted* financial statements are filed within 30 days of the AGM as **provisional**, and the *adopted* ones filed within 30 days of the **adjourned AGM** at which they are adopted. *(No limbo — even un-adopted numbers go on record, flagged as provisional.)*
- **If the AGM is not held:** the statements must still be filed **within 30 days of the last date on which the AGM should have been held**, together with a **statement of the facts and reasons** for not holding it. *(No AGM is not an escape from filing.)*
- **OPC:** file within **180 days** from the close of the financial year (it holds no AGM; the *member's signature* on the statements adopts them).
- **Foreign subsidiary accounts:** where the company has *subsidiaries incorporated outside India* that are not required to get their accounts audited, the un-audited accounts (or the salient features) are attached, in the prescribed manner.
- **Penalty (137(3)):** the **company** is liable to a penalty of **₹10,000 + ₹100 per day** of continuing default, **subject to a maximum of ₹2,00,000**; the **MD/CFO** (or in their absence, any director charged, or all directors) is liable to **₹10,000 + ₹100 per day**, subject to a maximum of **₹50,000**. *(A per-day penalty makes delay progressively painful — confirm exact caps in ICAI material.)*

(Deeper why — filing is the moment the information becomes a public good. Sections 128–136 build and share the truth inside the company's circle (Board, members, debenture trustees). Section 137 pushes it outside to the whole world via the ROC/MCA public register, where a prospective creditor, a job applicant, a competitor, a journalist or a regulator can pull it. This is why 137 is the terminal gate of the "information supply chain" model in Part 2.)

Section 138 — Internal Audit

The abuse it kills: the absence of any *ongoing, internal* check between the annual statutory audits — the gap in which fraud grows for a whole year unnoticed.

- **Prescribed classes** of companies must appoint an **internal auditor** — who may be a **chartered accountant** (whether or not in practice), a **cost accountant**, or **such other professional** as decided by the Board — to conduct internal audit of the functions and activities of the company. *(Note: the internal auditor may be an individual, a partnership firm or a body corporate, and may be an employee of the company; independence is desirable but not a statutory bar in the way it is for a statutory auditor.)*
- The **Board**, in consultation with the internal auditor, formulates the **scope, functioning, periodicity and methodology** for conducting internal audit. *(Why: internal audit serves management/the Board — it is a management tool, so the Board scopes it. Contrast: the statutory auditor serves the members, so members appoint and scope him.)*
- **Who is caught (Rule 13):**
- **Every listed company;**
- **Unlisted public company** with **paid-up capital ≥ ₹50 crore** during the preceding FY, OR **turnover ≥ ₹200 crore**, OR **outstanding loans/borrowings from banks/PFIs > ₹100 crore** at any point during the

preceding FY, OR **outstanding deposits** $\geq$ ₹25 crore at any point during the preceding FY (any one);

- **Private company** with **turnover** $\geq$ ₹200 crore, OR **outstanding loans/borrowings from banks/PFIs** $>$ ₹100 crore at any point during the preceding FY (any one). (A private company is judged on only two of the four metrics — no paid-up-capital or deposits test.)

(Why size-based: internal audit is costly; the law imposes it where the money at stake and public interest justify it. Below the threshold, the annual statutory audit is deemed enough.)

Three audits, one company — the distinction table (examiners love mixing these up):

Feature	Internal audit (138)	Statutory audit (139–143)	Cost audit (148)
Serves	Management / Board	Members / shareholders	CG / cost governance
Appointed by	Board	Members (AGM)	Board (on Committee/CG basis)
Who can do it	CA, CMA, other professional, employee	Practising CA only	Practising Cost Accountant
Frequency	Ongoing / periodic	Annual	Annual (for prescribed industries)
Report to	Board/management	Members	CG (in prescribed form)

Note: internal audit (138, ongoing, management-facing) is distinct from **statutory audit** (Sec 139–143, annual, shareholder-facing) and from **cost audit** (Sec 148). Do not conflate them.

Section 132 — National Financial Reporting Authority (NFRA)

The abuse it kills: the profession judging itself. When auditors *are* ICAI members and ICAI both sets standards and disciplines members, a Satyam-scale audit failure can slip through. NFRA breaks the conflict for the biggest players.

What NFRA is: an **independent regulator** constituted by the Central Government to oversee **accounting and auditing standards and the quality of audits** of specified large/public-interest entities.

Its powers/functions (132(2)–(4)): - **Recommend** accounting and auditing policies and standards to the CG (feeds into Sec 133). - **Monitor and enforce compliance** with those standards. - **Oversee the quality of service** of the professions associated with ensuring compliance, and suggest measures for improvement. - **Investigate**, either *suo motu* or on a **reference by the Central Government**, into **matters of professional or other misconduct** committed by any **member or firm of chartered accountants** in respect of prescribed companies/bodies corporate. **Where NFRA has initiated an investigation, no other institute or body (i.e. ICAI) shall initiate or continue any proceeding** in respect of the same matter — one forum, no forum-shopping or double jeopardy. - Has, for investigation, the **same powers as a civil court under the Code of Civil Procedure** (summoning and enforcing attendance, requiring discovery and production of documents, receiving evidence on affidavit, etc.).

Its penalty powers where professional/other misconduct is proved (132(4)(c)): - **Monetary penalty:** for **individuals**, not less than ₹1 lakh, extendable up to **5 times the fees received**; for **firms**, not less than ₹5 lakh, extendable up to **10 times the fees received**. - **Debarment:** of the member or firm from being

appointed as an **auditor or internal auditor** or from undertaking any audit / valuation for a period of **6 months to 10 years**, as NFRA may decide. (*Why so severe: an auditor's signature is a public trust; abusing it must end careers, not just cost a fine.*)

Who NFRA covers (Rule 3 — jurisdiction, "class of companies"): broadly — **companies whose securities are listed** on any stock exchange in India or outside India; **unlisted public companies** having paid-up capital $\geq$ ₹500 crore OR turnover $\geq$ ₹1,000 crore OR aggregate **outstanding loans, debentures and deposits $\geq$ ₹500 crore** as on the preceding 31 March; **insurance, banking, and electricity-generating/supplying companies** governed by special Acts; and any **body corporate/company/person referred by the Central Government** in the public interest. (*Why only the big/public-interest ones: NFRA is a heavy instrument reserved for systemically important entities; smaller companies stay under ICAI's disciplinary jurisdiction. Verify current Rule 3 figures.*)

Structure and appeals: NFRA consists of a **chairperson** and members appointed by the CG, with a **division for enforcement** kept separate from the standard-setting function (an internal separation to prevent the investigator from also writing the rules). Appeals against NFRA orders lie to the **Appellate Tribunal (NCLAT)** as prescribed (originally an "Appellate Authority" was contemplated; appeals now lie to NCLAT — verify current position).

The jurisdiction hand-off — the single most-tested NFRA point: the *default* disciplinary forum for a CA's professional misconduct is **ICAI** (under the Chartered Accountants Act 1949). NFRA is an **overriding, exclusive** jurisdiction that switches on **only** for (i) the specified large/public-interest companies in Rule 3, **and** (ii) once NFRA *actually initiates*. For everyone else — the small unlisted private company's auditor — **ICAI retains jurisdiction**.

Memory hook — "NFRA = the auditor's auditor." It stands above the profession for the largest companies, so the watchmen are themselves watched.

5. Applied Scenarios (Facts → Analysis → Conclusion)

Scenario A — The offshore-server dodge. *Facts:* Zenith Ltd keeps all its books of account only on a cloud server physically located in Singapore. During an ROC inspection, Zenith says the records "cannot be produced immediately" as the server is abroad. Is Zenith compliant with Sec 128? *Analysis:* Sec 128 read with Rule 3 permits electronic books, **but** they must remain **accessible in India** for subsequent reference, and a **back-up on servers physically located in India** must be maintained, with **annual intimation to the ROC** of the service provider's name, IP address and server location. Zenith's Singapore-only storage, with no India back-up and non-availability on inspection, defeats the very purpose of the rule (regulator reachability). *Conclusion:* **Contravention of Sec 128.** The MD/CFO/officer in default is liable — imprisonment up to 1 year and/or fine ₹50,000–₹5,00,000.

Scenario B — The clean parent, the dirty subsidiary. *Facts:* Apex Ltd is highly profitable on a standalone basis. It has pushed ₹300 crore of losses and debt into its 90%-owned subsidiary, Nadir Pvt Ltd. Apex lays only its **standalone** financial statements before the AGM, arguing Nadir is a "separate legal person." *Analysis:* Separate legal personality is real for liability, but Sec **129(3)** overrides it for *reporting*: where a company has subsidiaries (including associates/JVs), it **must** prepare **Consolidated Financial Statements** covering the whole group and lay them before the AGM **in addition** to standalone statements, with **Form AOC-1** salient features attached. Showing only the clean parent is precisely the abuse 129(3) was written to stop. Apex is

not a wholly-owned subsidiary of anyone and is presumably not itself consolidated upward, so no Rule 6 relaxation applies. *Conclusion:* Apex is in **default of Sec 129(3)/(4)**; the responsible officers face imprisonment up to 1 year and/or fine ₹50,000–₹5,00,000. The consolidated picture (which reveals the group's true, weaker position) must be presented.

Scenario C — CSR: "we'll spend it later." *Facts:* Meridian Ltd had a net profit of ₹8 crore in FY 2025-26 (crossing the ₹5 crore trigger). Its 2% CSR obligation on the trailing-three-year average works out to ₹15 lakh. It identifies an **ongoing** three-year school-construction project but spends only ₹5 lakh this year, leaving ₹10 lakh unspent. It does nothing with the balance and simply notes "will spend next year" in the Board's report. *Analysis:* Because the unspent ₹10 lakh relates to an **ongoing project**, Sec 135(6) requires transfer to a **special "Unspent CSR Account"** in a scheduled bank **within 30 days** of the financial year-end, to be spent within **3 financial years**. Merely noting an intention in the Board's report is insufficient for ongoing-project money. *Conclusion:* **Default under Sec 135**. Failure to transfer attracts the 135(7) penalty — company liable to pay **twice the unspent amount or ₹1 crore, whichever is less** (here $2 \times ₹10 \text{ lakh} = ₹20 \text{ lakh}$, which is less than ₹1 crore, so **₹20 lakh**); officers in default **one-tenth of the unspent amount or ₹2 lakh, whichever is less** (here $1/10 \times ₹10 \text{ lakh} = ₹1 \text{ lakh}$, less than ₹2 lakh, so **₹1 lakh** per officer). Meridian should have opened the Unspent CSR Account and transferred ₹10 lakh within 30 days.

Scenario D — The unsigned truth. *Facts:* Solaris Ltd's financial statements are approved by the Board but signed only by the Company Secretary; no director signs. The CFO argues "the Board approved them, that's enough." *Analysis:* Sec 134(1) requires signature **on behalf of the Board** by the **Chairperson if authorised, or by two directors one of whom is the MD**, plus the **CEO (if director), CFO, and CS** where appointed. Board *approval* and Board *authentication by named directors* are different acts; the DRS accountability under 134(5) attaches to directors, not the CS alone. The auditor cannot even validly report until the statements are authenticated. *Conclusion:* The statements are **not validly authenticated**; Sec 134 is contravened. Correct course: obtain signatures of the requisite directors + CFO + CS before the statements are issued/filed.

Scenario E — Which regulator disciplines the auditor? *Facts:* The statutory auditor of a **listed** company, Titan Ltd, is alleged to have colluded in overstating revenue. Both ICAI and NFRA appear interested in investigating. *Analysis:* Titan is a listed company — squarely within NFRA's Rule 3 jurisdiction. Under Sec 132(4), where NFRA has initiated investigation into professional misconduct for a prescribed company, **no other institute or body (ICAI) may initiate or continue** proceedings on the same matter. NFRA can impose penalty (up to $5 \times / 10 \times$ fees) and **debar 6 months to 10 years**. *Conclusion:* **NFRA has exclusive jurisdiction** here; ICAI stands down for this matter. (For a small unlisted private company outside Rule 3, ICAI would retain jurisdiction.)

Scenario F — The CSR threshold that flickers on and off (new). *Facts:* Vertex Ltd's net profit was ₹6 crore in FY 2023-24 (crossing ₹5 crore), then fell to ₹2 crore, ₹1.5 crore and ₹1 crore in the next three years, with net worth and turnover always below the triggers. Vertex constituted a CSR Committee in FY 2024-25. Its finance head asks whether Vertex must keep the Committee and keep spending in FY 2027-28. *Analysis:* Sec 135 applies if **any one** trigger is crossed in the *immediately preceding* FY. Vertex crossed the ₹5-crore-profit trigger in FY 2023-24, so it was covered for FY 2024-25 and had to spend 2% of the average net profit of the three preceding years. But the post-2020 proviso says a company that **ceases to meet the thresholds for three consecutive financial years** is no longer required to constitute a Committee or comply until it crosses again. After FY 2024-25, Vertex is below all thresholds for FY 2025-26, 2026-27 and 2027-28 — three consecutive years. *Conclusion:* For FY 2027-28 (having failed the thresholds for three consecutive preceding years), Vertex is **no longer required** to maintain the CSR Committee or spend, until it crosses a threshold again. **But note:** for the *first* year it fell out (based on the immediately-preceding-year test), obligations may

still have run — the "three consecutive years" relaxation is the *exit rule*, applied prospectively. (*Verify the exact interplay of the "immediately preceding FY" applicability test and the "three consecutive years" cessation proviso against current ICAI material — examiners test precisely this seam.*)

Scenario G — Internal audit: private vs public metrics (new). *Facts:* Orion Pvt Ltd (private company) has paid-up capital of ₹80 crore, turnover of ₹150 crore, outstanding bank borrowings of ₹40 crore, and public deposits of ₹30 crore. Its director insists internal audit is mandatory because "paid-up capital is ₹80 crore, well above ₹50 crore." *Analysis:* The ₹50-crore *paid-up-capital* test and the ₹25-crore *deposits* test under Rule 13 apply to **unlisted public companies, not to private companies**. A **private** company is caught **only** if (a) turnover $\geq$ ₹200 crore, or (b) outstanding loans/borrowings from banks/PFIs $>$ ₹100 crore. Orion's turnover (₹150 cr) is below ₹200 cr and its borrowings (₹40 cr) are below ₹100 cr. Paid-up capital and deposits are **irrelevant** for a private company. *Conclusion:* Orion Pvt Ltd is **not required** to appoint an internal auditor under Sec 138. The director has applied the wrong metric set — a classic threshold trap.

Scenario H — Excess CSR spend and set-off (new numerical). *Facts:* Helios Ltd is covered by Sec 135. Its 2% obligation is ₹40 lakh in FY 2025-26, but it spends ₹70 lakh (₹30 lakh of it from a genuine external CSR budget, none of it surplus from CSR activities). In FY 2026-27 its 2% obligation is ₹50 lakh. Can Helios spend less than ₹50 lakh next year? *Analysis:* Under the 135(5) proviso, excess CSR spend may be **set off against the obligation of the succeeding three financial years**, subject to the excess excluding any surplus from CSR activities and a **Board resolution** authorising the set-off. Helios's excess in FY 2025-26 = ₹70 lakh – ₹40 lakh = **₹30 lakh**, and it is not surplus-derived, so it qualifies. *Conclusion:* If the Board passes the enabling resolution, Helios may set off the ₹30 lakh excess, reducing its FY 2026-27 effective spend to ₹50 lakh – ₹30 lakh = **₹20 lakh** of fresh spending (with ₹30 lakh met by carried-forward excess). **Reconciliation check:** total CSR economically borne across the two years = ₹70 lakh + ₹20 lakh = ₹90 lakh = the two-year statutory obligation (₹40 lakh + ₹50 lakh). The set-off neither over- nor under-charges the company — it merely times the spending. Consistent.

6. Procedure / Compliance Summary

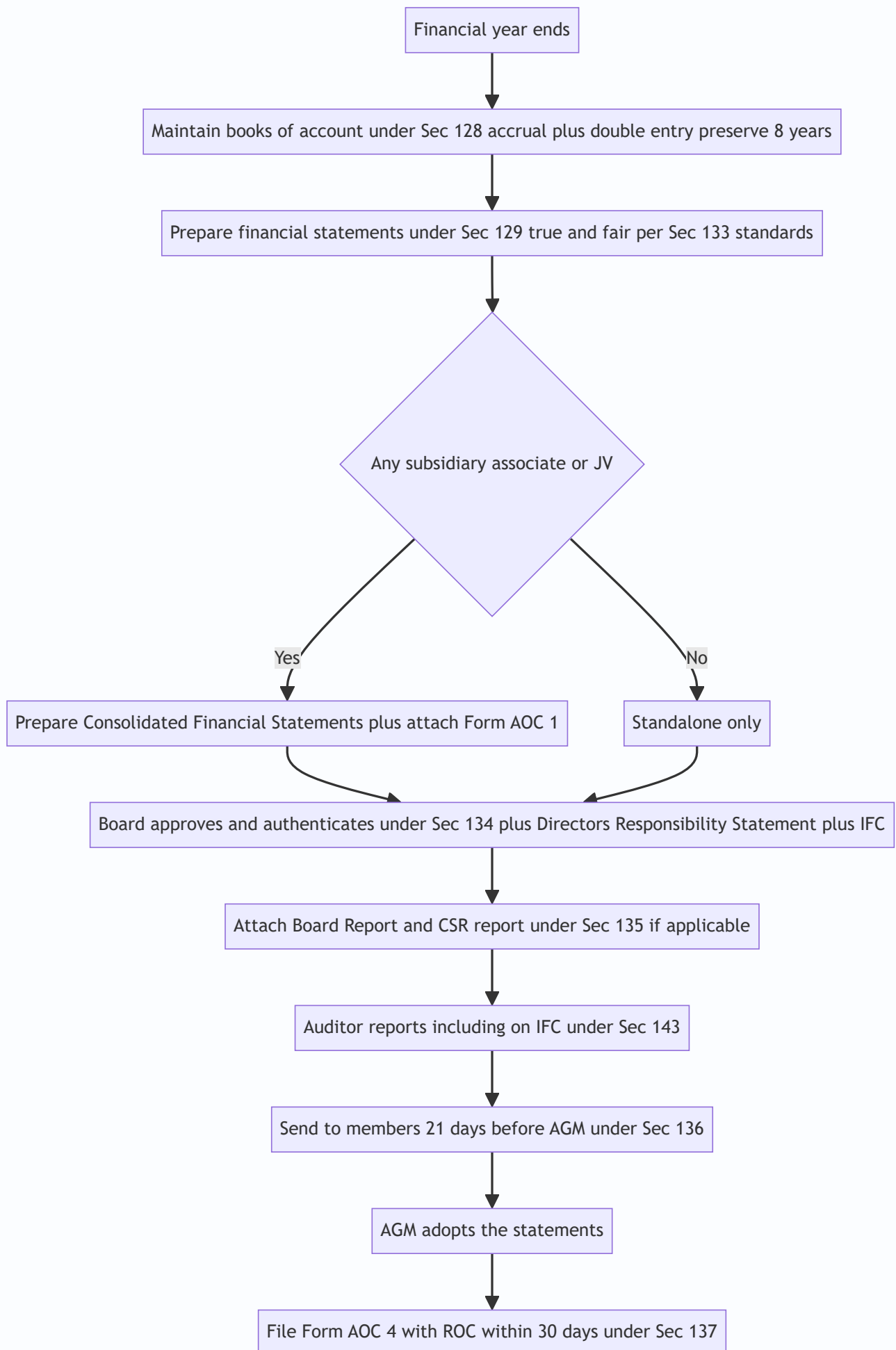


Figure 1 — The life of a company's accounts from books to public filing.

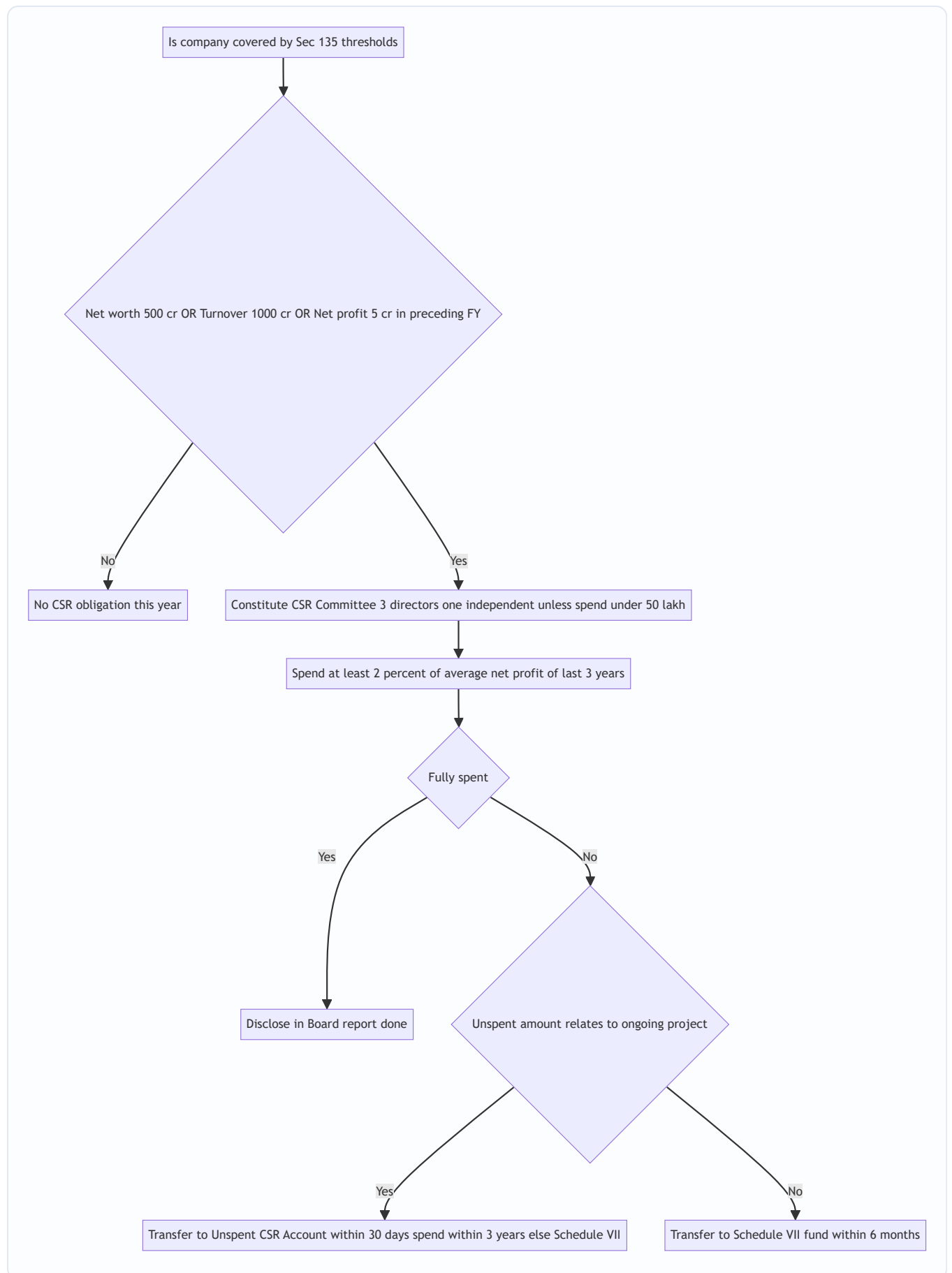


Figure 2 — CSR decision tree under Section 135.

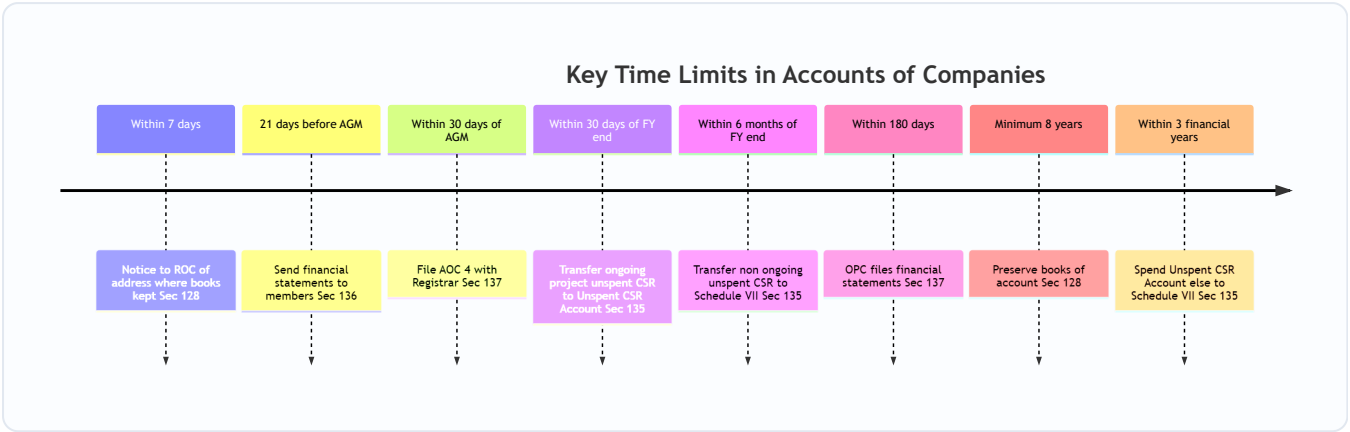


Figure 3 — Every statutory clock in this chapter on one timeline.

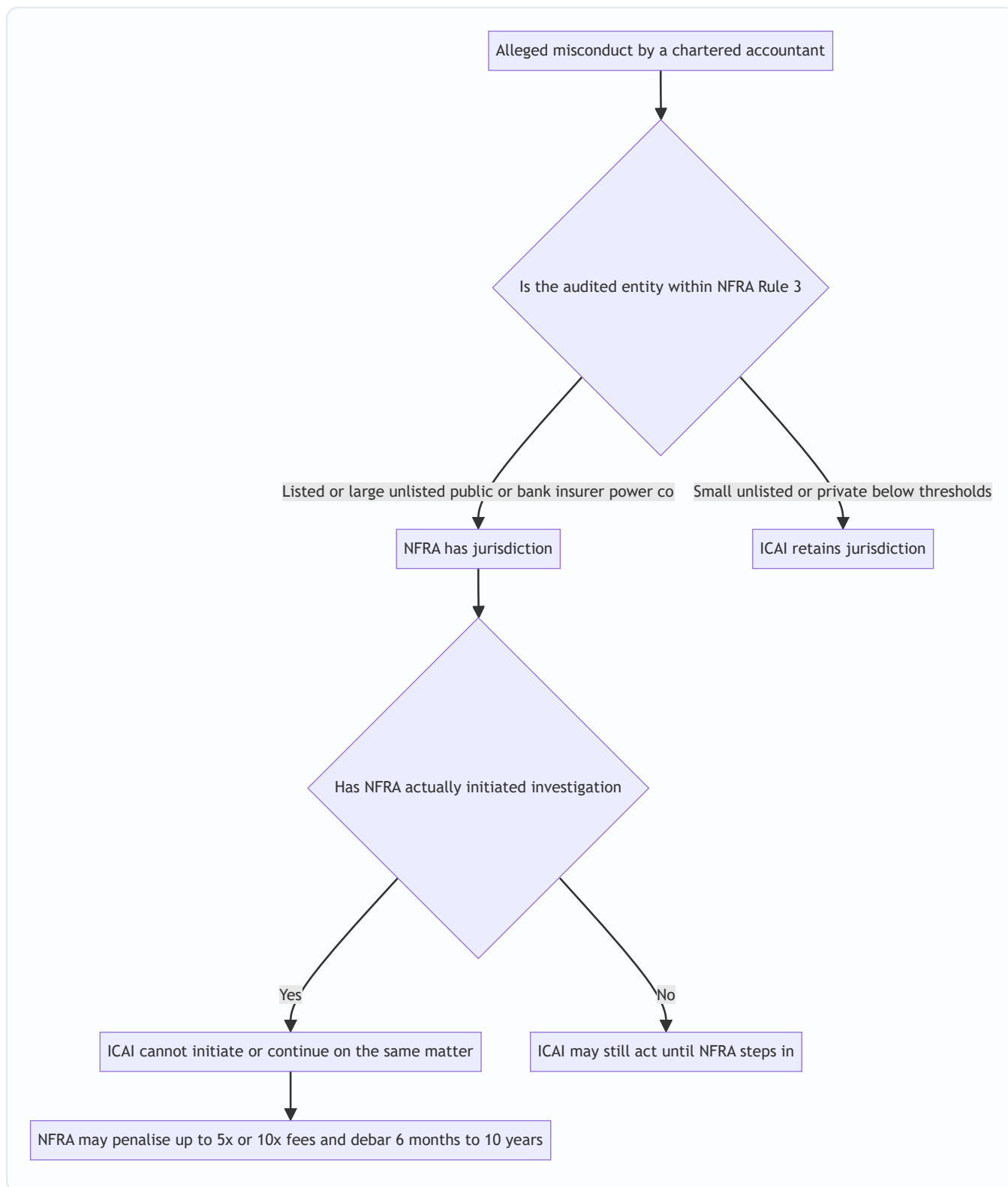


Figure 4 — Who disciplines the auditor NFRA versus ICAI jurisdiction gate.

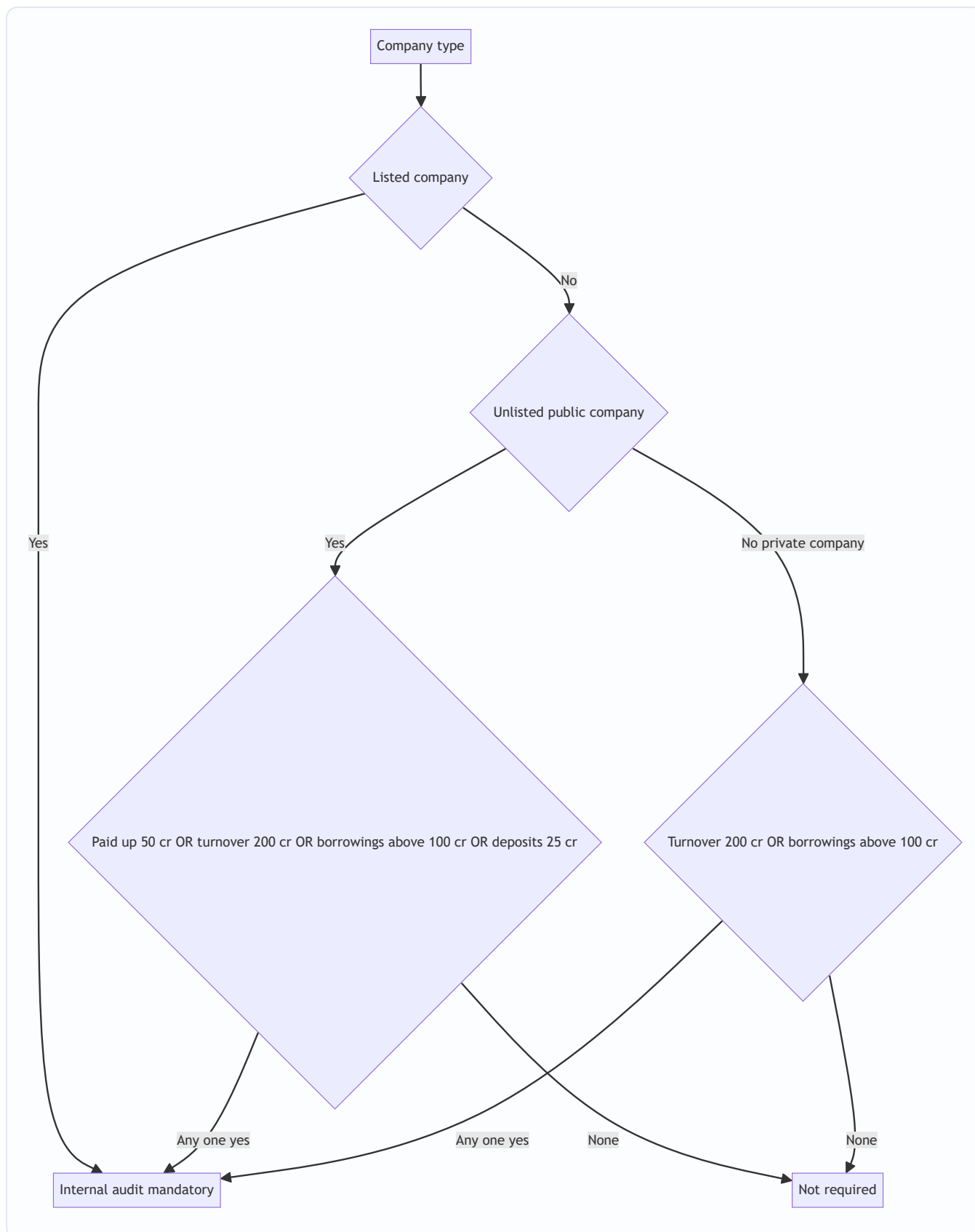


Figure 5 — Section 138 internal audit applicability by class of company.

One-page compliance checklist: 1. Keep books at registered office (or file ROC notice within 7 days if elsewhere); accrual + double entry; India back-up; annual intimation of server details. **[128]** 2. Prepare true-and-fair statements per Sec 133 standards, Schedule III form. **[129, 133]** 3. If group exists → prepare CFS + AOC-1 (unless Rule 6 relaxation applies). **[129(3)]** 4. Board approves + authenticates (two directors incl. MD,

CEO, CFO, CS) + DRS + IFC declaration. **[134]** 5. Attach Board's Report with all 134(3) contents + CSR report. **[134, 135]** 6. Auditor's report incl. IFC opinion. **[143]** 7. Circulate to members ≥ 21 days pre-AGM. **[136]** 8. Adopt at AGM; file AOC-4 within 30 days. **[137]** 9. CSR: spend 2%; transfer unspent per ongoing/non-ongoing rule. **[135]** 10. Appoint internal auditor if threshold crossed. **[138]**

7. Connections — How This Chapter Wires into the Rest of the Act

- **Sec 139–143 (Audit & Auditors):** the natural sequel. The financial statements *prepared* under this chapter are *checked* by the auditor next chapter. **Sec 143(3)(i)** auditor's opinion on **IFC** directly closes the loop opened by 134(5) DRS. **Sec 143(12)** fraud reporting feeds back into the Board's Report (134(3)).
 - **Sec 92 (Annual Return):** filed alongside accounts as the other half of the annual disclosure; the Board's report links to it (web-address of the annual return).
 - **Sec 96 (AGM):** accounts are *laid* and *adopted* here; the 21-day (136) and 30-day (137) clocks pivot on the AGM date.
 - **Sec 123 (Dividend):** you can only declare dividend out of profits *as computed under these accounts* — dishonest accounts would corrupt dividend law too.
 - **Sec 148 (Cost Records & Cost Audit):** an extension of "books of account" for specified industries; cost records are part of the books under 128 read with 2(13).
 - **Sec 447 (Fraud):** the ultimate backstop — falsified books/statements can escalate to the fraud offence with harsh imprisonment; this is why 128/129 retained imprisonment while procedural defaults were decriminalised.
 - **Sec 198 (Net profit calculation):** the shared engine for CSR spend (135) and managerial remuneration (197) — learn it once, use it twice.
 - **Sec 149(6), 177, 178:** independent directors, audit committee, and nomination/remuneration committee — the governance scaffolding that the Board's Report (134(3)) must disclose.
 - **Sec 2(40), 2(13), 2(12), 2(85), 2(6), 2(87):** "financial statement," "book of account," "books and papers," "small company," "associate," "subsidiary" — the definitions that switch exemptions and consolidation on and off.
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8. Traps & Examiner Tricks

1. **"Books at registered office — file within how many days if kept elsewhere?"** Answer: **7 days'** written notice to ROC. Students confuse this with the 30-day filing of AOC-4. Different clocks.
2. **8 years, not 7, not 10.** Retention of books = **minimum 8 financial years** (longer if investigation ordered; if the company is younger than 8 years, then for all its years). A classic one-mark trap.
3. **CSR trigger is "any ONE," not "all three."** And it is measured in the **immediately preceding** financial year. Also: the **2%** is of the **average of the last 3 years'** net profits (Sec 198 basis) — students wrongly apply 2% of the current year.
4. **Ongoing project → 30 days → Unspent CSR Account (3 years). Non-ongoing → 6 months → Schedule VII directly.** The two routes are the single most-tested CSR point. Mixing them loses marks. Remember the definition of "ongoing project" (multi-year, ≤ 3 years excluding commencement year).

5. **Cash Flow Statement exemption.** OPC, small company, dormant company (and specified start-ups) are **not** required to include a Cash Flow Statement in their financial statements. Examiners love asking "which company need not prepare a cash flow statement?"
6. **Consolidation covers associates & JVs, not just subsidiaries.** The trap: "Company has no subsidiary, only an associate — must it consolidate?" Generally yes (confirm current Rule 6 relaxations, including the WOS/intermediate-parent exemption).
7. **NFRA vs ICAI jurisdiction.** Once NFRA *initiates* on a *Rule-3 (large/listed/public-interest)* company's misconduct matter, **ICAI cannot proceed** on the same matter. NFRA does **not** cover every company — the small unlisted/private stays with ICAI.
8. **Internal audit (138) ≠ statutory audit (139).** Internal audit is ongoing and management-facing; an internal auditor **may be an employee** and need not be a practising CA; thresholds differ by company type. Don't quote statutory-audit rules for an internal-audit question. **Private company** is tested on only turnover (₹200 cr) and borrowings (>₹100 cr) — *not* paid-up capital or deposits.
9. **"Approved by Board" ≠ "authenticated/signed."** Sec 134(1) needs specific signatories (two directors incl. MD, plus CEO/CFO/CS). Board approval alone is not authentication. And the auditor reports *after* authentication — the sequence is testable.
10. **CSR is "comply or explain" — but for unspent amounts it is now "comply or transfer and explain," with a monetary (civil) penalty.** The old idea that "CSR has no penalty" is outdated after the 2019/2020 amendments. Penalty = twice the unspent amount or ₹1 crore, whichever is less (company); one-tenth or ₹2 lakh, whichever is less (officer).
11. **Activities in the normal course of business do NOT count as CSR.** A pharma company giving away medicines it sells cannot count that as CSR. Nor can political contributions, employee benefits, activities outside India (except training Indian sportspersons), or marketing-driven sponsorships.
12. **"True and fair," not "true and correct."** The statutory phrase is *true and fair view*. Writing "true and correct" can cost you the definitional mark.
13. **IFC-in-DRS is a listed-company clause (134(5)(e)).** A private company's DRS need not certify that IFC are operating effectively. Do not blanket-apply it to all companies. (But this is separate from the *auditor's* 143(3)(i) IFC-reporting test — keep the two apart.)
14. **Director's inspection right, not member's.** Under 128(3) the *director* may inspect the books of account; a shareholder has no general 128 inspection right. Examiners swap the two.
15. **NFRA penalty numbers: 5× for individuals, 10× for firms; debarment 6 months–10 years.** Students flip the individual/firm figures or forget the debarment band.
16. **137 penalty is a per-day penalty with a cap.** ₹10,000 + ₹100/day, capped (₹2,00,000 company / ₹50,000 officer). Late filing is decriminalised (civil penalty), unlike false books under 128.

9. First-Principles Recap

Forget every section number for a moment and rebuild the chapter from the human problem:

A company is money that strangers handed to managers they will never meet.

1. Those managers could **lie about what happened** → so the law forces **honest, tamper-resistant books** (accrual + double-entry, 8-year retention, India-reachable). **[128]**

2. They could **present those books misleadingly** → so the law demands a **true-and-fair** statement in a **standard form** using **common accounting standards**. [129, 133]
3. They could **hide the rot in a subsidiary** → so the law demands the **whole group be consolidated**. [129(3)]
4. No one could be **blamed** for a faceless document → so the law makes **named humans sign** and **swear their controls worked** (DRS + IFC). [134]
5. The company could **take from society and give nothing** → so if it is **large**, it must **give back 2%**, transparently governed, with money it doesn't spend **ring-fenced or surrendered**. [135]
6. The truth could stay **private** → so it must be **shown to members** (21 days) and **filed publicly** (30 days). [136, 137]
7. Fraud could grow **between annual audits** → so large companies run **internal audit** all year. [138]
8. The **auditors themselves** could be captured → so an **independent regulator** watches the biggest ones. [132 — NFRA]

Every number in the Quick-Revision Sheet below is just one of these eight sentences wearing a section number.

The three recurring design patterns — spot them and the chapter compresses. Notice that the *same three ideas* recur across sections, so you are really memorising three patterns, not fifty rules: -

Proportionality by size — heavier duties attach to bigger/public entities (CSR 135, internal audit 138, NFRA 132, cash-flow exemption 129, abridged report 134(3A)). Learn the *shape* first, the numbers second. - **Named human accountability** — every duty lands on the MD/WTDFinance/CFO/CS, never on an anonymous "company" (128, 129, 134, 137). No faceless defaults. - **Reserve criminality for dishonesty** — imprisonment survives where the default borders fraud (128 false books, 129 false statements); everything procedural (134, 135, 137) became a civil/monetary penalty in 2019/2020. Where you see jail, ask "is this close to lying?" — the answer is yes.

10. Quick-Revision Sheet

Sections at a glance

Sec	Title	Core purpose (the "why")	Must-know number
128	Books of account	Honest, tamper-proof, reachable records	7 days ROC notice if kept elsewhere; 8 years retention; accrual + double-entry; imprisonment up to 1 yr
129	Financial statements	Truthful presentation; whole-group view	True & fair; CFS + AOC-1 if group; deviation must be disclosed (129(5))
132	NFRA	Independent regulator over the profession	Penalty individual 1 lakh–5× fees / firm 5 lakh–10× fees; debar 6 months–10 years
133	Accounting standards	Common yardstick; comparability	CG prescribes on ICAI + NFRA advice (AS/Ind AS)
134	Board report + DRS + IFC	Named accountability; prove controls	Sign: 2 directors incl. MD + CEO/CFO/CS; DRS 6 points; IFC definition; IFC-clause = listed only
135	CSR	Large firms give back to society	Trigger 500cr / 1000cr / 5cr ; spend 2% of avg last-3-yr profit
136	Members' copies	Owners see before they vote	21 days before AGM (waivable by 95%)
137	Filing with ROC	Public & creditors see the truth	AOC-4 within 30 days of AGM; OPC 180 days ; penalty ₹10,000 + ₹100/day
138	Internal audit	Catch fraud between annual audits	Thresholds by company class (Rule 13); auditor may be employee/CA/CMA

CSR thresholds & routes

Item	Rule
Applicability (any one, preceding FY)	Net worth $\geq$ ₹500 cr / Turnover $\geq$ ₹1,000 cr / Net profit $\geq$ ₹5 cr
Cessation (relaxation)	Below all thresholds for 3 consecutive FYs → no longer required until crossed again
CSR Committee	3+ directors, $\geq$ 1 independent (waived if spend $\leq$ ₹50 lakh → Board acts)
Spend	2% of average net profit (Sec 198 basis) of last 3 FYs; local-area preference
Unspent — ongoing project	→ Unspent CSR A/c within 30 days ; use within 3 years ; else Schedule VII within 30 days of year-3 end
Unspent — non-ongoing	→ Schedule VII fund within 6 months
Excess spend	Set off against next 3 FYs (Board resolution; not surplus-derived)
Penalty (135(7))	Company: 2× unspent or ₹1 cr (lower). Officer: 1/10 unspent or ₹2 lakh (lower). Civil penalty

Key time limits

Time	Event	Sec
7 days	Notice to ROC of address of books	128
21 days before AGM	Send statements to members	136
30 days of AGM	File AOC-4	137
30 days of FY end	Transfer ongoing-project unspent CSR	135
6 months of FY end	Transfer non-ongoing unspent CSR	135
180 days of FY close	OPC files statements	137
3 financial years	Spend Unspent CSR Account	135
8 years (min)	Preserve books of account	128
6 months–10 years	NFRA debarment band	132

Definitions to reproduce verbatim

- **Financial statement (2(40))** = Balance Sheet + P&L (or Income & Expenditure) + Cash Flow + Statement of Changes in Equity (if any) + Notes. (*Cash flow exempt for OPC/small/dormant.*)
- **Internal Financial Controls (Expl. to 134(5)(e))** = policies and procedures for orderly and efficient conduct of business, adherence to company policies, safeguarding of assets, prevention and detection of frauds and errors, accuracy and completeness of accounting records, and timely preparation of reliable financial information.
- **Ongoing project** = a multi-year CSR project with a timeline **not exceeding 3 years** (excluding the commencement year), including a project whose duration is subsequently extended by the Board.
- **Standard phrase:** financial statements must give a **"true and fair view."**

Confirm in ICAI/bare Act before the exam: current monetary penalty figures under 134(8), 137(3), and 132 (revised by the Companies Amendment Acts 2019/2020); the precise CFS relaxations under Rule 6 of the Companies (Accounts) Rules; the interplay of the "immediately preceding FY" CSR test with the "three consecutive years" cessation proviso; the current electronic-books back-up periodicity and CSR administrative-overhead cap; and NFRA Rule 3 threshold figures — these have been amended and ICAI study material carries the exam-authoritative numbers.

Q&A — Accounts of Companies

CA Intermediate · Corporate & Other Laws · Companies Act, 2013, Chapter IX (Sections 128–138) + Section 132

Section A — Concept-Check Questions (short, with answers)

- A1. Where must a company keep its books of account, and can they be kept elsewhere?** Under **Sec 128(1)**, every company shall keep books of account at its **registered office**. The Board may decide to keep them at **any other place in India**, but must file **notice in writing with the Registrar (AOC-5)** within **7 days**, giving the full address. Books must give a **true and fair view**, be kept on **accrual basis** and **double-entry system**.
- A2. Can books of account be maintained in electronic form?** Yes. **Proviso to Sec 128(1) r/w Rule 3, Companies (Accounts) Rules 2014** permits electronic maintenance, provided records remain **accessible in India**, are **retained completely** in original format, remain **legible**, and a **back-up** is kept on servers physically located in India (for foreign-server records, back-up must be periodically taken and kept in India).
- A3. For how long must books of account be preserved?** **Sec 128(5)**: books together with vouchers must be kept in good order for **not less than 8 financial years** immediately preceding the current year. If an **investigation** is ordered, the Central Government may direct a longer period.
- A4. Whose responsibility is maintenance of books, and what is the penalty for default?** **Sec 128(6)**: MD, WTD in charge of finance, CFO, or any other person charged by the Board. Penalty (**Sec 128(6)**): imprisonment up to **1 year** or fine **₹50,000–₹5,00,000**, or both.
- A5. Define "financial statement" under the Act.** **Sec 2(40)**: includes (i) balance sheet, (ii) profit & loss account (or income & expenditure account for non-profit), (iii) cash flow statement, (iv) statement of changes in equity (if applicable), and (v) explanatory notes. **A One Person Company, small company, dormant company and start-up private company need NOT prepare a cash flow statement.**
- A6. What is a "true and fair view" and Schedule III?** **Sec 129(1)**: financial statements must give a true and fair view, comply with **accounting standards (Sec 133)**, and be in the **form given in Schedule III**. For specified entities (banks, insurance, electricity), the respective governing Act's form prevails.
- A7. When must Consolidated Financial Statements (CFS) be prepared?** **Sec 129(3)**: where a company has one or more **subsidiaries, associates or joint ventures**, it shall prepare a CFS in the same form and manner as its own statements, laid before the AGM in addition to standalones. "Subsidiary" here **includes associate and JV** (Explanation).
- A8. Who prescribes accounting standards?** **Sec 133**: the Central Government prescribes standards **recommended by ICAI in consultation with, and after examination by, NFRA**.
-

Section B — Applied Scenario Questions (Facts → Analysis → Conclusion)

B1. CSR applicability trigger. *Facts*: Alpha Ltd for FY 2024-25 has net worth ₹450 crore, turnover ₹900 crore, net profit ₹4.2 crore. It contends CSR does not apply as profit is small. *Analysis*: **Sec 135(1)** applies if **any one** threshold is met in the immediately preceding FY — net worth **≥ ₹500 cr**, or turnover **≥ ₹1,000 cr**, or net profit **≥ ₹5 cr**. Alpha meets none (net worth < 500, turnover < 1000, profit < 5). *Conclusion*: CSR provisions

do **not** apply to Alpha for the year. Had any single limit been crossed, it must spend **2% of average net profit of the preceding 3 FYs** (Sec 135(5)).

B2. Unspent CSR amount. *Facts:* Beta Ltd, covered under CSR, was required to spend ₹80 lakh but spent only ₹50 lakh. ₹20 lakh relates to an ongoing project; ₹10 lakh is unspent with no ongoing project. *Analysis:* **Sec 135(6):** amount relating to **ongoing projects** must be transferred to a **special "Unspent CSR Account"** within **30 days** of FY-end and spent within **3 financial years**. **Sec 135(5) proviso:** unspent amount **not** relating to ongoing projects must be transferred to a **Schedule VII fund** (e.g., PM CARES) within **6 months** of FY-end. *Conclusion:* ₹20 lakh → Unspent CSR Account within 30 days; ₹10 lakh → Schedule VII fund within 6 months. Non-compliance attracts penalty under **Sec 135(7)**.

B3. Circulation of financial statements. *Facts:* Gamma Ltd, a listed company, wishes to send only salient features instead of full statements to members holding shares in physical form. *Analysis:* **Sec 136(1):** a copy of the financial statements, CFS, auditor's report and every attached document must be sent **21 days before the AGM** to every member, trustee for debenture-holders, and other entitled persons. **Listed companies** may send **salient features in the prescribed form (AOC-3)** if full statements are made available on the website — but must send **full statements to members who ask**. *Conclusion:* Gamma may send salient features provided the full documents are on its website and available on request; otherwise full statements are mandatory.

B4. Filing with the Registrar after AGM not held. *Facts:* Delta Ltd could not hold its AGM. Directors are unsure whether to file financial statements. *Analysis:* **Sec 137(1):** adopted financial statements must be filed with the Registrar in **AOC-4** within **30 days of the AGM**. **First proviso:** if not adopted at AGM/adjourned AGM, file **unadopted** statements within 30 days as provisional. **Sec 137(1) third proviso:** where **AGM is not held**, file the statements along with reasons **within 30 days of the last date before which the AGM should have been held**. *Conclusion:* Delta must still file within 30 days of the due date of the AGM, with reasons for non-holding.

B5. Internal audit. *Facts:* Epsilon Ltd (unlisted public) has paid-up capital ₹60 crore and outstanding loans from banks ₹120 crore. It has no internal auditor. *Analysis:* **Sec 138 r/w Rule 13:** internal audit is mandatory for an **unlisted public company** if it has paid-up capital **≥ ₹50 cr**, or turnover **≥ ₹200 cr**, or outstanding loans/borrowings from banks/PFIs **> ₹100 cr**, or deposits **≥ ₹25 cr** (any one). Epsilon crosses two limits. *Conclusion:* Epsilon must appoint an **internal auditor** (a CA/CMA or such professional, whether or not in employment). Default is a **non-compliance** under Sec 138.

Section C — Past-Paper-Style Descriptive Questions (model answers)

C1. Explain the contents of the Board's Report under Section 134, and the Directors' Responsibility Statement. **Sec 134(3)** requires the Board's Report to include, inter alia: web-address of annual return (Sec 92); number of Board meetings; **Directors' Responsibility Statement**; details of frauds reported by the auditor (Sec 143(12)); a statement on declaration by independent directors; company's policy on directors' appointment and remuneration; comments on qualifications/adverse remarks in the auditor's/CS's reports; particulars of loans, guarantees and investments (Sec 186); related-party contracts (Sec 188 – AOC-2); dividend recommended; material changes affecting financial position; conservation of energy, technology absorption, foreign exchange; risk management policy; **CSR policy** (Sec 135); and **adequacy of internal financial controls (IFC)**. The **Directors' Responsibility Statement (Sec 134(5))** confirms: applicable accounting standards followed; accounting policies applied consistently and prudent judgments made to

give a true and fair view; proper and sufficient care for maintenance of accounting records and prevention of fraud; accounts on **going concern** basis; (for listed companies) **internal financial controls** laid down were adequate and operating effectively; and proper systems to ensure compliance with all laws were in place and operating. The report is signed by the **Chairperson if authorised, else by at least two directors** (one being MD where there is one) — **Sec 134(6)**. Penalty for default: company **₹3,00,000** and every officer in default **₹50,000 (Sec 134(8))**.

C2. Discuss the constitution and functions of the National Financial Reporting Authority (NFRA) under Section 132. Sec 132(1) empowers the Central Government to constitute **NFRA** to provide for matters relating to accounting and auditing standards. **Powers/functions (Sec 132(2))**: (a) recommend accounting and auditing standards; (b) monitor and enforce compliance; (c) oversee the quality of service of professions associated with ensuring compliance and suggest measures for improvement. **Sec 132(4)**: NFRA may **investigate** professional or other misconduct of prescribed classes of companies/bodies corporate or their **CAs**; for this it has powers of a **civil court**. Where misconduct is proved it can impose **penalty** — for individuals **₹1 lakh up to 5 times fees**, for firms **₹10 lakh up to 10 times fees** — and **debar** the member/firm from practice for **6 months to 10 years**. Appeals lie to the **Appellate Tribunal (Sec 132(5))**. Once NFRA initiates action, no other institute/body can initiate parallel proceedings in the same matter.

C3. State the provisions for re-opening and voluntary revision of financial statements (Sec 130 & 131). Sec 130 (compulsory re-opening / recasting): a company shall **not** re-open its books or recast financial statements except on an **order of a court or the Tribunal (NCLT)**, made on an application by the Central Government, Income-tax authorities, SEBI, any other statutory regulatory body or authority, or any person concerned, where earlier accounts were prepared in a **fraudulent manner** or the affairs were **mismanaged** casting doubt on reliability. Notice is given to affected parties. **No order** shall relate to a period **beyond 8 financial years** (except where Sec 128(5) directs longer retention). **Sec 131 (voluntary revision)**: if it appears to the directors that the **financial statements or Board's report do not comply** with Sec 129 or Sec 134, they may prepare **revised** statements/report for **any of the 3 preceding financial years** after obtaining **Tribunal approval**. Revision is confined to correction of non-compliance; may be done **only once** in a financial year.

Section D — MCQs / Case Scenarios (answer + one-line reason)

D1. Notice to the Registrar for keeping books at a place other than the registered office (AOC-5) must be filed within: (a) 15 days (b) 30 days (c) **7 days** (d) 60 days. **Ans: (c)** — Proviso to **Sec 128(1)**.

D2. Minimum period for preservation of books of account: (a) 5 years (b) 6 years (c) **8 years** (d) 10 years. **Ans: (c)** — **Sec 128(5)**.

D3. Financial statements must be filed with the Registrar within ____ of the AGM: (a) 7 days (b) **30 days** (c) 60 days (d) 21 days. **Ans: (b)** — **Sec 137(1)**, in Form **AOC-4**.

D4. A CSR committee is required to have at least: (a) 2 directors (b) **3 directors, one of whom is independent** (c) 5 directors (d) only the MD. **Ans: (b)** — **Sec 135(1)**. *(An unlisted/private company not required to appoint an independent director may constitute the committee without one; where CSR spend ≤ ₹50 lakh, the committee itself is not mandatory and the Board discharges its functions.)*

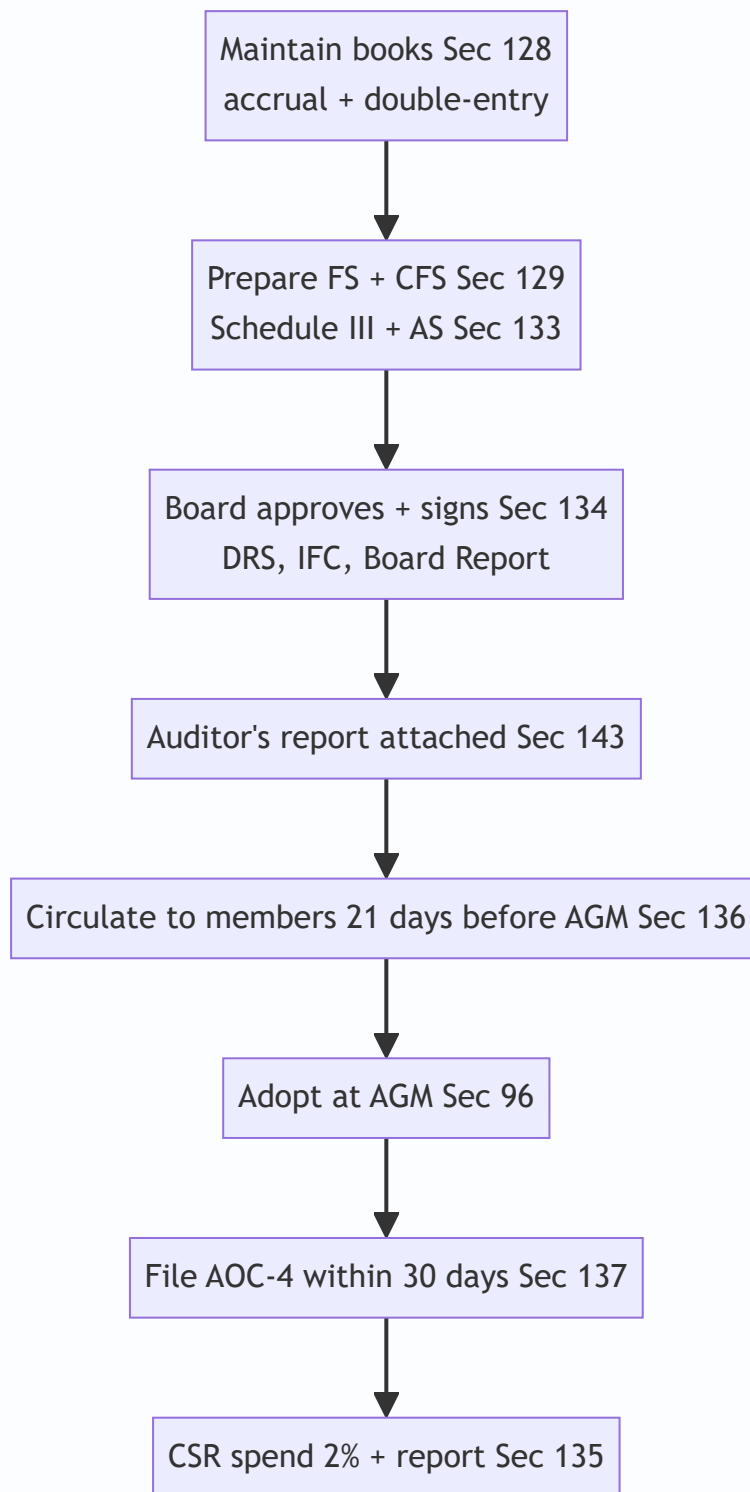
D5. CFS is required when a company has: (a) only subsidiaries (b) only associates (c) **subsidiaries, associates or joint ventures** (d) only JVs. **Ans: (c)** — **Sec 129(3)** Explanation includes associate & JV.

D6. Financial statements must be circulated to members before the AGM at least: (a) 14 days (b) **21 days** (c) 7 days (d) 30 days. **Ans: (b) — Sec 136(1).**

D7. The Directors' Responsibility Statement requirement on effectiveness of **internal financial controls** applies specifically to: (a) all companies (b) **listed companies** (c) OPCs (d) small companies. **Ans: (b) — Sec 134(5)(e).**

D8. Unspent CSR amount **not** relating to an ongoing project must be transferred to a Schedule VII fund within: (a) 30 days (b) 3 months (c) **6 months** (d) 1 year. **Ans: (c) — Proviso to Sec 135(5).**

Procedure — Adoption, Circulation & Filing of Financial Statements



Connections to Other Provisions

- **Sec 92** — Annual Return; web-link disclosed in Board's Report (Sec 134(3)(a)).
- **Sec 96** — AGM at which financial statements are laid and adopted (feeds Sec 137 filing).

- **Sec 123** — Dividend declared out of profits computed from these financial statements; recommended in the Board's Report.
- **Sec 139–143** — Auditor appointment and audit; the **auditor's report** is attached to and read with the financial statements (Sec 134/136); fraud reporting (Sec 143(12)) flows into the Board's Report.
- **Sec 148** — Cost records/cost audit for prescribed companies, forming part of the books under Sec 128.
- **Sec 198** — Manner of computing **net profit**, used to determine the **average net profit** for CSR spend under Sec 135(5).
- **Sec 447** — Punishment for **fraud**; underlies Sec 130 re-opening (fraudulent accounts) and NFRA action under Sec 132.

Traps & Examiner Tricks (12)

1. **AOC-5 is 7 days, not 30** — filing for books kept away from registered office.
2. **8 years preservation** for books (Sec 128(5)) vs **3 preceding FYs** for voluntary revision (Sec 131) vs **8 FYs** cap on re-opening (Sec 130). Don't mix.
3. **CSR thresholds use "immediately preceding FY"** for applicability but **average of 3 preceding FYs** for the 2% spend.
4. **CSR spend basis is Sec 198 net profit**, not book profit.
5. **CFS includes associates & JVs**, not just subsidiaries (Sec 129(3) Explanation).
6. **Cash flow statement exemption** — OPC, small company, dormant company, start-up private company (Sec 2(40) proviso). Do not extend to all private companies.
7. **IFC effectiveness in DRS** is for **listed** companies only (Sec 134(5)(e)).
8. **AOC-4 is 30 days from AGM**; when **no AGM is held**, 30 days from the **due date** of the AGM (with reasons).
9. **Sec 130 re-opening needs Court/Tribunal order** — a company **cannot** re-open books on its own.
10. **Sec 131 revision requires Tribunal approval** and can be done **only once per FY**, for the last **3 FYs**.
11. **CSR committee not mandatory** where CSR obligation ≤ ₹50 lakh — Board discharges its functions.
12. **NFRA vs ICAI** — once NFRA initiates misconduct proceedings, ICAI cannot act on the same matter (Sec 132(4)).

First-Principles Recap

The management–ownership split lets managers control assets they do not own — the gap that enabled **Satyam** and **Enron**. Chapter IX closes that gap through a chain: **capture** honestly (Sec 128 books), **present** truthfully (Sec 129 + 133 + Schedule III), **consolidate** the whole group (Sec 129(3) CFS), **own** the numbers (Sec 134 Board Report + DRS + IFC), **give back** to society (Sec 135 CSR), and **police** the system (Sec 136 members' copies, Sec 137 public filing, Sec 138 internal audit, Sec 132 NFRA). Each rule removes one hiding place for fraud.

Quick-Revision Sheet

Sections table

Sec	Subject
128	Books of account (accrual, double-entry, 8-yr preservation, AOC-5 in 7 days)
129	Financial statements, true & fair, Schedule III; 129(3) CFS
130	Re-opening/recasting on Court/Tribunal order
131	Voluntary revision (3 preceding FYs, Tribunal approval)
132	NFRA
133	Accounting standards (CG on ICAI + NFRA advice)
134	Board's Report, DRS, IFC, signing
135	CSR
136	Right of members to copies (21 days)
137	Filing with Registrar (AOC-4, 30 days)
138	Internal audit

CSR thresholds (any one, Sec 135(1)): Net worth $\geq$ ₹500 cr · Turnover $\geq$ ₹1,000 cr · Net profit $\geq$ ₹5 cr.
Spend = **2% of average net profit of 3 preceding FYs (Sec 198).**

Internal audit thresholds (Rule 13): Unlisted public — capital $\geq$ ₹50 cr / turnover $\geq$ ₹200 cr / bank-PFI loans $>$ ₹100 cr / deposits $\geq$ ₹25 cr. Private — turnover $\geq$ ₹200 cr / bank-PFI loans $>$ ₹100 cr. Every **listed** company: always.

Time limits: AOC-5 — **7 days**; books preserved — **8 years**; circulate FS — **21 days** before AGM; file AOC-4 — **30 days** after AGM; unspent CSR (ongoing) transfer — **30 days**, spend within **3 FYs**; unspent CSR (non-ongoing) to Schedule VII fund — **6 months**.

Key definitions: *Financial statement* — Sec 2(40); *Books of account* — Sec 2(13); *True & fair view* — Sec 129(1).

Chapter 10 — Audit & Auditors

Chapter XI of the Companies Act 2013, Sections 139 to 148, read with the Companies (Audit and Auditors) Rules 2014.

1. The Problem — Who watches the people who spend other people's money?

Start with the raw situation a company creates.

A company is a machine for pooling money from **many** people (shareholders, banks, debenture-holders, the public) and handing physical control of that money to a **few** people (the Board and management). The people who own the money do **not** run the business. The people who run the business do **not** own most of the money. This is the classic **agency gap**: the manager (agent) has custody, the owner (principal) has the risk.

Now watch what naturally goes wrong:

- The directors prepare the accounts **themselves**. So the same people who decide how the money was spent also decide how to *describe* how it was spent. A director who wasted crores can simply draw a rosy balance sheet and a shareholder sitting 800 km away has **no way to know**.
- A shareholder cannot walk into the warehouse and count the stock. A depositor cannot inspect the loan ledgers. The information is locked inside the company, written by the very people whose performance it grades.
- Historically this produced disaster after disaster — inflated profits to justify fat dividends and higher share prices, hidden losses, fictitious sales, siphoning through fake vendors. **Satyam (2009)** in India is the textbook case: over ₹7,000 crore of cash and bank balances simply did not exist, yet the audited accounts said they did.

So the deep problem is a **trust gap built into the corporate form itself**. Ownership is separated from control, and the controllers write their own report card. Without an outside check, "limited liability company" would just be a licence to raise public money and lie about it.

The law's answer is deceptively simple: force every company to appoint an **independent expert** — the **auditor** — whose only job is to look at the accounts management prepared and tell the *owners* (not management) whether those accounts are **true and fair**. Every rule in this chapter exists to make that watchdog (a) qualified, (b) genuinely independent, and (c) unable to be quietly silenced.

Why "true and fair" and not "true and correct". Notice the exact statutory phrase is *true and fair view*, never "true and correct". This is deliberate and heavily examined. Accounts are built on **estimates and judgements** — depreciation rates, provision for doubtful debts, useful life of assets, warranty provisions. No such figure is arithmetically "correct"; it is an honest estimate. So the law asks the auditor to certify that the picture is **not misleading** (fair) and grounded in fact (true) — not that every rupee is mathematically exact. An auditor who understands this will never over-promise, and an examiner who asks "does the auditor guarantee the accounts are correct?" is baiting a wrong answer: the auditor gives an **opinion**, not a

guarantee, and is a **watchdog, not a bloodhound** (the classic *Kingston Cotton Mill* idea — reasonable skill and care, not suspicion of everyone).

Why an independent expert and not an internal one. A company already has an *internal auditor* and a finance department full of competent accountants. Why insist on an outsider? Because competence is not the scarce ingredient — **independence** is. An internal person depends on management for salary, promotion and continued employment; the moment their report threatens the boss, self-interest overwhelms honesty. The statutory auditor is engineered so that management holds as few levers over them as the law can manage. Keep this distinction ready: *competence detects fraud; independence makes the auditor willing to report it*. Sec 141 protects the first, Secs 139(2), 140 and 144 protect the second.

2. The Core Idea — An independent referee appointed by the owners, reporting to the owners, whom management cannot fire

Hold three ideas in your head and the whole chapter falls into place:

1. **The auditor is the shareholders' agent, not management's.** That is why the auditor is appointed by the **members in general meeting** (Sec 139), reports **to the members** (Sec 143), and can only be removed with heavy safeguards (Sec 140). Management pays the auditor but does not *own* the auditor.
2. **Independence is the whole ballgame.** A watchdog that is friends with, financially entangled with, or dependent on the person it watches is worthless. So the Act attacks every channel of capture: who *can* be an auditor (Sec 141 eligibility/disqualification), how long they can stay (Sec 139 rotation), and what *other* money they may earn from the client (Sec 144 prohibited services).
3. **Powers must match duty.** You cannot ask a watchdog to certify the truth and then lock the records away from it. So Sec 143 gives the auditor a **right of access at all times** to all books and the power to demand information — and pairs it with a **duty to report** including a duty to blow the whistle on fraud.

Mnemonic for the section spine: "**139 hire, 140 fire, 141 who's fit, 142 pay, 143 do the job, 144 don't moonlight, 145 sign, 146 attend, 147 punish, 148 cost.**"

The four "capture routes" the whole chapter is fighting. Every provision maps to blocking exactly one of these. If you can name the route, you can regenerate the rule:

Capture route	How management would use it	Provision that blocks it
Selection	Hand-pick a compliant auditor	Members appoint (139); disqualifications (141)
Money	Buy silence via fees, loans, side-consulting	Remuneration via GM (142); indebtedness/security caps (141(3)); Sec 144 ban
Tenure/familiarity	Let the relationship go stale until the auditor is "one of us"	Rotation (139(2))
Termination	Fire the auditor the instant it barks	Removal gate (140(1)); representation rights (140(4))

Carry this table into the exam. When a question describes a *fact pattern* (a loan, a long tenure, a proposed removal), first ask "which capture route is this?" — the answer points you straight to the section.

3. Why it's built this way — design choices and the abuse each one blocks

Design choice	The abuse it kills
Appointed by members , not the Board	Stops management from hand-picking a friendly auditor and reporting to itself
First auditor by Board within 30 days	A company must not operate even one day without a watchdog
Five-year term with ratification removed , then rotation	A cosy multi-decade relationship breeds "audit capture" — familiarity that dulls scepticism
Rotation of firm/partner (Sec 139(2))	Prevents the auditor from becoming, in effect, part of management
Sec 141 disqualifications (no shareholding, no loans, no business relationship, indebtedness cap)	Removes every financial hook management could use to buy silence
Sec 144 ban on non-audit services	Stops the auditor auditing its <i>own</i> consultancy work — you cannot mark your own homework
Sec 140 removal needs Central Government + special resolution	Stops management from sacking an honest auditor who refuses to sign
Sec 143 right of access "at all times"	Stops management from starving the auditor of records
Sec 143(12) fraud reporting	Turns the auditor from a passive certifier into an active gatekeeper
Sec 147 penalties + Sec 245 class action + civil liability	Gives the duty teeth; an unenforced duty is decoration

The unifying logic: **remove every reason and every route for the auditor to be captured, then arm the auditor with access and back it with liability.**

The five recognised threats to independence (the conceptual grid). ICAI's own framework (Code of Ethics) names five threats, and every Companies Act safeguard is aimed at one of them. Knowing the grid lets you *explain* a rule in a theory answer instead of merely reciting it:

- **Self-interest threat** — the auditor gains financially from the client (shareholding, loans, large fees, a guarantee). → Sec 141(3)(d), Sec 142.
- **Self-review threat** — the auditor would have to audit its *own* earlier work. → Sec 144 (and cost-audit/statutory-audit firewall in 148).
- **Advocacy threat** — the auditor promotes the client's position (e.g. acting as investment banker raising the client's capital). → Sec 144 (investment banking/advisory ban).
- **Familiarity threat** — long or close association dulls scepticism. → Sec 139(2) rotation; Sec 141(3)(f) relative-is-a-director bar.
- **Intimidation threat** — the client pressures the auditor (threat of removal, of losing the fee). → Sec 140 removal gate; Sec 140(4) representation right.

Why these are rules, not mere ethical guidance. ICAI's Code of Ethics already tells a CA to stay independent. Why did Parliament re-legislate the same idea as hard black-letter law with fines and jail?

Because ethics is *self-policed by the profession*, and after Satyam the state judged self-policing insufficient for the money at stake. A rule with a criminal penalty and an external regulator (NFRA) removes the auditor's *discretion* to rationalise a compromise. This is the through-line to Sec 147 and Sec 132 at the end of the chapter.

4. Full Technical Content — section by section, each with its "why"

4.1 Sec 139 — Appointment of Auditors

Why: If the Board appointed the auditor, the watched would choose the watcher. So the power sits with the **members**, and gaps (first year, casual vacancies) are plugged so no company is ever unwatched.

(a) First auditor of a company (other than a Government company) — Sec 139(6) - Appointed by the **Board within 30 days** of registration. - If the Board fails, the **members appoint within 90 days** at an **extraordinary general meeting (EGM)**. - Holds office **till the conclusion of the first AGM**. - *Why 30 days:* the company starts transacting immediately; it needs a watchdog from day one, and the Board is the only body that exists before the first AGM. - *Fine distinction — the 90 days runs from where?* The members' 90-day window runs from **registration/incorporation**, not from the expiry of the Board's 30 days. So it is not "30 + 90"; the members must act within 90 days of incorporation. Examiners love to imply "120 days" — reject it.

(b) First auditor of a Government company — Sec 139(7) - Appointed by the **Comptroller and Auditor-General of India (C&AG) within 60 days** of registration. - If C&AG fails → **Board within 30 next days** → if Board fails → **members within 60 days** at EGM. - *Why C&AG:* public money, so the state's own auditor leads. - "*Government company*" defined (Sec 2(45)): one in which **≥ 51% of the paid-up share capital** is held by the Central Government, a State Government, or partly by both — **including a subsidiary of a Government company**. Trap: a company where the government holds 49% is **not** a Government company, so C&AG does **not** appoint — the ordinary Sec 139(6)/(1) route applies. Watch the percentage in the fact pattern.

(c) Subsequent auditor — non-Government company — Sec 139(1) - Appointed by **members at the first AGM**, to hold office **from the conclusion of that AGM till the conclusion of the sixth AGM** — i.e. a **5-year block** (subject to Sec 139(2) rotation). - The appointment must be **confirmed/agreed** by obtaining the auditor's written consent and a **certificate** (Sec 139(1) proviso + Rule 4) that the appointment is within limits and the auditor is eligible under Sec 141. - Company must **inform the auditor** of the appointment and **file Form ADT-1 with the Registrar within 15 days** of the meeting. - *Whose obligation is ADT-1?* A frequent trap: the **company**, not the auditor, files ADT-1. (Conversely, on resignation the **auditor** files ADT-3.) Match the form to the party. - **Annual ratification is NO LONGER required**. The original 2013 Act had a proviso requiring members to *ratify* the appointment at every AGM; this was **omitted by the Companies (Amendment) Act 2017 (w.e.f. 7 May 2018)**. *Why removed:* yearly ratification was a backdoor to pressure the auditor annually — defeating the point of a secure 5-year term. **Trap: if a question is set in the old framework it may still mention ratification; for current law, ratification is gone.** - *What "till the sixth AGM" really counts.* The term spans **five AGMs of intervening accounts** (the 2nd, 3rd, 4th, 5th and 6th). It is not "five calendar years" — it is five audited financial years, ending at the conclusion of the sixth AGM. If AGMs are delayed, the term still ends at the sixth AGM, not at a fixed date.

(d) Subsequent auditor — Government company — Sec 139(5) - Appointed by **C&AG within 180 days** from the commencement of the financial year; holds office till conclusion of the AGM. - *Contrast to lock in:*

for a Government company the C&AG appoints **every year** (180-day clock, office till that AGM); there is **no 5-year block and no Sec 139(2) rotation** applied through members — the C&AG controls tenure. This is a clean point examiners test by mixing the two regimes.

Memory hook for the timeline: *First auditor = fast (30/90 days). Subsequent = five-year settled term. Government = C&AG leads with longer clocks (60/180).*

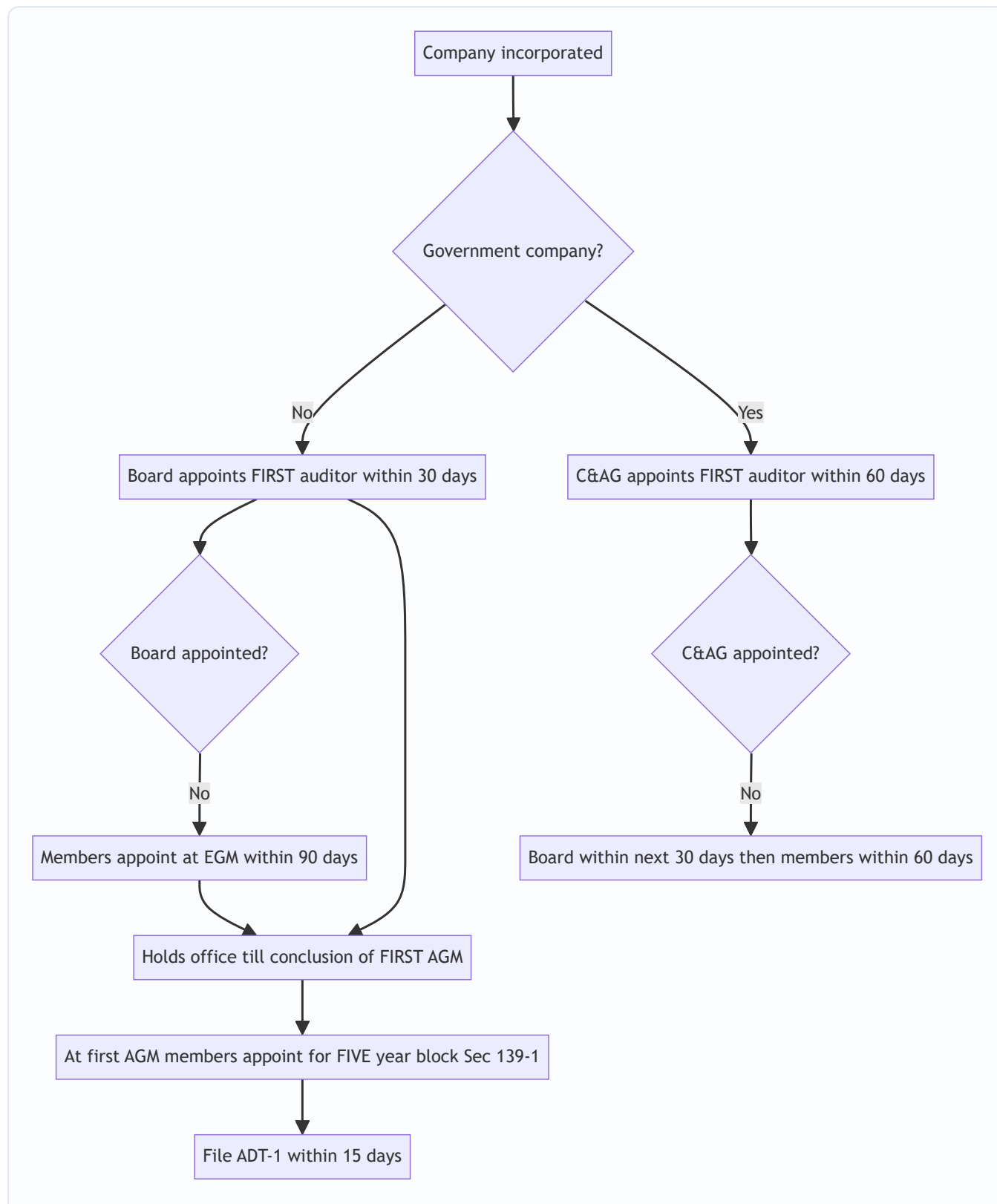


Figure 4.1 — Appointment pathways ensure a company is never left without a watchdog.

(e) Rotation of auditors — Sec 139(2) (the anti-familiarity rule)

Why: An auditor who has served the same client for decades becomes emotionally and commercially embedded — the "familiarity threat". Fresh eyes catch what tired eyes rationalise. So certain classes of company **must rotate**.

Applies to: - Every **listed company**, and - The following **classes of unlisted companies** (Rule 5): - **Unlisted public companies** with **paid-up share capital $\geq$ ₹10 crore**; - **Private companies** with **paid-up share capital $\geq$ ₹50 crore**; - **Any company** (public or private) having **public borrowings from banks/financial institutions/public deposits $\geq$ ₹50 crore**.

Who is carved OUT of rotation: **One Person Companies (OPCs)** and **small companies** are **exempt** from Sec 139(2) rotation regardless of the numbers. This is the same exemption philosophy that runs through the Act — the compliance burden of forced rotation is disproportionate for the smallest entities. Trap: a question may hand you a private company below the ₹50 crore thresholds; such a company is **not** subject to rotation at all.

Rotation limits: - An **individual** auditor may not serve **more than one term of 5 consecutive years**. - An **audit firm** may not serve **more than two terms of 5 consecutive years** (i.e. 10 years). - After the maximum, a **cooling-off period of 5 years** before re-appointment in the same company. - **Common-partner anti-avoidance:** an incoming firm that shares a common partner with the outgoing firm (whose tenure expired) cannot be appointed for the cooling-off period — otherwise firms would just swap names. - **"Same network" anti-avoidance:** the restriction extends to audit firms **under the same network** or operating under a common brand/trade name — you cannot dodge rotation by moving the engagement to a sister firm in the network. - Members may, by resolution, provide for **rotating the audit partner and team** at intervals, or that the firm's audit be conducted by **more than one auditor (joint audit)**. - Transitional rule: companies existing on commencement had **3 years** to comply. - *How past tenure is counted:* the period the individual/firm has **already served before the commencement** of these provisions is **counted** toward the 5/10-year limit. So a firm that had already audited a company for 8 years did not get a fresh 10 years — its remaining runway was reduced. This "look-back" is what makes the rotation real rather than a fresh start for incumbents.

Memory hook: *Individual = 1×5, Firm = 2×5, then sit out 5.*

Worked micro-example on rotation counting. A firm has audited Listed Co since FY 2010-11 continuously. It has completed two 5-year blocks by end of FY 2019-20 (10 years). Can it be re-appointed at the 2020 AGM? **No** — it has exhausted 2×5 and must cool off for **5 years**; the earliest it can return is after five financial years out. During cooling-off, no firm sharing a common partner or in the same network may step in as a substitute. Conclusion: an unrelated firm must be appointed for the next block.

4.2 Sec 140 — Removal, Resignation and the special notice route

Why: The single most dangerous moment for independence is when the auditor is about to say something management hates. If management could just fire the auditor, the watchdog could be muzzled the instant it barks. So removal is deliberately **hard**, resignation is made **transparent**, and a member's right to change the auditor is **procedurally controlled**.

(a) Removal before expiry of term — Sec 140(1) Requires **all** of: 1. A **Board resolution**, then 2.

Application to the Central Government (Form ADT-2) within **30 days** of the Board resolution, then 3. A

special resolution of members within **60 days** of receiving CG approval, and 4. The auditor must be given a **reasonable opportunity of being heard**.

Why the CG gate: it inserts a neutral outsider between management and the sack, so an honest auditor cannot be quietly removed for doing the job.

Sequence trap — the order is fixed. Board resolution **first**, then CG application, then special resolution. A common wrong answer flips it (special resolution first). The special resolution is passed **after** CG approval; passing it before is procedurally void. Also note **both** a Board resolution *and* a special resolution are needed — an ordinary resolution never suffices for removal before term.

(b) Resignation — Sec 140(2) & (3) - A resigning auditor must file **Form ADT-3** with the company and the Registrar (and with the C&AG for Government companies) within **30 days** of resignation, stating the **reasons and facts** for resigning. - Penalty for default: **₹50,000 or the auditor's remuneration, whichever is less**, plus **₹500 per day** of continuing default (capped — confirm the current cap of ₹5 lakh in the bare Act). (*verify current figures in latest ICAI material / bare Act*) - *Why:* a corrupt resignation ("I quit for personal reasons") could hide the fact that the auditor fled rather than sign off on fraud. Forcing disclosure of *reasons* exposes it. - *Who is penalised?* The **auditor** (the resigning person/firm) bears this penalty — not the company. Contrast the removal default, where the company/officers are exposed. Match the defaulter to the duty.

(c) Auditor NOT re-appointed — right to representation — Sec 140(4) Where a **special notice** is given for a resolution appointing *someone other than the retiring auditor*, or expressly providing that the retiring auditor shall **not** be re-appointed: - The company must send a copy to the **retiring auditor**. - The retiring auditor may make a **written representation** and require it to be **circulated to members**; if not circulated in time, it must be **read out at the meeting**. - *Safety valve against abuse of the representation right:* on the company's or any aggrieved person's application, the **Tribunal** may order that the representation **need not be circulated or read out** if satisfied the right is being **abused to secure needless publicity for defamatory matter**. So the megaphone is not unconditional — it can be silenced by the NCLT if misused. - *Why:* gives the ousted watchdog a megaphone to the owners, so a whistle-blowing auditor cannot be silently swapped out. - *Key contrast with 140(1):* this is **NOT removal**. The auditor's term is ending naturally (or a fresh appointment is proposed); the members are simply choosing not to continue them. Hence **no CG approval and no special resolution** — a **special notice** plus an **ordinary resolution** at the meeting suffices. The single most common cross-wiring in the exam is confusing 140(1) (removal mid-term: CG + special resolution) with 140(4) (non-reappointment at term end: special notice + representation).

(d) Tribunal-ordered removal — Sec 140(5) If the **Tribunal (NCLT)** is satisfied — on its own motion or on application by the CG or any person — that the auditor has **acted fraudulently or abetted/colluded in fraud**, it may **direct the company to change the auditor**. An auditor removed this way is **debarred for 5 years** and is liable under Sec 447 (fraud). - *Interim power:* where the CG applies, the Tribunal may order that the auditor **cannot function as auditor** and the CG may appoint another auditor in the interim. - *Debarment scope:* the 5-year bar applies to the individual **or firm**; and where a firm's partner acted fraudulently with connivance, the firm too is liable jointly and severally. *Why:* the state needs a fast route to eject a captured or crooked auditor without waiting for the members.

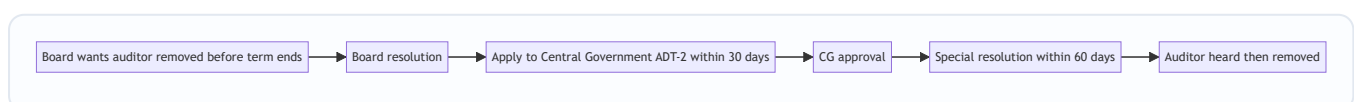


Figure 4.2 — Removal is deliberately slow and gated so honest auditors cannot be muzzled.

The three "ways an auditor leaves" — never confuse them. This is the single most examined distinction in the chapter, so hold all three side by side:

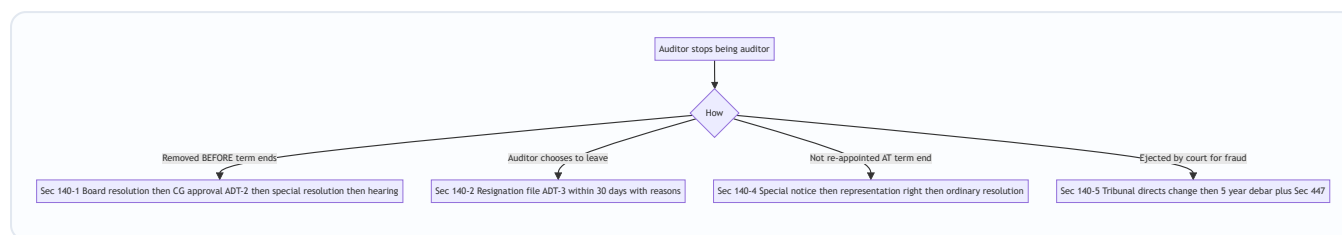


Figure 4.3 — Four exits with four completely different procedures.

4.3 Sec 141 — Eligibility, Qualifications and Disqualifications

Why: Two separate threats. (1) **Competence** — an unqualified person cannot detect sophisticated fraud, so only a **Chartered Accountant** may audit. (2) **Independence** — a qualified person who is financially or personally entangled with the client will not *want* to detect fraud, so a long list of relationships disqualifies.

Eligibility — Sec 141(1) & (2): - Only a person who is a **Chartered Accountant** (holding a certificate of practice under the CA Act 1949) is qualified. - A **firm** (including an **LLP**) may be appointed if a **majority of its partners** practising in India are qualified CAs. Only the CA partners may **sign** on behalf of the firm. - *Fine point on mixed firms:* a firm may have some non-CA partners (e.g. an LLP with a company secretary or cost accountant partner) and still be eligible **provided the majority of partners practising in India are CAs**; but the audit report can be signed **only by a CA partner authorised** to do so. So eligibility is a firm-level test; signing is an individual CA-level test.

Disqualifications — Sec 141(3): a person is NOT eligible if they are — - (a) a **body corporate** other than an LLP — *why: limited liability would let the auditor hide behind a corporate veil and dilute accountability*; - (b) an **officer or employee** of the company — *why: you cannot audit yourself*; - (c) a **partner or employee of an officer/employee** of the company — *why: closes the proxy loophole*; - (d) a person (or their **relative or partner**) who — - **holds any security or interest** in the company / its subsidiary / holding / associate / fellow-subsiary. **Relaxation:** a *relative* may hold securities of **face value up to ₹1,00,000** (Rule 10; a corrective window of 60 days applies if the limit is inadvertently exceeded, e.g. by a bonus/rights issue); - is **indebted** to the company (etc.) for an amount **exceeding ₹5,00,000**; - has given a **guarantee/security** for a third party's debt to the company **exceeding ₹1,00,000**; - *why: any of these gives management money-power over the auditor*; - (e) a person or firm having a **business relationship** (directly or indirectly) with the company / subsidiary / holding / associate — beyond permitted professional/ordinary commercial arm's-length transactions — *why: a commercial dependence is a leash*; - (f) a person whose **relative is a director or is in the employment of the company as a director or KMP** — *why: family loyalty defeats independence*; - (g) a person in **full-time employment elsewhere**, OR who (with partners) already holds appointment as auditor of **more than 20 companies** (the ceiling; excludes OPCs, dormant, small companies and private companies with paid-up capital < ₹100 crore for counting purposes) — *why: an overloaded auditor cannot do a real audit*; - (h) a person **convicted of an offence involving fraud** and **less than 10 years** have elapsed since conviction — *why: a proven fraudster is unfit to certify honesty*; - (i) a person who, directly or indirectly, renders **prohibited services under Sec 144** — links the disqualification list to the non-audit-services ban.

"Relative" — the precise net (Sec 2(77) + Rules). Disqualification (d) and (f) turn on who counts as a *relative*. A relative means members of a **Hindu Undivided Family**, **spouse**, and persons related in the

prescribed manner — the prescribed list is: **father (incl. step-father), mother (incl. step-mother), son (incl. step-son), son's wife, daughter, daughter's husband, brother (incl. step-brother), sister (incl. step-sister)**. Trap: a **cousin, nephew, uncle, or son-in-law's relatives** are **not** relatives for this purpose; and note the list is **not fully symmetric** (e.g. brother's wife is generally not covered). If a question puts securities in the hands of the auditor's *brother* — covered; in the hands of a *cousin* — not covered.

The security/indebtedness limits — read them precisely. Three separate figures, three separate persons-in-scope, and one crucial asymmetry: - **Securities/interest (₹1 lakh face value)**: the base rule bars *any* holding by the **auditor, relative or partner**; the **₹1 lakh relaxation applies ONLY to a relative**, not to the auditor or partner themselves. So if the **auditor personally** holds even one share, they are disqualified — there is **no** ₹1 lakh cushion for the auditor. The cushion is a concession to the fact that an auditor cannot fully control a relative's investments. - **Indebtedness (exceeds ₹5 lakh)**: disqualified if the auditor/relative/partner **owes** the company (or its holding/subsidiary/associate) more than ₹5 lakh. *Direction matters*: this is the auditor **owing** the company. A normal creditor relationship (the company owing the auditor fees) is not this disqualification. - **Guarantee/security (exceeds ₹1 lakh)**: disqualified if they have given a guarantee or provided security for a **third party's** indebtedness to the company beyond ₹1 lakh.

Vacation of office — Sec 141(4): if an auditor **incurs any Sec 141(3) disqualification after appointment**, they must **vacate office immediately**, and it is treated as a **casual vacancy** (filled under Sec 139(8)). *Why immediate*: independence is a **continuing** condition, not a one-time entry test. An auditor who buys shares in the client mid-term, or whose daughter marries a director, becomes disqualified the moment it happens.

Casual vacancy — Sec 139(8) (worth memorising because it interlocks with 141(4)): - Caused by **resignation** → filled by **Board within 30 days AND approved by members at a general meeting within 3 months** of the Board's recommendation; holds office till the next AGM. - Caused by any **other reason** (death, disqualification, etc.) → filled by the **Board within 30 days**. - In a **Government company** → filled by the **C&AG within 30 days**; failing which the Board within next 30 days. - *Why resignation needs member approval but other causes don't*: resignation is a **voluntary** act that could conceal a dispute with management, so the members are brought in to bless the replacement; death/disqualification are **involuntary** events with nothing to hide, so the Board alone plugs the gap quickly.

Memory hook for the money limits: "1-5-1": *relative securities ₹1 lakh, indebtedness ₹5 lakh, guarantee ₹1 lakh*. Ceiling of companies = **20**.

The 20-company ceiling — how to count correctly. The ceiling in 141(3)(g) is **per individual CA** (20 companies), and for a **firm** it is **20 per partner** who is a CA and not otherwise disqualified. What you **exclude** from the count: **OPCs, small companies, dormant companies, and private companies with paid-up capital below ₹100 crore**. So a CA can audit hundreds of small/OPC/dormant entities and still have 20 slots for the countable classes. Trap: an examiner lists "auditor of 22 companies" but several are OPCs or small companies — after excluding them the countable figure may be well under 20, so no breach.

4.4 Sec 142 — Remuneration of Auditor

Why: Whoever controls the auditor's pay controls the auditor. So the *fixing* of remuneration is tied back to the appointing body. - Remuneration is fixed in the **general meeting** or in the manner the meeting determines (the first auditor's remuneration may be fixed by the **Board**). - It **includes** expenses incurred in connection with the audit and any facility extended, but **excludes** any sum paid for **other services** rendered at the company's request. - *Why the exclusion is stated*: it forces a clean line between audit fees and other-

service fees — the very entanglement Sec 144 targets. It also stops management from dressing up a fat "consulting fee" as audit remuneration to inflate the auditor's dependence quietly. - *Fine point*: although members fix remuneration, the **Board fixes the first auditor's** pay because there are no members-in-AGM yet at that stage — the same logic as the Board appointing the first auditor. And where an Audit Committee exists (Sec 177), remuneration typically flows on its recommendation. The examinable one-liner: **first auditor's remuneration = Board; thereafter = general meeting (or as it determines)**.

4.5 Sec 143 — Powers and Duties of Auditors

Why: A duty to certify the truth is meaningless without the *power* to reach the truth, and a power to inspect is pointless without a *duty* to report honestly. Sec 143 supplies both blades.

Powers — Sec 143(1): - **Right of access at all times** to the **books of account and vouchers** of the company, wherever kept, and of its **subsidiaries and associate companies** (to the extent needed for consolidation). - **Right to require information and explanation** from officers as the auditor thinks necessary — with specific inquiry duties (loans properly secured, whether book entries are prejudicial, whether personal expenses charged to revenue, whether shares allotted for cash actually received cash, etc.). - *Why "at all times"*: management must not be able to stall by saying "come back later"; delay is the friend of fraud. - *The proviso (subsidiary access) is a right, not a courtesy*: the parent's auditor's right of access to a subsidiary's records exists so that consolidated financial statements can be honestly audited — a parent could otherwise hide losses inside a subsidiary the parent auditor cannot see.

Duty — the audit report — Sec 143(2) & (3): The auditor reports **to the members** on the accounts and on every financial statement, stating whether they give a **true and fair view**. The report must state, among other things: - whether they obtained all **information and explanations** necessary; - whether **proper books of account** have been kept; - whether the balance sheet and P&L **agree with the books**; - whether the accounts comply with **accounting standards**; - any **observation or qualification** and its effect; - whether any director is **disqualified from being a director** under Sec 164(2); - whether the company has **adequate internal financial controls (IFC)** and their operating effectiveness (for applicable companies); - **disclosure of any pending litigation, foreseeable losses on long-term contracts including derivatives, delays in transferring amounts to the Investor Education and Protection Fund**, etc. (Rule 11). - *Why report to members*: re-states the core idea — the auditor serves the owners, not the Board.

The four types of audit opinion (heavily examined as theory). "True and fair" is not binary; the auditor calibrates the report to what they found: - **Unmodified (clean) opinion** — accounts give a true and fair view. - **Qualified opinion** — "true and fair **except for**" a specific matter that is material but **not pervasive**. - **Adverse opinion** — the accounts do **not** give a true and fair view; the misstatement is **material and pervasive**. - **Disclaimer of opinion** — the auditor **cannot form** an opinion (e.g. denied access, insufficient evidence) — the matter is pervasive to the auditor's ability to conclude. *Why the graded scale matters*: it lets the auditor tell the owners *precisely how bad* the problem is. Trap: a "disclaimer" is about **lack of evidence**, an "adverse" is about **presence of material error** — do not swap them.

Duty when the answer is unsatisfactory — Sec 143(3) proviso / (4): where any of the required matters is answered **in the negative or with a qualification**, the report must state the **reasons** for it. A qualification without reasons is itself a defective report.

The "true and fair" duty & CARO: the government also mandates the **Companies (Auditor's Report) Order (CARO 2020)** for prescribed companies, requiring the auditor to comment on specific risk areas (fixed

assets/property, inventory, related-party loans, statutory dues, fraud reported, whistle-blower complaints, etc.). *Why: a free-form report let auditors bury bad news; CARO forces a checklist of the areas fraud usually hides in. Who is exempt from CARO: banking companies, insurance companies, Sec 8 (charitable) companies, OPCs, small companies, and certain small private companies — the reporting burden is aimed at entities with public/creditor stakes.*

Duty to sign — Sec 145: only the person appointed as auditor (or a partner so authorised) may **sign** the report; qualifications/observations/adverse remarks are **read before the company in general meeting** and are **open to inspection** by members.

Right to attend meetings — Sec 146: the auditor is entitled to receive notice of and attend **general meetings** (personally or through an authorised representative who is qualified to be an auditor) and be heard on any part concerning them. *Why: so the auditor can defend a qualified report directly to the owners, not have it spun by management. Trap: attendance is a right, not always a duty — the Act lets the company require the auditor's attendance, but the core point examiners test is the right to attend and be heard, which management cannot deny.*

Fraud reporting — Sec 143(12) (the gatekeeper duty — heavily examined): If, in the course of the audit, the auditor has **reason to believe** an **offence of fraud** is being or has been committed **against the company by officers or employees**: - If the amount is **₹1 crore or more** → report to the **Central Government** (route: to the Board/Audit Committee first for reply within **45 days**, then to the CG within **15 days** along with the reply, in **Form ADT-4**) within the prescribed time. - If the amount is **less than ₹1 crore** → report to the **Board or Audit Committee** within **2 days**, and the matter is **disclosed in the Board's Report** (nature, amount, parties involved, remedial action). - Failure to report is punishable under **Sec 143(15)** — for a listed company **₹5 lakh** and for others **₹1 lakh** (fine range; *verify current figures in the bare Act*). - **Protection:** no auditor is liable for anything done or said in **good faith** in reporting; and the duty extends to **cost auditors, secretarial auditors and branch auditors** too. - *Scope trap 1 — "against the company":* the duty is triggered by fraud **against the company by its officers/employees**. Fraud **by the company against third parties** is not the trigger of 143(12) (though it may surface elsewhere). Read the direction of the fraud. - *Scope trap 2 — "reason to believe":* the trigger is **reason to believe**, a lower bar than proof. The auditor does not wait for certainty; a well-grounded suspicion during the audit activates the duty. - *Why:* pre-2013, auditors could see fraud and stay silent ("not my job to police management"). Sec 143(12) converts the auditor into an **active whistle-blower** — the direct legislative response to Satyam.

Branch audit — Sec 143(8): - Accounts of a **branch** may be audited by the **company's auditor** OR by **another qualified person** (a "branch auditor") appointed under Sec 139. - A **foreign branch** may be audited by the company's auditor or by a person qualified under the **laws of that foreign country** (an accountant duly qualified there). - The **branch auditor sends a report to the company's (principal) auditor**, who deals with it in the main audit report **as they consider necessary**. - *Why:* a company may have branches across the country/world that one auditor cannot physically cover; but the **principal auditor stays responsible for consolidation**, so accountability is not fragmented. The principal auditor is **not automatically bound** by the branch report — they exercise their own judgement on how to treat it.

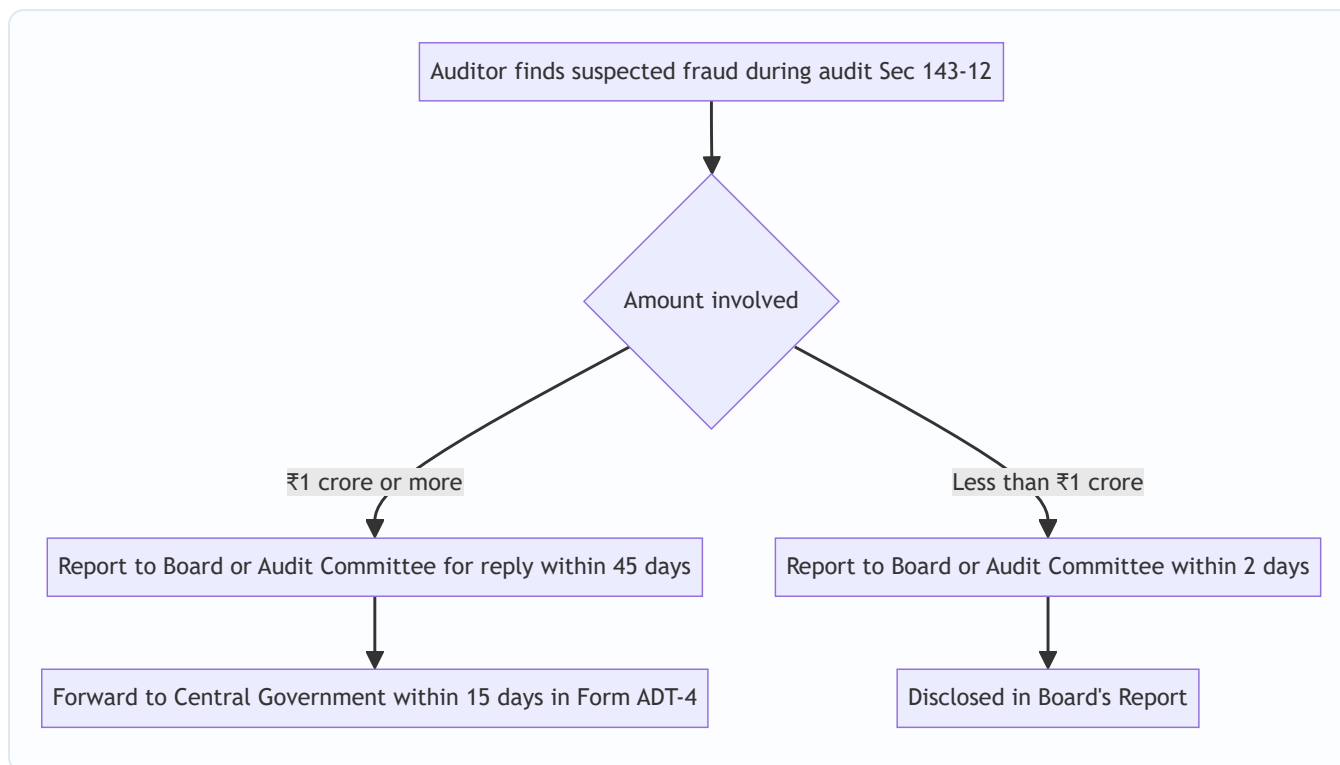


Figure 4.4 — The fraud-reporting duty turns the auditor from passive certifier into gatekeeper.

4.6 Sec 144 — Auditor NOT to render certain services (the independence firewall)

Why: The deepest capture is not a bribe — it is a **conflict of interest disguised as extra business**. If the same firm designs a company's accounting system, keeps its books, values its assets, then *audits* those very outputs, it is grading its own work and will never flag its own mistakes. Sec 144 draws a firewall: an auditor may not, directly or indirectly, render the following **prohibited services** to the company, its **holding** or **subsidiary**:

1. **Accounting and book-keeping** services;
2. **Internal audit**;
3. **Design and implementation of any financial information system**;
4. **Actuarial** services;
5. **Investment advisory** services;
6. **Investment banking** services;
7. **Rendering of outsourced financial services**;
8. **Management services**;
9. **Any other service prescribed**.

"Directly or indirectly" is defined widely to catch services rendered through **relatives, the auditor's firm, its network, or any entity in which the auditor has significant influence** — closing the "we'll just route it through an affiliate" loophole. Precisely, for an **individual** auditor it captures services rendered by the auditor, their **relative** or **any entity in which the auditor/relative has interest**; for a **firm** it captures services by the firm, its **partners**, its **parent/subsidiary/associate** entity, or **any entity whose name/brand/trademark** is used by the firm. - *Why the exact list*: each item is a service whose *output the auditor would otherwise have to audit* — self-review threat (accounting, book-keeping, internal audit, FIS

design) — or which makes the auditor an **advocate** for the client (investment banking/advisory). Permitted work (e.g. tax representation, statutory certification the law requires, other attest services) stays allowed because it does not create a self-review or advocacy conflict. - *The transition each auditor had to make:* auditors already providing these services when the section came into force had to **cease before the first financial year** on/after commencement. So the firewall applied prospectively but promptly. - **Memory hook:** "A-I-D-A-I-I-O-M" — *Accounting, Internal audit, Design of FIS, Actuarial, Investment advisory, Investment banking, Outsourced financial, Management.* - *Trap — what is NOT on the list:* **tax representation/return filing, statutory certifications required by law, and other permitted attest services are allowed** (subject to the Board/Audit Committee approving them). Examiners bait with "the auditor also files the company's tax returns — is this barred?" — generally **no**, tax work is not in the Sec 144 list, though good governance routes it through the Audit Committee.

4.7 Sec 147 — Punishment / Auditor Liability

Why: A duty with no penalty is advice. Liability is what makes the watchdog bite.

Company default (Sec 147(1)): if a company contravenes Secs 139–146, the **company** is liable to fine (₹25,000–₹5,00,000) and **every officer in default** to fine (₹10,000–₹1,00,000) — *confirm current figures*.

Auditor default (Sec 147(2)): - If an auditor contravenes Sec 139, 143, 144 or 145 → fine **₹25,000 to ₹5,00,000** or **four times the remuneration, whichever is less**. - If the contravention was **wilful and with intent to deceive** the company/shareholders/creditors/tax authorities → **imprisonment up to 1 year + fine ₹50,000 up to ₹25,00,000 (or 8× remuneration, whichever is less)**. (*verify current figures*) - *The two-tier design:* an **honest mistake or negligence** attracts only a fine; **wilful deceit** adds **imprisonment**. The dividing line is *mens rea* (intent) — the same distinction that runs through the whole penal scheme of the Act.

Consequences of a wilful/fraudulent default — Sec 147(3): - **Refund the remuneration** received; and - **Pay damages** to the company, statutory bodies or any person for loss arising from **incorrect or misleading statements** in the audit report.

Firm-level liability — Sec 147(4)/(5): where the auditor is a **firm** and the wrongdoing was committed **knowingly or with the connivance of a partner**, the **firm and the concerned partner(s) are jointly and severally liable** civilly and criminally. - *Why joint-and-several partner liability:* stops a firm from ring-fencing the guilty partner and hiding behind the entity. But note the **criminal** liability attaches to the **partner(s) who acted or connived**, not automatically to innocent partners — criminal guilt needs personal fault; civil joint-and-several liability is broader.

Other liability channels: - **Sec 447 (fraud)** — for fraudulent conduct, imprisonment **6 months to 10 years** + fine of the amount involved up to **3× the amount involved** (minimum imprisonment rises to 3 years where the fraud involves public interest). *Verify current figures*. - **Sec 245 — class action** — members/depositors may sue the auditor/audit firm for damages for any improper or misleading statement or fraudulent/unlawful conduct. Where the firm is sued, liability can attach to the **firm and each responsible partner**. - **NFRA (Sec 132)** — the **National Financial Reporting Authority** can investigate professional misconduct of auditors of prescribed (large/listed) companies, **debar** an auditor/firm for **6 months to 10 years**, and impose monetary penalties (for individuals and firms). Once NFRA takes up a matter, **ICAI's disciplinary jurisdiction over that matter is ousted** — a frequently tested "who regulates whom" point. *Why NFRA exists:* after major scandals, self-regulation by ICAI alone was seen as insufficient for the biggest

companies; NFRA is an **independent public regulator** of auditors. - **Professional misconduct under the Chartered Accountants Act 1949** — disciplinary action by ICAI for auditors of companies **outside** NFRA's remit.

The liability ladder (from lightest to gravest). Carry this ordering — examiners ask "what liabilities can an errant auditor face?":

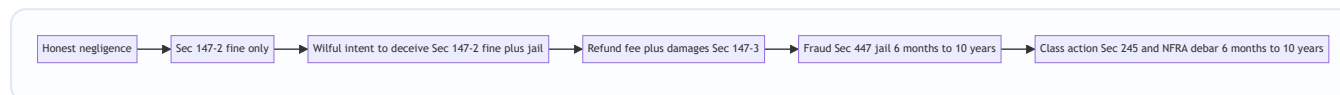


Figure 4.5 — Auditor liability escalates with intent, from a fine to jail to debarment.

4.8 Sec 148 — Cost Records and Cost Audit (basics)

Why: In regulated or resource-heavy industries (power, telecom, pharma, cement, sugar, fertilisers, defence, etc.), the cost of production is a matter of **public interest** — it feeds price regulation, subsidy claims, anti-dumping and consumer protection. A normal financial audit checks whether the accounts are true and fair; it does **not** verify whether the *costing* is honest. So the Act creates a **separate cost audit**.

- The **Central Government** may, by order, direct that specified classes of companies (engaged in **production of prescribed goods or provision of prescribed services**) maintain **cost records** in their books, subject to turnover/thresholds prescribed in the **Companies (Cost Records and Audit) Rules 2014**.
- Where required, the audit of such cost records is done by a **Cost Accountant** (member of the Institute of Cost Accountants of India) — **not a Chartered Accountant**. *Why: costing is the cost accountant's professional domain.*
- The **cost auditor is appointed by the Board** (on the Audit Committee's recommendation where applicable) — **contrast with the financial auditor appointed by members**. Remuneration is **fixed by the Board and ratified by members** (mirror-image of the financial auditor, where members fix and — historically — ratified).
- **Disqualifications:** a person disqualified under Sec 141 cannot be a cost auditor; and the **financial (statutory) auditor cannot also be the cost auditor** — same self-review firewall logic as Sec 144.
- The cost auditor submits the **cost audit report to the Board (Form CRA-3)**; the company files it with the **Central Government (Form CRA-4)** within the prescribed time (30 days of receipt from the cost auditor). Cost records are maintained in **Form CRA-1**; the cost auditor is appointed via **Form CRA-2**.
- The provisions of **Sec 143** (powers/duties) apply to a cost auditor **as they apply to a financial auditor** — so the cost auditor has the same access and reporting spine, **including the Sec 143(12) fraud-reporting duty**.
- *Two-threshold logic in the Rules:* the Rules typically set **one threshold for maintaining cost records** and a **higher threshold for cost audit** — a company may have to keep records without being subject to a full cost audit. (*Verify current turnover limits in the latest Cost Records and Audit Rules.*)

Memory hook: Financial audit = CA, appointed by members, is the account true and fair. Cost audit = Cost Accountant, appointed by Board, is the costing honest. CRA-1 records, CRA-2 appoint, CRA-3 report to Board, CRA-4 file with CG.

Financial auditor vs cost auditor — the exam contrast table:

Dimension	Financial (statutory) auditor	Cost auditor
Who is eligible	Chartered Accountant / CA firm	Cost Accountant (ICMAI)
Governing sections	139–147	148 (with 143 applied)
Appointed by	Members (first auditor by Board)	Board (AC recommendation)
Remuneration	Members / general meeting	Board, ratified by members
Reports to	Members	Board (then company files with CG)
Certifies	Accounts true and fair	Cost records maintained and correct
Key forms	ADT-1 to ADT-4	CRA-1 to CRA-4

5. Applied Scenarios (facts → analysis → conclusion)

Scenario A — The relative's shares. *Facts:* CA Ramesh is proposed as auditor of Zeta Ltd. His wife holds equity shares in Zeta Ltd of **face value ₹1,60,000**. *Analysis:* Sec 141(3)(d)(i) disqualifies a person if the person, **or their relative or partner**, holds any security in the company. A **relative** is allowed a corrective face-value limit of **₹1,00,000** (Rule 10). ₹1,60,000 exceeds that limit. (Note the limit is on **face value**, not market value — a classic trap.) A spouse is a "relative" under Sec 2(77). *Conclusion:* Ramesh is **disqualified**. He can be appointed only if the excess holding is corrected within the prescribed **60-day** window; otherwise he must vacate/decline.

Scenario B — The consulting firm that also audits. *Facts:* PQR & Associates are the statutory auditors of Nova Ltd. Nova's Board asks them to **design and implement Nova's new ERP-based financial information system** for a separate fee. *Analysis:* Sec 144 prohibits an auditor from rendering "**design and implementation of any financial information system**" to the audited company, directly or indirectly. Auditing a financial system you built yourself is self-review — the very conflict the firewall blocks. *Conclusion:* PQR & Associates **cannot** provide that service while acting as auditor. Doing so would breach Sec 144, trigger disqualification under Sec 141(3)(i) and penalties under Sec 147.

Scenario C — The auditor who smells fraud. *Facts:* During the audit of Orion Ltd, auditor CA Sneha finds strong evidence that the CFO has siphoned **₹3.2 crore** through fake vendors. *Analysis:* Sec 143(12) requires an auditor with reason to believe an offence of fraud against the company by an officer/employee to report it. Since the amount is **₹1 crore or more**, the route is: report to the **Board/Audit Committee** seeking a reply within **45 days**, then forward to the **Central Government within 15 days in Form ADT-4**. Silence attracts penalty under Sec 143(15); good-faith reporting is protected. *Conclusion:* Sneha **must** report to the CG via the ADT-4 route. She is not liable for reporting in good faith; she **would** be liable for failing to report.

Scenario D — Management tries to sack the auditor mid-term. *Facts:* The Board of Delta Ltd, unhappy that its auditor intends to qualify the accounts, passes a resolution to remove the auditor and appoint a friendlier firm immediately. *Analysis:* Removal **before expiry of term** requires the full Sec 140(1) gauntlet: Board resolution → **application to the Central Government (ADT-2) within 30 days** → **special resolution** of members within 60 days of CG approval → auditor given a **reasonable opportunity of being heard**. A Board resolution alone is void. *Conclusion:* Delta cannot remove the auditor by Board action. Without CG approval and a special resolution, the removal is **invalid** — the safeguard exists precisely to stop this.

Scenario E — Too many audits. *Facts:* CA Vikram already holds appointment as auditor in **19 companies** (excluding OPCs, small and dormant companies). Two public companies each with paid-up capital ₹200 crore now offer him appointment. *Analysis:* Sec 141(3)(g) caps a person at **20 companies** for the countable classes. He has 19 countable; both offered companies (paid-up ₹200 crore, so $\geq$ ₹100 crore) are **countable**. Accepting **both** would make 21. *Conclusion:* He may accept **one** (reaching 20) but **not both**. Accepting both would disqualify him.

Scenario F — The indebtedness trap with direction and threshold. *Facts:* CA Meera is proposed as auditor of Helix Ltd. (i) She has taken a car loan of **₹6,00,000** from Helix Ltd. In a variant, (ii) she has taken **₹4,00,000**; in another variant, (iii) it is Helix Ltd that owes **her** ₹6,00,000 in unpaid professional fees. *Analysis:* Sec 141(3)(d)(ii) disqualifies where the auditor is **indebted to the company exceeding ₹5,00,000**. (i) ₹6,00,000 owed **by her to** Helix exceeds ₹5,00,000 → **disqualified**. (ii) ₹4,00,000 is within the ₹5,00,000 limit → **not** disqualified on this ground. (iii) The direction is reversed — the **company owes her**; this is not "indebtedness of the auditor" under (d)(ii), so this ground does not disqualify (though excessive/unusual dues could raise a business-relationship question under (e)). *Conclusion:* Disqualified in variant (i); eligible in (ii) and (iii) on this ground. *Lesson:* check **both** the amount and the **direction** of the debt.

Scenario G — Firm rotation with a common partner. *Facts:* AB & Co has audited Listed Star Ltd for two consecutive 5-year terms (10 years) and must rotate off. Star's Board proposes to appoint **CD & Co**, which shares one common partner, Mr. X, with AB & Co. *Analysis:* Sec 139(2) imposes a **5-year cooling-off** on AB & Co, and the **common-partner anti-avoidance** rule bars appointing a firm that has a **common partner** with the outgoing firm during the cooling-off period. CD & Co shares partner X with AB & Co. *Conclusion:* CD & Co **cannot** be appointed during AB & Co's cooling-off period. Star must appoint a firm with **no common partner** (and not in AB & Co's network). *Variant:* if Mr. X **retires from AB & Co** before the appointment so there is no longer a common partner, the bar on that specific ground falls away — but network-firm and brand-name restrictions still apply.

Scenario H — Casual vacancy: resignation vs death. *Facts:* (i) The auditor of Comet Ltd **resigns** mid-term. (ii) In a variant, the auditor **dies** mid-term. *Analysis:* Sec 139(8): a casual vacancy by **resignation** is filled by the **Board within 30 days and** must be **approved by members** at a general meeting within **3 months** of the Board's recommendation. A vacancy by **any other cause** (death, disqualification) is filled by the **Board within 30 days** — **no** separate member approval required. *Conclusion:* (i) Board fills within 30 days **plus** members approve within 3 months; holds office till next AGM. (ii) Board alone fills within 30 days. *Lesson:* resignation is voluntary and possibly contentious, so members are brought in; death is involuntary, so speed alone matters.

Scenario I — Non-reappointment, not removal. *Facts:* At the AGM of Nimbus Ltd, some members want to appoint a **new** firm instead of the retiring auditor. They give **special notice** for a resolution to that effect. *Analysis:* This is **Sec 140(4)** (not re-appointing a retiring auditor), **not** Sec 140(1) removal. Requirements: special notice → company sends a copy to the retiring auditor → the retiring auditor may make a **written representation** and require it circulated/read out → decision by **ordinary resolution**. **No CG approval and no special resolution** are needed. If the representation is being used to secure needless defamatory publicity, the Tribunal may order it not be circulated. *Conclusion:* The retiring auditor can be replaced by **ordinary resolution** with representation rights; management/members do **not** need CG sanction because the term is ending, not being cut short.

6. Procedure / Compliance Summary

Appointment of first auditor (non-Govt): Board meeting within 30 days → pass resolution → obtain written consent + Sec 139(1) certificate → intimate auditor → (no ADT-1 mandatory for first auditor per general view; confirm) holds office till first AGM.

Appointment of subsequent auditor: Obtain consent + eligibility certificate (Rule 4) → members pass ordinary resolution at AGM for 5-year block → company intimates auditor → **file Form ADT-1 within 15 days**.

Casual vacancy (resignation): Board fills within 30 days → members approve within 3 months → holds office till next AGM.

Casual vacancy (other cause, e.g. death/disqualification): Board fills within 30 days (no member approval needed).

Removal before term: Board resolution → **ADT-2 to CG within 30 days** → CG approval → special resolution within 60 days → opportunity of hearing.

Non-reappointment (retiring auditor): Special notice → copy to retiring auditor → representation circulated/read out → ordinary resolution (no CG, no special resolution).

Resignation: Auditor files **ADT-3 within 30 days** stating reasons (with C&AG too, for Govt companies).

Fraud report (≥₹1 cr): Board/Audit Committee (45-day reply window) → **ADT-4 to CG within 15 days**.

Fraud report (<₹1 cr): Board/Audit Committee within 2 days → disclosed in Board's Report.

Cost audit: Board appoints cost auditor (**CRA-2**) → records in **CRA-1** → report to Board (**CRA-3**) → file with CG (**CRA-4**).

Form	Purpose
ADT-1	Notice of appointment of auditor to Registrar (by the company , within 15 days)
ADT-2	Application to CG for removal of auditor before term
ADT-3	Notice of resignation by auditor (by the auditor , within 30 days, with reasons)
ADT-4	Report of fraud (≥₹1 crore) to Central Government
CRA-1 / CRA-2 / CRA-3 / CRA-4	Cost records / appointment / cost audit report to Board / filing with CG

7. Connections — how this chapter wires into the rest of the Act

- **Sec 128–129 (Books of account & financial statements):** the auditor audits what these sections require management to prepare. The duty in 143 presupposes the records in 128.
- **Sec 133 (Accounting Standards):** the benchmark against which the auditor tests "true and fair"; a departure must be reported.
- **Sec 134 (Board's Report):** small frauds (<₹1 cr) reported under 143(12) are disclosed here; the auditor's qualifications feed the Board's responsibility statement.
- **Sec 164(2) (Director disqualification):** the auditor must state in the report whether any director is disqualified — the audit is a checkpoint for board hygiene too.

- **Sec 177 (Audit Committee):** in prescribed companies the Audit Committee recommends appointment/remuneration of the auditor, approves permitted non-audit services, and receives fraud reports — an extra independence layer between management and auditor.
- **Sec 132 (NFRA):** the external regulator that disciplines auditors of large/listed companies and ousts ICAI jurisdiction for those matters.
- **Sec 245 (Class action) & Sec 447 (Fraud):** the liability muscle behind Sec 147.
- **CARO 2020:** the risk-area checklist bolted onto Sec 143.
- **Chartered Accountants Act 1949:** supplies *who* is a CA and the disciplinary machinery for professional misconduct outside NFRA's remit.
- **Cost and Works Accountants Act 1959 (ICMAI):** supplies *who* is a Cost Accountant for Sec 148.

The through-line: every neighbouring section either **feeds the auditor information, defines the standard the auditor certifies against, or provides the consequence when the auditor or company fails.**

8. Traps & Examiner Tricks

- **Ratification is gone.** The proviso to Sec 139(1) requiring annual ratification was **omitted (w.e.f. 7 May 2018)**. Old materials still say "ratify at every AGM." For current law, do **not** require ratification.
- **Face value vs market value.** The relative's securities limit (₹1,00,000) is on **face value**. A question giving *market value* is baiting you.
- **Auditor has no ₹1 lakh cushion.** The ₹1 lakh securities relaxation is for a **relative** only. The **auditor/partner** holding *any* security is disqualified.
- **Direction of the debt.** Indebtedness (>₹5 lakh) means the **auditor owes the company**. The company owing the auditor is not this disqualification.
- **Individual vs firm rotation.** Individual = **one** 5-year term; firm = **two** 5-year terms; **then 5-year cooling-off**. Do not mix them up. Past service is **counted** (look-back), not reset.
- **Common partner / same network.** During cooling-off, no firm sharing a common partner **or in the same network / brand** may be appointed.
- **Who appoints whom.** Financial auditor → **members**. First auditor → **Board (30 days)**. Government company → **C&AG**. Cost auditor → **Board**. Casual vacancy by resignation needs **members' approval within 3 months**; by other reasons **Board alone**.
- **Removal vs non-reappointment.** *Removal before term* = Sec 140(1) with **CG approval + special resolution**. Merely **not re-appointing** at AGM via special notice = Sec 140(4) (representation rights, **ordinary resolution**) — no CG approval. Examiners swap these.
- **Sequence of removal.** Board resolution → CG (ADT-2) → special resolution. Passing the special resolution before CG approval is void.
- **Fraud thresholds.** **₹1 crore** is the line. ≥₹1 cr → CG via **ADT-4** (45-day + 15-day route). <₹1 cr → Board/Audit Committee within **2 days** + Board's Report. Learn both timelines.
- **"Against the company" fraud only.** Sec 143(12) triggers on fraud **against the company by officers/employees**, on **reason to believe** (not proof).
- **Body corporate can't audit — but LLP can.** Sec 141(3)(a) bars body corporates **other than LLPs**.
- **Sec 144 "directly or indirectly."** Routing a prohibited service through a relative, network firm or affiliate is still a breach. But **tax representation / statutory certification** is **not** on the prohibited list.

- **Government company % test.** ≥51% government holding. 49% is **not** a Government company — C&AG does not appoint.
- **Cost audit ≠ financial audit.** Cost auditor is a **Cost Accountant** appointed by the **Board**; the statutory auditor **cannot** also be the cost auditor. Remuneration = Board **ratified by members**.
- **Ceiling of 20 companies** excludes OPCs, dormant, small companies and (for counting) private companies with paid-up capital below ₹100 crore. For a firm it is **20 per partner**.
- **Opinion types.** Disclaimer = **lack of evidence**; adverse = **material and pervasive error**. Do not swap.
- **"At all times" access** — no examiner should catch you saying the auditor needs permission to inspect books.
- **Who files which form.** Company files **ADT-1**; auditor files **ADT-3**. Mixing these up is a giveaway.
- **NFRA vs ICAI.** For companies within NFRA's remit, NFRA disciplines and **ICAI jurisdiction is ousted** for that matter.

9. First-Principles Recap

Strip everything away and one sentence remains: **a company separates the people who own the money from the people who spend it, and lets the spenders write the report on the spending — so the law inserts an independent expert, chosen by and reporting to the owners, whom the spenders cannot silence.**

From that single idea, every rule regenerates: - To make the watchdog **loyal to owners** → appoint by members (139), report to members (143), hard to remove (140). - To make it **competent** → only a CA (141(1)). - To make it **independent** → no financial or family hooks (141(3)), no self-review consulting (144), rotate before it goes native (139(2)). - To let it **do the job** → access at all times + power to demand information (143(1)). - To make it **bite** → duty to report fraud (143(12)) and heavy civil/criminal liability plus NFRA (147, 132, 447, 245).

If you forget a threshold, ask "which capture route or blindness is this closing?" and the provision reappears. And if you forget a *procedure*, ask "is management trying to choose, pay, keep, or fire the auditor?" — each verb points to its section (141/139 choose, 142/144 pay, 139(2) keep, 140 fire).

One-line test of understanding. If you can explain *why the first auditor is chosen by the Board but every later auditor by the members*, you have the whole chapter: before the first AGM the owners have not yet assembled, so the only existing organ (the Board) plugs the gap temporarily — but the moment the owners can meet, the power reverts to them, because the auditor is theirs.

10. Quick-Revision Sheet

Key sections

Section	Deals with
139(1)	Subsequent auditor — members, 5-year block
139(2)	Rotation of auditors
139(5)/(7)	Government company auditor — C&AG
139(6)	First auditor — Board within 30 days
139(8)	Casual vacancy
140(1)	Removal before term — CG + special resolution
140(2)/(3)	Resignation — ADT-3 within 30 days
140(4)	Representation on non-reappointment
140(5)	Tribunal-ordered removal for fraud
141	Eligibility, qualifications, disqualifications
142	Remuneration
143	Powers and duties; 143(8) branch audit; 143(12) fraud reporting
144	Prohibited non-audit services
145	Signing of audit report
146	Right to attend general meetings
147	Punishment / liability
148	Cost records and cost audit
132	NFRA (external regulator)

Key limits and time-frames

Item	Limit / Time
First auditor — Board appoints	within 30 days of incorporation
First auditor — members (if Board fails)	within 90 days at EGM
Government first auditor — C&AG	within 60 days
Government subsequent auditor — C&AG	within 180 days of FY start
Subsequent auditor term	5 years (till 6th AGM)
Rotation — individual / firm	1×5 yrs / 2×5 yrs , cooling-off 5 yrs
ADT-1 filing (by company)	within 15 days of appointment
Removal application to CG (ADT-2)	within 30 days of Board resolution
Special resolution after CG approval	within 60 days
Resignation (ADT-3, by auditor)	within 30 days
Casual vacancy by resignation — member approval	within 3 months
Casual vacancy by other cause — Board fills	within 30 days
Relative's securities (face value)	up to ₹1,00,000 (correct within 60 days if exceeded)
Indebtedness disqualification	exceeding ₹5,00,000
Guarantee/security disqualification	exceeding ₹1,00,000
Ceiling on number of company audits	20 countable companies (per partner for a firm)
Fraud reporting threshold to CG	₹1 crore (ADT-4; 45-day + 15-day route)
Fraud below threshold — to Board/AC	within 2 days , disclosed in Board's Report
Auditor conviction bar	fraud conviction within last 10 years
NFRA debarment	6 months to 10 years
Cost audit report — company files CRA-4 with CG	within 30 days of receipt

Rotation rule in one line: *Individual 1×5, firm 2×5, then cool off 5 — no common-partner or same-network swap; past service counts.*

Sec 144 prohibited-services hook: *A-I-D-A-I-I-O-M* (Accounting, Internal audit, Design of FIS, Actuarial, Investment advisory, Investment banking, Outsourced financial, Management).

Money-limit hook: *1-5-1* — relative securities **₹1 lakh**, indebtedness **₹5 lakh**, guarantee **₹1 lakh**.

Exit routes hook: *Removed (140-1: CG + SR), Resigns (140-2: ADT-3), Not re-appointed (140-4: special notice + representation), Ejected for fraud (140-5: Tribunal + 5-yr bar).*

Where exact penalty figures or fine caps are stated above, **confirm the current amounts in the latest ICAI study material / bare Act**, as monetary penalties are periodically amended.

Q&A — Audit & Auditors

CA Intermediate — Corporate & Other Laws | Companies Act, 2013 (Chapter X, Sections 139–148) read with the Companies (Audit and Auditors) Rules, 2014.

First-Principles Frame (read before answering)

Shareholders own the company but managers run it. This creates an **agency gap** and a **trust gap** — owners cannot verify the numbers management prepares about itself. The law's answer is an **independent referee**: a statutory auditor who is appointed by the owners (not management), reports to the owners, cannot be casually sacked by management, must be independent (no financial/other links), and is legally liable for negligence. Every section below is a tool to protect that independence. Keep asking: "*Does this rule strengthen or weaken the auditor's independence from the Board?*"

Section A — Concept-Check Questions (with answers)

A1. Who appoints the first auditor of a company (other than a Government company), and within what time? The Board of Directors under **Sec 139(6)** appoints the first auditor within **30 days** of registration. If the Board fails, the members appoint within **90 days** at an extraordinary general meeting. The first auditor holds office till the conclusion of the first Annual General Meeting (AGM).

A2. For how long is a subsequent auditor appointed at the AGM? Under **Sec 139(1)**, an auditor is appointed to hold office from the conclusion of that AGM till the conclusion of the **sixth** AGM (i.e., a five-year term), subject to ratification being *no longer required* (the ratification proviso was omitted by the 2017 amendment).

A3. State the rotation rule under Sec 139(2). Listed companies and prescribed classes of companies cannot appoint/re-appoint (a) an **individual** auditor for more than **one term of 5 consecutive years**, and (b) an **audit firm** for more than **two terms of 5 consecutive years**. A cooling-off period of **5 years** applies before re-appointment.

A4. What is the auditor's core duty under Sec 143(1)? The auditor has a right of access **at all times** to the books, accounts and vouchers of the company (and branches), and may require information from officers. Sec 143(2) requires the auditor to make a report to the members on the accounts giving a **true and fair view**.

A5. Distinguish "eligibility" from "disqualification" under Sec 141. Sec 141(1)–(2) sets **eligibility**: only a Chartered Accountant (or a firm/LLP whose majority partners practising in India are qualified) may be appointed. Sec 141(3) lists **disqualifications** (e.g., body corporate except LLP, officer/employee of the company, indebtedness beyond Rs. 5 lakh, holding security in the company, etc.).

A6. What is the fraud-reporting threshold to the Central Government? Under **Sec 143(12)** read with Rule 13, if fraud involving an amount of **Rs. 1 crore or more** is suspected, the auditor reports to the **Central Government** (via the Board/Audit Committee and then Form ADT-4). Fraud **below Rs. 1 crore** is reported to the **Audit Committee/Board** and disclosed in the Board's Report.

A7. Name any four services prohibited to an auditor under Sec 144. Any four of: accounting and book-keeping; internal audit; design and implementation of financial information systems; actuarial services;

investment advisory/banking services; rendering of outsourced financial services; and management services. These may not be rendered to the company, its holding or subsidiary.

A8. What does Sec 142 govern, and who fixes remuneration? Sec 142 — remuneration of the auditor is fixed in the **general meeting** or in such manner as the meeting may determine. The Board fixes the remuneration of the **first** auditor.

Section B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. Indebtedness disqualification. *Facts:* Mr. X, a CA, is proposed as auditor of ABC Ltd. His spouse owes ABC Ltd Rs. 6 lakh on a personal loan. Is Mr. X eligible? *Analysis:* Under **Sec 141(3)(d)(ii)**, a person is disqualified if he, his relative or partner is **indebted** to the company for an amount exceeding **Rs. 5 lakh**. A spouse is a "relative". The debt (Rs. 6 lakh) exceeds the threshold. *Conclusion:* Mr. X is **disqualified** and cannot be appointed auditor of ABC Ltd.

B2. Ceiling on number of audits. *Facts:* CA Ravi is already the auditor of 20 companies (of which 6 are One Person Companies and small companies). PQR Ltd (a public company) offers him its audit. *Analysis:* Under **Sec 141(3)(g)**, an individual cannot be auditor of more than **20 companies**, but OPCs, small companies, dormant companies and private companies having paid-up capital below Rs. 100 crore are **excluded** from the count. Ravi's countable audits = 20 – 6 = 14. *Conclusion:* Ravi has capacity; he **can** accept PQR Ltd's audit as it is within the 20-company ceiling.

B3. Casual vacancy by resignation. *Facts:* The auditor of LMN Ltd (a non-Government company) resigns mid-term. How and when is the vacancy filled? *Analysis:* Under **Sec 139(8)(i)**, a casual vacancy caused by **resignation** is filled by the Board within **30 days**, but such appointment must be **approved by the company in general meeting** within **3 months** of the Board's recommendation. The resigning auditor must also file **Form ADT-3** under Sec 140(2) within 30 days. *Conclusion:* Board fills within 30 days + members ratify within 3 months; the resigning auditor holds office till that AGM only.

B4. Removal before expiry of term. *Facts:* The Board of RST Ltd wants to remove its auditor two years into the five-year term because the auditor raised uncomfortable qualifications. *Analysis:* Under **Sec 140(1)**, an auditor may be removed before term expiry only by a **special resolution** after obtaining **previous approval of the Central Government** (Form ADT-2 within 30 days of Board resolution; special resolution within 60 days of CG approval). The auditor must be given a **reasonable opportunity of being heard**. *Conclusion:* The Board alone cannot remove the auditor; the safeguard exists precisely to protect independence when an auditor is inconvenient. The multi-step process (CG approval + special resolution + hearing) must be followed.

B5. Non-audit service through a network firm. *Facts:* MNO & Co. is the statutory auditor of DEF Ltd. Its associate network firm provides internal audit services to DEF Ltd's subsidiary. *Analysis:* **Sec 144** prohibits the auditor (directly or indirectly through any entity in which the auditor/its partner has an interest, including associate/network firms) from rendering **internal audit** to the company, its **holding or subsidiary**. *Conclusion:* The arrangement **violates Sec 144**; the network firm cannot render internal audit to DEF Ltd's subsidiary while MNO & Co. is the statutory auditor.

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Explain the procedure and safeguards for removal of an auditor before expiry of term under Section 140(1)." Model answer: Removal of an auditor before the expiry of the term is a serious step and the Act builds in safeguards to protect auditor independence. Under **Sec 140(1)** read with **Rule 7**: (1) the Board passes a resolution proposing removal; (2) an application in **Form ADT-2** is made to the Central Government within **30 days** of the Board resolution; (3) after CG approval, a **general meeting** is held within **60 days** of receipt of approval to pass a **special resolution**; (4) the auditor is given a **reasonable opportunity of being heard** before removal. All four conditions are cumulative. This layered process ensures management cannot silence an auditor who reports unfavourably.

C2. "Discuss the auditor's duty regarding reporting of fraud under Section 143(12)." Model answer: Under **Sec 143(12)** read with **Rule 13**, if in the course of performance of duties the auditor has reason to believe that a fraud is being or has been committed against the company by officers or employees: (a) where the amount is **Rs. 1 crore or more**, the auditor must report to the Central Government — first forwarding the matter to the Board/Audit Committee within **2 days** seeking their reply within **45 days**, then reporting to the CG in **Form ADT-4** within **15 days** of receiving the reply (or on expiry of the period); (b) where the amount is **less than Rs. 1 crore**, the auditor reports to the **Audit Committee or Board**, and the matter is disclosed in the **Board's Report**. The duty also extends to cost auditors and secretarial auditors. Non-reporting attracts penalty under **Sec 143(15)**.

C3. "Write a short note on rotation of auditors under Section 139(2)." Model answer: To prevent the familiarity threat from a long-standing auditor relationship, **Sec 139(2)** mandates rotation for listed companies and prescribed classes (unlisted public companies with paid-up capital $\geq$ Rs. 10 crore, private companies $\geq$ Rs. 50 crore, or companies with borrowings/deposits $\geq$ Rs. 50 crore). An **individual** auditor may serve one term of **5 years**; an **audit firm** may serve two terms of **5 years each (10 years)**. After completing the maximum term, a **5-year cooling-off** applies before re-appointment. Incoming and outgoing firms with common partners are treated as the same firm to prevent circumvention. Members may also resolve to rotate the audit partner and team periodically.

C4. "State the provisions relating to cost audit under Section 148." Model answer: Under **Sec 148**, the Central Government may, by order, direct that specified companies engaged in the production of goods or provision of services (as prescribed classes) maintain **cost records** and get them audited. The **cost auditor** must be a **Cost Accountant** and is **appointed by the Board** (not the members), while remuneration is fixed by the Board and ratified by members. The cost auditor submits the cost audit report to the Board, and the company files it with the CG in **Form CRA-4**. A statutory (financial) auditor under Sec 139 **cannot** be appointed as cost auditor. Cost audit supplements, but is separate from, financial audit.

Procedure — Appointment Flow (Mermaid)



Syntax error in text
mermaid version 10.9.6

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

- D1.** The first auditor of a non-Government company is appointed by the Board within: (a) 15 days (b) 30 days (c) 60 days (d) 90 days **Answer: (b) 30 days** — Sec 139(6): Board appoints first auditor within 30 days of registration.
- D2.** Maximum term of an **audit firm** in a rotation-covered company: (a) 5 years (b) 10 years (c) 15 years (d) unlimited **Answer: (b) 10 years** — Sec 139(2): two terms of five consecutive years for a firm.
- D3.** Indebtedness of the auditor to the company is a disqualification if it exceeds: (a) Rs. 1 lakh (b) Rs. 5 lakh (c) Rs. 10 lakh (d) Rs. 1 crore **Answer: (b) Rs. 5 lakh** — Sec 141(3)(d)(ii).
- D4.** Fraud must be reported to the **Central Government** (Form ADT-4) where the amount involved is: (a) Rs. 10 lakh or more (b) Rs. 50 lakh or more (c) Rs. 1 crore or more (d) any amount **Answer: (c) Rs. 1 crore or more** — Sec 143(12) read with Rule 13.
- D5.** Which of the following is a **prohibited** service under Sec 144? (a) Tax audit (b) Internal audit (c) Attending AGM (d) Signing the audit report **Answer: (b) Internal audit** — Sec 144 bars internal audit for the company/holding/subsidiary.
- D6.** Remuneration of the auditor (other than first auditor) is fixed: (a) by the Board (b) by the Registrar (c) in the general meeting (d) by NFRA **Answer: (c) in the general meeting** — Sec 142(1).
- D7. Case scenario:** GHI Ltd's auditor resigns on 1 April. Which form must the resigning auditor file, and within how many days? (a) ADT-1, 15 days (b) ADT-3, 30 days (c) ADT-2, 30 days (d) ADT-4, 15 days **Answer: (b) ADT-3 within 30 days** — Sec 140(2): resigning auditor files statement of reasons in Form ADT-3.
- D8. Case scenario:** A **body corporate** (other than an LLP) is proposed as auditor. It is: (a) eligible (b) eligible with CG approval (c) disqualified (d) eligible if all directors are CAs **Answer: (c) disqualified** — Sec 141(3)(a): a body corporate other than an LLP cannot be an auditor.
- D9.** Under Sec 147, if an auditor contravenes provisions with intent to deceive, and it is proved the act was wilful, the auditor is liable to refund remuneration and pay damages, plus: (a) only a fine (b) fine and possible imprisonment (c) censure only (d) nothing further **Answer: (b) fine and possible imprisonment** — Sec 147(2)/(4): fine and, for wilful default with intent to deceive, imprisonment up to one year.
- D10.** A cost auditor under Sec 148 is appointed by: (a) members at AGM (b) the Board of Directors (c) the Central Government (d) the Audit Committee alone **Answer: (b) the Board of Directors** — Sec 148(3): cost auditor appointed by the Board; remuneration ratified by members.
-

Traps and Examiner Tricks

- **Ratification removed:** The annual ratification of the auditor's appointment (old proviso to Sec 139(1)) was **omitted in 2017**. Do not write that members ratify every year.
- **Rs. 5 lakh vs Rs. 1 crore:** Rs. 5 lakh = indebtedness disqualification (Sec 141); Rs. 1 crore = fraud-reporting-to-CG threshold (Sec 143). Examiners swap these.
- **Who appoints whom:** First auditor = Board (Sec 139(6)); subsequent = members (Sec 139(1)); cost auditor = Board (Sec 148); casual vacancy by resignation = Board + members' approval (Sec 139(8)).
- **Counting the 20:** OPCs, small, dormant and small private companies are **excluded** from the 20-company ceiling (Sec 141(3)(g)).

- **Removal ≠ non-reappointment:** Sec 140(1) removal needs CG approval + special resolution; simply *not re-appointing* at term-end does not.

Connections

- **Audit Committee (Sec 177):** recommends appointment and reviews auditor independence — feeds directly into Sec 139/144.
- **NFRA (Sec 132):** oversight, investigation and disciplinary powers over auditors of prescribed (large/listed) companies — the enforcement muscle behind Sec 143/147.
- **Board's Report (Sec 134):** carries qualifications, fraud disclosures below Rs. 1 crore, and explanations to auditor's remarks.
- **Fraud definition (Sec 447):** the substantive offence that Sec 143(12) reporting feeds into.

Quick-Revision Sheet

Topic	Section	Key number/rule
First auditor	139(6)	Board, 30 days (members 90 days)
Subsequent auditor	139(1)	Members, 5-year term
Rotation	139(2)	Individual 5 yrs / firm 10 yrs; cool-off 5 yrs
Casual vacancy (resignation)	139(8)	Board 30 days + members 3 months
Removal before term	140(1)	ADT-2, CG approval, special resolution, hearing
Resignation filing	140(2)	Form ADT-3, 30 days
Eligibility	141(1)-(2)	CA / firm with majority CA partners
Disqualifications	141(3)	Body corporate, indebtedness > Rs. 5 lakh, 20-co ceiling
Remuneration	142	General meeting
Powers & duties, fraud	143	Access at all times; fraud ≥ Rs. 1 cr → CG (ADT-4)
Prohibited services	144	Book-keeping, internal audit, actuarial, etc.
Liability	147	Fine + imprisonment (wilful, intent to deceive)
NFRA oversight	132	Prescribed companies
Cost audit	148	Cost Accountant, appointed by Board, CRA-4

First-principles recap: Every rule above exists to keep the referee independent — appointed by owners, hard to sack, free of financial entanglement, barred from selling other services, and personally liable. Read each section as an answer to the question: "How do we make sure the auditor works for the shareholders, not the managers?"

Chapter 11 — The Limited Liability Partnership Act 2008

1. The Problem — Two doors, each with a trap

Imagine you are three chartered accountants, or three architects, or two friends with a software idea in 2005. You want to go into business together. India offers you exactly two legal front doors, and each one has a knife hidden behind it.

Door 1 — The traditional Partnership (Indian Partnership Act, 1932). It is beautiful for one reason: it is *flexible and cheap*. You and your partners simply agree — orally or on a stamp paper — how you'll share profits, who does what, how decisions get made. No minimum capital, no board meetings, no filing your accounts with a government registry for the whole world to read. You just *run the business*.

But behind this door is the trap that has ruined countless families: **unlimited, joint and several liability**. If your firm borrows Rs. 2 crore and the business collapses, the creditor does not politely limit himself to the firm's assets. He comes for your *personal house, your car, your savings* — and not just for your share, for the *entire* debt. Worse, under the "agency" principle of partnership, you are liable for the wrongful acts of your *co-partner*. Your partner in Chennai signs a reckless contract; the creditor sells *your* house in Delhi. You did nothing wrong, yet you pay everything. A traditional firm also cannot own property in its own name, cannot sue in its own name cleanly, and legally *dies* every time a partner leaves or dies (no perpetual succession). And the Partnership Act capped partners at a small number, choking growth.

Door 2 — The Company (then Companies Act 1956). This door solves the liability trap perfectly: **limited liability**. Your risk is capped at the money you put in. The company is a separate legal person — it owns property, sues, and survives its members. Wonderful.

But behind *this* door is a different knife: **rigidity and cost**. A company forces on you a rigid internal architecture you never asked for — a board of directors distinct from the shareholders, statutory board meetings and AGMs with quorum and notice rules, maintenance of statutory registers, mandatory audit regardless of size, filing of annual returns and financials, restrictions on how directors are paid, and a mountain of ongoing compliance. For a two-person consultancy, this is like being forced to wear a suit of armour to walk to the corner shop. The *governance* of a company is designed for a large body of passive investors and professional managers who are *different people* — but in a small professional firm, the owners *are* the managers. The company form doesn't fit them.

So the real-world abuse/failure was this: **professionals and small entrepreneurs were forced to choose between losing their house (partnership) or drowning in paperwork built for someone else (company)**. There was no vehicle that gave you the *internal freedom of a partnership* and the *external shield of a company* at the same time. Talented people either stayed small to avoid personal ruin, or incorporated a company and suffocated, or took on unlimited risk and got wiped out by a partner's mistake.

Why India needed this specifically in the professional context. Professional-services regulation added its own twist. Chartered accountants, company secretaries and cost accountants were, under their own governing statutes, historically barred from practising through *limited-liability companies* — the regulator wanted a real human answerable for professional negligence, not a faceless corporate shield. Yet a single negligent audit could bankrupt every partner of a firm through joint liability, even partners in a different city who never touched the file. The LLP was the tailored answer: it lets a professional firm cap the *innocent*

partner's exposure while still exposing the *negligent* partner personally. This is why the LLP is often described as the vehicle "built for professionals first."

The Limited Liability Partnership Act, 2008 (in force largely from 31 March 2009, with the LLP Rules 2009) was written to build a *third door* with neither knife behind it.

2. The Core Idea — A body corporate that thinks like a partnership

The LLP is a deliberate **hybrid**. Hold these three ideas together and the whole Act unfolds from them:

1. **Outside, it behaves like a company.** It is a *body corporate* — a separate legal person with its own name, its own property, perpetual succession (it survives partners leaving or dying), and its own liability. So creditors deal with *the LLP*, not with the partners' personal wealth.
2. **Inside, it behaves like a partnership.** The relationship *among* the partners is governed by a private contract — the **LLP Agreement** — which they write however they like. No compulsory board, no compulsory AGM, no rigid capital rules. Mutual rights and duties are whatever the partners agree.
3. **The shield is the whole point.** Each partner's liability is *limited* to their agreed contribution. Critically, **one partner is not liable for the wrongful acts of another partner** — the very trap of traditional partnership is deleted. You answer for your own misconduct, not your co-partner's.

The one-line mental model: "**An LLP is a partnership that has been given a company's skin.**" The skin (separate entity + limited liability) faces the world; the partnership beats inside.

The two-personality diagram — hold both faces in mind at once.

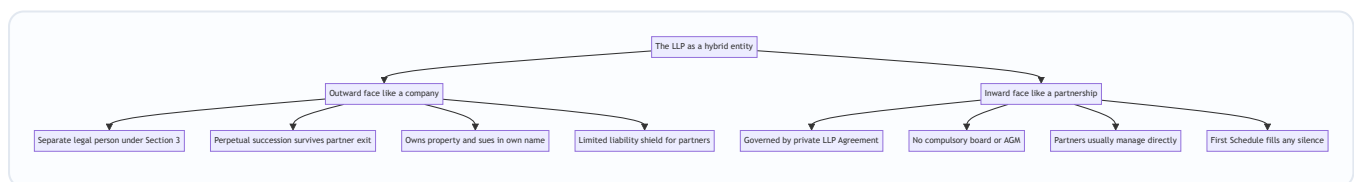


Figure 0 — One entity, two faces: the company skin faces creditors, the partnership heart faces the partners.

A subtle but examinable point — the LLP is a *body corporate* but NOT a company. These are not synonyms. Every company is a body corporate, but not every body corporate is a company. An LLP is a body corporate created by the LLP Act, whereas a company is a body corporate created by the Companies Act. So when a question asks "Is an LLP a company?" the answer is a firm **no** — it is a *body corporate that is a separate legal entity*, which is a wider category. Examiners exploit the loose everyday habit of calling any registered business "a company."

3. Why it's built this way — Design choices as answers to abuses

Every peculiar rule in the Act is a patch for a specific way the earlier forms failed. Read the Act as a list of fixes:

- **Why a "body corporate" and not just a contract?** Because the partnership's fatal flaw was that it had *no separate existence* — no perpetual succession, no property-owning capacity, and partners were personally exposed. Making the LLP a body corporate (Section 3) surgically removes all of those.
- **Why must there be at least 2 partners, but no maximum?** The minimum of 2 preserves the essential "partner-ship" idea (you can't have a partnership with yourself). Removing the maximum fixes the old

Partnership Act's cap that strangled large professional firms (think big audit or law firms with hundreds of partners).

- **Why invent "Designated Partners"?** A company has directors who are personally accountable to the regulator for compliance. A pure partnership has *nobody* the government can hold responsible for filings. If the LLP is going to enjoy limited liability, the State demands *at least someone* be personally answerable for the paperwork and legal compliance. Designated Partners are that named, accountable human interface — the price of the shield.
- **Why must at least one Designated Partner be resident in India?** So the regulator always has *somebody within reach of Indian jurisdiction* to summon. Limited liability must not become a way for everyone to hide abroad.
- **Why is the LLP Agreement optional-but-backstopped by the First Schedule?** Freedom of contract is the whole selling point, so the Act won't force terms on you. But if partners are careless and write nothing (or leave gaps), disputes would be chaos — so the **First Schedule** supplies default rules that apply *unless the agreement says otherwise*. Flexibility with a safety net.
- **Why does the shield have exceptions (fraud carve-out)?** Because limited liability is a privilege, not a license to cheat. If partners use the LLP to defraud creditors, the law must be able to *pierce* the shield — otherwise the form becomes a fraud machine. Hence Section 30.
- **Why allow conversion into an LLP but make conversion out harder?** Government policy wanted to *migrate* businesses into this transparent, filed, limited-liability form. So conversion from firm/private company/unlisted public company *into* LLP is expressly enabled (Schedules 2–4).
- **Why cap the partner's exposure at "contribution" rather than at zero?** The shield is not a free pass — it protects *personal* assets beyond what the partner agreed to risk. A partner who promised to contribute Rs. 10 lakh but has not yet paid it in remains liable to bring in that Rs. 10 lakh; the LLP and its creditors can look to that unpaid contribution. The line is drawn at the *bargain the partner struck*, not at nothing. This mirrors "unpaid share capital" in company law — the shareholder is liable up to the unpaid amount on the shares.
- **Why insist on public filing (Forms 3, 4, 8, 11)?** Because limited liability *externalises* risk onto creditors — they can only recover from the entity, not the humans. In exchange, the State forces the entity to be *transparent*: who the partners are, when they change, and whether the entity is solvent. Disclosure is the *quid pro quo* of the shield. A partnership hides; an LLP must show.

Once you see each provision as a plugged hole, you never have to memorise them as arbitrary facts.

4. Full Technical Content — Section by section, each with its "why"

Reminder: cite the exact sections in the exam. Where a precise number or figure is one that ICAI periodically revises (especially small-LLP thresholds and penalty amounts under the 2021 amendment), I flag it — **confirm the current figure in ICAI material / the bare Act.**

4.1 Nature and Definition — Sections 2 and 3

Section 3 — LLP is a body corporate. An LLP is a **body corporate** formed and incorporated under this Act, and is a **legal entity separate from its partners**. It has **perpetual succession** — a change in partners does

not affect its existence, rights, or liabilities.

Why: This single section imports the two "company-like" virtues the partnership lacked — separate personality and perpetual succession — killing the "firm dies when a partner leaves" problem.

Section 2 — Key definitions (know these precisely): - *Business* includes every trade, profession, service and occupation. (*Why broad:* the LLP was designed for professionals, not just traders.) - *Partner* means any person who becomes a partner in accordance with the LLP agreement. - *Designated Partner* means a partner designated as such under Section 7. - *LLP Agreement* means the written agreement between the partners, or between the LLP and its partners, determining their mutual rights and duties. - *Body corporate* is defined to include an LLP, a company, and an LLP incorporated outside India — but *excludes* a corporation sole, co-operative society, and other bodies notified by the Central Government. - *Foreign LLP* — an LLP formed/incorporated outside India which establishes a place of business in India.

Finer definitional distinctions the exam probes. Three points hide in Section 2 that students skate over: 1. *Business includes "profession."* This is deliberate and load-bearing — it is *why* CAs, lawyers and doctors can practise through an LLP at all. If "business" were limited to trade, the professional use-case (the whole reason the Act exists) would collapse. 2. *"Body corporate" excludes a co-operative society and a corporation sole.* Examiners love asking whether a co-operative society is a body corporate for LLP purposes — the answer is **no**, it is expressly carved out. 3. *An LLP incorporated outside India is still a "body corporate" under the definition, but it becomes a Foreign LLP only when it establishes a place of business in India.* Foreign incorporation alone does not make it a "Foreign LLP" in the Section 2 sense — the *place of business in India* is the trigger.

Section 4 — Indian Partnership Act 1932 does NOT apply. The provisions of the Partnership Act, 1932 do not apply to an LLP.

Why: An LLP is a creature of *this* Act. The old partnership law (with its unlimited-liability agency rules) is exactly what we are escaping, so it is switched off. This is a favourite exam trap — students wrongly assume the 1932 Act governs LLPs.

Section 14 — Effect of registration. On incorporation an LLP can, in its own name: (a) **sue and be sued**; (b) **acquire, own, hold and dispose of property** (movable/immovable, tangible/intangible); (c) **have a common seal, if it chooses** (a seal is optional); and (d) do all other lawful acts a body corporate may do.

Why: These are the concrete practical powers a traditional firm lacked. Note the seal is *optional* — flexibility again.

4.2 Nature of Liability — Section 27 and 28 (the heart of the shield)

Section 27 — Extent of liability of the LLP. - An LLP is **not bound** by anything done by a partner in dealing with a person **if** (a) the partner **has no authority** to act for the LLP in that matter, *and* (b) the other person **knows** the partner has no authority *or* does not know/believe him to be a partner. (*Why:* protects the LLP from unauthorised acts, but only where the outsider was on notice.) - The LLP **is liable** if a partner is liable for a **wrongful act or omission** done in the *course of the business* of the LLP or *with its authority*. - **The liabilities of the LLP are met out of the property of the LLP.**

Why the last line is gold: it locates the debt on the *entity's* assets — the firewall between business debt and personal wealth.

Reading Section 27 as a two-limb test (this is where marks are won). The "not bound" limb is a cumulative test — *both* conditions must be satisfied for the LLP to escape: - Limb (a): the partner in fact had

no authority for that act; **and** - Limb (b): the outsider **knew** of the lack of authority **or** did not even believe him to be a partner.

If the outsider honestly believed the partner had authority and did not know otherwise, the LLP **is** bound even by an unauthorised act — because the LLP put that person forward as a partner and must bear the cost of that appearance (the same *apparent/ostensible authority* logic as agency law). The examiner's tweak: change one fact — "the supplier had been told the partner could not sign contracts above Rs. 5 lakh" — and suddenly limb (b) is met, so the LLP escapes. Watch the outsider's *knowledge*.

Section 28 — Extent of liability of a partner. - A partner is **not personally liable**, directly or indirectly, for an obligation of the LLP (whether arising in contract or otherwise) **solely by reason of being a partner.** - **A partner is NOT liable for the wrongful act or omission of any OTHER partner.** - BUT a partner *remains* personally liable for **his own** wrongful act or omission.

Why: This is the exact reversal of the traditional partnership's cruelty. In a 1932 firm, every partner is an agent of every other, so all are liable for one's wrong. Section 28 cuts that chain: you carry only your own sins.

The three key words: "solely by reason of being a partner." The shield attaches to *status*, not to *conduct*. It removes liability that would arise *merely because you are a partner*. It does **not** remove liability that arises from *your own act*. So the shield is porous in exactly one direction — your personal wrongdoing punches straight through it. A partner who personally guarantees an LLP loan is liable on the *guarantee* (a separate contract), not "solely by reason of being a partner" — so Section 28 gives him no protection there. This is a favourite hidden fact: a personal guarantee defeats the shield for that debt.

Memory hook — "Your own sin, your own skin." The shield covers you for the *firm's* debts and your *partner's* wrongs; it does *not* cover your *own* wrongdoing.

4.3 The exceptions that keep the shield honest — Sections 30 and 31

Section 30 — Unlimited liability in case of fraud. If the LLP or any of its partners acts **with intent to defraud** creditors or for any fraudulent purpose, the **liability of the LLP and the partners who acted with such intent is UNLIMITED.** (A partner who was *not* party to the fraud keeps the shield.) There are also penalties — fine and imprisonment for those involved.

Why: Limited liability is a privilege granted for honest enterprise. The moment it is weaponised to cheat creditors, the law strips it away. This is the "anti-abuse" valve.

The mental-element trap in Section 30. The section bites only on *intent* — "with intent to defraud" or "for any fraudulent purpose." Mere *negligence*, bad judgment, or an honest business failure does **not** trigger Section 30, however large the loss. So an LLP that goes bankrupt through incompetence keeps its shield; an LLP that borrows money it *never intended to repay* loses it. The examiner's tweak: "the partners were reckless / careless / over-optimistic" — that is **not** fraud; do not apply Section 30. Only *dishonest intent* strips the shield. Also note the carve-out protects the *innocent* partner — Section 30 reaches only "the partners who acted with such intent," never a partner who knew nothing.

Section 31 — Whistle-blowing protection. The Tribunal may reduce or waive penalties for a partner/employee who provides useful information leading to conviction, and such persons are protected from discharge/demotion/harassment for whistle-blowing.

Why: Encourages insiders to expose fraud — supports Section 30's enforcement.

4.4 Partner as agent — Section 26

Section 26 — Every partner is the agent of the LLP, but NOT of the other partners.

Why this careful wording: In a 1932 firm each partner is agent of the firm *and* of the co-partners (that mutual agency is what spread liability). The LLP keeps partners as agents of the *entity* (so they can transact for it) but severs the agency *between partners* — which is precisely what makes Section 28's no-cross-liability rule coherent.

Why the "agent of the LLP only" design is internally consistent. Trace the logic chain and you see the Act is a single coherent machine, not a list of rules: - Because a partner is agent of the **LLP** (S. 26), his authorised acts bind the **LLP** (S. 27) — so the entity, not the partners personally, carries the deal. - Because a partner is **not** agent of the **other partners** (S. 26), his wrong cannot be imputed to them — which is exactly what S. 28 then states as no-cross-liability. - Both rest on the entity having its own personality (S. 3) and its own property to pay from (S. 27).

Knock out any one and the others wobble. The exam reward for seeing this: you can *derive* S. 28 from S. 26 rather than memorise it.

4.5 Partners — Sections 5, 6, 7

Section 5 — Who can be a partner. Any *individual* or *body corporate* may be a partner. An individual **cannot** be a partner if: (a) declared of **unsound mind** by a competent court and the finding is in force; (b) an **undischarged insolvent**; or (c) has **applied to be adjudicated an insolvent** and the application is pending.

Why body-corporate partners allowed: fixes another partnership limitation — a company could not be a partner in a 1932 firm in the same clean way. It lets corporate groups structure joint ventures through LLPs.

Fine distinctions on capacity. (i) The disqualification for unsound mind requires a *finding by a competent court that is currently in force* — a partner who is merely eccentric, or was once ill but recovered, is not disqualified. (ii) An *undischarged insolvent* is disqualified, but a person who was insolvent and has since obtained an **order of discharge** is fine again — the word "undischarged" is doing real work. (iii) A minor cannot be a partner in an LLP — unlike the 1932 Act, which allowed a minor to be *admitted to the benefits* of a firm with consent. The LLP Act has no such minor-benefit route; a partner must be a person competent to contract or a body corporate. This 1932-vs-LLP contrast on minors is a classic tweak.

Section 6 — Minimum number of partners. - An LLP must have **at least two partners**. - If the number falls below 2 and the LLP carries on business for **more than six months** while so reduced, then the **sole remaining partner** who *knows* he is carrying on business alone becomes **personally liable** (jointly with the LLP) for obligations incurred during that period.

Why the 6-month grace: people leave; forcing instant dissolution would be harsh. But the shield is a group privilege — run it alone beyond six months and you personally lose the shield for that period. **Contrast trap:** there is **no upper limit** on partners (unlike a private company's 200-member cap).

Three conditions must stack for personal liability under S. 6(2). The sole partner is exposed only where *all* of these are true: (a) the LLP carried on business; (b) for **more than** six months while below the minimum; **and** (c) the person *knew* he was the only partner during that time. Miss any one and the shield survives: - If a *second* partner is inducted on day 179, the six months never elapse — no personal liability. - Liability attaches only to obligations incurred *during the excess period*, not to debts that arose while there were still two partners. - The liability is *joint with the LLP* — the creditor can still pursue LLP assets first; the sole partner is an *additional* target, not the only one.

Section 7 — Designated Partners (DPs). - Every LLP must have at least **TWO Designated Partners** who are **individuals** (a body corporate can be a partner but obviously cannot itself be a DP — its *nominee individual* can). - **At least ONE Designated Partner must be RESIDENT IN INDIA.** "Resident in India" means a person who has **stayed in India for at least 120 days during the financial year** (this figure was amended — earlier it was 182 days; **confirm the current threshold in ICAI material / bare Act**). - Every DP must obtain a **Designated Partner Identification Number (DPIN)** and give **prior consent** to act. - If no partner is a DP, or if at any time there is only one DP, **every partner is deemed to be a Designated Partner.** (Why: ensures accountability never lapses.)

Why DPs exist: they are the humans **responsible for compliance** — doing all acts, matters and things required to be done by the LLP under the Act (filings, statements of account, etc.) and are **liable to all penalties** imposed on the LLP for contravention of those provisions. They are the LLP's answerable face to the Registrar.

Deeper points on DPs the exam tests. - *DPIN vs DIN.* A DP needs a Designated Partner Identification Number. In practice the MCA has merged the two identifiers so that a DIN can serve as DPIN and vice-versa, but for exam wording the Act speaks of **DPIN** — do not confuse it with the plain "Partner" who needs *no* identification number at all. Only *designated* partners need the number. - *Consent and its filing.* A DP's prior consent must be filed with the Registrar in the prescribed form. Someone cannot be made a DP against their will or by surprise. - *The "deemed DP" safety net is automatic.* If an LLP is left with fewer than two DPs (say one DP resigns), the Act *automatically* deems **every partner** to be a DP so that compliance responsibility never falls into a vacuum — the State always has someone to hold responsible. This is the accountability twin of the S. 6 minimum-partner rule. - *A DP is always also a partner.* You cannot be a DP without first being a partner — "designated" is a *layer added on top of* partner status, not a separate office. So an outside professional manager who is not a partner cannot be a DP.

Memory hook — "2 DPs, 1 in India, both individuals."

4.6 Incorporation — Sections 11, 12, 13, 15, 16

The birth sequence:

Section 11 — Incorporation document. Two or more persons *associated for carrying on a lawful business with a view to profit* subscribe their names to an **incorporation document** and file it with the **Registrar** (of the State in which the registered office is situated), along with a **statement** (by an advocate/CA/CS/Cost Accountant engaged in formation *and* by a subscriber) that all requirements of the Act regarding incorporation have been complied with.

The incorporation document must state: name of the LLP; proposed business; address of registered office; name and address of each partner; name and address of the designated partners; and other prescribed details.

Why the professional's statement: a compliance gate-keeper certifying legality *before* the shield is granted.

Two hidden requirements in Section 11. (i) The business must be "**with a view to profit**" — an LLP cannot be formed for a *not-for-profit / charitable* object. This is a genuine difference from a company, which *can* be formed for charitable purposes (Section 8 company). If a question says "they formed an LLP to run a free school with no profit motive," flag it: the profit-motive requirement is not satisfied. (ii) The statement of compliance is a *two-signature* requirement — it needs *both* a named professional (advocate/CA/CS/CMA) engaged in the formation *and* a subscriber to the incorporation document. A false statement here carries penal consequences, which is *why* the gate is trustworthy.

Section 12 — Incorporation by registration. The Registrar registers the document (within 14 days) and issues a **Certificate of Incorporation**, signed and sealed. The certificate is **conclusive evidence** that the LLP is incorporated.

Why "conclusive": gives certainty — outsiders can rely on the certificate and need not investigate the formation process.

Section 13 — Registered office and service. Every LLP must have a **registered office** to which communications may be addressed. A document may be served by sending it there by post/prescribed manner. Change of registered office must be filed with the Registrar.

Section 15 — Name. Every LLP's name must **end with "Limited Liability Partnership" or "LLP"**. The name must **not be undesirable** or identical/too similar to an existing LLP, company, or registered trademark.

Why the mandatory suffix: it warns the world that they are dealing with a limited-liability entity — creditors are on notice that recovery is capped at the LLP's assets. (Same logic as "Ltd"/"Pvt Ltd" for companies.)

Section 16–17 — Reservation and change of name. A name can be reserved by application; the Central Government can direct a change of name if it is identical/too nearly resembling another, or was obtained by wrong information.

Section 21 — Publication of name and limited liability. Every LLP must ensure its **name, registered-office address and registration number** appear on its invoices and official correspondence. Penalty for default.

Why: continuous public notice of limited-liability status — the "warning label" must stay on.

4.7 The LLP Agreement — Sections 22, 23 and the First Schedule

Section 22 — Effect of incorporation on partners. The persons who subscribed to the incorporation document are the LLP's partners on incorporation. Afterwards, a person may become a partner per the LLP agreement.

Section 23 — Relationship of partners. - The **mutual rights and duties** of the partners, and of the LLP and its partners, are governed by the **LLP Agreement**. - The agreement (and any changes) must be **filed with the Registrar** in the prescribed form (Form 3) within prescribed time. - **In the absence of agreement** on any matter, the mutual rights and duties are determined by the provisions in the **FIRST SCHEDULE**.

Why the First Schedule fallback: freedom to contract, but no vacuum. If partners forget to address, say, profit-sharing, the Schedule fills the gap.

Key default rules in the First Schedule (apply only if the agreement is silent): - All partners are entitled to **share equally** in the capital, profits and losses. - The LLP must **indemnify** each partner for payments made in the ordinary and proper conduct of business. - Every partner may **take part in the management** of the LLP. - **No partner is entitled to remuneration** for acting in the business/management. (*A crucial default trap.*) - **No person may be introduced as a partner without the consent of ALL existing partners.** - Any *ordinary* matter is decided by a **majority** of partners, and every partner has **one vote**; but **no change in the nature of the business** may be made without the consent of **all** partners. - The LLP must keep **records and accounts** open to inspection by any partner. - **Disputes** among partners not resolved by the agreement go to arbitration-style resolution / the mechanism provided.

Why "no remuneration by default" and "equal share by default": these mirror the classic partnership defaults — the Act deliberately makes the LLP *feel* like a partnership when the parties say nothing.

The "gap-by-gap" nature of the First Schedule — a point students misread. The Schedule does not switch *on or off as a whole*. It applies matter-by-matter: on *every specific point* where the agreement is silent, the corresponding Schedule default fills in — even if the agreement covers other points. So a one-line agreement that says only "profits shared 60:40" *displaces* the equal-sharing default but leaves *every other* default (no remuneration, unanimous consent for new partners, equal management rights) fully in force. Examiner tweak: "the agreement fixed profit ratios but said nothing about salary" — the salary default (no remuneration) still applies. Read the agreement clause-by-clause against the Schedule.

The unanimity vs majority split — worth memorising the boundary. Under the Schedule, *ordinary* matters go by simple majority (one vote each), but three things need the consent of **all** partners: (i) introducing a **new partner**; (ii) changing the **nature of the business**; and — as a general matter of contract — (iii) any change to the **LLP Agreement** itself. The logic: majority rule for day-to-day operation, unanimity for anything that alters the fundamental *bargain* each partner joined on. A question that slips a "the majority voted to admit a new partner" fact is testing whether you know admission needs *unanimity*, not a majority.

Memory hook — "Silence speaks the First Schedule."

4.7A Contribution — Sections 32 and 33

Section 32 — Form of contribution. A partner's contribution may be **tangible or intangible**, movable or immovable — including **money, promissory notes, other agreements to contribute cash or property, and contracts for services performed or to be performed** (i.e. *sweat equity* / know-how). The monetary value of a non-cash contribution is accounted for and disclosed as prescribed.

Section 33 — Obligation to contribute. The obligation of a partner to contribute money or property is as set out in the **LLP Agreement**. A creditor who *dealt with the LLP without knowledge* of, but *relying on*, an obligation in the agreement (or an amendment) may **enforce** the original obligation even if the agreement is later changed to reduce it.

Why these matter: they define *what the shield is measured against*. A partner's liability is "limited to contribution" — so the Act must say what a contribution is (S. 32: even services count) and *when it is enforceable* (S. 33: a creditor who relied on a promised contribution can hold the partner to it). This closes an obvious abuse: partners promising Rs. 50 lakh to attract a lender, then quietly amending the agreement down to Rs. 5 lakh. **Trap:** the reduction does **not** bind a creditor who already relied on the higher figure. (Note: the LLP Act has no minimum contribution / minimum capital requirement — confirm in ICAI material — which is another point of flexibility over the old company minimum-capital rules.)

4.8 Cessation, changes and their filing — Sections 24, 25

Section 24 — Cessation of partnership interest. A person ceases to be a partner: (a) as per the **agreement**; or, if the agreement is silent, (b) by giving **30 days' notice** in writing to the other partners; or on **death, dissolution** of the LLP, being declared of **unsound mind**, or being **adjudged insolvent**.

Important protections: - A former partner (or their estate) is **entitled to receive** their capital contribution and their share of accumulated profits (less losses), unless the agreement provides otherwise. - A person who has ceased to be a partner is **still regarded, in relation to a third party, as a partner** *until* the third party has notice of the cessation *or* notice is delivered to the Registrar.

Why the "still regarded as partner" rule: protects outsiders who dealt with the firm believing X was a partner — the shield can't be used to spring surprises on creditors. Notice to the Registrar/third party is the cut-off. Compare Section 31/32 "holding out" logic of the 1932 Act.

What a ceased partner does *not* get, and a key limit. The former partner is entitled to money — the return of contribution and the share of accumulated profits — but is **not** entitled to *interfere in the management* of the LLP or to *demand the LLP be wound up* merely because he has left. His interest converts into a **financial claim**, not a continuing right to run the business. Also, the "still a partner to third parties until notice" rule protects *creditors*, but it does not resurrect the ex-partner's *management rights* — it only keeps his *liability* exposure alive toward outsiders who did not know he had left. Distinguish the *inward* effect (he is out; interest becomes a debt) from the *outward* effect (to un-notified outsiders he still looks like a partner).

Section 25 — Registration of changes in partners. A partner must inform the LLP of changes in his name/address; the LLP must **file notice with the Registrar within 30 days** of a person becoming or ceasing to be a partner. Penalties for default.

Why: keeps the public register accurate — the whole limited-liability bargain depends on outsiders being able to trust the register.

4.9 Financial disclosure and solvency — Sections 34, 35

Section 34 — Maintenance of books of account, other records and audit. - Every LLP must maintain **proper books of account** (may be on cash or accrual basis, double-entry) at its registered office. - Every LLP must prepare a **Statement of Account and Solvency** within **six months from the end of the financial year** and file it with the Registrar (Form 8). - Accounts are **audited** as prescribed — but **small LLPs are exempt from audit**: audit is required only if **turnover exceeds Rs. 40 lakh or contribution exceeds Rs. 25 lakh (confirm current thresholds in ICAI material / bare Act)**.

Why the audit exemption: answers the "company drowns small firms in compliance" complaint — tiny LLPs are spared mandatory audit, but larger ones must be audited to protect creditors.

Precision on the audit test — it is disjunctive ("OR"). An LLP must be audited if it crosses **either** limb — turnover over Rs. 40 lakh **or** contribution over Rs. 25 lakh. So an LLP with only Rs. 10 lakh turnover but Rs. 30 lakh contribution **must** be audited (it crossed the contribution limb), and vice-versa. Students who read it as "AND" wrongly exempt such an LLP. Also note the *financial year* for an LLP is prescribed as ending **31 March** — an LLP cannot freely pick a December year-end the way a foreign-controlled company sometimes could; this fixes the reporting calendar and is worth stating in a well-organised answer.

Section 35 — Annual Return. Every LLP must file an **Annual Return** with the Registrar within **60 days of the close of the financial year** (Form 11). Penalty for default.

Why two filings: the Statement of Account & Solvency (Form 8) shows the *financial* picture; the Annual Return (Form 11) shows the *structural* picture (who the partners are). Together they keep the register honest — the transparency the State demands in exchange for the shield.

A clean way to never swap the two deadlines. Tie the deadline to *what the document is about*: - The **Annual Return (Form 11)** is about *people/structure* — quick to compile, so a *short* window: **60 days**. - The **Statement of Account & Solvency (Form 8)** is about *money* — you must close the books first, so a *long* window: **6 months**. "Structure is quick — 60 days; accounts need closing — 6 months." Once you anchor the deadline to the *reason* for it, you will never reverse them under exam pressure.

4.10 Conversion into an LLP — Sections 55, 56, 57 and Schedules 2, 3, 4

The Act actively *invites* existing businesses to migrate into the LLP form:

Converting from	Section	Schedule
Firm (partnership) → LLP	Section 55	Second Schedule
Private company → LLP	Section 56	Third Schedule
Unlisted public company → LLP	Section 57	Fourth Schedule

Common conditions / effects of conversion (from the Schedules): - **Firm → LLP:** *all* partners of the firm, and no one else, must become partners of the LLP (partners must be the *same* people). - **Company → LLP:** *all* shareholders of the company, and no one else, become partners; there must be **no security interest (charge)** subsisting on the company's assets at the time of application; and (for the exam) generally the company must be up to date on filings. - On registration, the Registrar issues a **Certificate of Registration** as an LLP. - **All assets, liabilities, rights, privileges, obligations and undertakings** of the firm/company **vest in the LLP** automatically, and the firm/company is **deemed dissolved** and removed from the records of the Registrar of Firms/Companies. No separate conveyance is needed. - **Continuing liability of partners on conversion:** for a period (commonly **60 days**), the LLP must ensure that every official correspondence bears a statement that it was converted from a firm/company and the details thereof. - Existing agreements, contracts, and legal proceedings continue in favour of / against the LLP.

Why conversion "vests everything automatically": to make migration frictionless — otherwise every asset and contract would have to be individually re-assigned, which would kill adoption. **Note:** there is **no direct statutory route to convert an LLP into a company** under the LLP Act itself (that pathway is dealt with, if at all, under the Companies Act 2013 read with rules — **confirm in ICAI material**). This asymmetry reflects the policy of *pulling* businesses into the LLP form.

Two conversion sub-traps worth carrying into the hall. 1. "*No listed public company can convert.*" Only an **unlisted** public company may convert (S. 57). A *listed* company cannot use this route — its dispersed public shareholders cannot all become partners, which would defeat the "all shareholders and no one else become partners" condition. 2. *Old liabilities survive conversion.* Conversion is **not** a way to escape the firm's/company's past debts. Every liability *vests in the LLP* and continues; and for the notice period the correspondence must disclose the conversion so creditors are not misled. A question suggesting "they converted to an LLP to wipe out the firm's earlier loan" is wrong — the loan follows the assets into the LLP. Additionally, partners of a *firm* who were personally liable for pre-conversion obligations generally remain personally liable for those *pre-conversion* debts; the shield protects them going *forward*, not retrospectively.

4.11 Winding up and dissolution — Sections 63–65

An LLP may be wound up either **voluntarily** or **by the Tribunal (NCLT)** (Section 64). Grounds for winding up by the Tribunal include: the LLP *decides* to be wound up by Tribunal; number of partners reduced below 2 for **more than 6 months**; inability to pay its debts; acting against the sovereignty/integrity/security of India; default in filing the Statement of Account & Solvency or Annual Return for **five consecutive financial years**; or the Tribunal being of the opinion that it is **just and equitable** to wind it up.

Why these grounds: they mirror the abuses the disclosure regime targets — a chronic non-filer (5 years) has defeated the transparency bargain and loses the right to exist.

(There is also a simpler "strike-off" route for defunct LLPs under the rules — confirm the procedural detail in ICAI material.)

Voluntary vs Tribunal winding up — keep the two apart. *Voluntary* winding up is *partner-initiated* (the partners resolve to wind up, subject to creditor protection). *Tribunal* winding up is *court-driven* on the statutory grounds above. The two grounds students most often mis-cite: it is **below 2 partners for more than 6 months** (not "immediately") and **default in filing for 5 consecutive financial years** (not one or two). Note the neat link back to earlier sections — the *same* 6-month threshold that triggers S. 6(2) personal liability *also* becomes a winding-up ground under S. 64, and the *same* filing duties in S. 34/35 become a winding-up ground when chronically breached. The Act is self-referential: disobeying the shield's conditions eventually dissolves the shielded entity.

4.12 Foreign LLPs and miscellaneous

- **Section 59 — Foreign LLPs:** a Foreign LLP establishing a place of business in India must comply with prescribed regulations. (*Why:* extends the register/notice regime to foreign entities operating here.)
- **Section 58 — Registrar's certificate of registration on conversion** is conclusive.
- **Compromise, arrangement, amalgamation** of LLPs — Sections 60–62 (Tribunal-driven, mirroring company law).

5. Applied Scenarios — Facts → Analysis → Conclusion

Scenario A — The reckless co-partner. *Facts:* Anil, Bina and Chetan run "ABC Consultants LLP". Chetan, acting alone and negligently, gives disastrous professional advice to a client who then sues for Rs. 1 crore. The LLP's assets are only Rs. 30 lakh. The client wants to attach Anil's and Bina's personal flats.

Analysis: Under **Section 27**, the LLP is liable for a partner's wrongful act done in the course of its business, and that liability is met out of **LLP property**. Under **Section 28**, Anil and Bina are **not liable for Chetan's wrongful act** and are not personally liable merely for being partners. **Chetan**, however, remains personally liable for **his own** wrongful act (Section 28 proviso). No fraud is alleged, so Section 30 doesn't bite.

Conclusion: The client recovers Rs. 30 lakh from the LLP's assets and may pursue **Chetan personally** for the balance. **Anil's and Bina's flats are safe.** ("Your own sin, your own skin.")

Scenario B — The vanishing partner and the trusting supplier. *Facts:* Deepa retires from "DEF Traders LLP" on 1 April. The LLP does not file notice with the Registrar. On 20 May, a supplier, who had earlier dealt with Deepa and did not know of her exit, extends credit to the LLP believing Deepa is still a partner. The LLP defaults.

Analysis: Under **Section 24**, a person who has ceased to be a partner is still **regarded as a partner in relation to a third party** until the third party has **notice** of the cessation *or* notice is filed with the **Registrar**. Here neither had happened by 20 May. Note also **Section 25** obliges the LLP to file the change within 30 days — breached.

Conclusion: As against this particular supplier, **Deepa may still be treated as a partner** for that transaction because the required notice had not been given. Lesson: cessation must be *published/**filed* to be effective against outsiders. (This mirrors "holding out" logic and shows the shield can't ambush creditors.)

Scenario C — Silence in the agreement. *Facts:* Two friends form "GH Designs LLP" but, in a hurry, never sign an LLP Agreement. G works full-time and demands a salary of Rs. 50,000 per month and a 70% profit share (arguing he does more work). H disagrees.

Analysis: Where the agreement is silent, **Section 23(4)** makes the **First Schedule** govern. Under the First Schedule: partners **share profits equally**, and **no partner is entitled to remuneration** for managing the

business.

Conclusion: G is entitled to **50%** of profits, **not 70%**, and to **no salary** — unless they *agree otherwise in writing* (and file it). "Silence speaks the First Schedule." The remedy is to actually draft and file an LLP Agreement.

Scenario D — Down to one partner. *Facts:* "JK Ventures LLP" had two partners; one dies on 1 January. The survivor, K, continues the business alone and by 15 August (over 6 months later) the LLP incurs a large debt.

Analysis: **Section 6(2):** if the LLP carries on business with fewer than 2 partners for **more than six months**, the person who is the sole partner *and knows it* becomes **personally liable** (jointly with the LLP) for obligations incurred *during* that excess period. Six months from 1 January ends around 1 July; the August debt falls in the exposed window.

Conclusion: K is **personally liable** for the August debt — the shield lapses for solo operation beyond six months. K should have inducted a second partner before July. (If sustained, this is also a ground for winding up under Section 64.)

Scenario E — The fraudulent shield. *Facts:* Partners in "LM Exports LLP" deliberately take large advances from creditors intending never to deliver, siphoning the money out, planning to hide behind limited liability.

Analysis: **Section 30** — where the LLP or its partners act with **intent to defraud creditors**, the liability of the LLP *and* of the partners who acted with such intent is **UNLIMITED**, plus penalties.

Conclusion: The fraudulent partners **lose the shield entirely** and are personally liable without limit; a non-participating partner keeps the shield. Limited liability is for honest business, not fraud.

Scenario F — The unpaid contribution (numerical). *Facts:* In "PQR Tech LLP" the LLP Agreement records agreed contributions: P Rs. 20 lakh (fully paid), Q Rs. 15 lakh (only Rs. 5 lakh actually brought in), R Rs. 10 lakh (fully paid). The LLP owes trade creditors Rs. 60 lakh and its realisable assets are only Rs. 35 lakh. Q argues that, thanks to limited liability, he owes nothing personally.

Analysis: Limited liability under **Section 28** caps a partner's exposure at his *agreed contribution*, but a **promised-but-unpaid** contribution is still owed to the LLP under **Sections 32–33**. Q agreed to contribute Rs. 15 lakh and has paid only Rs. 5 lakh, so Rs. 10 lakh remains an enforceable obligation. The shield does **not** wipe out a contribution the partner *undertook to bring in*. - Assets available to creditors: Rs. 35 lakh (LLP realisable assets) + Rs. 10 lakh (Q's unpaid contribution recoverable into the LLP) = **Rs. 45 lakh**. - Shortfall to creditors: Rs. 60 lakh – Rs. 45 lakh = **Rs. 15 lakh**, which (absent fraud under S. 30 or a personal guarantee) creditors **cannot** recover from P, Q or R personally.

Reconciliation / self-check: P has paid Rs. 20 lakh, Q must still pay Rs. 10 lakh (total Q exposure Rs. 15 lakh = his agreed cap — consistent with S. 28), R has paid Rs. 10 lakh. No partner pays more than his agreed contribution. Total contributions if all fully paid = 20 + 15 + 10 = **Rs. 45 lakh**, exactly the pool available once Q pays up — figures reconcile.

Conclusion: Q is wrong. He must bring in the unpaid **Rs. 10 lakh**; beyond that, the partners are shielded and creditors bear the Rs. 15 lakh shortfall. (*Examiner tweak: if the agreement had been quietly amended to cut Q's contribution to Rs. 5 lakh after a creditor lent money relying on the Rs. 15 lakh figure, S. 33 lets that creditor still enforce the original Rs. 15 lakh against Q.*)

Scenario G — The relied-upon contribution that was later reduced. *Facts:* "STU Infra LLP" shows in its filed agreement that partner S will contribute Rs. 40 lakh. A bank, relying on this, lends Rs. 30 lakh. Six

months later the partners amend the agreement to reduce S's contribution to Rs. 8 lakh, and S brings in only Rs. 8 lakh. The LLP defaults; assets fall short by Rs. 22 lakh.

Analysis: Under **Section 33(2)**, a creditor who *extended credit relying on* an obligation in the agreement may enforce the **original** obligation despite a later reduction, *unless it had notice of the change* or consented to it. The bank lent Rs. 30 lakh on the strength of S's Rs. 40 lakh promise before the reduction.

Conclusion: The bank can hold **S to the original Rs. 40 lakh** contribution to the extent needed to satisfy its Rs. 30 lakh claim — so S must bring in enough to cover the Rs. 22 lakh shortfall (well within Rs. 40 lakh). The later amendment does not defeat the bank. *Lesson:* limited liability protects the honest downgrade of *future* commitments, never the retrospective cheating of a creditor who already relied.

Scenario H — Body corporate as partner and the DP requirement. *Facts:* "XY Ventures LLP" is to be formed by exactly two partners: an individual, Mr. X, and a private company, Y Pvt Ltd. The promoters propose that X and Y Pvt Ltd will be the two Designated Partners. Both X and Y Pvt Ltd's board are resident/registered in India.

Analysis: A body corporate **can** be a *partner* (S. 5), so Y Pvt Ltd's partnership is fine. But under **S. 7**, every DP must be an **individual**. Y Pvt Ltd, being a body corporate, **cannot itself be a DP** — it can only act through a **nominee individual**. An LLP needs **at least two DPs who are individuals**, with at least one resident in India.

Conclusion: The proposal fails. To be valid, the two DPs must be **individuals** — e.g. Mr. X and a **nominee individual of Y Pvt Ltd** — with at least one of them resident in India. (*Tweak: if the LLP ended up with only one valid DP, S. 7's safety net would deem every partner a DP — but Y Pvt Ltd still cannot personally be a DP; its nominee would carry the role.*)

6. Procedure / Compliance Summary

A. Incorporation flow

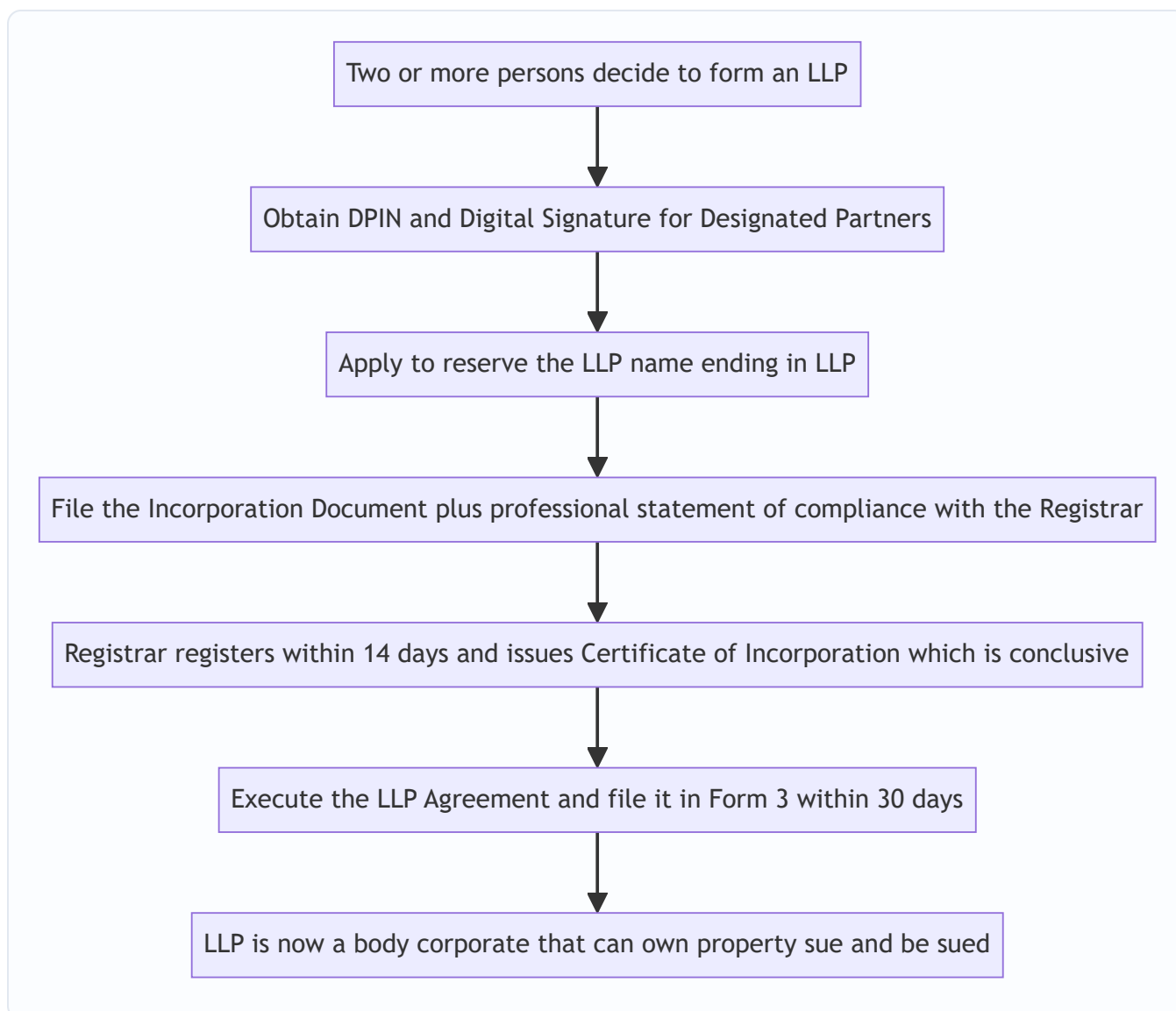


Figure 1 — From decision to a living body corporate: name, document, certificate, agreement.

B. Annual / ongoing compliance

Compliance	Provision	Form	Time limit
File LLP Agreement / changes	S. 23	Form 3	Within 30 days
Notify change of partners	S. 25	Form 4	Within 30 days
Annual Return	S. 35	Form 11	Within 60 days of close of FY
Statement of Account & Solvency	S. 34	Form 8	Within 6 months of end of FY
Audit (if turnover > Rs. 40 lakh or contribution > Rs. 25 lakh)	S. 34	—	With annual accounts
Name/LLP status on correspondence	S. 21	—	Continuous

(Confirm current forms, thresholds and any late-fee/penalty figures in ICAI material / MCA rules.)

C. The liability decision tree

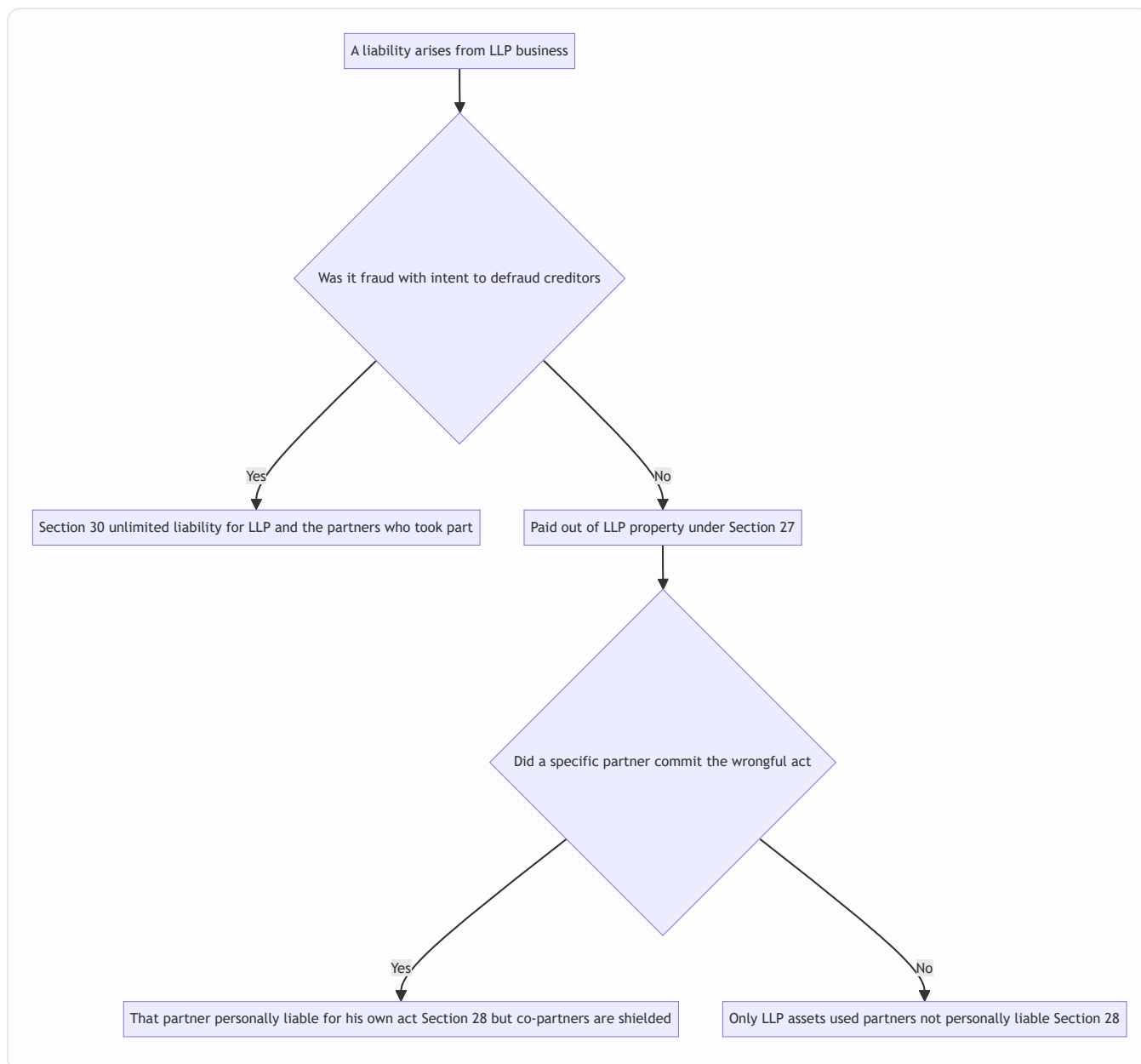


Figure 2 — Where the money comes from: fraud breaks the shield, own-wrong reaches one partner, everything else stops at the LLP's assets.

D. Conversion flow

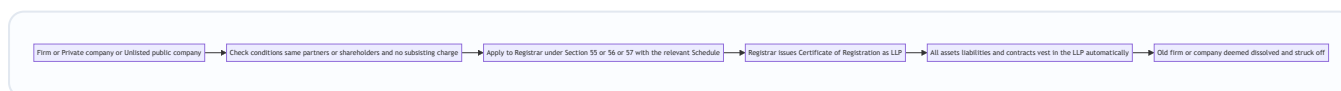


Figure 3 — Migration into an LLP: conditions, certificate, automatic vesting, dissolution of the old entity.

E. When can a partner's personal wealth be reached — the exhaustive map

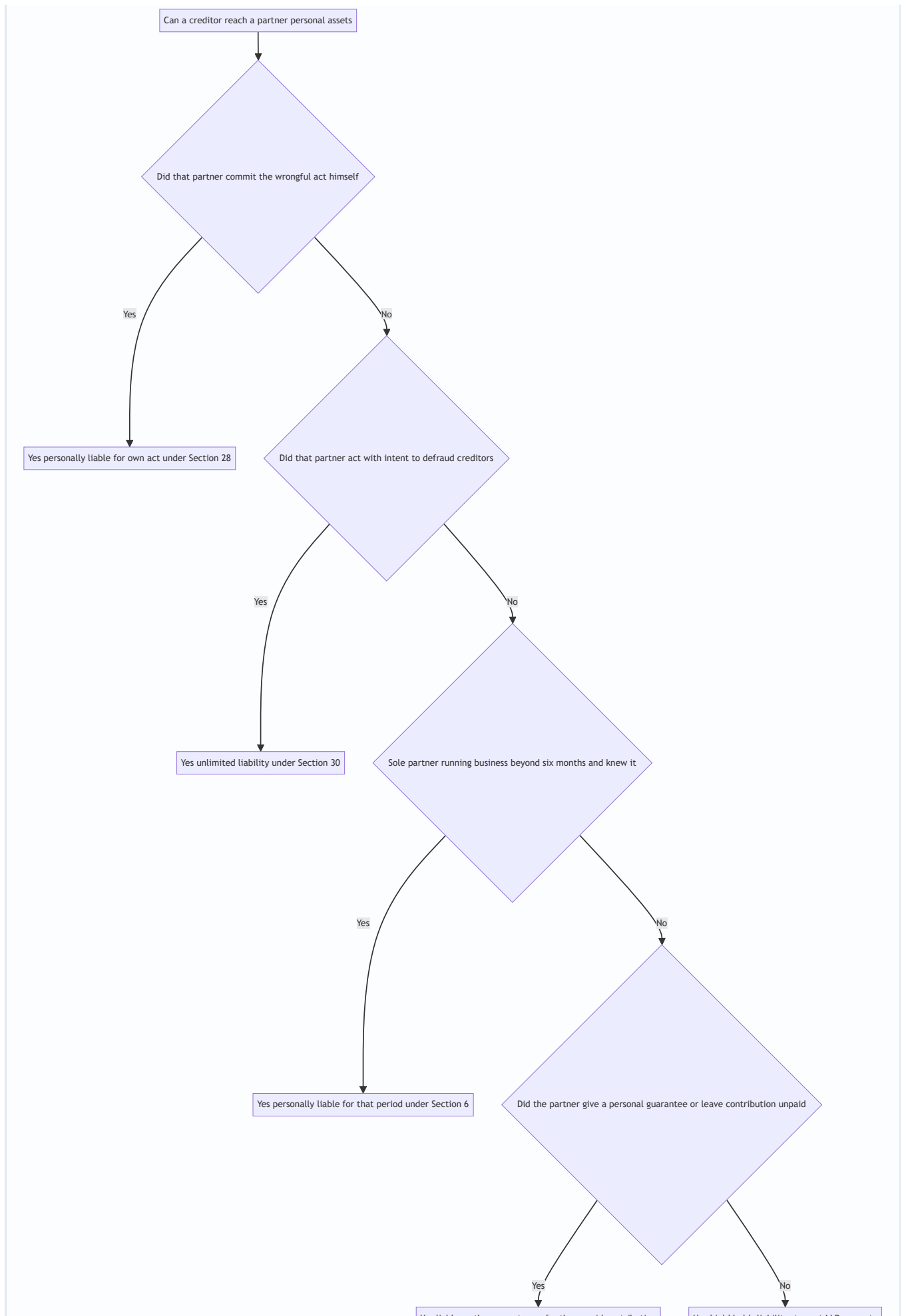


Figure 5 — The only five doors through the shield: own wrong, fraud, solo beyond six months, personal guarantee, and unpaid contribution.

7. Connections — how this chapter links to the rest of the syllabus

- **Companies Act 2013 — "Body corporate" and "separate legal personality":** the LLP borrows the *Salomon v. Salomon* principle (separate entity, limited liability) that you studied for companies. The **piercing of the veil** for fraud (Section 30 LLP) is the cousin of lifting the corporate veil under company law.
- **Indian Partnership Act 1932:** the deliberate *contrast*. LLP switches the 1932 Act **off** (Section 4), deletes mutual agency between partners (Section 26), and the **First Schedule defaults** are consciously modelled on 1932 defaults (equal profit share, no remuneration, unanimous consent for new partners) — so learning one reinforces the other. Note the *minor* contrast: a minor can be admitted to the benefits of a 1932 firm but **cannot** be an LLP partner.
- **Number of members / "association of persons" rule (S. 464 Companies Act):** the old ceiling on partners that the LLP abolishes (no maximum).
- **Interpretation of Statutes:** the "conclusive evidence" clauses (certificates) are a neat example of a *conclusive proof* provision — no evidence may be led to contradict them. The *matter-by-matter* fallback of the First Schedule is a good illustration of a *default rule* that yields to express contract.
- **NCLT jurisdiction:** winding up and compromise/arrangement of LLPs go to the **Tribunal**, the same forum you meet in company law.
- **Unpaid share capital analogy:** an unpaid LLP *contribution* (S. 32–33) behaves like *unpaid share capital* on partly-paid shares — the owner's exposure is capped at the amount agreed but *not yet brought in*.

8. Traps & Examiner Tricks

1. **"The Partnership Act 1932 governs LLPs." FALSE.** Section 4 expressly disapplies it. Classic trap.
2. **Minimum vs maximum partners.** Minimum **2** partners; **NO maximum**. (Don't confuse with a private company's 200-member cap.) Minimum **2 Designated Partners**, at least one **resident in India**, both **individuals**.
3. **Falling below 2 partners.** Not instant death — a **6-month** grace; only *after* 6 months does the **sole knowing partner** become personally liable. (Winding-up ground kicks in only after 6 months too.)
4. **The residency figure.** Often tested. Currently a DP must have stayed in India **≥ 120 days** in the FY (amended down from 182) — **confirm the current figure**. Don't blindly write 182.
5. **"A partner is liable for a co-partner's wrongful act." FALSE** (Section 28) — that's the *old* partnership rule. But a partner **is** liable for his **own** wrongful act, and **all fraudsters** lose the shield (Section 30).
6. **Remuneration by default.** If the agreement is silent, **no partner gets a salary** and **profits are shared equally** — even if one partner works far more. Examiners love the "he does more work" fact pattern.
7. **Common seal is OPTIONAL** (Section 14). Don't say it's mandatory.
8. **Two annual filings, two different deadlines:** Annual Return (Form 11) within **60 days**; Statement of Account & Solvency (Form 8) within **6 months**. Swapping these is a common slip.

9. **Body corporate can be a PARTNER but cannot be a DESIGNATED PARTNER** (only individuals can be DPs — a corporate partner acts through its nominee).
10. **Cessation needs notice to bind outsiders** (Section 24): a retired partner can still be treated as a partner by a creditor until notice reaches the third party *or* the Registrar.
11. **Certificate of Incorporation is CONCLUSIVE evidence** (Section 12) — outsiders can't challenge the formation.
12. **No direct LLP → company conversion under the LLP Act.** Conversion runs *into* the LLP (firm/company → LLP), not the other way in this Act. Don't assert a symmetrical route.
13. **Audit exemption thresholds:** turnover > **Rs. 40 lakh** OR contribution > **Rs. 25 lakh** triggers audit — below both, exempt. Reversing the "OR" into "AND" is a trap.
14. **Registrar, not RoC of companies for firms:** LLPs register with the **Registrar (of LLPs)** under this Act — think MCA/Registrar, not the Registrar of Firms.
15. **"LLP is a company." FALSE.** It is a **body corporate** and a separate legal entity, but *not* a company. Every company is a body corporate; not every body corporate is a company.
16. **An LLP cannot be formed for a charitable / not-for-profit object** — Section 11 requires "a view to profit." A company *can* (Section 8). Don't equate them here.
17. **Only an UNLISTED public company can convert** to an LLP (S. 57). A *listed* company cannot.
18. **Fraud needs INTENT** (Section 30). Mere negligence, recklessness or honest business failure does **not** strip the shield — only *dishonest intent* does.
19. **Minor cannot be an LLP partner** — unlike a minor admitted to the *benefits* of a 1932 firm.
20. **Reduced contribution does not defeat a relying creditor** (Section 33) — a creditor who lent on the original figure can still enforce it despite a later amendment.
21. **Limited liability is capped at CONTRIBUTION, not at zero** — an *unpaid* agreed contribution is still recoverable into the LLP. And a *personal guarantee* by a partner is enforceable outside the shield entirely.
22. **No minimum capital / minimum contribution** requirement for an LLP (*confirm*) — a point of flexibility, not a compliance requirement to state as mandatory.

9. First-Principles Recap

Start from the pain and rebuild the Act:

1. **The pain:** partnership = flexible but personally ruinous (unlimited + liable for partner's wrongs + dies on exit). Company = safe but rigid and expensive.
2. **The invention:** give a partnership a **company's skin**. → **Section 3:** body corporate, separate entity, perpetual succession.
3. **Put the shield in:** debts hit the **entity's** property (S. 27); a partner isn't liable just for being one and isn't liable for a *co-partner's* wrong (S. 28). To make that coherent, sever mutual agency (S. 26).
4. **Define what the shield is measured against:** contribution can be cash, property or even services (S. 32), and an agreed contribution stays enforceable so a relying creditor is not cheated (S. 33).
5. **Keep the shield honest:** fraud → **unlimited** liability (S. 30); solo-running past 6 months → personal liability (S. 6).
6. **Keep the inside free:** mutual rights = **private LLP Agreement** (S. 23); gaps filled *matter-by-matter* by the **First Schedule** (equal share, no salary, unanimous new-partner consent).

7. **Make someone answerable to the State** (price of the shield): **2 Designated Partners, 1 resident, both individuals** (S. 7), responsible for filings and penalties; if they lapse, *every* partner is deemed a DP.
8. **Warn and inform the world** (so creditors accept a capped recovery): mandatory **"LLP" suffix** (S. 15), name on correspondence (S. 21), public **register** kept current by filing changes (S. 25) and annual disclosures — Annual Return (S. 35) and Statement of Account & Solvency (S. 34).
9. **Invite migration**: convert firm/private/unlisted-public company **into** an LLP with **automatic vesting** (S. 55–57, Schedules 2–4) — but old liabilities follow the assets in.
10. **Dissolve the entity that breaks the bargain**: solo beyond 6 months, chronic 5-year non-filing, inability to pay debts, or just-and-equitable → winding up by the Tribunal (S. 64).

If you can regenerate the section numbers from *why each one had to exist*, you have understood, not memorised.

10. Quick-Revision Sheet

Key sections at a glance

Section	Content
S. 2	Definitions (partner, DP, LLP agreement, body corporate, foreign LLP)
S. 3	LLP is a body corporate , separate entity, perpetual succession
S. 4	Partnership Act 1932 does NOT apply
S. 5	Who can be a partner (individual/body corporate; not unsound-mind/insolvent; no minor)
S. 6	Min 2 partners ; below 2 for > 6 months → sole partner personally liable; no maximum
S. 7	Min 2 Designated Partners , both individuals, ≥ 1 resident in India ; DPIN; consent; deemed-DP safety net
S. 11–12	Incorporation document + professional statement; Certificate of Incorporation (conclusive)
S. 13	Registered office
S. 14	Powers: sue/be sued, own property, optional common seal
S. 15	Name must end with " LLP "/" Limited Liability Partnership "
S. 21	Name & registration number on correspondence
S. 22–23	Partners; LLP Agreement governs mutual rights; First Schedule fills gaps matter-by-matter
S. 24	Cessation of partner; notice needed to bind third parties; interest becomes a financial claim
S. 25	File change of partners within 30 days
S. 26	Partner is agent of the LLP , not of other partners
S. 27	LLP's liability met out of LLP property ; two-limb "not bound" test
S. 28	Partner not liable for co-partner's wrong; liable for own wrong
S. 30	Fraud (with intent) → unlimited liability + penalties; innocent partner shielded
S. 31	Whistle-blower protection
S. 32–33	Contribution (cash/property/services); agreed contribution enforceable by relying creditor
S. 34	Books; Statement of Account & Solvency (Form 8) within 6 months ; audit exemption
S. 35	Annual Return (Form 11) within 60 days
S. 55–57	Conversion into LLP (Firm / Pvt Co / Unlisted Public Co) — Schedules 2/3/4
S. 63–65	Winding up (voluntary / by Tribunal) & dissolution

Limits & thresholds table

Item	Figure
Minimum partners	2
Maximum partners	None
Minimum Designated Partners	2 (individuals)
DPs resident in India	At least 1
Residency test for a DP	Stay ≥ 120 days in the FY (<i>confirm</i>)
Minimum capital / contribution	None (<i>confirm</i>)
Grace period below 2 partners before personal liability	6 months
Certificate of Incorporation issued within	14 days
File LLP Agreement / changes (Form 3)	30 days
Notify change of partners (Form 4)	30 days
Annual Return (Form 11)	60 days of FY close
Statement of Account & Solvency (Form 8)	6 months of FY end
Audit required if turnover >	Rs. 40 lakh (<i>confirm</i>)
Audit required if contribution >	Rs. 25 lakh (<i>confirm</i>)
Cessation default notice period (agreement silent)	30 days
Non-filing ground for winding up	5 consecutive FYs
Cessation notice / "still a partner to outsiders" until	Notice to third party or Registrar

The four one-liners to never forget 1. "A partnership wearing a company's skin" — flexibility inside, shield outside (S. 3, S. 23, S. 28). 2. "Your own sin, your own skin" — you answer for your own wrong, never your partner's (S. 28), and fraud kills the shield (S. 30). 3. "Silence speaks the First Schedule" — no agreement → equal shares, no salary, unanimous new partners (S. 23). 4. "2 DPs, 1 in India, both individuals" — the accountable human face that pays for the shield (S. 7).

The five doors through the shield (never miss one in a liability answer) Own wrongful act (S. 28) · Fraud with intent (S. 30) · Solo beyond 6 months (S. 6) · Personal guarantee (outside the Act) · Unpaid agreed contribution (S. 32–33).

Contrast table — LLP vs Company vs Traditional Partnership (*examiner favourite*)

Feature	Traditional Partnership (1932)	LLP (2008)	Company (2013)
Governing law	Indian Partnership Act 1932	LLP Act 2008	Companies Act 2013
Separate legal entity	No	Yes	Yes
Perpetual succession	No (ends on death/exit)	Yes	Yes
Liability of owners	Unlimited , joint & several	Limited to contribution	Limited to shares/guarantee
Liable for partner's/co-owner's wrong	Yes (mutual agency)	No (S. 28)	N/A
Min / Max members	2 / capped (small)	2 / no max	Pvt 2–200; Public 7–no max; OPC 1
Minor as member	Can be admitted to benefits	No	No (as member/shareholder)
Internal governance	Free (agreement)	Free (LLP Agreement)	Rigid (Board, AGM, statutory registers)
Compulsory audit	No	Only above thresholds	Yes (generally)
Managed by	Partners	Partners / Designated Partners	Directors (distinct from shareholders)
Public filing of accounts	No	Yes (Form 8/11)	Yes
Can own property / sue in own name	No (through partners)	Yes	Yes
Charitable / not-for-profit object	Possible	Not permitted (view to profit)	Possible (Section 8)
Name must end with	—	"LLP"	"Limited"/"Private Limited"

Figure 4 (table) — The third door: LLP takes the freedom column from partnership and the shield column from company.

Q&A — The Limited Liability Partnership Act 2008

Exam-oriented question bank. Every question is immediately followed by a complete model answer with section citations. All references are to the **Limited Liability Partnership Act, 2008** (LLP Act) unless otherwise stated. Companies Act 2013 and Indian Partnership Act 1932 are cited where relevant.

SECTION A — Concept-Check (Short Questions + Answers)

A1. Define a Limited Liability Partnership. What is its legal character? Answer: Under **Section 2(1)(n)**, an LLP is a partnership formed and registered under the Act. **Section 3** declares that an LLP is a **body corporate** formed and incorporated under the Act, and is a **legal entity separate from its partners** having **perpetual succession**. Any change in partners does not affect the existence, rights or liabilities of the LLP. Thus it combines the organisational flexibility of a partnership with the separate-entity and limited-liability features of a company.

A2. Does the Indian Partnership Act, 1932 apply to an LLP? Answer: No. **Section 4** expressly provides that the provisions of the **Indian Partnership Act, 1932 shall not apply** to an LLP. The mutual rights and duties of partners and of the LLP are governed by the **LLP agreement**, and in its absence by **Schedule I**.

A3. Who can be a partner in an LLP and what is the minimum requirement? Answer: Under **Section 5**, any **individual or body corporate** may be a partner. An individual is disqualified only if declared of unsound mind, an undischarged insolvent, or one whose insolvency application is pending. **Section 6(1)** requires a **minimum of two partners**. Under **Section 6(2)**, if the number falls below two and business is carried on for more than **6 months** with a single partner, that sole partner (who knows the fact) becomes **personally liable** for the obligations incurred during that period.

A4. What is a "designated partner"? What are the statutory requirements? Answer: Under **Section 7**, every LLP must have at least **two designated partners** who are **individuals**, and **at least one must be resident in India** (stayed in India $\geq$ **120 days** during the financial year). Designated partners are responsible for compliance and are answerable for penalties. Every designated partner must obtain a **Designated Partner Identification Number (DPIN)** under **Section 7(6)**. **Section 8** makes designated partners responsible for doing all acts required under the Act and liable for penalties on contravention.

A5. State the effect of Section 14 (effect of registration). Answer: On registration, by its name an LLP is **capable of** (a) suing and being sued, (b) acquiring, owning, holding and developing/disposing of **property** (movable/immovable, tangible/intangible), (c) having a **common seal** (if it chooses), and (d) doing and suffering such other acts as bodies corporate may lawfully do. This confirms separate legal personality.

A6. When does a person cease to be a partner (Section 24)? Answer: A person may cease to be a partner per the **LLP agreement**, or in absence of agreement by giving **30 days' notice** in writing to the other partners. A person also ceases on **death**, **dissolution** of the LLP, being declared of **unsound mind**, or being **adjudged insolvent**. The cessation does not by itself discharge liability already incurred.

A7. Explain the extent of liability of partners under Section 27 and Section 28. Answer: **Section 27(3)** provides that an obligation of the LLP, whether in contract or otherwise, is **solely the obligation of the LLP**, met out of its property. **Section 28(1)** provides that a partner is **not personally liable**, directly or indirectly, for obligations of the LLP solely by reason of being a partner. However, **Section 27(1)** — no vicarious liability

for a partner's wrongful acts done without authority — and the **fraud exception in Section 30** are the limits to this shield.

A8. What is the position on liability in case of fraud (Section 30)? Answer: Under **Section 30(1)**, where the LLP or a partner acts with **intent to defraud** creditors or for any fraudulent purpose, the liability of the LLP **and** the partners who acted with such intent is **unlimited** for all debts/obligations. **Section 30(2)** imposes a fine of **₹50,000 to ₹5,00,000** and possible imprisonment. This is the LLP's "veil-piercing" provision.

SECTION B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. Falling below minimum partners. Facts: XY LLP has two partners, X and Y. Y dies on 1 April. X continues the business alone for 8 months and incurs a debt of ₹10 lakh to a supplier. X argues the debt is the LLP's alone. **Analysis:** **Section 6(1)** requires a minimum of two partners. **Section 6(2)** states that where business is carried on with **only one partner for more than 6 months**, the sole partner who knows he is the only one becomes **personally liable** for the obligations of the LLP incurred during that period. Here X carried on for 8 months (> 6 months) knowing Y had died. **Conclusion:** X is **personally liable** for the ₹10 lakh debt incurred after the 6-month grace period, jointly with the LLP. The limited-liability shield of Section 28 is lost for that period.

B2. Partner acting without authority. Facts: P, a partner of ABC LLP, borrows ₹5 lakh from Z in the LLP's name for his personal use. Z knew P had no authority to bind the LLP and also knew P was not acting for the firm. **Analysis:** Under **Section 27(1)**, an LLP is **not bound** by anything done by a partner in dealing with a person if (a) the partner has **no authority** to act, **and** (b) the person **knows** he has no authority or does not know/believe him to be a partner of the LLP. Both conditions are satisfied — Z knew P lacked authority and knew it was personal. **Conclusion:** The LLP is **not liable** to Z. Z can proceed only against P personally. Had Z been unaware of the lack of authority, **Section 27(2)** (partner as agent of LLP) would have bound the LLP.

B3. Fraudulent conduct. Facts: Two partners of MNO LLP siphon funds and deliberately incur liabilities to defraud creditors before winding up. Creditors seek to reach the partners' personal assets. **Analysis:** **Section 30(1)** removes the limited-liability protection where business is carried on **with intent to defraud creditors** or for a fraudulent purpose. In such a case the liability of the LLP **and of the partners who acted with fraudulent intent** becomes **unlimited**. **Conclusion:** The two fraudulent partners are **personally and unlimitedly liable** to creditors, and are additionally liable to a fine of **₹50,000–₹5,00,000** with possible imprisonment under **Section 30(2)**. Innocent partners are not caught by the unlimited liability.

B4. Holding out. Facts: R is not a partner of DEF LLP but allows the LLP to represent to a bank that he is a partner. On the faith of that, the bank extends credit. The LLP defaults. **Analysis:** **Section 29(1)** provides that a person who **by words or conduct represents himself, or knowingly permits himself to be represented, as a partner** is liable to any person who has on the faith of such representation given credit to the LLP — whether or not the person represented is aware of it. **Conclusion:** R is liable to the bank as though he were an actual partner (**liability by holding out**), even though he is not on the register.

B5. Business transfer / assignment of partner's interest. Facts: G, a partner in GHI LLP, assigns his profit-share to his creditor C to settle a personal debt. C claims he is now a partner and demands access to accounts and management. **Analysis:** Under **Section 42**, the rights of a partner to a **share of profits and losses and to receive distributions** are **transferable** (wholly or in part). However, such transfer does **not** by

itself cause the partner's cessation nor entitle the transferee to **participate in management** or to access information about the LLP's transactions. **Conclusion:** C is entitled only to receive G's share of profits/distributions. C is **not a partner** and has **no management or information rights**. G continues as partner.

SECTION C — Past-Paper-Style Descriptive Questions (Model Answers)

C1. "An LLP is a hybrid of a company and a partnership." Discuss the salient features of an LLP under the LLP Act, 2008. Answer: 1. **Body corporate / separate legal entity** — Section 3; distinct from partners with perpetual succession. 2. **Limited liability** — Section 27(3) and Section 28: obligations are the LLP's own; partners not personally liable merely for being partners. 3. **Partnership Act excluded** — Section 4; internal relations governed by LLP agreement / Schedule I. 4. **Perpetual succession** — Section 3(2): change of partners does not dissolve the LLP. 5. **Minimum two partners** — Section 6; at least **two designated partners**, one resident in India — Section 7. 6. **Capacity** — Section 14: can sue/be sued, own property, common seal. 7. **Mutual agency** — Section 26: each partner is an agent of the **LLP** but **not** of other partners (unlike Section 18 of the Partnership Act 1932). 8. **Perpetual existence independent of partners; property held in LLP's name.**

C2. Explain the provisions relating to incorporation of an LLP (Sections 11 to 13). Answer: - Section 11 — Incorporation document: Two or more persons associated for carrying on a lawful business **with a view to profit** subscribe their names to an incorporation document, file it with the Registrar (of the State where the registered office is situated) with the prescribed fee, along with a **statement** by an advocate/CA/CS/Cost Accountant engaged in formation and by a subscriber that the requirements of the Act have been complied with. The incorporation document states the name, proposed business, registered office address, name/address of every partner and designated partner. Making a **false statement** knowingly attracts imprisonment up to 2 years and fine (₹10,000–₹5,00,000). - **Section 12 — Incorporation by registration:** The Registrar registers the document within **14 days** and issues a **certificate of incorporation**, which is **conclusive evidence** that the LLP is incorporated. - **Section 13 — Registered office:** Every LLP must have a registered office to which communications may be addressed. Change of registered office is made per the LLP agreement; the Act prescribes filing of notice of change with the Registrar.

C3. Discuss the requirement and role of "Designated Partners" (Sections 7, 8, 9, 10). Answer: - Section 7(1): Minimum **two designated partners**, both individuals, **at least one resident in India** (in India $\geq$ 120 days in the financial year). - **Section 7(3)–(4):** Consent of each designated partner to be filed; particulars to be with the Registrar. - **Section 7(6):** Every designated partner must have a **DPIN**. - **Section 8:** Designated partners are **responsible** for compliance with the Act (filings, returns) and **liable to penalties** for contravention. - **Section 9:** LLP must ensure it always has the requisite number; a vacancy must be filled within **30 days**; if no designated partner is appointed or only one exists, **every partner** is deemed a designated partner. - **Section 10:** Penalty for contravention of Sections 7/8/9 — the LLP and its partners are punishable with fine.

C4. Explain the provisions relating to conversion of a firm/private company/unlisted public company into an LLP (Sections 55–58, Schedules 2–4). Answer: - Section 55 read with **Schedule 2** — a **firm** may convert into an LLP; all partners of the firm become partners of the LLP and no one else. - **Section 56** read with **Schedule 3** — a **private company** may convert into an LLP; all shareholders become partners and no one else. - **Section 57** read with **Schedule 4** — an **unlisted public company** may convert into an LLP; likewise all shareholders become partners. - **Section 58** — On conversion the Registrar issues a **certificate**

of registration; the LLP must within **15 days** inform the concerned Registrar of Firms/Companies. On and from the date in the certificate, **all assets, liabilities, interests, rights, privileges, obligations** of the firm/company vest in the LLP, and the firm/company is **deemed dissolved / removed** from the records. Pending proceedings continue against the LLP. Conditions in the Schedules include that there is **no security interest** subsisting/in force at the time (for firm conversion) and that the entity is **solvent** and up-to-date on filings.

C5. Write short notes on: (a) Extent of liability of LLP (Section 27); (b) Whistle blowing (Section 31).

Answer: (a) Section 27 — Extent of liability of LLP: The LLP is **not bound** by an unauthorised act of a partner where the other party knew of the lack of authority (Sec 27(1)). The LLP is **liable** if a partner is liable for a wrongful act/omission in the course of business or with authority (Sec 27(2)). Any such liability is **met out of the property of the LLP** and is the LLP's obligation alone (Sec 27(3)/(4)). **(b) Section 31 — Whistle blowing:** The Court/Tribunal may **reduce or waive penalty** against a partner or employee of an LLP who provides useful information leading to conviction or detection of an offence. Such a partner/employee is **protected against discharge, demotion, suspension, harassment or discrimination** in the terms of employment merely for providing such information. This encourages internal disclosure of fraud/wrongdoing.

SECTION D — MCQs / Case Scenarios (Correct Option + One-line Reasoning)

D1. Minimum number of designated partners in an LLP is: (a) 1 (b) 2 (c) 3 (d) 7 **Answer: (b) 2** — Section 7(1) requires at least two designated partners, at least one resident in India.

D2. The maximum number of partners in an LLP is: (a) 20 (b) 50 (c) 100 (d) No limit **Answer: (d) No limit** — Section 6(1) prescribes only a **minimum of two**; there is no statutory maximum.

D3. The Registrar shall register the incorporation document within: (a) 7 days (b) 14 days (c) 30 days (d) 60 days **Answer: (b) 14 days** — Section 12(1).

D4. If an LLP carries on business with a single partner for more than 6 months, the sole partner: (a) Has no liability (b) Is personally liable for obligations during that period (c) Faces LLP dissolution automatically (d) Is fined ₹1 lakh **Answer: (b)** — Section 6(2) imposes personal liability on the sole partner who knew.

D5. The Indian Partnership Act, 1932 in relation to an LLP: (a) Applies fully (b) Applies partly (c) Does not apply (d) Applies only to designated partners **Answer: (c) Does not apply** — Section 4.

D6. In the absence of an LLP agreement, mutual rights and duties are governed by: (a) Companies Act 2013 (b) Schedule I to the LLP Act (c) Partnership Act 1932 (d) The Registrar's directions **Answer: (b) Schedule I** — default provisions apply where the agreement is silent.

D7. A resident partner for Section 7 must have stayed in India during the financial year for at least: (a) 60 days (b) 120 days (c) 182 days (d) 240 days **Answer: (b) 120 days** — Section 7(1) Explanation (as amended).

D8. Where a person carries on business with intent to defraud creditors, liability of the LLP and the guilty partners is: (a) Limited to capital (b) Nil (c) Unlimited (d) Limited to ₹5 lakh **Answer: (c) Unlimited** — Section 30(1); plus fine ₹50,000–₹5,00,000 under Section 30(2).

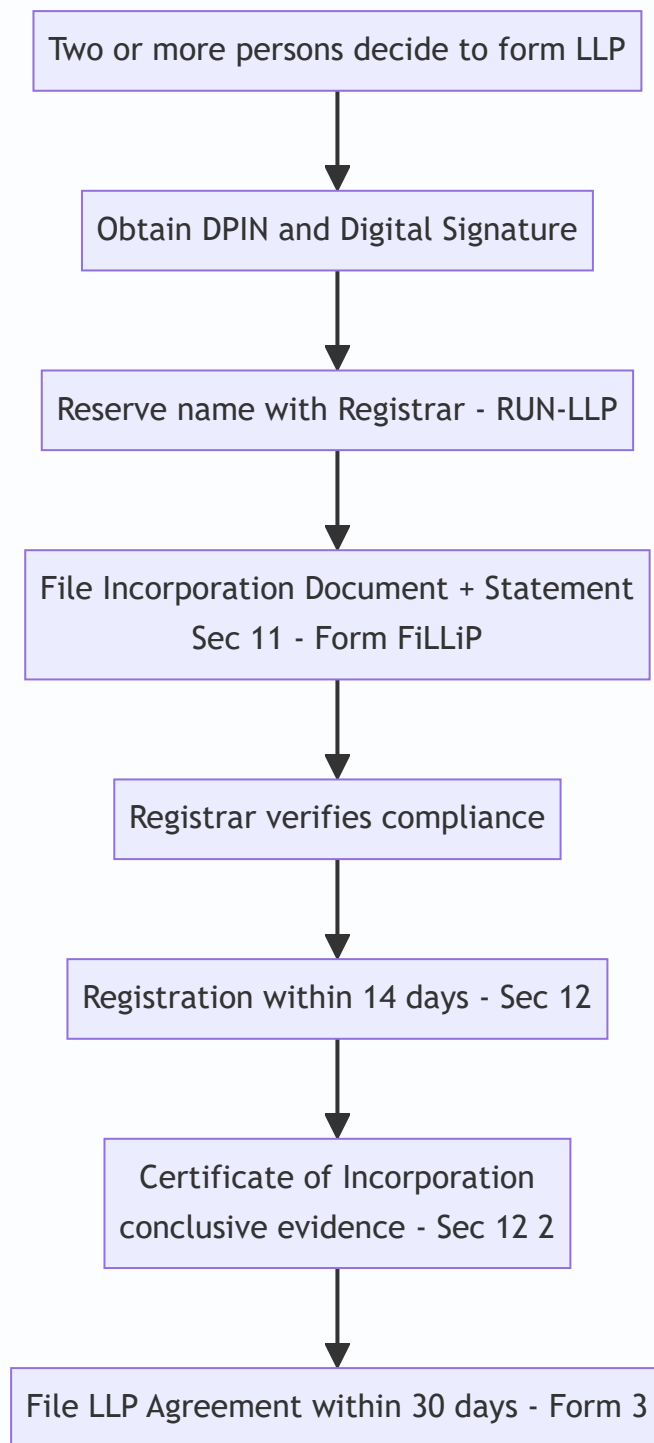
D9. A partner's right assignable under Section 42 is: (a) Right to manage (b) Right to a share of profits and distributions (c) Right to access accounts (d) All rights of a partner **Answer: (b)** — Section 42; assignment does not give management or information rights.

D10. The Statement of Account and Solvency and Annual Return are filed under: (a) Sections 34 & 35 (b) Sections 11 & 12 (c) Sections 55 & 56 (d) Sections 63 & 64 **Answer: (a) Sections 34 & 35** — Section 34 (accounts/Statement of Account and Solvency within 6 months of year-end) and Section 35 (Annual Return within 60 days of close of financial year).

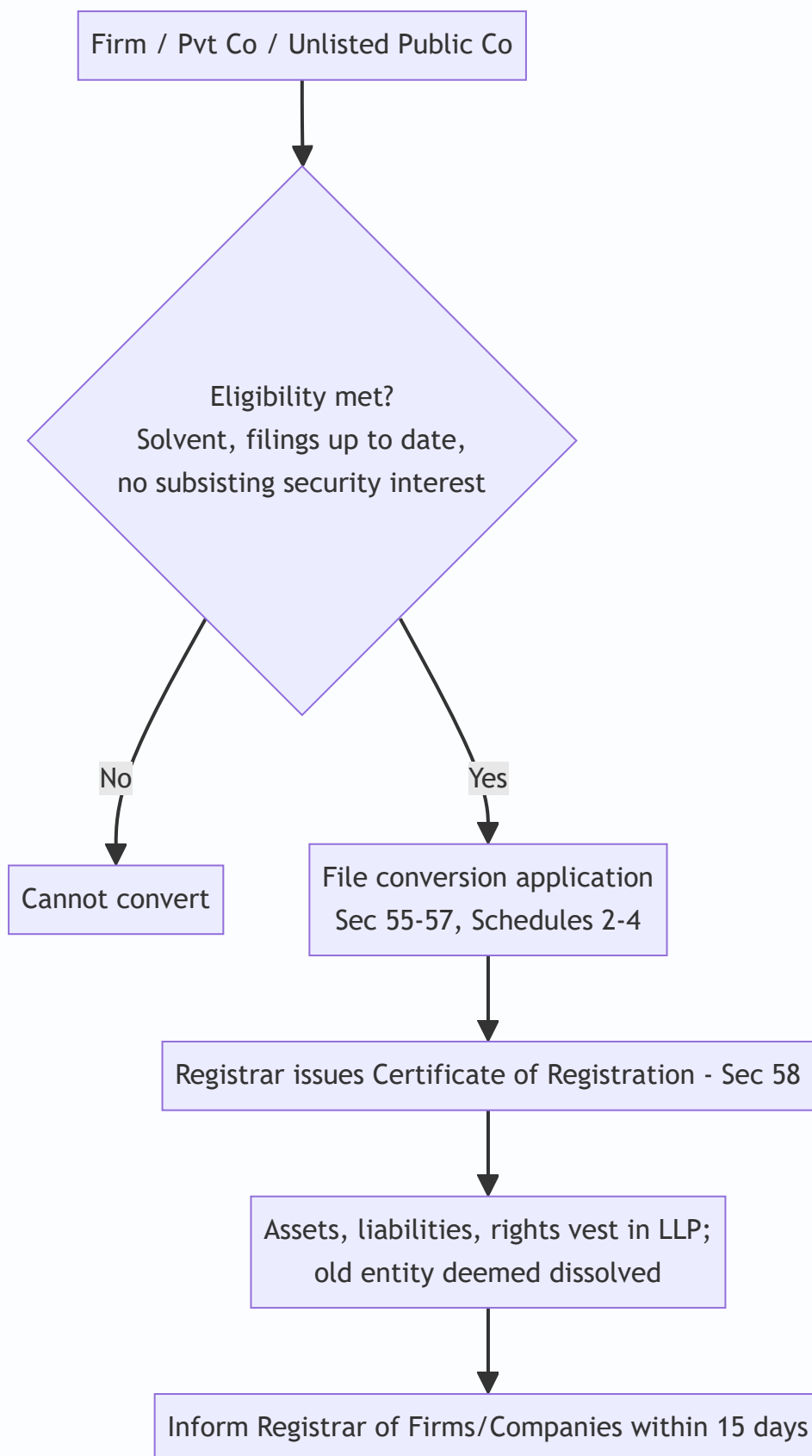
D11. A certificate of incorporation issued under Section 12 is: (a) Prima facie evidence (b) Conclusive evidence of incorporation (c) Not evidence (d) Evidence of solvency **Answer: (b) Conclusive evidence** — Section 12(2).

D12. Winding up of an LLP may be: (a) Only voluntary (b) Only by Tribunal (c) Voluntary or by the Tribunal (d) Only by the Registrar **Answer: (c)** — Section 63 (voluntary or by Tribunal); Section 64 lists grounds for winding up by Tribunal.

Key Procedure — Incorporation of an LLP (Mermaid)



Key Procedure — Conversion into LLP (Mermaid)



First-Principles Recap

- An LLP exists to solve **two traps**: unlimited personal liability in a partnership (Partnership Act 1932) and the rigidity/compliance burden of a company (Companies Act 2013).
 - It is a **body corporate** (Section 3) yet governed internally by **contract** (Section 4 + LLP agreement + Schedule I) — company-like shell, partnership-like flexibility.
 - The **liability shield** (Sections 27–28) is real but is **defeated by fraud** (Section 30), by **falling below two partners** for 6 months (Section 6(2)), and by **holding out** (Section 29).
 - Each partner is agent of the **LLP only**, not of co-partners (Section 26) — this is the design fix that makes limited liability workable.
 - Compliance rests on **designated partners** (Sections 7–10) who file the **Statement of Account & Solvency (Sec 34)** and **Annual Return (Sec 35)**.
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Quick-Revision Sheet

Key Sections Table

Section	Subject
2	Definitions (LLP, partner, designated partner)
3	LLP is a body corporate / separate legal entity
4	Partnership Act 1932 not to apply
5	Who may be a partner
6	Minimum two partners; sole-partner liability
7	Designated partners; resident condition; DPIN
8–10	Duties, changes and penalties re designated partners
11–13	Incorporation document, registration, registered office
14	Effect of registration (capacity)
15–17	Name, reservation, change of name
21	Publication of name and limited liability
22–25	Partners, relationship, cessation, registration of changes
26	Partner as agent of LLP
27–28	Extent of liability of LLP and of partners
30	Unlimited liability in case of fraud
31	Whistle blowing
34–35	Accounts / Statement of Account & Solvency; Annual Return
42	Transfer of partner's economic rights
55–58	Conversion (firm / pvt co / unlisted public co)
59	Foreign LLPs
63–65	Winding up and dissolution; rules
Sch I–IV	Default terms; conversion conditions

Limits / Deadlines Table

Item	Limit / Period	Section
Minimum partners	2	6(1)
Minimum designated partners	2 (one resident)	7(1)
Resident stay in India	≥ 120 days	7(1)
Sole-partner grace period	6 months	6(2)
Registration of incorporation	within 14 days	12(1)
Notice of cessation (no agreement)	30 days	24
Fill designated-partner vacancy	30 days	9
File LLP agreement	30 days	Rules
Statement of Account & Solvency	within 6 months of FY end	34
Annual Return	within 60 days of FY close	35
Inform Registrar post-conversion	15 days	58
Fraud fine	₹50,000–₹5,00,000	30(2)

Contrast Table — LLP vs Company vs Partnership

Feature	LLP (LLP Act 2008)	Company (Companies Act 2013)	Partnership (Partnership Act 1932)
Legal status	Separate body corporate (Sec 3)	Separate body corporate	No separate entity
Liability of members	Limited (Sec 28)	Limited	Unlimited, joint & several
Governing internal law	LLP agreement / Sch I (Sec 4)	Articles + Act	Partnership deed / Act 1932
Perpetual succession	Yes (Sec 3)	Yes	No
Min members	2 (Sec 6)	2 private / 7 public	2
Max members	No limit	200 private / unlimited public	50 (Rules under Cos Act)
Agency	Partner = agent of LLP only (Sec 26)	Directors/officers	Each partner = agent of firm & partners
Registration	Mandatory (Sec 12)	Mandatory	Optional
...			

Chapter 12 — The General Clauses Act 1897

The General Clauses Act, 1897 — the "law about laws." Central Act No. 10 of 1897, containing 30-odd sections that supply the default meanings and interpretation rules for **every** Central Act and Regulation, including the Companies Act 2013.

1. The Problem — every statute re-inventing the wheel (and contradicting itself)

Imagine Parliament is drafting a new law — say the Companies Act. The draftsman writes "any **person** who contravenes this section shall be liable...". Immediately a question arises: does "person" mean only a living human being? What about a *company*? A *partnership firm*? A *trust*? If "person" means only humans, then a company could break the law and no one could be prosecuted, because a company is not a human.

So the draftsman stops and writes a definition: "*In this Act, 'person' includes a company, an association, and a body of individuals whether incorporated or not.*" Good. Now he writes "the annual return shall be filed within one **month**." New question: is a month 30 days? 31? The calendar month? So he stops and defines "month" too. Then "year." Then "immovable property." Then "good faith." Then "oath." The Act balloons with dozens of definitions that have **nothing to do with company law** — they are just plumbing that every statute needs.

Now multiply this across **hundreds** of Central Acts. The Income-tax Act, the Negotiable Instruments Act, the Contract Act, the SEBI Act — each one separately defining "person," "month," "year," "government," "immovable property." This creates three disasters:

Disaster 1 — bloat and waste. The same twenty definitions are copied into hundreds of statutes. Parliament wastes time; the statute book swells with repetition.

Disaster 2 — inconsistency. Because each draftsman writes his own version, "month" might mean a calendar month in one Act and 30 days in another. "Person" might include companies in one law and exclude them in another. A citizen reading two laws cannot know which meaning applies. The law becomes a lottery.

Disaster 3 — silent gaps. Worse than inconsistency is *silence*. Suppose an Act says "file within one month" but forgets to say what happens if the **last day is a Sunday** and the court is closed. Or a new Act **repeals** an old one, but a prosecution was already pending under the old Act — does the repeal wipe out the case, letting the accused walk free on a technicality? If every statute is silent on these mechanical questions, courts must guess, and guesses differ.

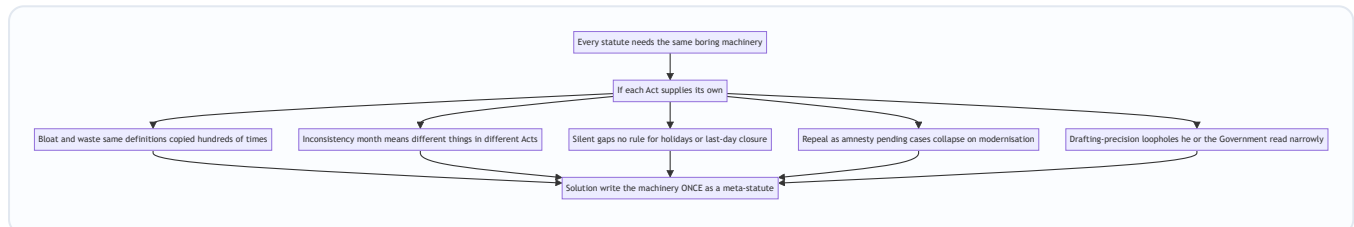
There is a fourth, subtler abuse. When a new law repeals an old one, a clever defendant argues: "The offence I committed was under the *old* Act. The old Act no longer exists — it was repealed. Therefore there is no law under which I can be punished." Without a rule to the contrary, **repeal becomes an amnesty** for everyone with a pending case. Rights that had already accrued, liabilities already incurred, penalties already earned — all could evaporate the moment Parliament modernised a statute.

There is even a **fifth** abuse worth naming, because examiners love it: the *drafting-precision* trap. Suppose a section says a duty is owed to "the Government," or that "he" shall do a thing, or that a power "may be exercised." Without shared defaults, a literalist wriggles free — "'the Government' meant only the Centre, not

my State"; "the section says 'he', so it never bound a woman director"; "the Act let the officer make the rule *once*, and having made it he is now *functus officio* and cannot amend it." Each is a gap a sharp advocate would exploit if the machinery words were left undefined.

So the real problem is this: **statutes need a huge amount of shared, boring, mechanical machinery** — definitions, timing rules, repeal-survival rules, service rules, gender/number rules, continuing-power rules — and if each statute must supply its own, the result is bloated, contradictory, and full of exploitable gaps.

The four (really five) failure modes the GCA exists to prevent.



2. The Core Idea — one master dictionary + rulebook that sits behind all laws

The solution is beautifully economical: **write the boring machinery ONCE, in a single meta-statute, and declare that it applies by default to every other Central Act unless that Act says otherwise.**

The General Clauses Act 1897 is that meta-statute. Think of it as two things bundled together:

1. **A default dictionary** (Section 3) — supplying the standard meaning of common words like "person," "month," "year," "immovable property," "good faith," "government," "offence." Any Central Act that uses these words gets the GCA meaning *automatically*, without repeating the definition — **unless** that Act supplies its own definition or the context clearly requires otherwise.
2. **A default rulebook** (Sections 5–30) — supplying standard rules for the mechanical questions every statute faces: *When does a law come into force? How do you count "from" and "to" dates? What if the last day is a holiday? What survives when a law is repealed? How is a document "served by post"? Does "he" include "she," and does the singular include the plural?*

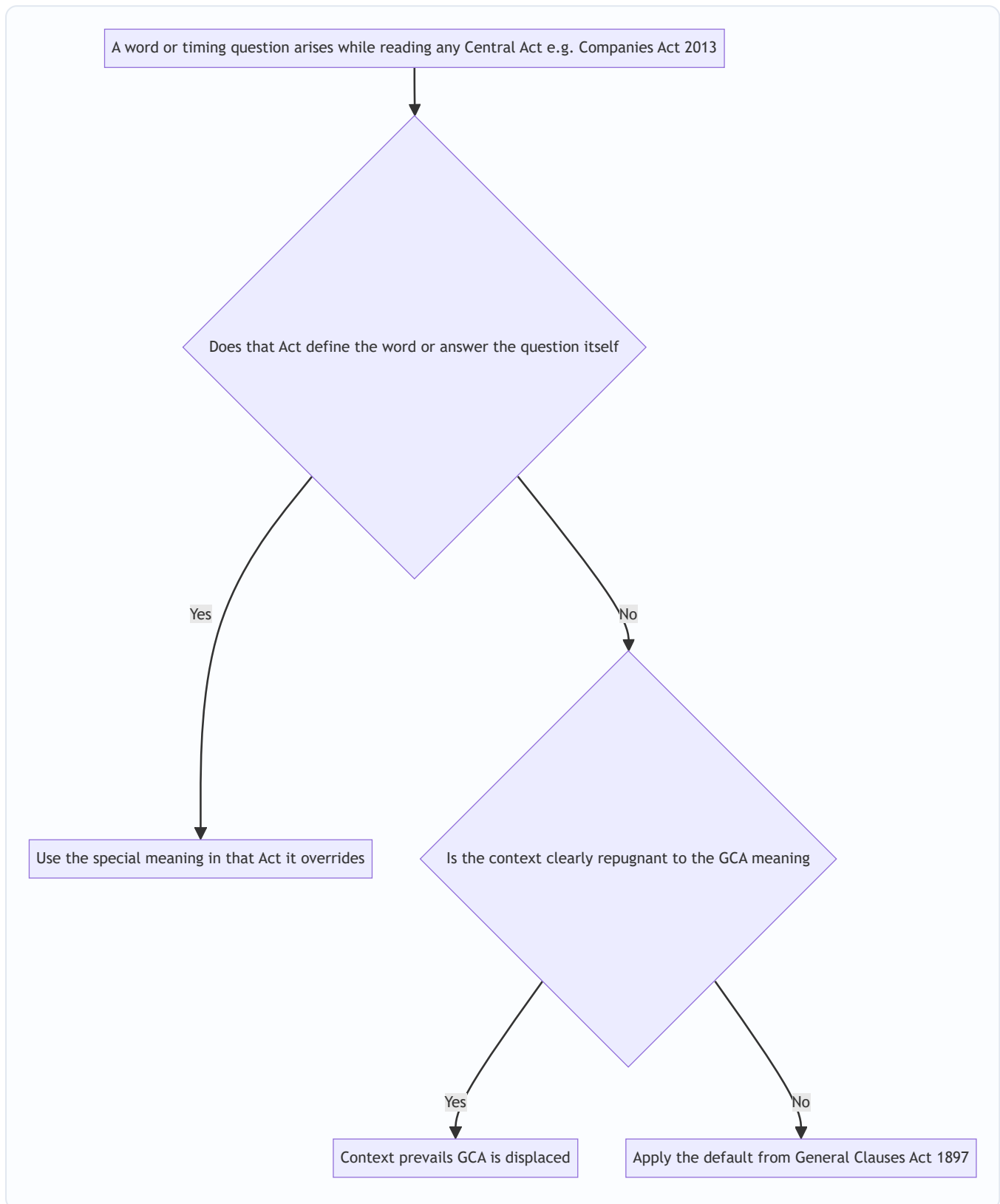
The governing principle is the phrase you will see again and again: **"unless there is anything repugnant in the subject or context"** and **"unless a different intention appears."** This makes the GCA a **fallback, not a dictator**. It fills silences. If the Companies Act 2013 defines "financial year" its own way (and it does, in Section 2(41)), that special definition *wins*. But where the Companies Act is *silent* — say, on how to count a 30-day period, or what "good faith" means, or whether "person" includes a firm — the GCA quietly supplies the answer.

A deeper why — the "generalia specialibus non derogant" logic. The GCA is the *general* law of interpretation; the parent Act (Companies Act, Income-tax Act) is the *special* law. A settled maxim of construction holds that a general provision does not override a special one on the same point: *generalia specialibus non derogant* — "general things do not derogate from special things." The GCA is drafted to be consistent with that maxim. Its "unless a different intention appears" clause is not a casual afterthought; it is the *statutory embodiment* of the special-beats-general rule. That is why every trap in this chapter reduces to the same discipline: **look at the parent Act first; only fall back to the GCA when the parent Act is silent.**

This is why the GCA is often called an **aid to interpretation** rather than a substantive law. It does not create rights or offences of its own. It is the invisible interpretive layer that makes every other Act complete, consistent, and gap-free. Learn it once; it pays interest across the entire statute book.

Two things the GCA is emphatically NOT. (i) It is **not a code of interpretation** — it does not contain the literal / golden / mischief rules; those are judge-made and live in the companion "Interpretation of Statutes" chapter. The GCA supplies *fixed defaults*, not techniques for resolving genuine ambiguity. (ii) It is **not confined to old law** — because Section 3's definitions apply to "this Act and all Central Acts and Regulations made after the commencement," and Section 4 pulls some definitions back to *earlier* Acts, the GCA blankets the entire Central statute book, past and future.

The GCA as a default layer behind every Central Act.



3. Why it's built this way — the logic behind each design choice

Every feature of the GCA answers a specific way the system could break. Learn the threat and the rule becomes obvious.

"Why make the definitions merely a *default* rather than *absolute*?" — Because a single meaning cannot fit every context. "Person" must include companies in tax law, but in a marriage law "person" clearly means a

human. So the GCA gives a sensible standard meaning but always yields to the individual Act's own definition or to an obviously different context. It fills gaps without straitjacketing Parliament.

"Why does the GCA apply only to Central Acts and Central-made Regulations?" — Because Parliament can only legislate defaults for its *own* laws. State legislatures each have their own General Clauses Acts for state laws. The Central GCA governs Central Acts (and Regulations, and — via Section 30 — Ordinances). This is federalism: each legislature supplies the machinery for its own statute book.

"Why does a repealed law's effect survive (Section 6)?" — Precisely to defeat the "repeal is an amnesty" trick from Section 1. If repeal automatically wiped out all pending cases and accrued rights, then every legal modernisation would be a jailbreak, and no one would ever collect a debt or finish a prosecution begun under an old law. Section 6 says: repeal changes the law *going forward*, but it does **not** unwind the past — rights already accrued, liabilities already incurred, penalties already earned, and proceedings already begun all survive. The old law is dead for the future but its completed effects live on.

"Why isn't Section 6 needed every time — what does 'unless a different intention appears' really do?" — Because Parliament sometimes *wants* the clean slate. If the repealing Act itself says "all pending proceedings shall abate," that is a different intention, and Section 6 steps aside. The genius is that Parliament need not *repeat* the five survivors in every repealing Act (economy again) but retains the power to switch them off deliberately. Section 6 is the *silent presumption*; the repealing Act is the *express switch*.

"Why a special rule for counting 'from' and 'to' (Section 9)?" — Because otherwise every deadline is ambiguous. "Within 30 days *from* 1st April" — is the 1st itself day one, or day zero? Different assumptions produce different deadlines and different winners in litigation. Section 9 fixes a single convention: the word **"from"** *excludes* the opening day; the word **"to"** *includes* the closing day. One rule, applied everywhere, kills the ambiguity.

"Why a rule for holidays (Section 10)?" — Because a citizen should not lose a right through no fault of his own. If the last day to file falls on a Sunday when the court is bolted shut, punishing him for filing on Monday would be unjust — he *could not* have filed on time. Section 10 says: if the office is closed on the last day, doing the act on the *next open day* counts as on-time. It protects diligence against the accident of the calendar.

"Why does Section 10 not apply to the Limitation Act?" — Because two rules doing the same job on the same matter would collide. The Limitation Act, 1963 has its own holiday rule in *its* Section 4. If Section 10 of the GCA also applied, a litigant might argue for whichever gives the longer time, and courts would face overlap. So the GCA proviso surgically carves out Limitation-Act matters: one matter, one holiday rule. This is the special-beats-general maxim applied *inside* the GCA itself.

"Why deem postal service complete on posting (Section 27)?" — Because otherwise a dishonest recipient could defeat every notice simply by refusing to receive it or denying it arrived. If service depended on proof of *actual receipt*, the recipient controls whether the law reaches him. Section 27 shifts the risk: once the sender correctly addresses, pre-pays, and posts by registered post, service is *presumed* effected in the ordinary course — and it is now the *recipient's* burden to prove it did not arrive. The sender, who did everything right, is protected.

"Why say 'he' includes 'she' and singular includes plural (Section 13)?" — Pure economy again. Without it, a draftsman must write "he or she," "the director or directors," endlessly. Section 13 lets statutes be written in the singular masculine as shorthand, read to cover all genders and numbers, saving oceans of words while closing the gap a literalist might exploit ("the Act says 'he,' so it doesn't apply to a woman director").

"Why say a power to make rules includes the power to amend or rescind them (Section 21)?" —

Because a power frozen at first use is useless. If the government could issue a notification but never modify it, every rule would be permanent and un-fixable. Section 21 reads a *continuing* power into every rule-making power: whoever can make can also add to, amend, vary, or rescind — using the same procedure. It keeps delegated legislation alive and correctable.

"Why does 'power to appoint' carry 'power to suspend or dismiss' (Section 16)?" — Because responsibility without control is hollow. An authority answerable for how an office is filled must be able to *unfill* it when the holder misconducts himself; otherwise a bad appointment is permanent and the appointing authority is powerless to correct its own choice. Section 16 makes the removal power flow automatically from the appointment power — again "unless a different intention appears," e.g. where a special Act vests dismissal in a different, higher authority.

4. Full Technical Content — section by section, each with its "why"

The GCA has three functional blocks: **(A) Preliminary & Definitions** (Ss. 1–4), **(B) General Rules of Construction** (Ss. 5–13 and the timing/gender rules), and **(C) Powers, Functionaries, and Supplemental rules** (Ss. 14–30). For the CA Intermediate exam, master the definitions in Section 3 and the construction rules in Sections 5–27.

4.1 Preliminary — Sections 1 to 4

- **Section 1 — Short title and extent.** The Act is the "General Clauses Act, 1897" and extends to the whole of India. *Why*: housekeeping — it names itself and fixes its territorial reach.
- **Section 3 — Definitions.** The heart of the dictionary. It defines around 65 terms that apply to the GCA itself and to *all Central Acts and Regulations made after the commencement of this Act*, **unless there is anything repugnant in the subject or context**. That closing phrase is the whole philosophy: these meanings are defaults, displaced by context.
- **Section 4 — Application of definitions to earlier Acts.** Some (not all) of the Section 3 definitions are extended to Central Acts made *before* 1897 as well. *Why*: to give even older statutes the benefit of the standard meanings, so the whole statute book — old and new — reads consistently. *Fine point*: Section 4 does **not** import *all* of Section 3 into pre-1897 Acts — only an enumerated subset. So the safe exam statement is "certain definitions" apply to earlier Central Acts, not "all."

"Includes" vs "means" — a definitional distinction the examiner tests. Read the Section 3 entries carefully: most say a term "**includes**" X (affidavit *includes* affirmation; person *includes* a company). "Includes" is an **extending / inclusive** definition — it *adds* to the ordinary meaning without shutting the door, so the term still covers its normal sense *plus* the listed items. Contrast "**means**", which is **exhaustive** — it fixes the meaning and excludes everything else (movable property *means* property of every description *except* immovable property). Whenever an answer turns on whether something unlisted is covered, first ask: does the definition say "includes" (open) or "means" (closed)?

4.2 The important general definitions — Section 3

These are the exam-favourite definitions. Each is a default meaning that flows silently into the Companies Act and every other Central Act. (Sub-clause numbers below follow the bare Act; **confirm exact clause numbers in ICAI material / bare Act**, as they shift slightly across editions.)

Term (Section 3 clause)	Default meaning under the GCA	The "why" / the trap it closes
Affidavit [3(3)]	<i>Includes</i> affirmation and declaration, in the case of persons by law allowed to affirm or declare instead of swearing.	So a person whose religion or conscience forbids oaths can still give sworn evidence — no one is shut out of the legal process.
Financial Year [3(21)]	The year commencing on the 1st day of April .	Fixes a uniform accounting year. <i>Trap</i> : the Companies Act 2013 has its own definition in Section 2(41) — for company law that special one governs. GCA fills only where an Act is silent.
Good Faith [3(22)]	A thing is done in "good faith" where it is in fact done honestly, whether it is done negligently or not .	The GCA test is honesty, not care . <i>Contrast trap</i> : under the Indian Penal Code, "good faith" requires due care and attention — the opposite emphasis. Examiners love this clash.
Government / the Government [3(23)]	<i>Includes</i> both the Central Government and any State Government .	Prevents a defendant arguing a duty owed to "the Government" meant only one tier.
Immovable Property [3(26)]	<i>Includes</i> land, benefits to arise out of land, and things attached to the earth or permanently fastened to anything attached to the earth .	A broad, inclusive definition so mortgages, easements, and rights over land are all covered.
Movable Property [3(36)]	Property of every description, except immovable property .	Defined as the <i>residue</i> — whatever is not immovable is movable. Clean and gap-free.
Local Authority [3(31)]	A municipal committee, district board, body of port commissioners, or other authority legally entitled to, or entrusted by government with, the control or management of a municipal or local fund .	Identifies bodies that handle public local money, for statutes conferring powers or duties on them.
Month [3(35)]	A month reckoned according to the British (Gregorian) calendar .	So "one month" runs from a date in one calendar month to the corresponding date in the next — not a fixed 30 days. This changes deadline maths.
Year [3(66)]	A year reckoned according to the British calendar (i.e., 1 January to 31 December).	Uniform calendar year unless the Act says otherwise (e.g., financial year).
Oath [3(39)]	<i>Includes</i> affirmation and declaration in the case of persons allowed to affirm/declare instead of swearing.	Same inclusiveness principle as "affidavit."
Offence [3(38)]	Any act or omission made punishable by any law for the time being in force .	Note "act or omission " — failing to do a required thing is an offence too. And "for the time being in force" ties it to current law.

Term (Section 3 clause)	Default meaning under the GCA	The "why" / the trap it closes
Person [3(42)]	<i>Includes</i> any company or association or body of individuals, whether incorporated or not.	The keystone definition. It lets statutes bind and prosecute companies and firms , not just humans. Without it, corporate liability would collapse.
Registered (re a document) [3(49)]	Registered in India under the law for the registration of documents (the Registration Act) for the time being in force.	Ties the word to the actual registration regime.
Rule [3(51)]	A rule made in exercise of a power conferred by any enactment; <i>includes</i> a Regulation made as a rule under any enactment.	Distinguishes delegated rules from the parent Act.
Document [3(18)]	Any matter expressed or described upon any substance by letters, figures, or marks, intended to be used for recording that matter.	Broad enough to cover writings, maps, inscriptions — anything recording meaning.
Imprisonment [3(27)]	Imprisonment of either description (rigorous or simple) as defined in the Indian Penal Code.	Borrows the IPC meaning so sentencing terms are consistent.
Swear / Oath & Writing [3(65)]	Expressions referring to "writing" are construed as <i>including</i> printing, lithography, photography, and other modes of representing or reproducing words in visible form.	So "in writing" future-proofs against new recording technologies.
Act (re offence) / Act and Omission [3(2)]	"Act" used with reference to an offence <i>includes</i> a series of acts; and words referring to acts done extend to <i>illegal omissions</i> .	Closes the "I did nothing, so I did no <i>act</i> " loophole — an illegal failure to act is caught.
Enactment [3(19)]	<i>Includes</i> a Regulation and any provision contained in any Act or in any such Regulation.	So construction rules about "enactments" (e.g., repeal under Section 6) reach Regulations too, not just Acts.

Why definitions matter for a company-law paper: the Companies Act 2013 constantly uses words like "person," "document," "month," "immovable property," "good faith," "registered." Where the 2013 Act does not itself define them (and it does not define most), the GCA meaning is what a court applies. So these are not trivia — they are the *actual* operative meanings in your main Act.

The three "inclusiveness" siblings — affidavit, oath, writing. Notice the recurring drafting move: whenever a legal act historically demanded a *particular form* (swearing on oath, ink on paper), the GCA quietly *widens* it so that a modern or conscientious alternative counts. Affidavit and oath include *affirmation/declaration* (protecting those who cannot swear); "writing" includes *print, photograph, lithograph* (protecting against technological obsolescence). If you can state the *pattern* — "the GCA prefers substance over antique form" — you can reconstruct all three definitions under exam pressure even if you forget the exact wording.

4.3 Coming into operation — Section 5

Problem it fixes: A Bill becomes an Act, but *from which moment* is it binding law? If the Act itself forgets to say, when does it start?

Rule (Section 5): Where any Central Act is **not expressed to come into operation on a particular day**, it comes into operation on the day it **receives the assent** — of the President (after the Constitution; of the Governor-General before it). *Why:* fills the silence with a definite, verifiable moment — assent — so there is never a limbo period of doubt.

Fine point (interpretation of "commencement"): an enactment comes into force at the **beginning of the day** on which it commences — i.e., the immediately preceding midnight. So a law commencing "on 1 April" is in force from the first instant of 1 April.

"What if the examiner tweaks it?" — three variations. (i) *Act names a date:* Section 5 is displaced — the named date governs. (ii) *Act says "on such date as the Central Government may by notification appoint":* the Act commences only when that notification fixes the date; until then it is a dormant Act with no force (this is common in the Companies Act 2013, whose sections were notified in tranches). (iii) *Different sections notified on different dates:* perfectly valid — Section 5 read with the enabling clause allows *staggered* commencement, so Section X may be live while Section Y is not yet notified. The exam point: "assent = commencement" is only the *fallback*, triggered by *silence*.

4.4 Effect of repeal — Section 6 (the star section)

Problem it fixes: the "repeal-as-amnesty" abuse. When a new Central Act repeals an old one, does everything done under the old law vanish?

Rule (Section 6): Where any Central Act or Regulation *made after the commencement of the GCA* repeals any enactment, then **unless a different intention appears**, the repeal shall **NOT**:

Section 6 clause	The repeal does NOT...	Reason
6(a)	revive anything not in force or existing at the time the repeal takes effect	Repealing Law B does not resurrect the older Law A that B had itself replaced — no zombies.
6(b)	affect the previous operation of the repealed enactment or anything duly done or suffered under it	Past actions stand; you cannot un-ring the bell.
6(c)	affect any right, privilege, obligation or liability acquired, accrued or incurred under the repealed enactment	Accrued rights and liabilities survive — a debt owed stays owed.
6(d)	affect any penalty, forfeiture or punishment incurred for any offence under the repealed enactment	Guilt already incurred is not washed away by repeal.
6(e)	affect any investigation, legal proceeding or remedy in respect of the above; such proceeding may be continued or enforced as if the repealing Act had not been passed	Pending cases proceed to conclusion under the old law.

Memory hook — the "5 survivors" (a-b-c-d-e): No-revival, Previous operation, Accrued rights, incurred Penalties, pending Proceedings. Repeal kills the law's *future*; Section 6 preserves its *finished past*.

Crucial qualifier — "unless a different intention appears." If the repealing Act *itself* says the old proceedings die, that wins. Section 6 is a default, not a straitjacket.

The accrued-right vs. mere-hope distinction (the hardest sub-point). Section 6(c) saves a right "**acquired or accrued**" — but *not* a mere *expectation* or *inchoate* possibility. A right has **accrued** when everything needed to perfect it has happened *before* repeal; it is a **mere hope** when the repeal caught it

mid-formation. Example: if under the old law you had already *completed* the acts that entitle you to a licence, that accrued entitlement survives repeal; but if you had merely *applied* and the authority had not yet decided, you had only a *hope*, which the repeal can extinguish. The examiner tests this by asking whether the right was *complete* or *still forming* at the moment of repeal.

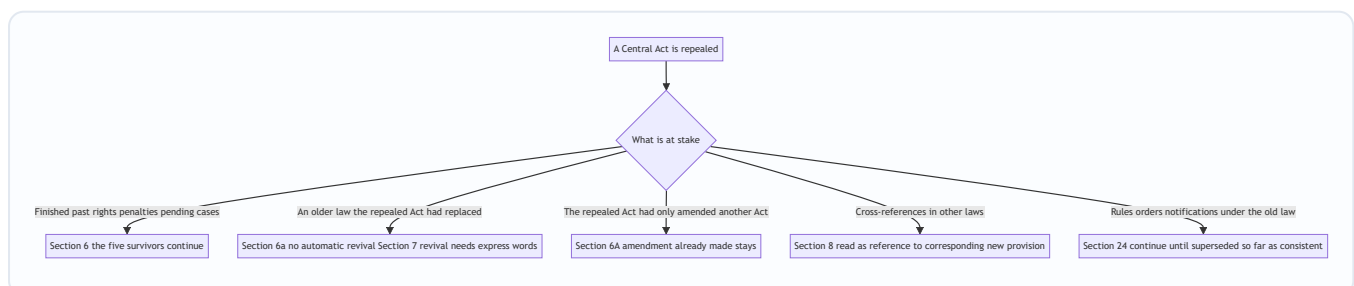
Section 6 vs. an expiry (sunset) of a temporary Act. Section 6 speaks of **repeal**. A temporary Act that simply *expires* by efflux of its own time-limit is, on the strict view, **not "repealed"**, so Section 6 does not automatically save pending proceedings — the temporary Act's own *saving clause* must be checked. This is a favourite distinction: *repeal* (Section 6 applies) vs. *expiry of a temporary Act* (Section 6 may not; look for a saving provision).

"Simultaneous repeal-and-re-enactment" — Section 6 read with Section 24. The most common real-world pattern (as with the Companies Act 1956 → 2013) is repeal *and* immediate re-enactment. Here Section 6 saves the finished past under the old law, while Section 24 (below) *carries forward* subordinate instruments (rules, orders, notifications) so governance does not stall. Read them as a pair.

4.5 Repeal-and-re-enactment; textual amendments — Sections 6A, 7, 8, 24

- **Section 6A — Repeal of an Act that only made a textual amendment.** If Act X merely inserted/amended words into Act Y, and X is later repealed, the *amendment already made to Y* is **not undone** (unless a different intention appears). *Why*: an amending Act, once it has done its surgery, is spent; repealing the spent scalpel does not reverse the surgery.
- **Section 7 — Revival of repealed enactments.** To *revive* a wholly or partly repealed enactment, the reviving Act must **expressly state** the revival. *Why*: revival is a serious step; it must be deliberate and explicit, never accidental. *Link*: this is the mirror of Section 6(a) — 6(a) says repeal does not *automatically* revive; Section 7 says revival needs an *express* statement. Together they slam the door on accidental resurrection from both sides.
- **Section 8 — Construction of references to repealed enactments.** Where an Act is repealed and **re-enacted** (with or without modification), any reference in another law to the repealed provision is read as a reference to the **corresponding provision** in the new law. *Why*: so a repeal-and-replace does not silently break every cross-reference in the statute book. *Condition*: Section 8 operates only when there is a *corresponding* provision in the re-enacting law; if the new law has *dropped* the provision entirely, there is nothing to redirect the reference to.
- **Section 24 — Continuation of orders, rules, etc.** Where a law is repealed and re-enacted, any rule, notification, order, appointment, etc. made under the old law **continues in force** as if made under the new law, so far as consistent, until superseded. *Why*: avoids a governance vacuum between old and new regimes. *Limits*: the old instrument survives only **so far as it is not inconsistent** with the new law, and only **until** it is superseded/repealed under the new law — it is a bridge, not a permanent transplant.

How the repeal-family sections divide the labour.



4.6 Computation of time — Sections 9 and 10

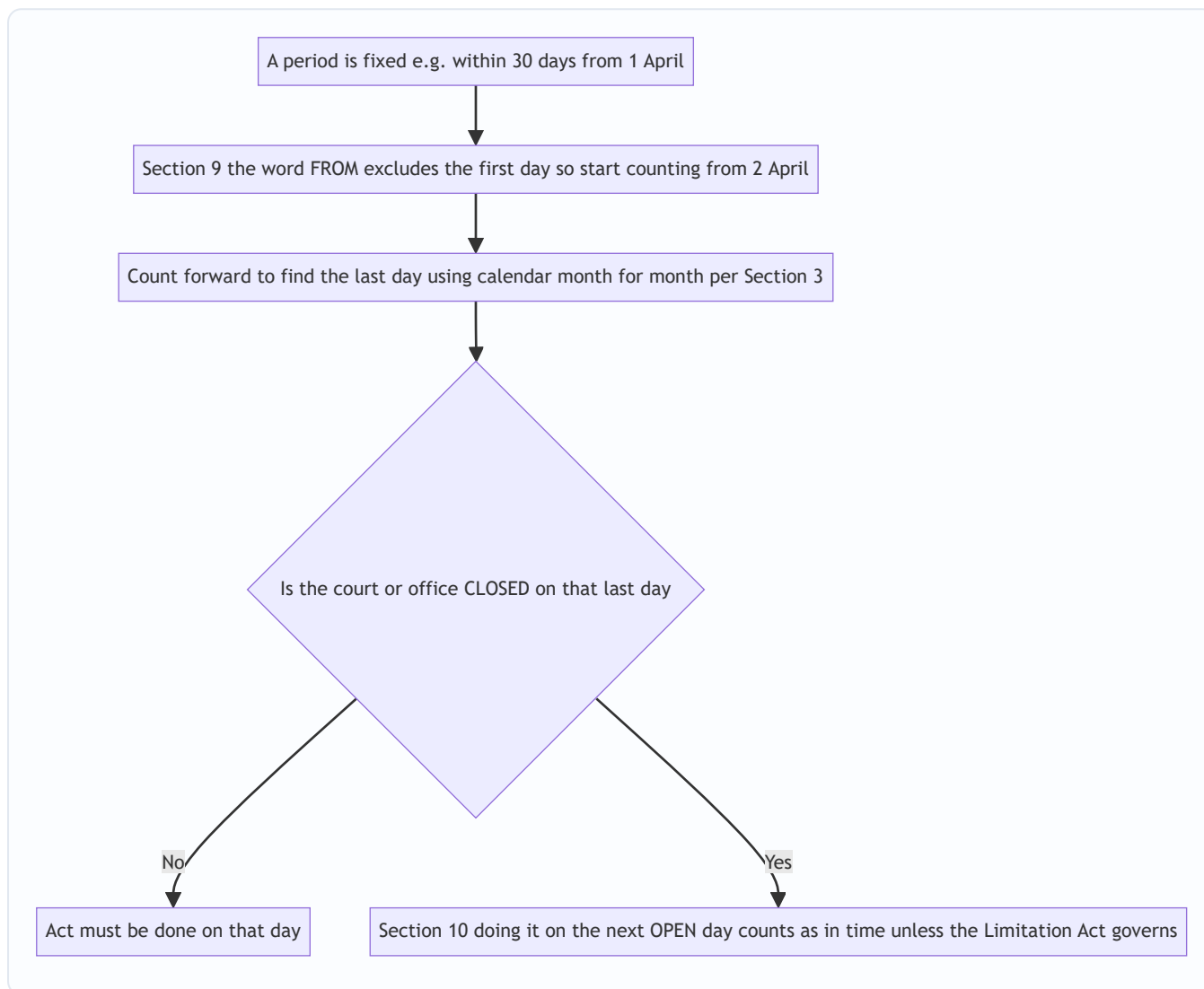
These two are the arithmetic engine of every deadline.

- **Section 9 — "from" and "to."** In any Central Act, to express the *first* in a series of days or any other period of time, use the word "**from**" — and that first day is **EXCLUDED**. To express the *last*, use "**to**" — and that last day is **INCLUDED**. Mnemonic: "**From = First out; To = Terminal in.**"
- **Section 10 — court/office closed on the last day.** Where any act or proceeding is directed to be done in a **court or office** on a certain day or within a prescribed period, and the court/office is **closed** on that day (or the last day of the period), the act is deemed done **in time** if done on the **next day the court/office is open**. *Proviso:* Section 10 does **NOT apply** to acts/proceedings governed by the **Limitation Act, 1963** (which has its own equivalent rule in its Section 4). *Why the carve-out:* to avoid two overlapping holiday rules for the same limitation matter.

Three conditions Section 10 silently requires (examiners strip one away to make it fail): (i) the act must be one directed to be done **in a court or office** — Section 10 protects you only against *institutional* closure, not against your own inability to act elsewhere; (ii) it is the **last day** (or the single appointed day) that must be closed — a mid-period holiday does **not** extend anything, you count straight through it; (iii) the matter must **not** be governed by the Limitation Act. Remove any one and the "next open day" relief evaporates.

Section 9 subtlety — "from" vs. "on and from." Section 9's exclusion rule is triggered by the word "**from.**" But a period expressed as running "**to**" a day, or "**till/until**" a day, brings the *last day in*. And where a statute says a thing takes effect "**on and from**" a date, the *inclusion* of that date is intended for commencement purposes even though "from" alone would exclude — read the whole phrase, not the isolated preposition.

Counting a deadline the GCA way — Sections 9 and 10 working together.



4.7 Gender, number, and continuing powers — Sections 13, 14, 16, 21, 22

- **Section 13 — Gender and number.** In every Central Act, unless the context otherwise requires: **(1)** words importing the **masculine gender** are taken to **include females**; **(2)** words in the **singular include the plural**, and vice versa. *Why:* lets statutes be drafted compactly while covering everyone.
- **Section 14 — Powers exercisable "from time to time."** Where a power is conferred by a Central Act, it may be exercised **from time to time** as occasion requires (unless a different intention appears). *Why:* a power is not exhausted by a single use.
- **Section 16 — Power to appoint includes power to suspend or dismiss.** The authority that can *appoint* a person can also **suspend or dismiss** that person (unless a different intention appears). *Why:* accountability — whoever hires can fire.
- **Section 21 — Power to make also power to amend/rescind.** A power to issue **notifications, orders, rules or bye-laws** *includes* the power to **add to, amend, vary, or rescind** them, exercised the **same way** and subject to the same conditions as the original power. *Why:* keeps delegated legislation living and correctable. (Note: this applies to *executive/legislative* instruments, not to quasi-judicial orders, which cannot be casually reopened.)
- **Section 22 — Anticipatory action between passing and commencement.** Where an Act is not yet in force but empowers rule-making, the rules may be **made in advance** so they are ready the moment the

Act commences (though they take effect only on commencement). *Why*: prevents a machinery gap on day one.

The unifying theme of this block — powers are living, not spent. Sections 14, 16, 21 and 22 all attack the same fallacy: that a statutory power, once used, is *exhausted* (the *functus officio* argument). Section 14 says a power recurs "from time to time"; Section 16 says the appointing power carries the removal power; Section 21 says the making power carries the amending/rescinding power; Section 22 says the making power can even be used *before* the Act is live. If you remember the theme — **"a conferred power is a continuing, self-correcting power unless the Act says otherwise"** — you can place any of the four instantly.

Section 15 — power to appoint by name or office. Often paired with Section 16: where a Central Act authorises appointment of a person to fill an office, the appointment may be made either by **naming the individual** or by **designating the office/holder** (e.g., "the Registrar for the time being"). *Why*: designating the office means the appointment automatically follows the office-holder without a fresh order every time the incumbent changes.

4.8 Offences, fines, and double jeopardy — Sections 25, 26

- **Section 25 — Recovery of fines.** Provisions of the Code of Criminal Procedure for the time being in force relating to recovery of fines apply to fines imposed under any Act (unless the Act says otherwise). *Why*: one uniform machinery to collect fines.
- **Section 26 — Offence punishable under two or more enactments.** Where an act or omission is an offence under **two or more enactments**, the offender may be **prosecuted and punished under either or any** of them — **but shall NOT be punished twice for the same offence**. *Why*: mirrors the *double jeopardy* protection (Article 20(2) of the Constitution). You can be *charged* under multiple laws, but not *punished twice* for one wrong.

Section 26 — the "same offence" pivot. The bar bites only where it is the **same offence**, i.e., the same act *and* the same set of ingredients. If two enactments punish the *same* act but require *different ingredients*, they are, in law, *different* offences, and punishment under both may be permissible — the double-punishment bar is not triggered because the offences are not identical. So the precise test is not "same *act*" but "same *offence* (same act + same essential ingredients)." Examiners exploit the loose reading "you can never be punished under two laws for one act" — which is wrong.

4.9 Service of documents by post — Section 27

Problem it fixes: a recipient dodging notices by denying receipt.

Rule (Section 27): Where any Central Act requires a document to be **served by post** (whether the word used is "serve," "give," "send" or the like), then **unless a different intention appears**, service is **deemed to be effected** by: (1) properly **addressing**, (2) **pre-paying**, and (3) **posting by registered post** a letter containing the document — and **unless the contrary is proved**, service is deemed to have occurred **at the time the letter would be delivered in the ordinary course of post**.

Two limbs to memorise: - **Presumption of effecting service** = arises on correct addressing + pre-paying + registered posting. - **Presumption of time of service** = ordinary course of post — but **rebuttable** ("unless the contrary is proved").

Two failure points the examiner plants. (i) *Not registered post* — Section 27's presumption is keyed to **registered** post; an ordinary (unregistered) letter does **not** attract the same statutory presumption of service, so the sender loses the burden-shift. (ii) *Wrong address or unpaid postage* — the three pre-conditions

(proper address + pre-payment + registered posting) are **cumulative**; miss one and the presumption never arises. Only when all three are satisfied does the burden flip to the recipient.

Nature of each presumption — one weaker, one stronger. The presumption *that service was effected* is strong (it follows automatically once the three conditions are met); the presumption *as to the time of service* ("ordinary course of post") is expressly **rebuttable** — the recipient may prove late or non-delivery. A **bare denial** of receipt, without cogent supporting evidence, is generally *insufficient* to rebut. Never describe either presumption as *conclusive*.

Why: the sender who does everything right is protected; the burden shifts to the recipient to disprove delivery. This section is directly relevant to serving notices under the Companies Act 2013.

4.10 Reach into Ordinances — Section 30

Section 30 applies the GCA's rules to **Ordinances** promulgated by the President/Governor as if they were Central Acts. *Why:* an Ordinance is temporary law with full force; it needs the same interpretive machinery. *Reach:* the section extends the GCA to Ordinances made by the **President under Article 123** and by a **Governor under Article 213**, and (historically) to Governor-General/Governor Ordinances under earlier constitutional instruments — so no species of Central-level delegated primary legislation escapes the machinery.

5. Applied Scenarios — facts → legal analysis → conclusion

Scenario 1 — "Person" includes a company (Section 3(42)). *Facts:* A penal section of a Central Act says "**any person** who fails to file the prescribed statement shall be punishable with fine." Zenith Ltd, a company, fails to file. Zenith argues: "A company is not a *person* — it is an artificial entity, not a human being — so I cannot be prosecuted." *Analysis:* The Act does not itself define "person," so the GCA default applies. Under **Section 3(42)**, "person" *includes* any company or body of individuals, incorporated or not. Nothing in the penal context is repugnant to that meaning — indeed the section is aimed at filing entities like companies. *Conclusion:* "Person" covers Zenith Ltd. The company can be prosecuted and fined. Its argument fails.

Scenario 2 — Repeal does not kill a pending prosecution (Section 6). *Facts:* Mr A committed an offence under the (imaginary) Old Regulation Act, 2010. A prosecution was launched. In 2024, Parliament repeals the 2010 Act and replaces it with a new Act. The new Act is silent on pending cases. Mr A moves to quash the prosecution, arguing the offence-creating law no longer exists. *Analysis:* The repeal is by a Central Act made after 1897, so **Section 6** applies **unless a different intention appears** — and here the new Act is silent, so no contrary intention. Under **Section 6(c), (d) and (e)**, the repeal does not affect a liability *incurred*, a penalty *incurred*, or a *legal proceeding* in respect of an offence under the repealed Act; such proceeding may be **continued as if the Act had not been repealed**. *Conclusion:* The prosecution survives and continues to judgment under the old law. Mr A cannot escape via the repeal.

Scenario 3 — Counting "30 days from" with a closed office (Sections 9 and 10). *Facts:* A Central Act requires a return to be filed "**within 30 days from 1st April**." Counting 30 days, the last day works out to **1st May**, which happens to be a public holiday when the filing office is closed. The company files on **2nd May**. The department alleges late filing. *Analysis:* Under **Section 9**, "**from** 1st April" **excludes** 1st April; counting begins 2nd April. The 30th day is the last day. Under **Section 10**, because the office was **closed** on that last day (1st May), doing the act on the **next open day** (2nd May) is deemed done **in time** — provided

this is not a matter governed by the Limitation Act, 1963. *Conclusion:* The filing on 2nd May is **in time**. No late-filing default.

Scenario 4 — "Good faith": honesty vs. due care (Section 3(22) vs IPC). *Facts:* A public officer, acting under a Central Act (not the IPC), makes an honest but *negligent* decision. He claims protection for acts done "in good faith." Opposing counsel says his negligence destroys good faith. *Analysis:* For the Central Act in question, the GCA definition governs. Under **Section 3(22)**, a thing is done in good faith if done **honestly, whether negligently or not**. Negligence does *not* by itself negate good faith under the GCA. (Only if the statute were the **IPC**, whose own definition requires *due care and attention*, would negligence defeat good faith.) *Conclusion:* Under the GCA standard, the officer acted in good faith despite the negligence; the protection holds.

Scenario 5 — Service by post presumed effected (Section 27). *Facts:* A company sends a statutory notice to a member by **registered post**, correctly addressed and pre-paid. The member later claims he "never received it" and the notice is invalid. *Analysis:* The Act requires service "by post." Under **Section 27**, service is **deemed effected** by correctly addressing, pre-paying and posting by registered post; and deemed to occur when the letter would arrive in the ordinary course — **unless the contrary is proved**. A bare denial of receipt is generally not enough to rebut the presumption without cogent evidence. *Conclusion:* Service is presumed valid; the burden lies on the member to prove non-delivery. His unsupported denial likely fails.

Scenario 6 — "One month" is a calendar month, not 30 days (Section 3(35) with Section 9).

[numerical] *Facts:* A Central Act requires an appeal to be filed "**within one month from 30th January 2026**." The appellant counts "30 days" and files on **1st March 2026**, believing he is on time. The registry rejects it as late. *Analysis, step by step:* - **Step 1 (Section 9):** "**from 30th January**" *excludes* 30th January. So the period starts running 31st January. - **Step 2 (Section 3(35)):** "one month" is reckoned by the **British calendar**, not as a flat 30 days. The settled convention for a calendar month running "from" a date is that it ends on the day in the succeeding month **numerically corresponding to** the day *before* the starting-point — i.e., a month from 30 January ends on the corresponding date at end-February. 2026 is **not** a leap year, so February has 28 days and there is **no 30th February**; where the corresponding date does not exist, the period ends on the **last day of that month**, i.e., **28th February 2026**. - **Step 3 (verify):** Was the office open on 28 Feb 2026? Assume yes (a normal working Saturday/weekday — the examiner will tell you if it is closed, then Section 10 would extend to the next open day). So the last day to file is **28th February 2026**. - **Step 4 (reconcile the appellant's error):** The appellant assumed "one month = 30 days," which would have given roughly 1st March. But **month ≠ 30 days** under the GCA, and February's shortness pulls the deadline *earlier* to 28 February. His filing on 1st March is **one/two days late**. *Conclusion:* The appeal filed on 1st March 2026 is **time-barred**. The correct last date was **28th February 2026**. *Examiner tweak:* make 2026 a leap year (e.g. use 2028) and the corresponding date becomes **29th February** — reconciling why the "month" rule, not a 30-day count, is doing the work.

Scenario 7 — Repeal-and-re-enactment: does an old rule survive? (Sections 6 and 24). *Facts:* Under the (imaginary) Old Widgets Act, 2005, the Central Government had made the "Widget Registration Rules, 2006." In 2025 Parliament **repeals** the 2005 Act and **re-enacts** a New Widgets Act, 2025, which contains a fresh rule-making power but the Government has **not yet** made new rules. A widget-maker argues that with the 2005 Act gone, the 2006 Rules are dead and he is free of all registration obligations until fresh rules appear. *Analysis:* This is repeal *with* re-enactment. **Section 24** provides that rules, orders, notifications etc. made under a repealed law **continue in force** as if made under the corresponding provision of the re-enacting law, **so far as not inconsistent** with it and **until** superseded. The 2006 Rules therefore bridge into the 2025 regime and remain binding until the Government replaces them. **Section 6** separately preserves any liability

already *incurred* under the old Rules. The maker's "regulatory vacuum" argument fails. *Conclusion*: The 2006 Rules **continue** under Section 24; the widget-maker remains bound. *Examiner tweak*: if a specific 2006 Rule *contradicts* the 2025 Act, that Rule falls (Section 24 protects only what is *consistent*); and if the 2025 Act had *not* re-enacted the power at all, Section 24 would have nothing to attach to.

Scenario 8 — Two enactments, one act: prosecuted twice, punished once (Section 26). *Facts*: A single fraudulent act by Mr B is an offence under both a Central special Act and the IPC. He is prosecuted and *convicted* under the special Act and fined. The prosecution then seeks to *punish* him again under the IPC for the very same act with the same ingredients. *Analysis*: **Section 26** permits prosecution "under either or any" of the enactments but forbids **punishment twice for the same offence**. Since it is the *same offence* (same act, same essential ingredients), he cannot be **punished** a second time, though the *choice* of which enactment to proceed under was open to the prosecution. This aligns with **Article 20(2)** of the Constitution. *Conclusion*: No second punishment for the identical offence. *Examiner tweak*: if the IPC offence required a **materially different ingredient** (e.g., an additional element the special Act does not need), it would be a *different* offence and the Section 26 bar might not apply — punishment under both could then be lawful.

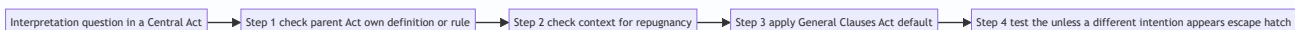
6. Procedure / Compliance summary — how to use the GCA when reading any Act

The GCA is not "complied with" like a filing requirement; it is *applied* as an interpretive tool. The disciplined method:

1. **Read the operative provision** in the Central Act you are working with (e.g., a Companies Act section).
2. **Spot the machinery word or question** — a defined term ("person," "month," "immovable property"), a timing phrase ("within...from..."), a repeal, or a service requirement.
3. **Check the parent Act first**. Does *that* Act define the term or answer the question itself? If yes → the special provision **overrides** the GCA. (Companies Act 2013 examples: "financial year" in Section 2(41), "person"-related terms in Section 2.)
4. **Check the context**. Is the GCA's default meaning *repugnant* to the subject or context? If clearly yes → context prevails.
5. **Otherwise apply the GCA default** — the Section 3 definition, or the relevant construction rule (Ss. 5–27).
6. **Watch the "unless a different intention appears" escape hatch** in Sections 6, 21, 27, etc. — always ask whether the specific Act has displaced the default.

One extra check for timing questions — sequence Section 9 → Section 3 (month) → Section 10. When the machinery word is a *deadline*, run the three rules in a fixed order: first apply **Section 9** to fix the *starting* point (does "from" exclude the first day?); then apply the **Section 3** meaning of any unit used ("month" = calendar month, not 30 days) to find the *last* day; finally apply **Section 10** to see if that last day's institutional closure pushes you to the next open day (unless the Limitation Act governs). Doing them out of order is the commonest way students land the wrong date.

Decision order — special provision beats general default.



7. Connections — where the GCA plugs into the rest of the syllabus

- **Companies Act 2013 (the whole paper).** Every undefined common word in the 2013 Act draws its meaning from the GCA — "person," "document," "month," "immovable property," "good faith," "registered," "writing." When a Companies Act section sets a deadline "within X days from," you compute it with **Sections 9 and 10**. When a notice must be "served by post," **Section 27** governs the presumption. The Companies Act 1956 → 2013 transition is itself a live **Section 6 + Section 24** case study (finished acts saved, old rules bridged forward).
 - **Interpretation of Statutes (companion chapter).** The GCA is the *statutory* limb of interpretation; the common-law rules (literal, golden, mischief, harmonious construction; internal/external aids) are the *judicial* limb. Together they form the complete toolkit. The GCA supplies fixed defaults; the interpretation rules resolve genuine ambiguity the GCA does not touch. The **special-beats-general maxim** (*generalia specialibus non derogant*) is the hinge that connects the two chapters — it is *why* the parent Act always overrides the GCA.
 - **The Constitution.** Section 26 (no double punishment) mirrors **Article 20(2)** (double jeopardy). Section 5 (commencement on assent) connects to the President's assent power under **Article 111**. Section 30 reaches Ordinances made under **Articles 123 and 213**.
 - **Limitation Act, 1963.** Section 10's proviso *carves out* Limitation-Act matters, which have their own holiday rule (Section 4 of that Act). Know the boundary.
 - **Indian Penal Code.** The "good faith" clash (honesty vs. due care) and the borrowed meaning of "imprisonment" both connect the GCA to the IPC — flagging where a *different* Act's own definition displaces the GCA default.
 - **General procedure across all Central Acts** — FEMA, LLP Act, IBC, etc. — all inherit the GCA defaults, making this chapter's payoff far larger than its size.
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8. Traps & Examiner Tricks

1. **"Financial year" trap.** The GCA says financial year starts **1st April (Section 3(21))** — but the **Companies Act 2013 has its OWN definition in Section 2(41)**. For company-law questions, the special definition governs; the GCA fills only where the Act is silent. Examiners test whether you know special beats general.
2. **"Good faith" — honesty vs. due care.** GCA = **honest, negligence irrelevant**. IPC = **due care and attention required**. The examiner presents a negligent-but-honest actor and asks which standard applies — answer depends on *which* Act governs the matter.
3. **"From" and "to" (Section 9).** Students routinely include the first day. Remember: **"from" excludes the first day; "to" includes the last day**. A single day's error flips the answer.
4. **Section 10 does NOT apply to Limitation-Act matters.** Don't blindly extend "office closed → next open day" to every deadline; the Limitation Act 1963 governs its own matters (its Section 4).
5. **"Month" = calendar month, not 30 days (Section 3(35)).** "One month from 15th January" ends **15th February**, not "January 15 + 30 days." A trap when a February is involved — and doubly so in a non-leap February, which can pull a deadline *earlier* than a 30-day count.
6. **Section 6 "unless a different intention appears."** The 5 survivors of repeal are a *default*. If the repealing Act expressly ends pending proceedings, Section 6 yields. Never state Section 6 as absolute.

7. **Section 26 — prosecuted vs. punished.** You *may be prosecuted under multiple laws* but **not punished twice**. Students wrongly say "cannot be prosecuted under two Acts." The bar is on double *punishment*, not double *prosecution* — and only for the **same offence** (same act + same ingredients).
8. **Section 27 — "unless the contrary is proved."** The *time* of service is a **rebuttable** presumption. Don't call it conclusive. And the presumption needs **registered** post + correct address + pre-payment (all three); an ordinary letter or a mis-addressed one does not trigger it.
9. **GCA governs only CENTRAL Acts/Regulations (and Ordinances via Section 30).** State laws follow their own State General Clauses Acts. Don't apply the Central GCA to a State statute.
10. **The GCA is a default, not a command.** Its recurring phrase — "unless there is anything repugnant in the subject or context" / "unless a different intention appears" — means the parent Act and context always win. Treating GCA meanings as mandatory-everywhere is the deepest error.
11. **Section 21 vs. quasi-judicial orders.** Power to make rules/notifications includes power to amend/rescind — but this does **not** let an authority casually reopen a *quasi-judicial* order once passed.
12. **"Includes" vs "means."** An "includes" definition (person, affidavit, good faith) is *open* — it adds to the ordinary meaning. A "means" definition (movable property) is *exhaustive* — it shuts everything else out. Getting this backwards flips whether an unlisted item is covered.
13. **Accrued right vs. mere hope (Section 6(c)).** Only a right *already perfected* before repeal survives; a right still *in the making* (a pending application) can be extinguished. The examiner tests the *timing* of the right relative to the repeal.
14. **Repeal vs. expiry of a temporary Act.** Section 6 saves things on **repeal**; a temporary Act that merely **expires by efflux of time** is not "repealed," so look for its own saving clause instead of assuming Section 6 applies.
15. **Section 5 fallback is only for silence.** "Assent = commencement" applies **only** where the Act does not name a date or a to-be-notified date. If the Act says "on such date as the Central Government may notify," it is dormant until that notification — a very common Companies Act pattern.

9. First-Principles Recap — rebuild the whole chapter from one idea

Start from a single frustration: **every statute needs the same boring machinery** — a dictionary of common words and a rulebook for timing, repeal, and service. Copying that machinery into each Act would cause **bloat, contradiction, and exploitable gaps**.

The fix: **write the machinery once, in a meta-law, and make it the silent default behind every Central Act — overridable whenever the specific Act speaks**. That meta-law is the **General Clauses Act, 1897**. The overridability is not a weakness but the *whole design*: it is the statutory form of *generalia specialibus non derogant* — general defaults must yield to special provisions.

From that one idea, everything follows: - **A default dictionary (Section 3)** — so "person" covers companies, "month" means a calendar month, "good faith" means honesty, and every Central Act reads consistently. Watch "includes" (open) vs "means" (closed). - **Commencement rule (Section 5)** — assent fixes the start moment when the Act is silent, so no law floats in limbo; but a named or to-be-notified date displaces it. - **Repeal-survival (Section 6, with 6A, 7, 8, 24)** — because repeal must change the *future*, not erase the *finished past*; otherwise every modernisation is an amnesty. The **5 survivors**: no-revival, previous operation, accrued rights, incurred penalties, pending proceedings. Only *perfected* rights survive; *hopes* do not. Sections 8 and 24 keep cross-references and subordinate instruments alive across a repeal-and-re-enactment. -

Timing arithmetic (Sections 9 & 10) — "from" excludes, "to" includes; a month is a *calendar* month; a closed office on the last day forgives you to the next open day (except Limitation-Act matters) — so deadlines are certain and diligence isn't punished by the calendar. - **Economy + living-power rules (Sections 13, 14, 15, 16, 21, 22)** — "he" includes "she," singular includes plural; and a conferred power is *continuing and self-correcting* — exercisable from time to time, carrying the power to remove, amend, or rescind — so statutes stay compact yet complete and powers never go stale. - **Fair-process rules (Sections 25, 26, 27)** — uniform fine recovery; no double *punishment* for the same offence (though multiple prosecutions may be laid); postal service is presumed once you post correctly by registered post — so process is fair to both sides.

And over all of it hangs the master switch: **"unless a different intention appears."** The GCA never overrides a statute that speaks for itself; it only fills silences. That is why it is called an **aid to interpretation** — the invisible layer that makes every other Indian Central Act complete.

10. Quick-Revision Sheet

Key sections at a glance:

Section	Topic	One-line rule
1	Short title & extent	"General Clauses Act, 1897"; extends to whole of India.
3	Definitions	~65 default meanings for all Central Acts, unless context repugnant .
3(21)	Financial Year	Year commencing 1st April (Companies Act Sec 2(41) overrides for company law).
3(22)	Good Faith	Done honestly, whether negligently or not (contrast IPC = due care).
3(23)	Government	Includes both Central and State Government.
3(26)	Immovable Property	Includes land, benefits from land, things attached to earth.
3(35)	Month	Reckoned by the British/Gregorian calendar (not 30 days).
3(36)	Movable Property	Everything except immovable property (a "means" = exhaustive definition).
3(38)	Offence	Any act or omission punishable by law in force.
3(42)	Person	Includes company, association, body of individuals , incorporated or not.
3(66)	Year	Reckoned by the British calendar (1 Jan–31 Dec).
5	Commencement	If Act silent, in force on the day of assent ; effective from start of that day.
6	Effect of repeal	5 survivors: no-revival / previous operation / accrued rights / incurred penalties / pending proceedings — unless different intention .
6A	Repeal of amending Act	Amendment already made is not undone .
7	Revival	Must be expressly stated.
8	References to repealed Act	Read as reference to corresponding re-enacted provision .
9	"From / To"	"From" excludes first day; "to" includes last day.
10	Office closed	Act done on next open day is in time — not for Limitation-Act matters.
13	Gender & number	Masculine includes feminine; singular includes plural (and vice versa).
14	Powers	Exercisable from time to time .
15	Appointment by name/office	May appoint by naming a person or designating the office .
16	Power to appoint	Includes power to suspend or dismiss .
21	Power to make	Includes power to add / amend / vary / rescind (same procedure).
22	Anticipatory rules	Rules may be made before commencement , effective on commencement.
24	Continuation	Rules/orders under repealed law continue under re-enacted law (so far as consistent, until superseded).
25	Recovery of fines	CrPC fine-recovery machinery applies.

Section	Topic	One-line rule
26	Two enactments	May be prosecuted under either , but not punished twice for the same offence.
27	Service by post	Deemed effected by correctly addressing + pre-paying + registered posting ; time = ordinary course, rebuttable .
30	Ordinances	GCA rules apply to Ordinances too (Arts 123 / 213).

Time-limits / thresholds table:

Item	GCA rule
First day of a period expressed by "from"	Excluded (Section 9).
Last day of a period expressed by "to"	Included (Section 9).
Last day is a holiday / office closed	Do it on the next open day = in time (Section 10).
Mid-period holiday	No extension — count straight through; only <i>last-day</i> closure counts.
Section 10 exception	Does not apply to Limitation Act, 1963 matters.
"Month"	Calendar month (Section 3(35)) — not 30 days; ends on corresponding date or last day of short month.
"Year" / "Financial Year"	Calendar year / 1 April -start year (Ss. 3(66), 3(21)).
Commencement when Act silent	Day of assent (Section 5).
Repeal survivors	5 things protected under Section 6(a)–(e).
Double punishment	Barred ; double prosecution permitted (Section 26).
Section 27 presumption	Needs registered post + correct address + pre-payment (all three).

Master mnemonics: - **GCA = Dictionary + Rulebook**, both **default only** ("unless a different intention appears"). - **Section 6 survivors** — "*No zombies, Past stands, Rights kept, Penalties due, Cases go on.*" - **Section 9** — "*From = First out, To = Terminal in.*" - **Section 27** — "*Address + Pre-pay + Registered post = served.*" - **Living-power block (14/16/21)** — "*Make it, amend it; hire, fire; use it again and again — powers don't die on first use.*" - **Timing order** — "*Section 9 start → Section 3 month → Section 10 closure.*"

Exam note: where this chapter gives a Section 3 sub-clause number, **confirm the exact clause number against the current bare Act / ICAI study material**, as sub-clause numbering is renumbered across editions; the *principle* of each definition is stable and is what carries marks.

Q&A — The General Clauses Act 1897

Exam-oriented question bank for CA Intermediate — Corporate & Other Laws. Every question is followed by a complete model answer with the exact Section cited. Statute referenced: **The General Clauses Act, 1897** (with cross-references to the Companies Act, 2013 where relevant). No invented provisions.

SECTION A — Concept-Check Questions (with answers)

- A1. What is the object and utility of the General Clauses Act, 1897? Answer:** The General Clauses Act, 1897 is an "interpretation Act." Its object is to (a) shorten the language of Central legislation by avoiding repetition of definitions and standard provisions, (b) provide uniform definitions of recurring words and expressions, (c) state rules of construction to guard against slips and mistakes, and (d) preserve accrued rights when statutes are repealed. It applies to all Central Acts and Regulations unless a **different intention appears** in the enactment concerned (Sections 3 and 4).
- A2. Define "financial year" under the General Clauses Act. Answer:** Under **Section 3(21)**, "financial year" means the year commencing on the **1st day of April**. This is distinct from a "year" which, under **Section 3(66)**, means a year reckoned according to the British calendar (1 January to 31 December).
- A3. How is "month" defined and why does it matter? Answer:** Under **Section 3(35)**, "month" means a month reckoned according to the **British calendar**. Therefore a month runs from a date in one calendar month to the corresponding date in the next, not as 30 days. E.g., a period of one month from 15 January ends on 15 February.
- A4. Distinguish "immovable property" and "movable property" as defined. Answer:** **Section 3(26)** — "immovable property" includes land, benefits to arise out of land, and things attached to the earth or permanently fastened to anything attached to the earth. **Section 3(36)** — "movable property" means property of every description **except immovable property**.
- A5. What do Sections 3(7), 3(22) and 3(60) define regarding "Government"? Answer:** **Section 3(7)** defines "Central Government," **Section 3(60)** defines "State Government," and **Section 3(23)** deals with Government securities. "Government" (Section 3(23))... "Government" per 3(23) is Government securities; "Government" itself under 3(23)? — precisely, **Section 3(23)** = "Government/Govt." includes both Central and State Government. These uniform definitions save every Central Act from re-defining who exercises executive power.
- A6. State the rule of construction regarding gender and number. Answer:** Under **Section 13**, in every Central Act and Regulation, unless a contrary intention appears — (1) words importing the **masculine gender** shall be taken to include females; and (2) words in the **singular** shall include the plural, and vice versa.
- A7. What does Section 9 lay down about the words "from" and "to"? Answer:** **Section 9** provides that in any Central Act/Regulation, to exclude the first day in a series of days or a period, the word **"from"** is used, and to include the last day the word **"to"** is used. Effect: "from" excludes the opening day; "to" includes the closing day.
-

SECTION B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. A notice under a Central Act must be given "within 15 days from 1st March." Mr. X gives it on 16th March. Is it in time? **Answer (Facts → Analysis → Conclusion):** - **Facts:** Period of 15 days computed "from 1st March"; notice served 16th March. - **Analysis:** **Section 9** states that the word "from" **excludes** the first day. Hence 1st March is excluded and counting begins on 2nd March. Fifteen days therefore run 2nd–16th March, so the 15th day is 16th March. - **Conclusion:** The notice given on 16th March is **within time** and valid.

B2. A statutory application had to be filed "within one month" from 30th January. The office was closed on the last day. When can it validly be filed? **Answer:** - **Facts:** Limitation of "one month" from 30th January; last day a holiday. - **Analysis:** "Month" = British calendar month (**Section 3(35)**), so one month from 30th January expires on the corresponding date in February. As February has no 30th, it expires on the last day of February. Under **Section 10**, where an act is allowed to be done within a prescribed period and the **court/office is closed** on the last day, the act may be done on the **next day it is open**. (Note: Section 10 excepts the Limitation Act, 1963 which has its own s.4.) - **Conclusion:** The application filed on the next working day after the closed last day is **valid**.

B3. A Central Act empowers the Government to "issue a notification fixing rates." Later the Government wants to amend those rates. Does it need fresh statutory authority? **Answer:** - **Facts:** Power to issue notification given; Government now wishes to amend/rescind. - **Analysis:** Under **Section 21**, where a Central Act confers power to issue notifications, orders, rules or bye-laws, that power **includes** a power, exercisable in the like manner and subject to like conditions, to **add to, amend, vary or rescind** the notification, order, rule or bye-law. - **Conclusion:** No fresh authority is needed; the Government may amend or rescind the rates under Section 21, following the same procedure as for the original notification.

B4. An authority is empowered "to appoint" an officer to a post. Can the same authority suspend or dismiss that officer? **Answer:** - **Facts:** Power "to appoint" conferred; question of power to suspend/dismiss. - **Analysis:** **Section 16** provides that where a Central Act/Regulation confers power to make an appointment, the authority having such power shall, unless a different intention appears, also have the power to **suspend or dismiss** the person appointed. (Complementarily, **Section 15** allows appointment by name or by virtue of office.) - **Conclusion:** The appointing authority also possesses the power to suspend or dismiss the officer.

B5. A repealed Act had imposed a penalty on Mr. Y for a contravention committed before repeal. After repeal, can proceedings still continue? **Answer:** - **Facts:** Contravention and liability accrued under an Act later repealed. - **Analysis:** Under **Section 6**, unless a different intention appears, repeal does not — (a) revive anything not in force; (b) affect the previous operation of the repealed enactment or **anything duly done**; (c) affect any **right, privilege, obligation or liability acquired, accrued or incurred**; (d) affect any **penalty, forfeiture or punishment** incurred; or (e) affect any investigation, legal proceeding or remedy — which may be continued as if the repealing Act had not been passed. - **Conclusion:** The penalty and proceedings against Mr. Y **survive the repeal** and may be continued under Section 6.

B6. A notice under the Companies Act, 2013 is sent by registered post, properly addressed and stamped. The addressee claims he never received it. Is service proved? **Answer:** - **Facts:** Notice properly addressed, pre-paid and posted by registered post; non-receipt alleged. - **Analysis:** **Section 27** of the General Clauses Act provides that where any Act requires a document to be served "**by post**," service is deemed effected by properly addressing, pre-paying and posting the letter, and unless the contrary is proved, service is deemed to be effected at the time the letter **would be delivered in the ordinary course of post**. This aligns with

service provisions under Section 20 of the Companies Act, 2013. - **Conclusion:** Service is presumed to be validly effected; the burden shifts to the addressee to prove non-delivery.

SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

C1. Explain the effect of repeal of an enactment under Section 6 of the General Clauses Act, 1897.

Model Answer: Section 6 protects the past operation of a repealed law. Where any Central Act or Regulation is repealed, then unless a different intention appears, the repeal shall **not**: (a) revive anything not in force at the time of repeal; (b) affect the previous operation of the repealed enactment or anything duly done or suffered thereunder; (c) affect any right, privilege, obligation or liability acquired, accrued or incurred under it; (d) affect any penalty, forfeiture or punishment incurred in respect of any offence committed against it; or (e) affect any investigation, legal proceeding or remedy in respect of such right, liability, penalty or forfeiture. Such proceedings may be instituted, continued or enforced as if the repealing Act had not been passed. The provision thus safeguards **vested/accrued rights and pending actions** and prevents a repeal from operating retrospectively to defeat them.

C2. Write short notes on: (i) "Coming into operation of enactments" and (ii) "Effect of repeal of a repealing Act."

Model Answer: (i) **Section 5** — Where any Central Act is not expressed to come into operation on a particular day, it comes into operation on the day it receives the **assent of the President** (for Acts passed after commencement of the Constitution). Thus the date of enforcement is fixed unless the Act itself provides otherwise. (ii) **Section 7 & Section 6A** — Under **Section 7**, to revive a repealed enactment, express words are required; a repeal does not automatically revive earlier repealed law. Under **Section 6A**, where a Central Act repeals any enactment by which the text of any Central Act was **amended** by express omission, insertion or substitution, the repeal shall not affect the continuance of the amendment already made unless a contrary intention appears.

C3. Explain the rules relating to computation of time under Sections 9 and 10. Model Answer: **Section 9** governs the exclusion/inclusion of terminal days: the word **"from"** excludes the first day of a period, and the word **"to"** includes the last day. **Section 10** deals with acts to be done within a prescribed period: if the last day on which an act (proceeding in a court or office) may be done is a day when the court/office is **closed**, the act is deemed done in time if done on the **next day the court/office reopens**. However, Section 10 does **not** apply to any act to which the **Limitation Act, 1963** applies, since that Act contains its own provision (Section 4). Together these sections ensure fairness in reckoning statutory periods.

C4. Discuss the rule of construction that "power to make includes power to add, amend, vary or rescind" and its practical significance for delegated legislation. Model Answer: **Section 21** codifies a fundamental rule for subordinate/delegated legislation: where a Central Act or Regulation confers a power to issue **notifications, orders, rules or bye-laws**, that power carries with it an implied power to **add to, amend, vary or rescind** any such instrument, exercisable in the **like manner and subject to like sanction and conditions** as the original power. Practical significance: the executive need not seek fresh legislative authority each time a subordinate instrument requires modification; but the power to amend is **co-extensive** with the power to make — it must follow the same procedure (e.g., previous publication, consultation) that governed the original. This provides both flexibility and procedural discipline in administrative rule-making.

C5. State the rules of construction contained in Sections 13, 14 and 15 of the Act. Model Answer: -

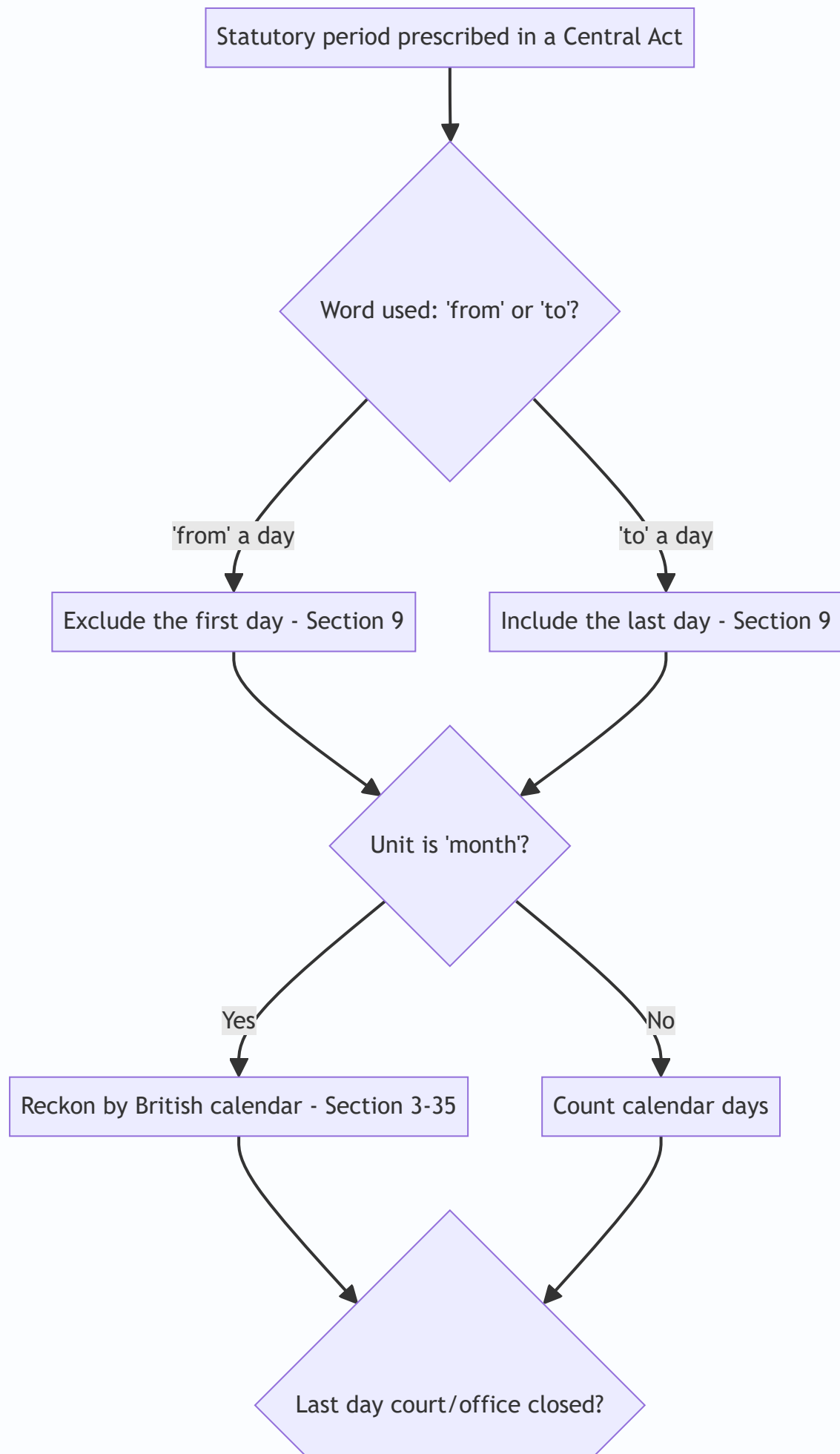
Section 13 (Gender and number): Masculine includes feminine; singular includes plural and vice versa — unless a contrary intention appears. - **Section 14 (Powers exercisable from time to time):** Where a Central

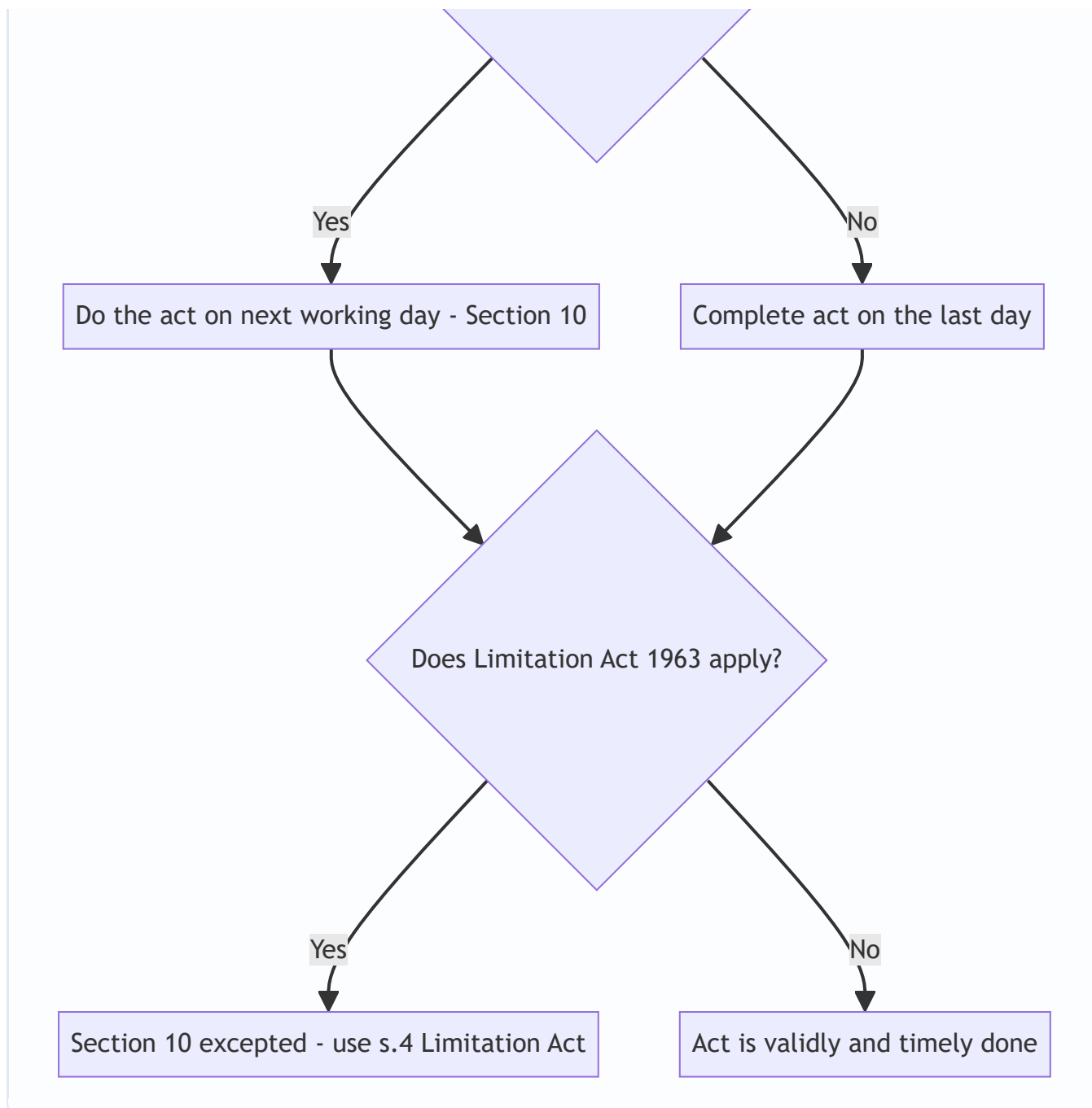
Act confers a power, that power may be exercised **from time to time as occasion requires**, unless a different intention appears. Thus a power once used is not exhausted. - **Section 15 (Power to appoint):** Where power is given to appoint a person to fill an office or execute a function, the appointment may be made either by **name or by virtue of office**. These uniform construction rules avoid repetitive drafting and prevent narrow interpretations that would frustrate the statute's purpose.

SECTION D — MCQs / Case Scenarios (correct option + one-line reasoning)

- D1.** "Financial year" under the General Clauses Act commences on: (a) 1 January (b) 1 April (c) 1 July (d) 1 October **Answer: (b) 1 April.** *Reason:* Section 3(21) defines financial year as the year commencing on 1st April.
- D2.** The word "month" means: (a) 30 days (b) 28 days (c) a month per the British calendar (d) a lunar month **Answer: (c) a month per the British calendar.** *Reason:* Section 3(35) reckons a month by the British calendar, not fixed days.
- D3.** In a Central Act, the word "from" a specified day: (a) includes that day (b) excludes that day (c) includes only if a holiday (d) depends on context **Answer: (b) excludes that day.** *Reason:* Section 9 provides "from" excludes the first day and "to" includes the last day.
- D4.** Power to issue a notification includes the power to amend or rescind it under: (a) Section 6 (b) Section 16 (c) Section 21 (d) Section 27 **Answer: (c) Section 21.** *Reason:* Section 21 confers implied power to add to, amend, vary or rescind such instruments.
- D5.** A repeal does **not** affect any right accrued under the repealed Act. This is provided by: (a) Section 5 (b) Section 6 (c) Section 7 (d) Section 8 **Answer: (b) Section 6.** *Reason:* Section 6 preserves accrued rights, liabilities, penalties and pending proceedings.
- D6.** Service "by post" is deemed effected when the letter would be delivered in the ordinary course of post, under: (a) Section 25 (b) Section 26 (c) Section 27 (d) Section 3(39) **Answer: (c) Section 27.** *Reason:* Section 27 raises a rebuttable presumption of service on proper addressing, pre-paying and posting.
- D7.** Where power is conferred to make an appointment, the same authority may also suspend or dismiss the appointee. This flows from: (a) Section 14 (b) Section 15 (c) Section 16 (d) Section 21 **Answer: (c) Section 16.** *Reason:* Section 16 attaches power to suspend/dismiss to the power to appoint.
- D8.** A Central Act silent on its commencement comes into force on: (a) date of gazette printing (b) date of Presidential assent (c) 1 April following (d) date of introduction **Answer: (b) date of Presidential assent.** *Reason:* Section 5 fixes the assent date as the commencement date absent a contrary provision.
- D9.** Movable property under Section 3(36) means: (a) only goods (b) property of every description except immovable property (c) shares only (d) currency only **Answer: (b) property of every description except immovable property.** *Reason:* Section 3(36) defines it residually against immovable property in Section 3(26).
- D10.** A power conferred by a Central Act, unless a contrary intention appears, may be exercised: (a) only once (b) from time to time as occasion requires (c) within one year only (d) only by the Central Government **Answer: (b) from time to time as occasion requires.** *Reason:* Section 14 makes statutory powers recurrently exercisable.
-

Mermaid Diagram — Applying the General Clauses Act to a Statutory Time





Quick-Revision Pointers (Section-linked)

- **Definitions:** Financial year — 1 April (**3(21)**); Year — British calendar (**3(66)**); Month — British calendar (**3(35)**); Immovable property (**3(26)**); Movable property (**3(36)**); Person — includes company/association (**3(42)**).
- **Commencement & Repeal:** Enforcement on assent (**5**); Effect of repeal — saves accrued rights (**6**); Repeal of textual-amendment Act (**6A**); Revival needs express words (**7**); References to repealed enactments read as re-enacted law (**8**).
- **Time:** "From" excludes / "to" includes (**9**); Closed last day → next open day, except Limitation Act (**10**).
- **Construction:** Gender & number (**13**); Power exercisable from time to time (**14**); Appointment by name/office (**15**); Power to appoint includes suspend/dismiss (**16**); Power to make includes amend/rescind (**21**).

- **Service:** Deemed service by post (**27**).
- **Golden rule:** All above apply "**unless a different intention appears**" (**Sections 3 & 4**) — the parent Act always prevails.

Chapter 13 — Interpretation of Statutes

1. The Problem — Why can't we just "read" the law?

Imagine Parliament passes a law that says: "*No vehicle shall be allowed in the public park.*" Clean sentence. Ten words. Everyone understands it.

Now watch it break.

- A father wheels his toddler in a **pram**. Is a pram a "vehicle"?
- An ambulance races in to save a collapsed jogger. Is the ambulance banned?
- The park committee wants to mount a **decommissioned army tank** on a concrete plinth as a war memorial. It has wheels, an engine. Is it a "vehicle"?
- A child rides a **skateboard**. A **bicycle**? A **battery scooter**?

Suddenly the "obvious" sentence is a minefield. The lawmaker who wrote it never imagined a war-memorial tank. The words on the page are a *frozen snapshot* of an intention — but life keeps generating new situations the words never anticipated.

Here is the deeper problem. When a dispute reaches a judge, the judge is stuck between two failures:

1. **Read too literally** and you get absurd results — the ambulance is banned, the injured jogger dies. You honour the *words* but betray the *purpose*.
2. **Read too freely** and every judge becomes a mini-legislator, inventing whatever meaning suits the case. Two judges, same statute, opposite answers. The law becomes unpredictable, and citizens can no longer know in advance what is legal.

So the real problem is not "what do these words mean?" It is: **How do we find the legislature's intention in a way that is consistent, disciplined, and predictable — so that different judges, on different days, reading the same statute, reach the same answer?**

That discipline is what "Interpretation of Statutes" gives us. It is a *toolbox of rules for reading* — not to let the judge do whatever they like, but precisely to *constrain* the judge, so meaning is discovered, not manufactured.

Why does interpretation even become necessary? The four generators of doubt. It is worth naming *why* words fail, because the examiner often asks "when does the question of interpretation arise?" A statute needs interpreting when the language is:

- **Ambiguous** — the word genuinely carries two meanings (is a "bank" a riverbank or a lender?).
- **Over-inclusive** — the words, read plainly, catch cases the legislature never aimed at (the ambulance).
- **Under-inclusive** — the words fail to catch a case that is squarely within the evil the Act targets (the mischief slips through a loophole).
- **Silent / has a gap (casus omissus)** — the situation simply was not foreseen (the pram).

Only the *third* and *fourth* are truly about "intention beyond words"; the first two are about "meaning of words." Keep that split in mind — it maps directly onto the interpretation-vs-construction distinction in Section 2.

Memory hook — "The Vehicle in the Park". Every rule in this chapter is an answer to some version of the pram/ambulance/tank problem. Whenever a rule feels abstract, ask: *which version of the park problem does this fix?*

2. The Core Idea — Interpretation vs Construction, and the Golden Thread

Interpretation is the process of ascertaining the *true, legal* meaning of the words used in a statute.

Construction is the process of drawing *conclusions* about cases that lie *beyond* the direct expression of the text — filling the gaps the words leave. In practice the exam uses the two words almost interchangeably, but the flavour differs:

Term	What it does	Park example
Interpretation	Finds the meaning of the words actually used	"Does the word <i>vehicle</i> include a bicycle?"
Construction	Deduces the answer for situations words don't cover	"The Act is silent on prams — what result did the legislature intend?"

A cleaner way to separate them for the exam: **interpretation** looks *at* the text and asks *what does this word mean*; **construction** looks *through* and *around* the text and asks *what legal effect follows in a situation the words do not squarely address*. Every act of construction contains interpretation, but not every interpretation needs construction. When the examiner writes "distinguish interpretation from construction," give (i) the definitions, (ii) "meaning of words vs effect in unforeseen situations," and (iii) "interpretation is the narrower, first step; construction is the broader inference."

The **golden thread** running through the entire subject — repeat this until it is reflex:

The object of all interpretation is to discover the *intention of the legislature*, and that intention is primarily gathered from the *language actually used*.

Notice the tension baked into that single sentence. We want the *intention* (the purpose, the mischief being cured), **but** we look for it first in the *language* (the actual words). The whole chapter is a negotiation between these two poles:

- Lean entirely on **language** → you get the **Literal Rule**.
- Lean entirely on **intention/purpose** → you get the **Mischief Rule**.
- The **Golden Rule** and **Harmonious Construction** are the referees standing in between.

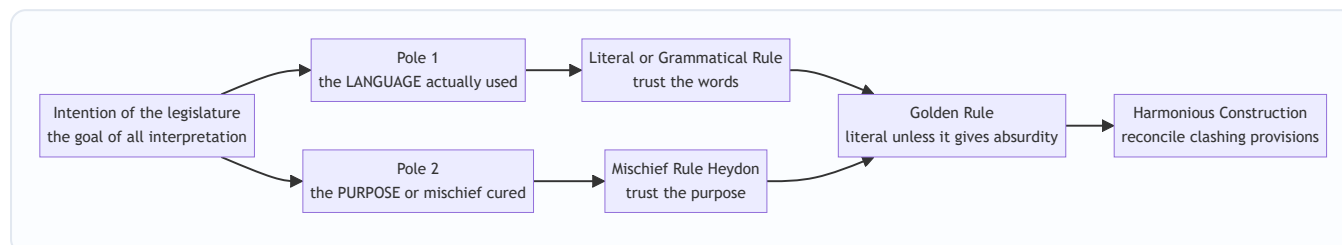
A finer distinction the exam tests — the two senses of "intention." Judges say "intention of the legislature," but this phrase hides an ambiguity that examiners exploit:

- **Subjective intention** — what the actual legislators, as people, had in their minds. This is largely *unknowable* and *irrelevant*; hundreds of members voted, many silent, many with different reasons. The law does **not** chase this.
- **Objective intention** — the meaning a *reasonable reader* would attribute to the words in their context. This is what courts actually seek. That is precisely *why* a legislator's speech is not conclusive evidence of

meaning (see External Aids): it reveals subjective motive, not the objective meaning of the enacted text.

Getting this right lets you answer the trap "can a minister's speech in Parliament fix the meaning of a section?" The answer: it is admissible to understand *the mischief and background*, but it does **not** bind the objective meaning of the words.

Figure 1 — the two poles interpretation must balance, and where each primary rule sits.



3. Why It's Built This Way — the constitutional bargain

Why not just let judges do "justice" freely? Because of a bargain baked into a democracy.

Separation of powers. The *legislature* makes law; the *judiciary* applies it. If judges could freely rewrite statutes to reach the outcome they prefer, they would be *making* law — usurping Parliament. So the primary rule (Literal) is deliberately **modest**: it tells the judge "*assume the legislature said exactly what it meant; your job is to read, not to improve.*"

Predictability and the rule of law. A citizen must be able to plan their conduct by reading the statute book. If meaning shifted with each judge's sense of fairness, "knowing the law" would be impossible. Rules of interpretation exist to make the *reading* reproducible.

But language is imperfect. Words are ambiguous, over-inclusive, under-inclusive, and can't foresee the future (the war-memorial tank). Rigid literalism sometimes produces absurdity or defeats the very object of the Act. So the system layers *escape valves* — the Golden Rule (avoid absurdity) and the Mischief Rule (serve the purpose) — but these are **subordinate**. They activate *only when literal reading fails*. This ordering is the whole architecture: start modest, escalate only when forced.

Think of it as a **hierarchy of trust**: trust the plain words first; distrust them only when they produce nonsense or defeat the statute's evident aim.

Why this ordering (and not the reverse)? Deeper first-principles: if the *purpose* rule came first, every judge would begin by asking "what did Parliament really want?" — a question with as many answers as there are judges. Purpose is contestable; the printed word is fixed. By forcing the judge to *start* from the fixed word and *escalate* to purpose only on proven failure (absurdity, or the Act missing its target), the system caps the judge's discretion. Discretion is not banned; it is *rationed* and made to earn its way in. That rationing is the entire genius of the scheme — it is not a hierarchy of importance (purpose obviously matters), it is a hierarchy of *who has to justify departing from the default*. The literal reader justifies nothing; anyone leaving the literal meaning must *prove* absurdity or defeated purpose. The burden sits on the one who wants to move.

4. Full Technical Content — the rules, aids, maxims and presumptions (each with its "why")

4.1 The Primary Rules of Interpretation

(a) The Literal / Grammatical Rule — "the words are the law"

The problem it fixes: the danger of judges inventing meaning. If we always looked past the words to "what the judge thinks was meant," the text would become decorative.

The rule: where the language of the statute is *plain and unambiguous*, it must be given effect to, in its **natural, ordinary, grammatical** meaning — *regardless* of whether the result seems harsh or inconvenient. The court presumes the legislature *chose its words deliberately*. You do not add words, subtract words, or read words differently.

Two supporting doctrines live inside the Literal Rule:

- **Casus omissus** — "a case omitted." A matter that should have been, but was *not*, provided for **cannot be supplied by the court**. If Parliament forgot to mention prams, the judge may not silently insert "prams." (Otherwise the judge legislates.)
- **Ut res magis valeat quam pereat** — "let the thing have effect rather than perish." A construction that makes the statute *workable* is preferred over one that makes it a dead letter. The legislature is presumed not to waste words.

A third doctrine to carry: A *verbis legis non est recedendum* — "from the words of the law there must be no departure." This is the Latin spine of the Literal Rule; quote it when asked to state the maxim underlying literal construction.

When it applies: as the **default and first** rule, whenever the words are clear.

A subtle point examiners probe — "plain meaning" is judged *in context*, not in a vacuum. The Literal Rule does not mean grabbing a dictionary and stopping. The "ordinary grammatical meaning" is the meaning the word bears *in that statute, on that subject*. The word "bank" is plain — but whether it means a lender or a riverside depends on whether the Act is about finance or flood control. So even the Literal Rule reads the word inside the sentence, the section, and the Act. What it forbids is going *beyond* a clear meaning to substitute what the judge wishes the legislature had said.

Its weakness (and why more rules are needed): the plain words can produce absurdity (ambulance banned) or defeat the object. Enter the Golden Rule.

Hook: *Literal* = "the letter of the law." Read exactly what is written.

(b) The Golden Rule — "literal, unless it turns to nonsense"

The problem it fixes: blind literalism producing an *absurd, repugnant, or inconsistent* result that the legislature could not possibly have intended (banning the ambulance).

The rule: start with the literal meaning; **but** if that meaning leads to an **absurdity, repugnance, or inconsistency** with the rest of the statute, the court may **modify or depart** from the ordinary meaning *just enough* to avoid the absurdity — and no further. It is the Literal Rule with a *safety valve*.

Two intensities: - **Narrow application** — used to choose between *two possible meanings* of an ambiguous word (pick the one that isn't absurd). - **Wider application** — used even where there is only *one* literal meaning, if that meaning is so repugnant the court must strain the language to avoid it.

The high threshold — "absurdity" is not "I don't like the result." This is the most examined nuance of the Golden Rule. The escape valve opens only for results that are *absurd, repugnant, or self-contradictory* — not results that are merely *harsh, unfair, or inconvenient*. A statute may deliberately be harsh; harshness is Parliament's prerogative. The judge who bends the words because the outcome feels unkind has crossed back into legislating. So the test is high: the literal result must be one *no reasonable legislature could have intended*. If a candidate writes "the result was unfair, so apply the Golden Rule," that is wrong — unfairness alone is not enough.

When it applies: when the literal reading is clear *but* the outcome is absurd/repugnant. It is a *correction*, not a free rewrite — the departure must be minimal.

Classic illustration: a statute lets a person "inherit" from another; a son murders his mother to inherit. Literally he qualifies. Golden Rule: no one may profit from their own crime — so read the provision as impliedly excluding the murderer, to avoid a repugnant result.

Hook: *Golden = "letter of the law, unless it produces lead."* Literal first; bend only to escape absurdity.

(c) The Mischief Rule (Heydon's Case, 1584) — "cure the disease Parliament targeted"

The problem it fixes: words that are clear enough but, read literally, *fail to catch the very evil the Act was passed to stop* — or catch things the Act was never aimed at. Here we need the *purpose*.

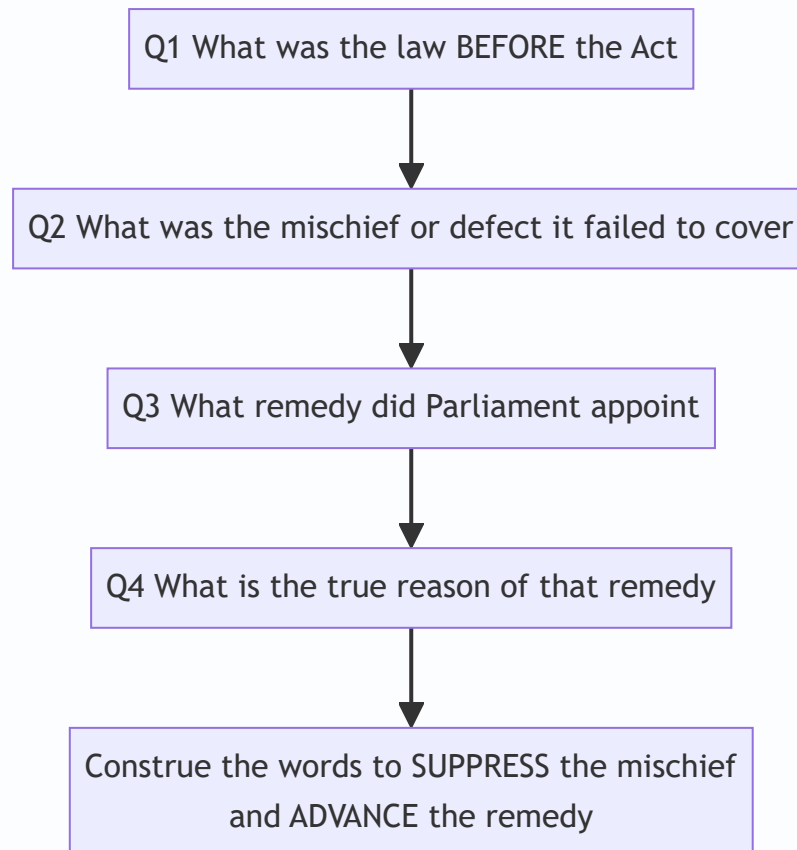
The rule: identify the **mischief** (the defect in the pre-existing law) the statute was designed to remedy, and interpret the words so as to **suppress the mischief and advance the remedy**. From *Heydon's Case*, the court asks **four questions**:

1. **What was the common law (the law) before the Act?**
2. **What was the mischief or defect** for which that law did *not* provide?
3. **What remedy** did Parliament resolve and appoint to cure the mischief?
4. **What is the true reason of the remedy?** — and the judge must then construe the Act to *suppress the mischief and advance the remedy*.

When it applies: especially to **remedial / welfare** statutes (labour law, consumer protection, anti-evasion tax provisions) — wherever the point of the Act is to *fix a social evil*, and a literal reading would let the evil slip through.

The modern descendant — purposive construction. The Mischief Rule of 1584 has grown into what modern courts call **purposive construction**: read the words in the light of the *object and purpose* of the Act as a whole, giving them the meaning that best carries that purpose forward. The difference in emphasis: the old Mischief Rule was backward-looking (what evil *pre-existed*?), while purposive construction is forward-looking (what *object* does this Act pursue?). For the exam, treat purposive construction as the Mischief Rule modernised — and note it is now the dominant approach for taxation anti-avoidance and welfare legislation. Do **not**, however, use purposive construction to *rewrite* a charging section in a tax Act — a citizen is taxed by clear words, not by the spirit (this is the boundary where strict construction pushes back).

Figure 2 — Heydon's four questions as a decision flow.



Hook: *Mischief* = "spirit of the law." Ask "what evil was this Act hunting?" and read the words to catch that prey.

(d) Harmonious Construction — "make the parts agree"

The problem it fixes: two provisions of the *same* statute (or two statutes) that appear to **contradict** each other. If you obey one you disobey the other.

The rule: the statute must be read as a *whole*; the court must **reconcile** the conflicting provisions so that **both are given effect** as far as possible. The legislature is presumed *not to contradict itself*. A construction that reduces one provision to a **dead letter (redundant)** is to be avoided. Only if reconciliation is genuinely impossible does one provision yield — and even then the court gives each the widest operation that leaves room for the other.

Special rule of harmony: where a **general** provision and a **special** provision clash, the **special prevails** over the general on the subject it specially covers — *generalia specialibus non derogant* ("general things do not derogate from special things").

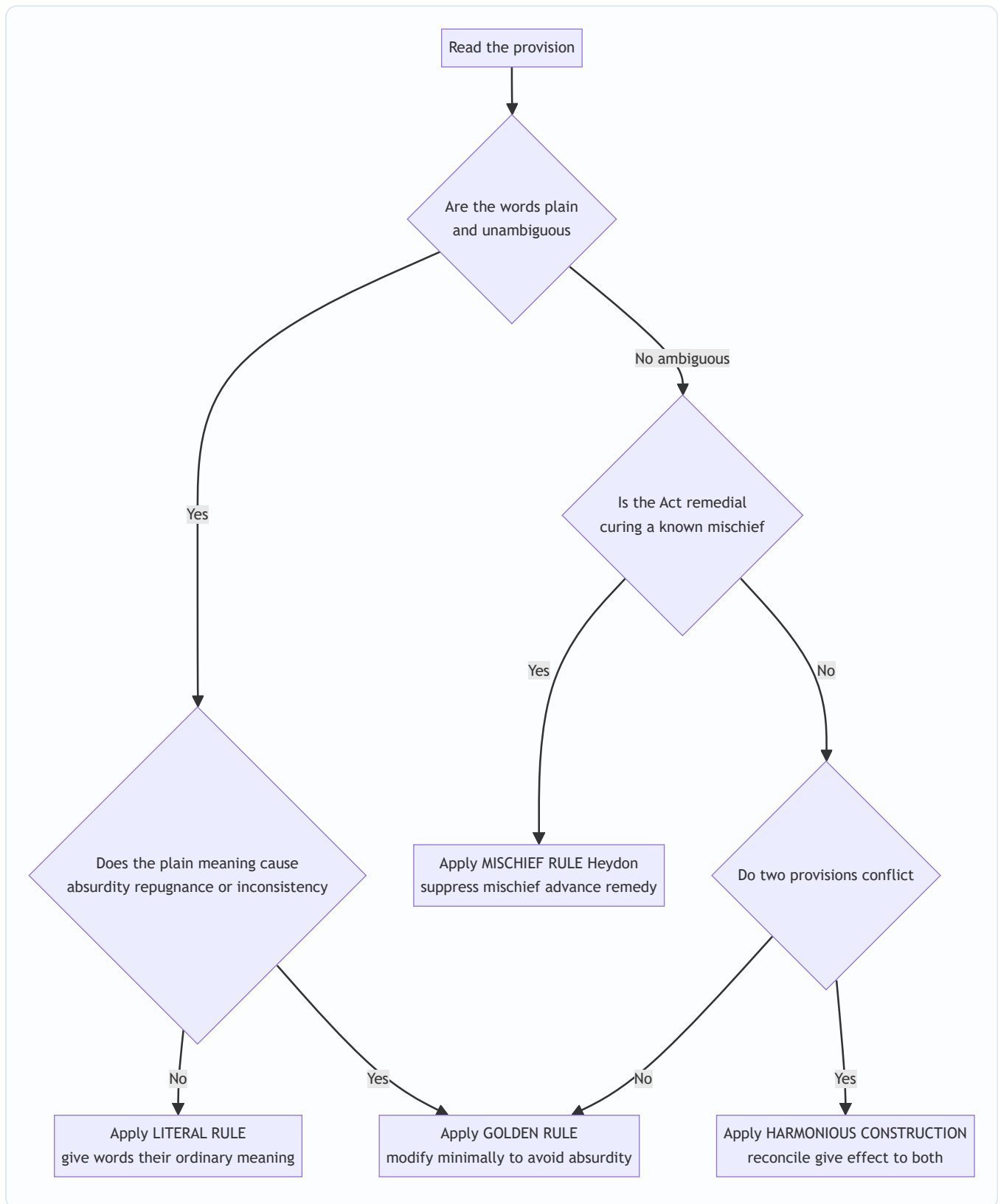
The five principles of harmonious construction (exam-ready list). When asked to *state* the doctrine rather than merely apply it, courts have distilled it into these rules of thumb: 1. Read the statute as a whole; give effect to **all** provisions. 2. Where two provisions conflict, seek an interpretation that **reconciles** them. 3. Prefer the construction that keeps **both** alive over one that renders either **redundant / a dead letter**. 4. Where reconciliation is impossible, the provision **later in position** or the **special** one may prevail on its

subject — but this is a last resort. 5. A court will **not** reduce a provision to a nullity unless it is *driven* to that by an unavoidable contradiction.

When it applies: internal contradictions; overlapping entries/lists; general-vs-specific conflicts.

Hook: *Harmonious* = "make peace, don't pick a fight." Give both provisions a job; kill neither.

Figure 3 — the master decision tree: which primary rule fires?



(e) Beneficial (Liberal) vs Strict Construction — a rule of *tone*, not a fifth primary rule

Students sometimes list "beneficial construction" as a separate primary rule. Be precise: it is not a *free-standing* method like the four above — it is a **direction of lean** applied *within* interpretation when the words are doubtful.

- **Beneficial / liberal construction** applies to **remedial and welfare** statutes. Where two readings are open, choose the one that *advances the benefit* to the class the Act protects. It draws its energy directly from the Mischief Rule.
- **Strict construction** applies to **penal and taxing** statutes. Where two readings are open, choose the one that *favours the subject* — nothing is punished or taxed unless caught by clear words.

The crucial exam point: *tone only breaks a tie*. If the words are **plain**, even a welfare statute is read literally and even a penal statute bites — you do not stretch a beneficial Act beyond its clear words, nor narrow a penal Act below its clear words. Beneficial/strict construction resolves *ambiguity*; it does not manufacture it. (The full "swords narrow, shields wide" treatment sits in Section 4.5.)

4.2 Internal Aids to Construction (found *inside* the statute)

When words are doubtful, the court first looks *within the four corners of the Act itself*. These are **internal aids** — and each answers a specific doubt.

Internal aid	What doubt it resolves	Key rule / caution
Long Title	What is the Act broadly <i>about</i> ?	Part of the Act; may be used to understand general scope and object, but cannot override clear enacting words.
Short Title	Merely a <i>label</i> for citation (e.g., "The Companies Act 2013")	Only for identification; no interpretive value .
Preamble	The <i>reason and object</i> — the "why" of the Act	A key to the maker's mind; useful when enacting words are ambiguous. But where the enacting section is clear, the preamble cannot cut it down .
Marginal notes / headings	Quick gist of a section	Generally NOT a legitimate aid (they aren't voted on by the legislature); may be looked at <i>only</i> in case of ambiguity, with great caution.
Definition / Interpretation clause	The <i>stipulated</i> meaning of a term for that Act	" means " = exhaustive/restrictive; " includes " = extends/enlarges the ordinary meaning; " means and includes " = exhaustive but broadened; watch for " unless the context otherwise requires ".
Proviso	Carves out an <i>exception</i> to the main provision	Deals only with the main provision it is attached to; it qualifies/excepts , it does not <i>enlarge</i> .
Explanation	<i>Clarifies</i> or explains the main provision	Explains meaning, removes doubt, may fill a gap — but does not widen or contradict the section.
Illustrations	Worked <i>examples</i> of the section	Valuable to show application; but cannot modify the language of the section if they conflict with it.
Schedules	Detailed matter (forms, rates, lists)	Part of the Act; but the enacting section prevails if a schedule conflicts with it.
Punctuation	Commas, semicolons	A <i>minor</i> aid; the meaning must first be gathered from the words. Older statutes were sometimes unpunctuated.
Non-obstante clause ("notwithstanding anything...")	Which provision <i>overrides</i> in a clash	Gives the section it heads overriding effect over the provisions it names; but its reach is limited to what it actually says.
Saving clause	What survives a repeal/amendment	Preserves existing rights/pending actions; if it conflicts with the main provision, the main provision usually prevails.

Why the "means vs includes" distinction matters so much — it is a repeat exam favourite:

- "**means**" → the definition is a *sealed box*. The term means *only* what is listed. Nothing outside gets in. (Restrictive.)
- "**includes**" → the definition is an *open door*. The term keeps its ordinary dictionary meaning **plus** the listed items. (Extensive/enlarging.)
- "**means and includes**" → exhaustive *and* deemed to cover the listed items — comprehensive, treated as a hard-and-fast definition.

- **"unless the context otherwise requires"** → the stipulated meaning is the *default*, but if a particular section's context demands a different meaning, context wins.

The two darlings of drafting — proviso vs non-obstante clause. These are constantly confused and constantly tested:

- A **proviso** looks *backward and inward* at the very section it is attached to and *carves an exception* out of it. Its job is to *take something out* of the main provision's reach. It cannot travel to other sections, and it cannot *add* to the main provision — only subtract. The tell-tale word is **"Provided that..."**.
- A **non-obstante clause** ("**notwithstanding** anything contained in...") looks *outward* and gives its own provision **overriding force** over other, possibly conflicting, provisions. Its job is to *win the clash* it names. But it overrides only what it actually mentions — a non-obstante clause naming "this Act" does not override some *other* Act unless it says so.

So a proviso *narrows*, a non-obstante clause *dominates*. Mixing these up is a frequent MCQ loss.

Ranking among internal aids — what beats what. When two internal aids point different ways, the order of authority is roughly: **enacting words > definition clause > proviso/explanation (as to their own section) > long title/preamble (object) > headings/marginal notes > punctuation**. The single unbreakable rule: *no internal aid overrides clear enacting words*. An aid is a torch to read the words in the dark — not a knife to cut them.

4.3 External Aids to Construction (found *outside* the statute)

If internal aids don't settle the doubt, the court may look **outside** the Act — but cautiously, because these are secondary.

- **Dictionaries** — for the ordinary meaning of a word (but the statutory/contextual meaning prevails over the dictionary).
- **Historical background / the state of things when the Act was passed** — to understand the mischief.
- **Statement of Objects and Reasons** and **legislative history / Parliamentary debates** — admissible to understand the *background and mischief*, but **not** as *direct evidence of meaning* of the specific words (a legislator's speech doesn't bind the statute's meaning).
- **Reports of Committees / Commissions** (e.g., a Law Commission report that preceded the Bill) — good evidence of the mischief the Act sought to cure.
- **Earlier and later statutes on the same subject (*statutes in pari materia*)** — Acts dealing with the same matter are read together as one system.
- **Contemporanea expositio** — how a statute was understood *at the time it was passed* (see maxims below).
- **Usage and practice** — long, consistent administrative practice under an old statute can be a guide to its meaning.
- **Foreign decisions** — persuasive only, where the statute is *in pari materia* with the foreign one; Indian conditions and the Constitution prevail.

Why debates are demoted but reports are trusted — the principled line. Students find it odd that a *committee report* is good evidence while a *floor speech* is weak. The reason tracks the objective-intention idea from Section 2. A committee/commission report exists *before* the Bill and describes the **mischief** — the state of affairs Parliament set out to fix; it lights up the *problem*, not the meaning of the chosen words. A minister's speech, by contrast, is one person's *view of the solution*, offered in the heat of debate; treating it as

the meaning of the section would let one speaker's subjective gloss bind the whole House's enacted text. So: reports and history → admissible to find the **mischief**; individual speeches → **not** conclusive on the **meaning** of the words. That is the line to draw in an answer.

A distinction worth banking — dictionary meaning vs statutory meaning. A dictionary gives a *range* of ordinary meanings; the court picks the one that fits the *subject and context* of the Act, and a **defined** term always overrides the dictionary. So "dictionary is an external aid" is true, but it ranks *below* the Act's own definition clause and below context. If an Act defines "vehicle," the dictionary is irrelevant.

Hook — "Inside before Outside." Internal aids first (Title → Preamble → Definitions → Provisos → Explanations); only then external aids. And *no aid* — internal or external — can override the **plain, clear words** of the enacting provision.

4.4 The Key Maxims (rules of *language*)

These are sub-rules that tell the court how words *keep company* with one another. Each solves a precise ambiguity.

(a) *Noscitur a sociis* — "a word is known by the company it keeps"

Problem: a word standing among others has an uncertain scope. **Rule:** a word takes colour/meaning from the *surrounding words*. If a doubtful word sits in a list, interpret it consistently with its neighbours. *Example:* in "houses, buildings, and other structures," the word "structures" is coloured by "houses/buildings" — you wouldn't stretch it to a sandcastle.

(b) *Ejusdem generis* — "of the same kind" (a *specialised form of noscitur a sociis*)

Problem: a statute lists *specific* items and then adds a general catch-all ("... and other **such** things"). Does the catch-all mean *literally anything*, or only things like the listed ones? **Rule:** where **specific words** forming a *distinct genus (category)* are **followed by general words**, the general words are **restricted to the same kind/class (genus)** as the specific ones.

Conditions for it to apply (all needed): 1. The statute contains an **enumeration of specific words**; 2. The specific items **constitute a class or genus** (they share a common category); 3. The class is **not exhausted** by the enumeration; 4. **General words follow** the specific ones; 5. There is **no contrary legislative intent**.

Example: "cats, dogs, and other animals" in a pet-licensing law → "other animals" means *other domestic pets* (same genus), not lions or whales. **But** if the specific words do **not** form a single genus, *ejusdem generis* does **not** apply, and the general words get their full width.

The relationship to *noscitur a sociis* (often muddled). *Noscitur a sociis* is the parent principle — "colour from neighbours" — and applies whenever words sit together, in *any* arrangement. *Ejusdem generis* is a **special case** of it, triggered only by the specific *structure* "specific words → general words." So every *ejusdem generis* situation is a *noscitur* situation, but not vice-versa. If an answer needs the broad idea, cite *noscitur*; if the exact "list-then-catch-all" pattern appears, name *ejusdem generis* and run its five conditions.

Figure 4 — does ejusdem generis apply?

Specific words followed by general words

Do the specific words
form a common class or genus

Yes

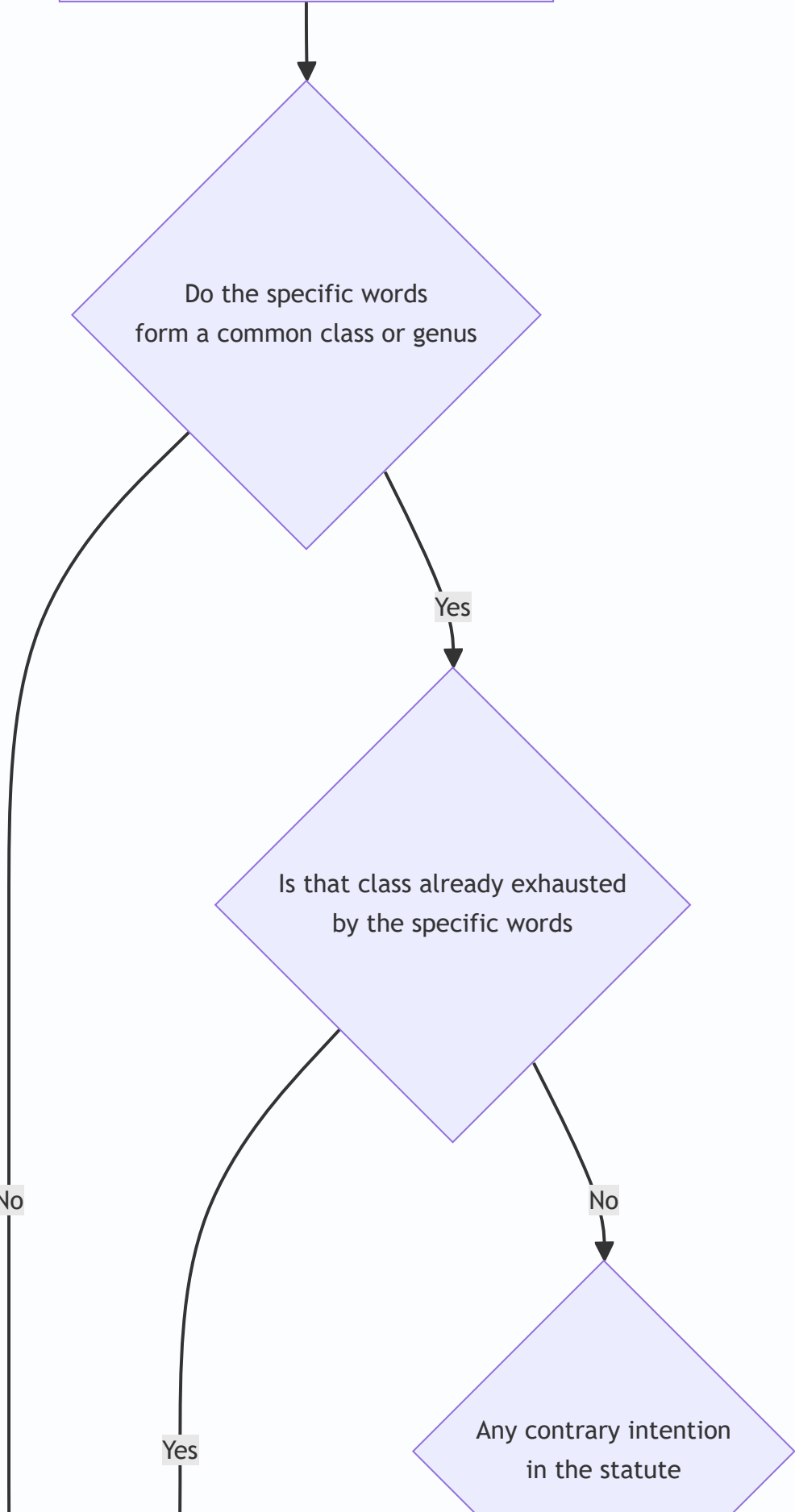
Is that class already exhausted
by the specific words

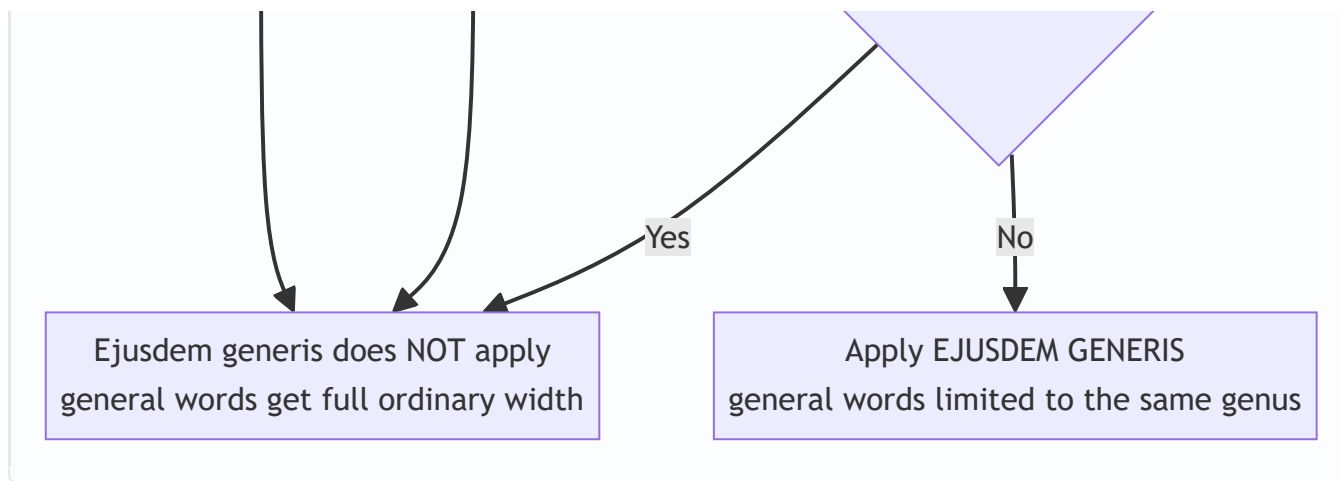
No

Any contrary intention
in the statute

No

Yes





(c) *Expressio unius est exclusio alterius* — "to express one is to exclude the other"

Problem: the statute expressly mentions *some* things. Does mentioning them *imply* that unmentioned things are excluded? **Rule:** the *express* mention of one or more things of a class may imply the **exclusion** of others of the same class not mentioned. *Caution (heavily tested):* this is a **weak, unsafe maxim** — a guide, not a command. The omission might be *deliberate exclusion* **or** simply an *oversight/abundant caution*. Apply it only when the mention was clearly meant to be *exhaustive*. *Example:* a rule granting relief to "widows" may, by *expressio unius*, exclude "widowers" — *unless* context shows the omission was accidental.

(d) *Contemporanea expositio est optima et fortissima in lege* — "contemporaneous exposition is the best and strongest in law"

Problem: what did an *old* statute's words mean? **Rule:** the meaning given to a statute *at the time of its enactment*, by those who administered it soon after, is a strong guide to its meaning — usage over long time crystallises meaning. **Caution:** applied mainly to **old/ancient** statutes; it is **not** applied to *modern* statutes, whose words are read in their present sense.

(e) *Expressum facit cessare tacitum* — "what is expressed makes what is silent cease"

Problem: does an express provision leave any room for an implied one on the same point? **Rule:** where a matter is *expressly* dealt with, there is **no room for implication** on that matter — the express provision governs and silences any competing implied term. This is the sibling of *expressio unius*: the first says "expressing some excludes others"; this says "expressing a thing kills the implied version of that same thing." *Example:* if a contract statute expressly states the mode of giving notice, a court will not imply some *other* mode; the express mode occupies the field.

(f) A few more worth carrying into the exam

- ***Generalia specialibus non derogant*** — special provisions override general ones (the harmony rule seen above).
- ***Reddendo singula singulis*** — "rendering each to each": where a sentence has several subjects and several objects, match each to its appropriate counterpart. *E.g.*, "I devise and bequeath my real and personal property" → *devise* attaches to *real* property, *bequeath* to *personal* property.

- ***Ut res magis valeat quam pereat*** — prefer the construction that makes the statute effective over one that makes it futile.
- ***A verbis legis non est recedendum*** — do not depart from the words of the law (the Latin spine of the Literal Rule).

4.5 Presumptions in Interpretation

When the text is silent or doubtful, courts fall back on **default assumptions** about what a rational legislature intends — unless the statute clearly says otherwise. Know these:

Presumption	The court presumes...	Rebuttable by
Against ousting jurisdiction of courts	The legislature does not intend to take away the ordinary courts' jurisdiction	Clear, express words
Against retrospective operation	A statute operates prospectively ; it does not take away vested rights or impose new liabilities for the past — <i>especially</i> penal statutes	Express words or necessary implication (procedural laws are generally retrospective)
Against exceeding territory	Legislation applies within India only, not extra-territorially	Express extra-territorial provision
Constitutionality	The legislature intends a valid, constitutional law; read it to save it if possible	Only if unconstitutionality is unavoidable
Against absurdity / injustice / inconvenience	The legislature did not intend absurd, unjust or inconvenient results	The plain words compel it
Mens rea in criminal statutes	A guilty mind is required for a crime, unless the statute excludes it	Words creating strict/absolute liability
Words used in the same sense throughout	The same word carries the same meaning across the Act	Contrary context
Against implied repeal / surplusage	The legislature wastes no words and does not repeal earlier law by implication	Irreconcilable inconsistency

Two escalators inside the retrospectivity presumption (a favourite tweak). The bare rule is "statutes are prospective." But two layers sit under it: - **Substantive vs procedural.** The presumption *against* retrospectivity protects **substantive** rights (rights, obligations, penalties). **Procedural / machinery** provisions (rules of evidence, limitation, forum, mode of trial) are generally treated as **retrospective** — because no one has a vested right in *procedure*. So an amendment changing *how* you appeal usually applies to pending matters; an amendment changing *whether* you are liable does not reach back. - **Beneficial retrospectivity.** A *curative or beneficial* amendment (e.g., one that reduces a penalty or clarifies a benefit) may be read retrospectively to serve its object, even absent express words — because the presumption exists to protect the subject, and here retrospective reading *helps* the subject.

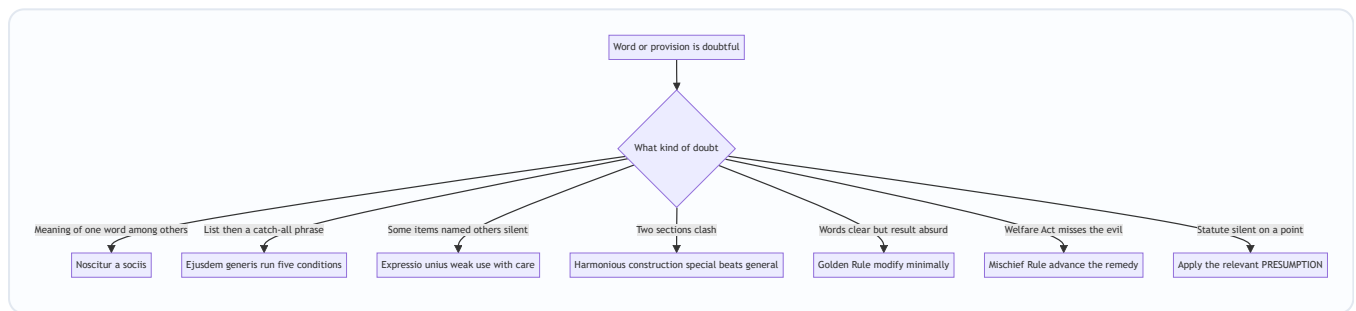
Strict vs Liberal construction — the presumption that decides tone: - **Penal and taxing statutes are construed strictly.** Why? Because they *hurt* the citizen (jail; money taken). If two readings are possible, the one **favouring the subject** is preferred, and nothing is taxed/punished unless clearly within the letter. The State must speak plainly before it punishes or taxes. - **Remedial / welfare / beneficial statutes are**

construed *liberally*. Why? Their purpose is to *help* people; a generous reading advances the remedy (Mischief Rule energy). Ambiguity is resolved in favour of the class the Act protects.

The boundary of strict construction (deeper than most notes go). "Strict" does **not** mean "narrowest imaginable" or "read against the State at all costs." It means: (i) find the natural meaning of the charging/penal words; (ii) *if* — and only if — a real ambiguity survives, resolve it for the subject. Strict construction is a **tie-breaker at the end**, not a licence to ignore plain words that clearly cover the case. A taxpayer clearly within the charge cannot escape by demanding an artificially narrow reading; equally, the State cannot tax by "intendment" or by stretching words to their spirit. Two matching slogans: "*There is no equity about a tax*" (you are taxed by the letter, not by fairness) and "*nothing is to be read in, nothing is to be implied*" in a charging section.

Hook: "*Sword statutes narrow, shield statutes wide.*" Laws that wound (penal/tax) are read narrowly; laws that protect (welfare) are read widely.

Figure 6 — mapping doubt-type to the tool that resolves it.



5. Applied Scenarios (exam-style)

Scenario 1 — The war-memorial tank (Literal vs Golden vs Mischief). A municipal bye-law: "*No vehicle shall enter the park.*" The committee mounts a decommissioned tank as a memorial. A citizen sues, saying a tank is a "vehicle." - **Literal:** a tank has wheels and an engine → it is a vehicle → banned. But this is *absurd* — a static memorial threatens no one. - **Golden Rule:** modify to avoid absurdity — the bolted-down memorial is not "entering" as a vehicle. - **Mischief Rule (best):** the mischief was *danger and disturbance to park-users from moving traffic*. A static tank causes neither. Read "vehicle" to mean *vehicles used for transport/movement*. Memorial is allowed. **Answer:** applying the Mischief/Golden approach, the tank is permitted; the purpose, not the bare word, controls.

Scenario 2 — "means" vs "includes" (definition clause). Act A says "'factory' means any premises where 10 or more workers work with power." Act B says "'worker' includes an apprentice." A dispute: does Act A's "factory" cover a premises with 8 workers but huge output? Does Act B's "worker" cover a trainee not formally an apprentice? - Act A uses **"means"** → *sealed box*. Only premises with 10+ power-workers qualify. 8 workers → **not** a factory, however large the output. Court cannot stretch it (*casus omissus* — the gap can't be judicially filled). - Act B uses **"includes"** → *open door*. "Worker" keeps its ordinary meaning **plus** apprentices; a trainee doing a worker's job can be covered because the definition is *enlarging*, not exhaustive. **Answer:** the drafting verb decides the width.

Scenario 3 — Ejusdem generis (the catch-all list). A licensing law requires a permit to keep "*any dog, cat, rabbit or other animal.*" X keeps a python and argues no permit is needed because it's a reptile; the

department says "other animal" covers everything. - Test the conditions: specific words (dog, cat, rabbit) → do they form a **genus**? Yes — *common domestic pet animals*. The class isn't exhausted; general words follow; no contrary intent. → **Ejusdem generis applies**: "other animal" is limited to *animals of the same kind* (domestic pets). Whether a python fits turns on whether it is a kept domestic pet — but the department **cannot** claim the phrase covers *literally any* creature. **Answer**: the catch-all is confined to the genus of the listed animals, not the entire animal kingdom.

Scenario 4 — Strict construction of a penal/tax provision. A tax entry levies duty on "*manufactured tobacco*." The revenue seeks to tax a semi-processed leaf that is arguably not yet "manufactured." - Taxing statute → **strict construction**. If it is genuinely doubtful whether the leaf is "manufactured tobacco," the doubt is resolved **in favour of the assessee** (the subject). Nothing is taxed unless it falls *clearly* within the letter of the charge. **Answer**: absent clear coverage, the levy fails; the State must draft plainly.

Scenario 5 — Harmonious construction (two clashing sections). Section 12 of an Act says "*every appeal shall be filed within 30 days*." Section 40 says "*the Tribunal may condone delay for sufficient cause*." Do they conflict? - Read as a whole, presuming no self-contradiction: Section 12 sets the *normal* limit; Section 40 is a *special* power to relax it for sufficient cause. **Both are given effect** — the limit stands, the condonation power operates as an exception. (Also *generalia specialibus*: the specific condonation power qualifies the general limit.) **Answer**: no true conflict; harmonious reading keeps both alive.

Scenario 6 — Reddendo singula singulis (matching subjects to objects; a numerical-style parsing). A pension rule reads: "*A member and his widow shall be paid Rs 20,000 and Rs 12,000 respectively per month*." On the member's death, the administrator argues the widow gets Rs 20,000 (the first, higher figure). - Apply **reddendo singula singulis** — render each to each, in order. Two subjects (*member, widow*) map onto two amounts (*Rs 20,000, Rs 12,000*) *respectively*: member → Rs 20,000; widow → Rs 12,000. - **Self-check by reconciliation**: the word "respectively" is the drafting signal that pairs list-1 with list-2 positionally. Total design: member's pension Rs 20,000; on his death the widow's pension is the *lower* Rs 12,000 figure (typical of survivor benefits). The administrator's reading would make "respectively" meaningless — violating *ut res magis valeat* (no word is surplus). **Answer**: the widow is entitled to **Rs 12,000**, not Rs 20,000. *What if the examiner drops the word "respectively"?* Then the pairing is no longer textually forced; the court would fall back on context/purpose (survivor benefits are usually lower) but the clean maxim answer weakens — flag that the whole force of reddendo singula singulis here rides on "respectively."

Scenario 7 — Retrospectivity: substantive vs procedural (a date-driven tweak). A tax amendment is notified on **01 April 2026**. Version (a): it *raises the rate* of tax on income. Version (b): it *changes the time limit* to file an appeal from 30 to 60 days. An assessee whose income arose in FY 2024-25 and whose appeal was pending on 01 April 2026 asks how each applies. - **Version (a) — substantive (rate/liability)**: the presumption **against retrospectivity** protects the vested position. A rate increase is a *substantive* change to liability; absent clear retrospective words, it applies **prospectively** — it does **not** reach back to FY 2024-25 income. **Answer**: old rate governs the past year. - **Version (b) — procedural (limitation/forum)**: rules of *procedure* carry **no vested right**; a change to the appeal period is machinery. It is generally **retrospective** and applies to the **pending** appeal, giving the assessee the benefit of the longer 60-day window. **Answer**: the new 60-day limit applies to the pending matter. - **Reconciliation / why the split holds**: the presumption exists to protect *acquired rights*. You *acquire* a right in your tax liability (so it is frozen as at the year it arose); you *never acquire* a right in the mechanics of how courts run (so procedure can move under you). *What if version (b) instead shortened the period from 60 to 30 days and the assessee's 45th day had already passed?* Courts avoid using "retrospective procedure" to *destroy* an already-acrued right to appeal — so a shortened

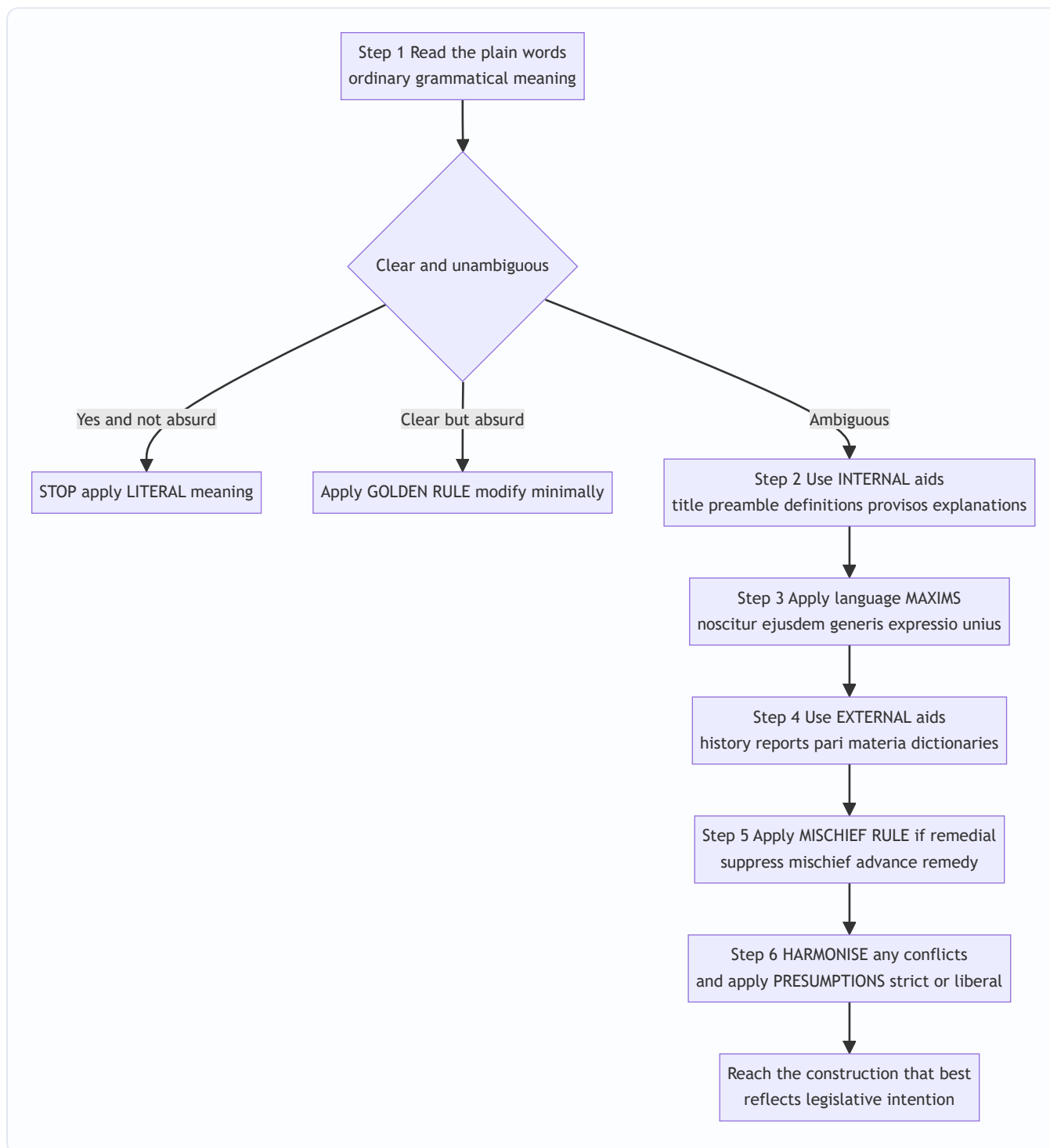
limitation would not be applied to bar an appeal that was still alive under the old period. The procedural-retrospectivity rule bends where it would extinguish a vested remedy.

Scenario 8 — Proviso vs non-obstante clause (which one wins the clash). Section 8 of an Act says:

"Notwithstanding anything contained in any other law, the Authority may seize goods. Provided that perishable goods shall be released within 48 hours." Two questions: (i) does Section 8 override a conflicting provision in a *different* Act that bars seizure? (ii) does the proviso let the Authority *also* seize goods from unregistered dealers (a power not in the main clause)? - **(i) Non-obstante clause:** "notwithstanding anything in any other law" gives Section 8 **overriding effect** over the conflicting provision in the other Act — that is exactly the job of a non-obstante clause, and here it expressly names "any other law," so its reach is wide. **Answer:** Section 8 prevails; the seizure stands. - **(ii) Proviso:** a proviso only **carves an exception** out of its own main clause — it *cannot enlarge* the power. It says perishables must be *released* early; it grants **no new seizure power** over unregistered dealers. Reading it as a *source* of extra power reverses the nature of a proviso. **Answer:** no; the proviso subtracts (early release), it does not add a fresh power. - **Trap check:** the tempting wrong move is to treat the proviso as if it *expanded* Section 8. Provisos qualify; they do not enlarge — pair this with *"a proviso is not a substantive enacting provision."*

6. Procedure / Summary — the order a court actually follows

Figure 5 — the interpretation workflow, top to bottom.



One-line summary of the whole system: *Trust the words; escape only for absurdity; when in doubt look inside then outside; obey the mischief for welfare laws, reconcile clashes, and lean the way the presumption points (narrow for swords, wide for shields).*

How to structure a full-marks answer to "interpret this provision." Examiners reward a *visible method*, not a guessed conclusion. Use this skeleton: 1. **State the golden thread** — intention of the legislature, gathered primarily from the language. 2. **Start literal** — give the words their ordinary meaning; say whether they are plain or ambiguous. 3. **Test for absurdity** — if plain but absurd/repugnant, invoke the Golden Rule and *say why the result is absurd, not merely harsh*. 4. **If ambiguous, reach for the right tool** — name the specific aid or maxim (definition verb, proviso, ejusdem generis...) and *run its conditions*. 5. **Bring purpose in for remedial Acts** — Heydon's four questions / purposive construction. 6. **Set the tone** — penal/tax strict

for the subject; welfare liberal for the protected class. 7. **Conclude** — state the construction that best reflects legislative intention, and apply it to the facts. Always land on a definite answer.

7. Connections — where this plugs into the rest of the syllabus

- **The General Clauses Act, 1897** (next in most CA schemes) is the *statutory partner* of this chapter: it supplies default **definitions** ("person", "month", "immovable property"), rules on **commencement, repeal and re-enactment**, and computation of time — codified interpretation aids. This chapter is the *theory*; the General Clauses Act is the *statutory toolkit*. Concretely: the presumption *against implied repeal* here is backed by Section 6 (effect of repeal) there; "means/includes" logic here is what you use to read every General Clauses Act definition.
 - **Companies Act / SEBI / FEMA**: every time you read a definition clause ("**means**" vs "**includes**"), decide whether a **proviso** narrows a section, or reconcile two apparently clashing provisions, you are *applying this chapter*. E.g., reading whether "officer in default" includes a given person is pure interpretation. Non-obstante clauses ("notwithstanding anything in the Companies Act...") recur across SEBI and IBC — that is the overriding-clause doctrine from 4.2.
 - **Taxation papers**: the *strict construction of taxing statutes* and *ejusdem generis* over tariff/entry lists are constantly used; so is the *substantive-vs-procedural* retrospectivity split (rate changes vs limitation changes).
 - **Constitutional law**: *harmonious construction* famously reconciles Fundamental Rights with Directive Principles, and Union vs State legislative entries; the *presumption of constitutionality* saves statutes where a reading is available.
 - **Contract & FEMA penalties**: the *presumption of mens rea* and *strict construction of penal provisions* shape how offences and penalties are read.
-

8. Traps & Examiner Tricks

1. **"Literal rule = the highest rule always."** *False*. Literal is the *starting default*, not an absolute. It yields to the Golden Rule on absurdity. Watch for questions where literal reading gives a silly result — the examiner wants the Golden/Mischief answer.
2. **"means" vs "includes" swapped.** The single most common definition trap. "*means*" = *exhaustive/restrictive (sealed box)*; "*includes*" = *extensive/enlarging (open door)*. If you flip them you fail the sub-question. "means and includes" = exhaustive but broad.
3. **Applying *ejusdem generis* when the specific words DON'T form a genus.** If the listed items share no common class, the maxim **does not apply** and the general words get full width. Also fails if the genus is *exhausted* by the list, or a contrary intention appears.
4. **Treating *expressio unius* as a hard rule.** It is **weak and unsafe** — the omission could be deliberate or an oversight. Never apply it mechanically; only where the mention was meant to be exhaustive.
5. **Short title vs long title vs preamble confusion.** *Short* title = mere label, **no** interpretive value. *Long* title and *preamble* = legitimate aids to object/scope, but **cannot override clear enacting words**.
6. **Marginal notes / headings as aids.** Generally **not** legitimate aids (not enacted by the legislature); usable only in ambiguity, with caution. A tempting wrong option.

7. **Proviso vs Explanation vs Illustration.** *Proviso* = **exception/qualification** (carves out); *Explanation* = **clarifies** (removes doubt, doesn't enlarge); *Illustration* = **example** (can't override the section). Examiners love mismatching these.
 8. **Casus omissus.** A gap the legislature left **cannot** be filled by the court. If the words don't cover a case, the answer is "not covered" — *not* "the court will read it in."
 9. **Strict vs liberal direction reversed.** *Penal & taxing* = *strict, in favour of the subject*. *Welfare/remedial* = *liberal*. Getting the direction backwards is an automatic loss.
 10. **Retrospectivity default.** Presumed **prospective** (especially penal). But *procedural* amendments are generally retrospective — a classic distinguishing trap. Deeper tweak: a *beneficial* amendment may be read retrospectively, and procedural retrospectivity will **not** be used to *extinguish an already-accrued right* (e.g., an appeal already alive).
 11. **Contemporanea expositio on a modern Act.** It applies to **old** statutes; do **not** invoke it for a recent enactment.
 12. **"External aids override the words."** Never. No aid — internal or external, no debate or report — can defeat the **plain, unambiguous** language of the enacting provision.
 13. **Proviso mistaken for an enlarging or a substantive provision.** A proviso **subtracts** from its own section; it neither adds a fresh power nor travels to other sections. "A proviso is not itself a substantive enacting provision."
 14. **Non-obstante clause treated as unlimited.** "Notwithstanding" overrides only what it **names**. A clause saying "notwithstanding anything in *this Act*" does **not** override some *other Act*. Read the *scope* of the override before you apply it.
 15. **"Golden Rule applies whenever the result is unfair."** No — the threshold is **absurdity/repugnance**, not mere harshness or unfairness. Parliament is allowed to be harsh; the judge is not allowed to soften plain words just because the outcome stings.
 16. **Minister's speech = meaning of the section.** No — legislative debates are admissible for **mischief/background** only, **not** as direct evidence of the meaning of the enacted words. Reports/history light up the *problem*, not the *meaning*.
 17. **Dictionary beats the Act's own definition.** Never — a **defined** term and the **context** override the dictionary; the dictionary only supplies an *ordinary* meaning when the Act is silent.
-

9. First-Principles Recap — rebuild the chapter from one sentence

Start from the single fault line: **words are frozen, life is fluid**. A statute is a set of words written at one moment, trying to govern situations no one foresaw. Two failures loom — the judge who reads too literally (bans the ambulance) and the judge who reads too freely (becomes a legislator). Everything else is the machinery that steers between them.

- To stop the *free-reading* judge, we start with the **Literal Rule**: the words are the law; you may not add, subtract, or invent (*casus omissus*; *a verbis legis non est recedendum*).
- To stop the *absurd* result, we add the **Golden Rule**: bend the words *minimally* when literal reading gives nonsense — and only for true absurdity, not mere harshness.
- To make sure the Act *does its job*, we add the **Mischief Rule** (now grown into purposive construction): find the evil Parliament hunted and read the words to catch it — especially for welfare laws.

- To keep the Act *internally coherent*, we add **Harmonious Construction**: reconcile clashing provisions; kill none; special beats general.
- To *find* meaning when words are doubtful, we look **inside** (title, preamble, definitions, provisos, explanations, non-obstante clauses) then **outside** (history, reports, *pari materia*, dictionaries) — but never against the plain words, and never letting a debate override the text.
- To handle *how words behave in company*, we use the **maxims** (*noscitur a sociis*, *eiusdem generis*, *expressio unius*, *expressum facit cessare tacitum*, *contemporanea expositio*, *reddendo singula singulis*).
- To resolve *silence*, we lean on **presumptions** (prospective — but procedure moves; constitutional; *mens rea*; against ousting courts) — and we set the *tone*: narrow for swords (penal/tax), wide for shields (welfare).

The unifying insight beneath all seven moves: the entire scheme is a device for **rationing judicial discretion** — the judge starts with zero freedom (read the words) and earns more only by *proving* the words have failed. Meaning is *discovered*, not *manufactured*. If you can regenerate those seven moves from the "frozen words, fluid life" problem, you own the chapter.

10. Quick-Revision Sheet

Golden thread: find the *intention of the legislature*, primarily from the *language used*.

Interpretation vs construction: interpretation = *meaning of words used*; construction = *effect in situations words don't cover*. Interpretation is the narrower first step.

Primary rules (and trigger):

Rule	Fires when	Do
Literal / Grammatical	Words plain & unambiguous	Give ordinary meaning; don't add/subtract (<i>casus omissus</i> ; <i>ut res magis valeat</i>)
Golden	Literal gives absurdity/repugnance/inconsistency (not mere harshness)	Modify <i>minimally</i> to avoid it
Mischief (Heydon)	Remedial Act; literal misses the evil	4 Qs → suppress mischief, advance remedy (= purposive construction)
Harmonious	Two provisions conflict	Reconcile; give effect to both; special over general

Definition verbs: *means* = exhaustive (sealed box) · *includes* = enlarging (open door) · *means and includes* = exhaustive + broad · *unless context otherwise requires* = context can override.

Internal aids (inside → cautious): Long title (scope) · Preamble (object) · Definitions · Proviso (**exception, subtracts**) · Explanation (clarifies) · Illustration (example) · Schedule · Non-obstante clause (**overrides what it names**) · Saving clause · Headings/marginal notes (weak) · Punctuation (minor). Short title = label only. **No internal aid overrides clear enacting words.**

External aids: dictionaries · historical background · Objects & Reasons · committee/commission reports (→ **mischief**) · debates (→ background only, **not** meaning) · statutes *in pari materia* · usage/practice · foreign decisions (persuasive). **None** overrides plain words.

Maxims: - *Noscitur a sociis* — word known by its company (the parent rule). - *Ejusdem generis* — general words after specific words of a genus = limited to that genus (needs: specifics form a class, class not exhausted, general words follow, no contrary intent). A *special case* of *noscitur*. - *Expressio unius est exclusio alterius* — express one, exclude the rest (**weak/unsafe**). - *Expressum facit cessare tacitum* — an express provision leaves no room for an implied one on the same point. - *Contemporanea expositio* — old statutes read as understood when enacted (not modern Acts). - *Generalia specialibus non derogant* — special beats general. - *Reddendo singula singulis* — match each subject to its object ("respectively" is the trigger word). - *Ut res magis valeat quam pereat* — prefer the effective construction. - *A verbis legis non est recedendum* — do not depart from the words (spine of the Literal Rule).

Presumptions: prospective (esp. penal; **procedural = retrospective**, but not to kill an accrued right; beneficial amendments may be retrospective) · against ousting court jurisdiction · constitutionality · mens rea in crimes · territorial · no surplusage/implied repeal · against absurdity/injustice.

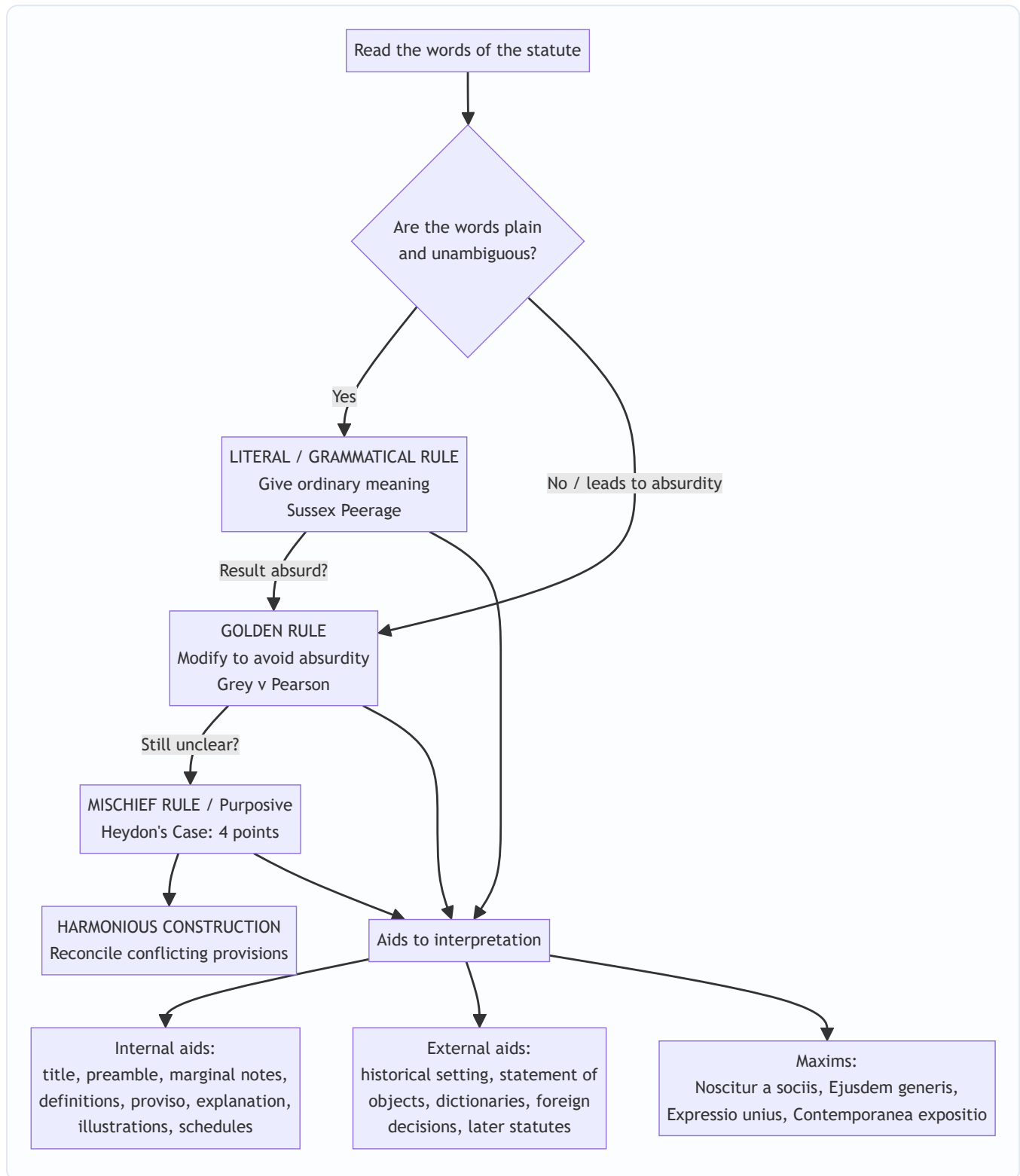
Tone: *Penal & Taxing* = **STRICT**, *favour the subject* ("no equity about a tax"; tie-breaker only, plain words still bite). *Welfare/Remedial* = **LIBERAL**, *favour the protected class*. Mnemonic: "**Swords narrow, shields wide.**"

One-liner: *Trust the words* → *escape absurdity (not harshness)* → *look inside then outside* → *serve the mischief* → *harmonise* → *let the presumption point the way*.

Q&A — Interpretation of Statutes

CA Intermediate — Corporate & Other Laws. Every question is followed immediately by a complete model answer. Cite the rule/maxim by name in the exam; examiners reward precise terminology.

How the rules fit together (revision map)



SECTION A — Concept-Check (short questions + answers)

A1. Distinguish "interpretation" from "construction". Answer: **Interpretation** is the process of ascertaining the true, literal sense/meaning of the words used in a statute. **Construction** goes a step further — it is the drawing of conclusions about matters that lie *beyond* the direct expression of the text, resolving

the legal effect of ambiguous, obscure or conflicting provisions in a way that gives effect to the legislature's intention. Interpretation looks at *what the words mean*; construction decides *how they apply* to facts. In practice the terms are used interchangeably.

A2. State the Literal Rule and give the leading authority. *Answer:* Where the language of a statute is **plain, clear and unambiguous**, effect must be given to it regardless of consequences; the court cannot add to or subtract from the words. The intention of the legislature is to be gathered from the words actually used. Authority: **Sussex Peerage Case** — "the only rule is to expound the words in their natural and ordinary sense." Also called the grammatical rule.

A3. State the Golden Rule. *Answer:* Start from the literal/grammatical meaning, but if that produces an **absurdity, inconsistency or repugnancy**, the ordinary sense may be **modified/departed from** to the extent necessary to avoid that absurdity — but no further. Authority: **Grey v. Pearson** ("the grammatical and ordinary sense... may be modified so as to avoid that absurdity and inconsistency, but no farther").

A4. State the Mischief Rule and its four considerations. *Answer:* From **Heydon's Case** — to suppress the mischief and advance the remedy, the court considers four points: (1) What was the **common law** before the Act; (2) What was the **mischief and defect** for which the common law did not provide; (3) What **remedy** Parliament resolved; (4) The **true reason of the remedy**. The court adopts the construction that suppresses the mischief and advances the remedy. Also called the *purposive* rule.

A5. What is Harmonious Construction? *Answer:* When two provisions of the same statute (or two statutes) appear to conflict, they must be read together and interpreted so that **both are given effect** and neither is rendered redundant. A construction reducing one provision to a "dead letter" is not harmonious. The court avoids a head-on clash and seeks to reconcile.

A6. Define an internal aid and list six. *Answer:* Internal aids are found **within the statute itself**. Examples: (1) **Long title/short title**, (2) **Preamble**, (3) **Marginal notes/headings**, (4) **Definition/interpretation clause**, (5) **Proviso**, (6) **Explanation**, plus **illustrations** and **schedules**.

A7. Define an external aid and list four. *Answer:* External aids lie **outside the statute**. Examples: (1) **Historical setting / parliamentary history**, (2) **Statement of Objects and Reasons**, (3) **Dictionaries**, (4) **Foreign decisions**; also **later Acts (in pari materia)**, government publications and text-books.

A8. What is the function of a "proviso", an "explanation", and an "illustration"? *Answer:* A **proviso** carves out an **exception** to the main enactment; it operates only on the subject matter of the main clause. An **explanation** clarifies/removes doubt about the main provision (does not ordinarily widen or restrict it, though it may make explicit what was implicit). **Illustrations** show how the section applies to concrete facts; they are helpful but cannot override the plain words of the section.

A9. Explain "Noscitur a sociis". *Answer:* "A word is known by the company it keeps." An ambiguous word takes colour from **words associated with it** in the same context/clause. E.g., in "books, pamphlets, newspapers and other documents", "documents" is read alongside the reading-material class.

A10. Explain "Ejusdem generis" and its condition. *Answer:* Where **specific words forming a distinct genus** are followed by **general words**, the general words are limited to things of the **same kind/class** as the specific ones. Condition: the specific words must constitute a category/genus that is not exhausted; if there is no common genus, the rule does not apply and the general words get their full meaning. (It is a species of *noscitur a sociis*.)

A11. Explain "Expressio unius est exclusio alterius". *Answer:* The **express mention of one thing implies the exclusion of another** not mentioned. Where a statute expressly enumerates the subjects to which it

applies, matters not enumerated are taken to be excluded. It is a useful servant but a dangerous master — applied cautiously, as omission may be accidental.

A12. Explain "Contemporanea expositio est optima et fortissima in lege". Answer: "Contemporaneous exposition is the best and strongest in law." The meaning given to a (usually old) statute by those who **applied it soon after enactment** and by long usage is a strong guide to its interpretation. Applies mainly to ancient statutes, not modern ones.

A13. List four presumptions courts make while interpreting statutes. Answer: (1) Statute is **not intended to be unconstitutional/ultra vires** (presumption of constitutionality); (2) Words are **not superfluous** — the legislature does nothing in vain; (3) Statute is **not retrospective** (a substantive law operates prospectively unless expressed/necessarily implied); (4) The legislature **knows the existing law** and does not intend injustice or to oust the jurisdiction of courts / to take away vested rights without clear words. Also: penal statutes are construed strictly in favour of the accused.

A14. What is the "golden thread" running through all the rules? Answer: The overriding object of every rule is to ascertain and give effect to the **intention of the legislature** ("*legislative intent*") as expressed in the words used, read in their context. Every rule and aid is only a means to that single end.

SECTION B — Applied Scenario Questions (full reasoned answers)

B1. The classic "No vehicles in the park" rule. A municipal bye-law states: "No vehicle shall be permitted to enter the public park." (a) Does it bar a child's tricycle? (b) Does it bar an ambulance entering to save a collapsed visitor? Apply the rules. Answer: (a) **Literal Rule:** a tricycle is arguably a "vehicle" on the plain word, so it would be barred. But the **purpose/mischief** (Heydon) of the rule is to keep the park peaceful and safe from motorised traffic; **noscitur a sociis** and purposive reading suggest "vehicle" targets motorised traffic, so a tricycle used by a child likely falls outside the mischief. (b) A literal reading bars the ambulance, but that produces an **absurd/unjust result** (a life lost to enforce a parking rule). Applying the **Golden Rule (Grey v. Pearson)** and the **Mischief Rule**, "vehicle" is construed so as **not** to prohibit an emergency ambulance, because the legislature never intended so absurd a consequence. **Conclusion:** context and purpose modify the literal word to serve legislative intent.

B2. General words after specific ones. A statute empowers seizure of "houses, offices, rooms and other places" used for gaming. Police seize an **open piece of land** used for gaming. Valid? Answer: Apply **ejusdem generis**. The specific words "houses, offices, rooms" form a **genus of enclosed/indoor premises**. The general words "other places" are therefore limited to places of the **same kind** — enclosed places. An **open field** is not of that genus, so it falls outside "other places", and the seizure is **not authorised**. (Illustrates that general words are cut down to the class of the preceding specific words.)

B3. When ejusdem generis does NOT apply. An Act imposes a duty on "any theatre, cinema, hall, or other place of public entertainment." Does a **sports stadium** fall within "other place of public entertainment"? Answer: First test whether the specific words form a **single distinct genus**. Arguably they share the genus "places of public entertainment / assembly." A stadium is a place of public entertainment of the **same class**, so it is covered. But note the limiting principle: if the enumerated items are **so varied that no common genus exists** (or the general words are followed by words showing the widest intent, e.g. "of whatsoever kind"), *ejusdem generis* is **excluded** and the general words take their full natural meaning. State both possibilities and conclude on the genus test.

B4. Proviso vs main enactment. Section X: "Every company shall hold an AGM within six months of the financial year-end; provided that the Registrar may, for special reasons, extend the period by up to three months." A company claims the proviso gives a general right to a nine-month gap. Correct? *Answer:* No. A **proviso is construed as an exception** to the main enactment and operates **only within its field**. The main rule remains six months; the proviso merely enables the **Registrar**, on **special reasons**, to grant an extension. It confers **no automatic right** on the company and cannot be read to enlarge the substantive rule for everyone. A proviso should be read strictly and not so as to defeat the main provision. **Conclusion:** the company's claim fails.

B5. Two apparently conflicting sections. A statute in one section confers on tribunals the power to decide "all disputes" under the Act, and another section says civil courts "shall have jurisdiction to try suits of a civil nature." A litigant argues the two clash and one must be struck down. Advise. *Answer:* Apply **Harmonious Construction**. Courts do not presume conflict; the provisions must be read together so **both operate**. The specific conferment of "all disputes under the Act" on the tribunal is read as a **special jurisdiction** carved out of the general civil-court jurisdiction (also supported by *generalia specialibus non derogant* — general provisions do not derogate from special ones). Thus disputes arising **under the Act** go to the tribunal, while the civil court retains its **general** jurisdiction over other civil suits. Neither provision is rendered a dead letter. No question of striking down arises.

SECTION C — Past-Paper-Style Descriptive Questions (model answers)

C1. "The intention of the Legislature is the primary rule of interpretation." Explain the four primary rules of interpretation of statutes. (≈ 6 marks) *Answer:* The cardinal principle is that a statute must be read to give effect to the **intention of the legislature**. The four primary rules are:

1. **Literal / Grammatical Rule** — Where words are plain and unambiguous, give them their natural and ordinary meaning; nothing is to be added or taken away (*Sussex Peerage Case*). The court presumes the legislature meant what it said.
2. **Golden Rule** — Begin with the literal meaning, but where it leads to **absurdity, repugnancy or inconsistency**, modify the ordinary sense just enough to avoid that result — "but no farther" (*Grey v. Pearson*). It is a modification/relaxation of the literal rule.
3. **Mischief Rule (Heydon's Case)** — The court looks to (i) the earlier law, (ii) the mischief/defect, (iii) the remedy provided, and (iv) the true reason of the remedy, and construes the Act so as to **suppress the mischief and advance the remedy**. This is the purposive approach.
4. **Rule of Harmonious Construction** — When provisions conflict, they are read together so that **each is given effect** and none is rendered nugatory. These rules are not watertight compartments; the court moves from the literal to the others only as ambiguity or absurdity requires, always to reach the legislative intent.

C2. Explain "Internal Aids" and "External Aids" to interpretation with examples. (≈ 5–6 marks) *Answer:* **Internal aids** are those found **within the statute** which the court uses to understand its provisions: - **Long and Short Title** — indicate the general purpose (the long title is part of the Act and may be referred to). - **Preamble** — expresses the scope, object and purpose; a key to the maker's mind, though it cannot control clear enacting words. - **Marginal Notes / Headings** — may throw light where a section is ambiguous, but ordinarily are not decisive (they are not voted upon). - **Definition / Interpretation Clause** — assigns special

meanings ("means", "includes"); "includes" is generally **extensive**, "means" is **exhaustive**. - **Proviso** (an exception), **Explanation** (clarifies), **Illustrations** (show application), and **Schedules** (form part of the Act).

External aids lie **outside the statute**: - **Historical setting / Parliamentary history** and the **Statement of Objects and Reasons** — help reveal the mischief and purpose. - **Dictionaries** — for ordinary meaning of undefined words (in the sense used in the Act). - **Foreign decisions** — persuasive where the law is similar. - **Later/earlier statutes in pari materia** and **government publications / reports**. External aids are used chiefly when the language is ambiguous.

C3. Explain the maxims (a) Noscitur a sociis, (b) Ejusdem generis, (c) Expressio unius est exclusio alterius, (d) Contemporanea expositio. (*≈ 6–8 marks*) *Answer:* **(a) Noscitur a sociis** — "known by its associates." The meaning of a doubtful word is gathered from the **words surrounding it**; a word takes colour from its context. It prevents a word from being read in isolation. **(b) Ejusdem generis** — "of the same kind." Where **specific words of a common genus** are followed by **general words**, the general words are confined to the **same class** as the specific ones (e.g., "other places" after "houses, offices, rooms" means enclosed places). It applies only if the specific words form a genus and that genus is not exhausted; a contrary intention (e.g., "of whatsoever nature") excludes it. It is a facet of *noscitur a sociis*. **(c) Expressio unius est exclusio alterius** — "expression of one is exclusion of the other." Express mention of specified things **impliedly excludes** those not mentioned. Applied with caution, as silence may be unintentional. **(d) Contemporanea expositio** — the exposition placed on a statute by those who **administered it soon after it was passed**, confirmed by long usage, is a strong guide; applied mainly to **ancient statutes**.

C4. What presumptions do courts make while interpreting a statute? State any five. (*≈ 5 marks*) *Answer:* Courts proceed on certain presumptions (rebuttable): 1. **Constitutionality** — a statute is presumed intra vires the Constitution; the court leans in favour of validity. 2. **Words are not superfluous** — every word is presumed to have been used purposefully; the legislature does nothing in vain (avoid redundancy). 3. **No retrospective operation** — a statute (especially one affecting substantive/vested rights or penal in nature) is presumed **prospective** unless retrospectivity is expressed or necessarily implied. 4. **Legislature knows the existing law** — and does not intend to make a change beyond what it declares, nor to produce injustice/inconvenience. 5. **Jurisdiction of courts is not ousted / vested rights not taken away** without clear and express words; and **penal statutes** are strictly construed in favour of the subject.

SECTION D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. The rule that words must be given their natural and ordinary meaning where they are plain is the: A) Golden Rule B) Literal Rule C) Mischief Rule D) Harmonious Rule **Ans: B.** Plain, unambiguous words get their ordinary meaning (Sussex Peerage Case).

D2. "Grey v. Pearson" is the leading authority for the: A) Mischief Rule B) Ejusdem generis C) Golden Rule D) Literal Rule **Ans: C.** It permits modifying the literal meaning to avoid absurdity, "but no farther."

D3. The four considerations of the earlier law, the mischief, the remedy and the true reason of the remedy come from: A) Heydon's Case B) Sussex Peerage Case C) Grey v. Pearson D) River Wear case **Ans: A.** Heydon's Case lays down the four-point Mischief Rule.

D4. "Houses, shops, rooms and other places" — "other places" is limited to enclosed premises. This applies: A) Expressio unius B) Ejusdem generis C) Contemporanea expositio D) Noscitur only **Ans: B.** General words after specific words of a genus are restricted to that class.

- D5.** A word takes its meaning from the accompanying words in the clause. This is: A) Eiusdem generis B) Noscitur a sociis C) Expressio unius D) Reddendo singula singulis **Ans: B.** Noscitur a sociis — a word is known by the company it keeps.
- D6.** A "proviso" to a section ordinarily: A) Enlarges the main provision B) Is an exception to the main enactment C) Overrides the whole Act D) Has no legal effect **Ans: B.** A proviso carves out an exception operating within the main clause's field.
- D7.** In a definition clause, the word "**includes**" generally makes the definition: A) Exhaustive B) Restrictive C) Extensive/enlarging D) Void **Ans: C.** "Includes" is normally extensive; "means" is exhaustive.
- D8.** The presumption that a statute does not operate on past transactions is the presumption against: A) Constitutionality B) Retrospectivity C) Redundancy D) Ouster of jurisdiction **Ans: B.** Statutes are presumed prospective unless retrospectivity is expressed/implied.
- D9. Case scenario.** A tax Act levies duty on "cloth, garments, textiles and other goods." The department levies duty on **steel utensils** under "other goods." The assessee objects. Which is correct? A) Duty valid — "other goods" is unlimited B) Duty invalid — ejusdem generis limits "other goods" to textile-class goods C) Golden rule applies to widen it D) Contemporanea expositio saves the levy **Ans: B.** The specific words form the genus "textile goods"; "other goods" is confined to that class, so steel utensils are outside the charge.
- D10. Case scenario.** Section A of an Act gives an appellate authority power over "all matters"; Section B reserves certain matters to a special tribunal. The court should: A) Strike down Section B B) Ignore Section A C) Read both harmoniously so each operates D) Prefer the earlier section **Ans: C.** Harmonious construction reconciles the two, aided by *generalia specialibus non derogant* (special prevails over general in its field).
-

One-line memory hooks

- **Literal** → words are king (Sussex Peerage). **Golden** → bend words to kill absurdity, no farther (Grey v. Pearson). **Mischief** → suppress the evil, advance the cure (Heydon's 4 points). **Harmonious** → make both live.
- **Noscitur** → company you keep. **Eiusdem** → same family. **Expressio unius** → name one, exclude the rest. **Contemporanea** → old statute, old usage wins.
- Internal aids live **inside** the Act; external aids live **outside**. Golden thread throughout: **give effect to legislative intent.**

Chapter 14 — Foreign Exchange Management Act, 1999 (Basics)

1. The Problem

Imagine you run the treasury of a poor country. You have almost no US dollars, pounds or yen in your vault — and yet almost everything your economy needs from abroad (crude oil, machinery, medicines, defence equipment) can only be bought with those foreign currencies. Foreign exchange, to you, is not just "money" — it is a **scarce, strategic national resource**, like water in a desert.

Now ask the natural question: what happens if you let every citizen, business and trader freely buy, hoard, send abroad or speculate in foreign currency? Three disasters follow:

1. **The reserves drain.** If everyone can freely convert rupees into dollars and send them out, the little foreign currency you have vanishes. Then you cannot pay for the oil that keeps the economy running. This is a **balance of payments crisis** — precisely what India faced in **1990–91**, when reserves fell to barely two to three weeks of imports.
2. **The currency collapses.** If people can freely sell rupees to buy dollars, the rupee's value crashes, imports become ruinously expensive, and inflation explodes.
3. **Money escapes control.** Wealth quietly leaves the country ("capital flight"), tax is evaded through fake invoices, and the government loses its grip on the economy.

So a scarce-forex nation builds a wall around foreign exchange. India's first wall was the **Foreign Exchange Regulation Act, 1973 (FERA)**. Its philosophy was blunt: *foreign exchange is so scarce that every dealing in it is presumed suspicious and prohibited unless the government specifically permits it*. Breaking the rules was a **crime**. You could be arrested. The burden was on **you** to prove your innocence.

That wall made sense in a starving-for-forex economy. But by the 1990s the problem had **flipped**. After the 1991 liberalisation, India opened up, foreign investment poured in, exports grew, and reserves became comfortable. Now the old wall was strangling the very growth it was meant to protect. A businessman importing a machine had to beg for permission; a criminal-law regime terrified honest traders and choked global trade.

The new problem was therefore the opposite of the old one: how do you *manage* a now-adequate stock of foreign exchange to keep the currency stable and promote orderly trade — without treating every honest importer and exporter as a smuggler? FERA could not do this. It was built for scarcity and suspicion. India needed a law built for **abundance and facilitation**. That law is the **Foreign Exchange Management Act, 1999 (FEMA)** — note the word: *Management*, not *Regulation*.

Dig one level deeper — why not simply amend FERA? Because FERA's DNA was prohibition. Its every section began from "thou shalt not." You cannot bolt a facilitative spirit onto a prohibitive skeleton; the courts would still read each provision restrictively. A liberalising nation needed the *default* itself inverted — and a default lives in the architecture of an Act, not in its amendments. That is why FERA was **repealed** and FEMA **freshly enacted**, not patched. The lesson the examiner tests: FEMA is a *replacement*, born of a *changed economic problem*, not a mere update.

A second subtlety — why keep any wall at all, if forex is now adequate? Because "adequate" is not "infinite," and capital flows are fickle. Reserves that look comfortable can evaporate in a currency panic (as

several emerging markets learned in 1997–98). So FEMA does not tear the wall down; it converts it from a **prison wall** (FERA: keep everything in) into a **traffic-management system** (FEMA: let trade flow, meter the dangerous capital flows, watch the gates). The wall becomes a *valve*, not a *dam*.

Memory hook: FERA = **F**ear + **R**estriction (control, criminal). FEMA = **M**anagement + **F**acilitation (civil, orderly). The single letter change (R → M) is the entire philosophy change.

2. The Core Idea

FEMA rests on one elegant shift in default assumptions.

FERA's default: *Everything in forex is prohibited unless permitted.* (Guilty until proven innocent.)

FEMA's default: *Everything in forex is permitted unless restricted* — **BUT** with one crucial split. FEMA divides all cross-border money dealings into two boxes:

- **Current account transactions** (the money for day-to-day living and trade — importing goods, paying for a foreign trip, sending money to a child studying abroad). Default here = **FREE**. These are the *income statement* of the nation.
- **Capital account transactions** (money that changes what you *own or owe* abroad — buying foreign shares, foreign property, giving/taking cross-border loans). Default here = **REGULATED** by the RBI. These are the *balance sheet* of the nation.

Why this split? Because current-account outflows are self-limiting and productive — you can only import so much oil, take so many holidays. But **capital flows are volatile and dangerous**: hot money can flood in and rush out overnight, and free capital flight can empty the reserves in days. So FEMA says: *let the living and trading money flow freely; keep a hand on the ownership-and-debt money.*

And because the goal is now **management, not punishment**, breaking FEMA is a **civil wrong** — you pay a **penalty**, you can **compound** (settle) the matter — not a **crime** you get jailed for.

The accountant's lens (make this your permanent mental model). Every transaction a nation has with the outside world lands in one of two financial statements:

- If it belongs on the nation's **Profit & Loss / income statement** — you *earned* it, *spent* it, or it flowed through as *income or expense this period* — it is **current account**. Nothing on your balance sheet changed; you are simply richer or poorer by that flow.
- If it belongs on the nation's **Balance Sheet** — it created, transferred or extinguished an *asset* or a *liability* that straddles the border — it is **capital account**. You now *own* something abroad, or *owe* something abroad, that you did not before.

This single test — "P&L or Balance Sheet?" — resolves 90% of classification questions faster than any statutory list. A CA student already thinks in these terms; use that edge.

One-line essence: *FEMA keeps forex orderly by freeing everyday trade money, regulating cross-border ownership money, and treating breaches as civil settlements rather than crimes.*

Figure 14.1 — The two-box philosophy of FEMA: current account flows freely, capital account is regulated.

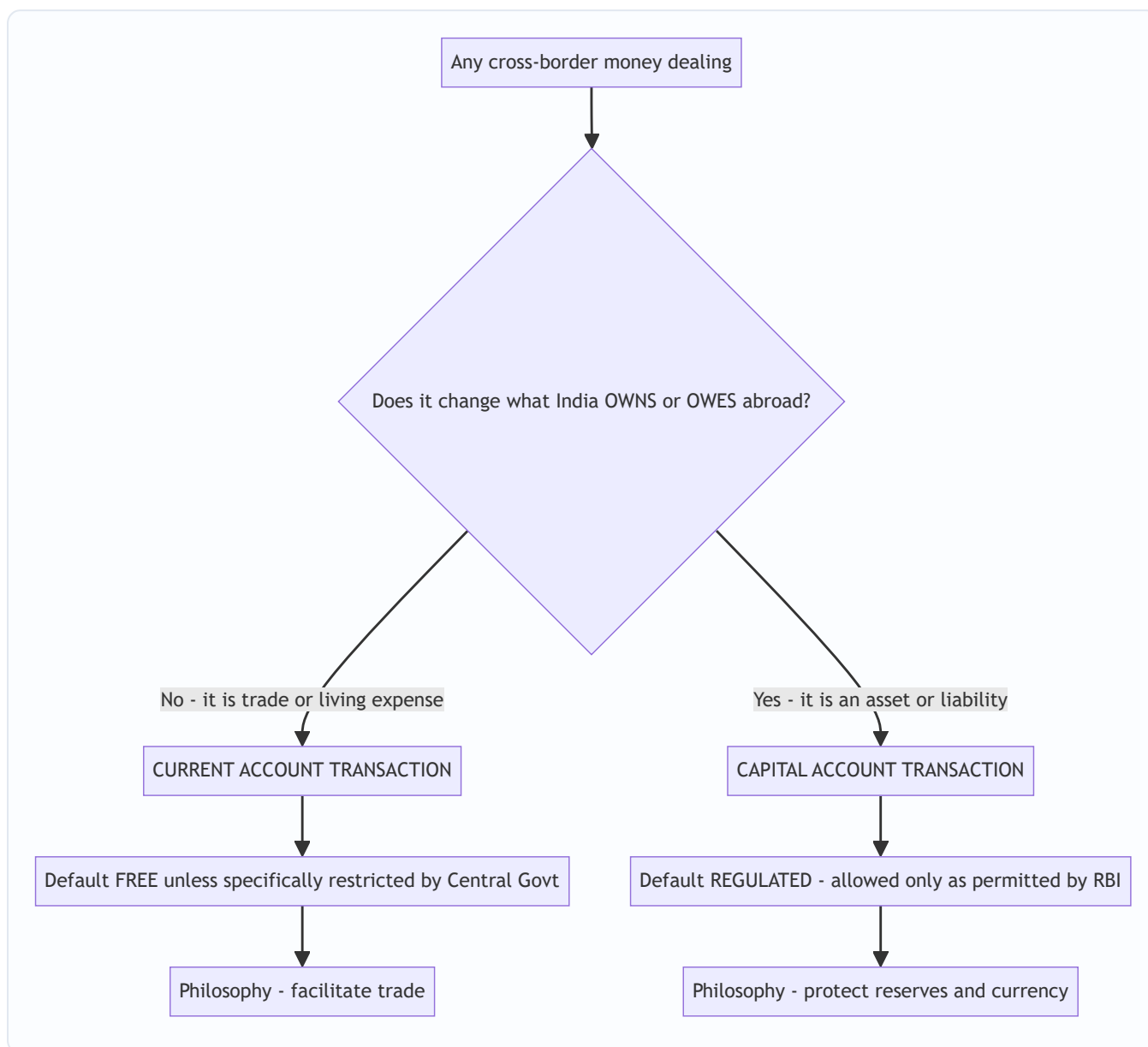
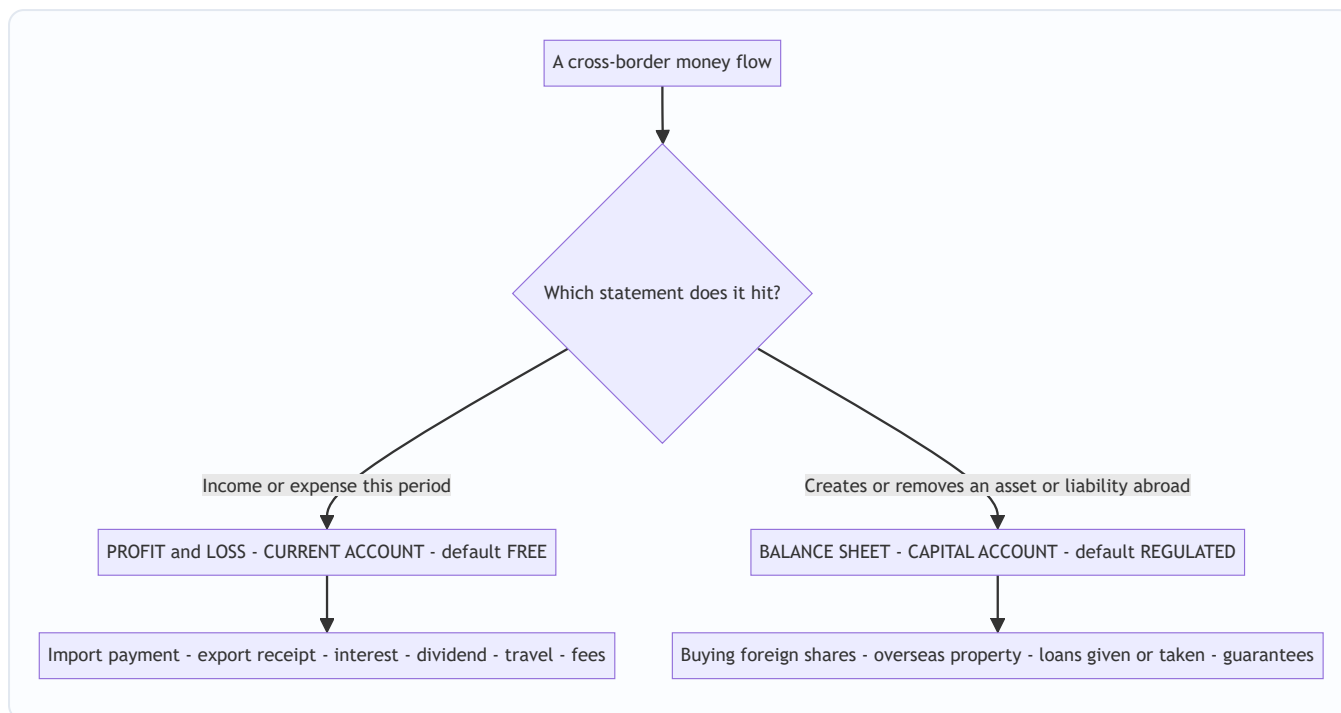


Figure 14.1A — The same split seen through a CA's eyes: which financial statement does the flow belong to.



3. Why It's Built This Way

Before drilling into provisions, understand the four design decisions that shape every section of FEMA. If you understand *why* these choices were made, you never have to memorise the sections — you can reconstruct them.

Design choice 1 — Management, not regulation. The 1991 reforms meant forex was no longer desperately scarce. A control regime (FERA) was now a cost, not a protection. So FEMA's stated purpose (its Preamble) is "*facilitating external trade and payments and promoting the orderly development and maintenance of the foreign exchange market in India.*" Every ambiguity in FEMA is resolved in favour of **facilitation**, not restriction — the opposite of how FERA was read.

Design choice 2 — Civil, not criminal. Under FERA, an accused was presumed guilty and could be **arrested**; the burden lay on him. This terrified legitimate business. FEMA converts contraventions into **civil offences** attracting **monetary penalties**, removes the presumption of guilt, and — critically — allows **compounding** (voluntary settlement by paying a sum). Jail (civil imprisonment) appears only as a last resort if you refuse to pay the penalty. The logic: an economy that wants to *attract* foreign capital cannot jail investors for paperwork errors.

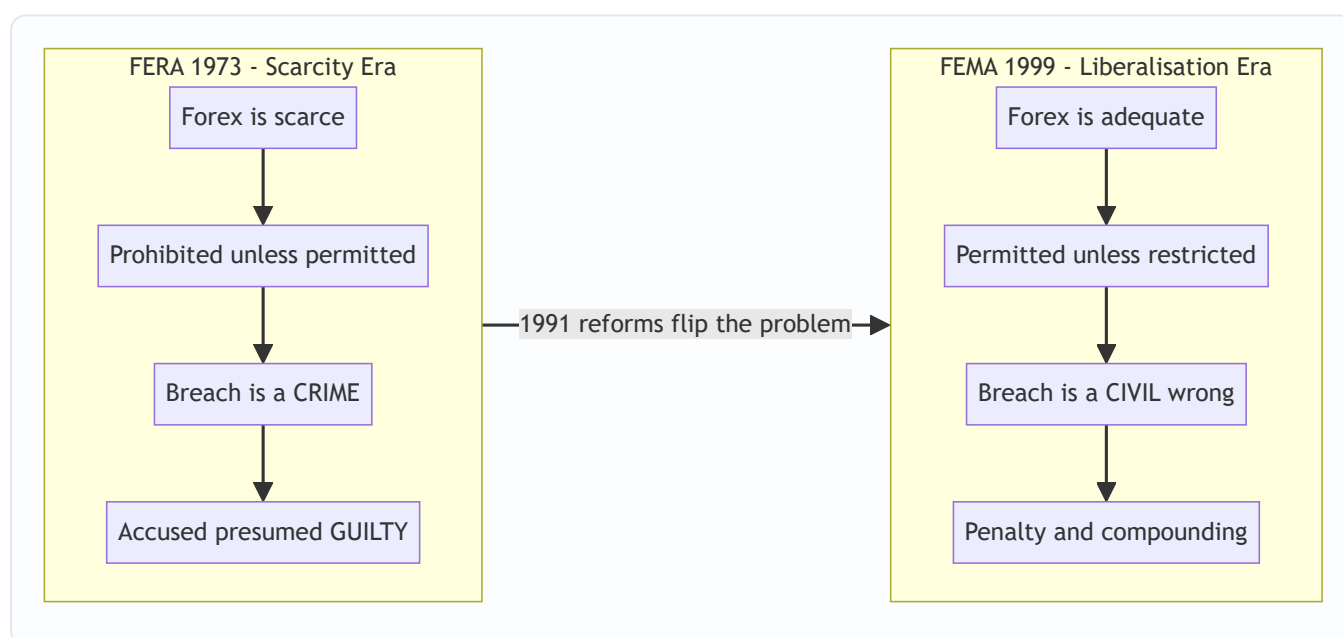
Design choice 3 — A clean division of labour. Parliament sets the frame (the Act). The **Central Government**, being politically accountable for trade policy, controls the **current account** side (it can restrict trade payments in public interest). The **RBI**, the monetary and reserves guardian, controls the **capital account** side (it regulates flows that affect reserves and the currency). Day-to-day dealings happen only through licensed intermediaries — **Authorised Persons** (mainly banks) — so the system is monitored without the government micromanaging every transaction.

Design choice 4 — A rule-book that can breathe. Forex conditions change fast. So FEMA is a thin **framework Act**; the operational detail lives in **Rules** (made by the Central Government) and **Regulations** (made by the RBI), which can be amended quickly without reopening Parliament. This is why exam answers must say "as prescribed / as per Rules / as per Regulations" — the numbers live outside the Act itself.

Design choice 5 — Territoriality by *control*, not just geography. Most Acts stop at the national border. FEMA deliberately reaches **branches, offices and agencies outside India that are owned or controlled by a person resident in India** (Section 1(3) read with Section 2(v)(iv)). *Why?* Because capital flight's favourite trick is to route money through a foreign arm of an Indian entity — if FEMA stopped at the coastline, an Indian company could park earnings in its Dubai branch and the reserves would leak. By following *control* rather than *soil*, FEMA closes that escape hatch. The concept the examiner rewards: FEMA is **extra-territorial through the control principle**.

Design choice 6 — Regulate the *transaction*, watch the *person*. FEMA's twin levers are (i) the residential status of the *person* (which decides *whether* FEMA bites) and (ii) the character of the *transaction* — current or capital (which decides *how* it bites). Almost every problem in the exam is solved by asking these two questions in order: *Who is the person?* then *What is the transaction?* Keep them separate; students who blur them lose marks.

Figure 14.2 — FERA to FEMA: the philosophy flip.



A compact FERA-vs-FEMA contrast table (a perennial 4–5 mark question).

Dimension	FERA, 1973	FEMA, 1999
Underlying economics	Forex scarce	Forex adequate
Object	Conserve and regulate forex	Facilitate trade; orderly forex market
Default rule	Prohibited unless permitted	Permitted unless restricted
Nature of breach	Criminal offence	Civil contravention
Presumption	Accused presumed guilty	Presumption of innocence
Arrest / imprisonment	Yes, for the offence	Only civil imprisonment for non-payment of penalty
Settlement	Not on the same footing	Compounding available (Section 15)
Number of sections	81 sections	49 sections (<i>leaner framework Act</i>)
Definition of "resident"	Tied more to citizenship-type notions	Based on residence, not citizenship
Governing spirit	Control	Management

4. Full Technical Content (rules and provisions, each with its "why")

FEMA has **49 sections** across 7 chapters, extends to the **whole of India** (and to all branches, offices and agencies **outside India owned or controlled by a person resident in India**), and came into force on **1 June 2000**. Below is the exam-required content, each provision paired with its reason.

4.1 The Preamble and Objectives (the "why" baked into the Act)

The Preamble states the Act consolidates and amends the law relating to foreign exchange **with the objective of: - facilitating external trade and payments**, and - **promoting the orderly development and maintenance of the foreign exchange market in India**.

Why it matters: When two interpretations of a FEMA provision are possible, courts and the RBI lean towards the one that *facilitates* trade — because the Preamble commands it. Contrast FERA, whose object was to *conserve and regulate*. Two verbs — "facilitate" vs "conserve" — capture the entire generational shift.

Sharper still — the Preamble is a legal tool, not decoration. In the Interpretation-of-Statutes chapter you learn that a Preamble is a **key to the mind of the legislature** and an admissible aid where a provision is ambiguous. FEMA is the textbook example: because the Preamble says "facilitating," a genuinely doubtful provision is read the *permissive* way. So when the examiner asks "how does one resolve an ambiguity in FEMA?", the answer is *purposively, in favour of facilitation, guided by the Preamble* — a cross-chapter link worth flagging in your answer.

4.2 Key Definitions (Section 2) — and why each is drawn the way it is

These definitions are the most heavily examined part of the chapter. Learn the *logic* of each boundary.

(a) Person Resident in India — Section 2(v)

Why residence matters: FEMA applies its restrictions based on **residential status**, not citizenship. A resident's global forex dealings are within FEMA's reach; a non-resident is largely outside it. So *who is a resident* decides *who FEMA can control*. Citizenship is irrelevant — a foreign national living and working in India can be a resident; an Indian citizen settled abroad is a non-resident.

The test has two limbs — a day-count limb and a purpose limb.

A "**person resident in India**" means:

(i) A person **residing in India for more than 182 days during the preceding financial year** — BUT this does **not** include: - a person who has gone out of / stays outside India for **employment** outside India, or - for carrying on a **business or vocation** outside India, or - for any other purpose indicating an **intention to stay outside India** for an uncertain period;

AND it does **not** include a person who has **come to / stays in India** *otherwise than* for: - taking up **employment** in India, or - carrying on **business or vocation** in India, or - any other purpose indicating an **intention to stay in India** for an uncertain period.

Translate the logic: The 182-day count is only the **starting gate**. The **purpose/intention** test then overrides it. If you *leave* India for employment/business/settling abroad, you become a **non-resident immediately** — even if you were here 300 days last year. If you *come* to India for employment/business/settling, you become a **resident immediately**. Purpose beats the calendar.

Read the double-negative carefully — the drafting trap. Limb (i) tells you *who is a resident*, then strips out those who *left* for a settling-abroad purpose. The second half tells you a returning person is a resident *only if* he came to India **for** employment/business/settling — i.e., a person who comes to India for some *temporary* purpose (a holiday, a short medical visit, a six-week project) is **not** a resident even if he ends up staying a while, because his *intention* is not to settle. The statutory phrasing is deliberately in the negative ("does not include... otherwise than for..."). Convert it in your head to the positive: **come to settle → resident from day one; come temporarily → not resident**.

The order of operations that never fails: 1. Was the person in India **> 182 days in the preceding financial year**? If **no**, he is **not** a resident on the day-count and you usually stop (subject to a fresh-arrival purpose test below). If **yes**, go to step 2. 2. Apply the **purpose override**: has he *left* to settle abroad (employment/business/uncertain-period intention)? If yes → **non-resident** despite the day-count. 3. For a person newly *arriving* in India, ignore last year's count if he has come **to settle** (employment/business/uncertain-period intention) — he is a **resident from arrival**.

Trap alert: FEMA counts days in the **preceding financial year** (April–March). This is different from the **Income-tax Act**, which counts days in the **current** previous year and uses **60/182-day** dual tests. Do not mix them.

The definition also expressly **includes**: - (ii) any **person or body corporate registered or incorporated in India** (so an Indian company is always a resident); - (iii) an **office, branch or agency in India** owned or controlled by a person resident **outside** India; and - (iv) an **office, branch or agency outside India** owned or controlled by a person resident **in** India.

Why (iii) and (iv): FEMA "follows the control." A foreign company's Indian branch operates inside India's forex system, so it is treated as resident (iii). And an Indian company's foreign branch is an extension of an Indian resident, so India keeps jurisdiction over it (iv) — this is how the Act reaches "outside India."

A finer distinction the exam loves: the day-count/purpose test in limb (i) applies to **individuals**. Clauses (ii)–(iv) are **status-by-definition** — a company incorporated in India is a resident *automatically*, no day-count needed; a foreign company's Indian branch is a resident *by control*, again with no day-count. So never apply the 182-day test to a company; it is decided by *place of incorporation* and *control*, not by days.

Person resident outside India — Section 2(w): simply "*a person who is not resident in India.*" (Defined by exclusion — clean and complete.) *Why by exclusion:* residence is binary in FEMA — everyone on earth is either 2(v) or 2(w), with no gap and no overlap. This mutual-exclusivity is itself examinable: there is no "partly resident" status under FEMA (unlike the "Resident but Not Ordinarily Resident" category in tax law).

(b) Person — Section 2(u)

"Person" is deliberately wide, so no one escapes on a technicality. It includes: an **individual**, a **HUF**, a **company**, a **firm**, an **association of persons or body of individuals** (whether incorporated or not), **every artificial juridical person**, and **any agency, office or branch** owned or controlled by such person. *Why so broad:* forex can be moved by any legal form; the net must catch them all. Note the two-step nesting: a *branch* of a person is itself a "person," which is exactly what makes the extra-territorial reach of 2(v)(iv) operate — the foreign branch is a *person*, and its *residence* is fixed by control.

(c) Foreign Exchange — Section 2(n) and Foreign Security — Section 2(o)

Foreign exchange means **foreign currency** and includes: - **deposits, credits and balances** payable in any foreign currency; - **drafts, travellers' cheques, letters of credit or bills of exchange** expressed or drawn in Indian currency but **payable in any foreign currency**; - drafts, travellers' cheques, letters of credit or bills of exchange **drawn by banks/institutions/persons outside India but payable in Indian currency**.

Why the odd inclusions: the drafters chased the **economic substance**, not the label. An instrument in rupees but *payable abroad in dollars* is really a claim on foreign exchange, so it is caught. **Foreign security** (2(o)) similarly covers securities denominated in foreign currency, and even rupee-denominated securities where redemption/interest is payable in foreign currency.

The unifying principle across (n) and (o) — "look at where the value is really claimed." Both definitions refuse to be fooled by the *currency of denomination*. A rupee-denominated bill *payable in dollars* is forex; a rupee-denominated bond whose *interest is paid in dollars* is a foreign security. Conversely, a dollar-looking instrument that is finally payable in rupees to a domestic party may not be. The examiner's favourite tweak: give an instrument denominated in one currency but *payable* in another and ask you to classify — always follow the **currency of ultimate payment/realisation**, not the currency printed on the face.

(d) Currency and Current Account Transaction

Currency — Section 2(h): includes currency notes, coins, **postal notes, money orders, cheques, drafts, travellers' cheques, letters of credit, bills of exchange, promissory notes, credit cards** and such other similar instruments as the RBI may notify. *Why so wide:* value moves through many instruments, not just notes; RBI can add new ones (e.g., new digital instruments) by notification without amending the Act. This delegated add-power is Design Choice 4 in miniature — the Act stays evergreen because the RBI can extend "currency" to future instruments by notification.

Current account transaction — Section 2(j): defined as *a transaction other than a capital account transaction* and, **without limiting its generality, includes:** - (i) payments due in connection with **foreign**

trade, other current business, services, and short-term banking and credit facilities in the ordinary course of business; - **(ii)** payments due as **interest on loans** and as **net income from investments**; - **(iii) remittances for living expenses** of parents, spouse and children residing abroad; and - **(iv) expenses in connection with foreign travel, education and medical care** of parents, spouse and children.

Why defined "in the negative + examples": Rather than list every possible current transaction (impossible), FEMA defines it as "*anything that is not capital account*" and then gives illustrative buckets so ordinary trade and living payments obviously qualify. **Memory hook — the four buckets are TRADE, RETURNS, FAMILY-UPKEEP, TEMS (Travel, Education, Medical care of family).**

The residual-definition logic is itself an exam point. Because 2(j) says "a transaction *other than* a capital account transaction," the **capital-account definition is the master key** — you decide "capital?" first; if the answer is no, it is current *by default*. The four listed buckets are only "for the avoidance of doubt" (the phrase "without limiting the generality" tells you they are illustrative, not exhaustive). So never argue "it isn't in the four buckets, therefore it isn't current" — that reverses the logic. Anything not capital is current, listed or not.

Watch the word "short-term." Limb (i) captures **short-term** banking and credit facilities in the ordinary course of business as *current*. A **long-term** loan is a *capital* transaction. The maturity is the switch. This is a classic split-question setup — the same "loan" word appears in both boxes depending on tenor and on whether you are looking at the principal or the interest.

(e) Capital Account Transaction — Section 2(e)

A transaction which **alters the assets or liabilities** (including contingent liabilities) **outside India of persons resident in India, or the assets or liabilities in India of persons resident outside India**; and includes transactions referred to in **Section 6(3)**.

Why this definition is the heart of FEMA: the phrase "**alters assets or liabilities**" is the litmus test. If money merely pays for a service or good consumed now → current. If money *creates, transfers or extinguishes a cross-border asset or liability* (a share you now own abroad, a loan you now owe abroad, property you bought abroad) → capital. **Assets/liabilities = balance sheet = capital; income/expense = P&L = current.**

Do not skip the words "including contingent liabilities." A **guarantee** creates no immediate outflow — it is only a *contingent* liability that crystallises if the principal defaults. FEMA deliberately pulls contingent liabilities into the capital-account net so that a resident cannot dodge control simply by issuing a guarantee (which is economically an off-balance-sheet cross-border exposure) instead of a loan. So a guarantee given by a resident in favour of a non-resident is a **capital account transaction** even though not a rupee has yet moved. Examiners test this with a "no money has changed hands, so surely FEMA does not apply" trap — the answer is that the *contingent liability abroad* has been altered, so it does.

Two directions, one test. Section 2(e) is symmetric: it covers (a) a **resident's assets/liabilities outside India** and (b) a **non-resident's assets/liabilities in India**. So a US citizen buying a flat in Mumbai alters "assets in India of a person resident outside India" — capital account, on the *inbound* leg — just as an Indian buying a flat in London alters "assets outside India of a resident" on the *outbound* leg. Both are capital; FEMA guards *both gates* of the wall, not just the exit.

Examples of capital account transactions (from the Regulations / illustrative list): investment in foreign securities; foreign direct investment; acquisition/transfer of immovable property abroad by a resident (or in India by a non-resident); borrowing/lending in foreign exchange; giving guarantees; export-import of currency; and deposits between residents and non-residents.

(f) Authorised Person — Section 2(c)

An **authorised person** means an **authorised dealer, money changer, off-shore banking unit or any other person** for the time being **authorised by the RBI under Section 10(1)** to deal in foreign exchange or foreign securities.

Why the gatekeeper exists: FEMA does not let residents deal in forex directly with the world. All legitimate forex must flow **through licensed intermediaries** — mostly banks (authorised dealers) and money changers. This gives the RBI a **monitoring choke-point**: it can watch, guide and regulate the whole market through a few hundred licensed entities instead of policing a billion citizens. The AP is FEMA's "eyes on the ground."

Distinguish the sub-species (occasionally asked). An **Authorised Dealer** (typically a bank) handles the full range of forex and trade transactions; a **money changer** deals mainly in the conversion of currency and travellers' cheques (a narrower licence); an **Off-shore Banking Unit** is a bank branch in a Special Economic Zone / IFSC dealing in foreign currency. All four sit inside the umbrella term "Authorised Person," each licensed and conditioned by the RBI under Section 10. The point for the exam: "Authorised Person" is the *genus*; authorised dealer, money changer and OBU are *species*.

4.3 Regulation of Transactions — the operative heart (Sections 3, 5, 6, 7)

Section 3 — The general prohibition (the fence)

No person shall, **except with the general or special permission of the RBI or an authorised person**: - (a) deal in or transfer any foreign exchange/foreign security to any person not an authorised person; - (b) make any payment to or for the credit of any person resident outside India in any manner; - (c) receive any payment by order or on behalf of any person resident outside India in any manner (this catches **hawala** — receiving rupees here against a promise to pay someone abroad, with no forex actually crossing the border); - (d) enter into any financial transaction as consideration for or in association with acquisition or creation of a right to an asset outside India.

Why Section 3 exists: it is the **outer fence** ensuring all forex dealing is routed through the authorised channel. Everything else (Sections 5–7) is a controlled gate in this fence.

Read clauses (b) and (c) together — they are the anti-hawala pincer. Clause (b) blocks *paying* a non-resident "in any manner"; clause (c) blocks *receiving* a payment "by order or on behalf of" a non-resident. Hawala works precisely by splitting a cross-border transfer into two *domestic-looking* legs (rupees paid to someone here; dollars paid to someone there) so that no forex ever crosses the border. FEMA defeats it by catching **each leg independently** — the phrase "**in any manner**" is the killer, because it refuses to care about the mechanism. This is the statutory embodiment of the "substance over form" principle. Note the exception built into the opening words — with **RBI or AP permission**, these acts are lawful; Section 3 prohibits only the *unauthorised* channel, not the *act* of paying a non-resident as such.

Section 5 — Current account transactions (the free gate)

"Any person may sell or draw foreign exchange to or from an authorised person if such sale or drawal is a current account transaction." **Provided** the **Central Government** may, in **public interest** and in **consultation with the RBI**, impose **reasonable restrictions** on current account transactions.

The logic (crucial): The default is **FREEDOM** — a resident can freely buy forex for a current transaction. But the freedom is **not absolute**; the Central Government (the trade-policy authority) can carve out restrictions for public interest. These restrictions live in the **Foreign Exchange Management (Current Account Transactions) Rules, 2000**, which sort current transactions into three lists:

Schedule	Nature	Example (confirm exact list in ICAI / bare Rules)
Schedule I	Prohibited entirely	Remittance out of lottery winnings; income from racing/riding; purchase of a lottery ticket; remittance of dividend where dividend-balancing applies
Schedule II	Allowed only with prior Central Government approval	Remittances for certain cultural tours; multi-modal transport operators' remittances to agents abroad; certain advertising in foreign print media by State Governments/PSUs
Schedule III	Allowed with RBI approval only above a monetary limit (below the limit = free)	Private/business travel, gifts, donations, studies abroad, medical treatment, maintenance of relatives etc. — governed by the Liberalised Remittance Scheme (LRS)

Why three lists, not a blanket "free": even everyday spending needs a few guardrails — you cannot let forex bleed out on lotteries (Schedule I), some things need government sign-off (Schedule II), and large personal remittances need a ceiling so the aggregate outflow stays orderly (Schedule III). Under **LRS**, a resident individual may remit up to **USD 2,50,000 per financial year** for permitted current (and certain capital) account transactions (*confirm the current cap in ICAI material / RBI Master Direction — it has changed over time*).

The grammar of the three schedules (memory device). Read them as a rising staircase of control on an *otherwise-free* base: - **Schedule I — a red light.** No approval will help; the transaction is outlawed as a class (e.g., remitting lottery winnings). *Why prohibited, not merely capped:* these outflows are pure leakage with no productive return. - **Schedule II — a government checkpoint.** Permitted, but only after the **Central Government** signs off (policy-sensitive items). - **Schedule III — a metered gate.** Free **below** a threshold; **RBI approval above** it. The LRS ceiling lives here. - **Everything not in any Schedule — open road.** Free, because default-free is the base rule of Section 5.

So the answer sequence for any current transaction is: *Schedule I?* → *Schedule II?* → *Schedule III over the limit?* → *else FREE*.

A subtle but examinable point — LRS straddles both boxes. The Liberalised Remittance Scheme is normally taught under current-account Schedule III, but the *same* USD 2,50,000 annual envelope also covers **certain permissible capital-account** remittances by a resident individual (e.g., acquiring shares or property abroad within the cap). So LRS is the one place where the current/capital wall has a *shared door*. If an examiner asks "can a resident individual buy foreign shares under LRS?", the answer is yes — within the LRS cap — even though buying shares is *capital* account. Flag the exact permissible capital uses against current ICAI material.

Section 6 — Capital account transactions (the regulated gate)

- **6(1):** Any person may sell or draw foreign exchange for a capital account transaction **only to the extent permitted**.

- **6(2):** The **RBI** may, in consultation with the Central Government, **specify the permissible classes** of capital account transactions and the **limits** up to which forex is admissible. *(Post the 2015 amendment, the power over debt instruments/capital flows is shared between the Central Government and RBI — the Central Government prescribes rules for capital account transactions involving debt instruments, while RBI regulates non-debt instruments and the rest. Confirm the exact split in current ICAI material.)*
- **6(3)** (originally) listed classes of capital account transactions RBI may regulate: transfer/issue of foreign securities by residents; transfer/issue of Indian securities by non-residents; borrowing/lending in forex and in rupees between residents and non-residents; deposits; export/import of currency; transfer of immovable property outside India by residents and in India by non-residents; guarantees, etc. *(Section 6(3) was omitted by the Finance Act, 2015, shifting this listing into rules/regulations — note this if the exam asks about amendments.)*
- **6(4):** A resident may **hold, own, transfer or invest** in foreign currency, foreign security or immovable property outside India **if** it was **acquired/held when he was a non-resident** or **inherited** from a person who was a non-resident. *(Protects legitimately-earned foreign assets.)*
- **6(5):** A non-resident may **hold, own, transfer or invest** in Indian assets if acquired when he was a resident or inherited from a resident.

Why capital account is only "to the extent permitted": because volatile capital flows are the real threat to reserves and currency stability (recall the 1991 crisis and later emerging-market crises where hot money fled overnight). The RBI keeps this gate on a **positive-permission** basis — you may do it only if a class/limit permits it — which is the mirror image of the current-account "free unless restricted" rule.

Grasp the exact mirror-image relationship (a 2-mark distinction that is really the whole chapter):

	Current account (Section 5)	Capital account (Section 6)
Default	Free	Not permitted
Rule structure	<i>Free unless restricted</i>	<i>Restricted unless permitted</i>
Who controls	Central Government	RBI (with debt/non-debt split post-2015)
Test to apply	Is it in a <i>prohibition/restriction</i> ?	Is it in a <i>permitted class within the limit</i> ?

Getting this table backwards — saying capital is "free unless restricted" — is one of the most common ways students throw away marks.

Why 6(4) and 6(5) exist — the fairness valves. Suppose an Indian professional works in the US for ten years (a non-resident), lawfully buys a house and shares there, then returns to India and becomes a resident. Must he now liquidate everything because a resident's foreign assets are "regulated"? That would be confiscatory and absurd. Section **6(4)** says no — assets *legitimately acquired while he was a non-resident* (or *inherited* from a non-resident) may be **freely held, transferred and invested**. Section **6(5)** is the symmetric protection for a non-resident's Indian assets acquired while he was a resident (or inherited from a resident). *Principle:* FEMA regulates *fresh* cross-border asset creation, not the *legacy* of a person's lawful past status. The examiner's tweak: an NRI *inherits* foreign shares from another NRI — protected under 6(4); but if he acquires *new* foreign shares *after* becoming a resident, that fresh acquisition is regulated under 6(1)/6(2).

Section 7 — Export of goods and services

Exporters must **declare** to the RBI the **full export value** (or, if not ascertainable, the value expected to be received) and furnish other particulars, and must take **reasonable steps to realise and repatriate** the proceeds.

Why: an exporter earns foreign exchange that belongs, in effect, to the national reserve pool. If exporters could leave earnings parked abroad, it would be capital flight through the back door. So the law compels **declaration + realisation + repatriation** of export proceeds.

Note the anti-under-invoicing design. The exporter must declare the **full export value**, and where it is not ascertainable, **the value expected to be received in an open-market arm's-length sale**. *Why the second limb?* To stop the oldest trick in trade: **under-invoicing** exports (declaring a low value, pocketing the difference abroad). By fixing the benchmark at the *true* market value, Section 7 makes the declared figure the floor of what must be repatriated — closing the leak. Section 7 is, in essence, capital-flight control disguised as an export-documentation rule.

4.4 Realisation, repatriation and the "no-holding" rule (Sections 8–9)

- **Section 8 — Realisation and repatriation:** where any amount of foreign exchange is **due or has accrued** to a resident, he must take **reasonable steps to realise and repatriate** it to India, as prescribed. *Why:* forex owed to India must actually come to India.
- **Section 9 — Exemptions:** carves out sensible exceptions — e.g., possession of foreign currency/coins up to limits, foreign currency accounts held as permitted, foreign exchange acquired before a threshold date, forex received as gift/inheritance held under 6(4), forex from employment/business/services rendered while abroad, etc. *Why:* the Act should not criminalise a traveller holding leftover holiday currency; it targets systemic leakage, not ordinary life.

Understand the "reasonable steps" standard — FEMA imposes an obligation of effort, not of result.

Sections 7 and 8 do not say the exporter/resident *guarantees* the money comes home; they say he must take **reasonable steps** to realise and repatriate. *Why the softer standard?* Because a genuine bad debt abroad (a foreign buyer goes bankrupt) is a commercial misfortune, not a forex crime. So if the resident has *diligently pursued* realisation (invoices, reminders, legal action, RBI write-off permission where allowed), he has complied even if the money never arrives. The examiner tests this by giving a debtor who defaulted despite the exporter's chasing — no contravention, provided reasonable steps were taken. Contrast: a resident who simply *chose* to leave earnings parked abroad has taken *no* steps — that *is* a contravention.

Section 9 protects ordinary life — the "de-minimis and legacy" carve-outs. The unifying theme: FEMA is aimed at *systemic leakage*, so it exempts (i) *small holdings* (leftover travel currency within notified limits), (ii) *legally-earned legacy* forex (assets under 6(4), gifts/inheritance, earnings from services rendered while abroad), and (iii) *permitted accounts* (e.g., holding a foreign-currency account as the RBI allows). The point for the exam: Section 9 is the **safety-valve** that keeps FEMA proportionate — quote it whenever a fact pattern involves a traveller's small change or an NRI's lawfully-earned foreign salary.

4.5 Role and Powers of the RBI (Sections 10, 11, and Chapter III)

The RBI is the **operational regulator** of the entire forex market. Its key powers:

- **Section 10 — Authorised Persons:** RBI **authorises** persons to deal in forex (grants the licence), can **impose conditions**, and can **revoke** the authorisation in public interest or for breach (after a hearing). Authorised persons must **comply with RBI directions** and **not engage in transactions** not permitted; before undertaking a transaction, an AP must require a **declaration** and information from the customer

to satisfy itself the transaction is not designed to contravene FEMA. If the AP has reason to believe a contravention is intended, it must **refuse** and **report** to the RBI.

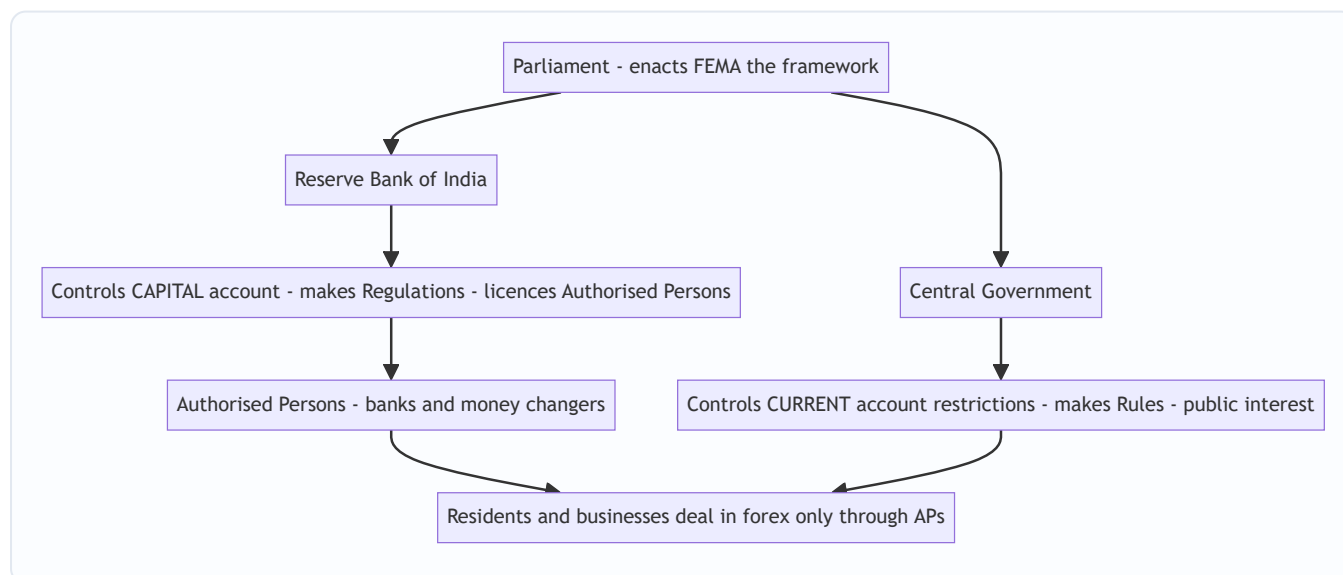
- **Section 11 — RBI's power to give directions to Authorised Persons:** RBI can direct APs, inspect them, and impose penalties (up to prescribed limits) for non-compliance. *Why via APs:* controlling a few hundred licensed dealers controls the market.
- **Making Regulations (Section 47):** RBI frames the operational **Regulations** (capital account, borrowing/lending, immovable property abroad, etc.).

Why the RBI, specifically: the RBI holds the reserves, sets monetary policy, and manages the exchange rate. Forex management is inseparable from these functions, so the natural custodian is the central bank — Parliament merely sets the frame; the RBI runs the market.

The AP is deputised as a private-sector compliance officer — this is the genius of Section 10. Notice what the Act does: instead of stationing a government official at every bank counter, it *makes the bank itself* responsible for policing the transaction. The AP must (a) demand a **declaration** from the customer, (b) **satisfy itself** the transaction is bona fide, and (c) **refuse and report** if it smells a contravention. In effect FEMA converts hundreds of banks into an outsourced first line of enforcement — cheap, ubiquitous and close to the transaction. This "gatekeeper does the screening" model is why the whole billion-person market can be watched through a few hundred licensees. Examinable phrasing: the AP has a **positive due-diligence duty**, not merely a passive one.

Distinguish the three RBI hats. (i) *Licensor* under Section 10 — grants, conditions and revokes AP authorisations. (ii) *Director* under Section 11 — issues directions, inspects, and penalises APs for non-compliance. (iii) *Rule-maker* under Section 47 — frames the capital-account and allied **Regulations**. Students often merge Sections 10 and 11; keep them apart — 10 is about the *licence relationship*, 11 is about *ongoing command and inspection* of the licensee.

Figure 14.3 — Who decides what under FEMA.



4.6 Contravention and Penalties — the civil regime (Sections 13–15)

This is where FEMA's "civil not criminal" philosophy becomes concrete.

- **Section 13 — Penalties:** on contravention of any provision, rule, regulation, direction or condition, a person is liable to a **penalty up to thrice the sum involved** where the amount is **quantifiable**, or **up to**

₹2,00,000 where it is **not quantifiable**. If the contravention is **continuing**, a **further penalty up to ₹5,000 per day** during continuance. (*Newer sub-sections (13(1A) onwards, inserted in 2015) deal specifically with acquiring foreign exchange/foreign security/immovable property abroad exceeding the prescribed threshold — higher penalties, possible confiscation, and imprisonment for wilful cases. Confirm the exact figures in current ICAI/bare Act.*)

- **Adjudicating Authority (Section 16):** an officer of the Central Government adjudicates and imposes the penalty after a hearing. Note the language — **"adjudicate," not "prosecute"** — the tell-tale sign of a civil regime.
- **Section 14 — Enforcement of the penalty:** if a person **fails to pay** the penalty within **90 days**, he is liable to **civil imprisonment**. *Read this carefully:* imprisonment is **not** the punishment for the forex breach itself — it is the consequence of **refusing to pay a civil debt** (the penalty), exactly like defaulting on a court-ordered payment. FERA jailed you for the *offence*; FEMA can detain you only for *non-payment of the penalty*.
- **Section 15 — Compounding of contraventions (the master idea):** any contravention under Section 13 **may be compounded** — i.e., **voluntarily settled** — by the contravener **paying a specified sum**, on an application to the RBI (or the Directorate of Enforcement). Compounding must be completed **within 180 days** of receiving the application. Once compounded, **no further proceedings** for that contravention.

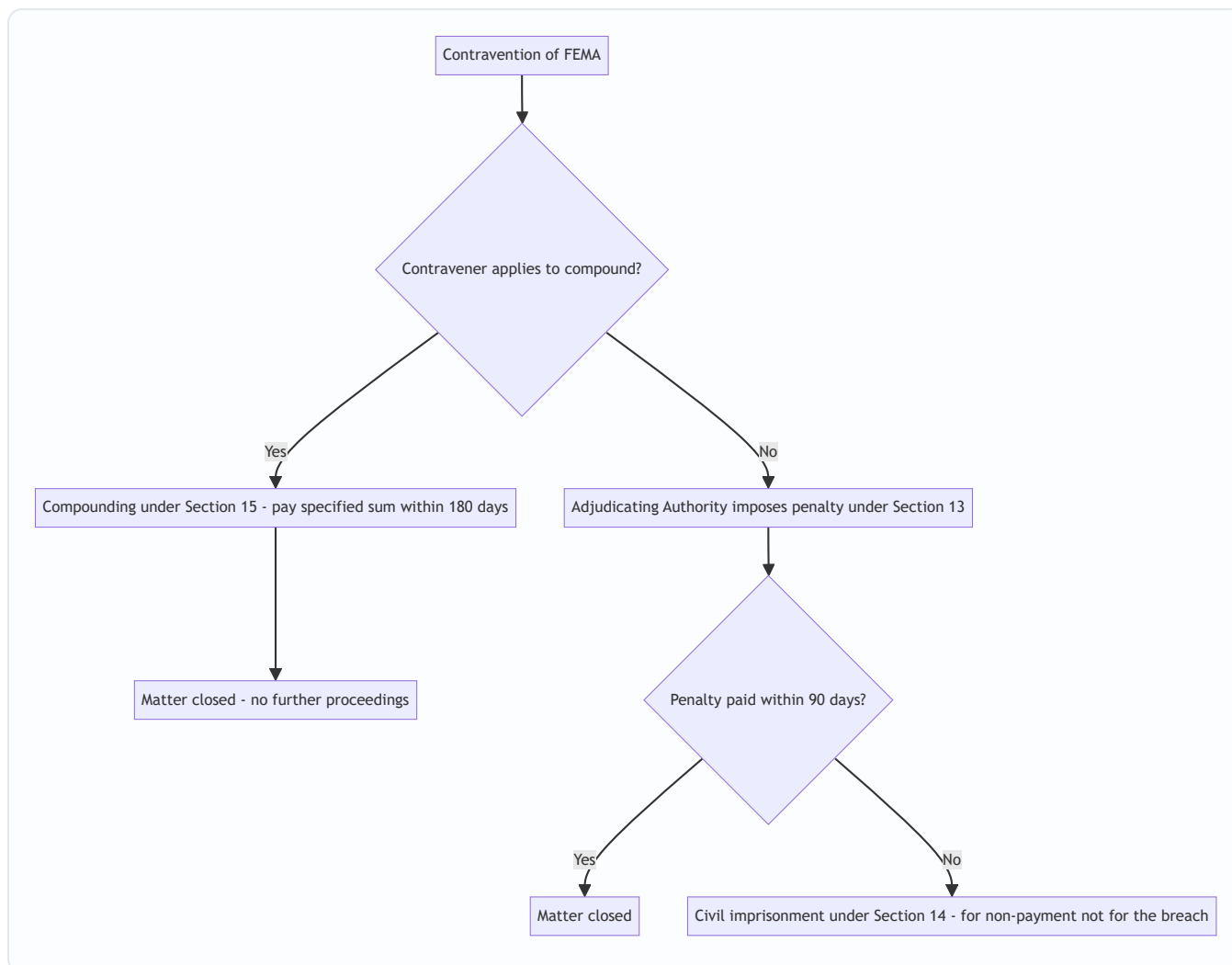
Why compounding is the beating heart of the new regime: it converts a potential legal battle into a quick, one-time monetary settlement. It signals FEMA's whole intent — the State wants **compliance and revenue, not incarceration**. An honest importer who missed a filing pays a compounding fee and moves on, instead of being dragged through criminal courts as under FERA.

Read the "thrice the sum" cap as a ceiling, not a fixed penalty. Section 13 says penalty **up to** three times the amount involved. The Adjudicating Authority has **discretion** to levy *less*, weighing the gravity, whether it was wilful, whether it was a first offence, and the amount of undue gain. A student who writes "the penalty **is** three times the sum" is wrong — it is a **maximum**. The same "up to" logic applies to the ₹2,00,000 figure (for un-quantifiable contraventions) and the ₹5,000/day continuing penalty.

Section 14's imprisonment scales with the penalty — the graded ladder. Under the enforcement mechanics, the *duration* of civil imprisonment is tied to the size of the unpaid penalty (larger unpaid sums can attract longer detention, with the classic split around whether the amount exceeds ₹1 crore — *verify the exact slab in current ICAI material / bare Act*). But the conceptual point dominates the numbers: **you are detained for defying a monetary order, not for the forex breach**. The moment you pay, the basis for detention disappears — which is impossible under a truly *criminal* regime, where paying up does not erase the offence.

Compounding is a right to apply, not a right to settle. The contravener may **apply**; whether it is compounded, and on what sum, rests with the **compounding authority** (RBI / Directorate of Enforcement), which must dispose of the application within **180 days**. Certain **serious contraventions** (e.g., those involving money-laundering, national-security concerns, or where investigation by another agency is ongoing) may be **refused** compounding. So the correct exam statement is: *"a contravention may be compounded on application, at the discretion of the authority, within 180 days"* — not "the contravener can always settle."

Figure 14.4 — The civil enforcement path of FEMA.



4.7 The appeal ladder and the Directorate of Enforcement

- **Directorate of Enforcement (ED):** investigates and can adjudicate contraventions; the **Director/officers** have powers of investigation.
- **Appeals:** from the Adjudicating Authority → to the **Special Director (Appeals)** and/or the **Appellate Tribunal**; a further appeal on a **question of law** lies to the **High Court** within 60 days. *Why an appeal ladder:* civil due process demands review; a person penalised must have a route to challenge the order.

Trace the ladder rung by rung (a favourite short-note). 1. **Adjudicating Authority** (Section 16) — the first-instance forum that imposes the penalty after a hearing. 2. **Special Director (Appeals)** — hears appeals against orders of *junior* adjudicating officers. 3. **Appellate Tribunal** — the principal appellate body against adjudication orders (post-2016 restructuring, the functions are exercised through the Appellate Tribunal framework; *verify the exact nomenclature and any merger of tribunals in current ICAI material*). 4. **High Court** — a final appeal, **only on a question of law**, within **60 days** of the Tribunal's order (extendable by a further 60 days for sufficient cause).

Two things the examiner probes here: - The **High Court appeal is confined to a question of law** — you cannot re-agitate the *facts* there. This mirrors the general appellate principle that final courts settle law, not fact. - The **Appellate Tribunal / appellate authority may require pre-deposit** of the penalty (or dispense with it for hardship) before hearing the appeal — a civil-litigation feature (*verify current wording*). It underscores that the penalty is a *civil debt*.

Also distinguish the **Directorate of Enforcement (ED)** — the *investigating and adjudicating arm* — from the **Adjudicating Authority** and the appellate forums, which *decide and review*. The ED both administers **FEMA** (civil) and **PMLA** (criminal); the overlap is deliberate, because forex leakage and money-laundering are often the same money seen from two angles.

5. Applied Scenarios (exam-style)

Scenario 1 — Residential status (purpose beats day-count). *Mr. A, an Indian citizen, left India on 1 August 2023 to take up permanent employment in Dubai. During FY 2022–23 he was physically in India for 320 days. In September 2023 he wishes to open a bank account. Is he a person resident in India under FEMA?*

Answer: No. Although the 182-day count for the preceding financial year is satisfied (320 days), Section 2(v) **excludes** a person who has gone out of India for **employment outside India**. The **purpose test overrides the day-count**. From the moment he leaves for employment abroad, he becomes a **person resident outside India**. *Contrast:* under the Income-tax Act the answer could differ — do not conflate the two laws.

Scenario 2 — Current vs capital classification. *Classify each: (i) Mr. B remits ₹10 lakh to his son studying in the UK for tuition and living costs; (ii) Mr. C buys shares worth ₹10 lakh in a company listed in New York; (iii) an Indian company pays interest on a foreign-currency loan it took from a US bank.*

Answer: (i) **Current account transaction** — Section 2(j)(iv) expressly includes expenses for **education of children abroad** (governed under LRS / Schedule III). Free up to the prescribed limit. (ii) **Capital account transaction** — Mr. C now *owns a foreign security*; his **assets outside India are altered** (Section 2(e)). Permitted only to the extent RBI allows. (iii) **Current account transaction** — Section 2(j)(ii) includes **interest on loans**. (The *loan* itself is capital; the *interest* is a current payment. Distinguish the principal from the servicing.)

Scenario 3 — The nature of enforcement. *Mr. D contravened a FEMA provision involving ₹50 lakh. He argues he cannot be jailed because FEMA is "civil." Advise on (a) maximum penalty, (b) whether he can settle, (c) whether imprisonment is possible.*

Answer: (a) Under **Section 13**, since the amount (₹50 lakh) is **quantifiable**, penalty may extend to **thrice** the sum = **up to ₹1.5 crore** (plus ₹5,000/day if continuing). *Note "up to" — the Adjudicating Authority may levy less.* (b) Yes — under **Section 15** he may **apply to compound** (settle) the contravention by applying to the RBI/ED and paying a specified sum, to be disposed of within 180 days. (Compounding is at the authority's discretion, not automatic.) (c) Imprisonment is **not** a punishment for the contravention itself, but under **Section 14**, if he **fails to pay the penalty within 90 days**, he becomes liable to **civil imprisonment** — for non-payment, not for the forex breach. So his "civil" argument is only half-right.

Scenario 4 — The hawala catch. *Mr. E, in India, receives ₹20 lakh in cash from a local agent, against an arrangement that his cousin in the USA will be paid an equivalent amount in dollars there. No money crosses the border. Is FEMA attracted?*

Answer: Yes. **Section 3(c)/3(b)** prohibits **receiving any payment by order or on behalf of a person resident outside India** without RBI/AP permission and prohibits making payment to the credit of a non-resident "in any manner." This informal value-transfer (**hawala**) is squarely hit even though no currency physically crosses the border — FEMA follows the **economic substance**, not the physical movement of notes.

Scenario 5 — The returning NRI and Section 6(4) (legacy assets). *Ms. F worked in Canada for eight years as a non-resident and, while there, lawfully bought a condominium in Toronto and shares in a Canadian company. In April 2024 she returns to India permanently and becomes a resident. (a) Must she sell or repatriate the Toronto property and shares? (b) In June 2024, as a resident, she wants to buy fresh shares in a UK company — is that free?*

Answer: (a) **No.** Under **Section 6(4)**, a resident may **hold, own, transfer and invest** in foreign currency, foreign security or immovable property outside India that was **acquired when she was a non-resident**. The Toronto condo and the Canadian shares were lawfully acquired while she was a non-resident, so they are **protected legacy assets** — she is not compelled to bring them home. (The rental income / dividends she now earns on them are *current* receipts.) (b) **Not free.** The UK shares would be a **fresh acquisition made after she became a resident** — a **capital account transaction** under Section 2(e)/6(1), permitted **only to the extent RBI allows** (e.g., within the LRS envelope). *Reconcile:* the *legacy* is protected (6(4)); the *fresh* cross-border asset creation is regulated (6(1)). This is the exact line the examiner tests — same person, two opposite answers, split by *when* the asset was acquired.

Scenario 6 — Interest vs principal, and short-term vs long-term (the loan splitter). *XYZ Ltd, an Indian company, (i) borrows USD 1 million from a foreign bank for 5 years, (ii) pays the annual interest of USD 60,000 on it, and (iii) separately takes a 30-day short-term buyer's credit to pay for imported raw material. Classify each leg.*

Answer: (i) The **5-year borrowing of USD 1 million** creates a liability outside India → **capital account transaction** (Section 2(e); it is an external commercial borrowing, permitted only within RBI's ECB framework). (ii) The **annual interest of USD 60,000** is **net income servicing on a loan** → **current account transaction** (Section 2(j)(ii) — "payments due as interest on loans"). The *principal* is capital; its *servicing* is current — the classic split. (iii) The **30-day buyer's credit** for raw material is a **short-term banking/credit facility in the ordinary course of business** → **current account transaction** (Section 2(j)(i), which expressly includes *short-term* banking and credit facilities). *Reconcile:* both (i) and (iii) are "borrowings," but tenor flips the box — long-term = capital, short-term trade credit = current. Verify against the *self-test*: does the flow sit on the balance sheet as a lasting liability (capital) or wash through as ordinary trade financing (current)?

Scenario 7 — Inbound capital (the non-resident buying in India). *Mr. G, a US citizen who has never been a resident of India, buys a commercial building in Bengaluru for ₹5 crore. His Indian friend argues "FEMA only controls Indians sending money out, so this inbound purchase is outside FEMA." Is the friend right?*

Answer: No. Section 2(e) is **symmetric** — a capital account transaction includes one that alters "**the assets or liabilities in India of persons resident outside India.**" Mr. G's purchase creates an *Indian asset* for a *non-resident*, so it is squarely a **capital account transaction** and is permitted **only to the extent** the RBI's acquisition-of-immovable-property regulations allow (there are restrictions on the kinds of persons and property involved — *verify current Regulations*). FEMA guards **both gates** of the wall, inbound and outbound; the friend's "only outflows" reading is wrong.

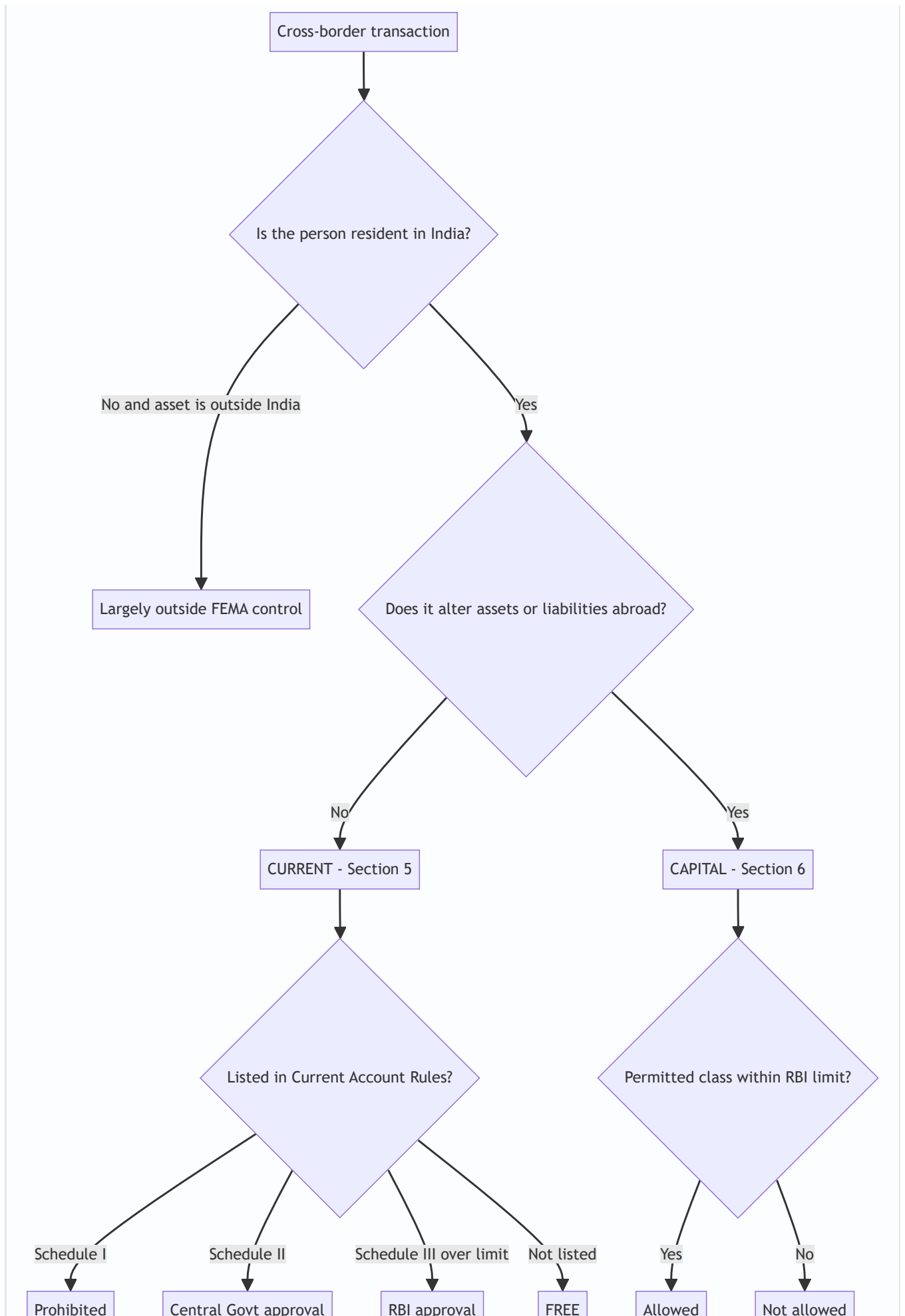
6. Procedure / Summary

Deciding how a cross-border transaction is treated under FEMA — the working algorithm:

1. **Identify the person's residential status** (Section 2(v)/(w)) — apply the **day-count** then the **purpose/intention** override. This decides whether FEMA even bites.

2. **Classify the transaction:** does it **alter cross-border assets/liabilities**? → **Capital** (Section 6, RBI-regulated, "only to the extent permitted"). If not → **Current** (Section 5, free unless restricted).
3. **For current:** check the **Current Account Rules 2000** — is it in **Schedule I** (prohibited), **Schedule II** (Central Govt approval), or **Schedule III** (RBI approval above LRS limit)? Otherwise **free**.
4. **For capital:** check whether RBI **Regulations** permit that class and within what **limit**.
5. **Route it through an Authorised Person** (Section 10) — all legitimate forex flows through licensed banks/money changers.
6. **If it is an export,** ensure **declaration + realisation + repatriation** (Sections 7–8).
7. **If a breach occurs:** it is a **civil contravention** → **penalty** under Section 13 → option to **compound** under Section 15 → **civil imprisonment** only if the penalty is unpaid (Section 14).

Figure 14.5 — Master decision flow for any transaction under FEMA.



A one-line self-check to run on every answer: *Person first, transaction second, schedule/limit third, channel fourth, enforcement last.* If your written answer follows that spine, you have almost certainly hit every mark the examiner allocated.

7. Connections

- **FERA, 1973 → FEMA, 1999:** the *same subject* re-engineered from control/criminal to management/civil. Understanding FERA's scarcity logic explains *why every FEMA default flipped*.
 - **Income-tax Act, 1961 — residential status:** both use day-counts, but the **tests differ** (FEMA: 182 days in *preceding* FY + purpose override; IT Act: 182/60-day dual test in the *current* previous year, no purpose override). A favourite examiner trap — see Section 8 traps below.
 - **Companies Act, 2013 — foreign companies and FDI:** cross-border investment (FDI/ODI) is a **capital account transaction** governed by FEMA Regulations, dovetailing with company-law compliance for foreign companies.
 - **Prevention of Money Laundering Act (PMLA), 2002:** the **Directorate of Enforcement** administers *both* FEMA and PMLA. FEMA breaches (esp. hawala) often overlap with money-laundering investigations — but FEMA itself remains **civil**, whereas PMLA is **criminal**.
 - **General Clauses Act / Interpretation of Statutes:** the **Preamble** ("facilitating trade") is a key interpretive aid — when a FEMA provision is ambiguous, it is read to *facilitate*, illustrating the "purposive interpretation" studied in the Interpretation chapter.
 - **RBI Act, 1934 & FEMA:** FEMA operationalises the RBI's mandate over the exchange rate and reserves; the two are functionally intertwined.
 - **Negotiable Instruments Act, 1881:** the definitions of "currency" (2(h)) and "foreign exchange" (2(n)) borrow the vocabulary of NI law — bills of exchange, promissory notes, drafts, letters of credit. Knowing what these instruments *are* (from NI law) is what lets you decide whether the one in the question is "payable in foreign currency" and hence forex.
 - **Constitutional angle — reasonable restrictions:** Section 5's phrase "reasonable restrictions in public interest" echoes the Article 19 vocabulary; a current-account restriction that is *unreasonable* or not genuinely in *public interest* is vulnerable — the same proportionality idea studied in constitutional/interpretation contexts.
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8. Traps and Examiner Tricks

1. **"Regulation" vs "Management".** If a question asks the *object* of FEMA, the answer is **facilitating external trade/payments and orderly forex-market development** — NOT "conservation/regulation" (that was FERA). Writing "conserve foreign exchange" as FEMA's object is a classic loss of marks.
2. **Residential status — preceding vs current year.** FEMA counts **more than 182 days in the preceding financial year**; do not import the Income-tax **60/182-day** rules. And remember the **purpose test overrides** the day-count — a person leaving for employment abroad is a non-resident *immediately*, regardless of 320 days spent here.

3. **Citizenship ≠ residence.** FEMA looks at **residence, not citizenship**. A foreign citizen can be a resident; an Indian citizen can be a non-resident.
4. **Interest vs principal of a loan.** The **loan** (borrowing/lending in forex) is a **capital** account transaction; the **interest** on it is a **current** account transaction (Section 2(j)(ii)). Examiners love splitting these in one question.
5. **Current = "free"? Not absolutely.** The default is free, **but** the Central Government may impose **reasonable restrictions in public interest** (Schedules I–III). Saying "all current account transactions are freely permitted" is wrong.
6. **Who controls what. Current account → Central Government** (restrictions in public interest, in consultation with RBI). **Capital account → RBI** (permissible classes and limits). Swapping these two is a frequent error.
7. **"FEMA is civil, so no jail — ever."** Half-true. There is no jail for the *contravention*, but **Section 14 civil imprisonment** applies for **non-payment of the penalty within 90 days**. State the nuance to get full marks.
8. **Penalty figure. Up to thrice the sum** (if quantifiable) or **up to ₹2,00,000** (if not), plus **₹5,000/day** for continuing default. Students often quote only one limb — and forget "**up to**" makes it a *ceiling*, not a fixed amount.
9. **Compounding timelines.** Compounding under Section 15 must be done **within 180 days** of the application; the penalty (if imposed) must be paid within **90 days** to avoid civil imprisonment. Two different clocks — don't swap 90 and 180.
10. **Hawala without border-crossing.** A receipt/payment "on behalf of a non-resident" is caught by **Section 3** even if no currency physically leaves India. Test of *substance*, not physical movement.
11. **Extent of the Act.** FEMA extends to the **whole of India** *and* to **branches/offices/agencies outside India owned or controlled by a resident** — it deliberately reaches beyond India's borders through the "control" concept.
12. **Amendment awareness. Section 6(3) was omitted (Finance Act, 2015)** and the debt/non-debt split introduced; if a question tests amendments, mention this rather than quoting the old 6(3) as current law. *Flag exact current wording against ICAI material.*
13. **Company residence needs no day-count.** The 182-day test is only for *individuals*. A company incorporated in India is a resident *automatically* (2(v)(ii)); a foreign company's Indian branch is resident *by control* (2(v)(iii)). Applying "182 days" to a company is a giveaway error.
14. **Contingent liabilities are capital too.** A **guarantee** by a resident in favour of a non-resident is a **capital** account transaction (2(e) expressly says "including contingent liabilities") even though no money moves at inception. The "no cash flowed, so no FEMA" argument is wrong.
15. **Inbound transactions are covered.** FEMA is *symmetric* — a non-resident acquiring Indian assets is a capital account transaction (assets *in India* of a person resident *outside* India). The "FEMA only controls money going out" claim is false.
16. **Compounding is not an automatic right.** The contravener may **apply**; the authority may **grant or refuse** (serious/PMLA-linked cases can be refused). Write "may apply to compound," not "can always settle."
17. **6(4)/6(5) legacy protection.** Assets lawfully acquired while the person held the *opposite* status (or inherited) are protected and need not be liquidated; only *fresh* cross-border acquisitions are regulated. Split by *timing of acquisition*.

18. **LRS is dual-natured.** The USD 2,50,000 LRS envelope covers *both* certain current and certain capital account remittances by a resident individual — the one shared door in the wall. (*Confirm the current cap and permissible uses.*)
19. **"Reasonable steps," not a guarantee (Sections 7–8).** The exporter/resident must *try* to realise and repatriate; a genuine commercial default despite diligent effort is not a contravention. Effort standard, not result standard.
20. **High Court appeal — law only.** The final FEMA appeal to the High Court lies **only on a question of law** within 60 days; facts are settled below. Don't say "appeal to HC on any ground."

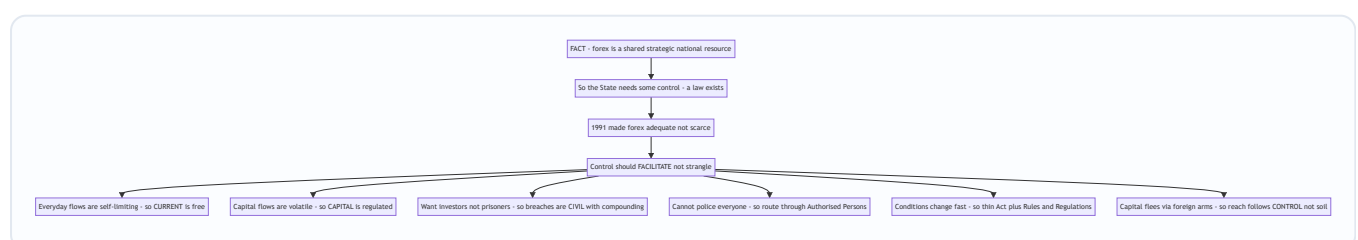
9. First-Principles Recap

Strip everything away and rebuild FEMA from a single fact: **a nation's foreign exchange is a shared strategic resource, and its value/quantity affects everyone.** From that one fact, every FEMA rule is *derivable*:

- Because forex affects the whole nation → **the State must have some control** → hence a law at all.
- Because after 1991 forex was **adequate**, not scarce → control should **facilitate**, not strangle → hence **"Management," civil, permitted-unless-restricted.**
- Because **everyday trade/living flows are self-limiting and productive** → let them run **free** → hence **current account default = free (Section 5).**
- Because **ownership/debt flows are volatile and can drain reserves overnight** → keep a hand on them → hence **capital account = regulated, only to the extent permitted (Section 6).**
- Because you can't police a billion people → funnel forex through **licensed banks** → hence **Authorised Persons (Section 10).**
- Because you want investors, not prisoners → make breaches **civil**, allow **compounding**, and jail only those who **refuse to pay** → hence **Sections 13–15.**
- Because forex conditions change fast → keep the Act **thin** and push detail into **Rules (Govt) and Regulations (RBI)** → hence "as prescribed."
- Because capital flees through *foreign arms* of Indian entities → follow **control, not soil** → hence the **extra-territorial reach** over branches abroad (Section 1(3), 2(v)(iv)).
- Because a person's *lawful past status* should not be punished retrospectively → protect **legacy assets** → hence **Sections 6(4) and 6(5).**
- Because forex leakage and money-laundering are the *same money seen twice* → let **one agency (the ED)** run both FEMA and PMLA → hence the shared enforcement architecture.

If you ever forget a provision, ask: "*What would a liberalising nation do to keep forex orderly while facilitating trade?*" — and you will reconstruct FEMA.

Figure 14.6 — The whole Act derived from one fact.



10. Quick-Revision Sheet

Item	Essence
Full name / date	Foreign Exchange Management Act, 1999 ; in force 1 June 2000 ; 49 sections , 7 chapters; extends to whole of India + offices abroad controlled by residents
Replaced	FERA, 1973 (control/criminal, 81 sections) → FEMA (management/civil, 49 sections), driven by 1991 liberalisation
Objective (Preamble)	Facilitate external trade and payments; orderly development/maintenance of the forex market
Person resident in India — 2(v)	> 182 days in preceding FY BUT purpose/intention test overrides ; individuals only for day-count; includes Indian-incorporated bodies (auto) and India-branches of foreigners + abroad-branches of residents (by control); residence not citizenship
Person resident outside India — 2(w)	Anyone "not resident in India" — residence is binary , no in-between status
Current account txn — 2(j)	"Not capital"; includes trade payments, interest/net investment income, family living expenses, foreign travel/education/medical ; note short-term credit is current. Default FREE (Section 5)
Capital account txn — 2(e)	Alters cross-border assets/liabilities (incl. contingent — guarantees); symmetric (outbound <i>and</i> inbound); default REGULATED , "only to the extent permitted" (Section 6)
Mirror rule	Current = <i>free unless restricted</i> (Central Govt); Capital = <i>restricted unless permitted</i> (RBI)
Authorised Person — 2(c)	Authorised dealer / money changer / OBU / other, licensed by RBI under Section 10 — the gatekeeper with a due-diligence duty
Section 3	General prohibition — no forex dealing/payment to/for non-residents except via RBI/AP (catches hawala , "in any manner")
Current account control	Central Government — reasonable restrictions in public interest , consulting RBI; Rules 2000 , Schedules I (prohibited) / II (Govt approval) / III (RBI approval over LRS limit)
Capital account control	RBI — specifies permissible classes and limits ; 6(4)/6(5) protect legacy assets acquired while non-resident/resident or inherited
LRS	Resident individual may remit up to USD 2,50,000 / FY ; covers both certain current and capital uses (<i>confirm current cap</i>)
Section 7–8	Exporter must declare (full value) + realise + repatriate ; residents must repatriate forex due; standard = reasonable steps (effort, not guarantee)
Section 9	Exemptions — small holdings, permitted FC accounts, legacy/gift/inherited forex — keeps the Act proportionate
RBI's role	Operational regulator — licenses APs (S.10), directs/inspects them (S.11), frames Regulations (S.47)

Item	Essence
Penalty — S.13	Up to 3× sum (if quantifiable) or up to ₹2,00,000 (if not) + up to ₹5,000/day continuing — a <i>ceiling</i> , discretion to levy less
Civil imprisonment — S.14	Only if penalty unpaid within 90 days — for non-payment, not for the breach; duration scales with unpaid amount (<i>verify slab</i>)
Compounding — S.15	Voluntary settlement on application; authority's discretion; complete within 180 days ; then no further proceedings; serious/PMLA cases may be refused
Enforcement/appeals	Directorate of Enforcement (runs FEMA + PMLA) → Special Director (Appeals) / Appellate Tribunal → High Court (question of law, 60 days)
One-line philosophy	<i>Free the trade money, guard the ownership money, settle breaches with rupees not handcuffs.</i>

Flag for confirmation against current ICAI Study Material / bare Act: exact LRS cap and its permissible capital uses, current penalty figures under Section 13(1A) for foreign-asset threshold breaches, the civil-imprisonment duration slabs under Section 14, the current appellate-tribunal nomenclature/pre-deposit rule, and the precise post-2015 debt/non-debt division of powers between the Central Government and RBI. The *principles* above are stable; the *numbers/wording* are periodically updated.

Q&A — Foreign Exchange Management Act 1999 (Basics)

Scope: Preliminary, key definitions, and the current-account/capital-account architecture of FEMA, 1999 as relevant to CA Intermediate "Corporate & Other Laws". Cite sections as written; no invented provisions.

Section A — Concept-Check Questions (with answers)

A1. Why was FERA, 1973 replaced by FEMA, 1999? FERA was a *control* and prohibition-based law framed for a foreign-exchange-scarce economy, with criminal liability and reversed burden of proof. Post-1991 liberalisation, India moved to a *management* regime. FEMA's Preamble states its object: "to consolidate and amend the law relating to foreign exchange with the objective of facilitating external trade and payments and for promoting the orderly development and maintenance of foreign exchange market in India." The shift is from *regulation of scarcity* to *facilitation of trade*, and from criminal to civil (monetary) liability.

A2. State the extent and applicability of FEMA (Section 1). FEMA extends to the whole of India (Section 1(2)). It also applies to all branches, offices and agencies **outside India** owned or controlled by a person resident in India, and to any contravention committed outside India by any person to whom the Act applies (Section 1(3)). It came into force on 1 June 2000.

A3. Distinguish "Capital Account Transaction" from "Current Account Transaction". - **Capital account transaction** [Section 2(e)]: a transaction which alters the assets or liabilities, including contingent liabilities, **outside India** of persons resident in India, or **in India** of persons resident outside India; it includes transactions referred to in Section 6(3). - **Current account transaction** [Section 2(j)]: a transaction other than a capital account transaction. It is defined **inclusively** — payments due in connection with foreign trade, other current business, services, short-term banking/credit facilities in the ordinary course; interest on loans and net income from investments; remittances for living expenses of parents, spouse and children abroad; and expenses for foreign travel, education and medical care of parents, spouse and children. - **Golden rule:** current-account transactions are **generally permitted** (freely allowed unless restricted); capital-account transactions are **generally prohibited** unless permitted. This is the reverse-mirror logic of FEMA.

A4. Define "person resident in India" (Section 2(v)) in brief. Broadly, a person residing in India for **more than 182 days during the preceding financial year** — but *excluding* one who has gone out of / stays outside India for employment, business or an uncertain-period stay, and *including* one who has come to / stays in India for such purposes. It also covers any person or body corporate registered/incorporated in India, an office/branch/agency in India owned or controlled by a person resident outside India, and an office/branch/agency outside India owned or controlled by a person resident in India.

A5. What is "foreign exchange" and "foreign security"? - **Foreign exchange** [Section 2(n)]: foreign currency and includes (i) deposits, credits and balances payable in any foreign currency; (ii) drafts, travellers' cheques, letters of credit or bills of exchange expressed or drawn in Indian currency but payable in foreign currency; and (iii) drafts, travellers' cheques, letters of credit or bills of exchange drawn by banks/institutions/persons outside India but payable in Indian currency. - **Foreign security** [Section 2(o)]: any security in the form of shares, stocks, bonds, debentures or any other instrument denominated or

expressed in foreign currency, including securities expressed in foreign currency but where redemption or interest is payable in Indian currency.

A6. Which authority administers FEMA, and who is the "Authorised Person"? The **Reserve Bank of India (RBI)** administers FEMA and frames Regulations. An **Authorised Person** [Section 2(c)] is an authorised dealer, money changer, off-shore banking unit or any other person authorised under **Section 10(1)** to deal in foreign exchange or foreign securities. Enforcement of contraventions rests with the **Directorate of Enforcement (Section 36)**.

Section B — Applied Scenario Questions (with reasoned answers)

B1. *Mr. A, an Indian citizen, left India on 15 June 2024 to take up employment in Dubai. On 10 August 2024 he needs to be classified for a FEMA transaction. Is he "resident in India"?*

Answer. Residential status under FEMA is **purpose-driven**, not merely day-count based. Under Section 2(v), a person who has **gone out of India for taking up employment outside India** is *excluded* from "person resident in India" — irrespective of the 182-day test — from the very date of departure. Since Mr. A left on 15 June 2024 to take up employment abroad, he becomes a **person resident outside India** from 15 June 2024. Therefore on 10 August 2024 he is **non-resident** under FEMA.

B2. *An Indian company wants to remit USD 50,000 for its Managing Director's business travel and USD 2,50,000 to acquire equity shares of a company in the USA. Classify each transaction and state the regulatory route.*

Answer. - **Business travel remittance** — this is a **current account transaction** (payment in connection with current business/foreign travel). It is *generally permitted* under Section 5, subject to the Current Account Transaction Rules (i.e., is it in the prohibited Schedule I, or restricted Schedule II/III). Business travel is freely allowed. - **Acquisition of foreign equity shares** — this **alters the assets outside India** of a person resident in India, hence a **capital account transaction** [Section 2(e), overseas direct investment]. It is permitted **only** to the extent allowed under Section 6 read with RBI Regulations (Overseas Investment framework). It is *generally prohibited unless permitted*, so it must fall within the permissible limits/route.

B3. *Section 4 states "no person resident in India shall acquire, hold, own, possess or transfer any foreign exchange, foreign security or any immovable property situated outside India." Mr. B, resident in India, inherited a house in London from his father who was resident outside India. Is this a contravention?*

Answer. No. The prohibition in Section 4 is subject to the words "**save as otherwise provided in this Act.**" Section 6(4) permits a person resident in India to **hold, own, transfer or invest in foreign currency, foreign security or immovable property situated outside India if such** asset was acquired, held or owned when he was resident outside India **or inherited from a person who was resident outside India**. Since Mr. B inherited the London house from a person resident outside India, he may lawfully hold it. No contravention arises.

B4. *X Ltd. remitted foreign exchange declaring it was for import of machinery, but the machinery was never brought into India. What is the consequence under FEMA?*

Answer. Section 10(6) obliges any person acquiring foreign exchange for a declared purpose to use it **only for that purpose**, or return it to an authorised person if it cannot be so used. Section 8 further requires reasonable steps to realise and repatriate foreign exchange due. Non-use/non-import makes the remittance a **contravention** under Section 13, attracting a penalty up to **thrice the sum involved** where quantifiable (or

up to Rs. 2 lakh where not), and Rs. 5,000 per day for continuing default. It is a **civil** contravention, not a crime (unlike FERA).

B5. A non-resident wishes to open a branch office in India to carry on trading business. Under which limb of "person resident in India" and which section does approval flow?

Answer. An office/branch/agency **in India** owned or controlled by a person resident outside India is itself a **person resident in India** [Section 2(v)(iii)]. However, establishment of a branch/office in India by a person resident outside India, and its activities, are **capital account transactions** governed by Section 6(3)(g)–(h) read with RBI's Establishment of Branch/Office Regulations. Approval therefore flows through the **RBI route** (and, for certain sectors, prior Government approval).

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "FEMA marks a paradigm shift from FERA." Explain the key structural differences. (5 marks)

Model Answer. | Basis | FERA, 1973 | FEMA, 1999 | |---|---|---| | Object | Conserve/regulate scarce forex (control) | Facilitate external trade; manage forex (facilitation) | | Nature of offence | Criminal — imprisonment | Civil — monetary penalty | | Burden of proof | On the accused (presumption of guilt) | On the enforcement authority | | Presumption | Everything prohibited unless permitted | Current-account free; capital-account restricted only | | Arrest/Prosecution | Wide powers of arrest | Arrest only on **wilful non-payment** of penalty (Section 14) | | Drafting | Negative, prohibitory | Positive, enabling |

FEMA thus decriminalises forex management, narrows the State's role to *management* of the forex market, and aligns Indian law with a liberalised, convertible-current-account economy.

C2. Explain the scheme of Sections 3 to 9 of FEMA. (6 marks)

Model Answer. - **Section 3** — Dealing in foreign exchange is prohibited *except through an authorised person*; bars unauthorised payments to/for the credit of non-residents (this is the anti-*hawala* provision). - **Section 4** — Bars holding, owning or transferring foreign exchange, foreign security or immovable property outside India, save as provided in the Act. - **Section 5** — Permits **current account transactions**; Central Government may, in public interest and in consultation with RBI, impose reasonable restrictions. - **Section 6** — Governs **capital account transactions**; RBI (in consultation with Government) may specify permissible classes and limits; Section 6(3) lists categories; Section 6(4)/(5) protect legacy assets held abroad/in India. - **Section 7** — **Export of goods and services**: exporter must furnish true declarations of full export value. - **Section 8** — Duty to **realise and repatriate** foreign exchange due to India within the prescribed period. - **Section 9** — Exemptions from realisation and repatriation (e.g., forex up to prescribed limits, foreign currency accounts held with RBI's permission).

C3. Discuss the powers of RBI and Central Government to make rules/regulations under FEMA. (4 marks)

Model Answer. FEMA distributes delegated legislation between two authorities: - **Central Government** frames **Rules** — e.g., the **Foreign Exchange Management (Current Account Transactions) Rules, 2000** under Section 5 read with Section 46, classifying current-account transactions into Schedule I (prohibited), Schedule II (Government approval) and Schedule III (RBI/limit-based). - **RBI** frames **Regulations** under Section 47 for capital account transactions (Section 6), export/import of currency, realisation and repatriation, and the like. This dual structure keeps **policy** (current-account convertibility, prohibitions) with the Government and **operational/market management** (capital account, dealer authorisation) with the RBI.

Section D — MCQs / Case Scenarios (correct option + reasoning)

D1. FEMA, 1999 came into force on: (a) 1 January 2000 (b) **1 June 2000** (c) 1 April 2000 (d) 29 December 1999 **Ans: (b)** — Enforced 1 June 2000, though enacted 29 Dec 1999.

D2. A transaction which alters assets or liabilities outside India of a resident is a: (a) Current account transaction (b) **Capital account transaction** (c) Exempt transaction (d) Prohibited transaction **Ans: (b)** — Matches Section 2(e).

D3. Under FEMA, "person resident in India" primarily depends on residence for more than ____ days in the preceding financial year: (a) 90 (b) 120 (c) **182** (d) 365 **Ans: (c)** — Section 2(v), subject to the purpose test.

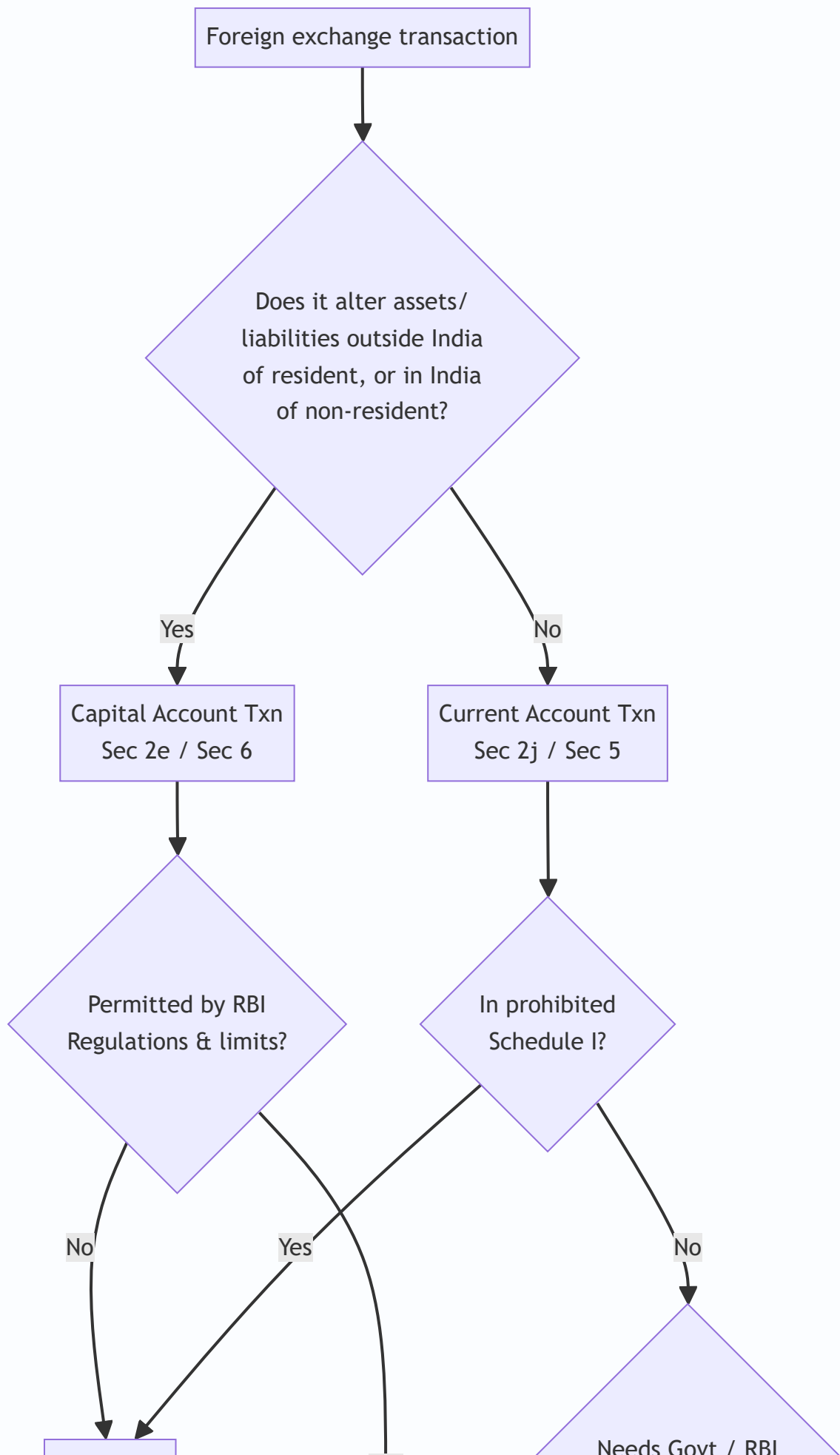
D4. Dealing in foreign exchange other than through an authorised person is barred by: (a) Section 4 (b) **Section 3** (c) Section 6 (d) Section 8 **Ans: (b)** — Section 3 is the anti-hawala provision.

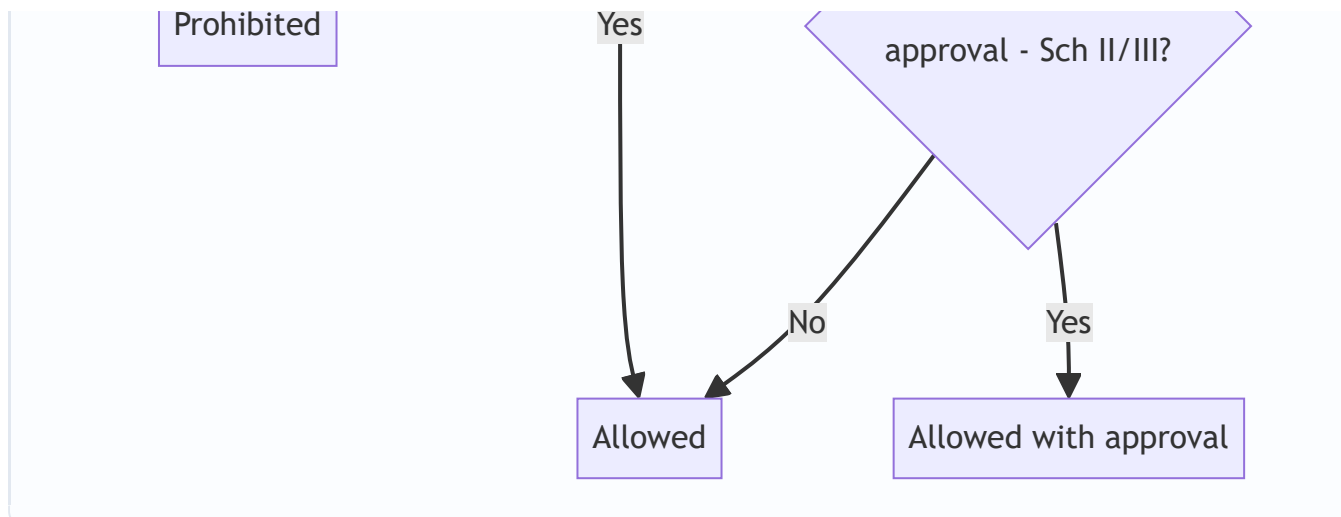
D5. Penalty under Section 13 where the amount is quantifiable may extend up to: (a) Twice the sum (b) **Thrice the sum** involved (c) Equal to the sum (d) Five times the sum **Ans: (b)** — Up to thrice; plus Rs. 5,000/day for continuing contravention.

D6. *Case scenario:* Mrs. R, resident in India, remits USD 4,000 for her son's tuition fees in Canada. This is: (a) Capital account, prohibited (b) **Current account, generally permitted** (c) Capital account, RBI approval (d) Prohibited under Section 4 **Ans: (b)** — Education expense of a child is expressly within the inclusive definition of current account transaction [Section 2(j)].

D7. Enforcement of FEMA contraventions is entrusted to: (a) SEBI (b) CBI (c) **Directorate of Enforcement** (d) Serious Fraud Investigation Office **Ans: (c)** — Section 36 provides for the Directorate of Enforcement.

D8. Which authority frames Regulations for capital account transactions? (a) SEBI (b) Central Government (c) **RBI** (d) Ministry of Commerce **Ans: (c)** — RBI under Section 6 read with Section 47.





Reading the diagram: the **default** for current-account is "Allowed" (bottom-right), the **default** for capital-account is "Prohibited" — the reverse-mirror rule that examiners test.

Traps & Examiner Tricks (rapid-fire Q&A)

- **Trap:** "Residential status = 182 days only." **Reality:** The **purpose test overrides** the day count — departure for employment/business makes one non-resident immediately (B1).
- **Trap:** "All capital account transactions are prohibited." **Reality:** They are prohibited *unless permitted* by RBI; legacy assets under Section 6(4)/(5) are protected (B3).
- **Trap:** "FEMA offences lead to imprisonment." **Reality:** FEMA imposes **civil monetary penalty**; imprisonment (Section 14) arises **only** on wilful non-payment of the penalty.
- **Trap:** Confusing rule-maker: **Current account = Central Government Rules (Sec 5/46)**; **Capital account = RBI Regulations (Sec 6/47)**.
- **Trap:** "Foreign exchange means only foreign currency." **Reality:** It **includes** instruments drawn in Indian currency but payable in foreign currency, and vice versa [Section 2(n)].

Quick-Revision Sheet

- **Preamble object:** facilitate external trade & payments; orderly development of forex market.
- **Sec 1:** whole of India + branches/offices abroad of residents; in force 1 June 2000.
- **Sec 2:** (c) authorised person, (e) capital account, (j) current account, (n) foreign exchange, (o) foreign security, (v) person resident in India.
- **Sec 3:** no dealing except via authorised person (anti-hawala).
- **Sec 4:** no holding forex/security/property abroad, save as provided.
- **Sec 5:** current account — free (Govt may restrict via Rules).
- **Sec 6:** capital account — RBI-regulated; 6(4)/(5) legacy-asset protection.
- **Sec 7–9:** export declaration; realise & repatriate; exemptions.
- **Sec 10:** authorised persons & their duties (10(6) purpose-restriction).
- **Sec 13–14:** penalty up to thrice the sum (or Rs. 2 lakh); Rs. 5,000/day; civil, not criminal.
- **Sec 36–37:** Directorate of Enforcement.

- **Golden rule:** *Current account free, capital account restricted.*

Corporate & Other Laws — Exam Strategy, Answer Templates & Examiner Traps

CA Intermediate | Paper 2 | 100 marks | 3 hours **Division A** = 30 marks MCQs (with 0.25 negative marking) **Division B** = 70 marks descriptive Pass = 40% in the paper **and** 50% aggregate across the group. This paper is a scoring paper if you write it like a lawyer, not like a storyteller.

PART 1 — PAPER STRATEGY (How to Spend the 180 Minutes)

1.1 The macro time budget

Block	Marks	Time	Rate
Reading time (ICAI gives 15 min separately)	—	15 min	Plan, don't write
Division A — MCQs (30)	30	35–40 min	~1.2 min/mark
Division B — Descriptive (70)	70	130–135 min	~1.85 min/mark
Buffer / review	—	10 min	Revisit flagged MCQs + check Section numbers

Hard rule: 1.8 minutes per mark on descriptive. A 5-mark question gets ~9 minutes and not a second more. When the clock hits the limit, draw a conclusion line and move on. Half-written answers on 6 questions beat 4 perfect answers and 2 blanks — the marginal mark on a fresh question is always worth more than the 6th sentence on one you're already answering.

1.2 Use the 15-minute reading time deliberately

Do NOT read Division B linearly. Instead: 1. **Scan Division A first.** Mentally tag each MCQ: G (I know it), M (can eliminate to 2 options), R (no idea). 2. **Read every Division B question stem** and write a one-word margin tag next to each in the question paper: the Section number or topic if you know it cold ("S.135 CSR", "S.164 disqualification"), a "?" if shaky, "SKIP-last" if weak. 3. **Identify your opener.** The very first thing you write in the answer book should be your single strongest question. A confident first answer settles nerves and sets a clean tone for the examiner.

1.3 Attempt order for Division B

- **Attempt your strongest descriptive question first**, regardless of its number. The examiner does not care about sequence — only that each answer is clearly labelled with the correct **question number and sub-part number**.
- Then descending by confidence. Save the weakest for last so an unanswered part costs you the fewest marks.
- **Attempt ALL required questions.** Division B is typically "answer any 5 of 6" (confirm from your attempt's instructions) — pick the 5 you're strongest on, but if time allows, a 6th attempt is not counted against you

only if instructions permit; otherwise attempt exactly the number asked. **Never leave a compulsory question blank** — even a stated provision earns 1–2 marks.

1.4 Division A MCQ tactics — the 0.25 negative-marking math

Negative marking is 0.25 per wrong answer (verify the exact fraction on your paper's instruction sheet — ICAI has used both "no negative marking" and "1/4" in different windows; **assume 0.25 unless the paper says otherwise**).

The expected-value rule for a 1-mark MCQ with –0.25 penalty:

- **4 options, blind guess (25% right):** $EV = (0.25 \times +1) + (0.75 \times -0.25) = +0.0625$. Marginally positive — a pure blind guess across the whole paper nets slightly positive, but the variance is high. Only blind-guess if you literally cannot eliminate anything.
- **Eliminate 1 option (guess among 3, 33% right):** $EV = (0.33 \times 1) + (0.67 \times -0.25) = +0.166$. Guess.
- **Eliminate 2 options (50/50):** $EV = (0.5 \times 1) + (0.5 \times -0.25) = +0.375$. Always guess.
- **Skip:** $EV = 0$.

Decision rule you can apply in the hall: - Eliminated at least one option → **ALWAYS guess**. The math is decisively in your favour. - Cannot eliminate anything AND it's a pure-memory numerical/date trap → **skip** to protect against the trap being deliberately close. - Two-statement / "which is correct" MCQs: evaluate each statement independently as True/False first, then match — this alone eliminates options and flips most R-tags to M-tags.

MCQ mechanics: - Do MCQs in **one focused pass after** you've warmed up on 1–2 Division B answers (or first — pick what steadies you; many students do MCQs first to bank guaranteed marks while fresh). Whatever you choose, **timebox to 40 minutes** and do not let MCQs eat descriptive time. - Watch for MCQ case-scenario clusters (4–5 MCQs off one fact pattern). Read the scenario once carefully; the marks come fast because the facts are shared. - **Fill the OMR/answer immediately** after deciding each MCQ. Do not "come back later" for more than 2–3 flagged ones — that's how bubbles get misaligned.

1.5 Maximising step / partial marks (this is where the paper is won)

ICAI awards **marks for the provision even if your conclusion is wrong**. Structure guarantees you bank those marks: - **State the section and provision before you touch the facts**. If you write "Under Section 149(4), every listed public company shall have at least one-third independent directors," you have earned the provision marks whether or not you then apply it correctly. - **Break every answer into visible steps** (Provision → Application → Conclusion). Examiners tick per step. A wall of prose hides your steps and costs ticks. - **Answer every sub-part separately and label it**. A question with (i), (ii), (iii) is three mark-pools. Never merge them. - **For "compute/decide" questions**, show the working (e.g., $CSR = 2\%$ of average net profits of 3 preceding years). Wrong final figure + correct method still scores most of the marks. - **If unsure of the exact section number, still state the provision in words**. Provision-in-words earns most of the marks; a missing number costs only a fraction. Never stay silent because you forgot "148".

PART 2 — ANSWER-WRITING TEMPLATES (Subject-Specific)

2.1 The core template — Law-IRAC

Every problem/application question in this paper follows one skeleton. Memorise it as four labelled moves:

ISSUE – Restate the legal question in one line. "The issue is whether X can/must/is liable"
PROVISION – Cite the exact Section + Act, then state the rule. "As per Section ___ of the Companies Act, 2013"
ANALYSIS – Apply the provision to THESE facts. Use the numbers/dates/parties from the question
CONCLUSION – Decide clearly. "Therefore, X is (valid/liable/entitled to ...)."

Non-negotiables for THIS subject: - **Always cite the Section number.** "As per Section 96..." not "as per company law." The section citation is itself a mark-earning act and signals command. - **Name the Act correctly.** Companies Act, **2013**; The Limited Liability Partnership Act, **2008**; The General Clauses Act, **1897**; FEMA, **1999**; The Foreign Contribution (Regulation) Act, **2010**. A wrong year or wrong Act on a provision looks like you've confused the syllabus. - **Use the statute's own words for thresholds and time limits.** "within 30 days", "at least 21 days' clear notice", "special resolution", "two-thirds". These exact phrases are what the examiner's key looks for. - **Distinguish "shall" (mandatory) from "may" (discretionary).** Half the traps in this paper hinge on that single word.

2.2 Question-type sub-templates

(a) **Problem / case-application ("Advise / Decide / Examine validity"):** Use full Law-IRAC above.

(b) **"State the provisions of Section ___ / Explain the procedure":** No facts to apply. Use:

Opening rule (Section + core rule) → numbered clauses/conditions → exceptions/provisos → penal provisions

Present conditions as a **numbered list**, not a paragraph. Examiners count them.

(c) **"Distinguish between X and Y":** Use a **two-column table** with a "Basis of distinction" left column (Meaning, Governing section, Liability, Number required, Consequence...). A table scores faster and looks authoritative. Aim for the number of points the marks imply (5 marks ≈ 5 points of distinction).

(d) **True/False or "Comment on the statement with reasons":** Verdict first, then the section-backed reason. **"False.** As per Section 4(1)(a), the memorandum must state..." Never give a bare True/False — the reason carries the marks.

(e) **Interpretation-of-statutes questions (from the "Other Laws" limb):** Name the **rule/maxim** (e.g., *Noscitur a Sociis*, *Ejusdem Generis*, the Mischief Rule, *Ut Res Magis Valeat Quam Pereat*), define it in one line, then apply. The maxim name is the mark trigger.

2.3 Worked specimen answer (this is the presentation to imitate)

Q. (5 marks) XYZ Ltd., an unlisted public company, has a paid-up share capital of Rs. 12 crore and turnover of Rs. 180 crore as per the latest audited financial statements. The company has not appointed any woman director. A shareholder challenges this. Advise whether XYZ Ltd. is required to appoint a woman director.

Model answer as it should appear in the answer book:

Issue: Whether XYZ Ltd., an unlisted public company with paid-up capital of Rs. 12 crore and turnover of Rs. 180 crore, is legally required to appoint a woman director.

Relevant Provision: As per **Section 149(1) read with Rule 3 of the Companies (Appointment and Qualification of Directors) Rules, 2014**, the following classes of companies **shall** appoint at least one woman director: 1. every **listed** company; and 2. every **other public company** having — (a) paid-up share capital of **Rs. 100 crore or more**, or (b) turnover of **Rs. 300 crore or more**, as per the latest audited financial statements.

Analysis: XYZ Ltd. is an unlisted public company, so limb (1) does not apply. Testing limb (2): its paid-up capital is Rs. 12 crore (below the Rs. 100 crore threshold) and its turnover is Rs. 180 crore (below the Rs. 300 crore threshold). It crosses **neither** monetary limit prescribed under Rule 3.

Conclusion: Therefore, XYZ Ltd. is **not** required to appoint a woman director, and the shareholder's challenge is not tenable. *(Note: had either threshold been crossed, the company would have had to comply within the timeline prescribed under Rule 3.)*

Notice what this answer does: **labelled headings, bolded section number stated before the facts** (banks the provision marks), the **exact thresholds quoted**, the two-limb rule applied **fact-by-fact**, and a **clear yes/no conclusion**. Even a student who wrongly remembered the threshold as Rs. 10 crore would still earn the provision and structure marks.

PART 3 — EXAMINER TRAPS (Specific to Corporate & Other Laws)

ICAI's own examiner comments recur year after year. These are the concrete ways students bleed marks in THIS paper, and the fix for each.

Trap 1 — "Public vs Private company" threshold swap. Many provisions apply *only* to public companies, or carry different limits for private ones (woman director, independent directors, S.185 loans to directors, S.203 KMP). ICAI deliberately makes the company in the fact-pattern private/unlisted to see if you blindly apply the public-company rule. **Fix:** The first thing you underline in any problem is the **type of company** (private / public / listed / OPC / Section 8 / small company). Classify before you cite.

Trap 2 — The "one day / one rupee over the line" numerical trap. Facts are engineered to sit just above or just below a threshold or just outside a time limit: a notice given on the 20th day when 21 clear days are required; a deposit at Rs. 100 crore exactly; a filing on the 31st day. **Fix:** Quote the exact limit, then explicitly compute the gap ("21 clear days requires the notice by ; **it was given on** , so it is short by one day, hence invalid"). Never eyeball it.

Trap 3 — "Shall" read as "may" (mandatory vs directory). Students say a company "can" do something when the Act says it "shall," or treat a mandatory disqualification (S.164) as discretionary. **Fix:** Lift the operative word from the statute. If it says "shall," your conclusion must be framed as an obligation, not an option.

Trap 4 — Confusing the Act / wrong statute for the topic. The "Other Laws" limb (General Clauses Act 1897, Interpretation of Statutes, FEMA 1999) gets answered with Companies Act reasoning, or LLP provisions get cited under a company question. **Fix:** Anchor to the correct Act *by name and year* in your provision line. If the question is on FEMA, no Companies Act section belongs in the answer.

Trap 5 — Ordinary vs Special resolution mix-up. A huge number of consequences turn on whether an **ordinary resolution** (>50%) or a **special resolution** (≥75%) is needed, and whether filing of MGT-14 is required. Students state the wrong resolution and lose the whole application. **Fix:** Keep a mental list of the marquee special-resolution items (alteration of MOA/AOA, reduction of capital, S.180 restrictions on Board powers, buy-back, removal by tribunal, etc.) and verify before concluding.

Trap 6 — Ignoring provisos and exceptions. ICAI loves fact-patterns that fall inside an **exception** — e.g., related-party transactions in the ordinary course of business at arm's length (S.188), or a small company/OPC exemption. Students apply the main rule and miss the carve-out. **Fix:** After stating the main rule, always ask "is there a proviso or exemption?" and address it explicitly even if to say it doesn't apply.

Trap 7 — No section number / vague "as per company law." The single most common examiner complaint: answers are "general" and don't cite provisions. **Fix:** Every substantive claim gets a section. If you genuinely can't recall the number, state the provision in the statute's words — but attempt the number.

Trap 8 — Not answering what's asked (procedure vs validity vs remedy). The question asks for the **procedure** and the student explains the **meaning**; or asks whether an act is **valid** and the student lists the whole section without deciding. **Fix:** Underline the command verb — *State / Distinguish / Advise / Decide validity / Discuss remedies* — and mirror it in your answer structure. A "decide validity" question must end with "valid" or "invalid."

Trap 9 — Merging multi-part answers and losing sub-part marks. Sub-parts (i)/(ii)/(iii) each carry marks; a merged paragraph makes the examiner hunt for them and often under-award. **Fix:** Label and physically separate every sub-part with its own heading and conclusion.

Trap 10 — Date/quorum/notice numeric recall failures. The dense numbers — AGM within 6 months of FY-end (9 for first AGM), gap of not more than 15 months between AGMs, 21 clear days' notice, quorum of 5/15/30 members by company size, board meeting every 120 days, minimum 4 board meetings a year, CSR 2% of average net profit of 3 preceding years — are exactly what ICAI probes. **Fix:** Maintain a one-page "numbers sheet" and revise it the morning of the exam; these are cheap, high-frequency marks.

Trap 11 — Interpretation-of-Statutes maxim not named. In "Other Laws," students describe the reasoning but never name the maxim/rule, and the key awards marks for the name. **Fix:** Always open with the maxim's Latin/English name, define it, then apply.

One-line takeaway

Cite the **Section first**, classify the **company type first**, quote the **exact threshold/time limit**, respect **"shall" vs "may"**, and **conclude decisively** — do that on every answer and this becomes one of the highest-scoring papers in the group.

Corporate & Other Laws — MCQ Bank (exam practice)

Exam note: ICAI applies **0.25 negative marking** per wrong MCQ answer. Do not guess blindly — a wrong tick costs you a quarter mark, so skip if genuinely clueless. All section references are to the **Companies Act, 2013** unless another Act is named. Provisions reflect the law as amended and applicable to CA Intermediate.

Part A — Preliminary & Definitions (Sec 1–2)

Q1. Under Sec 2(85), a company qualifies as a "small company" only if its paid-up capital does not exceed a prescribed limit **and** its turnover does not exceed a prescribed limit. As per the current thresholds, these are:
- (a) ₹2 crore paid-up capital and ₹20 crore turnover - (b) ₹4 crore paid-up capital and ₹40 crore turnover -
(c) ₹10 crore paid-up capital and ₹100 crore turnover - (d) ₹50 lakh paid-up capital and ₹2 crore turnover

Answer: (b) **Why:** The 2022 amendment raised the ceilings to ₹4 crore (capital) and ₹40 crore (turnover); (a) is the pre-amendment figure and is now outdated.

Q2. A public company holds 18% of the total voting power of X Ltd and, by agreement, controls X Ltd's business decisions. Under Sec 2(6), X Ltd is: - (a) A subsidiary, because control exists - (b) An associate company, because "significant influence" includes control of business decisions under an agreement - (c) Not related at all, since 18% is below 20% - (d) A holding company

Answer: (b) **Why:** "Significant influence" under Sec 2(6) means control of at least 20% of voting power **or** control of business decisions under an agreement — the agreement route applies here even though shareholding is under 20%; hence not merely "unrelated" (c).

Q3. Which of the following is **not** a compulsory requirement for a One Person Company (OPC) member under Sec 2(62) read with the Rules? - (a) A natural person - (b) An Indian citizen - (c) Resident in India - (d) A minimum paid-up capital of ₹1 lakh

Answer: (d) **Why:** There is no minimum capital requirement (abolished for all companies); the member must be a natural person, Indian citizen and resident — options (a)–(c) are mandatory.

Q4. The maximum number of members (excluding present and past employee-members) permissible in a private company under Sec 2(68) is: - (a) 50 - (b) 100 - (c) 200 - (d) No limit

Answer: (c) **Why:** Sec 2(68) caps private company membership at 200; (a) 50 was the position under the 1956 Act and is a common trap.

Q5. Under Sec 2(87), which restriction applies to "layers" of subsidiaries for a holding company? - (a) A company cannot have more than two layers of subsidiaries (subject to exceptions) - (b) There is no restriction on layers - (c) Maximum of five layers - (d) Layers are only restricted for listed companies

Answer: (a) **Why:** The Layers Rules prescribe a maximum of two layers of subsidiaries, with specified exceptions (e.g., foreign subsidiaries, wholly-owned subsidiaries for the purpose of the rule).

Part B — Incorporation & Matters Incidental (Sec 3–22)

Q6. A company incorporated under Sec 8 (charitable objects) proposes to alter its objects and convert into an ordinary company. Which is correct? - (a) It may do so freely by ordinary resolution - (b) It requires prior approval of the Central Government (power delegated to Regional Director) - (c) A Sec 8 company can never convert - (d) Only the NCLT can permit conversion

Answer: (b) **Why:** A Sec 8 licence and conversion require Central Government approval (exercised by the Regional Director); it is not a free alteration (a), nor an outright prohibition (c).

Q7. Under Sec 10A, a company having share capital cannot commence business unless a director files a declaration that subscribers have paid the subscription money, within: - (a) 30 days of incorporation - (b) 60 days of incorporation - (c) 180 days of incorporation - (d) 90 days of incorporation

Answer: (c) **Why:** Sec 10A requires the declaration of commencement of business within 180 days of incorporation; (a) 30 days is the timeline for verification of the registered office, a common mix-up.

Q8. The reservation of a name approved by the Registrar under Sec 4(5) for a **new** company is valid for: - (a) 20 days from the date of approval - (b) 60 days from the date of application - (c) 60 days from the date of approval - (d) 90 days from the date of approval

Answer: (a) **Why:** For a new company the name is reserved for 20 days from approval; the 60-day period applies to a **change of name** by an existing company — a classic trap in (b)/(c).

Q9. Alteration of the **registered office from one State to another** requires, in addition to a special resolution, the approval of: - (a) The Registrar of Companies only - (b) The Central Government (Regional Director) - (c) The National Company Law Tribunal (NCLT)... no separate approval - (d) SEBI

Answer: (b) **Why:** Shifting the registered office between States alters the MOA's situation clause under Sec 13(4) and needs Central Government (RD) confirmation; mere ROC filing (a) is insufficient.

Q10. Which clause of the Memorandum of Association can be altered **only** with the sanction described in Sec 13, whereas the Articles under Sec 14 can generally be altered by special resolution alone? - (a) The liability clause vs. entrenchment - (b) The name clause — needing Central Government approval in some cases - (c) Both MOA and AOA always need CG approval - (d) Neither can be altered

Answer: (b) **Why:** MOA alterations (name, objects, capital, situation) attract additional approvals under Sec 13, while AOA alteration under Sec 14 ordinarily needs only a special resolution — illustrating that MOA is harder to alter than AOA.

Part C — Prospectus & Allotment of Securities (Sec 23–42)

Q11. Under Sec 42, an offer of securities by private placement can be made in a financial year to a maximum number of identified persons (excluding QIBs and ESOP employees) of: - (a) 50 - (b) 200 - (c) 500 - (d) 49

Answer: (b) **Why:** Sec 42 permits offers to a maximum of 200 persons in aggregate in a financial year (per kind of security), excluding QIBs and employees under ESOP; exceeding it is deemed a public offer.

Q12. Money received under a private placement offer under Sec 42 must be applied for allotment, and securities allotted, within: - (a) 15 days - (b) 30 days - (c) 60 days of receipt of application money - (d) 90 days

Answer: (c) **Why:** Allotment must be completed within 60 days of receipt of application money; failing which the company must refund within 15 days, else pay interest at 12% p.a.

Q13. A "deemed prospectus" arises under Sec 25 when: - (a) A company files its annual return - (b) A company allots securities to an issuing house with a view to their being offered for sale to the public - (c) A private company issues shares to existing members - (d) A rights issue is made under Sec 62

Answer: (b) **Why:** Sec 25 treats an "offer for sale" document by an issuing house as a deemed prospectus; a rights issue (d) is specifically outside the prospectus provisions.

Q14. Where a person subscribes for securities on the faith of a prospectus containing an untrue statement, criminal liability of persons responsible arises under: - (a) Sec 34 - (b) Sec 35 - (c) Sec 36 - (d) Sec 447 only

Answer: (a) **Why:** Sec 34 imposes **criminal** liability for misstatements (attracting Sec 447 fraud punishment); Sec 35 is the **civil** liability provision — the two are commonly confused.

Q15. Under Sec 39, a company cannot allot securities offered to the public unless the stated minimum subscription has been received, and the application money per security must not be less than: - (a) 25% of the nominal amount - (b) 10% of the nominal amount - (c) 5% of the nominal amount (or as SEBI specifies) - (d) 90% of the nominal amount

Answer: (c) **Why:** Sec 39(2) fixes application money at not less than 5% of nominal value (or SEBI's specified amount); the 90% figure is the minimum subscription threshold, not the per-security application money.

Part D — Share Capital & Debentures (Sec 43–72)

Q16. Under Sec 53, an issue of shares at a discount is: - (a) Permitted with special resolution and CG approval - (b) Void (except sweat equity shares under Sec 54) - (c) Permitted for preference shares only - (d) Permitted if authorised by the Articles

Answer: (b) **Why:** Sec 53 renders any share issued at a discount void, the sole exception being sweat equity under Sec 54; there is no CG-approval route (a) as existed earlier under Sec 79 of the 1956 Act.

Q17. Redeemable preference shares under Sec 55 can ordinarily be issued with a redemption period not exceeding: - (a) 10 years - (b) 20 years - (c) 30 years in all cases - (d) Perpetual

Answer: (b) **Why:** The maximum redemption period is 20 years generally; 30 years (c) applies **only** to infrastructure projects, so stating "in all cases" makes it wrong.

Q18. In a buy-back of shares under Sec 68, the ratio of aggregate secured and unsecured debts owed by the company to its paid-up capital and free reserves after buy-back must not exceed: - (a) 1:1 - (b) 2:1 - (c) 3:1 - (d) 1:2

Answer: (b) **Why:** The post-buy-back debt-to-(capital + free reserves) ratio must not exceed 2:1 (Sec 68(2) (d)); a higher permissible ratio may be notified for a class of companies.

Q19. A buy-back of up to what percentage of the aggregate of paid-up equity capital and free reserves can be authorised by a **Board resolution** alone (without a special resolution)? - (a) 25% - (b) 15% - (c) 10% - (d) 5%

Answer: (c) **Why:** The Board may approve a buy-back up to 10% of (paid-up equity capital + free reserves); a special resolution is needed for up to 25% — a frequently confused pair.

Q20. In a rights issue under Sec 62(1)(a), the offer to existing shareholders must remain open for acceptance for a period which is not less than 15 days and not exceeding: - (a) 21 days - (b) 30 days - (c) 45 days - (d) 60 days

Answer: (b) **Why:** The rights offer period is minimum 15 days and maximum 30 days (which may be shortened for a private company where 90% members agree); (a) 21 days confuses it with the AGM notice period.

Q21. Instrument of transfer of shares (Form SH-4) together with the certificate must be delivered to the company, and the company must register the transfer, within — the company delivering certificates within: - (a) 30 days of transfer registration - (b) 60 days of transfer registration - (c) 1 month of receipt of instrument - (d) 15 days

Answer: (c) **Why:** Under Sec 56(4), certificates on transfer must be delivered within 1 month of receipt of the instrument of transfer; the transfer deed itself must reach the company within 60 days of execution (a separate limb often confused with this).

Part E — Acceptance of Deposits (Sec 73–76)

Q22. A company accepting deposits from its members under Sec 73 must, on or before 30th April each year, deposit in a scheduled bank a sum not less than a prescribed percentage of deposits maturing during the following financial year. That percentage (deposit repayment reserve) is: - (a) 15% - (b) 20% - (c) 25% - (d) 10%

Answer: (b) **Why:** The deposit repayment reserve is 20% of deposits maturing during the following financial year; the earlier 15% figure was amended, making (a) a trap.

Q23. Which company is eligible to accept deposits **from the public** under Sec 76 (subject to conditions)? - (a) Any private company - (b) A public company having net worth of at least ₹100 crore or turnover of at least ₹500 crore, with a special resolution - (c) Only banking companies - (d) Any Section 8 company

Answer: (b) **Why:** Only an "eligible company" — a public company meeting the ₹100 crore net worth or ₹500 crore turnover threshold and passing a special resolution — may accept public deposits under Sec 76; ordinary private companies (a) are confined to member deposits.

Q24. Amounts received by a company which are **excluded** from the definition of "deposit" include: - (a) Money received from a director of the company (if declared as not out of borrowed funds) - (b) Fixed deposits from the general public - (c) Deposits carrying 15% interest from members - (d) Renewed member deposits

Answer: (a) **Why:** Amounts received from a director (accompanied by a declaration that it is not from borrowed funds) are excluded from "deposit"; public fixed deposits and member deposits are within the deposit regime.

Part F — Registration of Charges (Sec 77–87)

Q25. For a charge created on or after 2nd November 2018, the company must register it with the Registrar within 30 days; on application, the Registrar may allow registration within a further period. The **outer** period (with ad valorem fees) is: - (a) 300 days from creation - (b) 60 days from creation, extendable by another 60 days - (c) 6 months - (d) 30 days only, no extension

Answer: (b) **Why:** Post-2018 charges: register within 30 days; Registrar may permit within 60 days of creation (additional fee), and a further 60 days on ad valorem fees; the 300-day window (a) applies only to charges created before that date.

Q26. The duty to intimate satisfaction of a charge to the Registrar under Sec 82 must ordinarily be complied with within: - (a) 30 days of the payment or satisfaction - (b) 60 days - (c) 90 days - (d) 7 days

Answer: (a) **Why:** Sec 82 requires intimation of satisfaction within 30 days (extendable on application with fees); the 30-day base period is the tested point.

Q27. Where a company fails to register a charge, who may apply to the Registrar for its registration under Sec 78? - (a) Only the company - (b) The person in whose favour the charge is created (the charge-holder) - (c) Only the Central Government - (d) Any shareholder

Answer: (b) **Why:** Sec 78 allows the charge-holder to apply for registration if the company defaults, and to recover the fees from the company; it is not limited to the company itself (a).

Part G — Management & Administration (Sec 88–122)

Q28. The **first** Annual General Meeting of a company must be held within: - (a) 6 months from the date of incorporation - (b) 9 months from the closing of the first financial year - (c) 15 months from incorporation - (d) 18 months from incorporation

Answer: (b) **Why:** Sec 96 requires the first AGM within 9 months of the close of the first financial year; subsequent AGMs are within 6 months of financial-year end with a maximum 15-month gap — (a) and (c) confuse these limbs.

Q29. A general meeting requires a clear notice of not less than: - (a) 14 days - (b) 21 days - (c) 21 clear days - (d) 30 days

Answer: (c) **Why:** Sec 101 mandates 21 **clear** days' notice (excluding day of service and day of meeting), which may be shorter with consent of 95% of members; "21 days" without "clear" is imprecise, making (b) a trap.

Q30. The quorum for a general meeting of a **public** company having more than 1000 but up to 5000 members is: - (a) 5 members personally present - (b) 15 members personally present - (c) 30 members personally present - (d) 2 members personally present

Answer: (b) **Why:** Sec 103 fixes public-company quorum at 5 (≤ 1000 members), 15 (1000–5000), and 30 (> 5000); a private company needs only 2 — option (a) is the correct figure for a smaller public company, not this band.

Q31. A proxy instrument, to be valid, must be deposited with the company before the meeting by not later than: - (a) 24 hours - (b) 48 hours before the meeting - (c) 72 hours - (d) 7 days

Answer: (b) **Why:** Sec 105 requires proxies to be lodged at least 48 hours before the meeting; also note a proxy cannot vote on a show of hands and (unless the company's article provides) is not entitled to speak.

Q32. An extraordinary general meeting may be requisitioned by members holding, on the date of the requisition, not less than — of the paid-up share capital carrying voting rights: - (a) 1/10th - (b) 1/5th - (c) 1/20th - (d) 1/3rd

Answer: (a) **Why:** Sec 100 allows requisition by members holding at least one-tenth of the paid-up capital with voting rights (or one-tenth of voting power for a company without share capital).

Q33. The annual return of a company under Sec 92 must be signed, and in the case of a listed company or a prescribed company also be certified by a Company Secretary in practice in: - (a) Form MGT-7 and MGT-8 - (b) Form AOC-4 - (c) Form MGT-14 - (d) Form DIR-12

Answer: (a) **Why:** The annual return is filed in MGT-7 and the practising-CS certification is in MGT-8; AOC-4 (b) is for financial statements, a common confusion.

Part H — Declaration & Payment of Dividend (Sec 123–127)

Q34. Dividend declared but unclaimed must be transferred to a special "Unpaid Dividend Account" within 7 days after the expiry of: - (a) 30 days from declaration - (b) 7 days from declaration - (c) 90 days from declaration - (d) 45 days from declaration

Answer: (a) **Why:** Sec 124 requires transfer to the Unpaid Dividend Account within 7 days of the expiry of the 30-day payment period following declaration.

Q35. Money lying in the Unpaid Dividend Account which remains unpaid or unclaimed for a period must be transferred to the Investor Education and Protection Fund (IEPF). That period is: - (a) 3 years - (b) 5 years - (c) 7 years - (d) 10 years

Answer: (c) **Why:** Sec 124(5) mandates transfer to the IEPF of amounts unpaid/unclaimed for 7 consecutive years, along with the shares in respect of which dividend was unpaid for 7 years.

Q36. Under Sec 127, where a company fails to pay a declared dividend within 30 days, every director knowingly a party is punishable, and the company is liable to pay simple interest at: - (a) 12% p.a. - (b) 18% p.a. during the period of default - (c) 15% p.a. - (d) 24% p.a.

Answer: (b) **Why:** Sec 127 prescribes simple interest at 18% p.a. for the default period, along with the punishment of directors; 12% (a) is the private-placement refund rate, a trap.

Part I — Accounts of Companies (Sec 128–138)

Q37. Books of account and relevant vouchers must be kept in good order for a period of not less than: - (a) 5 financial years immediately preceding the relevant year - (b) 8 financial years immediately preceding the relevant year - (c) 10 financial years - (d) Permanently

Answer: (b) **Why:** Sec 128(5) requires preservation of books for at least 8 financial years immediately preceding the relevant financial year (or the period of existence, if shorter).

Q38. CSR provisions under Sec 135 apply to a company which, in the immediately preceding financial year, has net worth of ₹500 crore or more, **or** turnover of ₹1000 crore or more, **or** net profit of: - (a) ₹1 crore or more - (b) ₹5 crore or more - (c) ₹10 crore or more - (d) ₹2 crore or more

Answer: (b) **Why:** The net-profit trigger is ₹5 crore or more; the spend obligation is 2% of the average net profits of the three immediately preceding financial years.

Q39. A company falling within Sec 135 must spend, in every financial year, at least — of the average net profits made during the three immediately preceding financial years: - (a) 1% - (b) 2% - (c) 5% - (d) 10%

Answer: (b) **Why:** The mandatory CSR spend is 2% of the average net profits of the three preceding financial years; unspent amounts (for ongoing projects) must be transferred to a special account.

Q40. The financial statements, including consolidated statements, must be filed with the Registrar in Form AOC-4 within — of the date of the AGM: - (a) 30 days - (b) 60 days - (c) 90 days - (d) 7 days

Answer: (a) **Why:** Sec 137 requires filing of financial statements within 30 days of the AGM; where no AGM is held, the statements plus reasons are filed within 30 days of the last date on which the AGM should have been held.

Part J — Audit & Auditors (Sec 139–148)

Q41. At the first AGM, an auditor is appointed to hold office from the conclusion of that meeting until the conclusion of its: - (a) Next AGM - (b) Sixth AGM, subject to ratification - (c) Sixth AGM (i.e., a term of five years) - (d) Tenth AGM

Answer: (c) **Why:** Sec 139(1) appoints an auditor for five years (until the conclusion of the sixth AGM); the annual ratification requirement was **omitted** by the 2017 amendment, so (b) is outdated.

Q42. Under the rotation provisions of Sec 139(2) applicable to listed and prescribed companies, an **audit firm** may be appointed for a maximum of: - (a) One term of five consecutive years - (b) Two terms of five consecutive years - (c) Three terms of five years - (d) No limit

Answer: (b) **Why:** An individual auditor gets one term of 5 years and an audit firm two terms of 5 years (10 years); thereafter a 5-year cooling-off applies. Option (a) is the limit for an **individual**, a classic confusion.

Q43. A person is disqualified from appointment as auditor under Sec 141(3)(g) if, at the date of appointment, he holds appointment as auditor of more than — companies: - (a) 10 - (b) 20 - (c) 30 - (d) 15

Answer: (b) **Why:** The ceiling is 20 companies per auditor/partner (excluding OPCs, dormant, small, and private companies with paid-up capital below ₹100 crore, which are outside the count).

Q44. An auditor who, in the course of audit, has reason to believe an offence of fraud is being committed against the company must report it to the Central Government if the amount involved is: - (a) ₹1 lakh or more - (b) ₹10 lakh or more - (c) ₹1 crore or more - (d) Any amount

Answer: (c) **Why:** Under Sec 143(12) and the Rules, frauds of ₹1 crore or more are reported to the Central Government; frauds below ₹1 crore are reported to the Board/audit committee, not to the CG.

Part K — The Limited Liability Partnership Act, 2008

Q45. Under the LLP Act, 2008, the minimum number of partners and the minimum number of designated partners, respectively, are: - (a) 2 partners and 2 designated partners - (b) 7 partners and 2 designated partners - (c) 2 partners and 1 designated partner - (d) 3 partners and 2 designated partners

Answer: (a) **Why:** Sec 6 requires a minimum of 2 partners (no maximum), and Sec 7 requires at least 2 designated partners, of whom at least one must be resident in India.

Q46. Which of the following statements about an LLP under Sec 3 is **correct**? - (a) It is not a body corporate and has no separate legal existence - (b) It is a body corporate with perpetual succession, separate from its partners - (c) Partners are jointly and severally liable for all obligations without limit - (d) It cannot own property in its own name

Answer: (b) **Why:** Sec 3 makes an LLP a body corporate with a separate legal entity and perpetual succession; partner liability is **limited** (except for their own wrongful acts/fraud), so (c) is wrong.

Q47. In the absence of an express LLP agreement on a matter, the mutual rights and duties of partners are governed by: - (a) The Indian Partnership Act, 1932 - (b) The First Schedule to the LLP Act, 2008 - (c) The Companies Act, 2013 - (d) The Contract Act, 1872

Answer: (b) **Why:** Where the LLP agreement is silent, the provisions of the First Schedule to the LLP Act, 2008 apply; the Indian Partnership Act, 1932 does **not** govern LLPs (a common trap).

Q48. At least one designated partner of every LLP must be a person who has stayed in India for a total period of not less than — during the financial year: - (a) 120 days - (b) 182 days - (c) 60 days - (d) 90 days

Answer: (b) **Why:** The "resident in India" test for a designated partner requires a stay of at least 182 days during the financial year.

Part L — The General Clauses Act, 1897

Q49. Under Sec 3(35) of the General Clauses Act, 1897, the word "month" means: - (a) A period of 30 days - (b) A month reckoned according to the British calendar - (c) A lunar month - (d) A period of four weeks

Answer: (b) **Why:** "Month" means a British calendar month, not a fixed 30-day period; (a) is a frequent error as calendar months vary in length.

Q50. Section 9 of the General Clauses Act, using "from" and "to", provides that in computing a period: - (a) The first day is included and the last day excluded - (b) The first day is excluded and the last day included - (c) Both first and last days are included - (d) Both first and last days are excluded

Answer: (b) **Why:** Sec 9 lays down that "from" excludes the first day and "to" includes the last day — the standard rule for computing statutory periods.

Q51. Under Sec 27 of the General Clauses Act, service by post is deemed to be effected when the document is: - (a) Actually received by the addressee - (b) Properly addressed, prepaid and posted by registered post - (c) Handed to the postman - (d) Acknowledged in writing

Answer: (b) **Why:** Sec 27 raises a presumption of proper service once a document is correctly addressed, pre-paid and posted by registered post; actual receipt (a) is not required for the deeming to operate.

Part M — Interpretation of Statutes

Q52. The "mischief rule" of statutory interpretation originates from: - (a) Heydon's Case (1584) - (b) The literal rule of Sussex Peerage Case - (c) The golden rule - (d) Contemporanea expositio

Answer: (a) **Why:** Heydon's Case (1584) laid down the mischief rule, focusing on the mischief the statute sought to suppress; the golden and literal rules are distinct approaches.

Q53. The maxim "noscitur a sociis" means: - (a) General words following specific words are limited to the same genus - (b) The meaning of a word is known from its accompanying/associated words - (c) The later law repeals the earlier - (d) Express mention of one excludes another

Answer: (b) **Why:** "Noscitur a sociis" — a word takes colour from its associated words; option (a) describes the distinct rule of **ejusdem generis**, which the two maxims are often confused for.

Q54. Which of the following is an **internal** aid to interpretation of a statute? - (a) Dictionary meaning - (b) Historical background - (c) The Preamble of the Act - (d) Parliamentary debates

Answer: (c) **Why:** The Preamble is an internal aid (part of the statute itself); dictionaries, historical background and debates are **external** aids.

Part N — The Foreign Exchange Management Act, 1999

Q55. Under Sec 2(v) of FEMA, 1999, a person is generally treated as "resident in India" for a financial year if he resided in India in the **preceding** financial year for more than: - (a) 120 days - (b) 182 days - (c) 60 days - (d) 90 days

Answer: (b) **Why:** The basic residency test under FEMA is residence exceeding 182 days in the preceding financial year (subject to purpose-based exceptions); note this differs from the Income-tax Act tests.

Q56. Under FEMA, current account transactions are: - (a) Generally prohibited unless permitted - (b) Generally permitted unless specifically prohibited or restricted - (c) Always freely allowed without any restriction - (d) Governed only by SEBI

Answer: (b) **Why:** Sec 5 makes current account transactions generally free, subject to reasonable restrictions the Central Government may impose; this is the reverse of the position for capital account transactions.

Q57. Capital account transactions under Sec 6 of FEMA are: - (a) Freely permitted like current account transactions - (b) Regulated — permissible only to the extent allowed by RBI/Central Government regulations - (c) Completely prohibited - (d) Outside the scope of FEMA

Answer: (b) **Why:** Sec 6 subjects capital account transactions to regulation by the RBI/Central Government; they are permitted only within the specified limits, unlike the generally free current account transactions.

Q58. On adjudication of a contravention under Sec 13 of FEMA, the penalty may extend up to — the amount involved (where the amount is quantifiable): - (a) The exact amount involved - (b) Twice the amount involved - (c) Thrice the amount involved - (d) Five times the amount involved

Answer: (c) **Why:** Sec 13 permits a penalty up to three times the sum involved where quantifiable (or up to ₹2 lakh where not quantifiable), with a further daily penalty for continuing contraventions.

End of MCQ Bank — 58 questions. Attempt under timed conditions, then review the "Why" lines for the confusable pairs (proxy 48 hrs vs notice 21 days; auditor individual 5 yrs vs firm 10 yrs; Board buy-back 10% vs SR 25%; current vs capital account under FEMA; noscitur a sociis vs ejusdem generis).

Corporate & Other Laws — Mock Test 1 (ICAI Intermediate pattern, 100 marks, 3 hours)

Paper: Corporate and Other Laws (Intermediate — New Scheme) Time Allowed: 3 Hours | Maximum Marks: 100

General Instructions to Candidates

1. The question paper comprises two parts, **Division A** and **Division B**.
 2. **Division A** comprises Multiple Choice Questions (MCQs) carrying **30 marks**.
 3. **Division B** comprises descriptive/practical questions carrying **70 marks**.
 4. In **Division A**, all questions are compulsory. Each MCQ carries **2 marks**. There is **no negative marking**.
 5. In **Division B**, **Question No. 1 is compulsory**. Candidates are required to answer **any four questions** out of the remaining five questions (Q2 to Q6).
 6. Working notes should form part of the answer. Wherever necessary, suitable assumptions may be made and stated clearly.
 7. Answers to questions should be based on the provisions of law as amended and applicable.
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DIVISION A — MULTIPLE CHOICE QUESTIONS (30 MARKS)

All MCQs are compulsory. Each carries 2 marks.

Case Scenario I (MCQs 1–5)

Bright Horizon Ltd. is a public company incorporated under the Companies Act, 2013 with a paid-up share capital of ₹12 crore and a turnover of ₹95 crore as per its latest audited financial statements. The Board comprises 9 directors. During the financial year 2024–25 the following events took place:

- On 1st May 2024, the company accepted a fresh deposit of ₹40 lakh from **Mr. Verma**, a member of the public, repayable after 30 months.
- The company had allotted shares to 210 persons under a single offer of securities made through a private placement offer letter during the year.
- The Board wished to declare interim dividend for the year even though the company had incurred a net loss in the first two quarters.
- One director, **Mr. Sen**, remained absent (without seeking leave of absence) from all Board meetings held over a continuous period from 10th April 2024 to 15th April 2025.
- The company created a charge over its factory premises on 3rd March 2025 to secure a term loan but the instrument creating the charge was filed with the Registrar only on 5th May 2025.

MCQ 1. Regarding the deposit of ₹40 lakh accepted from Mr. Verma, which of the following is correct? (a) The deposit is valid as any company may accept public deposits repayable within 36 months. (b) The tenure

of 30 months is invalid; deposits must be repayable in not less than 6 months and not more than 36 months, so 30 months is permissible only if it is an eligible public company complying with Section 76. (c) Being a public company that is not an eligible company, it can accept deposits only from its members, not from the public, so the deposit from Mr. Verma is not permissible. (d) The deposit is valid because the amount is below ₹50 lakh.

MCQ 2. With respect to the private placement made to 210 persons under a single offer, the position under the Companies Act, 2013 is: (a) Valid, as private placement may be made to any number of identified persons. (b) Invalid as a private placement offer, and it is deemed to be a public offer, because the offer was made to more than 200 persons (excluding QIBs and employees under ESOS) in a financial year. (c) Valid, since the ceiling of 200 persons applies only to each individual offer, not cumulatively. (d) Valid, provided a special resolution was passed.

MCQ 3. On the Board's proposal to declare interim dividend despite a loss in the first two quarters, which statement is correct? (a) Interim dividend cannot be declared in a year in which the company has incurred a loss in any quarter. (b) Interim dividend may be declared out of the surplus in the profit and loss account and out of profits of the financial year in which such dividend is sought to be declared; but if the company has incurred a loss during the current financial year up to the end of the quarter immediately preceding the date of declaration, the rate of interim dividend shall not exceed the average rate of dividend declared during the immediately preceding three financial years. (c) Interim dividend can only be declared at the AGM. (d) Interim dividend cannot exceed the rate of dividend of the immediately preceding financial year in all circumstances.

MCQ 4. As regards Mr. Sen's absence from Board meetings, his office of director: (a) Continues, as absence from meetings is not a ground for vacation. (b) Becomes vacant, because he absented himself from all meetings of the Board held during a period of twelve months with or without seeking leave of absence. (c) Becomes vacant only if he fails to attend three consecutive meetings. (d) Continues, since he was absent for less than twelve continuous months.

MCQ 5. Regarding the charge created on 3rd March 2025 and filed on 5th May 2025, the registration: (a) Is void, as charges can never be registered after 30 days. (b) May be registered, as the Registrar may, on an application, allow registration within a period of sixty days of such creation on payment of additional fees (and thereafter within a further sixty days with ad valorem fees), so filing on the 63rd day may be condoned on payment of additional/ad valorem fees. (c) Requires approval of the Central Government in every case. (d) Is automatically valid without any additional fee since it is within 90 days.

Case Scenario II (MCQs 6–10)

Nova Textiles Private Limited has an issued, subscribed and paid-up capital of ₹80 lakh. Its Articles are silent on several matters. During 2024–25:

- The company held its Annual General Meeting on 29th September 2024 for FY 2023–24; the previous AGM was held on 26th September 2023.
- Notice of the AGM was given 18 clear days before the meeting by ordinary post.
- A resolution to appoint **Mr. Rao** as a director (who is not a retiring director) was moved; his candidature notice, along with the deposit, was received 13 days before the meeting.
- The company proposed to give a loan to **Star Traders**, a firm in which a relative of a director is a partner.

- The statutory auditor, whose term expired, is proposed to be re-appointed; the auditor is an individual who has already held office for one term of five consecutive years.

MCQ 6. Was the AGM held on 29th September 2024 within the time permitted by the Companies Act, 2013?

(a) No, because the gap between two AGMs exceeded twelve months. (b) Yes, because an AGM must be held within six months from the close of the financial year (i.e., by 30th September) and the gap between two AGMs did not exceed fifteen months. (c) No, because an AGM must be held within nine months of the close of the financial year. (d) Yes, but only because it is a private company exempt from time limits.

MCQ 7. The notice of AGM given 18 clear days before the meeting by ordinary post is: (a) Invalid, as a minimum of 21 days' notice in writing is required (though a general meeting may be called at shorter notice with the requisite consent of members). (b) Valid, as 14 days' notice is sufficient for a private company. (c) Invalid, as notice must be given at least 30 days before. (d) Valid, as 18 days is more than 14 days.

MCQ 8. Regarding Mr. Rao's candidature notice received 13 days before the meeting, the requirement under Section 160 is that: (a) The notice must be given at least 14 days before the meeting, so 13 days is short and defective. (b) The notice can be given any time before the meeting. (c) A notice of not less than 7 days is sufficient. (d) The deposit required is ₹5 lakh in all cases.

MCQ 9. In relation to the proposed loan to Star Traders (a firm in which a relative of a director is a partner), the applicable provision is broadly: (a) Section 185 dealing with loans to directors and persons in whom the director is interested, subject to prescribed conditions and exemptions. (b) Section 186 only, with no restriction. (c) Section 188 relating to related party transactions only. (d) There is no restriction as Star Traders is an unrelated firm.

MCQ 10. On re-appointment of the individual auditor who has already served one term of five consecutive years, the maximum further term permissible is: (a) One more term of five consecutive years (subject to a cooling-off of five years thereafter). (b) Two more terms of five consecutive years. (c) No further term is permissible for an individual. (d) Unlimited terms.

Independent MCQs (MCQs 11–15)

MCQ 11. Under the General Clauses Act, 1897, where an Act is to come into operation on a particular day, it shall be construed as coming into operation: (a) At noon of that day. (b) Immediately on the expiration of the day preceding its commencement. (c) At the end of that day. (d) Only after publication in the Official Gazette on the next day.

MCQ 12. Under the Companies Act, 2013, a "small company" (other than the specified excluded categories) means a company, not being a public company, whose paid-up share capital does not exceed the prescribed limit and turnover does not exceed the prescribed limit. As currently prescribed, these limits are: (a) Paid-up capital not exceeding ₹4 crore and turnover not exceeding ₹40 crore. (b) Paid-up capital not exceeding ₹50 lakh and turnover not exceeding ₹2 crore. (c) Paid-up capital not exceeding ₹10 crore and turnover not exceeding ₹100 crore. (d) Paid-up capital not exceeding ₹1 crore and turnover not exceeding ₹10 crore.

MCQ 13. Under the Foreign Exchange Management Act, 1999, a person resident in India includes a person who has resided in India for more than: (a) 182 days during the course of the preceding financial year (subject to the exceptions relating to purpose of stay). (b) 60 days during the preceding financial year. (c) 365 days during the current financial year. (d) 90 days during the preceding financial year.

MCQ 14. Under the Limited Liability Partnership Act, 2008, every LLP shall have at least: (a) Two partners and two designated partners, of whom at least one shall be a resident in India. (b) Two partners and no designated partner is required. (c) Three partners and two designated partners. (d) Two designated partners, both of whom must be resident in India.

MCQ 15. Under the rules of interpretation of statutes, the "Mischief Rule" laid down in Heydon's case requires the court to consider: (a) The literal meaning of the words only. (b) The mischief and defect for which the earlier law did not provide, and the remedy the Parliament intended to provide. (c) The golden meaning avoiding absurdity only. (d) The intention of the individual legislators.

DIVISION B — DESCRIPTIVE / PRACTICAL QUESTIONS (70 MARKS)

Question No. 1 is compulsory. Answer any four questions from the remaining five questions (Q2 to Q6).

Question 1 (Compulsory) — 14 Marks

(a) ABC Ltd., a listed company, issued a prospectus for a public issue of equity shares. **Mr. Kapoor** applied for and was allotted 500 shares relying on a statement in the prospectus which later turned out to be untrue. He wishes to hold the directors and experts liable and also to sue the company. Explaining the provisions of the Companies Act, 2013 relating to civil liability and criminal liability for mis-statement in a prospectus, advise Mr. Kapoor. Also state the defences available to a director. **(6 Marks)**

(b) PQR Ltd. has an authorised capital of ₹10 crore. As on 31st March 2025, its free reserves stand at ₹6 crore, securities premium ₹1 crore, paid-up equity capital ₹5 crore and paid-up preference capital ₹1 crore. The company proposes to buy-back its equity shares. Examine, with reference to the conditions and the maximum quantum permissible under Section 68 of the Companies Act, 2013, whether the company can buy back shares worth ₹1.20 crore under a Board resolution, and compute the maximum amount that can be utilised for buy-back. **(5 Marks)**

(c) Explain the doctrine of "**noscitur a sociis**" as an internal aid to the interpretation of statutes, with a suitable example. **(3 Marks)**

Question 2 — 14 Marks

(a) The Board of Directors of **Sunrise Ltd.** wishes to contribute ₹8 lakh to a registered political party during the financial year 2024–25. The company's average net profits during the three immediately preceding financial years, determined in accordance with Section 198, were ₹1 crore. Examining the provisions of Section 182 of the Companies Act, 2013, advise whether the company can make this contribution and state the conditions and disclosure requirements. **(5 Marks)**

(b) **Mr. Ghosh** was appointed as the first auditor of **Zenith Ltd.** by the Board of Directors. Explaining the provisions relating to appointment of the first auditor and subsequent auditors under Section 139 of the

Companies Act, 2013, answer: (i) Within what time must the Board appoint the first auditor, and what happens if the Board fails to do so? (ii) For how long does the first auditor hold office? **(6 Marks)**

(c) Under the General Clauses Act, 1897, explain the meaning of the terms "**month**" and "**year**". **(3 Marks)**

Question 3 — 14 Marks

(a) Global Ventures Ltd. was incorporated on 1st April 2024. Explaining the provisions of the Companies Act, 2013 relating to commencement of business, state: (i) The declaration to be filed before a company having a share capital commences business or exercises borrowing powers. (ii) The time limit for filing such declaration and the consequences of non-filing, including the power of the Registrar to remove the name of the company. **(6 Marks)**

(b) The Articles of **Metro Ltd.** provide that the quorum for a Board meeting shall be five directors. At a Board meeting, out of 9 directors, only 3 attended (the others being interested in the matter under consideration or absent). Referring to the provisions relating to quorum for Board meetings under Section 174 of the Companies Act, 2013, examine the validity of the meeting and explain the effect where the number of interested directors reduces the quorum below the required number. **(5 Marks)**

(c) Distinguish between the "**Literal Rule**" and the "**Golden Rule**" of interpretation of statutes. **(3 Marks)**

Question 4 — 14 Marks

(a) Mr. and Mrs. Iyer, resident in India, plan the following transactions. Examining the provisions of the Foreign Exchange Management Act, 1999, classify each as a **capital account transaction** or a **current account transaction** and comment on its permissibility: (i) Remittance of ₹5 lakh by Mr. Iyer to his son studying abroad, towards tuition fees. (ii) Purchase of immovable property outside India by Mrs. Iyer. (iii) Payment towards import of goods. (iv) Investment by Mr. Iyer in shares of a foreign company. **(5 Marks)**

(b) The Board of **Horizon Ltd.** declared a dividend of ₹15 lakh for FY 2023–24 at its AGM held on 20th September 2024. Explaining the provisions of Sections 123 and 124 of the Companies Act, 2013, answer: (i) Within what period must the dividend be paid or the warrant dispatched? (ii) What is to be done with the unpaid/unclaimed dividend, and when is it transferred to the Investor Education and Protection Fund (IEPF)? **(6 Marks)**

(c) Explain the provisions of the Limited Liability Partnership Act, 2008 regarding the extent of liability of a partner of an LLP. **(3 Marks)**

Question 5 — 14 Marks

(a) Apex Ltd. proposes to give a loan of ₹2 crore to **Beta Ltd.** and provide a guarantee of ₹1 crore for a loan taken by **Beta Ltd.** Apex Ltd.'s paid-up share capital is ₹5 crore, free reserves ₹3 crore and securities premium ₹2 crore. Referring to Section 186 of the Companies Act, 2013, examine whether the proposed loan and guarantee are within the permissible limits without a special resolution, showing the computation. **(6 Marks)**

(b) Explain the provisions of the Companies Act, 2013 relating to the "**registered office**" of a company, covering: (i) The time within which a company must have a registered office. (ii) Verification and intimation of

the registered office to the Registrar. (iii) The manner of giving notice of change of the registered office within the same State but from one Registrar's jurisdiction to another. **(5 Marks)**

(c) Under the General Clauses Act, 1897, explain the meaning of "**good faith**" and "**document**". **(3 Marks)**

Question 6 — 14 Marks

(a) State whether the following statements are true or false, giving reasons with reference to the Companies Act, 2013: (i) A One Person Company (OPC) can have more than one member. (ii) A dormant company is required to hold at least one Board meeting in each half of a calendar year with a gap of not less than ninety days between the two meetings. (iii) A private company must have a minimum of three directors. (iv) An interim dividend, once declared, becomes a debt and cannot be revoked. **(6 Marks)**

OR

(a) Explain the concept of "**Corporate Social Responsibility (CSR)**" under Section 135 of the Companies Act, 2013. State the thresholds that make CSR applicable to a company and the amount required to be spent on CSR activities. **(6 Marks)**

(b) Mr. Nair, a member of **Vista Ltd.**, seeks to inspect the minutes book of general meetings and obtain a copy of the minutes. Explaining Section 119 of the Companies Act, 2013, state the rights of a member regarding inspection of minutes of general meetings and the time within which copies are to be supplied. **(5 Marks)**

(c) Explain the rule of "**ejusdem generis**" in the interpretation of statutes, with an example. **(3 Marks)**

ANSWER KEY & MODEL SOLUTIONS

DIVISION A — MCQ ANSWER KEY (with reasons)

MCQ	Answer	One-line reason
1	(c)	A public company that is not an "eligible company" (net worth $\geq$ ₹100 cr or turnover $\geq$ ₹500 cr with special resolution) can accept deposits only from members under Section 73, not from the public under Section 76.
2	(b)	Under Section 42, an offer to more than 200 persons (excluding QIBs and ESOS employees) in a financial year is deemed a public offer, violating the private placement ceiling.
3	(b)	Second proviso to Section 123(3): if a loss is incurred up to the quarter preceding declaration, interim dividend rate cannot exceed the average rate of the preceding three financial years.
4	(b)	Section 167(1)(b): office is vacated if a director absents himself from all Board meetings held during a period of twelve months, with or without leave.
5	(b)	Section 77 read with the proviso: the Registrar may allow registration within 60 days of creation on additional fee, and a further 60 days on ad valorem fees; the 63rd day filing may be condoned.
6	(b)	Section 96: AGM must be held within 6 months of financial year end (by 30 Sept) and the gap between two AGMs must not exceed 15 months; both are satisfied.
7	(a)	Section 101: a general meeting requires not less than 21 clear days' notice in writing (shorter notice allowed only with requisite member consent); 18 days is short.
8	(a)	Section 160: a person seeking directorship (not a retiring director) must give notice at least 14 days before the meeting; 13 days is defective.
9	(a)	Section 185 governs loans to directors and persons/firms in which a director or relative is interested (a firm in which a relative is a partner is covered).
10	(a)	Section 139(2): an individual auditor can hold office for one more term of five consecutive years (max one term of 5 years each, then cooling-off of 5 years).
11	(b)	Section 5(3) of the General Clauses Act, 1897: an Act comes into operation immediately on the expiration of the day preceding its commencement.
12	(a)	Section 2(85) as currently prescribed: small company = paid-up capital not exceeding ₹4 crore and turnover not exceeding ₹40 crore.
13	(a)	Section 2(v) FEMA: "person resident in India" includes one residing in India for more than 182 days during the preceding financial year, subject to purpose-based exceptions.
14	(a)	Sections 6 & 7 of the LLP Act, 2008: minimum two partners and two designated partners, of whom at least one must be resident in India.
15	(b)	Heydon's (Mischief) Rule directs the court to suppress the mischief/defect in the old law and advance the remedy intended.

DIVISION B — MODEL SOLUTIONS

Answer 1(a) — Liability for mis-statement in prospectus

Provisions: Where a prospectus contains an untrue or misleading statement, the following liabilities arise:

Civil liability (Section 35): Where a person has subscribed for securities of a company acting on any statement in the prospectus, or on the inclusion or omission of any matter, which is misleading, and has sustained a loss or damage as a consequence, the company and every person who — - is a director at the time of issue of the prospectus; - has authorised himself to be named and is named as a director; - is a promoter of the company; - has authorised the issue of the prospectus; and - is an expert (referred to in Section 26(5)),

shall be **liable to pay compensation** to every person who has sustained such loss or damage.

Defences available to a director (Section 35(2)): A director shall not be liable if he proves — (i) that having consented to become a director, he **withdrew his consent** before the issue of the prospectus and it was issued without his authority or consent; or (ii) that the prospectus was issued **without his knowledge or consent**, and on becoming aware, he gave reasonable public notice that it was issued without his knowledge or consent.

Criminal liability (Section 34): Where a prospectus includes any untrue or misleading statement, or where inclusion/omission is likely to mislead, **every person who authorises the issue** of such prospectus shall be liable under **Section 447 (punishment for fraud)** — unless he proves that the statement or omission was immaterial or that he had **reasonable grounds to believe, and did up to the time of issue believe, that the statement was true** or the inclusion/omission was necessary.

Advice to Mr. Kapoor: Since Mr. Kapoor applied for and was allotted 500 shares relying on an untrue statement, he can claim **compensation under Section 35** from the company, its directors, promoters, persons who authorised the issue and the experts, for the loss suffered. He may additionally invoke the criminal liability under Section 34 against those who authorised the issue. The directors can escape liability only by establishing the statutory defences noted above.

Answer 1(b) — Buy-back under Section 68

Conditions (Section 68): A company may buy back its own shares out of — (i) its free reserves; (ii) the securities premium account; or (iii) the proceeds of the issue of any shares or other specified securities (but not out of the proceeds of an earlier issue of the same kind of shares).

Quantum limits: - A buy-back **authorised by a Board resolution** cannot exceed **10% of the aggregate of paid-up equity capital and free reserves**. - A buy-back authorised by a **special resolution** cannot exceed **25% of the aggregate of paid-up capital and free reserves** (with the 25% of equity restriction for equity buy-back in a financial year). - Post buy-back, the **debt-equity ratio must not exceed 2:1**.

Computation (Board resolution route):

Particulars	₹ (crore)
Paid-up equity capital	5.00
Free reserves	6.00
Securities premium (part of "free reserves + securities premium" for funding, and included in the base of paid-up capital + free reserves? — see note)	—
Aggregate of paid-up equity capital + free reserves	11.00
Maximum buy-back under Board resolution = 10% of ₹11 crore	1.10

Note: For the quantum ceiling under the Board-resolution route, the base is *paid-up equity capital + free reserves* = ₹5 crore + ₹6 crore = **₹11 crore**, and 10% = **₹1.10 crore**. (Securities premium may be used as a *source* of funds but the *ceiling* is computed on paid-up capital + free reserves.)

Conclusion: The proposed buy-back of **₹1.20 crore exceeds the Board-resolution ceiling of ₹1.10 crore** and is therefore **not permissible under a mere Board resolution**. The company can buy back a maximum of **₹1.10 crore** under a Board resolution. To buy back ₹1.20 crore, it must pass a **special resolution** (subject to the 25% ceiling of ₹2.75 crore, which is satisfied) and comply with the other conditions of Section 68.

Answer 1(c) — Noscitur a sociis

Meaning: *Noscitur a sociis* literally means "a word is known by the company it keeps." It is an internal aid to construction under which the meaning of a **doubtful or ambiguous word** may be ascertained by reference to the **words associated with it** in the statute. When two or more words susceptible of analogous meaning are coupled together, they take colour from each other.

Example: In a provision referring to "**books, pamphlets, newspapers and other documents**," the general expression "other documents" would, by association with books, pamphlets and newspapers, be understood to mean documents of a **similar (printed/published) character**, and not, for instance, a private letter. Thus the associated words limit and explain the meaning of the doubtful word.

Answer 2(a) — Political contribution (Section 182)

Provisions: Under Section 182 of the Companies Act, 2013: - A company, **other than a Government company and a company in existence for less than three financial years**, may contribute any amount directly or indirectly to any political party. - The contribution must be **authorised by the Board of Directors** by a resolution passed at a Board meeting. - The contribution must be made **only by an account payee cheque/bank draft/electronic mode or through electoral bonds** (not in cash). - The amount so contributed and the name of the party must be **disclosed in the profit and loss account** (the requirement of disclosing the particular party's name has been relaxed for electoral bond contributions, which need only disclose the total amount).

Note on the earlier 7.5% ceiling: The **erstwhile cap of 7.5% of average net profits of the three immediately preceding financial years has been omitted** by the Finance Act, 2017. Consequently, there is **no monetary ceiling** on political contributions now.

Advice: Sunrise Ltd., being an eligible company (assuming it has been in existence for three or more financial years and is not a Government company), **can contribute ₹8 lakh** to the registered political party. The contribution must be authorised by a Board resolution, routed through a permissible non-cash mode, and disclosed in the profit and loss account. The figure of ₹1 crore average net profit is no longer a limiting factor, since the 7.5% cap stands removed.

Answer 2(b) — Appointment of first and subsequent auditors (Section 139)

(i) First auditor — time limit and default: Under **Section 139(6)**, the first auditor of a company (other than a Government company) shall be appointed by the **Board of Directors within thirty days** from the **date of registration** of the company. If the Board **fails** to appoint the first auditor within 30 days, it shall **inform the members**, who shall appoint the first auditor **within ninety days at an extraordinary general meeting**.

Since Mr. Ghosh was appointed by the Board, the appointment is valid provided it was made within 30 days of registration.

(ii) Term of the first auditor: The first auditor holds office **until the conclusion of the first Annual General Meeting**. (At the first AGM, the auditor appointed under Section 139(1) holds office from the conclusion of that meeting till the conclusion of the sixth AGM, subject to ratification-related provisions as applicable.)

Answer 2(c) — "Month" and "Year" under the General Clauses Act, 1897

Month [Section 3(35)]: "Month" shall mean a **month reckoned according to the British calendar** (i.e., the Gregorian calendar). Thus a month is not necessarily 30 days; it runs from a date in one calendar month to the corresponding date in the next.

Year [Section 3(66)]: "Year" shall mean a **year reckoned according to the British calendar** — a period of twelve calendar months.

Answer 3(a) — Commencement of business (Section 10A)

(i) Declaration: Under **Section 10A**, a company incorporated after the commencement of the Companies (Amendment) Ordinance, 2018, **having a share capital**, shall **not commence any business or exercise any borrowing powers** unless a **declaration** is filed by a director with the Registrar stating that **every subscriber to the memorandum has paid the value of the shares agreed to be taken by him** as on the date of the declaration.

(ii) Time limit and consequences: - The declaration must be filed **within one hundred and eighty (180) days** of the date of incorporation, in the prescribed form and verified in the prescribed manner. - The company must also have **filed with the Registrar a verification of its registered office** under Section 12(2). - **Consequences of default:** The company is liable to a **penalty of ₹50,000** and every officer in default is liable to a penalty of **₹1,000 for each day of default subject to a maximum of ₹1,00,000**. - Further, if **no declaration is filed within 180 days** and the Registrar has reasonable cause to believe that the company is not carrying on any business, the Registrar may initiate action for the **removal of the name of the company** from the register of companies under Section 248.

Answer 3(b) — Quorum for Board meetings (Section 174)

Provisions: Under **Section 174(1)**, the quorum for a Board meeting shall be **one-third of the total strength or two directors, whichever is higher**. (Any fraction is rounded off to the next whole number.) The Articles of Metro Ltd. provide a higher quorum of five directors, which is permissible.

Effect of interested directors — Section 174(3): Where at any time the number of **interested directors** exceeds or is equal to two-thirds of the total strength, so that the **number of non-interested directors present is less than the quorum**, then the number of directors **who are not interested and are present**, being **not less than two**, shall be the quorum during such time.

Application: Out of 9 directors, only 3 attended; the Articles require a quorum of five. If the shortfall is because directors are **interested** in the matter under consideration, then under Section 174(3) the presence of the **non-interested directors (not less than two)** will constitute the valid quorum for that item. If, however, the reduction is merely due to **absence** (not interest), the meeting **lacks quorum** and is not validly constituted for want of the required number.

Conclusion: To the extent the reduction below five is caused by interested directors, the meeting is valid with the non-interested directors present (minimum two). To the extent it is due to plain absence, the meeting is invalid for want of quorum.

Answer 3(c) — Literal Rule vs Golden Rule

Basis	Literal Rule	Golden Rule
Meaning	Words of the statute are given their ordinary, plain, grammatical meaning .	A modification of the literal rule ; the ordinary meaning is departed from to the extent necessary to avoid absurdity, inconsistency or repugnancy .
Object	To give effect to the language as it stands.	To give effect to the intention of the legislature where a literal reading defeats it.
Application	Applied first; used where words are clear and unambiguous.	Applied where the literal meaning leads to a manifestly absurd or unjust result .
Example	"No vehicles in the park" read literally bars all vehicles.	Reading it to permit an ambulance on emergency, to avoid an absurd outcome.

Answer 4(a) — FEMA: classification of transactions

Under FEMA, 1999: - A **capital account transaction** [Section 2(e)] is one which **alters the assets or liabilities (including contingent liabilities) outside India of persons resident in India, or assets/liabilities in India of persons resident outside India**. - A **current account transaction** [Section 2(j)] is a transaction other than a capital account transaction and **includes**, inter alia, payments due in connection with foreign trade, short-term banking and credit facilities, interest, remittances for living expenses of relatives abroad, and **expenses in connection with foreign travel, education and medical care** of parents, spouse and children.

Transaction	Classification	Comment on permissibility
(i) ₹5 lakh remittance for son's tuition fees abroad	Current account transaction	Permissible (education expense) — freely allowed subject to the Liberalised Remittance Scheme (LRS) limits.
(ii) Purchase of immovable property outside India	Capital account transaction	Alters assets outside India; permissible only within the RBI regulations/LRS framework.
(iii) Payment for import of goods	Current account transaction	Payment due in connection with foreign trade; generally permissible.
(iv) Investment in shares of a foreign company	Capital account transaction	Alters assets outside India; permissible within LRS/Overseas Investment rules.

General rule: Current account transactions are **freely permitted** unless specifically restricted; capital account transactions are **permitted only to the extent specified** by the RBI regulations.

Answer 4(b) — Payment of dividend and IEPF (Sections 123 & 124)

(i) Time for payment: Under **Section 124(1)** read with Section 127, once a dividend is **declared**, it must be **paid, or the dividend warrant dispatched, within thirty (30) days** from the date of declaration to the entitled shareholders. Failure attracts penal consequences under Section 127.

(ii) Unpaid/unclaimed dividend: - Where dividend has **not been paid or claimed within 30 days**, the company shall, **within seven days** from the expiry of the said 30 days (i.e., by day 37), transfer the total unpaid/unclaimed amount to a special account called the "**Unpaid Dividend Account**" opened in a scheduled bank. - Any money in the Unpaid Dividend Account that **remains unpaid or unclaimed for seven years** from the date of such transfer shall be transferred to the **Investor Education and Protection Fund (IEPF)**, along with the corresponding shares (on which dividend has been unclaimed for seven consecutive years).

Application: Horizon Ltd. must pay the ₹15 lakh dividend / dispatch warrants **by 20th October 2024**. Any unpaid portion must be transferred to the Unpaid Dividend Account within 7 days thereafter, and if it remains unclaimed for 7 years, transferred to the IEPF.

Answer 4(c) — Liability of a partner of an LLP

Under the **LLP Act, 2008 (Section 27 and 28)**: - An LLP is a **body corporate** with **limited liability**; the LLP is liable for the wrongful acts/omissions of a partner done in the course of business or with its authority. - An **obligation of the LLP** (whether arising in contract or otherwise) is solely the obligation of the LLP, met out of its **property**. - A **partner is not personally liable**, directly or indirectly, for the obligations of the LLP solely by reason of being a partner. - However, a partner **remains personally liable** for his **own wrongful act or omission**, but not for the wrongful act/omission of any other partner. - Liability of the LLP and partners who are found to have acted with **intent to defraud** creditors is **unlimited** (Section 30).

Answer 5(a) — Loan and guarantee under Section 186

Provisions: Under **Section 186(2)**, no company shall directly or indirectly — (a) give any loan to any person or body corporate; (b) give any guarantee or provide security in connection with a loan to any person/body

corporate; or (c) acquire securities of any other body corporate,

exceeding sixty per cent (60%) of its paid-up share capital, free reserves and securities premium account, OR one hundred per cent (100%) of its free reserves and securities premium account, whichever is more, unless a **special resolution** is passed in a general meeting.

Computation of limits for Apex Ltd.:

Particulars	₹ (crore)
Paid-up share capital	5.00
Free reserves	3.00
Securities premium	2.00
Paid-up capital + free reserves + securities premium	10.00
60% of the above (₹10 cr × 60%)	6.00
Free reserves + securities premium = ₹3 cr + ₹2 cr	5.00
100% of the above	5.00
Higher of the two limits	₹6.00 crore

Proposed exposure: Loan ₹2 crore + Guarantee ₹1 crore = **₹3 crore**.

Conclusion: Since the aggregate proposed loan and guarantee of **₹3 crore is within the ceiling of ₹6 crore**, Apex Ltd. **can make the loan and give the guarantee by a Board resolution passed with the consent of all directors present at the meeting**, and **no special resolution is required**. (A prior Board resolution with unanimous consent of directors present is mandatory in all cases under Section 186.)

Answer 5(b) — Registered office (Section 12)

(i) Time to have a registered office: Under **Section 12(1)**, a company shall, **within thirty (30) days** of its incorporation and at all times thereafter, have a **registered office** capable of receiving and acknowledging all communications and notices.

(ii) Verification and intimation: The company shall **furnish to the Registrar verification of its registered office within thirty (30) days** of incorporation in the prescribed manner (Section 12(2)). Notice of every change of the situation of the registered office, after incorporation, must be given to the Registrar **within thirty (30) days** of the change (Section 12(4)).

(iii) Change of registered office from one Registrar's jurisdiction to another within the same State: Where the change of registered office is **within the same State but from the jurisdiction of one Registrar to that of another Registrar**, the change shall take effect only on **confirmation by the Regional Director** on an application made by the company. The **Regional Director shall communicate the confirmation within thirty days**, and the company must **file the confirmation with the Registrar within sixty days**, who shall register it and certify within thirty days.

Answer 5(c) — "Good faith" and "Document" under the General Clauses Act, 1897

Good faith [Section 3(22)]: A thing shall be deemed to be done in "good faith" where it is in fact **done honestly, whether it is done negligently or not**. Thus, honesty is the essence; the presence of negligence does not negate good faith under this Act.

Document [Section 3(18)]: "Document" shall include **any matter written, expressed or described upon any substance by means of letters, figures or marks, or by more than one of those means**, which is intended to be used, or which may be used, for the purpose of **recording that matter**.

Answer 6(a) [Main] — True/False with reasons

(i) "An OPC can have more than one member." — **FALSE**. By definition under Section 2(62), a One Person Company has **only one person as a member**. (It must, however, nominate a person in the memorandum to become member in the event of the subscriber's death/incapacity.)

(ii) "A dormant company must hold at least one Board meeting in each half of a calendar year with a gap of not less than ninety days." — **TRUE**. Under Section 173(5), a dormant company (and specified companies) is required to hold **at least one Board meeting in each half of a calendar year** and the **gap between the two meetings shall not be less than ninety days**.

(iii) "A private company must have a minimum of three directors." — **FALSE**. Under Section 149(1), a **private company must have a minimum of two directors** (a public company three, and an OPC one).

(iv) "An interim dividend, once declared, becomes a debt and cannot be revoked." — **TRUE**. Once a dividend (including interim dividend) is validly declared, it becomes a **debt due from the company** to the shareholders and **cannot be revoked** thereafter, except with the shareholders' consent in limited circumstances.

Answer 6(a) [OR] — CSR under Section 135

Applicability thresholds: Section 135 applies to **every company** (including its holding, subsidiary and foreign company) which, **during the immediately preceding financial year**, has: - a **net worth of ₹500 crore or more**; or - a **turnover of ₹1,000 crore or more**; or - a **net profit of ₹5 crore or more**.

Such a company must constitute a **CSR Committee** of the Board (with the prescribed composition) and formulate a CSR Policy.

Amount to be spent: The Board shall ensure that the company spends, in every financial year, **at least two per cent (2%) of the average net profits** of the company made during the **three immediately preceding financial years** (or where the company has not completed three financial years, the immediately preceding financial years), in pursuance of its CSR Policy.

Unspent amount: Any amount remaining unspent (other than for ongoing projects) must be transferred to a **Fund specified in Schedule VII within six months** of the end of the financial year. For **ongoing projects**, the unspent amount must be transferred to a **special "Unspent CSR Account" within thirty days** of the end of the financial year, and spent within **three financial years**.

Answer 6(b) — Inspection of minutes of general meetings (Section 119)

Provisions: Under **Section 119** of the Companies Act, 2013: - The books containing the **minutes of proceedings of general meetings** shall be **kept at the registered office** of the company. - They shall be **open to inspection by any member without charge**, during business hours, subject to reasonable restrictions imposed by the Articles or by the company in general meeting (a minimum of two hours in each business day must be allowed). - Any **member is entitled to be furnished, within seven working days** of a request (on payment of the prescribed fee, if any), with a **copy of the minutes** of any general meeting. - If inspection is refused, or a copy is not furnished within the time, the company and every officer in default is liable to a **penalty**, and the **Tribunal may, by order, direct** an immediate inspection or supply of the copy.

Application: Mr. Nair, being a member of Vista Ltd., has the **right to inspect** the minutes book of general meetings **free of charge** during business hours and to obtain a **copy within seven working days** of his request on payment of the prescribed fee.

Answer 6(c) — Ejusdem generis

Rule: *Ejusdem generis* means "of the same kind or species." Where **general words follow specific/particular words** that constitute a distinct genus or category, the general words are construed as **limited to things of the same kind (genus)** as those specifically enumerated. The rule applies only when the specific words form a distinct class and the general words are not shown to have a wider meaning by the context.

Example: In the expression "**cats, dogs and other animals**," the general words "other animals" would be read *ejusdem generis* to mean other **domestic/household animals** of the same class as cats and dogs, and **not wild animals** like tigers. Similarly, in "**houses, offices, rooms or other places**," "other places" would mean places of a **similar enclosed/indoor character**.

Corporate & Other Laws — Amendment & Caveat Checklist

Read this before you trust a single number or "as amended" clause in these notes.

These notes are built to teach you the **structure and the logic** — *why* a provision exists, *how* the pieces fit, *what* the section is trying to achieve. That skeleton is stable. The **exact current text, limits, thresholds, and freshly-notified sections are not**, and they must be confirmed against ICAI material for **your specific attempt**.

The single rule: For every attempt, download and read the **ICAI Study Material for the applicable edition** *plus* the **RTP (Revision Test Paper) "Statutory / Legislative Updates" section** for that exam. The RTP update section is ICAI telling you, in writing, exactly what changed and what is examinable. If a number in these notes disagrees with the RTP update, the **RTP wins**.

0. How to use this checklist

1. Find your exam sitting (e.g., May 2026 / Sept 2026 / Jan 2026 group).
2. Note the **cut-off date** ICAI announces — amendments/notifications *up to a specified date* are examinable; anything after is not. This date is printed in the RTP/MTP and study guidelines. **Verify it.**
3. Go through the items below. For each, confirm the current position from the named ICAI source before you memorise anything numeric.
4. Anything marked **HIGH churn** = assume it has changed until you have verified it. Anything marked **stable** = concept rarely moves, but still check any embedded number.

A quick honesty note on scope

This is the **Corporate & Other Laws** paper (CA Intermediate). Its content is **mostly conceptual/procedural**, so it is **lower churn than Taxation**. But "lower" is not "zero" — the Companies Act, 2013 is amended and notified almost every year, and the "Other Laws" component carries rate/limit-based items (FEMA, the schedules, penalty amounts).

For calibration, the parenthetical below shows where the *real* churn lives in the CA scheme, so you set the right level of paranoia per paper.

Churn map across the CA scheme (calibration only)

Paper / Area	Churn	Why
Taxation (Income-tax + GST)	VERY HIGH	Re-legislated every year via the Finance Act + constant CBDT/CBIC notifications
Corporate & Other Laws	MEDIUM	Companies Act amendments + fresh notifications each year; some rate/limit items
Advanced Accounting / Cost	Low–Medium	Standards (AS) revisions, threshold-based disclosures
Auditing	Low–Medium	Revised SAs, CARO/Companies Act cross-links

These notes do **not** teach Taxation numbers. If any tax figure appears in an example here it is **illustrative only** and must not be relied on. The Taxation high-churn items are listed in Section 3 purely so you know what to re-confirm in *that* paper.

1. Corporate & Other Laws — items to verify EVERY attempt

1.1 Companies Act, 2013 — amendments & fresh notifications — HIGH within this paper

- **What it is:** Changes to sections via amendment Acts (e.g., Companies (Amendment) Acts), plus **newly notified sections/rules** that were dormant and have now come into force, plus amendments to the **Rules** (Incorporation, Share Capital & Debentures, Meetings/Management & Administration, Deposits, etc.).
- **Why it changes:** MCA continually notifies sections and revises rules; decriminalisation drives, e-filing/MCA-21 changes, and CSR/deposit tweaks are frequent. A section you learned as "not yet notified" may now be live — and therefore examinable.
- **Where to confirm:**
- **ICAI Study Material** (applicable edition) — base text.
- **RTP** → "**Legislative / Statutory Updates**" — the definitive list of what is added or removed for *your* attempt.
- Cross-check the **MCA notifications** only if the RTP references something you can't locate.

1.2 Numeric thresholds & limits inside Company Law — HIGH (verify each number)

Concept is stable; the **number attached to it** is the thing that moves or that students misremember. Confirm the current figure for at least:

- **Small company** definition — paid-up capital and turnover ceilings.
- **One Person Company (OPC)** — any conversion thresholds/relaxations.
- **CSR applicability** — net worth / turnover / net profit triggers, the **2%** spend basis, and set-off/carry-forward rules.

- **Acceptance of Deposits** — limits for private vs public companies, and the DRR / liquid-asset percentages.
- **Loans/investments (Sec 186)** and **related party (Sec 188)** monetary thresholds.
- **Managerial remuneration (Sec 197)** and **Schedule V** limits.
- **Auditor** — ceiling on number of audits, rotation tenure.
- **Meetings/quorum** — any figure-based rule (e.g., listed-company specifics).
- **Filing fees & additional fees / penalty amounts** where the syllabus expects the number.
- **Where to confirm:** ICAI SM for the concept; **RTP statutory update** for the current figure. If it's a number, do not trust memory or an old edition.

1.3 Other Laws component

- **General Clauses Act, 1897** — **stable**. Interpretation rules and definitions rarely move. Learn the logic; low verification burden.
- **Interpretation of Statutes** — **stable**. Rules of construction are doctrinal. Watch only for any newly added case-law illustration in the SM.
- **Foreign Exchange Management Act (FEMA), 1999** — **MEDIUM, rate/limit-based**.
- *What/why:* The **framework** (current vs capital account, authorised persons, contraventions) is stable, but **monetary limits, LRS (Liberalised Remittance Scheme) ceilings, and permissible/prohibited transaction lists** are notification-driven and move.
- *Where to confirm:* ICAI SM + **RTP update**; treat every FEMA limit as a "verify" item.

1.4 Case law & illustrations — **verify freshness**

- **What/why:** ICAI adds or swaps **judicial illustrations** and worked examples between editions. An answer keyed to an old illustration can cost marks if the SM now frames it differently.
- **Where to confirm:** current-edition **ICAI Study Material** and **RTP/MTP** suggested answers.

2. The confirmation checklist (tick before the exam)

- ☐ Downloaded the **ICAI Study Material** for the *exact applicable edition*.
 - ☐ Read the **RTP "Statutory/Legislative Updates"** for my attempt end-to-end.
 - ☐ Noted the **amendment cut-off date** for examinable law.
 - ☐ Verified every **Company Law threshold** in Section 1.2 against current material.
 - ☐ Checked which previously-**unnotified sections are now in force**.
 - ☐ Confirmed **FEMA limits / LRS** figures.
 - ☐ Skimmed the latest **MTP** to see how ICAI is currently framing answers.
 - ☐ Where a number in these notes conflicts with ICAI, **ICAI wins** — I've corrected my note.
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3. Taxation high-churn reference (for the Taxation paper — NOT examinable here)

Listed only so you carry the right paranoia into the **Taxation** paper. Every one of these is re-set annually by the **Finance Act** and by CBDT/CBIC notifications, and **must** be confirmed from the ICAI Taxation SM + that paper's RTP statutory update for the **applicable Assessment Year / FY**:

- **Income-tax slab rates** — old vs **new (default) regime**, per AY.
- **Surcharge** rates and slabs; **marginal relief**.
- **Rebate u/s 87A** — eligibility income limit and rebate cap (differs by regime).
- **Standard deduction** and **deduction limits** (80C, 80D, 80CCD, etc.) and which survive under the new regime.
- **TDS / TCS** — section-wise **rates and threshold limits**.
- **Depreciation** rates; **presumptive** turnover limits (44AD/44ADA/44AE).
- **GST** — rate schedules, **registration threshold**, composition limits, ITC/RCM changes.
- **Latest Finance Act** amendments **and** GST Council / notification changes up to ICAI's cut-off.

Confirm all of the above from **ICAI Taxation Study Material + RTP (statutory update) for the applicable AY/FY**. Do not carry any Taxation number from these Law notes.

4. Bottom line

- These notes give you the **map and the reasoning**. That is the durable part.
- **Numbers, thresholds, newly-notified sections, and "as amended" text are perishable**. Confirm them, per attempt, from **ICAI Study Material + the RTP statutory update** for your exam.
- When in doubt, the **RTP legislative-update section for your sitting is the final authority**. If this document and ICAI disagree, follow ICAI.

Corporate & Other Laws — Accuracy Review: Corrections & Caveats

Scope of this review. This is a *spot-review*, not an exhaustive audit. I read six of the most error-prone chapters end-to-end (the ones dense with section numbers, thresholds, formulas and computations):

- Ch 04 — Share Capital & Debentures
- Ch 05 — Acceptance of Deposits
- Ch 08 — Declaration & Payment of Dividend
- Ch 10 — Audit & Auditors
- Ch 11 — LLP Act 2008
- Ch 14 — FEMA 1999

I checked section/SA numbers, thresholds, monetary limits, time-limits, formulas, and the worked scenarios. Chapters 01–03, 06, 07, 09, 12, 13 and the cheatsheet were **not** reviewed — treat them as unverified.

Bottom line: the material is unusually accurate and, helpfully, it self-flags most amendment-sensitive figures with "confirm in ICAI material." I found **two concrete technical errors** and **one minor imprecision**, listed below. Everything else I checked was correct.

Confirmed / likely errors

1. Ch 04 (Share Capital) → Sweat Equity, Section 54 — the "one year after commencement" condition

- **Claim as written (§4.6 and Quick-Revision):** Sweat equity shares may be issued "*Not before one year from the date the company was entitled to commence business*" (repeated in the revision sheet as "not before 1 yr of commencement").
- **Correct position:** That condition was the old **Section 54(1)(c)**, which was **omitted by the Companies (Amendment) Act, 2017 (w.e.f. 7 May 2018)**. Under current law there is **no one-year waiting period** — a company (notably a start-up) can issue sweat equity from the outset. The surviving conditions are: special resolution; the resolution specifying number, current market price, consideration and class of directors/employees; and compliance with SEBI regs (if listed) / the SCD Rules (if unlisted).
- **Confidence:** High. This is a well-known post-2017 change; ICAI current material reflects the omission. A question set on current law that rewards "no one-year requirement" would mark the chapter's statement wrong.

2. Ch 10 (Audit) → Section 147(2) auditor penalty — remuneration multiplier in the wilful case

- **Claim as written (§4.7):** For a wilful contravention with intent to deceive: "*imprisonment up to 1 year + fine ₹50,000 (or 4× remuneration) up to ₹25,00,000.*"
- **Correct position:** In the **aggravated (wilful/intent-to-deceive)** limb of Section 147(2), the fine is "not less than ₹50,000 but which may extend to ₹25 lakh **or eight times the remuneration of the auditor, whichever is less.**" The multiplier is **8×**, not 4×. The **4× multiplier belongs only to the ordinary (non-**

wilful) limb (fine ₹25,000–₹5,00,000 or 4× remuneration, whichever is less) — which the chapter states correctly just above. The error is applying "4×" to the wilful case.

- **Confidence:** High. The imprisonment term, the ₹50,000–₹25,00,000 band and the "whichever is less" mechanic are all correct; only the multiple is wrong.

Minor imprecision (flag, low materiality)

3. Ch 05 (Deposits) → Section 76A officer punishment — "and/or"

- **Claim as written (§4.6):** Officer in default punishable with *"imprisonment up to 7 years and/or fine of not less than Rs. 25 lakh up to Rs. 2 crore."*
- **Correct position:** Post the 2017 amendment, Section 76A reads imprisonment up to 7 years **and** with fine ₹25 lakh–₹2 crore — i.e. **both**, not "either/or." (The "or/both" phrasing was the pre-2018 version.)
- **Confidence:** Medium. Minor wording point; the amounts and 7-year term are correct. Worth tightening because examiners occasionally test the conjunction.

Items the chapters already flag "confirm" — I spot-checked these and they are currently CORRECT (so you can rely on them, but they are amendment-sensitive)

- **Ch 05 Deposits — DRRA 20%** of deposits maturing next FY, funded by 30 April: correct (raised from 15%). Eligible company test **net worth ≥ ₹100 cr OR turnover ≥ ₹500 cr**: correct. Limits 35% (ordinary/members), 10% (eligible/members), 25% (eligible/public), 35% (Govt/public): correct. Tenure 6–36 months: correct. DPT-3 by 30 June; register kept 8 years: correct.
 - **Ch 08 Dividend — Rule 3 "3-10-plug-15"** (rate cap = 3-yr average; amount cap = 10% of paid-up + free reserves; set off current losses; 15% reserve floor): all correct, and Scenario 2's arithmetic (avg 10%, ₹13 lakh cap, ₹7.5 lakh floor) is right. Timeline 5 / 30 / 37 / 90 days / 7 years, interest **12% (S.124) vs 18% (S.127)**, shares to IEPF under 124(6): all correct.
 - **Ch 10 Audit — 141(3) money limits "1-5-1"** (relative securities face value ₹1 lakh, indebtedness > ₹5 lakh, guarantee > ₹1 lakh), **ceiling of 20** companies, rotation **individual 1×5 / firm 2×5 / cool-off 5**, fraud-reporting threshold **₹1 crore** (ADT-4, 45+15 day route; <₹1 cr to Board/AC within 2 days), Rule 5 rotation classes (₹10 cr unlisted public / ₹50 cr private / ₹50 cr borrowings): all correct.
 - **Ch 11 LLP — DP residency 120 days** (amended down from 182): correct. Audit exemption **turnover > ₹40 lakh OR contribution > ₹25 lakh**: correct. Form 11 (Annual Return) 60 days; Form 8 (Statement of Account & Solvency) 6 months; below-2-partners 6-month grace; winding-up on 5 consecutive years' non-filing; conversion S.55/56/57 with Schedules 2/3/4: all correct.
 - **Ch 14 FEMA — in force 1 June 2000, 49 sections; resident test > 182 days in preceding FY + purpose override; S.13 penalty up to 3× (quantifiable) / up to ₹2 lakh (not) + ₹5,000/day; S.14 civil imprisonment on non-payment within 90 days; S.15 compounding within 180 days; S.6(3) omitted by Finance Act 2015; LRS USD 2,50,000**: all correct. Definition subsection letters (2(v), 2(w), 2(e), 2(j), 2(c), 2(n), 2(h)) all check out.
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Overall reliability — per reviewed chapter

- **Ch 04 — Share Capital & Debentures: Reliable with one correction.** Fix the sweat-equity "one-year" point (Item 1). All other numbers verified (Sec 47 two-year voting trigger, Sec 48 3/4 + 10%/21-day, Sec 55 20-yr redemption + CRR, Sec 62 rights window 15–30 days, Sec 61 vs 66, Sec 68 buy-back 25% / 2:1 / 1-yr / CRR, Sec 71 trustee > 500 persons, SH-4 60 days). Grade: **A–**.
- **Ch 05 — Acceptance of Deposits: Highly reliable.** Only the minor "and/or" wording in S.76A (Item 3). All thresholds, limits, forms and the four scenarios are sound. Grade: **A**.
- **Ch 08 — Declaration & Payment of Dividend: Highly reliable.** No technical errors found; section numbers, the 3-10-plug-15 caps, IEPF timeline, and interest rates are all correct, including the worked computations. Grade: **A**.
- **Ch 10 — Audit & Auditors: Reliable with one correction.** Fix the 147(2) wilful-case multiplier (8×, not 4× — Item 2). Everything else (appointment clocks, rotation, 141 disqualifications, 143(12) fraud route, 144 list, forms) is accurate. Grade: **A–**.
- **Ch 11 — LLP Act 2008: Highly reliable.** No technical errors found. Residency, audit thresholds, filing deadlines, liability sections and conversion schedules all correct. Grade: **A**.
- **Ch 14 — FEMA 1999: Highly reliable.** No technical errors found. Definitions, section allocation, penalty/compounding regime and the current-vs-capital framework all correct. Grade: **A**.

Caveat for the student: Before the exam, still verify every figure the chapters themselves tag "confirm in ICAI material" (penalty bands, LRS cap, DRR %, private-company deposit exemption conditions, Schedule II useful lives) against the *current* ICAI Study Material and bare Act — these are amended frequently, and this review reflects the position as understood at review time, not a substitute for the latest bare-Act check. Chapters not listed above were not reviewed.

Rapid-Recall Flashcards

100 cards for spaced repetition — cover the right column and recall. Also importable into Anki from the DECK.tsv file.

Prompt	Answer
Why does the Companies Act define a "small company" by paid-up capital AND turnover thresholds?	To ring-fence genuinely small firms for lighter compliance; both tests must be met so a low-capital but high-turnover firm can't escape scrutiny. Limits: capital up to Rs.4 crore, turnover up to Rs.40 crore.
What are the paid-up capital and turnover limits for a "small company" (Sec 2(85))?	Paid-up capital not exceeding Rs.4 crore and turnover not exceeding Rs.40 crore (as per latest rules).
Why can a public company never be a "small company"?	Small-company relief is meant for closely-held private firms; public companies invite public investment, so they always need full compliance regardless of size.
What is the minimum number of members for a private vs public company?	Private: minimum 2; Public: minimum 7. (OPC needs just 1.)
What is the maximum number of members in a private company, and why?	200 (excluding employees/ex-employees who are members). The cap keeps it closely-held, distinguishing it from a public company that raises capital widely.
Why is a One Person Company (OPC) restricted to a natural person who is an Indian resident?	To keep the single-owner structure genuinely individual and locally accountable; a body corporate can't hide behind an OPC. Resident = stay of 120 days or more in previous FY.
What triggers mandatory conversion of an OPC into a private/public company?	Earlier the paid-up capital/turnover ceilings applied, but those thresholds were removed; OPC may convert voluntarily anytime, and must if it wants to raise public capital.
Why does Sec 2(87) treat control of the Board's composition as "control" for a subsidiary?	Because economic ownership isn't the only power; whoever appoints/removes a majority of directors effectively runs the company, so that alone makes it a subsidiary.
When is a company a "subsidiary" under Sec 2(87)?	If the holding company controls Board composition OR holds/controls more than one-half of the total voting power.
Why can a subsidiary not hold shares in its holding company (Sec 19)?	To prevent circular shareholding that would let a company indirectly buy its own shares and inflate its capital artificially.
What is the doctrine of "lifting the corporate veil"?	Courts disregard separate legal personality when the company form is used for fraud, tax evasion, or to defeat law, holding the real persons behind it liable.
Why is a company said to have "perpetual succession"?	Its existence is independent of members; death, insolvency or exit of members doesn't end it. Only law can dissolve it. Members may come and go; the company continues.
Why must a company incorporated for charitable purposes under Sec 8 not pay dividends?	Its licence requires profits be applied only to promote its objects; distributing profit would defeat the not-for-profit purpose that earned it exemptions.
What is the "doctrine of ultra vires"?	Acts beyond the objects clause of the memorandum are void and cannot be ratified even by all shareholders, protecting creditors and investors from mission drift.

Why is the memorandum called the "charter" of a company?	It defines the company's constitution, powers, and scope of activities toward outsiders; it's the foundational document limiting what the company can do.
What is the "doctrine of constructive notice"?	Outsiders dealing with a company are deemed to know its public documents (MOA/AOA); they can't claim ignorance of registered limits on the company's powers.
What is the "doctrine of indoor management" (Turquand rule)?	Outsiders may assume internal procedures were properly followed; they aren't bound to verify internal compliance, protecting them where directors flout internal rules.
What is the reserved-word rule for a company using "One Person Company"?	The words "(One Person Company)" must appear in brackets below the company's name wherever printed/engraved.
Why does Sec 12 require the registered office within 30 days of incorporation?	The company must have a fixed address to receive legal communications from day one; it's the point of official service and record inspection.
What is the time limit to file a change of registered office within the same state but different ROC jurisdiction?	Requires Regional Director approval; confirmation to be filed and registered within the prescribed period, then intimated to ROC.
Why must every prospectus state facts fully and truly (Sec 26)?	Investors rely on it to decide; concealment or misstatement invites civil and criminal liability because capital is being raised from the public on that trust.
What is a "deemed prospectus" (Sec 25)?	When a company allots securities to an issuing house intending they be offered to the public, the offer document is treated as a prospectus issued by the company.
What is the "golden legal rule" for prospectus disclosure?	Those issuing a prospectus stand in a fiduciary position and must disclose the whole truth with strictest accuracy; nothing should be stated as fact that isn't.
Why is a "shelf prospectus" allowed for certain issuers?	To let frequent issuers (e.g., banks, NBFCs) raise capital in tranches without a fresh prospectus each time; valid up to one year, updated via an information memorandum.
What is minimum subscription and why is 90% the benchmark?	The minimum amount stated in the prospectus that must be subscribed before allotment; 90% of the issue must be received, else money is refunded, ensuring viability.
Why must application money be at least 5% of nominal value of the security?	SEBI/Act require a minimum stake at application to filter non-serious applicants and ensure genuine commitment before allotment.
What is the time limit to refund application money if minimum subscription is not received?	Within 15 days from closure of the issue; beyond that, interest at 15% p.a. is payable.
Why does Sec 42 restrict a private placement to 200 persons in a financial year?	Beyond 200 it becomes a de facto public offer; the cap prevents companies from circumventing prospectus and public-issue safeguards.

What identifiable persons are excluded from the 200-person private placement cap?	Qualified Institutional Buyers (QIBs) and employees under ESOP are excluded from the count.
Why must private placement money go into a separate bank account and not be utilised before allotment?	To protect subscribers' funds and ensure money is used only for the stated purpose after valid allotment; premature use is a serious contravention.
What is the time limit to allot securities under private placement and file return of allotment?	Allot within 60 days of receiving application money; file PAS-3 within 15 days of allotment.
Why can't a company issue shares at a discount (Sec 53)?	It would defraud creditors by understating the capital cushion; issue at discount is void, except sweat equity shares which are a permitted exception.
What are "sweat equity shares" and why permitted at discount?	Shares issued to directors/employees for know-how or value additions; permitted because they reward genuine contribution rather than dilute creditor protection.
Why is the securities premium a capital reserve with restricted uses (Sec 52)?	It represents shareholders' capital contribution above par, not distributable profit; usable only for specified purposes like issuing bonus shares or writing off issue expenses.
List permitted uses of the Securities Premium Account.	Issue fully paid bonus shares; write off preliminary expenses; write off issue expenses/commission/discount on debentures; premium on redemption of preference shares/debentures; buy-back.
Why does Sec 62 mandate a rights issue before fresh equity to existing shareholders?	To protect existing shareholders' proportionate ownership and voting rights from dilution; they get first right to maintain their stake.
What is the notice period and minimum offer window for a rights issue under Sec 62?	Offer by notice specifying shares and a period of not less than 15 days and not more than 30 days to accept.
Why must a company create a Capital Redemption Reserve when redeeming preference shares out of profits (Sec 55)?	To replace the capital being paid out, keeping the creditors' buffer intact; CRR equals the nominal value redeemed and is treated like paid-up capital.
Why can preference shares be redeemed only if fully paid?	Partly-paid shares carry uncalled liability; redeeming them would extinguish that safeguard for creditors before the money is even collected.
What is the maximum tenure for redeemable preference shares?	20 years generally; up to 30 years for infrastructure projects (redeeming at least 10% per year from the 21st year).
Why does buy-back require the debt-equity ratio to stay within 2:1 after buy-back (Sec 68)?	To ensure the company doesn't erode its capital base and over-leverage, protecting creditors when it returns cash to shareholders.
What are the key buy-back limits under Sec 68?	Up to 25% of paid-up capital and free reserves (10% if Board-only approval); 25% of paid-up equity in a year; debt-equity max 2:1; funded from free reserves/securities premium/proceeds of fresh issue.

Why is there a 1-year cooling-off before a company can make another buy-back?	To prevent repeated capital erosion and market manipulation; ensures buy-back is a considered capital decision, not a routine share-price prop.
Why must a company transfer to Capital Redemption Reserve on buy-back out of free reserves?	Same logic as preference redemption: capital paid out is replaced by CRR so the creditor cushion is preserved.
Why does Sec 71 require creating a Debenture Redemption Reserve (DRR)?	Debentures are borrowings that must be repaid; DRR earmarks profits so redemption isn't funded by fresh borrowing, protecting debenture-holders.
What distinguishes a debenture from a share?	A debenture is a creditor's instrument (fixed interest, repayable, no ownership/voting) whereas a share is ownership (dividend, voting, residual claim, generally non-repayable).
Why does Sec 73 broadly prohibit companies from accepting deposits from the public?	Past scams showed public deposits are risky without banking-style safeguards; only eligible public companies with strict conditions may accept them.
What conditions let a private company accept deposits from members (Sec 73)?	Pass resolution, issue circular, file with ROC, provide deposit insurance/security, maintain deposit repayment reserve of 20% of deposits maturing next FY in a separate bank account.
What is the Deposit Repayment Reserve Account requirement?	On or before 30th April each year, deposit at least 20% of deposits maturing during the following financial year in a scheduled bank; usable only for repayment.
Why are certain receipts (e.g., advance for goods, share application money) excluded from "deposit"?	They're genuine commercial transactions, not borrowings; treating them as deposits would choke normal business and misapply investor-protection rules.
Why must charges be registered within 30 days of creation (Sec 77)?	Registration gives public notice to creditors of prior claims on assets; unregistered charges are void against the liquidator and other creditors.
What is the extended time to register a charge beyond the initial 30 days?	Registrar may allow registration within 60 days on payment of additional fees, and a further 60 days (total 120) with ad valorem fees, on application.
What is the consequence of a charge remaining unregistered?	The charge is void against the liquidator and creditors; the money still remains payable, but the security (priority) is lost.
Why must every company hold its first AGM within 9 months of the first financial year-end?	To give members an early account of the company's affairs; the longer window recognises a new company needs time to close its first, possibly long, accounting period.
What are the AGM timing rules (Sec 96)?	First AGM within 9 months of first FY-end; subsequent AGMs within 6 months of FY-end, max gap 15 months between two AGMs, held in business hours (9am-6pm) on a non-national-holiday.
Why is the quorum for a public company's general meeting tiered by member count (Sec 103)?	Fairness and practicality: larger companies need more members present to be representative, so quorum scales 5/15/30 for up to 1000/5000/over 5000 members.

What is the quorum for a private company general meeting?	2 members personally present, regardless of total membership.
Why does an ordinary resolution need only a simple majority while special needs 75%?	Routine matters warrant majority rule; fundamental changes (altering MOA/AOA, reducing capital) need a supermajority to protect minority from drastic decisions.
What notice period is required for a general meeting, and can it be shorter?	21 clear days' notice; shorter notice is valid if consent of 95% of members entitled to vote is obtained.
Why is a proxy allowed to attend but generally not to speak or vote on a show of hands?	A proxy is a stand-in for voting rights, not a member; the law lets absent members exercise their vote without giving proxies full participatory rights.
What is the limit on proxies one person can hold (Sec 105)?	A proxy can act for max 50 members and holding in aggregate not more than 10% of total share capital carrying voting rights.
Why must minutes of meetings be recorded within 30 days (Sec 118)?	Minutes are legal evidence of decisions; timely, accurate recording prevents disputes and manipulation of what the meeting actually resolved.
Why does Sec 123 permit dividend only out of profits (current or accumulated) or money provided by government?	Dividend is a distribution of profit, not capital; paying from capital would defraud creditors by returning their security to shareholders.
What must be done with declared dividend not paid/claimed within 30 days?	Transfer to a special "Unpaid Dividend Account" within 7 days after the 30 days; amounts unclaimed for 7 years go to the Investor Education and Protection Fund (IEPF).
Why does dividend declaration require transfer of unclaimed amounts to IEPF after 7 years?	To channel long-abandoned funds to investor protection/education rather than let companies retain them indefinitely; shares too are transferred to IEPF.
Why can't a company declare dividend if it has failed to comply with deposit repayment (Sec 123)?	Creditors/depositors rank ahead of shareholders; a company in default on repayments cannot reward owners before settling its obligations.
Why must financial statements give a "true and fair view" (Sec 129)?	So stakeholders get an honest economic picture; compliance with format alone isn't enough if it misleads, hence substance over mere form.
Why does Sec 135 mandate CSR spending of 2% of average net profits for qualifying companies?	To make profitable large companies contribute to social development; it institutionalises corporate responsibility rather than leaving it voluntary.
What are the CSR applicability thresholds (Sec 135)?	Net worth Rs.500 crore or more, OR turnover Rs.1000 crore or more, OR net profit Rs.5 crore or more, in the immediately preceding financial year.
What happens to unspent CSR amount (other than ongoing projects)?	Transfer to a Schedule VII fund within 6 months of FY-end. For ongoing projects, transfer to a special Unspent CSR Account within 30 days, to be spent within 3 years.

Why does Sec 138 require internal audit for prescribed companies?	Large/complex operations need an independent check on internal controls to catch errors/fraud early, beyond the annual statutory audit.
Why is the auditor appointed for 5 years and rotated (Sec 139)?	A fixed term ensures independence from year-to-year pressure, while mandatory rotation prevents cosy long-term relationships that erode objectivity.
What are the auditor rotation limits for prescribed companies (Sec 139(2))?	Individual auditor: one term of 5 years; audit firm: two terms of 5 years (10 years); then a 5-year cooling-off before reappointment.
Why does Sec 141 disqualify an auditor who holds securities in the company?	Financial interest compromises independence; an auditor with a stake may soften findings that hurt share value, defeating the audit's purpose.
List key auditor disqualifications under Sec 141.	Body corporate (except LLP), officer/employee of company, partner/employee of such, holding security or indebted above Rs.5 lakh, business relationship, convicted of fraud (10-yr bar).
Why does Sec 143 give the auditor a duty to report fraud to the Central Government?	To make the auditor a gatekeeper against fraud; frauds above Rs.1 crore must be reported to CG, ensuring serious misconduct isn't buried in the audit file.
What is the fraud-reporting threshold that goes to the Central Government under Sec 143(12)?	Fraud involving Rs.1 crore or more: report to Central Government; below Rs.1 crore: report to the Board/Audit Committee and disclose in Board's report.
Why must an auditor state whether the company has adequate internal financial controls?	Controls prevent misstatement and fraud; the auditor's opinion on IFC gives stakeholders assurance the numbers rest on a sound control system.
Why is the "General Clauses Act, 1897" called a consolidating and interpretation statute?	It defines common terms and lays down default interpretation rules so every other Act need not repeat them, ensuring consistency across the statute book.
Under the General Clauses Act, how is a period "from" a date computed?	The first day is excluded and the last day included (unless a contrary intention appears), so "within 30 days from X" starts counting the day after X.
Under the General Clauses Act, what if the last day for an act falls on a holiday?	The act is valid if done on the next working day when the office reopens; a closed office can't be held against the person.
What does "shall" vs "may" signify in statutory interpretation?	"Shall" is generally mandatory (must be obeyed) while "may" is directory/enabling (discretionary), though context and purpose can reverse the presumption.
What is the "literal/grammatical rule" of interpretation?	Words are given their ordinary, natural meaning; if the language is plain, the court applies it even if the result seems harsh, respecting legislative supremacy.
What is the "mischief rule" (Heydon's case)?	The court asks what defect/mischief the law aimed to cure and interprets the statute to suppress that mischief and advance the remedy.

What is the "golden rule" of interpretation?	Start with the literal meaning but depart from it just enough to avoid absurdity, repugnance, or inconsistency the legislature could not have intended.
What is the rule of "ejusdem generis"?	General words following specific ones of a class are limited to that same class; e.g., "cars, trucks and other vehicles" means other motor vehicles, not aircraft.
What is "noscitur a sociis"?	A word's meaning is known from its companions; ambiguous words take colour from surrounding words in the provision.
What is the difference between a "proviso", an "explanation" and an "illustration"?	Proviso carves out an exception to the main clause; explanation clarifies/expands meaning; illustration gives an example aiding understanding (but can't override the section).
Why is the "preamble" a useful aid to interpretation?	It states the object and purpose of the Act; when words are ambiguous, the preamble guides the court toward the intended meaning, though it can't override clear text.
What is the objective of FEMA, 1999 (as opposed to FERA)?	FEMA facilitates external trade/payments and orderly forex market development; it treats violations as civil (compoundable), unlike FERA's criminal, control-oriented regime.
What is the difference between a "capital account transaction" and a "current account transaction" under FEMA?	Capital account transactions alter assets/liabilities outside India (or of non-residents in India); current account transactions are all others, e.g., trade payments, travel, interest.
Why are current account transactions generally free under FEMA while capital ones are regulated?	Current transactions are routine trade/service flows essential to commerce; capital flows can destabilise the economy/exchange rate, so RBI regulates them.
Who is a "person resident in India" under FEMA?	One residing in India for more than 182 days in the preceding financial year (subject to purpose-of-stay exceptions), plus specified offices/agencies/companies in India.
Why does FEMA determine residency by days of stay rather than citizenship?	FEMA regulates economic activity/forex flows tied to where a person actually operates, so physical presence (182+ days) matters more than nationality.
Why is contravention under FEMA "compoundable"?	FEMA aims to manage forex, not punish; letting parties settle contraventions by paying a penalty (compounding) keeps trade flowing and reduces litigation.
Why must a Limited Liability Partnership (LLP) have at least two designated partners, one resident in India?	Designated partners bear compliance responsibility; requiring a resident ensures there's always someone locally accountable to regulators.
Why is an LLP a "body corporate" with perpetual succession unlike an ordinary partnership?	The LLP Act gives it separate legal personality, so partners' liability is limited and the entity survives partner changes, combining company and partnership benefits.
Why is a partner in an LLP generally not liable for another partner's wrongful acts?	Limited liability is the LLP's core benefit; a partner is shielded from others' misconduct done without their knowledge, unlike unlimited joint liability in a firm.

What is the minimum and maximum number of partners in an LLP?	Minimum 2 partners; no maximum limit (unlike a private company's 200-member cap).
Why does the LLP Act still make a partner liable for their own fraud despite limited liability?	Limited liability protects against others' acts, not one's own wrongdoing; allowing escape from personal fraud would make the shield a licence to cheat.